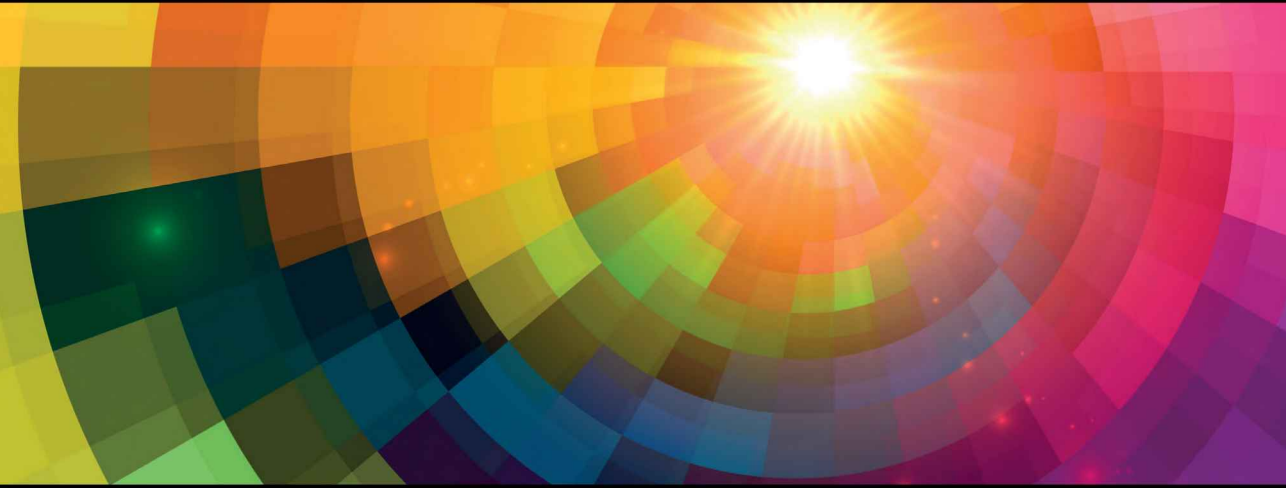




5TH EDITION

# MAKING SENSE OF CHANGE MANAGEMENT

A COMPLETE GUIDE TO THE MODELS, TOOLS AND  
TECHNIQUES OF ORGANIZATIONAL CHANGE

ESTHER CAMERON AND MIKE GREEN

# PRAISE FOR THE PREVIOUS EDITIONS OF *MAKING SENSE OF CHANGE MANAGEMENT*

‘There has long been a need for a readable, practical but theoretically underpinned book on change which recognizes a multiplicity of perspectives. By combining the behavioural, humanistic, organizational and cognitive perspectives and by helping the reader make sense of what each perspective brings to understanding change, this book should help students and practitioners. By linking in work on personality tests such as MBTI™, the book breaks new ground from a practitioner point of view, not least because these tests are widely used in practice. I thoroughly recommend it.’

**Professor Colin Carnall, Honorary Visiting Professor, Cass Business School**

‘Change is a huge thing wherever you work. The key is to make change happen, and make it happen well – with everyone on side, and everyone happy. This book provides an extremely stimulating and accessible guide to doing just that. There are a few people at the Beeb who could do with this. I’ll definitely be placing copies on a couple of desks at White City.’

**Nicky Campbell, Presenter Radio Five Live and BBC1’s *The Big Questions***

‘This excellent, comprehensive, well-written and logically laid out book presents change management processes, concepts, models and frameworks in clear terms; managers on my postgraduate courses have remarked that this book has been of immense value to them when planning and implementing change in their organizations – a more fitting testimony one cannot ask for.’

**Alec Bozas, Graduate School of Business & Leadership, University of KwaZulu-Natal**

‘In today’s rapidly changing world, where emerging markets are becoming the hot centres of action, no company’s change agenda can be a blueprint for another. It is in this context that *Making Sense of Change Management*, a deeply analytical and thoughtful book on change management, delights. Rather than applying a rather over-simplified ‘silver bullet’ to every problem, the authors attempt to give the flavours and the perspectives, leading to informed choices one has to make. That, to me, is truly valuable.’

**Rajeev Suri, India-based entrepreneur, CEO and former Head of Global Marketing, Infosys**

‘This impressive book on change is an essential read for any professional manager who is serious about getting to grips with the important issues of making change happen.’

**Dr Jeff Watkins, former MSc Course Director, Management Research Centre, University of Bristol**

‘I commend it highly. It has a good coverage of relevant theoretical work while at the same time giving plenty of practical examples. It is written in an accessible style that engages the reader and it is full of useful ideas without being overly prescriptive or formulaic.’

**Philip Sadler, author of a number of acclaimed business titles and former chief executive of Ashridge Business School**

‘This provides a clear and thorough tour of different models of change.’

**Richard Jolly, Adjunct Professor of Organizational Behaviour, London Business School**

‘I really enjoyed this book. I like the straightforward approach, the inclusion of the author’s opinion and the insight provided by the case studies. This book will be very useful for those business managers in my organization who need to prepare themselves for tackling major organizational change.’

**Andy Houghton, Director Wholehearted Consulting, former HR Director, Utilities Company**

‘If you’re interested in successfully managing and leading change, then read this book! It not only covers change from both the individual and organizational perspective, but also increases the number of options available to you.’

**Judi Billing, Vice Chair, Improvement and Innovation Board, Local Government Association, London**

‘This book is a great resource for managers thrown into the midst of change, who need to gain understanding of what happens when you try to make significant changes in a business, and how best to manage people through it. The authors have tackled a complex topic in a lively and engaging way, leading readers through the maze of theory available and offering just the right amount of practical advice.’

**Andy Newall, Executive Coach, Serendipity Inspirations, former Group HR Director, Imperial Tobacco**

‘This practical handbook, combining contemporary management theory with very practical suggestions, is an indispensable tool for any manager involved in change processes. And aren’t we all. . .’

**Adriaan Vollebergh, Board Director; former Managing Director, Tata Steel Plating, Tata Steel Europe**

'This is a book which lives up to its title. By combining a guide to the ideas of key thinkers on change and useful tips for making change happen, it really does provide a toolkit to help us to make sense of change. It is useful to see a focus on the individual, team and organizational levels, and in particular, on the role of the leader in the change process. It is written in a way that makes the book interesting to read both at length as well as to dip into.'

**Dr Richard McBain, former Head of Postgraduate Post Experience Programmes, Henley Business School**

'Surprisingly relevant to my role – a very readable and helpful insight into how to manage change today, with some teasers as to what to expect as the world evolves.'

**David Owen, Senior Enterprise Architect, Oil and Gas Industry, Canada**

'A comprehensive guide on the topic of change management. What stands out is its wide coverage of the underpinning theories on change management as well as practical applications of these theories on different types of change. This makes the book a fantastic resource not just for field practitioners like me, but also for students studying the topic of change management.'

**Chris Chew, Managing Director, ThinkE, former Head of Organization Development, IMC Pan Asia Alliance Pte Ltd**

'This book serves as an easily readable, un-intimidating, and comprehensive guide on understanding the complexities of various change projects. It provides advice and many a useful model to structure and manage a wide range of change initiatives. A practical toolkit on change management, both for students as well as practising management professionals.'

**George Philip, Bank al Markazī al 'Umānī, Muscat Governorate, Oman**

'I use MSoCM as a desktop reference guide, always by my side. It is a very useful resource – intelligent, flexible and practical.'

**Ali Nawaz K Showkath, Change Management Specialist, UAE**

'This book has got it all! The introduction of lesser known change management models that add a new dimension to this fascinating field, practical advice rather than pure theory with tried and tested examples and the standard theory and models you will find in most change management books. If you need one book that covers everything you need to know, look no further!'

**Anton Hingeston, Director of Change Logic CS, South Africa**



‘This book provides a comprehensive discussion of the theoretical and practical aspects of managing change, drawing on engaging examples to illustrate the practical application of the points raised. It also encourages the reader to stop, think and apply the information presented to their own work. I would recommend it to anyone learning about managing change, either as part of a programme of study, or a part of their work.’

**Jaqui Hewitt-Taylor, Senior Lecturer, Faculty of Health and Social Sciences,  
Bournemouth University**

‘A great book that helped my students look at change from a macro to micro view; from change effects on the whole down to the individual, demonstrating the importance of teamwork.’

**Ashley Cooke, Senior Lecturer, Anglia Ruskin University**

‘Change management is something which is either done well or appallingly badly. This book guides leaders and managers towards successful implementation of change which embeds and becomes standard practice.’

**Anne Fenech, International Fellow, University of Southampton**

**Fifth edition**

# **Making Sense of Change Management**

A complete guide to the models, tools and  
techniques of organizational change

Esther Cameron  
and Mike Green



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Then of course there are our colleagues who challenge and support us every day as we reflect on our work and make decisions about what to do next. Particular thanks go from Mike to Andy, Anjali, David, Manny and Mhairi, who probably do not know how much they are appreciated, to Mike's MBA and Executive Education Programme Members at Henley Business School for a never-ending supply of ideas and challenges and also to participants in all his change management workshops in Europe, Africa and the Middle East. Esther wants to specially acknowledge Nick Mayhew for his encouragement and help with Chapter 12, and Anne-Marie Saunders and Alex Clark for their humour, friendship and generosity in sharing their expertise; so many of their insights are embedded in this book. Also, thanks go to Esther's learning set who really boosted the leadership chapter in particular. Thanks too to Bill Critchley for his ideas on linking metaphor and change, which form the bedrock of the organizational change chapter. Thanks also to Simon Williams and Zaher Alhaj for helpful exchanges during the writing of Chapter 9.

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We also want to thank each other. We have learnt a lot from this rich and sometimes rocky process of writing a book together. We do not always see things the same



way, and we do not work from an identical set of assumptions about change, so the book is the culmination of much healthy airing of views. Let's hope we are still writing, talking and enjoying each other's company many years from now.

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# Introduction

*I balance on a wishing well that all men call the world.  
We are so small between the stars, so large against the sky,  
and lost amongst the subway crowd I try and catch your eye.*

LEONARD COHEN

This book is about making sense of change management. The world we live in continues to change at an intense rate. Not a day goes by, it seems, without another important discovery or boundary-pushing invention in the scientific fields. The economics of globalization seems to dominate much of our political and corporate thinking, while the shadow side of globalization – refugees, exploitation, terrorism and the like – develops at an equally alarming pace.



The rate of change and discovery outpaces our individual ability to keep up with it. The organizations we work in or rely on to meet our needs and wants are also changing dramatically, in terms of their strategies, their structures, their systems, their boundaries and of course their expectations of their staff and their managers.

## Who this book is aimed at

---

*Making Sense of Change Management* is aimed at anyone who wants to begin to understand why change happens, how change happens and what needs to be done to make change a more welcoming concept. In particular we hope that leaders and managers in organizations might appreciate a book that does not give them the one and only panacea, but offers insights into different frameworks and ways of approaching change at an individual, team and organizational level.

We are mindful of the tremendous pressures and priorities of practising managers – in both the private and the public sectors – and *Making Sense of Change Management* is our attempt at making their lives that little bit easier. It is also our attempt at convincing them that addressing the issues that cause change to be so poorly managed in organizations will lead not only to more satisfying experiences for them, but to more fulfilling lives for their staff.

**Framework:** an essential supporting structure;

**Model:** a simplified description of a system;

**Tool:** a thing used in an occupation or pursuit;

**Technique:** a means of achieving one's purpose.

*Concise Oxford Dictionary*

Students of learning – be they MBA or MSc programme members, or individuals who just want to do things better – will hopefully find some models, tools and techniques that bridge the gap between the purely academic and the more pragmatic aspects of management theory and practice. The intention is to help them to make sense of the changes that they will undergo, initiate and implement.

## The basic content of the book

---

We focus our attention on individual, team and organizational change with good reason. Many readers will be grappling with large-scale change at some point, which might be departmental, divisional or whole organizational change. Whatever the level or degree of organizational change, the people on the receiving end are individual human beings. It is they who will ultimately cause the change to be a success or a failure. Without looking at the implications of change on individuals we can never really hope to manage large-scale change effectively.

In addition, one of the themes of organizational life over recent years has been the ascendancy of the team. Much of today's work is organized through teams and requires team collaboration and teamworking for it to succeed. Very little has been written about the role of teams in organizational change, and we have attempted to offer some fresh ideas mixed with some familiar ones.

A thread running through the book is the crucial role of leadership. If management is all about delivering on current needs, then leadership is all about inventing the future. There is a specific chapter on leadership, but you will find the importance of effective leadership arising throughout.

In some respects the chapters on individual, team and organizational change, together with the chapters on leadership of change and the change agent, are freestanding and self-contained. However, we have also included application chapters where we have chosen a number of types of change, some of which, no doubt, will be familiar to you. These chapters aim to provide guidelines, case studies and learning points for those facing specific organizational challenges. Here the individual, team and organizational aspects of the changes are integrated into a coherent whole.

For the 5th edition we have made a major revision to the project- and programmed change chapter and have written two new chapters – Digital transformation and Becoming a sustainable business, both critical in their different ways.

## Why explore different approaches to change?

---

Managers in today's organizations face some bewildering challenges. Paul Evans (2000) says that 21st-century leadership of change issues is not simple; he sees modern leadership as a balancing act. He draws our attention to the need for leaders to accept the challenge of navigating between opposites. Leaders have to balance a track record of success with the ability to admit mistakes and meet failure well. They also have to balance short-term and long-term goals, be both visionary and pragmatic, pay attention to global and local issues and encourage individual accountability at the same time as enabling team work.

It is useful to note that while some pundits encourage leaders to lead rather than manage, Paul Evans is emphasizing the need for leaders to pay attention to both management and leadership. See the box for a list of paradoxes that managers at Lego are asked to deal with.

### **THE 11 PARADOXES OF LEADERSHIP THAT HANG ON THE WALL OF EVERY LEGO MANAGER**

- *To be able to build a close relationship with one's staff, and to keep a suitable distance.*
- *To be able to lead, and to hold oneself in the background.*
- *To trust one's staff, and to keep an eye on what is happening.*
- *To be tolerant, and to know how you want things to function.*
- *To keep the goals of one's department in mind, and at the same time to be loyal to the whole firm.*

- *To do a good job of planning your own time, and to be flexible with your schedule.*
- *To freely express your view, and to be diplomatic.*
- *To be a visionary, and to keep one's feet on the ground.*
- *To try to win consensus, and to be able to cut through.*
- *To be dynamic, and to be reflective.*
- *To be sure of yourself, and to be humble.*

**SOURCE** Evans (2000)

We believe that anyone interested in the successful management of change needs to develop the ability to handle such paradoxes. Throughout this book we offer a range of ideas and views, some of which are contradictory. We would urge you to try to create a space within yourself for considering a variety of perspectives. Allow your own ideas and insights to emerge, rather than looking for ideas that you agree with, and discarding those you do not care for. It is highly probable that there is some merit in everything you read in this book!

With so many choices and so many dynamic tensions in leadership, how does a manager learn to navigate his or her way through the maze? We have developed a straightforward model of leadership that acts as a strong reminder to managers that they need to balance three key dimensions; see Figure 0.1.

Managers usually learn to focus on outcomes and tangible results very early on in their careers. This book is a reminder that although outcomes are extremely important, the leader must also pay attention to underlying emotions, and to the world of power and influence, in order to sustain change and achieve continued success in the long term. Leaders of change need to balance their efforts across all three dimensions of an organizational change:

- outcomes: developing and delivering clear outcomes;
- interests: mobilizing influence, authority and power;
- emotions: enabling people and culture to adapt.

Leaders are at the centre of all three. They shape, direct and juggle them. One dimension may seem central at any time: for example, developing a strategy. However, leadership is about ensuring that the other dimensions are also kept in view. The three balls must always be juggled successfully.

In our experience, if you as leader or manager of change are unaware of what is happening (or not happening) in each of the three dimensions, then you will have 'taken your eye off the ball'. Your chances of progressing in an effective way are diminished.

**Figure 0.1** Three dimensions of leadership

**SOURCE** Developed by Mike Green, Andy Holder and Mhairi Cameron

The early chapters of this book give the reader some underpinning theory and examples to illustrate how people initiate change and react to change at an individual level, when in teams, or when viewed as part of a whole organization. This theory will help managers to understand what is going on, how to deal with it and how to lead it with the help of others. The later chapters take real change situations and give specific tips and guidelines on how to tackle these successfully from a leadership point of view.

## Overview of structure

We have structured the book principally in three parts.

Part One, 'The underpinning theory', comprises five chapters and aims to set out a wide range of ideas and approaches to managing change. Chapter 1 draws together the key theories of how individuals go through change and how to manage them and their responses to change. Chapter 2 compares different types of team, and examines

the process of team development and also the way in which different types of team contribute to the organizational change process and issues that might arise. Chapter 3 looks at a wide range of approaches to organizational change, using organizational metaphor to show how these are interconnected and related. Chapter 4 examines leadership of change, the different dimensions of this, qualities and skills that a leader needs to become a successful leader of change, and how to lead change processes and sustain yourself throughout. Chapter 5 looks at the critical role and nature of the agent of change, both from a competency perspective and also from the use of the self as an instrument for change.

These chapters enable the reader to develop a broader understanding of the theoretical aspects of individual, team and organizational change, and to learn more about a variety of perspectives on how best to be a leader of change. This lays firm foundations for anyone wanting to learn about new approaches to managing change with a view to becoming more skilled in this area.

Part Two, 'The applications', focuses on specific change scenarios with a view to giving guidelines, hints and tips to those involved in these different types of change process. These chapters are illustrated with case studies and make reference to the models and methods discussed in Part One. Chapter 6 looks at organizational restructuring, why it goes wrong, and how to get it right. Chapter 7 tackles mergers and acquisitions by categorizing the different types of activity and examining the learning points resulting from research into this area. Chapter 8 examines cultural change by looking at culture through a number of perspectives and asking the question as to how you might facilitate cultural change. Chapter 9 explores digital transformation – what it is, how to develop a strategy and governance structure, and the change management and leadership imperatives. Chapter 10 addresses the critical issue of how becoming a sustainable organization can help counter the impact of climate change.

One of the clear things that has emerged for us in helping others lead and manage change is the tension between overly planning and controlling change on the one hand, and the fact that change is often not simple enough to plan or control on the other. In Part Three, Chapter 11 looks at the whole area of complexity science and how it can inform your approach when managing complex change. Chapter 12 looks at leading change in times of uncertainty. Chapter 13 looks at emerging issues and impacts that project- and programme-led approaches are having, and what could be improved to increase the chances of sustainable success.

Please do not read this book from beginning to end in one sitting. It is too much to take in. We recommend that if you prefer a purely pragmatic approach you should start by reading Part Two. You will find concrete examples and helpful guidelines. After that, you might like to go back into the theory in Part One to understand the choices available to you as a leader of change.

**Table 0.1** Where to read about individual, team and organizational change, and leading change

|                | Chapter 1  | Chapter 2 | Chapter 3      | Chapter 4      | Chapter 5    | Chapter 6     | Chapter 7              | Chapter 8          | Chapter 9              | Chapter 10                      | Chapter 11     | Chapter 12                        | Chapter 13                 |
|----------------|------------|-----------|----------------|----------------|--------------|---------------|------------------------|--------------------|------------------------|---------------------------------|----------------|-----------------------------------|----------------------------|
| Type of Change | Individual | Team      | Organizational | Leading change | Change agent | Restructuring | Mergers & acquisitions | Culture and change | Digital transformation | Becoming a sustainable business | Complex change | Leading change in uncertain times | Project- and programme-led |
| Individual     | xxx        |           | x              | x              | x            | xx            | x                      | x                  | x                      | x                               | x              | x                                 | x                          |
| Team           |            | xxx       | x              | x              | x            | xx            | x                      | x                  | x                      | x                               | x              | x                                 | x                          |
| Organizational | x          | x         | xxx            | x              | x            | xx            | xx                     | xx                 | xx                     | xx                              | xx             | xx                                | xx                         |
| Leading change | x          | x         | x              | xxx            | xx           | xx            | x                      | x                  | xx                     | xx                              | xx             | xx                                | x                          |

Likewise, if you are more interested in understanding the theoretical underpinning of change, then read Part One first. You will find a range of approaches together with their associated theories of change. After that, you might like to read Part Two to find out how the theory can be applied in real situations.

## Message to readers

We wish you well in all your endeavours to initiate, adapt to and survive change. We hope the book provides you with some useful ideas and insights, and we look forward to hearing about your models, approaches and experiences, and to your thoughts on the glaring gaps in this book. We are sure we have left lots of important things out!

Do e-mail us with your comments and ideas, or visit us at:

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# Part One

# The underpinning theory

*All appears to change when we change.*

HENRI AMIEL

**I**ndividual change is at the heart of everything that is achieved in organizations. Once individuals have the motivation to do something different, the whole world can begin to change. The conspiracy laws in the UK recognize this capacity for big change to start small. In some legal cases, the merest nod or a wink between two people seems to be considered adequate evidence to indicate a conspiratorial act. In some respects this type of law indicates the incredible power that individuals have within them to challenge existing power strongholds and alter the way things are done.

However, individuals are to some extent governed by the norms of the groups they belong to, and groups are bound together in a whole system of networks of people that interconnect in various habitual ways. So the story is not always that simple. Individuals, teams and organizations all play a part in the process of change, and leaders have a particularly onerous responsibility: that is, making all this happen.

We divided this book into three parts so that readers could have the option either to start their journey through this book by first reading about the theory of change, or to begin by reading about the practical applications. We understand that people have different preferences. However, we do think that a thorough grounding in the theory is useful to help each person to untangle and articulate his or her own assumptions about how organizations work and how change occurs. Do you, for instance, think that organizations can be changed by those in leadership positions to

reach a predetermined end state, or do you think that people in organizations need to be collectively aware of the need for change before they can begin to adapt? Assumptions can be dangerous things when not explored, as they can restrict your thinking and narrow down your options.

Part One comprises five chapters. These have been chosen to represent five useful perspectives on change: individual change, team change, organizational change, leading change and the role of the change agent. Chapter 1 draws together the four key approaches to understanding individual change. These are the behavioural, cognitive, psychodynamic and humanistic psychology approaches. This chapter also looks at the connection between personality and change, and how to enable change, develop resilience and manage any resistance in others when you are acting in a managerial role.

Chapter 2 identifies the main elements of team and group theory that we believe are useful to understand when managing change. This chapter compares different types of team, looks at the area of team effectiveness, and examines the process of team development. The composition of the team and the effect this has on team performance are also examined, as well as the way in which different types of team contribute to the organizational change process. Team dysfunction and team resilience are also discussed.

Chapter 3 looks at a wide range of approaches to organizational change, using organizational metaphor to show how these are interconnected and related. Familiar and unfamiliar frameworks for understanding and implementing change are described and categorized by metaphor to enable the underpinning assumptions to be examined, and we give tips and guidance on how to use these frameworks.

Chapter 4 examines the leadership of change. We start by looking at the difference between management and leadership and the different ways of looking at leadership as a discipline. This includes strategic leadership, emotionally intelligent leadership, collaborative leadership and mindful leadership. It also examines transformational leadership, the skills and qualities of successful leaders, leading change processes, leading 'flow' and sustaining yourself as a leader.

Chapter 5 looks at the role of the change agent, highlighting areas of competence needed and exploring the unique role that the agent of change plays in the change process, particularly what is going on inside for them; how they can use that to great effect; and how they might need help in the change process itself.

# 01

# Individual change

## Introduction

---

This chapter draws together the key theories of how individuals go through change, using various models to explore this phenomenon. The aims of this chapter are to give managers and others experiencing or implementing change an understanding of the change process and how it impacts individuals, and strategies to use when helping people through change to ensure results are achieved.

This chapter covers the following topics, each of which takes a different perspective on individual change:

- Learning and the process of change – in what ways can models of learning help us understand individual change and develop ourselves?
- The behavioural approach to change – how can we change people’s behaviour?
- The cognitive approach to change – how change can be made attractive to people and how people can achieve the results that they want.
- The psychodynamic approach to change – what’s actually going on for people as they experience change, and what are the implications for their health and well-being?
- The humanistic psychology approach to change – how can people maximize the benefits of change?
- Personality and change – how do we differ in our responses to change?
- Managing change in self and others – if we can understand people’s internal experience and we know what changes need to happen, what is the best way to effect change and how can individuals build their resilience to change? Why may people resist change, what forms does resistance take, and how can we manage resistance effectively?

As the box points out, a key point for managers of change is to understand the distinction between the changes being managed in the external world and the concurrent psychological transitions that are experienced internally by people (including managers of change themselves). Throughout the book we will draw upon both seminal authors and the latest research and practice.

## FOOD FOR THOUGHT

It was the ancient Greek philosopher, Heraclitus, who maintained that you never step into the same river twice. Of course most people interpret that statement as indicating that the river – that is, the external world – never stays the same, is always changing: constant flux, in Heraclitus's words again. However, there is another way of interpreting what he said. Perhaps the 'you' who steps into the river today is not the same 'you' who will step into the river tomorrow. This interpretation – which might open up a whole can of existential and philosophical worms – is much more to do with the inner world of experience than with the external world of facts and figures.

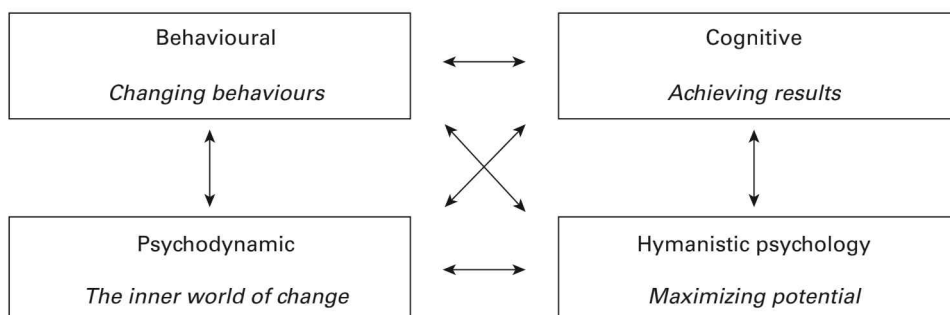
Immediately, therefore, we have two ways of looking at and responding to change: the changes that happen in the outside world and those changes that take place in the internal world. Often though, it is the internal reaction to external change that proves the most fruitful area of discovery, and it is often in this area that we find the reasons external changes succeed or fail.

To demonstrate this we will draw on four approaches to change. These are the behavioural, the cognitive, the psychodynamic and the humanistic psychological approaches, as shown in Figure 1.1.

We will also look at Edgar Schein's analysis of the need to reduce anxiety about the change by creating psychological safety. This is further illuminated by discussion of the various psychodynamics that come into play when individuals are faced with change, loss and renewal.

Finally, we will explore tools and techniques that can be used to make the transition somewhat smoother and somewhat quicker. This will include a summary of

**Figure 1.1** Four approaches to individual change



how the Myers-Briggs Type Indicator™, which is used to develop personal and interpersonal awareness, can illuminate the managerial challenges at each stage of the individual change process. But first we will begin our exploration by looking at how individuals learn.

## Learning and the process of change

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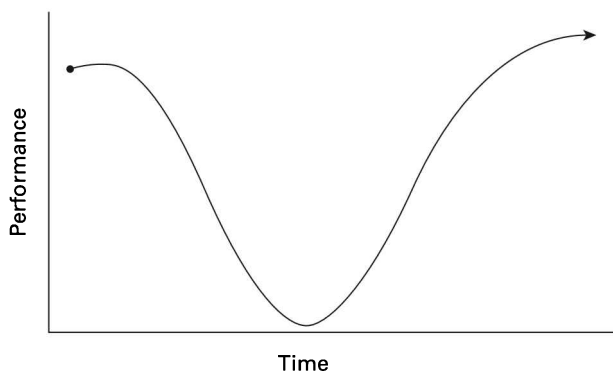
Buchanan and Huczynski (2010) define learning as ‘the process of acquiring knowledge through experience which leads to a lasting change in behaviour’. Learning is not just an acquisition of knowledge, but the application of it through doing something different in the world.

Many of the change scenarios that you find yourself in require you to learn something new, or to adjust to a new way of operating, or to unlearn something. Obviously this is not always the case – a company takes over your company but retains the brand name, the management team and it is ‘business as usual’ – but often in the smallest of changes you need to learn something new: your new boss’s likes and dislikes, for example.

A useful way of beginning to understand what happens when we go through change is to take a look at what happens when we first start to learn something new. Let us take an example of driving your new car for the first time. For many people the joy of a new car is tempered by the nervousness of driving it for the first time. Getting into the driving seat of your old car is an automatic response, as is doing the normal checks, turning the key and driving off. However, with a new car all the buttons and control panels might be in different positions. One can go through the process of locating them either through trial and error, or perhaps religiously reading through the driver’s manual first. But that is only the beginning, because you know that when you are actually driving any manner of things might occur that will require an instantaneous response: sounding the horn, flashing your lights, putting the hazard lights on or activating the windscreen wipers.

All these things you would have done automatically but now you need to think about them. Thinking not only requires time, it also requires a ‘psychological space’ which it is not easy to create when driving along at your normal speed. Added to this is the nervousness you may have about it being a brand new car and therefore needing that little bit more attention so as to avoid any scrapes to the bodywork.

As you go through this process, an external assessment of your performance would no doubt confirm a reduction in your efficiency and effectiveness for a period of time. And if one were to map your internal state your confidence levels would most likely dip as well. Obviously this anxiety falls off over time (see Figure 1.2). This is based on your capacity to assimilate new information, the frequency and regularity with which you have changed cars, and how often you drive.

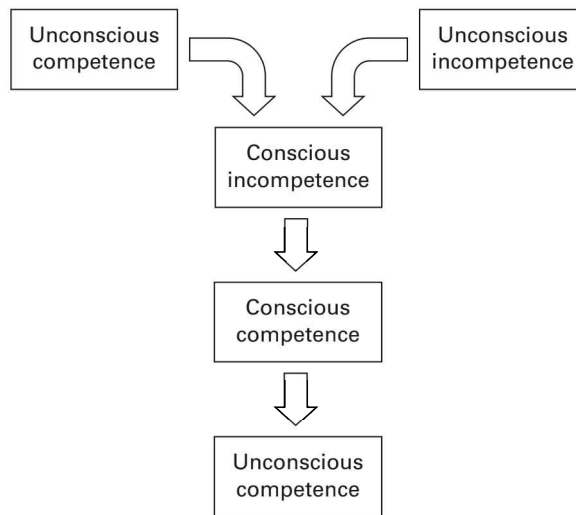
**Figure 1.2** The learning dip

### ***Conscious and unconscious competence and incompetence***

Another way of looking at what happens when you learn something new is to view it from a Gestalt perspective. The Gestalt psychologists suggested that people have a worldview that entails some things being in the foreground and others being in the background of their consciousness.

To illustrate this, the room where I am writing this looks out on to a gravel path which leads into a cottage garden sparkling with the sun shining on the frost-covered shrubs. Before I chose to look up, the garden was tucked back into the recesses of my consciousness. (I doubt whether it was even in yours.) By focusing attention on it I brought it into the foreground of my consciousness. Likewise all the colours in the garden are of equal note, until someone mentions white and I immediately start to notice the snowdrops, the white narcissi and the white pansies. They have come into my foreground.

Now in those examples it does not really matter what is fully conscious or not. However, in the example of driving a new car for the first time, something else is happening. Assuming that I am an experienced driver, many of the aspects of driving, for me, are unconscious. All of these aspects I hopefully carry out competently. So perhaps I can drive for many miles on a motorway, safe in the knowledge that a lot of the activities I am performing I am actually doing unconsciously. We might say I am unconsciously competent. However, as soon as I am in the new situation of an unfamiliar car I realize that many of the things I took for granted I cannot now do as well as before. I have become conscious of my incompetence. Through some trial and error and some practice and some experience I manage – quite consciously – to become competent again. But it has required focus and attention. All these tasks have been in the forefront of my world and my consciousness. It will only be after a

**Figure 1.3** Unconscious competence

further period of time that they recede to the background and I become unconsciously competent again (Figure 1.3).

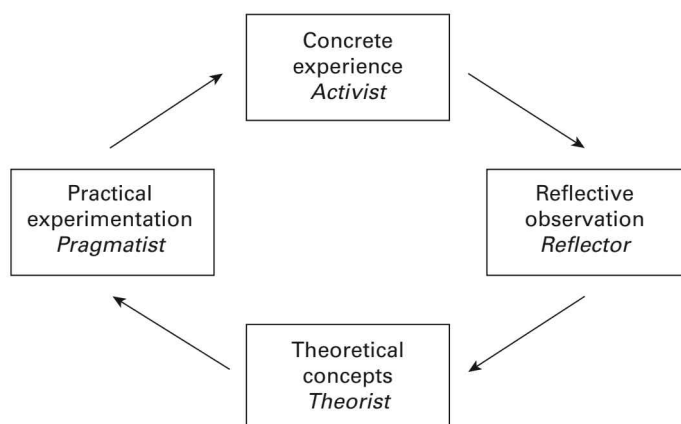
Of course there is another cycle: not the one of starting at unconscious competence, but one of starting at unconscious incompetence! This is where you do not know what you do not know, and the only way of realizing is by making a mistake (and reflecting upon it), or when someone kind enough and brave enough tells you. From self-reflection or from others' feedback your unconscious incompetence becomes conscious, and you are able to begin the cycle of learning.

### ***Kolb's learning cycle***

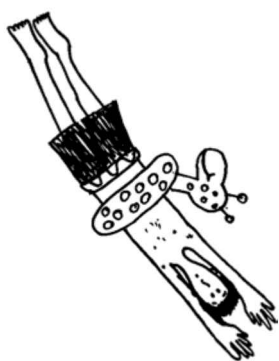
David Kolb (1984) developed a model of experiential learning, which unpacked how learning occurs, and what stages a typical individual goes through in order to learn. It shows that we learn through a process of doing and thinking (see Figure 1.4). The labels of activist, reflector, theorist and pragmatist are drawn from the work of Honey and Mumford (1992) who built on Kolb's work.

Following on from the earlier definition of learning as 'the process of acquiring knowledge through experience which leads to a change in behaviour', Kolb saw this as a cycle through which the individual has a concrete experience. The individual does something, reflects upon his or her specific experience, makes some sense of the experience by drawing some general conclusions, and plans to do things differently in the future. Kolb would argue that true learning could not take place without someone going through all stages of the cycle.



**Figure 1.4** Kolb's learning cycle

In addition, research by Kolb suggested that different individuals have different sets of preferences or styles in the way they learn. Some of us are quite activist in our approach to learning. We want to experience what it is that we need to learn. We want



to dive into the swimming pool and see what happens (immerse ourselves in the task). Some of us would like to think about it first! We like to reflect, perhaps on others' experience, before we take action. The theorists might like to see how the act of swimming relates to other forms of sporting activity, or investigate how other mammals take the plunge. The pragmatists among us have a desire to relate what is happening to their own circumstances. They are interested in how the act of swimming will help them to achieve their goals.

Not only do we all have a learning preference but also the theory suggests that we can get stuck within our preference.

### FOOD FOR THOUGHT

If you were writing a book on change and wanted to maximize the learning for all of your readers perhaps you would need to:

- encourage experimentation (activist);
- ensure there were ample ways of engendering reflection through questioning (reflector);

- ensure the various models were well researched (theorist);
- illustrate your ideas with case studies and show the relevance of what you are saying by giving useful tools, techniques and applications (pragmatist).

As a change manager, all four of the learning cycle elements need to be included in any change implementation.

So activists may go from one experience to the next, not thinking to review how the last one went or planning what they would do differently. The reflector may spend inordinate amounts of time conducting project and performance reviews, but not necessarily embedding any learning into the next project. Theorists can spend a lot of time making connections and seeing the bigger picture by putting the current situation into a wider context, but they may not actually get around to doing anything. Pragmatists may be so intent on ensuring that it is relevant to their job that they can easily dismiss something that does not at first appear that useful.

## New perspectives on learning

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In *Essential Leadership* (Cameron and Green, 2017) we explored the different ways in which leaders learn and mature, drawing on the works of Kegan (1994), Torbert (2004) and Petrie (2014). Many examples are given, which offer very useful guidelines for both individuals and leaders of change wishing to take their skills to the next level (see box overleaf, which sets out Kegan's framework).

Bennis's perspective on becoming a leader and the development of emotional intelligence both help here (see Chapter 4 on leading change). In essence the individual needs to 'take stock' through personal reflection and developing an accurate self-assessment of who they are and with what capabilities. They then require interaction and feedback from colleagues across the organization (and indeed from outside) to help establish what they are doing effectively and what they are either not doing effectively or not doing at all. Worth bearing in mind is the previous discussion on unconscious incompetence – we don't know what we don't know – hence the importance of self-reflection and connecting with others for their observations and insights.

To support Dependent-Conformers to move from Diplomats to Experts, help them focus on:

- finding out about the perspectives of others, that they are different and varied;
- experimenting in small ways with different ways of doing things;
- imagining what others might want or feel, and what might help them;
- understanding that any 'behavioural' difficulties are likely to be developmental rather than 'personality' problems;
- tuning in to their own emotions, noticing impulsive explosions or withdrawals.

To support Dependent-Conformers to move towards being Independent-Achievers, help them focus on:

- authoring a plan or way forward, without simply adopting another's framework or standards;
- questioning authorities and accepted wisdoms, assumed or real;
- staying alert to self-generated stress caused by striving to meet imagined/perfectionist standards;
- getting interested in why things are the way they are; why people say the things they do;
- understanding every encounter and interaction holds new perspectives; staying open to what's really going on.

To support the move from Independent-Achiever to Interdependent-Collaborator, help them focus on:

- asking for and welcoming all personal feedback rather than needing to make it 'fit' with an existing self-image;
- experimenting with sharing decision making and/or considering different solutions that deliver different levels of satisfaction for the various parties involved;
- starting to track change at multiple levels, from multiple 'angles' – personal, team, departmental, whole business...;
- becoming more aware of one's own reactions to others, including unearthing appreciations and inquiring into irritations;
- practising 'immediacy': checking in, maybe twice a day, on one's mental, emotional and physical state.

The move within Interdependent-Collaborator from Strategist to Alchemist is a more mysterious, less well-charted process. However, examples of developmental 'signs' are:

- developing great humility, and owning own foibles and darker sides;
- stepping back and comparing integrating systems in a fluid, non-attached way;
- realizing the futility of map-mapping and striving for higher states...;
- recognizing the 'central functioning' role of the ego and seeing through own attempts at 'meaning-making';
- surrendering to ambiguity, seeing it as a generator of creativity.

**SOURCE** Cameron and Green (2017)

### **STOP AND THINK!**

**Q 1.1** You download a new app in the office or in your home. How do you go about learning about it?

- Do you install it and start trying it out? (Activist)
- Do you watch as others show you how to use it? (Reflector)
- Do you learn about the background to it and the similarities with other programmes? (Theorist)
- Do you not bother experimenting until you find a clear purpose for it? (Pragmatist)

**Q 1.2** Survey the guidelines to develop Kegan's framework and select one activity to do this month. Commit to a work colleague and report back to them on the success or otherwise of your endeavour. And then select another one. . .

## **The behavioural approach to change**

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The behavioural approach to change, as the name implies, very much focuses on how one individual can change another individual's behaviour using reward and punishment, to achieve intended results. If the intended results are not being achieved, an analysis of the individual's behaviour will lead to an understanding of what is contributing to success and what is contributing to non-achievement. To elicit the preferred behaviour the individual must be encouraged to behave that way, and

discouraged from behaving any other way. This approach has its advantages and disadvantages.

For example, an organization is undergoing a planned programme of culture change, moving from being an inwardly-focused bureaucratic organization to a flat-



ter and more responsive customer-oriented organization. Customer-facing and back office staff will all need to change the way they behave towards customers and towards each other to achieve this change. A behavioural approach to change will focus on changing the behaviour of staff and managers. The objective will be behaviour change, and there will not necessarily be any attention given to improving processes, improving relationships or increasing involvement in goal setting. There will be no interest taken in how individuals specifically experience that change.

This whole field is underpinned by the work of a number of practitioners. The names of Pavlov and Skinner are perhaps the most famous. Ivan Pavlov noticed while researching the digestive system of dogs that when his dogs were connected to his experimental apparatus and offered food they began to salivate. He also observed that, over time, the dogs started to salivate when the researcher opened the door to bring in the food. The dogs had learnt that there was a link between the door opening and being fed. This is now referred to as classical conditioning.

## CLASSICAL CONDITIONING

*Unconditioned stimulus (food) leads to an unconditioned response (salivation).*

*If neutral stimulus (door opening) and unconditioned stimulus (food) are associated, neutral stimulus (now a conditioned stimulus) leads to unconditioned response (now a conditioned response).*

Pavlov (1928)

Further experimental research led others to realize that cats could learn how to escape from a box through positive effects (rewards) and negative effects (punishments). Skinner (1953) extended this research into operant conditioning, looking at the effects of behaviours, not just at the behaviours themselves. His experiments with rats led him to observe that they soon learnt that an accidental operation of a lever led to there being food provided. The reward of the food then led to the rats repeating the behaviour.

**Table 1.1** Rewards and punishments

| <b>Actions</b>     | <b>Positive</b>                                                                                                                                                                             | <b>Negative</b>                                                                                                                                                |
|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Addition</b>    | <b>Positive reinforcement</b><br>Desired behaviour is deliberately associated with a reward, so that the behaviour is displayed more frequently.                                            | <b>Negative addition</b><br>A punishment is deliberately associated with undesired behaviour, reducing the frequency with which the behaviour is displayed.    |
| <b>Subtraction</b> | <b>Positive subtraction</b><br>An unpleasant stimulus previously associated with the desired behaviour is removed, increasing the frequency with which that desired behaviour is displayed. | <b>Negative subtraction</b><br>A pleasant stimulus previously associated with undesired behaviour is removed, which decreases the frequency of such behaviour. |

Using the notion of rewards and punishments, additions and subtractions of positive and negative stimuli, four possible situations arise when you want to encourage a specific behaviour, as demonstrated in Table 1.1.

### **STOP AND THINK!**

**Q 1.3** What rewards and what ‘punishments’ operate in your organization?

How effective are they in bringing about change?

In what ways does your organization reward undesired behaviours and not reward or ‘punish’ desirable behaviours?

In what ways may behaviourism help us with individuals going through change? In any project of planned behaviour change a number of steps will be required:

- **Step 1:** The *identification* of the behaviours that impact performance.
- **Step 2:** The *measurement* of those behaviours. How much are these behaviours currently in use?
- **Step 3:** A *functional analysis* of the behaviours – that is, the identification of the component parts that make up each behaviour.
- **Step 4:** The generation of a *strategy of intervention* – what rewards and punishments should be linked to the behaviours that impact performance.
- **Step 5:** An *evaluation* of the effectiveness of the intervention strategy.

## ***Reinforcement strategies***

When generating reward strategies at Step 4 above, the following possibilities should be borne in mind.

### **Financial reinforcement**

Traditionally financial reinforcement is the most explicit of the reinforcement mechanisms used in organizations today, particularly in sales-oriented cultures. The use of bonus payments, prizes and other tangible rewards is common. To be effective the financial reinforcement needs to be clearly, closely and visibly linked to the behaviours and performance that the organization requires.

A reward to an outbound call centre employee for a specific number of appointments made on behalf of the sales force would be an example of a reinforcement closely linked to a specified behaviour. A more sophisticated system might link the reward to not only the number of appointments but also the quality of the subsequent meeting and the quality of the customer interaction.

An organization-wide performance bonus unrelated to an individual's contribution to that performance would be an example of a poorly linked reinforcement.

### **Non-financial reinforcement**

**Feedback** Non-financial reinforcement tends to take the form of feedback given to an individual about performance on specific tasks. The more specific the feedback is, the more impactful the reinforcement can be. This feedback can take both positive and negative forms. This might well depend on the organizational culture and the managerial style of the boss. This feedback perhaps could take the form of a coaching conversation, where specific effective behaviours are encouraged, and specific ineffective behaviours are discouraged and alternatives generated.

**Social reinforcement** Social reinforcement takes the form of interpersonal actions: that is, communications of either a positive or negative nature. Praise, compliments, general recognition, perhaps greater (or lesser) attention can all act as a positive reinforcement for particular behaviours and outcomes. Similarly social reinforcement could also take the form of 'naming and shaming' for ineffective performance.

Social reinforcement is not only useful for performance issues, but can be extremely useful when an organizational culture change is under way. Group approval or disapproval can be a determining factor in defining what behaviours are acceptable or unacceptable within the culture. New starters in an organization often spend quite some time working out which behaviours attract which reactions from bosses and colleagues. Schein (2010) has written extensively on behaviours that embed change (see Chapter 8).

## Motivation and behaviour

The pure behaviourist view of the world, prevalent in industry up to the 1960s, led to difficulties with motivating people to exhibit the ‘right’ behaviours. This in turn led researchers to investigate what management styles worked and did not work.

In 1960 Douglas McGregor published his seminal book *The Human Side of Enterprise*. In it he described his Theory X and Theory Y, which looked at underlying management assumptions about an organization’s workforce, as demonstrated in Table 1.2.

Theory X was built on the assumption that workers are not inherently motivated to work, seeing it as a necessary evil and therefore needing close supervision. Theory Y stated that human beings generally have a need and a desire to work and, given the right environment, are more than willing to contribute to the organization’s success. McGregor’s research appeared to show that those managers who exhibited Theory Y beliefs were more successful in eliciting good performance from their people.

Frederick Herzberg also investigated what motivated workers to give their best performance. He was an American clinical psychologist who suggested that workers have two sets of drives or motivators: a desire to avoid pain or deprivation (hygiene factors) and a desire to learn and develop (motivators) (see Table 1.3). His work throughout the 1950s and 1960s suggested that many organizations provided the former but not the latter.

An important insight of his was that the hygiene factors did not motivate workers, but that their withdrawal would demotivate the workforce. Although later research has not fully replicated his findings, Herzberg’s seminal, ‘One more time: How do you motivate employees?’ (1968) has generated more reprints than any other *Harvard Business Review* article. Both McGregor’s and Herzberg’s work continue to be validated by current research.

### STOP AND THINK!

- Q 1.4** What are the underlying assumptions built into the behaviourist philosophy, and how do they compare to McGregor’s theories?
- Q 1.5** In any change programme, what added insights would Herzberg’s ideas on hygiene factors and motivators bring?
- Q 1.6** If one of your team members is not good at giving presentations, how might you address this using behaviourist ideas?



**Table 1.2** Theory X and Theory Y

| Theory X assumptions                        | Theory Y assumptions                                                                          |
|---------------------------------------------|-----------------------------------------------------------------------------------------------|
| People dislike work                         | People regard work as natural and normal                                                      |
| They need controlling and direction         | They respond to more than just control or coercion, for example recognition and encouragement |
| They require security                       | They commit to the organization's objectives in line with the rewards offered                 |
| They are motivated by threats of punishment | They seek some inner fulfilment from work                                                     |
| They avoid taking responsibility            | Given the right environment people willingly accept responsibility and accountability         |
| They lack ambition                          | People can be creative and innovative                                                         |
| They do not use their imagination           |                                                                                               |

**SOURCE** McGregor (1960)

**Table 1.3** Herzberg's motivating factors

| Hygiene factors                   | Motivators                      |
|-----------------------------------|---------------------------------|
| Pay                               | Achievement                     |
| Company policy                    | Recognition                     |
| Quality of supervision/management | Responsibility                  |
| Working relations                 | Advancement                     |
| Working conditions                | Learning                        |
| Status                            | The type and nature of the work |
| Security                          |                                 |

**SOURCE** Adapted from Herzberg (1968)

## ***Summary of the behavioural approach***

If you were to approach change from a behavioural perspective you are more likely to be acting on the assumption of McGregor's Theory X: the only way to motivate and align workers to the change effort is through a combination of rewards and punishments. You would spend time and effort ensuring that the right reward strategy and performance management system was in place and was clearly linked to an individual's behaviours. Herzberg's ideas suggest that there is something more at play than reward and punishment when it comes to motivating people. That is not to say that the provision of Herzberg's motivators cannot be used as some sort of reward for correct behaviour.

## The cognitive approach to change

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Cognitive psychology developed out of a frustration with the behaviourist approach. The behaviourists focused solely on observable behaviour. Cognitive psychologists were much more interested in learning about developing the capacity for language and a person's capacity for problem solving. They were interested in things that happen within a person's brain. These are the internal processes which behavioural psychology did not focus on.

Cognitive theory is founded on the premise that our emotions and our problems are a result of the way we think. Individuals react in the way that they do because of the way they appraise the situation they are in. By changing their thought processes, individuals can change the way they respond to situations.

*People control their own destinies by believing in and acting on the values and beliefs that they hold.*

R Quackenbush, Central Michigan University

Much groundbreaking work has been done by Albert Ellis on rational-emotive therapy (Ellis and Grieger, 1977) and Aaron Beck on cognitive therapy (1970). Ellis emphasized:

[T]he importance of 1) people's conditioning themselves to feel disturbed (rather than being conditioned by parental and other external sources); 2) their biological as well as cultural tendencies to think 'crookedly' and to needlessly upset themselves; 3) their uniquely human tendencies to invent and create disturbing beliefs, as well as their tendencies to upset themselves about their disturbances; 4) their unusual capacity to change their cognitive, emotive and behavioural processes so that they can: a) choose to react differently from the way they usually do; b) refuse to upset themselves about almost anything that may occur, and c) train themselves so that they can semi-automatically remain minimally disturbed for the rest of their lives.

(Ellis, in Henrik, 1980)

*If you keep doing what you're doing you'll keep getting what you get.*

Anon

Beck developed cognitive therapy based on ‘the underlying theoretical rationale that an individual’s affect (moods, emotions) and behaviour are largely determined by the way in which he construes the world; that is, how a person thinks determines how he feels and reacts’ (A John Rush, in Henrik, 1980).

Belief system theory emerged principally from the work of Rokeach through the 1960s and 1970s. He suggested that an individual’s self-concept and set of deeply held values were both central to that person’s beliefs and were his or her primary determinant. Thus individuals’ values influence their beliefs, which in turn influence their attitudes. Individuals’ attitudes influence their feelings and their behaviour – ‘an enduring belief that a specific mode of conduct or end-state of existence is personally or socially preferable to alternative modes of conduct or end-states of existence’ (Rokeach, 1973: 5).

Out of these approaches has grown a way of looking at change within individuals in a very purposeful way. Essentially individuals need to look at the way they limit themselves through adhering to old ways of thinking, and replace that with new ways of being.

This approach is focused on the results that you want to achieve, although crucial to their achievement is ensuring that there is alignment throughout the cause and effect chain. The cognitive approach does not refer to the external stimuli and the responses to the stimuli. It is more concerned with what individuals plan to achieve and how they go about this.

## Achieving results

Key questions in achieving results in an organizational context, as shown in Figure 1.5, are:

- Self-concept and values: what are my core values and how do they dovetail with those of my organization?
- Beliefs and attitudes: what are my limiting beliefs and attitudes and with what do I replace them?
- Feelings: what is my most effective state of being to accomplish my goals and how do I access it?
- Behaviour: what specifically do I need to be doing to achieve my goals and what is my first step?
- Results: what specific outcomes do I want and what might get in the way?

**Figure 1.5** Achieving results

Self-concept & values ⇌ Beliefs ⇌ Attitudes ⇌ Feelings ⇌ Behaviour ⇌ Results

## ***Setting goals***

The cognitive approach advocates the use of goals. The assumption is that the clearer the goal, the greater the likelihood of achievement. Consider the following case study. Graduates at Yale University in the United States were surveyed over a period of 20 years. Of those surveyed, 3 per cent were worth more than the other 97 per cent put together. There were no correlations with parental wealth, gender or ethnicity. The only difference between the 3 per cent and the 97 per cent was that the former had clearly articulated and written goals, and the latter grouping did not. (This is perhaps just an apocryphal story, as the details of this case study are much-quoted on many ‘positive thinking’ websites but the current authors have been unable to trace the research back to where it should have originated at Yale.)

However, research undertaken by one of the authors (Green, 2001) into what makes for an outstanding sales person suggests that in the two key areas of business focus and personal motivation, goal setting looms large. The outstanding sales people had clearer and more challenging business targets that they set themselves. These were coupled with very clear personal goals as to what the sales person wanted to achieve personally with the rewards achieved by business success.

This is further backed up by research conducted by Richard Bandler and John Grinder (1979), creators of neuro-linguistic programming, who found that the more successful psychotherapists were those who were able to get their clients to define exactly what wellness looked like. This in turn led to the idea of a ‘well-formed outcome’ that enabled significantly better results to be achieved by those who set clear goals as opposed to those with vague goals. The goals themselves were also more ambitious.

## ***Making sense of our results***

The cognitive approach suggests we pay attention to the way in which we talk to ourselves about results. For example, after a particularly good performance one person might say things such as, ‘I knew I could do it, I’ll be able to do that again.’ Another person might say something like, ‘That was lucky, I doubt whether I’ll be able to repeat that.’ Likewise, after a poor or ineffective performance our first person might say something like, ‘I could do that a lot better next time’, while the second person might say, ‘I thought as much, I knew that it would turn out like this.’

Once we have identified our usual way of talking to ourselves we can look at how these internal conversations with ourselves limit us, then consider changing the script.

### FOOD FOR THOUGHT

Reflect upon a time when you did not achieve one of your results:

- What were you saying to yourself that might have been having a negative impact?
- What was your limiting belief?
- What might an opposite, more liberating, belief be?
- What might it be like to hold the new belief?
- In what ways might your behaviour change as a result?
- What results would you achieve as a consequence?

## *Techniques for change*

The cognitive approach has generated numerous techniques for changing the beliefs of people and thereby improving their performance. These include the following.

### Positive listings

Simply list all the positive qualities you have, such as good feelings, good experiences, good results, areas of skills, knowledge and expertise. By accepting that these are all part of you, the individual, you can reinforce all these positive thoughts, feelings and perceptions, which then lead to enhanced beliefs.

### Affirmations

An affirmation is a positive statement describing the way that you want to be. It is important that the statement is:

- Personal: 'I am always enthusiastic when it comes to work!' It is you who this is about, and it is as specific as you can make it.
- Present tense: 'I **am** always enthusiastic when it comes to work!' It is not in the future, it is right now.
- Positive: 'I am always **enthusiastic** when it comes to work!' It describes a positive attribute, not the absence of a negative attribute.
- Potent: 'I am always **enthusiastic** when it comes to **work**!' Use words that mean something to you.

Try writing your own affirmation. Put it on a card and read it out 10 times a day. As you do so, remember to imagine what you would feel, what you would see, what you would hear if it were true.

## Visualizations

Visualizations are very similar to affirmations but focus on a positive, present mental image. Effective visualizations require you to enter a relaxed state where you imagine a specific example of the way you want to be. You imagine what you and others would see, what would be heard and what would be felt. Using all your senses you imagine yourself achieving the specific goal. You need to practise this on a regular basis.

## Reframing

Reframing is a technique for reducing feelings and thoughts that impact negatively on performance. You get daunted when going in to see the senior management team? Currently you see them looming large, full of colour, vitality and menacing presence? Imagine them in the boardroom, but this time see them all in grey. Maybe shrink them in size, as you would a piece of clip art in a document that you are word-processing. Turn down their volume so they sound quite quiet. Run through this several times and see what effect it has on your anxiety.

## Pattern breaking

Pattern breaking is a technique of physically or symbolically taking attention away from a negative state and focusing it on a positive. Take the previous example of going into the boardroom to meet the senior management team (or it could be you as the senior manager going out to meet the staff and feeling a little awkward). You find you have slipped into being a bit nervous, and catch yourself. Put your hand in the shape of a fist to your mouth and give a deep cough, or at an appropriate moment clap your hands firmly together and say, 'Right, what I was thinking was...' Once you've done the distraction, you can say to yourself, 'That wasn't me. This is me right now.'

## Detachment

This is a similar technique with the same aim. Imagine a time when you did not like who you were. Perhaps you were in the grip of a strong negative emotion. See yourself in that state, then imagine yourself stepping outside or away from your body, leaving all that negativity behind and becoming quite calm and detached and more rational. When you next catch yourself being in one of those moods, try stepping outside of yourself.

## Anchoring and resource states

These are two techniques where you use a remembered positive experience from the past which has all the components of success. For example, remember a time in the past where you gave an excellent presentation. What did you see? What did

you hear? What did you feel? Really enter into that experience, then pinch yourself and repeat a word that comes to mind. Rerun the experience and pinch yourself and say the word. Now try it the other way, pinch yourself and say the word – and the experience should return. Before your next presentation, as you go into the room reconnect to the positive experience by pinching yourself and saying the word. Does it work? If it does not, simply try something else.

## Rational analysis

Rational analysis is a cognitive technique *par excellence*. It is based on the notion that our beliefs are not necessarily rational: ‘I could never do that’ or, ‘I’m always going to be like that’. Rational analysis suggests you write down all the reasons that are incorrect. You need to be specific and not generalize (for example, ‘I’m always doing that’ – *always?*). You need to set measurable criteria, objectively based, and you need to use your powers of logic. By continuously proving that this is an irrational belief you will eventually come to disbelieve it.

### STOP AND THINK!

- Q 1.7** What might the main benefits be of a cognitive approach?
- Q 1.8** What do you see as some of the limitations of this approach?
- Q 1.9** How might change agents use this approach for themselves, and for others?

## Summary of the cognitive approach

The cognitive approach builds on the behaviourist approach by putting behaviour into the context of beliefs, and focusing more firmly on outcomes. Many cognitive techniques are used in the field of management today, particularly in the coaching arena. This approach involves focusing on building a positive mental attitude and some stretching goals, backed up by a detailed look at what limiting beliefs produce behaviour that becomes self-defeating.

A drawback of the cognitive approach is the lack of recognition of the inner emotional world of the individual, and the positive and negative impact that this can have when attempting to manage change. Some obstacles to change need to be worked through, and cannot be made ‘ok’ by reframing or positive talk. Cognitive behaviour therapy (CBT) seeks to combine elements of both the behavioural and cognitive approaches. As we will see in the following section on the psychodynamic approach, during times of change powerful emotions can be released in people.

CBT is based on the understanding that ‘cognitions – our thoughts and beliefs – largely determine the way we feel. Many distressing emotions such as anger, anxiety, depression, guilt and low self-esteem are caused by cognitions that are negative or self-defeating’ (Edelman, 2006). CBT seeks to challenge the thoughts and beliefs that generate the feelings or, less directly, to shift behaviours that negatively contribute to those distressing emotions.

## The psychodynamic approach to change

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The idea that humans go through a psychological process during change became evident due to research published by Elizabeth Kübler-Ross (1969). The word ‘psychodynamic’ is based on the idea that when facing change in the external world, an individual can experience a variety of internal psychological states. As with the behavioural and cognitive approaches to change, research

into the psychodynamic approach began not in the arena of organizations, but for Kübler-Ross in the area of terminally ill patients. Later research showed that individuals going through changes within organizations can have very similar experiences, though perhaps less dramatic and less traumatic.

### ***The Kübler-Ross model***

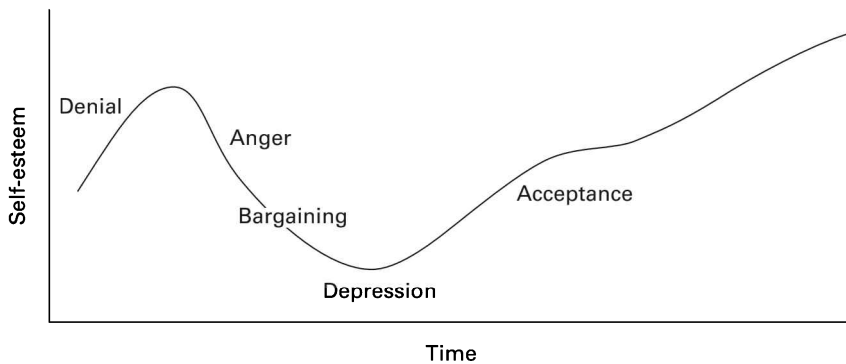
Kübler-Ross published her seminal work, *On Death and Dying* in 1969. This described her work with terminally ill patients and the different psychological stages that they went through in coming to terms with their situation. Clearly this research was considered to have major implications for people experiencing other types of profound change.

Kübler-Ross realized that patients – given the necessary conditions – would typically go through five stages as they came to terms with their prognosis. The stages were denial, anger, bargaining, depression and finally acceptance.

#### **Denial**

People faced with such potentially catastrophic change would often not be able to accept the information. They would deny it to themselves. That is, they would not actually take it in, but would become emotionally numb and have a sense of disbelief. Some would argue that this is the body’s way of allowing people to prepare themselves



**Figure 1.6** The process of change and adjustment

**SOURCE** Based on Kübler-Ross (1969)

for what is to follow. On a more trivial scale, some of us have experienced the numbness and disbelief when our favourite sports team is defeated. There is little that we can do but in a sense 'shut down'. We do not want to accept the news and expose ourselves to the heartache that that would bring.

## Anger

When people allow themselves to acknowledge what is happening they enter the second stage, typically that of anger. They begin to ask themselves questions like, 'Why me?', 'How could such a thing happen to someone like me? If only it had been someone else', 'Surely it's the doctors who are to blame – perhaps they've misdiagnosed' (back into denial). 'Why didn't they catch it in time?'

Anger and frustration can be focused externally, but for some of us it is ourselves we blame. Why did we not see it coming, give up smoking? 'It's always me who gets into trouble.'

In some ways we can see this process as a continuation of our not wanting to accept the change and of wanting to do something, anything, other than fully believe it. Anger is yet another way of displacing our real feelings about the situation.

## Bargaining

When they have exhausted themselves by attacking others (or themselves) people may still want to wrest back some control of the situation or of their fate. Kübler-Ross saw bargaining as a stage that people would enter now.

For those who themselves are dying, and also for those facing the death of a loved one, this stage can be typified by a conversation with themselves. Or if they are religious, this may be a conversation with God, which asks for an extension of time. 'If I promise to be good from now on, if I accept some remorse for any ills I have

committed, if I could just be allowed to live to see my daughter's wedding, I'll take back all the nasty things I said about that person if you'll only let them live.'

Once again we can see this stage as a deflection of the true gravity of the situation. This is bargaining, perhaps verging on panic. The person is desperately looking around for something, anything, to remedy the situation. 'If only I could get it fixed or sorted everything would be all right.'

## Depression

When it becomes clear that no amount of bargaining is going to provide an escape from the situation, perhaps the true momentousness of it kicks in. How might we react? Kübler-Ross saw her patients enter a depression at this stage. By depression we mean mourning or grieving for loss, because in this situation we will be losing all that we have ever had and all those we have ever known. We shall be losing our future, we shall be losing our very selves. We are at a stage where we are ready to give up on everything. We are grieving for the loss that we are about to endure.

For some, this depression can take the form of apathy or a sense of pointlessness. For others it can take the form of sadness, and for some a mixture of intense emotions and disassociated states.

## Acceptance

Kübler-Ross saw many people move out of their depression and enter a fifth stage of acceptance. Perhaps we might add the word 'quiet' to acceptance, because this is not necessarily a happy stage, but it is a stage where people can in some ways come to terms with the reality of their situation and the inevitability of what is happening to them. People have a sense of being fully in touch with their feelings about the situation, their hopes and fears, their anxieties. They are prepared.

Further clinical and management researchers have added to Kübler-Ross's five stages, in particular Fink (1967), Adams *et al* (1976) and Elrod and Tippet (2002) as follows and as illustrated in Figure 1.7:

- **shock and/or surprise:** really a subset of denial but characterized by a sense of disbelief;
- **denial:** total non-acceptance of the change and maybe 'proving' to oneself that it is not happening and hoping that it will go away;
- **anger:** experiencing anger and frustration but really in an unaware sort of way, that is, taking no responsibility for your emotions;
- **bargaining:** the attempt to avoid the inevitable;
- **depression:** hitting the lows and responding (or being unresponsive) with apathy or sadness;

- **acceptance:** the reality of the situation is accepted;
- **experimentation:** after having been very inward-looking with acceptance, the idea arrives that perhaps there are things ‘out there’: ‘Perhaps some of these changes might be worth at least thinking about. Perhaps I might just ask to see the job description of that new job’;
- **discovery:** as you enter this new world that has changed there may be the discovery that things are not as bad as you imagined. Perhaps the company was telling the truth when it said there would be new opportunities and a better way of working.

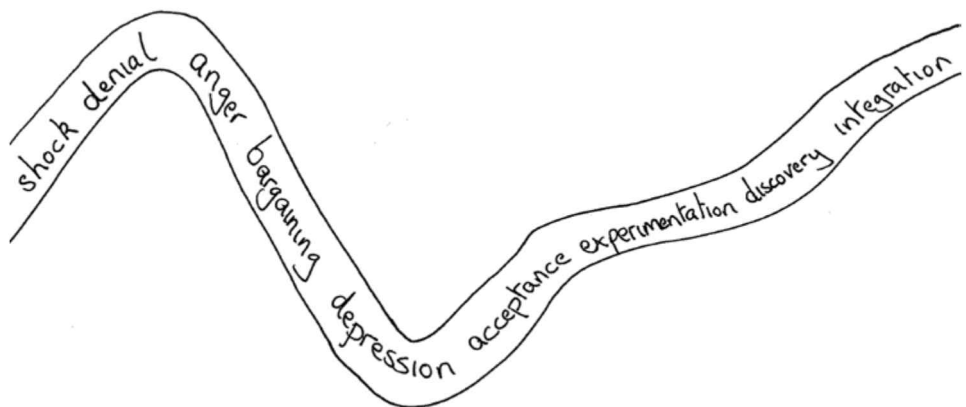
The authors have noted, in their coaching and consultancy practices, that there can be a preliminary stage around the initial stage of shock – one of **relief**: ‘At least I now know what’s happening, I had my suspicions, I wasn’t just being paranoid.’

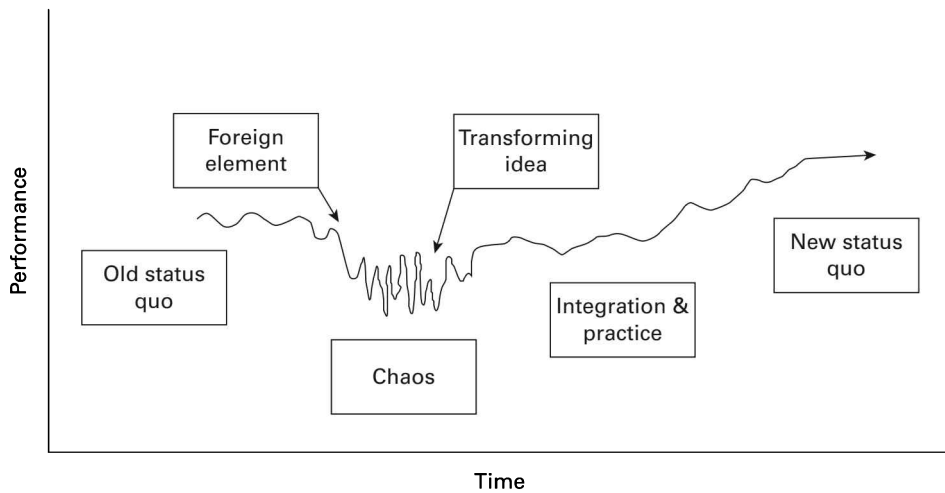
## Virginia Satir model

Virginia Satir, a family therapist, developed her model (Satir *et al*, 1991) after observing individuals and families experience a wide range of changes. Her model not only has a number of stages but also highlights two key events that disturb or move an individual’s experience along: the foreign element and the transforming idea; see Figure 1.8.

She describes the initial state as one of maintaining the status quo. We have all experienced periods within our lives – at home or at work – where day-to-day events continue today as they have done in previous days, and no doubt will be the same tomorrow. It may be that the organization you are working in is in a mature industry with well-established working practices which need little or no alteration. This is a state in which if you carry on doing what you are doing, you will continue to get

**Figure 1.7** Adams, Hayes and Hopson’s (1976) change curve



**Figure 1.8** Satir's model

what you are getting. The situation is one of relative equilibrium where all parts of the system are in relative harmony. That is not to say, of course, that there is no dissatisfaction. It is just that no one is effecting change.

This changes when something new enters the system. Satir calls it a 'foreign element' in the sense that a factor previously not present is introduced. As with the examples from the two previous models, it might be the onset of an illness or, in the world of work, a new chief executive with ideas about restructuring. Whatever the nature of this foreign element, it has an effect.

A period of chaos ensues. Typically this is internal chaos. The world itself may continue to function but the individual's own perceived world might be turned upside down, or inside out. He or she may be in a state of disbelief – denial or emotional numbness – at first, not knowing what to think or feel or how to act. Individuals may resist the notion that things are going to be different. Indeed they may actually try to redouble their efforts to ensure that the status quo continues as long as possible, even to the extent of sabotaging the new ideas that are forthcoming. Their support networks, which before had seemed so solid, might now not be trusted to help and support the individual. They may not know who to trust or where to go for help.

During this period of chaos, we see elements of anger and disorganization permeating the individual's world. Feelings of dread, panic and despair are followed by periods of apathy and a sense of pointlessness. At moments like this it may well seem like St John of the Cross's *Dark Night of the Soul* (2003) when all hope has vanished.

But it is often when things have reached their very worst that from somewhere – usually from within the very depths of the person – the germ of an idea or an insight occurs. In the Kübler-Ross model, the individual is coming to terms with the reality

of the situation and experiencing acknowledgement and acceptance. He or she has seen the light, or at least a glimmer of hope. An immense amount of work may still need to be done, but the individual has generated this transforming idea, which spreads some light on to the situation, and perhaps shows him or her a way out of the predicament.

Once this transforming idea has taken root, the individual can begin the journey of integration. Thus this period of integration requires the new world order to be assimilated into the individual's own world.

Imagine a restructuring has taken place at your place of work. You have gone through many a sleepless night worrying what job you may end up in, or whether you will have a role at the end of the change. The jobs on offer do not appeal at all to you at first ('Why didn't they ask me for my views when they formulated the new roles?', 'If they think I'm applying for that they have another think coming!'). However, as the chief executive's thinking is made clearer through better communications, you grudgingly accept that perhaps he did have a point in addressing the complacency within the firm. Then perhaps one day you wake up and feel that maybe you might just have a look at that job description for the job in Operations. You have never worked in that area before and you have heard a few good things about the woman in charge.

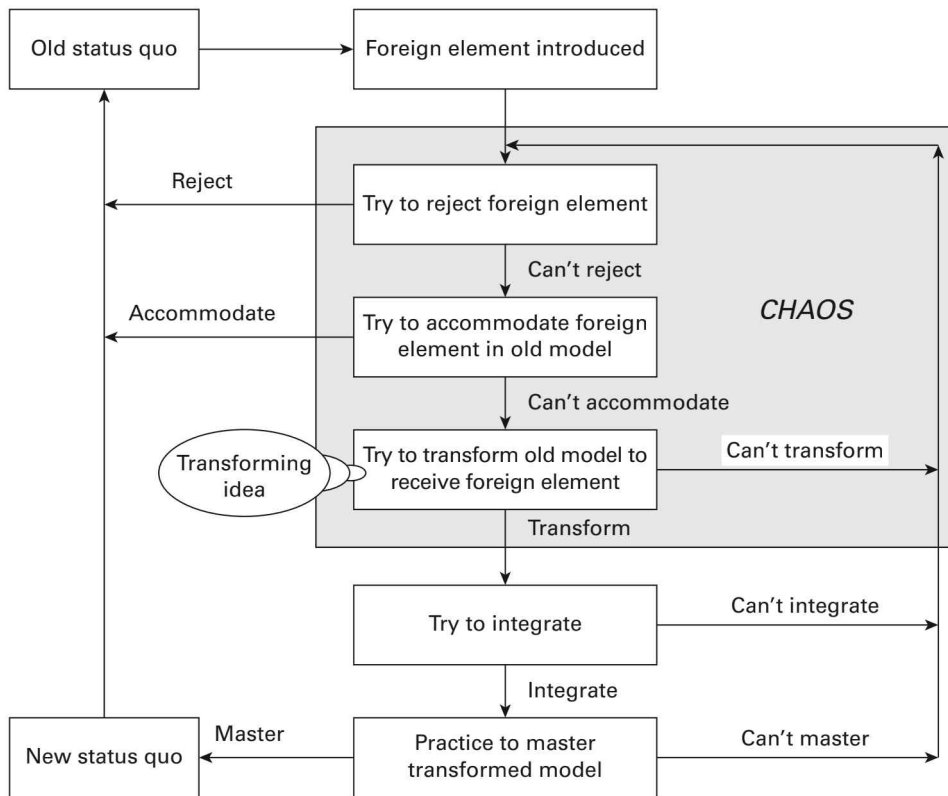
You begin to accept the idea of a new role and 'try it on for size'. Perhaps at first you are just playing along, but soon it becomes less experimentation and more of an exploration. As time moves on the restructure is bedded into the organization, roles and responsibilities clarified, new objectives and ways of working specified and results achieved. A new status quo is born. The scars are still there perhaps but they are not hurting so much.

Gerald Weinberg (1997), in his masterly book on change, with a title that might not appeal to everyone (*Quality Software Management, Volume 4: Anticipating change*) draws heavily on the Satir model and maps on to it the critical points that can undermine or support the change process (see Figure 1.9). Weinberg shows that if the change is not planned well enough, or if the receivers of change consciously or unconsciously decide to resist, the change effort will falter.

## **Summary of the psychodynamic approach**

The psychodynamic approach is useful for managers who want to understand the reactions of their staff during a change process and deal with them. These models allow managers to gain an understanding of why people react the way they do. It identifies what is going on in the inner world of their staff when they encounter change.

As with all models, the ones we have described simplify what can be quite a complex process. Individuals do not necessarily know that they are going through different phases. What they may experience is a range of different emotions (or lack of

**Figure 1.9** Critical points in the change process**SOURCE** Weinberg (1997)

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emotion), which may cluster together into different groupings which could be labelled one thing or another. Any observer, at the time, might see manifestations of these different emotions played out in the individual's behaviour.

Research suggests that these different phases may well overlap, with the predominant emotion of one stage gradually diminishing over time as a predominant emotion of the next stage takes hold. For example, the deep sense of loss and associated dependency, while subsiding over time, might well swell up again and engulf the individual with grief, either for no apparent reason, or because of a particular anniversary, contact with a particular individual or an external event reported on the news.

Individuals will go through a process which, either in hindsight or from an observer's point of view, will have a number of different phases which themselves are delineated in time and by different characteristics. However, the stages themselves will not necessarily have clear beginnings or endings, and characteristics from one stage may appear in other stages.

Satir's model incorporates the idea of a defining event – the transforming idea – that can be seen to change, or be the beginning of the change for, an individual. It may well

be an insight, or waking up one morning and sensing that a cloud has been lifted. From that point on there is a qualitative difference in the person undergoing change. He or she can see the light at the end of the tunnel, or have a sense that there is a future direction.

Key learnings here are that everyone to some extent goes through the highs and lows of the transitions curve, although perhaps in different times and in different ways. It is not only perfectly natural and normal but actually an essential part of being human.

## ***Health and well-being at work***

The psychological impact of change on employees is well documented in Adams *et al* (1976), Elrod and Tippet (2002), Dick *et al* (2018), Kraft *et al* (2018) and indeed, since the very first edition of this book, the authors have attempted to raise awareness of this issue for successful change management.

A UK government commissioned study – the Stevenson–Farmer *Thriving at work* review of mental health (2017) – concluded that their work ‘has revealed that the UK is facing a mental health challenge at work that is much larger than we had thought’, with 15 per cent of workers having symptoms of an existing mental health condition. The aim during times of change would be to reduce the disabling feelings generated by change – fear, anxiety, depression, etc – and facilitate movement towards well-being. The World Health Organization defines good mental health as ‘A state of wellbeing in which every individual realizes his or her own potential, can cope with the normal stresses of life, can work productively and fruitfully and is able to make a contribution to her or his community.’

However, the CIPD *Health and well-being at work* 2018 survey report, found that almost two-fifths of organizations had seen an increase in reported common mental health conditions such as anxiety and depression among employees in the past 12 months. In a report of the same year they found that ‘complex changes in the world of work mean that people now face other organizational and wider environmental pressures. [The CIPD UK Working Lives survey] found that 55 per cent of employees feel under excessive pressure, or exhausted or regularly miserable at work.’

There is growing recognition that organizations have a duty of care to mitigate the worst impacts of organizational change on individuals. Factors that help in this process include:

- Good working conditions.
- Healthy work–life balance.
- Opportunities for personal and career development.
- Effective people management.
- Regular conversations about their health and well-being with their line manager or similar.
- Development for managers in effective practices.

- Health promotion.
- Flexible working.
- Encouragement of positive relationships.
- An open and supportive management style.

Not unnaturally they also quote research by PWC suggesting a positive link between the introduction of well-being initiatives in the workplace and improved business key performance indicators. The CIPD have suggested a five domains of well-being model (Table 1.4).

**Table 1.4** The five domains of well-being model

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|   |                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 | Health                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|   | <ul style="list-style-type: none"> <li>● Physical health</li> <li>● Physical safety</li> <li>● Mental health</li> <li>● Stress management, risk assessments, conflict resolution training, training line managers to have difficult conversations, managing mental ill health, occupational health support, employee assistance programme.</li> </ul>                                                                                         |
| 2 | Work                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|   | <ul style="list-style-type: none"> <li>● Working environment</li> <li>● Good line management</li> <li>● Work demands (job design, job roles, job quality, workload, working hours, job satisfaction, work–life balance)</li> <li>● Autonomy</li> <li>● Change management (communication, involvement, leadership)</li> <li>● Pay and reward (fair and transparent remuneration practices, non-financial recognition)</li> </ul>               |
| 3 | Values/principles                                                                                                                                                                                                                                                                                                                                                                                                                             |
|   | <ul style="list-style-type: none"> <li>● Leadership (values-based leadership, clear mission and objectives, health and well-being strategy, corporate governance, building trust)</li> <li>● Ethical standards (dignity at work, corporate social responsibility, community investment, volunteering)</li> <li>● Diversity (diversity and inclusion, valuing difference, cultural engagement, training for employees and managers)</li> </ul> |
| 4 | Collective/social                                                                                                                                                                                                                                                                                                                                                                                                                             |
|   | <ul style="list-style-type: none"> <li>● Employee voice (communication, consultation, genuine dialogue, involvement in decision making)</li> <li>● Positive relationships (management style, teamworking, healthy relationships with peers and managers, dignity and respect)</li> </ul>                                                                                                                                                      |

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(continued)



**Table 1.4** (Continued)

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|   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5 | Personal growth                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|   | <ul style="list-style-type: none"> <li>• Career development (mentoring, coaching, performance management, performance development plans, skills utilization, succession planning)</li> <li>• Emotional (positive relationships, personal resilience training, financial well-being)</li> <li>• Lifelong learning (performance development plans, access to training, mid-career review, technical and vocational learning, challenging work)</li> <li>• Creativity (open and collaborative culture, innovation workshops)</li> </ul> |

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### STOP AND THINK!

**Q 1.10** Think of a current or recent change in your organization.

- Can you map the progress of the change on to Satir's or Weinberg's model?
- At what points did the change falter?
- At what points did it accelerate?
- What factors contributed in each case?

**Q 1.11** Review your organization, or one that you are familiar with, through the lens of health and well-being:

- In what ways does it promote or enable healthy work and living?
- In what ways does the organization, consciously or unconsciously, increase ill-health and stress?
- What ideas would you suggest to increase the former and reduce the latter?

## The humanistic psychology approach to change

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The humanistic psychological approach to change combines some of the insights from the previous three approaches while at the same time developing its own. It emerged as a movement in the United States during the 1950s and 1960s. The American Association of Humanistic Psychology describes it as 'concerned with topics having little place in existing theories and systems: eg love, creativity, self, growth... self-actualization, higher values, being, becoming, responsibility, meaning... transcendental experience, peak experience, courage and related concepts'.

In this section we look at how the humanistic approach differs from the behavioural and cognitive approaches, list some of the key assumptions of this approach, and look at three important models within humanistic psychology.

Table 1.5 charts some of the similarities and differences between the psychoanalytic, behavioural, cognitive and humanistic approaches. Although taken from a book more concerned with counselling and psychotherapy, it illustrates where humanistic psychology stands in relation to the other approaches.

**Table 1.5** The psychoanalytic, behavioural, cognitive and humanistic approaches

| Theme                                                                    | Psychoanalytic <sup>1</sup> | Behavioural     | Cognitive | Humanistic <sup>2</sup> |
|--------------------------------------------------------------------------|-----------------------------|-----------------|-----------|-------------------------|
| Psychodynamic approach – looking for what is behind surface behaviour    | Yes                         | No              | Yes       | Yes                     |
| Action approach – looking at actual conduct of person, trying new things | No                          | Yes             | Yes       | Yes                     |
| Acknowledgement of importance of sense-making, resistance, etc           | Yes                         | No              | No        | Yes                     |
| Use of imagery, creativity                                               | No                          | Yes             | Yes       | Yes                     |
| Use in groups as well as individual                                      | Yes                         | No <sup>3</sup> | No        | Yes                     |
| Emphasis on whole person                                                 | No                          | No              | No        | Yes                     |
| Emphasis on gratification, joy, individuation                            | No                          | No              | No        | Yes                     |
| Adoption of medical model of mental illness                              | Yes                         | Yes             | Yes       | No                      |
| Felt experience of the practitioner important as a tool for change       | Yes                         | No              | No        | Yes                     |
| Mechanistic approach to client                                           | No                          | Yes             | Yes       | No                      |
| Open to new paradigm research methods                                    | No                          | No              | Yes       | Yes                     |

**SOURCE** Adapted from Rowan (1983).

**NOTES** 1 and 2: Although the humanistic and psychoanalytic approaches are both psychodynamic, we have differentiated between them to focus on the maximizing potential aspect of the humanistic school.

3: Organizational rewards and punishments can be used at a group and organizational level

Humanistic psychology has a number of key areas of focus:

- the importance of subjective awareness as experienced by the individual;
- the importance of taking responsibility for one's situations – or at least the assumption that whatever the situation there will be an element of choice in how you think, how you feel and how you act;
- the significance of the person as a whole entity (a holistic approach) in the sense that as humans we are not just what we think or what we feel, we are not just our behaviours. We exist within a social and cultural context.

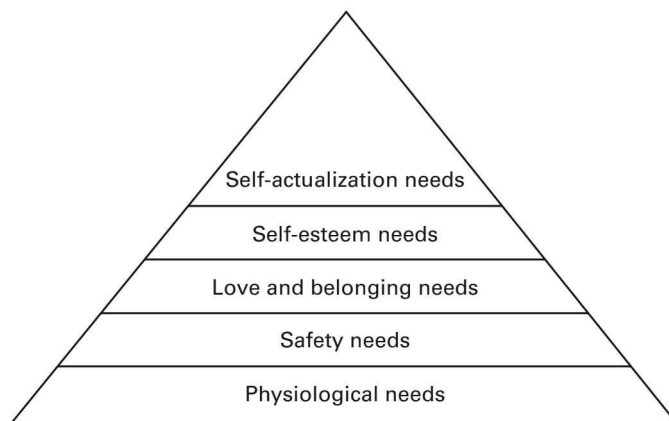
In juxtaposition with Freud's view of the aim of therapy as moving the individual from a state of neurotic anxiety to ordinary unhappiness, humanistic psychology has 'unlimited aims... our prime aim is to enable the person to get in touch with their real self' (Rowan, 1983).

## ***Maslow and the hierarchy of needs***

Maslow did not follow the path of earlier psychologists by looking for signs of ill health and disease. He researched what makes men and women creative, compassionate, spontaneous and able to live their lives to the full. He therefore studied the lives of men and women who had exhibited these traits during their lives, and in so doing came to his theory of motivation, calling it a hierarchy of needs (see Figure 1.10).

Maslow believed that human beings have an inbuilt desire to grow and develop and move towards something he called self-actualization. However, in order to develop self-actualization an individual has to overcome or satisfy a number of other needs first.

**Figure 1.10** Maslow's hierarchy of needs



**SOURCE** Maslow (1970)

One of Maslow's insights was that until the lower level needs were met an individual would not progress or be interested in the needs higher up the pyramid. He saw the first four levels of needs as 'deficiency' needs. By that he meant that it was the absence of satisfaction that led to the individual being motivated to achieve something.

Physiological needs are requirements such as food, water, shelter and sexual release. Clearly when they are lacking the individual will experience physiological symptoms such as hunger, thirst, discomfort and frustration.

Safety needs are those that are concerned with the level of threat and desire for a sense of security. Although safety needs for some might be concerned with actual physical safety, Maslow saw that for many in the western world the need was based more on the idea of psychological safety. We might experience this level of need when faced with redundancy.

Love and belonging needs are more interpersonal. This involves the need for affection and affiliation on an emotionally intimate scale. It is important here to note that Maslow introduces a sense of reciprocity into the equation. A sense of belonging can rarely be achieved unless an individual gives as well as receives. People have to invest something of themselves in the situation or with the person or group. Even though it is higher in the hierarchy than physical or safety needs, the desire for love and belonging is similar in that it motivates people when they feel its absence.

Self-esteem needs are met in two ways. They are met through the satisfaction individuals get when they achieve competence or mastery in doing something. They are also met through receiving recognition for their achievement.

Maslow postulated one final need – the need for self-actualization. He described it as 'the desire to become more and more what one is, to become everything that one is capable of becoming'. He observed that people continued to search for something else once all their other needs were being satisfied. Individuals try to become the person they believe or feel that they are capable of becoming. It is a difficult concept to put into words. Perhaps it is a longing for something to emerge from the depths of your being.

*Before his death, Rabbi Zusya said, 'In the coming world, they will not ask me, "Why were you not Moses?" They will ask me, "Why were you not Zusya?"'*

Martin Buber, 1961, *Tales of the Hasidim*

Self-actualization can take many forms, depending on the individual. These variations may include the quest for knowledge, understanding, peace, self-fulfilment, meaning in life, or beauty... but the need for beauty is neither higher nor lower than the other needs at the top of the pyramid. Self-actualization needs aren't hierarchically ordered.

(Griffin, 1991)

It should be noted that self-actualization is far removed from self-image actualization, which can be seen as a 'shadow' side of today's obsession with and devotion to social media.

## ***Rogers and the path to personal growth***

Carl Rogers was one of the founders of the humanistic movement. He wrote extensively on the stages through which people travel on their journey towards 'becoming a person'. Rogers' work was predominately based on his observations in the field of psychotherapy. However, he was increasingly interested in how people learn, how they exercise power and how they behave within organizations.

Rogers is an important researcher and writer for consultants, as his 'client-centred approach' to growth and development provides clues and cues as to how we as change agents might bring about growth and development with individuals within organizations and help create cultures that are more ready for change. Rogers (1967) highlighted three crucial conditions for this to occur:

- 1 Genuineness and congruence:** to be aware of your own feelings, to be real, to be authentic. Rogers' research showed that the more genuine and congruent the change agent is in the relationship, the greater the probability of change in the personality of the client.
- 2 Unconditional positive regard:** a genuine willingness to allow the client's process to continue, and an acceptance of whatever feelings are going on inside the client. Whatever feeling the client is experiencing, be it anger, fear, hatred, then that is all right. It is saying that underneath all this the person is all right.
- 3 Empathic understanding:** in Rogers' words, 'it is only as I understand the feelings and thoughts which seem so horrible to you, or so weak, or so sentimental, or so bizarre – it is only as I see them as you see them, and accept them and you, that you feel really free to explore all the hidden roots and frightening crannies of your inner and often buried experience.'

Rogers continues: 'in trying to grasp and conceptualize the process of change... I gradually developed this concept of a process, discriminating seven stages in it'. The following are the consistently recurring qualities at each stage as described by Rogers:

- One:
  - an unwillingness to communicate about self, only externals;
  - no desire for change;
  - feelings neither recognized nor owned;
  - problems neither recognized nor perceived.

- Two:
  - expressions begin to flow;
  - feelings may be shown but not owned;
  - problems perceived but seen as external;
  - no sense of personal responsibility;
  - experience more in terms of the past not the present.
- Three:
  - a little talk about the self, but only as an object;
  - expression of feelings, but in the past;
  - non-acceptance of feelings; seen as bad, shameful, abnormal;
  - recognition of contradictions;
  - personal choice seen as ineffective.
- Four:
  - more intense past feelings;
  - occasional expression of current feelings;
  - distrust and fear of direct expression of feelings;
  - a little acceptance of feelings;
  - possible current experiencing;
  - some discovery of personal constructs;
  - some feelings of self-responsibility in problems;
  - close relationships seen as dangerous;
  - some small risk taking.
- Five:
  - feelings freely expressed in the present;
  - surprise and fright at emerging feelings;
  - increasing ownership of feelings;
  - increasing self-responsibility;
  - clear facing up to contradictions and incongruence.
- Six:
  - previously stuck feelings experienced in the here and now;
  - the self seen as less of an object, more of a feeling;
  - some physiological loosening;

- some psychological loosening – that is, new ways of seeing the world and the self;
- incongruence between experience and awareness reduced.
- Seven:
  - new feelings experienced and accepted in the present;
  - basic trust in the process;
  - self becomes confidently felt in the process;
  - personal constructs reformulated but much less rigid;
  - strong feelings of choice and self-responsibility.

There are a number of key concepts that emerge from Rogers' work which are important when managing change within organizations at an individual level, and to ready the organization for change:

- The creation of a facilitating environment, through authenticity, positive regard and empathic understanding, enables growth and development to occur.
- Given this facilitating environment and the correct stance of the change agent, clients will be able to surface and work through any negative feelings they may have about the change.
- Given this facilitating environment and the correct stance of the change agent, there will be a movement from rigidity to more fluidity in the client's approach to thinking and feeling. This allows more creativity and risk taking to occur.
- Given this facilitating environment and the correct stance of the change agent, clients will move towards accepting a greater degree of self-responsibility for their situation, enabling them to have more options from which to choose.

The role and the stance of the change agent will be discussed in Chapter 5; many of the attributes of Rogers' approach would be a welcome addition to the change agent's 'kit bag'.

## ***Gestalt approach to individual and organizational change***

Gestalt therapy originated with Fritz Perls, who was interested in the here and now. Perls believed that a person's difficulties today arise because of the way he or she is acting today, here and now. He stressed the need for the individual's capacity to take responsibility for themselves and to be fully present in any one moment. In Perls' words:

[The] goal... must be to give him the means with which he can solve his present problems and any that may arise tomorrow or next year. The tool is self-support, and this he achieves by dealing with himself and his problems with all the means presently at his

command, right now. If he can be truly aware at every instant of himself and his actions on whatever level – fantasy, verbal or physical – he can see how he is producing his difficulties, he can see what his present difficulties are, and he can help himself to solve them in the present, in the here and now.

(Perls, 1976)

A change consultant using a Gestalt approach has the primary aim of showing clients how they interrupt themselves in achieving what they want. Gestalt is experiential, not just based on talking, and there is an emphasis on doing, acting and feeling. Gestaltists use a cycle of experience to map how individuals and groups enact their desires, but more often than not how they block themselves from completing the cycle as shown in Figure 1.11.

A favourite saying of Fritz Perls was to ‘get out of your mind and come to your senses’. Gestalt always begins with what one is experiencing in the here and now. Experiencing has as its basis what one is sensing. ‘Sensing determines the nature of awareness’ (Perls *et al*, 1951).

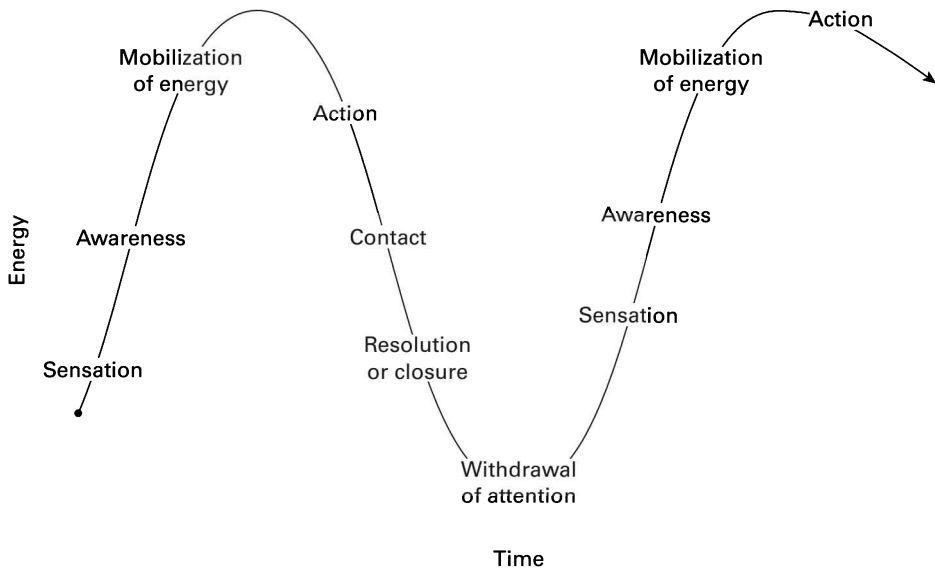
What we sense outside of ourselves or within leads to awareness. Awareness comes when we alight or focus upon what we are experiencing. Nevis (1998) describes it as ‘the spontaneous sensing of what arises or becomes figural, and it involves direct, immediate experience’. He gives a comprehensive list of the many things that we can be aware of at any one moment, including the following:

- **what we sense:** sights, sounds, textures, tastes, smells, kinaesthetic stimulations and so on;
- **what we verbalize and visualize:** thinking, planning, remembering, imagining and so on;
- **what we feel:** happiness, sadness, fearfulness, wonder, anger, pride, empathy, indifference, compassion, anxiety and so on;
- **what we value:** inclinations, judgements, conclusions, prejudices and so on;
- **how we interact:** participation patterns, communication styles, energy levels, norms and so on.

Although your awareness can only ever be in the present, this awareness can include memory of the past, anticipation of the future, inner experience and awareness of others and the environment.

Mobilization of energy occurs as awareness is focused on a specific facet. Imagine you have to give a piece of negative feedback to a colleague. As you focus on this challenge by bringing it into the foreground, you might start to feel butterflies in your stomach, or sweaty palms. This is like using a searchlight to illuminate a specific thing and bring it into full awareness. In Nevis’s terminology, this brings about an ‘energized concern’.



**Figure 1.11** The Gestalt cycle

This energy then needs to be released, typically by doing something, by taking action, by making contact in and with the outside world. You give the feedback.

Closure might come when the colleague thanks you for the feedback and compliments you on the clarity and level of insight. Or perhaps you have an argument and agree to disagree. You will then experience a reduction in your energy, and will complete the cycle by having come to a resolution, with the object of attention fading into the background once more. The issue of the colleague's performance becomes less important.

For real change to have occurred (either internally or out in the world) the full Gestalt cycle will need to have been experienced.

Nevis shows how the Gestalt cycle maps on to stages in managerial decision making:

- **Awareness.** Data generation, Seeking information, Sharing information, Reviewing past performance, Environmental scanning.
- **Energy/action.** Attempts to mobilize energy and interest in ideas or proposals, Supporting ideas presented by others, Identifying and experiencing differences and conflicts of competing interests or views, Supporting own position, Seeking maximum participation.
- **Contact.** Joining in a common objective, Common recognition of problem definition, Indications of understanding, not necessarily agreement, Choosing a course of possible future action.

- **Resolution/closure.** Testing, checking for common understanding, Reviewing what's occurred, Acknowledgement of what's been accomplished and what remains to be done, Identifying the meaning of the discussion, Generalizing from what's been learned, Beginning to develop implementation and action plans.
- **Withdrawal.** Pausing to let things 'sink in', Reducing energy and interest in the issue, Turning to other tasks or problems, Ending the meeting.

### **STOP AND THINK!**

**Q 1.12** Use the Gestalt curve to describe how a manager moves from a concern about the team's performance to launching and executing a change initiative.

## ***Summary of the humanistic psychology approach***

For the manager, the world of humanistic psychology opens up some interesting possibilities and challenges. For years we have been told that the world of organizations is one that is ruled by the rational mind. Recent studies such as Daniel Goleman's (1998) on emotional intelligence and management competence (see Chapter 4) suggest that what makes for more effective managers is their degree of emotional self-awareness and ability to engage with others on an emotional level. Humanistic psychology would not only agree, but would go one step further in stating that without being fully present emotionally in the situation you cannot be fully effective, and you will not be able to maximize your learning, or anyone else's learning. And learning, of course, is a critical component in managing change.

## **Personality and change**

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We have looked at different approaches to change, and suggested that individuals do not always experience these changes in a consistent or uniform way. However, we have not yet asked in what ways people are different from each other, and whether these differences affect the way they experience change.

We have found in working with individuals and teams through change that it is useful to identify and openly discuss people's personality types. This information helps people to understand their responses to change. It also helps people to see why other people are different from them, and to be aware of how that may lead to either harmony or conflict.

The most effective tool for identifying personality type is the Myers-Briggs Type Indicator™ (MBTI™). This is a personality inventory developed by Katharine Briggs and her daughter Isabel Myers. The MBTI™ is based on the work of the Swiss analytical psychologist Carl Jung. The MBTI™ identifies eight different personality ‘preferences’ that we all use at different times – but each individual will have a preference for one particular combination over the others. These eight preferences can be paired as set out below.

### Where individuals draw their energy

**Extroversion** is a preference for drawing energy from the external world, tasks and things, whereas **Introversion** is a preference for drawing energy from the internal world of one’s thoughts and feelings.

### What individuals pay attention to and how they receive data and information

**Sensing** is concerned with the five senses and what is and has been whereas **Intuition** is concerned with possibilities and patterns and what might be.

### The process by which individuals make decisions

**Thinking** is about making decisions in an objective, logical way based on concepts of right and wrong whereas **Feeling** is about making decisions in a more personal values-driven and empathic way.

### What sort of lifestyle an individual enjoys

**Judging** is a preference for living in a more structured and organized world which is more orderly and predictable, whereas **Perceiving** is a preference for living in a more flexible or spontaneous world where options are kept open and decisions not made until absolutely necessary.

So for example, a person who has a preference for Introversion, Intuition, Thinking and Judging (an INTJ, in the jargon) will have certain characteristics. Likewise an individual with a preference for Extroversion, Sensing, Feeling and Perceiving (ESFP) will have quite different characteristics.

The MBTI™ has been researched and validated for over 50 years now, and people rarely move permanently from their preferred ‘home’ type. That is not to say that Extroverts cannot spend time reflecting and being on their own, nor Introverts spend time in large groups discussing a broad range of issues. What it means is that if you are a particular type you have particular preferences and are different from other people of different types. This means that when it comes to change, people with different preferences react differently to change, both when they initiate it and when they are on the receiving end of it. It also means that different personality types have different learning styles and also prefer to be communicated to in different ways.

Although there are 16 MBTI™ types, in our work with managers and leaders we have found that grouping them into just four categories can generate significant understanding of the change process (see for example, Green, 2007b). One group of people will be cautious and careful about change – the Thoughtful Realists (those who are introverted sensing types). A second group will generate ideas and concepts that represent how things should be – the Thoughtful Innovators (introverted intuitives). A third group will have the energy and enthusiasm to get things done here and now – the Action-oriented Realists (extroverted sensing). Meanwhile the fourth group – the Action-oriented Innovators (extroverted intuitives) – will be wanting to move into new areas, start new initiatives, and soon! (See Table 1.6.)

**Table 1.6** Myers-Briggs Type Indicator™ types by quadrant

|                                              | <b>IS Thoughtful Realist</b>                         | <b>IN Thoughtful Innovator</b>                            |
|----------------------------------------------|------------------------------------------------------|-----------------------------------------------------------|
| <b>What they are most concerned with</b>     | Practicalities                                       | Thoughts, ideas, concepts                                 |
| <b>How they learn</b>                        | Pragmatically and by reading and observing           | Conceptually by reading, listening and making connections |
| <b>Where they focus their change efforts</b> | Deciding what should be kept and what needs changing | Generating new ideas and theories                         |
| <b>Motto</b>                                 | 'If it isn't broke don't fix it'                     | 'Let's think ahead'                                       |
|                                              | <b>ES Action-oriented Realist</b>                    | <b>EN Action-oriented Innovator</b>                       |
| <b>What they are most concerned with</b>     | Actions                                              | New ways of doing things                                  |
| <b>How they learn</b>                        | Actively and by experimentation                      | Creatively and with others                                |
| <b>Where they focus their change efforts</b> | Making things better                                 | Putting new ideas into practice                           |
| <b>Motto</b>                                 | 'Let's just do it'                                   | 'Let's change it'                                         |

## STOP AND THINK!

**Q 1.13** Use the Myers-Briggs quadrants to identify your reactions to change:

- In what ways do you fit the various profiles and in what ways do you differ?
- How do you like to be managed through change?
- How would you deal with a person from each quadrant when they are going through a challenging change process?

## Managing change and resistance to change in self and others

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We now look at some of the factors that arise when you as a manager are required to manage change within your organization. We will:

- discuss individual and group propensity for change;
- introduce the work of Edgar Schein and his suggestions for managing change;
- describe some of the ways that change can be thwarted;
- identify how managers or change agents can help others to change.

### RESPONSES TO CHANGE

Those who let it happen.

Those who make it happen.

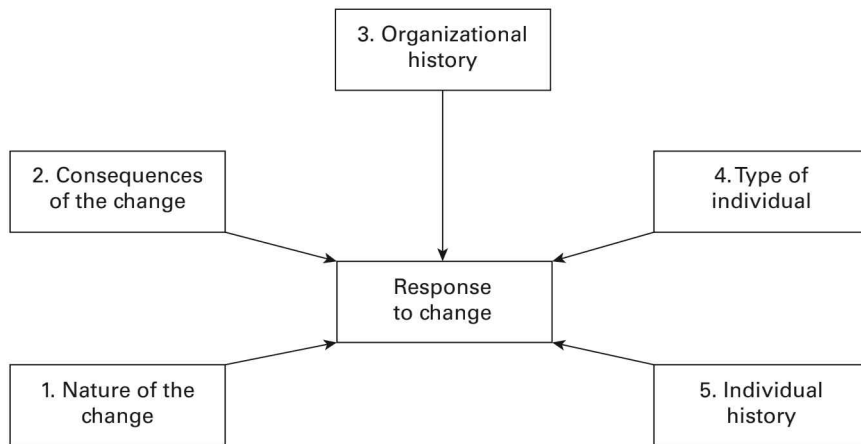
Those who wonder what happened.

Anon

### *Propensity for change*

We have isolated five factors, shown in Figure 1.12, that have an influence on an individual's response to change. As a manager of change you will need to pay attention to these five areas if you wish to achieve positive responses to change:

- The nature of the change varies. Changes can be externally imposed or internally generated. They can be evolutionary or revolutionary in nature. They can be routine or one-off. They can be mundane or transformative. They can be about expansion or contraction. Different types of change can provoke different attitudes and different behaviours.
- The consequences of the change can be significant. For whose benefit are the changes seen to be (employees, customers, the community, the shareholders, the board)? Who will be the winners and who will be the losers?
- The organizational history matters too. This means the track record of how the organization has handled change in the past (or the reputation of the acquiring organization), what the prevailing culture is, what the capacity of the organization is in terms of management expertise and resources to manage change effectively, and what the future, beyond the change, is seen to hold.
- The personality type of the individual is a major determining factor in how she or he responds to change. The Myers-Briggs type of the individual (reviewed earlier)

**Figure 1.12** Five factors in responding to change

can give us an indication of how an individual will respond to change. People's motivating forces are also important – for example, are they motivated by power, status, money or affiliation and inclusion?

- The history of an individual can also give us clues as to how he or she might respond. By history we mean previous exposure and responses to change, levels of knowledge, skills and experience the individual has, areas of stability in his or her life and stage in his or her career. For example an individual who has previously experienced redundancy might re-experience the original trauma and upheaval regardless of how well the current one is handled. Or he or she may have acquired sufficient resilience and determination from the previous experience to be able to take this one in his or her stride.

## Developing resilience

Developing resilience before and during times of change is an effective way for both individuals and the organization to deal with the disruption and unease caused by change. Resilience can be defined as 'the successful adaptation to life tasks in the face of social disadvantage or highly adverse conditions' (Windle, 1999).

Hodges (2017) found that resilience is a key capability for managing change and helping people deal with change more positively and proactively. If initiators of change have prepared the organizational capability then resilient employees are more likely to access their resilient qualities at the right times.

For leaders to spend time on this and for employees to be developed in resilience is obviously an additional cost but the research (Proudfoot *et al*, 2009) suggests that these result in greater confidence. It's not that resilient people don't experience the turbulence of change, just that they can tolerate this to a greater extent, so the transition is smoother and faster.

The focus in any developmental intervention can be in those areas that characterize resilience in individuals:

- optimism;
- self-assuredness;
- focus;
- openness to ideas;
- knowing when and how to ask for support;
- balance between structured approach to analysing and tackling change together with a flexibility of attitude; and
- proactivity.

However, when you tie the notion of resilience in with health and well-being it is important to recognize the critical role that trust and human relationships play in enabling resilience – at work but also within the family and community. The more uncertainty there is in the world the more trusting relationships interplay with resilience. Indeed Pinker (2015) highlights the research that suggests social integration and close relationships are the two strongest predictors of a longer life.

For additional ways to develop resilience we can draw on some of the four psychological approaches that we have already described, for example:

Cognitive and behavioural interventions:

- Exercises that help overcome negative thoughts and feelings to combat depression.
- Relaxation techniques, promoting acceptance and value-based actions.
- Managers can seek to understand their own and their direct reports' unhelpful habits of thought and reframe negative experiences in productive ways.
- Self-efficacy – belief in one's own capability to perform – can be built through strengths-based approaches.

Psychodynamic and humanistic:

- Assessing levels of individual job demand that people can manage during change.
- Enabling and developing positive emotions, cognitive flexibility, life meaning, social support and coping strategies.
- Enabling strategies and skills for coping, social support, relaxation, nutrition and physical activity.

**SOURCE** CIPD 2011

If you are a leader or agent of change, then see more about ways in which leaders can become more resilient and less stressed in Chapter 4.

## ***Schein's model of transformative change***

Edgar Schein has been a leading researcher and practitioner in the fields of individual, organizational and cultural change over the last 40 years. His seminal works have included *Process Consultation* (1988) and *Organizational Culture and Leadership* (1992).

Schein elaborated on Lewin's (1952) model by drawing on other disciplines such as clinical psychology and group dynamics. This model influenced much OD and coaching work throughout the 1990s. (See Chapter 3 for Lewin's original model.)

### **SCHEIN'S ELABORATION OF LEWIN'S MODEL**

#### **Stage One**

Unfreezing: Creating the motivation to change:

- Disconfirmation.
- Creation of survival anxiety or guilt.
- Creation of psychological safety to overcome learning anxiety.

#### **Stage Two**

Learning new concepts and new meanings for old concepts:

- Imitation of and identification with role models.
- Scanning for solutions and trial-and-error learning.

#### **Stage Three**

Refreezing: Internalizing new concepts and meanings:

- Incorporation into self-concept and identity.
- Incorporation into ongoing relationships.

Schein sees change as occurring in three stages:

- 1** unfreezing: creating the motivation to change;
- 2** learning new concepts and new meanings from old concepts;
- 3** internalizing new concepts and meanings.

During the initial unfreezing stage people need to unlearn certain things before they can focus fully on new learning.

Schein says that there are two forces at play within every individual undergoing change. The first force is learning anxiety. This is the anxiety associated with learning



something new. Will I be able to learn the new way of doing things? Will I fail? Will I be exposed? The second, competing force is survival anxiety. This concerns the pressure to change. What if I don't change? Will I get left behind? These anxieties can take many forms. Schein lists four of the associated fears:

- 1 Fear of temporary incompetence: the conscious appreciation of one's lack of competence to deal with the new situation.
- 2 Fear of punishment for incompetence: the apprehension that you will somehow lose out or be punished when this incompetence is discovered or assessed.
- 3 Fear of loss of personal identity: the inner turmoil when your habitual ways of thinking and feeling are no longer required, or when your sense of self is defined by a role or position that is no longer recognized by the organization.
- 4 Fear of loss of group membership: in the same way that your identity can be defined by your role, for some it can be profoundly affected by the network of affiliations you have in the workplace. In the same way that the stable equilibrium of a team or group membership can foster states of health, instability caused by shifting team roles or the disintegration of a particular group can have an extremely disturbing effect.



### ***What gets in the way of change: resistance to change***

Leaders and managers of change sometimes cannot understand why individuals and groups of individuals do not wholeheartedly embrace changes that are being introduced. They often label this 'resistance to change'.

Schein suggests that there are two principles for transformative change to work:

- survival anxiety must be greater than learning anxiety; and
- learning anxiety must be reduced rather than increasing survival anxiety.

Used in connection with Lewin's force field (see Chapter 3), we see that survival anxiety is a driving force and learning anxiety is a restraining force. Rather than attempting to increase the individual or group's sense of survival anxiety, Schein suggests reducing the individual's learning anxiety. Remember also that the restraining forces may well have some validity and offer the change agent clues in how to enable change.

How do you reduce learning anxiety? You do it by increasing the learner's sense of psychological safety through a number of interventions. Schein lists a few:

- a compelling vision of the future;
- formal training;
- involvement of the learner;
- informal training of relevant family groups/teams;
- practice fields, coaches, feedback;
- positive role models;
- support groups;
- consistent systems and structures;
- imitation and identification versus scanning and trial and error.

*In addition* to Schein's analysis of resistance to change other factors will play a part – for example, the five factors in responding to change (Figure 1.12). Other causes of resistance can be that:

- The purpose of the change is unclear.
- Those impacted by change haven't been consulted.
- Established patterns of working relationships between people will change.
- Communications about the change – purpose, scope, timelines, affected personnel, etc – have been ineffective.
- The costs, disbenefits and potential pain are, or are perceived to be, greater than the benefits and rewards.
- The change threatens employee, middle manager and/or senior manager jobs, power and status.

The authors facilitate change management workshops, and the views of why and how people resist change are displayed in Table 1.7.

Research by both practitioners (for example, Prosci, 2003–2018) and academics (for example, Kotter and Schlesinger, 2008) suggest a number of strategies to minimize resistance to change:

## **1 Communication**

This usually comes out as the main strategy and by this is meant not just one-way/top-down communication but also includes the change initiators asking for and receiving feedback. Communication reinforces the why and the how of change and thereby reduces uncertainty, and can also identify any issues that may be getting in the way of change.

**Table 1.7** Output from a recent change management workshop (2019)

| <b>Reasons why people resist change</b>                           | <b>Ways in which people resist change</b> |
|-------------------------------------------------------------------|-------------------------------------------|
| Don't want to change                                              | Get angry                                 |
| Don't trust that the change will be positive for them             | Delay tasks                               |
| Don't trust that the change will be positive for the organization | Stubbornness                              |
| People are too 'set in their ways'                                | Laziness                                  |
| Lack of skills or competence                                      | Ignore                                    |
| Lack of knowledge                                                 | Exhausted                                 |
| Lack of confidence                                                | Negative energy                           |
| Feeling insecure                                                  | Gossip                                    |
| Doesn't fit with current culture                                  | Rumours                                   |
| Too much current workload                                         | Questioning                               |
| Personal issues                                                   | Protest                                   |
| Don't see the purpose of the change                               | Social media                              |
| Don't understand the change                                       | Incitement                                |
| Not involved or engaged in the change                             | Let others fail by not warning            |
| Not consulted about the change                                    | 'Work to rule'                            |

## 2 Training and development

Investment in training and development is predicated on the fact that the initiators of change have identified training needs and also that they are willing to invest in their people. This demonstrates both a commitment to the change and to their people.

Training and development can take many forms – from specific knowledge and skills training through coaching people in, for example, a new system, or managers supporting their direct reports, to facilitated workshops looking at issues, obstacles, options and solutions.

These interventions help develop and introduce new ideas and new ways of working together with surfacing potential issues.

## 3 Employee involvement

This helps engage employees, gets buy-in and increases ownership. Involvement also allows people to be part of the driving rather than restraining forces. This naturally increases two-way communication reducing uncertainty and fear of the unknown.

#### 4 Support and challenge

Support and challenge can take many forms but in the line management relationship there can be time for emotional understanding of what employees are going through and supporting people through that. It can also take the form of situational leadership, in particular coaching people through transition and providing the opportunity for new learning to occur.

#### 5 Negotiation

When there is resistance and the previous strategies haven't been successful then a strategy of negotiation becomes a valid ploy. It acknowledges that people are more likely to give you something if they receive something in return. Typically this might occur in more political cultures where different stakeholders have different legitimacies and power bases. A trade-off is simply an agreement that in exchange for my agreeing to not hinder the changes, or indeed to become proactive in progressing them I will receive something. It is a form of bargaining, which can be seen where there is strong staff representation (for example, a trade union) or where there are particularly strong power bases.

#### 6 Coercion

As a last resort when all else has failed, coercion or enforcement is an option. It demonstrates both commitment and a sense of urgency on the part of the change initiators. However it can only be used effectively when the initiators have the power, authority or mandate to instruct people. A policy of coercion rather than enabling commitment will have consequences – compliance due to coercion is the opposite of commitment and it may be that one form of resistance is simply morphed into another form.

### Sensemaking

An important aspect for individuals experiencing change is for their need to 'make sense' of the changes. Klein and Eckhaus (2017) define it as:

Sensemaking is the ability or attempt to make sense of an ambiguous situation. More exactly, sensemaking is the process of creating situational awareness and understanding in situations of high complexity or uncertainty in order to make decisions. It is "a motivated, continuous effort to understand connections (which can be among people, places, and events) in order to anticipate their trajectories and act effectively".

Sonenshein (2006) suggests that change agents can help employees make sense of the changes by employing two sensemaking strategies: i) discursive, using conversations to explain situations or express views and ii) symbolic, which might include 'words, actions or objects with a wider meaning'. Charting the path through, say, Bullock and Batten's change process (see Chapter 3) of exploration; planning and preparation; action and implementation; and integration evaluation, Sonenshein sees the following:

### Phase 1: Exploration

The sensemaking need is to address things such as ‘uncertainty arising from rumours... concern about seemingly insecure future... signalling availability... and providing stability’.

Change agents need to engage with their employees and understand these concerns, and then to intervene, ensuring focused attention and their availability to discuss these matters and thus provide some stability in an uncertain and perhaps fluid situation.

### Phase 2: Preparation

Here the need is to prepare people for ‘concrete change consequences’; to acknowledge any ambivalence around the change; and to ensure people are interpreting the change initiative in a meaningful way, and perhaps offer counsel and guidance.

The task is also to address employees’ emotions around the change and to tap into their ideas.

### Phase 3: Implementation

The implementation phase can be when employees are most given to seeing the negative aspects of the change, so Sonenshein suggests that the main sensemaking need is ‘balance, aiming at a concerted examination of both positive and negative change aspects... giving room to problems and challenges as well as spreading positive messages... to address problems and challenges experienced by employees’.

### Phase 4: Evaluation

During this phase employees will typically be evaluating both the success of the change itself as well as their role within it. From the change agent’s perspective, they need to evaluate the change and this can be done through the two-way giving and receiving of feedback. In addition to providing the time and space for an open and honest interaction about the change there can also be an enabling of conversations about what the change means going into the future.

## STOP AND THINK!

**Q 1.14** Think of a recent skill that you had to learn in order to keep up with external changes. This could be installing a new piece of software, or learning about how a new organization works.

- What were your survival anxieties?
- What were your learning anxieties?
- What enabling mechanisms helped you through the change?

**Q 1.15** List some of the ideas that – if implemented – would reduce your resistance to change and increase your engagement with it?

- Would these work for every personality or might they need tailoring?

## ***How managers and change agents help others to change***

We have listed in Table 1.8 some of the interventions that an organization and its management could carry out to facilitate the change process. We have categorized them into the four approaches described earlier in this chapter.

From the behavioural perspective a manager must ensure that reward policies and performance management are aligned with the changes taking place. For example if the change is intended to improve the quality of output, then the company should not reward quantity of output. Kerr (1995) lists several traps that organizations fall into:

| <b>We hope for:</b>                  | <b>But reward:</b>             |
|--------------------------------------|--------------------------------|
| Teamwork and collaboration           | The best team members          |
| Innovative thinking and risk taking  | Proven methods and no mistakes |
| Development of people skills         | Technical achievements         |
| Employee involvement and empowerment | Tight control over operations  |
| High achievement                     | Another year's effort          |

Managers and staff need to know in detail what they are expected to do and how they are expected to perform. Behaviour needs to be defined, especially when many organizations today are promoting 'the company way'.

From the cognitive perspective a manager needs to employ strategies that link organizational goals, individual goals and motivation. This will create both alignment and motivation. An additional strategy is to provide ongoing coaching through the change process to reframe obstacles and resistances.

The psychodynamic perspective suggests adapting one's managerial approach and style to the emotional state of the change implementers. This is about treating people as adults and having mature conversations with them. The psychodynamic approach enables managers to see the benefits of looking beneath the surface of what is going on, and uncovering thoughts that are not being articulated and feelings that are not being expressed. Working through these feelings can release energy for the change effort rather than manifesting as resistance to change. Drawing on the transitions curve we can plot suitable interventions throughout the process (see Figure 1.13).

**Table 1.8** Representative interventions to facilitate the change process

| Behavioural                               | Cognitive                                     |
|-------------------------------------------|-----------------------------------------------|
| Performance management                    | Management by objectives                      |
| Reward policies                           | Business planning and performance frameworks  |
| Values translated into behaviours         | Results-based coaching                        |
| Management competencies                   | Beliefs, attitudes and cultural interventions |
| Skills training                           | Visioning                                     |
| Management style                          |                                               |
| Performance coaching                      |                                               |
| 360 degree feedback                       |                                               |
| Understanding change dynamics             | Living the values                             |
| Counselling people through change         | Developing the learning organization          |
| Surfacing hidden issues                   | Addressing the hierarchy of needs             |
| Addressing emotions                       | Addressing emotions                           |
| Treating employees and managers as adults | Fostering communication and consultation      |
|                                           | Building resilience                           |
| Psychodynamic                             | Humanistic                                    |

**Figure 1.13** Management interventions through the change process

The humanistic psychology perspective builds on the psychodynamic ethos by believing that people are inherently capable of responding to change, but require enabling structures and strategies so to do. Healthy levels of open communication, and a positive regard for individuals and their potential contribution to the organization's goals, contribute to creating an environment where individuals can grow and develop.

## Summary and conclusions

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- Learning to do something new usually involves a temporary dip in performance.
- When learning something new, we focus on it and become very conscious of our performance. Once we have learnt something we become far less conscious of our performance. We are then unconsciously competent. This continues until something goes wrong, or there is a new challenge.
- There are four key schools of thought when considering individual change:
  - The behavioural approach is about changing the behaviours of others through reward and punishment. This leads to behavioural analysis and use of reward strategies.
  - The cognitive approach is about achieving results through positive reframing. Associated techniques are goal setting and coaching to achieve results.
  - The psychodynamic approach is about understanding and relating to the inner world of change. This is especially significant when people are going through highly affecting change.
  - The humanistic psychology approach is about believing in development and growth, and maximizing potential. The emphasis is on healthy development, healthy authentic relationships and healthy organizations.
- Maintaining the health and well-being of employees during change is increasingly recognized as a key component of any change plan.
- Personality type has a significant effect on an individual's ability to initiate or adapt to change.
- The individual's history, the organization's history, the type of change and the consequence of the change are also key factors in an individual's response to change. Enabling individuals to develop their resilience during times of change is important and a key element is ensuring trusting relationships.
- Schein identified two competing anxieties in individual change: survival anxiety versus learning anxiety. Survival anxiety has to be greater than learning anxiety if a change is to happen. He advocated the need for managers to reduce people's learning anxiety rather than increase their survival anxiety. Resistance to change



is a natural phenomena, but needs to be identified and managed. It can manifest in many ways but can be managed through:

- communication;
  - training and development;
  - employee involvement;
  - support and challenge;
  - negotiation; and (lastly)
  - coercion.
- Each of the four approaches above leads to a set of guidelines for managers:
    - Behavioural: get your reward strategies right.
    - Cognitive: link goals to motivation.
    - Psychodynamic: treat people as individuals and understand their emotional states as well as your own!
    - Humanistic: be authentic and believe that people want to grow and develop. Helping employees to 'make sense of' the changes needs to be a key management responsibility.

# 02

## Team change

### Introduction

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This chapter will look at teams, team development and change from a number of perspectives and will be asking a number of pertinent questions:

- What is a group and when is it a team?
- Why do you need teams?
- What types of organizational teams are there?
- How do you improve team effectiveness?
- What does team change look like?
- What are the leadership issues in team change?
- What are the main dysfunctions of a team?
- How do individuals affect team dynamics?
- How well do teams initiate and adapt to organizational change?
- How can you develop team resilience?

The chapter aims to enhance understanding of the nature of teams and how they develop, identify how teams perform in change situations, and develop strategies for managing teams through change and change through teams.

We open with a discussion around what constitutes a group and what constitutes a team. We will also look at the phenomena of different types of teams: for example, virtual teams, self-organizing teams and project teams.

Models of team functioning, change and development will be explored. We look at the various components of teamworking, and at how teams develop and how different types of people combine to make a really effective (or not) team.

We take as our basic model Tuckman's (1965) model of team development to illustrate how teams change over time. This is the forming, storming, norming and performing model. But we will add to it by differentiating between the task aspects of team development and the people aspects of team development.

Finally we look at the way in which teams can impact or react to organizational change and how to build a team's resilience.

## What is a group and when is it a team?

There has been much academic discussion as to what constitutes a team and what constitutes a group. In much of the literature the two terms are used indistinguishably. Yet there are crucial differences, and anyone working in an organization instinctively knows when he or she is in a team and when he or she is in a group. We will attempt to clarify the essential similarities and differences. This is important when looking at change because teams and groups experience change in different ways.

Schein and Bennis (1965) suggest that a group is ‘any number of people who interact with each other, are psychologically aware of each other, and who perceive themselves to be a group’. Morgan *et al* (1986) suggest that ‘a team is a distinguishable set of two or more individuals who interact interdependently and adaptively to achieve specified, shared, and valued objectives’. Sundstrom *et al* (1990) define the work team as ‘A small group of individuals who share responsibility for outcomes for their organizations.’

Cohen and Bailey (1997) define a team as ‘a collection of individuals who are interdependent in their tasks, who share responsibility for outcomes, who see themselves and who are seen by others as an intact social entity embedded in one or more larger social systems (for example, business unit or the corporation), and who manage their relationships across organizational boundaries’. Our own list of differentiators appears in Table 2.1.

A group is a collection of individuals who draw a boundary around themselves. Or perhaps we from the outside might draw a boundary around them and thus define them as a group. A team on the other hand, with its common purpose, is

**Table 2.1** Differences between groups and teams

| Group                                                                     | Team or work group                                                       |
|---------------------------------------------------------------------------|--------------------------------------------------------------------------|
| Indeterminate size                                                        | Restricted in size                                                       |
| Common interests                                                          | Common overarching objectives                                            |
| Sense of being part of something or seen as being part of something       | Interaction between members to accomplish individual and group goals     |
| Interdependent as much as individuals might wish to be                    | Interdependency between members to accomplish individual and group goals |
| May have no responsibilities other than a sense of belonging to the group | Shared responsibilities                                                  |
| May have no accountabilities other than ‘contractual’ ones                | Individual accountabilities                                              |
| A group does not necessarily have any work to do or goals to accomplish   | The team works together, physically or virtually                         |

generally tighter and clearer about what it is and what its *raison d'être* is. Its members know exactly who is involved and what their goal is. Of course it turns out that we are speaking hypothetically here, as any one of us has seen teams within organizations that appear to have no sense at all of what they are really about!

Let us illustrate the difference between a team and a group by using an example. We might look into an organization and see the Finance Department. The Finance Controller heads up a Finance Management Team that leads, manages and coordinates the activities within this area. The team members work together on common goals, meet regularly and have clearly defined roles and responsibilities (usually).

Perhaps the senior management team has decreed that all the high-potential managers in the organization shall be members of the Strategic Management Group. So the finance controller, who is on the high-potential list, gets together with others at his or her level to form a collection of individuals who contribute to the overall strategic direction of the organization. Apart from gatherings every six months, this group rarely meets or communicates. It is a grouping, which might be bounded but does not have any ongoing goals or objectives that require members to work together.

### STOP AND THINK!

- Q 2.1** Within your working life, what teams are you a member of and to which groups do you belong?
- Q 2.2** Within your personal life, what teams are you a member of and to which groups do you belong?
- Q 2.3** In what ways was it easier to answer in your personal life, and in what ways more difficult?
- Q 2.4** What might be some of the differences for a team and a group going through organizational change?

## Why we need teams

Why do we need teams and teamworking? Casey (1993), from Ashridge Management College, researched this question by asking a simple question of each team he worked with: 'Why should you work together as a team?'

The simplest answer is, 'Because of the work we need to accomplish.' Teamwork may be needed because there is a high volume of interconnected pieces of work, or because the work is too complex to be understood and worked on by one person.



What about managers? Do they need to operate as teams, or can they operate effectively as groups? The Ashridge-based writers say that a management team does not necessarily have to be fully integrated as a team all of the time. Nor should it be reduced to a mere collection of individuals going about their own individual functional tasks.

Casey believes that there is a clear link between the level of uncertainty of the task being handled and the level of teamwork needed. The greater the uncertainty, the greater the need for teamwork. The majority of management teams deal with both uncertain and certain tasks, so need to be flexible about the levels of teamworking required. Decisions about health and safety, HR policy, reporting processes and recruitment are relatively certain, so can be handled fairly quickly without a need for much sharing of points of view. There is usually a right answer to these issues, whereas decisions about strategy, structure and culture are less certain. There is no right answer, and each course of action involves taking a risk. This means more teamworking, more sharing of points of view, and a real understanding of what is being agreed and what the implications are for the team.

## The types of organizational teams

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Robert Keidal (1984) identified a parallel between sports teams and organizational teams. He uses baseball, American football and basketball teams to show the differences.

A baseball team is like a sales organization. Team members are relatively independent of one another, and while all members are required to be on the field together, they virtually never interact together all at the same time.

Football is quite different. There are really three subteams within the total team: offence, defence and the special team. When the subteam is on the field, every player is involved in every play, which is not the case in baseball. But the teamwork is centred in the subteam, not the total team.

Basketball is a different breed. Here the team is small, with all players in only one team. Every player is involved in all aspects of the game, offence and defence, and all must pass, run, shoot. When a substitute comes in, all must play with the new person.

Many different types of team exist within organizations. Let us look at a range of types of team found in today's organizations (see Table 2.2).

### Work team

Work teams or work groups are typically the type of team that most people within organizations will think of when we talk about teams. They are usually part of the normal hierarchical structure of an organization. This means that one person manages a group of individuals, and that person is responsible for delivering a particular product or service either to the customer or to another part of the organization.

These teams tend to be relatively stable in terms of team objectives, processes and personnel. Their agenda is normally focused on maintenance and management of what is. This is a combination of existing processes and operational strategy. Any change agenda they have is usually on top of their existing agenda of meeting the current operating plan.

### Self-managed team

A sub-set of the work team is the self-managed team. The self-managed team has the attributes of the work team but without a direct manager or supervisor. This affects

**Table 2.2** Types of team

| Team                        | Group                                                  | Work                         | Parallel                                                | Matrix                                            |
|-----------------------------|--------------------------------------------------------|------------------------------|---------------------------------------------------------|---------------------------------------------------|
| <b>Continuity</b>           | Variable                                               | Stable                       | Stable or one-off project                               | Stable as a structure but fluid by project        |
| <b>Lifespan</b>             | Variable                                               | Unlimited                    | Variable                                                | Unlimited                                         |
| <b>Organizational links</b> | Can be part of the formal and/or informal organization | Part of management structure | Outside of normal management structure                  | Part of management structure, Dual accountability |
| <b>Led by</b>               | Dependent on nature and purpose of group               | One manager or supervisor    | Normally coordinated or facilitated                     | Project manager and functional head               |
| <b>Location</b>             | Variable                                               | Co-located                   | Converge for meetings                                   | Co-located, dispersed, virtual                    |
| <b>Purpose</b>              | Variable                                               | Business as usual            | Maintenance function or part of change 'infrastructure' | Project achievement                               |
| <b>Authority</b>            | Dependent on nature and purpose of group               | Through the line             | Depends                                                 | Dual accountability                               |
| <b>Focus</b>                | Communication                                          | Task                         | Communication                                           | Task                                              |

(continued)

**Table 2.2** (Continued)

| <b>Team</b>                 | <b>Virtual</b>                          | <b>Network</b>                                     | <b>Management</b>                           | <b>Project</b>                          | <b>Change</b>                           |
|-----------------------------|-----------------------------------------|----------------------------------------------------|---------------------------------------------|-----------------------------------------|-----------------------------------------|
| <b>Continuity</b>           | Potential fluid                         | Potential fluid                                    | Stable                                      | Focused on project achievement          | Fluid                                   |
| <b>Lifespan</b>             | Variable                                | Variable                                           | Unlimited                                   | Time limited                            | Variable                                |
| <b>Organizational links</b> | Can be part of the management structure | More distributed across the organization           | Part of management structure                | Separate management structure           | Variable                                |
| <b>Led by</b>               | One manager or supervisor               | Potentially distributed leadership or coordination | One manager                                 | Project manager                         | Sponsor or change manager               |
| <b>Location</b>             | Dispersed                               | Dispersed                                          | Often co-located                            | Co-located, dispersed, virtual          | Co-located, dispersed, virtual          |
| <b>Purpose</b>              | BAU or project                          | Change or development                              | Business as usual<br>Change and development | Change or development                   | Change and development                  |
| <b>Authority</b>            | Through the line or project manager     | Depends                                            | Through the line                            | Via project manager and project sponsor | Via project manager and project sponsor |
| <b>Focus</b>                | Task                                    | Communication                                      | Task and communication                      | Task                                    | Task and communication                  |

the way decisions are made and the way in which individual and team performance is managed. Generally this is through collective or distributed leadership. For an interesting perspective please see the section on self-governing structures (Laloux and Robertson) in Chapter 3.

### ***Parallel team***

Parallel teams are different from work teams because they are not part of the traditional management hierarchy. They are run in tandem or parallel to this structure. Examples of parallel teams are:

- teams brought together to deliver quality improvement (for example, quality circles, continuous improvement groups);

- teams that have some problem-solving or decision-making input, other than the normal line management processes (for example, creativity and innovation groups);
- teams formed to involve and engage employees (for example, staff councils, diagonal slice groups);
- teams set up for a specific purpose such as a task force looking at an office move;
- interdisciplinary teams, which are cross-functional and formed to ensure the necessary knowledge, skills and expertise to address a specific organizational issue.

These teams have variable longevity, and are used for purposes that tend to be other than the normal 'business as usual' management. They are often of a consultative nature, carrying limited authority. Although not necessarily responsible or accountable for delivering changes, they often feed into a change management process.

In order for these teams to be successful Piercy *et al* (2013) say there needs to be high-level leadership and sponsorship with focus on ensuring the prevailing culture doesn't block their activities. Additionally there needs to be a recognition of differing levels of knowledge and a variety of perspectives, which can require team building and training. The more that team members have opted in rather than been coerced the better the level of commitment and performance. They state: 'The more representative a team is of the organization as a whole (ie including members of all relevant functions or departments, from different levels in the organizational hierarchy), the greater the likelihood of successful outcomes'.

## **Matrix team**

Matrix teams generally occur in organizations that are run along project lines. The organization typically has to deliver a number of projects to achieve its objectives. Each project has a project manager, but the project team members are drawn from functional areas of the organization. Often projects are clustered together to form programmes, or indeed whole divisions or business units (for example, aerospace, defence or oil industry projects). Thus the team members have accountability both to the project manager and to their functional head. The balance of power between the projects and the functions varies from organization to organization, and the success of such structures often depends on the degree to which the project teams are enabled by the structure and the degree to which they are disabled.

## **Virtual team**

Increasing globalization and developments in the use of new technologies mean that teams are not necessarily co-located any more. This has been true for many years for



sales teams. Virtual teams either never meet or they meet only rarely. Townsend *et al* (1998) defined virtual teams as 'groups of geographically and/or organizationally dispersed co-workers that are assembled using a combination of telecommunications and information technologies to accomplish an organizational task'. An advantage of virtual teams is that an organization can use the most appropriately skilled people for the task, wherever they are located. In larger companies the probability that the necessary and desired expertise for any sophisticated or complex task is in the same place geographically is low.

Disadvantages spring from the distance between team members. Virtual teams cross time zones, countries, continents and cultures. All these things create their own set of challenges. Current research suggests that synchronous working (face-to-face or remote) is more effective in meeting more complex challenges. Team leadership for virtual teams also creates its own issues, with both day-to-day management tasks and developmental interventions being somewhat harder from a distance.

When it comes to change, virtual teams are somewhat paradoxical. Team members can perhaps be more responsive, balancing autonomy and interdependence, and more focused on their part of the team objective. However, change creates an increased need for communication, clear goals, defined roles and responsibilities, and support and recognition processes. These things are more difficult to manage in the virtual world.

Erich Barthel (*Building relationships and working in teams across cultures*) and Inger Buus (*Leading in a virtual environment*) write about this in more detail in *Leadership and Personal Development* (2011).

## **Networked team**

National, international and global organizations can use networked teams in an attempt to add a greater cohesion, which would not otherwise be there. Additionally they may wish to capture learning in one part and spread it across the whole organization.

We might have grouped virtual and networked teams under the same category. However, we could think of the networked team as being similar to a parallel team, in the sense that its primary purpose is not business as usual, but part of an attempt by the organization to increase sustainability and build capacity through increasing the reservoir of knowledge across the whole organization.

Networked teams are an important anchor for organizations in times of change. They can be seen as part of the glue that gives a sense of cohesion to people within the organization. Various types of networked teams, or groups, drawn from knowledge management and organizational learning concepts might be included here, for example, communities of practice, knowledge cafés and reference groups.

Kotter (2012) building on his earlier work (1996) suggests that ‘The most agile, innovative companies add a second operating system, built on a fluid, network-like structure, to continually formulate and implement strategy. [This] second operating system runs on its own processes and is staffed by volunteers from throughout the company.’ Kotter’s current thinking is looked at in more detail in Chapter 3, Organizational change.

## **Management team**

*Management teams coordinate and provide direction to the sub-units under their jurisdiction, laterally integrating interdependent sub-units across key business processes.*

(Mohrman *et al*, 1995)

The management team is ultimately responsible for the overall performance of the business unit. In itself it may not deliver any product, service or project, but clearly its function is to enable that delivery. Management teams are pivotal in translating the organization’s overarching goals into specific objectives for the various sub-units to do their share of the organization task.

Management teams are similar to work teams in terms of delivery of current operational plan, but are much more likely to be in a position of designing and delivering change as well. We expect a more senior management team to spend less time on ‘business as usual’ matters and more time on the change agenda.

The senior management team in any organization is the team most likely to be held responsible for the organization’s ultimate success or failure. It is in a pivotal position within the organization. On the one hand it is at the top of the organization, and therefore team members have a collective leadership responsibility; on the other, it is accountable to the non-executive board and shareholders in limited companies, or to politicians in local and central government, or to trustees in not-for-profit organizations. Along with the change team (see below) the management team has a particular role to play within most change scenarios, for it is its members who initiate and manage the implementation of change.

## **Project team**

Project teams are teams that are formed for the specific purpose of completing a project. They therefore are time limited, and we would expect to find clarity of objectives. The project might be focused on an external client or it might be an internal one-off, or cross-cutting project with an internal client group.

Depending on the scale of the project the team might comprise individuals on a full- or part-time basis. Typically there is a project manager, selected for his or her specialist or managerial skills, and a project sponsor. Individuals report to the project

manager for the duration of the project (although if they work part-time on the project they might also be reporting to a line manager). The project manager reports to the project sponsor, who typically is a senior manager.

We know the project team has been successful when it delivers the specific project on time, to quality and within budget. Brown and Eisenhardt (1995) noted that cross-functional teams, which are teams comprised of individuals from a range of organizational functions, were found to enhance project success.

Project teams are very much associated with implementing change. However, although change may be their very *raison d'être* it does not necessarily mean that their members' ability to handle change is any different from the rest of us. Indeed built into their structure are potential dysfunctionalities:

- The importance of task achievement often reigns supreme, at the expense of investing time in meeting individual and team maintenance needs.
- The fact that individuals have increased uncertainty concerning their future can impact on motivation and performance.
- The dynamic at play between the project team and the organizational area into which the change will take place can be problematic.

## Change team

Change teams are often formed within organizations when a planned or unplanned change of significant proportions is necessary. We have separated out this type of team because of its special significance. Sometimes the senior management team is called the change team, responsible for directing and sponsoring the changes. Sometimes the change team is a special project team set up to implement change. At other times the change team is a parallel team, set up to tap into the organization and be a conduit for feedback as to how the changes are being received.

Obviously different organizations have different terminologies, so what in one organization is called a project team delivering a change will be a change team delivering a project in another organization.

More and more organizations also realize that the management of change is more likely to succeed if attention is given to the people side of change. Hence a parallel team drawn from representatives of the whole workforce can be a useful adjunct in terms of assessing and responding to the impact of the changes on people.

We see the change team as an important starting point in the change process. Research by one of the authors (Green, 2007a) and Prosci (2003, 2007, 2014, 2018) suggests the criticality of a credible effective dedicated change management team.

The effective interaction between the senior management team, the local line management team, the project team and the change management team is crucial.

Often this is enabled by having a steering committee overseeing the change implementation. Chapter 5 continues this discussion.

### **STOP AND THINK!**

- Q 2.5** Of the teams of which you are a member, which are more suitable to lead change and which more suitable to implement change? Justify your answer.
- Q 2.6** Who should be responsible for managing communications and alignment across the organization's teams and groups?

## **How to improve team effectiveness**

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Rollin and Christine Glaser (1992) have identified five elements that contribute to the level of a team's effectiveness or ineffectiveness over time. They are:

- 1** team mission, planning and goal setting;
- 2** team roles;
- 3** team operating processes;
- 4** team interpersonal relationships; and
- 5** inter-team relations.

If you can assess where a team is in terms of its ability to address these five elements, you will discover what it needs to do to develop into a fully functioning team.

### ***Team mission planning and goal setting***

A number of studies have found that the most effective teams have a strong sense of their purpose, organize their work around that purpose, and plan and set goals in line with that purpose. Larson and LaFasto (1989) report: 'in every case, without exception, when an effectively functioning team was identified, it was described by the respondent as having a clear understanding of its objective'.

Clarity of objectives together with a common understanding and agreement of these was seen to be key. In addition Locke and Latham (1984) report that the very act of goal setting was a prime motivator for the team; the more your team sets clear goals the more likely it is to succeed. They also reported a 16 per cent average improvement in effectiveness for teams that use goal setting as an integral part of team activities.

Clear goals are even more important when teams are involved in change, partly because unless they know where they are going they are unlikely to get there, and partly because a strong sense of purpose can mitigate some of the more harmful effects of change. The downside occurs when a team rigidly adheres to its purpose when in fact the world has moved on and other objectives are more appropriate.

## ***Team roles***

The best way for a team to achieve its goals is for the team to be structured logically around those goals. Individual team members need to have clear roles and accountabilities. They need to have a clear understanding not only of what their individual role is, but also what the roles and accountabilities of other team members are.

When change happens – within, to or by the team – clarity about roles has two useful functions. It provides a clear sense of purpose and it provides a supportive framework for task accomplishment. However, during change the situation becomes more fluid. Too much rigidity results in tasks falling down the gaps between roles, or overlaps going unnoticed. It might result in team members being less innovative or proactive or courageous.

## ***Team operating processes***

A team needs to have certain enabling processes in place for people to carry out their work together. Certain things are needed to allow the task to be achieved in a way that is as efficient and as effective as possible. Glaser and Glaser (1992) comment: ‘both participation in all of the processes of the work group and the development of a collaborative approach are at the heart of effective group work. Because of the tradition of autocratic leadership, neither participation nor collaboration are natural or automatic processes. Both require some learning and practice.’

Typical areas that a team need actively to address by discussing and agreeing include:

- frequency, timing and agenda of meetings;
- problem-solving and decision-making methodologies;
- ground rules;
- procedures for dealing with conflict when it occurs;
- reward mechanisms for individuals contributing to team goals;
- type and style of review process.

In the turbulence created by change, all these areas will come under additional stress and strain, hence the need for processes to have been discussed and agreed at an earlier stage. During times of change when typically pressures and priorities can push people into silo mentality and away from the team, the team operating processes can act like a lubricant, enabling healthy team functioning to continue.

## ***Team interpersonal relationships***

The team members must actively communicate among themselves. To achieve clear understanding of goals and roles, the team needs to work together to agree and clarify them. Operating processes must also be discussed and agreed.

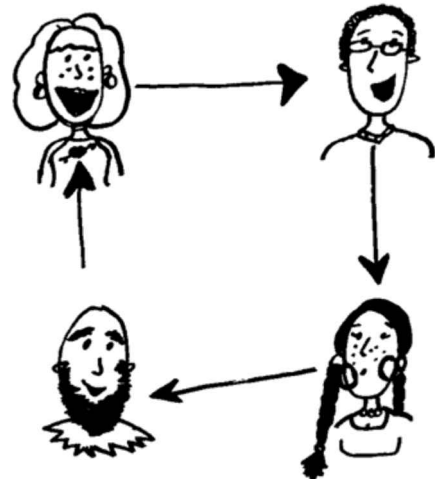
To achieve this level of communication, the interpersonal relationships within the team need to be in a relatively healthy state. Glaser and Glaser (1992) found that the literature on team effectiveness ‘prescribes open communication that is assertive and task focused, as well as creating opportunities for giving and receiving feedback aimed at the development of a high trust climate’.

In times of change, individual stress levels rise and there is a tendency to focus more on the task than the people processes. High levels of trust within a team are the bedrock for coping with conflict.

## ***Inter-team relations***

Teams cannot work in isolation with any real hope of achieving their organizational objectives. The nature of organizations today – complex, sophisticated and with increasingly loose and permeable boundaries – creates situations where a team’s goals can rarely be achieved without input from and output to others.

However smart a team has been in addressing the previous four categories, the authors have found in consulting with numerous organizations that attention needs to be paid to inter-team relations now more than ever before. This is because of the rise of strategic partnerships and global organizations. Teams need to connect more. It is also because the environment is changing faster and is more complex, so keeping in touch with information outside of your own team is a basic survival strategy.



**STOP AND THINK!**

- Q 2.7** Using the five elements above, what is your current team effectiveness? If not in a team perhaps use the group of people you interact most with in your working life.
- Q 2.8** What needs to change, and how would you go about it?

## What team change looks like

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All teams go through a change process when they are first formed, and when significant events occur such as a new member arriving, a key member leaving, a change of scope, increased pressure from outside, or a change in organizational climate.

Tuckman (1965) is one of the most widely quoted of researchers into the linear model of team development. His work is regularly used in team building within organizations. Most people will have heard of it as the ‘forming, storming, norming, performing’ model of team development. His basic premise is that any team will undergo distinct stages of development as it works or struggles towards effective team functioning. Although we will describe Tuckman’s model in some detail, we have selected a range of models to illustrate the team development process, as shown in Table 2.4.

### *Tuckman’s model of team change*

#### Forming

Forming is the first stage. This involves the team asking a set of fundamental questions:

- What is our primary purpose?
- How do we structure ourselves as a team to achieve our purpose?
- What roles do we each have?
- Who is the leader?
- How will we work together?
- How will we relate together?
- What are the boundaries of the team?



If we were to take a logical rational view of the team we could imagine that this could all be accomplished relatively easily and relatively painlessly. And sometimes,

Effective and ineffective teams

|                              | Team mission,<br>planning and<br>goal setting                                                      | Team roles                                                                                                   | Team operating<br>processes                                                                                               | Team interpersonal<br>relationships                                                                         | Inter-team re                                                                             |
|------------------------------|----------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| re<br>and<br>oriented        | Clarity of goals and clear direction lead to greater task accomplishment and increased motivation. | Clear roles and responsibilities increase individual accountability and allow others to work at their tasks. | Problem solving and decision making are smoother and faster. Processes enable task accomplishment without undue conflict. | Open data flow and high levels of team working leading to task accomplishment in a supportive environment.  | Working across boundaries ens organizational g more likely to b achieved.                 |
| s<br>less<br>and<br>oriented | Lack of purpose and unclear goals result in dissipation of energy and effort.                      | Unclear roles and responsibilities lead to increased conflict and reduced accountability.                    | Unclear operating processes increase time and effort needed to progress task achievement.                                 | Dysfunctional team working causes tensions, conflict, stress and insufficient focus on task accomplishment. | Teams working isolation or aga teams reduce t likelihood of organizational g achievement. |



**Table 2.4** Key attributes in the stages of team development

| <b>Tuckman (1965)</b>          | <b>Forming</b>                                                                                                                | <b>Storming</b>                                                                 | <b>Norming</b>                                                                        | <b>Performing</b>                                                                                                     |
|--------------------------------|-------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
|                                | Attempt at establishing primary purpose, structure, roles, leader, task and process relationships, and boundaries of the team | Dealing with arising conflicts surrounding key questions from forming stage     | Settling down of team dynamic and stepping into team norms and agreed ways of working | Team is now ready and enabled to focus primarily on its task while attending to individual and team maintenance needs |
| <b>Modlin and Faris (1956)</b> | <b>Structuralism</b>                                                                                                          | <b>Unrest</b>                                                                   | <b>Change</b>                                                                         | <b>Integration</b>                                                                                                    |
|                                | Attempt to recreate previous power within new team structures                                                                 | Attempt to resolve power and interpersonal issues                               | Roles emerge based on task and people needs<br>Sense of team emerges                  | Team purpose and structure emerge and accepted, action towards team goals                                             |
| <b>Whittaker (1970)</b>        | <b>Praffiliation</b>                                                                                                          | <b>Power and control</b>                                                        | <b>Intimacy</b>                                                                       | <b>Differentiation</b>                                                                                                |
|                                | Sense of unease, unsure of team engagement, which is superficial                                                              | Focus on who has power and authority within the team<br>Attempt to define roles | Team begins to commit to task and engage with one another                             | Ability to be clear about individual roles and interactions become workmanlike                                        |
| <b>Scott Peck (1990)</b>       | <b>Pseudocommunity</b>                                                                                                        | <b>Chaos</b>                                                                    | <b>Emptiness</b>                                                                      | <b>Community</b>                                                                                                      |
|                                | Members try to fake teamliness                                                                                                | Attempt to establish pecking order and team norms                               | Giving up of expectations, assumptions and hope of achieving anything                 | Acceptance of each other and focus on the task                                                                        |

*(continued)*

**Table 2.4** (Continued)

|                                |                                                                  |                                                                              |                                                                     |
|--------------------------------|------------------------------------------------------------------|------------------------------------------------------------------------------|---------------------------------------------------------------------|
| <b>Schutz (1982)</b>           | <b>In or out</b>                                                 | <b>Top or bottom</b>                                                         | <b>Near or far</b>                                                  |
|                                | Members decide whether they are part of the team or not          | Focus on who has power and authority within the team                         | Finding levels of commitment and engagement within their roles      |
| <b>Hill and Gruner(1973)</b>   | <b>Orientation</b>                                               | <b>Exploration</b>                                                           | <b>Production</b>                                                   |
|                                | Structure sought                                                 | Exploration around team roles and relations                                  | Clarity of team roles and team cohesion                             |
| <b>Bion<sup>1</sup> (1961)</b> | <b>Dependency</b>                                                | <b>Fight or flight</b>                                                       | <b>Pairing</b>                                                      |
|                                | Team members invest the leaders with all the power and authority | Team members challenge the leaders or other members<br>Team members withdraw | Team members form pairings in an attempt to resolve their anxieties |

<sup>1</sup> Bion's insights refer to observed phenomena and do not imply a sequence.

on short projects with less than five team members, it is. However, human beings are not completely logical rational creatures, and sometimes this process is difficult. We all have emotions, personalities, unique characteristics and personal motivations.

As we saw when we were exploring individual change, human beings react to change in different ways. And the formation of a new team is about individuals adjusting to change in their own individual ways.

Initially the questions may be answered in rather a superficial fashion. The primary task of the team might be that which was written down in a memo from the departmental head, along with the structure they first thought of. The leader might typically have been appointed beforehand and 'imposed' upon the team. Individuals' roles are agreed to in an initial and individual cursory meeting with the team leader.

The team may agree to relate via a set of ground rules using words that nobody could possibly object to, but nobody knows what they really mean in practice: 'be honest', 'team before self', 'have fun', and so on.

### Storming

Tuckman's next stage is storming. This is a description of the dynamic that occurs when a team of individuals come together to work on a common task, and have

passed through the phase of being nice to one another and not voicing their individual concerns. This dynamic occurs as the team strives or struggles to answer fully the questions postulated in the forming stage.

Statements articulated (or left unsaid) in some fashion or form might include ones such as:

- I don't think we should be aiming for that.
- This structure hasn't taken account of this.
- There are rather a lot of grey areas in our individual accountabilities.
- Why was he appointed as team leader when he hasn't done this before?
- I don't know whether I can work productively with these people.
- How can we achieve our goals without the support from others in the organization?

An alternative word to storming is 'testing'. Individuals and the team as a whole are testing out the assumptions that had been made when the team was originally formed. Obviously different teams will experience this stage with different degrees of intensity, but important points to note here are:

- it is a natural part of the process;
- it is a healthy part of the process;
- it is an important part of the process.

The storming phase – if successfully traversed – will achieve clarity on all the fundamental questions of the first phase, and enable common understanding of purpose and roles to be achieved. In turn it allows the authority of the team leader to be seen and acknowledged, and it allows everyone to take up his or her rightful place within the team. It also gives team members a sense of the way things will happen within the team. It becomes a template for future ways of acting, problem solving, decision making and relating.

## Norming

The third stage of team development occurs when the team finally settles down into working towards achievement of its task without too much attention needed on the fundamental questions. As further challenges develop, or as individuals grow further into their roles, then further scrutiny of the fundamental questions may happen. They may be discussed, but if they instead remain hidden beneath the surface this can result in loss of attention on the primary task.

Tuckman suggests in his review of the research that this settling process can be relatively straightforward and sequential. The team moves through the storming phase into a way of working that establishes team norms. It can also be more

sporadic and turbulent, with the team needing further storming before team norms are established. Indeed some readers might have experienced teams that permanently move back and forth between the norming and storming stages – a clear signal that some team issues are not being surfaced and dealt with.

## Performing

The final stage of team development is performing. The team has successfully traversed the three previous stages and therefore has clarity about its purpose, its structure and its roles. It has engaged in a rigorous process of working out how it should work and relate together, and is comfortable with the team norms it has established. Not only has the team worked these things through, but it has embodied them as a way of working. It has developed a capacity to change and develop, and has learnt how to learn.

The team can quite fruitfully get on with the task in hand and attend to individual and team needs at the same time.

## Adjourning

A fifth stage was later added that acknowledged that teams do not last for ever. This stage represents the period when the team's task has been completed and team members disperse. Some practitioners call this stage *mourning*, highlighting the emotional component. Others call it *transforming* as team members develop other ways of working.

# The leadership issues in team change

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### FOOD FOR THOUGHT

Ralph Stacey, in his book *Strategic Management and Organisational Dynamics* (1993), describes what happens when a group is brought together to study the experience of being in a group, without any further task and without an appointed leader. Known as a Group Relations Conference and run by the Tavistock Institute in London, this process involves a consultant who forms part of the group to offer views on the group process but otherwise takes no conscious part in the activity. This

*always provokes high levels of anxiety in the participants... which... find expression in all manner of strange behaviours. Group discussions take on a manic form with asinine comments and hysterical laughter... the participants attack the visiting consultant... becoming incredibly rude....*

*Members try to replace the non-functioning consultant... but they rarely seem to be successful in this endeavour. They begin to pick on an individual, usually some highly individualistic or minority member of the group, and then treat this person as some kind of scapegoat. They all become very concerned with remaining part of the group, greatly fearing exclusion. They show strong tendencies to conform to rapidly established group norms and suppress their individual differences, perhaps they are afraid of becoming the scapegoat... the one thing they hardly do at all is to examine the behaviour they are indulging in, the task they have actually been given.*

The situation described in the box offers a way of exploring some of the unconscious group processes that are at work just below the surface. These are not always visible in more conventional team situations. The work of Bion (1961) and Scott Peck (1990) is useful to illuminate some of the phenomena that can be observed and experienced in groups, and highlight the challenges for leaders.

## ***Moving through dependency***

In any team formation the first thing people look for is someone to tell them what to do. This is a perfectly natural phenomenon, given that many people will want to get on with the task and many people will believe someone else knows what the task is and how it should be done.

In any unfamiliar situation or environment people can become dependent. Jon Stokes (in Obholzer and Roberts, 1994) describes what Bion observed in his experience with groups and called basic group assumptions:

a group dominated by basic assumption of dependency behaves as if its primary task is solely to provide for the satisfaction of the needs and wishes of its members. The leader is expected to look after, protect and sustain the members of the group, to make them feel good, and not to face them with the demands of the group's real purpose.

The job of the leader, and indeed the group, is not only to establish leadership credibility and accountability but to establish its limits. This will imbue the rest of the team with sufficient power for them to accomplish their tasks. The leader can do this by modelling the taking of individual responsibility and empowering others to do the same, and by ensuring that people are oriented in the right direction and have a common understanding of team purpose and objectives.

## ***Moving through conflict***

Bion's second assumption is labelled 'fight or flight'. Bion (1961) says:

There is a danger or 'enemy', which should either be attacked or fled from ... members look to the leader to devise some appropriate action... for instance, instead of considering how best to organize its work, a team may spend most of the time worrying about rumours of organizational change. This provides a sense of togetherness, whilst also serving to avoid facing the difficulties of the work itself. Alternatively, such a group may spend its time protesting angrily, without actually planning any specific action to deal with the perceived threat.

The threat might not necessarily be coming from outside, but instead might be an externalization – or projection – from the team. The real threat is from within, and the potential for conflict is between the leader and the rest of the team, and between team members themselves. Issues about power and authority and where people sit in the 'pecking order' may surface at this stage.

The leadership task here is to surface any of these dynamics and work them through, either by the building of trust and the frank, open and honest exchange of views, or by seeking clarity and gaining agreement on roles and responsibilities.

## ***Moving towards creativity***

The third assumption that Bion explored was that of pairing. This is:

based on the collective and unconscious belief that, whatever the actual problems and needs of the group, a future event will solve them. The group behaves as if pairing or coupling between two members within the group, or perhaps between the leaders of the group and some external person, will bring about salvation... the group is in fact not interested in working practically towards this future, but only sustaining a vague sense of hope as a way out of its current difficulties... members are inevitably left with a sense of disappointment and failure, which is quickly superseded by a hope that the next meeting will be better.

Once again there is a preoccupation. This time it is about creating something new, but in a fantasized or unreal way, as a defence against doing anything practical or actually performing. The antidote of course is for the leader to encourage the team members to continue in their endeavours and to take personal responsibility for moving things on. Collaborative working requires greater openness of communication and data flow.

## ***Moving through cohesion and cosiness***

Turquet (1974) has added a fourth assumption, labelled 'oneness'. This is where the team seems to believe it has come together almost for a higher purpose, or with a higher force, so the members can lose themselves in a sense of complete unity.

There are parallels to the stage of performing but somehow, once again, the team has fallen into an unconscious detraction from the primary task in hand. Attainment of a sense of oneness, cohesiveness or indeed cosiness is not the purpose the team set out to achieve. Good and close teamworking is often essential and can be individually satisfying, but it is not the purpose. Too much focus on team cohesion can lead to abdication from the task, and is only a stage on the way to full teamworking. The goal is interdependent working co-existing with collaborative problem solving. This requires the leader to set the scene and the pace, and team members to act with maturity.

See Chapter 4 for more ideas on leading change.

## **Team dysfunctions**

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### ***Lencioni's five dysfunctions of a team***

Lencioni's *The Five Dysfunctions of a Team* was published in 2002 and became an international bestseller. Although not a research-based book many internal and external consultants and team facilitators have used his ideas to develop teams, both in times of change and otherwise.

Lencioni identified five dysfunctions that teams might have, and which need to be worked through in order to become high performing. He believed that the fundamental obstacle can be an absence of trust and the team needs to address that before it can move on to the next level. He conceived of five dimensions or building blocks in the shape of a pyramid, which needed to be addressed:

#### **From distrust to trust**

*Trust can be defined as the 'reliance on the character, ability, strength, or truth of someone or something'*

MERRIAM-WEBSTER ONLINE DICTIONARY (ND)

Team members need to move from being closed with their own feelings and thoughts towards being willing to be open and honest about their own mistakes and vulnerabilities, to be keen to learn from any mistakes, and be open to supporting their team colleagues in exploring theirs. The more team members can believe that their colleagues

will deliver on what they need to, the greater the belief and the trust in each other. Being able to reveal one's weaknesses is a true leadership characteristic according to Goffee and Jones (2000) and engenders trust. This is especially important when facing the risks and anxieties associated with change, particularly when heading into unknown territory. Paradoxically, by revealing a degree of uncertainty, this can lead to a greater confidence in the leaders by the followers.

### From conflict avoidance to willingness to engage in conflict

Once you know you can trust people the robustness of the conversations the team can have increases. However, many people are averse to conflict and avoid interactions that might hurt another's feelings or provoke a defensive or aggressive retort.

In trusting relationships there is a space that allows team members to have robust conversations. This allows for disagreements and the sharing of multiple perspectives, which in turn leads to better decision making.

Both Bion (1961) and Scott Peck (1990) highlight the issue of false harmony by on the one hand being dependent on the leader and on the other faking teamliness.

### From compliance to commitment

Healthy robust discussion underpinned by trust allows the team to reach final decisions that have people's commitment due to the process by which those decisions have been made. The collective buy-in means that everyone is working in the same direction towards the same goals.

### From irresponsibility to being accountable for delivery

Once a collective decision is arrived at and the plan of action agreed the team has to take responsibility for delivering on the promise, and individual team members need to take accountability for those elements of the plan.

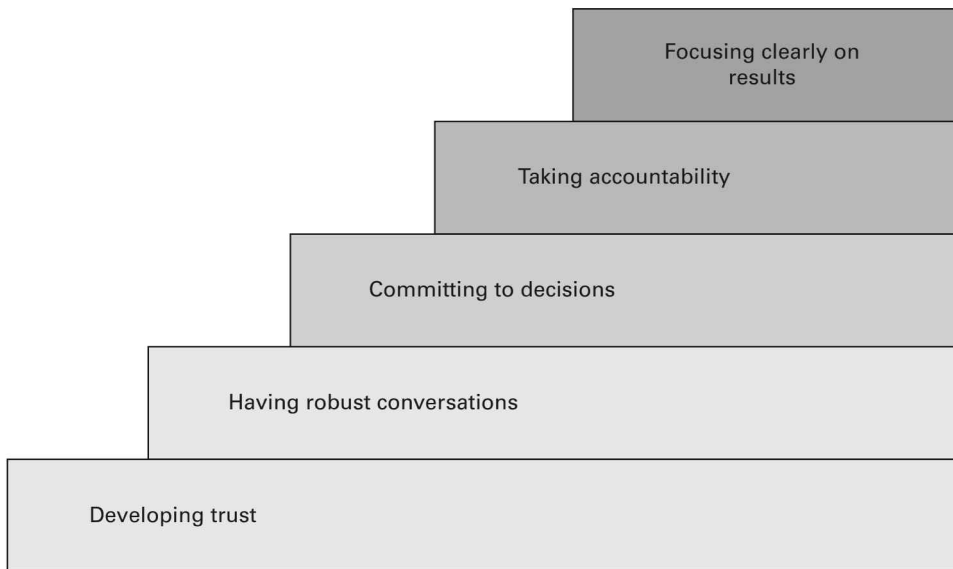
Given the high levels of trust and the collective capacity to have tough conversations, then each person and the team itself can be challenged on non-performance and there can also be focus on lessons learned.

### From varying and variable focus on other things to clear focus on results

Rather than just focusing on one's own goals, or one's own status, credibility, ego or ambition, the team needs to have a collective focus on the overall team goals, together with individual results.

When the team is accountable to each other for the delivery of the overall results, this allows them to stay focused on achieving the outcomes each of them set out to deliver.



**Figure 2.1** Lencioni's five dimensions of a team

**SOURCE** Adapted from Lencioni (2002)

### THE FIVE DYSFUNCTIONS BETWEEN THE CHANGE AND PROJECT TEAMS

When the project team is focused on achieving the technical side of the change while the change team is focused on supporting people through change and embedding the change into the organization, potential conflicts can occur (Prosci 2003, 2018; Green 2007a). These typically can include:

- The two teams developing trust and effective teamworking within their respective teams but not trusting their colleagues in the other team.
- Developing an 'us and them' attitude with communications on a 'need to know' basis, affecting a phoney teamliness but not having the robust conversations necessary to understand the challenges that each team has and having a shared sense of the reality of the situation 'at the coalface'.
- As there are two teams, decisions made by one team do not necessarily have the buy-in from the other team despite a token acceptance of that decision.
- The project team, for example, might take accountability for technical aspects of the change (indeed that is their job); however they might not see that the

corporate objective is embedding the change, so that people adopt the change and the benefits are realized. Similarly, the change team might focus too much on the people side and avoid accountability for when that gets in the way of progress on the technical side.

- Because the two teams will typically have quite different sets of objectives (the project team's clear milestones and metrics around time, quality and costs, and the change team's somewhat longer-term goals and a focus on people behaviours, and adoption and satisfaction rates) there can be quite a disconnect between the results that the project team and the change team are aiming for.

Clearly, energy spent addressing the potential dysfunctions before they happen, would be time and money well spent. Cross-team building, enabling communication strategies, working closely and collaboratively, sharing information, goals, challenges and dilemmas, would all move the change forward more effectively.

### STOP AND THINK!

**Q 2.9** Imagine that you are one of a team of five GPs working at a local practice. You want to initiate some changes in the way the team approaches non-traditional medical methods such as counselling, homeopathy and osteopathy. The GPs meet monthly for one hour to discuss finances and review medical updates. They do not really know each other well or work together on patient care. There is no real team leader, although the Practice Manager takes the lead when the group discusses administration.

Using one of the models of team development described above, explain how you could lead the team towards a new way of working together. What obstacles to progress do you predict, and how might you deal with them?

## How individuals affect team dynamics

Here we use the Myers-Briggs Type Indicator™ to see how individual personalities might influence and be influenced by the team. We also use Meredith Belbin's (1981) research into team types to indicate what types of individuals best make up an effective team.

## MBTI™ and teams

The Myers-Briggs Type Indicator™ suggests that if you are a particular type you have particular preferences and are different from other people of different types (see Table 1.6 for MBTI™ types). This means that when it comes to change, people with different preferences react differently to change, both when they initiate it and when they are on the receiving end of it. This is also true when you are a member of a team. Different people will bring their individual preferences to the table and behave in differing ways.



'If it ain't broke, don't fix it'



'Let's think ahead'



'Let's just do it'



'Let's change it'

When undergoing team change, individual team members will typically react in one of four ways (see the four illustrations):

- Some will want to ascertain the difference between what should be preserved and what could be changed. There will be things they want to keep.
- Some will think long and hard about the changes that will emerge internally from their visions of the future. They will be intent on thinking about the changes differently.
- Some will be keen to move things on by getting things to run more effectively and efficiently. They will be most interested in doing things now.
- Some will be particularly inventive and want to try something different or novel. They will be all for changing things.

The use of MBTI™, or any other personality-profiling instrument, can have specific benefits when teams are experiencing or managing change. It can identify where individuals and the team itself might have strengths to be capitalized on, and where it might have weaknesses that need to be supported.

Behaviours exhibited by team members will run ‘true to type’, so knowing your preferences and those of the rest of the team will help aid understanding. It is also true that different team tasks might be suitable for different types – either because they are best matched or because it provides a development opportunity. Surfacing differences helps individuals see things from the other person’s perspective, and adds to the effective use of diversity within the team.

Researching in the health care industry, McCaulley (1975) made the point that similarity and difference within teams can have both advantages and disadvantages:

- The more similar the team members are, the sooner they will reach common understanding.
- The more disparate the team members, the longer it takes for understanding to occur.
- The more similar the team members, the quicker the decision will be made, but the greater the possibility of error through exclusion of some possibilities.
- The more disparate the team members, the longer the decision-making process will be, but the more views and opinions will be taken into account.

McCaulley also recognized that teams valuing different types can ultimately experience less conflict.

A particular case worth mentioning is the management team. Management teams both in the United States and the United Kingdom are skewed from the natural distribution of Myers-Briggs types within the whole population. Typically they are composed of fewer people of the feeling types and fewer people of the perceiving

types. This means that management teams, when making decisions about change, are more likely to put emphasis on the business case for change, and less likely to think or worry about the effect on people. You can see the result of this in most change programmes in most organizations. They are also more likely to want to close things down, having made a decision, rather than keep their options open – thus excluding the possibility of enhancing and improving on the changes or responding to feedback.

There are some simple reminders of the advantages and disadvantages of the preferences for teams making decisions about managing change within organizations listed in Table 2.5.

**Table 2.5** Complementarity and conflict in teams

|                                                                                                                                                                |                                                                                         |                                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Extroversion</b><br>Needed to raise energy, show enthusiasm, make contacts and take action.<br>But they can appear superficial, intrusive and overwhelming. | <b>Where individuals draw their energy from</b>                                         | <b>Introversion</b><br>Needed for thinking things through and depth of understanding.<br>But can appear withdrawn, cold and aloof.                             |
| <b>Sensing</b><br>Needed to base ideas firmly in reality and be practical and pragmatic.<br>Can appear rather mundane and pessimistic.                         | <b>What an individual pays attention to or how he/she receives data and information</b> | <b>Intuition</b><br>Needed to prepare for the future and generate innovative solutions.<br>Can appear to have head in the clouds, impractical and implausible. |
| <b>Thinking</b><br>Needed to balance benefits against the costs and make tough decisions.<br>Can appear rather critical and insensitive.                       | <b>How an individual makes decisions</b>                                                | <b>Feeling</b><br>Needed to be in touch with emotional intelligence, to negotiate and to reconcile.<br>Can appear irrational and too emotional.                |
| <b>Judging</b><br>Needed for his/her organization and ability to complete things and see them through.<br>Can appear overly rigid and immovable.               | <b>What sort of lifestyle an individual enjoys</b>                                      | <b>Perceiving</b><br>Needed for his/her flexibility, adaptability and information gathering.<br>Can appear rather unorganized and somewhat irresponsible.      |

## ***Belbin's team roles***

What people characteristics need to be present for a team to function effectively? Belbin (1981) has been researching this question for half a century. The purpose of his research was to see whether high and low performing teams had certain

characteristics. He looked at team members and found that in the higher performing teams, members played a role or number of roles. Any teams without members playing one of these roles would be more likely to perform at a lower level of effectiveness. (Of course different situations require certain different emphases.) He identified the roles shown in Table 2.6, with their contributions and allowable weaknesses.

Belbin said that ‘the benefit of utilizing and understanding Team Roles is that not only do we learn more about ourselves, but also a lot about our work colleagues and how to get the best out of them’ (van Vliet, 2012).

### **STOP AND THINK!**

**Q 2.10** What team role(s) are you likely to use?

**Q 2.11** What are the advantages and disadvantages of each of the nine roles?

**Q 2.12** How might the different team roles help during the change process?

Belbin concluded that if teams were formed with individuals’ preferences and working styles in mind, they would have a better chance of team cohesion and work-related goal achievement. Teams need to contain a good spread of Belbin team types.

Different teams might need different combinations of roles. Marketing and design teams probably need more Plants, while project implementation teams need Implementers and Completer Finishers. Likewise, the lack of a particular team type can be an issue. A management team without a Co-ordinator or Shaper would have problems. An implementation team without a Complete Finisher might also struggle.

## **How well teams initiate and adapt to organizational change and build resilience**

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Throughout the last decades of the 20th century many organizations repeated the mantra, ‘people are our greatest asset’, and many would then apologize profusely when they were forced into downsizing or ‘rightsizing’ the workforce. Similarly, many organizations have sung the praises of teams and how essential they are within the modern organization. Many organizations have sets of competences or stated values that implicitly and explicitly pronounce that their employees need to work in the spirit of teamwork and partnership.

**Table 2.6** Belbin team-role summary sheet

| <div>BELBIN</div> <b>Team-Role Descriptions</b>                                                                   |                                                                                                   |                                                                     |
|-------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|
| Team Role                                                                                                         | Contribution                                                                                      | Allowable Weakness                                                  |
| <b>Plant</b><br>                 | Creative, imaginative, unorthodox. Solves difficult problems.                                     | Ignores incidentals. Too pre-occupied to communicate effectively.   |
| <b>Resource Investigator</b><br> | Extrovert, enthusiastic, communicative. Explores opportunities. Develops contacts.                | Over-optimistic. Loses interest once initial enthusiasm has passed. |
| <b>Co-ordinator</b><br>          | Mature, confident, a good chairperson. Clarifies goals, promotes decision-making, delegates well. | Can be seen as manipulative. Offloads personal work.                |
| <b>Shaper</b><br>                | Challenging, dynamic, thrives on pressure. The drive and courage to overcome obstacles.           | Prone to provocation. Offends people's feelings.                    |
| <b>Monitor Evaluator</b><br>     | Sober, strategic and discerning. Sees all options. Judges accurately.                             | Lacks drive and ability to inspire others.                          |
| <b>Teamworker</b><br>          | Co-operative, mild, perceptive and diplomatic. Listens, builds, averts friction.                  | Indecisive in crunch situations.                                    |
| <b>Implementer</b><br>         | Disciplined, reliable, conservative and efficient. Turns ideas into practical actions.            | Somewhat inflexible. Slow to respond to new possibilities.          |
| <b>Completer Finisher</b><br>  | Painstaking, conscientious, anxious. Searches out errors and omissions. Delivers on time.         | Inclined to worry unduly. Reluctant to delegate.                    |
| <b>Specialist</b><br>          | Single-minded, self-starting, dedicated. Provides knowledge and skills in rare supply.            | Contributes on only a narrow front. Dwells on technicalities.       |

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It was therefore interesting for the authors to discover that there was a real lack of any authoritative research on the interplay between organizational change and team-working. We have seen the effect that change has on individuals and groups of individuals, but what has not been studied is the effect of change on teams. And as a consequence there is very little research on strategies for managing and leading teams through organizational change.

Whelan-Berry and Gordon (2000), in their research into effective organizational change, conducted a multi-level analysis of the organizational change process. To quote them:

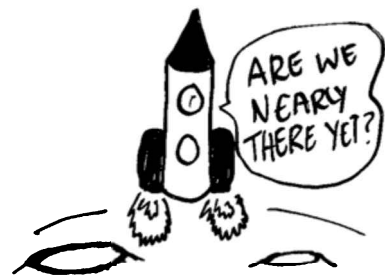
They found no change process models at the group or team level of analysis in the organization studies and change literature. Literature exists which explores different aspects of team or group development, team or group effectiveness, implementation of specific interventions, and organizational and individual aspects of the change, but not a group/team change process model ... the lack of change process models for the team or group level change process in the context of organizational change leaves a major portion of the organizational change process unclear.

They continue:

The primary focus of existing organizational change models is what to do as opposed to explaining or predicting the change process. Most of the models implicitly, and a few explicitly, acknowledge the inherent (sub) processes of group level and individual level change, but do not include the details of these processes in the model. The question is how does the change process vary when considered across levels of analysis? For example, how does a vision get 'translated,' that is, take on meaning, in each location or department? In addition, what happens at the point of implementation? We must 'double click' at the point of implementation in the organizational level change process; that is, we must look at the group and individual levels and their respective change processes to understand the translation and implementation of the organizational-level change vision and desired change outcomes to group and subsequently to individual meanings, frameworks, and behaviours.

Table 2.7 examines each type of team previously identified and looks at the way in which this type of team can impact or react to organizational change. We also look at the pros and cons of each team type when involved in an organizational change process.

Team development processes are disturbed in times of change. An external event can shift a performing team back into the storming stage. Only teams that are quite remote from the changes can simply incorporate a new scope or a new set of values and remain relatively untouched.





Teams going through change

| TYPE:                           | Group                                                                                                                                                           | Work                                                                                                                                                   | Parallel                                                                                                                                                           | Matrix                                                                                                                                                |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Easy to initiate</b>         | Dependent on nature and composition of group                                                                                                                    | Limited                                                                                                                                                | Limited in terms of organizational impact                                                                                                                          | Fair, given proper support to address change                                                                                                          |
| <b>Easy to adapt to</b>         | Dependent on purpose and composition of group                                                                                                                   | Dependent on team members and team culture                                                                                                             | Dependent on purpose and team members                                                                                                                              | Dependent on enabling or disabling structure                                                                                                          |
| <b>Easy to implement during</b> | Difficult to get alignment                                                                                                                                      | Good at implementation once it is clear                                                                                                                | Good for pilot schemes                                                                                                                                             | Flexible, so good for initiating ideas                                                                                                                |
| <b>Stages during</b>            | Useful for coming up with out-of-the-box ideas                                                                                                                  | Doesn't like change too often                                                                                                                          | Can become alienated through failure, or through boasting about success                                                                                            | Leadership sometimes not clear, so difficult to go on for long                                                                                        |
| <b>Good for leaders</b>         | Good for initiating ideas and spreading the word                                                                                                                | Need to involve the leaders or shapers of these teams early – especially if you need their commitment rather than compliance                           | Useful for starting things up and proving an idea<br>Do not let them become too isolated<br>Encourage them to link with the outside world                          | Good for initiating and spreading ideas                                                                                                               |
| <b>Possible uses in change</b>  | Can act as an organizational 'glue' to aid cohesion and create a holding environment during periods of instability<br>Can also provide a useful social function | Building change objectives into team objectives can ensure focus on change as well as business as usual<br>Can act as a two-way communications channel | Can be used to ensure vertical and horizontal communication<br>Can be used as cross-organization task force or project groups<br>Aids organizational communication | When one axis of a matrix structure is changing the other can be used as a source of stability<br>Can be used as a cross-organizational communication |

(Continued)

| TYPE:                   | Virtual                                                                                 | Network                                                                          | Management                                                                                                                                                                                                                             | Project                                                                                                                                                                                                        | Change                                                                                                                 |
|-------------------------|-----------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| <b>Why to initiate</b>  | Limited unless project specific                                                         | Potentially large depending on nature and composition of group                   | Theoretically and practically high<br>Typically should be the team that initiates change                                                                                                                                               | Potentially high depending on integration into organization                                                                                                                                                    | <i>Raison d'être</i>                                                                                                   |
| <b>Why to adapt</b>     | Dependent on purpose and team members                                                   | Dependent on purpose and team members                                            | Theoretically and practically high<br>Sometimes will have difficulty adapting to others' change                                                                                                                                        | Theoretically high<br>Good for limited changes in scope but not total                                                                                                                                          | Theoretically high<br>practically high                                                                                 |
| <b>Benefits during</b>  | Brings disparate groups together if tightly focused                                     | Wide reaching, so good for sharing sense of purpose and sense of urgency         | Powerful, so makes an impact                                                                                                                                                                                                           | Good focus for specific implementation goals                                                                                                                                                                   | Has increased sense of purpose and sense of urgency because it was necessary to make changes                           |
| <b>Drawbacks during</b> | Lack of cohesion means purpose may be misunderstood and important issues are not raised | Not good for monitoring implementation because of lack of process and regularity | Often resistant to changing through lack of time or lack of teamwork, so role modelling of desired changes can be weak<br>Focus on events after the launch often poor due to packed agenda and belief that it will all happen smoothly | Not good for tackling complex topics such as values or leadership<br>Can focus too much on the technical side at the expense of the people side of change – 'the operation was a success but the patient died' | Not impactful<br>influence (pre-emptive)<br>powerful people<br>Can ignore the business implications<br>install changes |

(Continued)

| TYPE:                    | Virtual                                                                                                                           | Network                                                                                                                                                                       | Management                                                                                                                                                                           | Project                                                                                                                                                                                                         | Change                                                                                                                                    |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Virtual leaders          | Involve the key virtual teams early – especially the leaders and shapers, but don't expect them to implement anything complicated | Good for initiating ideas and spreading the word                                                                                                                              | Do something surprising yourself if you want your management team to change the way it works<br>Insist on role modelling<br>Keep your eye on the ball because there WILL be problems | Good for short-range tasks, such as appointing consultants or researching techniques<br>Not good for the complex stuff. Don't be tempted to give a complex issue like 'improve communication' to a project team | Recruit powerful people to sponsor and model<br>Work on alignment<br>Ensure resources                                                     |
| Possible uses for change | Can be used to ensure important communication messages get reinforced<br>Can aid cohesion across geographies in times of change   | Can be used as part of the change initiatives to ensure communication and knowledge transfer, test out ideas, knowledge cafés, communities of practice, focused on the change | Senior and middle management teams have a crucial role in sponsoring and communicating change, acting as an important conduit for two-way communication and as advocates for change  | Critical for the technical aspects of the change to be implemented in accordance with time, cost and quality                                                                                                    | Critical for the aspects of the change to be implemented to ensure effective two-way communication, address areas of potential resistance |

## Team resilience

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Carmeli *et al* (2013) define team resilience as the team's belief that 'it can absorb and cope with strain, as well as a team's capacity to cope, recover, and adjust positively to difficulties' while Alliger *et al* (2015) suggest that it's the team's capacity 'to withstand and overcome stressors in a manner that enables sustained performance; it helps teams handle and bounce back from challenges that can endanger their cohesiveness and performance'.

They continue by highlighting the fact that in times of change the team cohesion can fragment and individual team members focus on their needs and their goals with the consequential reduction in team effectiveness across the dimensions we have discussed. They suggest strategies at the beginning, during and end of any change process:

Minimize adverse factors before the change through:

- anticipating challenges and planning contingencies;
- understanding current states of readiness for change;
- identifying early warning signs; and
- preparing to handle any team stressors.

Manage adverse factors during the change through:

- assessing challenges quickly and accurately;
- addressing long-standing (chronic) stressors;
- maintaining the team process under stress; and
- seeking guidance from within and outside the team.

Mend adverse impacts after the change through:

- regaining situational awareness;
- conducting team debriefs;
- addressing concerns and any points of risk; and
- expressing appreciation.

When you reflect upon these activities the key elements are the continuing focus both on the team process (knowing the why and the how) and on team relationships (within and outside of the team).

In order to build resilience within the team to address the above points it is worth looking at Sharma and Sharma (2016) who have developed a team resilience scale that identifies 10 factors for focus and development:

#### Team mastery

- Creating a learning team.
- Developing team flexibility regarding task accomplishment and innovation.

#### Group structure

- Effective allocation of work to meet team goals.
- Optimizing the team structure and size 'fit for purpose'.
- Setting operating norms and values.

#### Social capital

- Shared language ensuring free flow of information and sense making.
- Development of trust across the team.
- Attention to team relationships.

#### Collective efficacy

- Confidence in the competence of other team members to achieve their individual tasks.
- Confidence in the competence of the team to achieve the team goals.

## Summary and conclusions

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- Groups and teams are different, with different characteristics and different reasons for existing.
- Teams are important in organizational life for accomplishing large or complex tasks.
- Teamwork is important for management teams when they work on risky issues that require them to share views and align.
- There are many different types of organizational team, each with significant benefits and downsides.
- Teams can become more effective by addressing five elements:
  - team mission, planning and goal setting;
  - team roles;
  - team operating processes;
  - team interpersonal relationships; and
  - inter-team relations.

- Teams develop over time. Tuckman's forming, storming, norming and performing model is useful for understanding this process.
- The team development process involves different leadership challenges at each stage.
- Bion's work highlights four possible pitfalls that need to be worked through:
  - dependency;
  - fight or flight;
  - pairing; and
  - oneness.
- The composition of a team is an important factor in determining how it can be successful. Belbin says that well-rounded teams are best. Deficiencies in a certain role can cause problems.
- Lencioni highlights five dysfunctions of teams and the need to move them from:
  - distrust to trust;
  - conflict avoidance to willingness to engage in conflict and have robust conversations;
  - compliance to commitment to decisions;
  - irresponsibility to being individually and jointly accountable for delivery; and
  - varying and variable focus on other things to clear focus on results.
- The Myers-Briggs profile allows mutual understanding of team members' preferences for initiating or adapting to change.
- Belbin's team roles offer a way of analysing a team's fitness for purpose and encouraging team members to do something about any significant gaps.
- Leaders need to be aware of the types of team available during a change process, and how to manage these most effectively.
- Preparing teams for change and sustaining them through change is a key component for ensuring team resilience. Allinger *et al* (2015) and Sharma and Sharma (2016) identify strategies for enabling team resilience.

Below is a summary checklist of the key questions you need to be asking and answering before, during and after the change process:

- Where are the teams affected by the change process?
- What types of team are they and how might they respond to change?
- What do they need to be supported through the change process?
- How can we best use them throughout the change process?

- What additional types of team do we need for designing and implementing the changes?
- As all teams go through the transition, what resources shall we offer to ensure they achieve their objectives of managing business as usual and the changes?
- How do we ensure that teams that are dispersing, forming, integrating or realigning stay on task?
- What organizational process do we have for ensuring teams are clear about their:
  - mission, planning and goal setting;
  - roles and responsibilities
  - operating processes;
  - interpersonal relationships; and
  - inter-team relations?

# 03

## Organizational change

**T**his chapter tackles the issue of organizational change. How does the process of organizational change happen? Must change be initiated and driven through by one strong individual? Or can it be tackled collectively by a powerfully connected group of people and, by sheer momentum, the change will happen? Perhaps there is a more intellectual approach that can be taken. Are there pay-offs to understanding the whole system, determining how to change it, and predicting where resistance will occur? On the other hand, maybe change cannot be planned at all. Something unpredictable could spark a change, which then spreads in a natural way. Or is it possible that change happens differently in different contexts and cultures, and the key is to understand and stay aware of the context and system you are in?

This chapter addresses the topic of organizational change in three sections:

- 1** how organizations really work;
- 2** frameworks for organizational change; and
- 3** summary and conclusions.

In the first section we look at assumptions about how organizations work in terms of the metaphors that are most regularly used to describe them. This is an important starting point for those who are serious about organizational change. Once you become aware of the range of assumptions that shape people's attitudes to and understanding of organizations, you can take advantage of the possibilities of other ways of looking at things, and you can begin to understand how other people in your organization may view the world. You can also begin to see the limitations of each mindset and the disadvantages of taking a one-dimensional approach to organizational change.

In the second section, we set out a range of useful frameworks for understanding and approaching change developed by some of the most significant writers in this domain. This section aims to illustrate the variety of ways in which you can view the process of organizational change. We also make sense of the different models and approaches by identifying the assumptions underpinning each one. When you understand the assumptions behind a model, you can start to see its benefits and limitations.

In the third section, we come to some conclusions about organizational change, and stress the importance of being aware of underlying assumptions and context, and developing the flexibility to employ a range of different approaches.



## How organizations really work

---

We all have our own assumptions about how organizations work, developed through a combination of experience and education. The use of metaphor is an important way in which we express these assumptions. Some people talk about organizations as if they were machines. This metaphor leads to talk of organizational structures, job design and process reengineering. Others describe organizations as political systems. They describe the organization as a seething web of political intrigue where coalitions are formed and power rules supreme. They talk about hidden agendas, opposing factions and political manoeuvring.

Gareth Morgan's (2006) work on organizational metaphors was first written in 1986 and is now a classic. It is a good starting point for understanding the different beliefs and assumptions about change that exist. He says:

Metaphor gives us the opportunity to stretch our thinking and deepen our understanding, thereby allowing us to see things in new ways and act in new ways... Metaphor always creates distortions too... We have to accept that any theory or perspective that we bring to the study of organization and management, while capable of creating valuable insights, is also incomplete, biased, and potentially misleading.

In Morgan's revised edition in 2006 he writes about the shift that's still under way from a management world that conforms to bureaucratic-mechanistic principles into an electronic universe where new logics are required. He points out that gaining an understanding of how different metaphors manifest in organizations allows managers to get a clearer picture of what is going on at a deeper level. This is preferable to being taught that 'this is the way to see things' and becoming trapped in one perspective only, which is inevitably very limiting.

Morgan identifies eight organizational metaphors:

- 1 machines;
- 2 organisms;
- 3 brains;
- 4 cultures;
- 5 political systems;
- 6 psychic prisons;
- 7 flux and transformation; and
- 8 instruments of domination.

We have selected four of Morgan's organizational metaphors to explore the range of assumptions that exists about how organizational change works. These are the four that we see in use most often by managers, writers and consultants, and that

appear to us to provide the most useful insights into the process of organizational change. These are:

- organizations as machines;
- organizations as political systems;
- organizations as organisms;
- organizations as flux and transformation.

Descriptions of these different organizational metaphors appear below. See also Table 3.1, which sets out how change might be approached using the four different metaphors. In reality most organizations use combinations of approaches to tackle organizational change, but it is useful to pull the metaphors apart to see the difference in the activities resulting from different ways of thinking.

## **MACHINE METAPHOR?**

*The new organizational structure represents an injection of fresh skills into the Marketing Function.*

*Fred Smart will now head up the implementation of the Marketing Plan, which details specific investment in marketing skills training and IT systems. We intend to fill the identified skills gaps and to upgrade our customer databases and market intelligence databank. A focus on following correct marketing procedures will ensure consistent delivery of well-targeted brochures and advertising campaigns.*

MD, Engineering Company

## **Organizations as machines**

The machine metaphor is a well-used one that is worth revisiting to examine its implications for organizational change. Gareth Morgan says, 'When we think of organizations as machines, we begin to see them as rational enterprises designed and structured to achieve predetermined ends.' This picture of an organization implies routine operations, well-defined structure and job roles, and efficient working inside and between the working parts of the machine (the functional areas). Procedures and standards are clearly defined, and are expected to be adhered to.



Four different approaches to the change process

|                   | How change is tackled                                                                                                                                                                                                                                                                                                                                                                                                                              | Who is responsible                  | Guiding principles                                                                                                                                                                                                                   |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                   | Senior managers define targets and timescale. Consultants advise on techniques. Change programme is rolled out from the top down. Training is given to bridge behaviour gap.                                                                                                                                                                                                                                                                       | Senior management                   | Change must be driven from the top. Resistance can be managed. Targets set at the start of the process define the outcome.                                                                                                           |
| System            | A powerful group of individuals builds a new coalition with new guiding principles. There are debates, manoeuvrings and negotiations which eventually leads to the new coalition either winning or losing. Change then ensues as new people are in power with new views and new ways of allocating scarce resources. Those around them position themselves to be winners rather than losers.                                                       | Those with power                    | There will be winners and losers. Change requires the formation of new coalitions and new negotiations.                                                                                                                              |
| System            | There is first a research phase where data is gathered on the relevant issue (customer feedback, employee survey etc). Next the data is presented to those responsible for making changes. There is discussion about what the data means, and then what needs to be done. A solution is collaboratively designed and moved towards, with maximum participation. Training and support are given to those who need to make significant changes.      | Business improvement/HR/OD managers | There must be participation and involvement, and awareness of the need for change. The change is collaboratively designed and implemented in response to change in the environment. People need to be supported through the process. |
| Self-organization | Self-organization is a powerful force in systems, and through interaction between individuals/teams within a set of minimal, but strict rules, creative solutions arise to existing issues. Managers 'hold the space' and support issues to be resolved without resorting to traditional forms of control or top-down solutions. Access to system-wide information supports flow and allows natural amplification and dampening forces to be felt. | Someone with authority to act       | Change cannot be imposed. It emerges. Conflict and negotiation give rise to change. Managers are part of the process. Their job is to highlight gaps and contradictions.                                                             |

Author's metaphors used with permission of Sage Publications Inc.

Many of the principles behind this mode of organizing are deeply ingrained in our assumptions about how organizations should work. This links closely into behaviourist views of change and learning (see description of behavioural approach to change in Chapter 1). The key beliefs are:

- each employee should have only one line manager;
- labour should be divided into specific roles;
- each individual should be managed by objectives;
- teams represent no more than the summation of individual efforts;
- management should control and there should be employee discipline.

This leads to the following assumptions about organizational change:

- the organization can be changed to an agreed end state by those in positions of authority;
- there will be resistance, and this needs to be managed;
- change can be executed well if it is well planned and well controlled.

What are the limitations of this metaphor? The mechanistic view leads managers to design and run the organization ‘top-down’ as if it were a machine. This approach may be useful in very stable situations, but when the need for a significant change arises, this will be seen and experienced by employees as a major overhaul that is usually highly disruptive and therefore encounters resistance. Change when approached with these assumptions is therefore hard work. It will necessitate strong management action, inspirational vision, and control from the top down. (See the works of Frederick Taylor and Henri Fayol if you wish to examine further some of the original thinking behind this metaphor.)

## ***Organizations as political systems***

When we see organizations as political systems we are drawing clear parallels between how organizations are run and systems of political rule. We may refer to ‘democracies’, ‘autocracy’ or even ‘anarchy’ to describe what is going on in a particular organization. Here we are describing the style of power rule employed in that organization.

The political metaphor is useful because it recognizes the important role that power-play, competing interests and conflict have in organizational life. Gareth Morgan comments: ‘Many people hold the belief that business and politics should be kept apart... But the person advocating the case of employee rights or industrial democracy is not introducing a political issue so much as arguing for a different approach to a situation that is already political.’



The key beliefs are:

- you can't stay out of organizational politics: you're already in it;
- building support for your approach is essential if you want to make anything happen;
- you need to know who is powerful, and who they are close to;
- there is an important political map that overrides the published organizational structure;
- coalitions between individuals are more important than work teams;
- the most important decisions in an organization concern the allocation of scarce resources, that is, who gets what, and these are reached through bargaining, negotiating and vying for position.

This leads to the following assumptions about organizational change:

- the change will not work unless it's supported by a powerful person;
- the wider the support for this change, the better;
- it is important to understand the political map, and to understand who will be winners and losers as a result of this change;
- positive strategies include creating new coalitions and renegotiating issues.

What are the limitations of this metaphor? The disadvantage of using this metaphor to the exclusion of others is that it can lead to the potentially unnecessary development of complex Machiavellian strategies, with an assumption that in any organizational endeavour, there are always winners and losers. This can turn organizational life into a political war zone where purpose and values get lost along the way. (See Pfeffer's two books, *Managing with Power: Politics and influence in organizations* (1992) and *Power: Why some people have it – and others don't* (2010). Also see Beard (2017), *Women & Power: A manifesto* to explore this metaphor further.)

## **Organizations as organisms**

This metaphor of organizational life sees the organization as a living, adaptive system. Gareth Morgan says: 'The metaphor suggests that different environments favour different species of organizations based on different methods of organizing... congruence with the environment is the key to success.' For instance, in stable environments a more rigid bureaucratic organization would prosper. In more fluid, changing environments a looser, less structured type of organization would be more likely to survive.

This metaphor represents the organization as an ‘open system’. Organizations are seen as sets of interrelated sub-systems designed to balance the requirements of the environment with internal needs of groups and individuals. This approach implies that when designing organizations, we should always do this with the environment in mind. Emphasis is placed on scanning the environment and developing a healthy adaptation to the outside world. Individual, group and organizational health and happiness are essential ingredients of this metaphor. The assumption is that if the social needs of individuals and groups in the organization are met, and the organization is well designed to meet the needs of the environment, there is more likelihood of healthy adaptive functioning of the whole system (socio-technical systems).



The key beliefs are:

- there is no ‘one best way’ to design or manage an organization;
- the flow of information between different parts of the system and its environment is key to the organization’s success;
- it is important to maximize the fit between individual, team and organizational needs.

This leads to the following assumptions about organizational change:

- healthy changes are made only in response to changes in the external environment (rather than using an internal focus);
- individuals and groups need to be psychologically aware of the need for change in order to adapt;
- the response to a change in the environment can be designed and worked towards;
- participation and psychological support are necessary strategies for success.

What are the limitations of this metaphor? The idea of the organization as an adaptive system is flawed. The organization is not really just an adaptive unit, at the mercy of its environment. It can in reality shape the environment by collaborating with communities or with other organizations, or by initiating a new product or service that may change the environment in a significant way. In addition, the idealized view of coherence and flow between functions and departments is often unrealistic. Sometimes different parts of the organization run independently, and do so for good reason. For example the research department might run in a very different way to and entirely separately from the production department.

The other significant limitation of this view is noted by Morgan, and concerns the danger that this metaphor becomes an ideology. The resulting ideology says that individuals should be fully integrated with the organization. This means that work should be designed so that people can fulfil their personal needs through the organization. This can then become a philosophical bone of contention between ‘believers’ (often, but not always the HR Department) and ‘non-believers’ (often, but not always, the business directors). (See Burns and Stalker’s book *The Management of Innovation* (1961) for the original thinking behind this metaphor. More recent versions can be found in Senge’s (2006) revised book *The Fifth Discipline*, and Hawkins’s (2012) *Creating a Coaching Culture*.)

## Organizations as flux and transformation

Viewing organizations as flux and transformation takes us into areas such as complexity, chaos and paradox. This view of organizational life sees the organization as part of the environment, rather than as distinct from it. So instead of viewing the organization as a separate system that adapts to the environment, this metaphor allows us to look at organizations as simply part of the ebb and flow of the whole environment, with a capacity to self-organize, change and self-renew in line with a desire to have a certain identity.



This metaphor is the only one that begins to shed some light on how change happens in a turbulent world. This view implies that managers can nudge and shape progress, but cannot ever be in control of change. Gareth Morgan says: ‘In complex systems no one is ever in a position to control or design system operations in a comprehensive way. Form emerges. It cannot be imposed.’

The key beliefs are:

- order naturally emerges out of chaos;
- organizations have a natural capacity to self-renew;
- organizational life is not governed by the rules of cause and effect;
- key tensions are important in the emergence of new ways of doing things;
- the formal organizational structure (teams, hierarchies) only represents one of many dimensions of organizational life.

This leads to the following assumptions about organizational change:

- Change cannot be managed. It emerges.

- Managers are not outside the systems they manage. They are part of the whole environment.
- Tensions and conflicts are an important feature of emerging change.
- Managers act as enablers. They enable people to exchange views and focus on significant differences.

What are the limitations of this metaphor? This creates disturbance for more traditional managers and consultants. It does not lead to a linear action plan, or, set of policies and controls, offering instead multiple, shifting goals that align to a core purpose, with priorities and actions emerging from local interactions. Other metaphors of change appear to allow you to predict the process of change before it happens (although this is usually illusory!). With the flux and transformation metaphor, order emerges as you go along, and can only be made sense of during or after the event. This can lead to a reduced sense of authority and ‘positional power’ for senior managers that is disconcerting at first, alongside a rise in responsibility-taking and maybe even enjoyment by those nearer the front line. (See Chapter 11 on complex change for further reading on this metaphor.)

### **STOP AND THINK!**

- Q 3.1** Which view of organizational life is most prevalent in your organization?  
What are the implications of this for the organization’s ability to change in a sustainable way?
- Q 3.2** Which view are you most drawn to personally?  
What are the implications for you as a leader of change?
- Q 3.3** Which views are being espoused here? (See A, B, C and D.)

#### **A: All staff update from management team**

The whole organization is encountering a range of difficult external issues, such as increased demand from our customers for faster delivery and higher quality, more legislation in key areas of our work, and rapidly developing competition in significant areas.

Please examine the attached information regarding the above (customer satisfaction data, benchmarking data vs competitors, details of new legislation) and start working in your teams on what this means for you, and how you might respond to these pressures.

After some online exchanges and naming of the key themes/ideas etc, each region of the company will gather together in October of this year to begin to move forward with our ideas, and to strive for some alignment between different parts of the organization. We will then share a picture of the collective, shared vision and each team will decide on some concrete first steps.



**B: E-mail from CEO**

A number of people have spoken to me recently about their discomfort with the way we are tackling our biggest account. This seems to be an important issue for a lot of people. If you are interested in tackling this one, please take part in an online discussion session on Tuesday 10–12 noon GMT where we will start to explore this area of discomfort. [Click here to register.](#)

**C: WhatsApp message from one manager to another**

John seems to be in cahoots with Sarah on this issue. If we want their support for our plans we need to persuade them to drop their insistence on extra resource in the operations team. I will have a one-to-one with Sarah to get her onside. Perhaps you can speak to John as he's one of your football buddies. Let me know how you get on. Be firm! Only offer a juicy role on the upcoming project if you need to.

Our next step should be to talk this through with the key players on the Executive Board and our plans should sail through unimpeded!

**D: Announcement from MD**

As you may know, consultants have been working with us to design our new objective-setting process, which is now complete. This will be rolled out from next quarter starting with senior managers and cascading to team members.

The instructions for objective setting are very clear. Answers to FAQs will be posted next week.

This should all be working smoothly by end of the year.

## Frameworks for organizational change

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Now that we have set the backdrop to organizational behaviour and our assumptions about how things really work, let us now examine ways of looking at organizational change as represented by the range of models and approaches developed by the key authors in this field. Table 3.2 links Gareth Morgan's organizational metaphors with the frameworks for change discussed below.

### ***Lewin, three-step model: organism, machine***

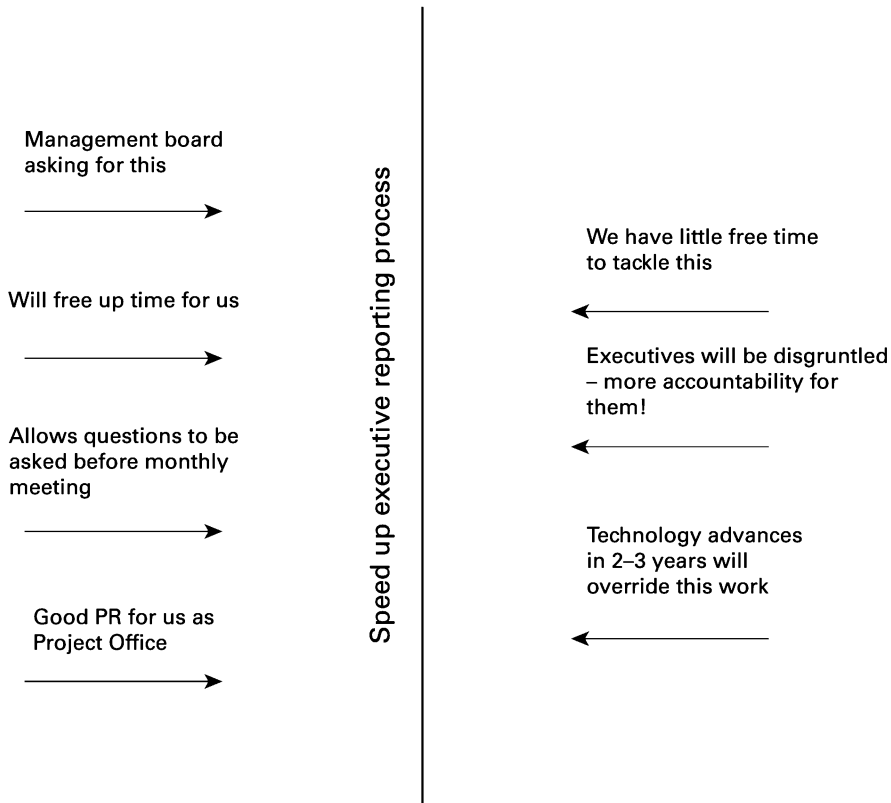
Kurt Lewin (1951) was originally a social scientist, deeply interested in resolving social conflict by facilitating learning, and became perhaps the world's first researcher into organizational change. His ideas are well known in the world of change management

**Table 3.2** Frameworks and their associated metaphors

| Frameworks                                      | Metaphor |                  |          |                         |
|-------------------------------------------------|----------|------------------|----------|-------------------------|
|                                                 | Machine  | Political system | Organism | Flux and transformation |
| Lewin, three-step model                         | ✓        |                  | ✓        |                         |
| Bullock and Batten, planned change              | ✓        |                  |          |                         |
| Kotter, dual operating system                   | ✓        | ✓                | ✓        |                         |
| Beckhard and Harris, change formula             |          |                  | ✓        |                         |
| Nadler and Tushman, congruence model            |          | ✓                | ✓        |                         |
| Bridges, managing the transition                | ✓        |                  | ✓        | ✓                       |
| Carnall, change management model                |          | ✓                | ✓        |                         |
| Senge, systemic model                           |          | ✓                | ✓        | ✓                       |
| Laloux and Robertson, self-governing structures |          |                  | ✓        | ✓                       |

and are most closely aligned with the organism metaphor. His work is based on four connected themes: field theory, group dynamics, action research and the three-step model. It's important to understand that he saw all four themes as part of a mutually reinforcing whole, together offering a way of enabling planned change (see Burnes (2004) for more on this). Here's a short description of each theme:

- *Field theory* is a way of mapping out and understanding the forces acting on and within a group, and therefore understanding the complexity of the context in which current behaviour takes place (see a simple example in Figure 3.1).
- Relatedly, Lewin was one of the first people to talk about *group dynamics*, as he saw how fruitless it was to concentrate on just changing the behaviour of individuals, given that factors such as group norms, roles and interactions are the things that either create disequilibrium and change or keep things stable. So in Figure 3.1, if the desire of a manager is to speed up the executive reporting process, then somehow the forces on the left, or 'driving forces' need to be increased, and the force on the right, or 'resisting forces' decreased in a way that creates movement towards permanent change.
- *Action research* was a method developed by Lewin to work with groups who needed to get clarity on the current situation, the dangers/risks, and the possible

**Figure 3.1** Lewin's force field analysis

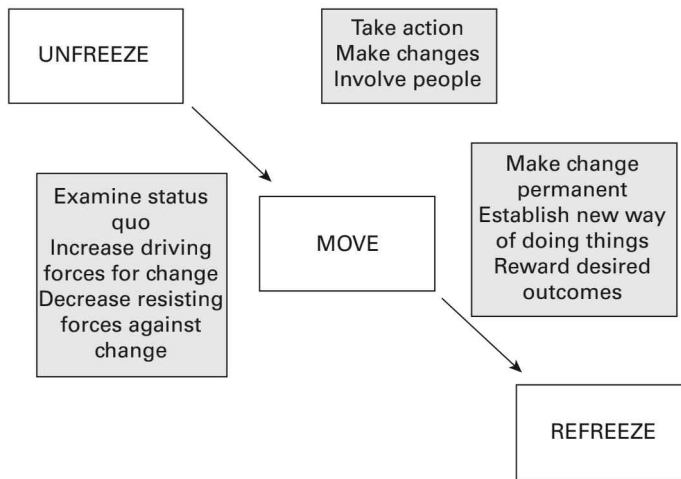
**SOURCE** Lewin (1951)

next steps. He saw change as a process that has to take place at the group level, in a participative and collaborative way.

- The *three-step model of change* was developed not just for organizations, but for communities and wider society.

Lewin offered a way of looking at the overall process of making changes. He proposed that organizational changes have three steps. The first step involves unfreezing the current state of affairs in a way that destabilizes the equilibrium and unleashes some energy for change. This means defining the current state, surfacing the driving and resisting forces and picturing a desired end state. The second is about moving to a new state through participation and involvement using an iterative approach such as action research. The third focuses on refreezing and stabilizing the new state of affairs which in an organizational context usually means setting new policies, processes and standards. See Figure 3.2 for the key steps in this process.

Lewin's three-step model uses the organism metaphor of organizations, which includes the notion of *homeostasis* (see box below, within paragraphs referring to

**Figure 3.2** Lewin's three-step model

**SOURCE** Lewin (1951)

Senge's ideas). This is the tendency of an organization to maintain its equilibrium via resisting forces in response to disrupting changes. This means that any organization has a natural tendency to adjust itself back to its original quasi-stationary state. Lewin argued that a new state of equilibrium has to be intentionally moved towards, and then strongly established, so that a change will 'stick'.

Lewin's model enables a process consultant to take a group of people through the unfreeze, move and refreeze stages. For example, if a team of people began to see the need to radically alter their recruitment process, the consultant would work with the team and its leaders to surface the issues, move to the desired new state and reinforce that new state.

We have observed that Lewin's three-step model is sometimes used by managers as a planning tool rather than as an organizational development process. The unfreeze becomes a planning session. The move translates to implementation. The refreeze is a post-implementation review. This approach ignores the fundamental assumption of the organism metaphor, which is that groups of people will change only if there is a collective 'felt need' to do so. The change process can then turn into an ill-thought-out plan that does not tackle resistance and fails to harness the energy of the key players. This is rather like the process of blowing up a balloon and forgetting to tie a knot in the end!



## ***Bullock and Batten, planned change: machine***

Bullock and Batten's (1985) phases of planned change draw on the disciplines of project management. There are many similar 'steps to changing your organization' models to choose from. We have chosen Bullock and Batten's:

- exploration;
- planning;
- action; and
- integration.

Exploration involves verifying the need for change, and acquiring any specific resources (such as expertise) necessary for the change to go ahead. Planning is an activity involving key decision makers and technical experts. A diagnosis is completed and actions are sequenced in a change plan. The plan is signed off by management before moving into the action phase. Actions are completed according to plan, with feedback mechanisms that allow some re-planning if things go off track. The final integration phase is started once the change plan has been fully actioned. Integration involves aligning the change with other areas in the organization, and formalizing them in some way via established mechanisms such as policies, rewards and company updates.

This particular approach implies the use of the machine metaphor of organizations. The model assumes that change can be defined and moved towards in a planned way. A project management approach simplifies the change process by isolating one part of the organizational machinery in order to make necessary changes, for example developing leadership skills in middle management, or reorganizing the sales team to give more engine power to key sales accounts.

This approach implies that the organizational change is a technical problem that can be solved with a definable technical solution. We have observed that this approach works well with isolated issues, but works less well when organizations are facing complex, unknowable change that may require those involved to discuss the current situation and possible futures at greater length before deciding on one approach.

For example, we know of one organization which, on receiving a directive from the CEO to 'go global', immediately set up four tightly defined projects to address the issue of becoming a global organization. These were labelled 'global communication', 'global values', 'global leadership' and 'global balanced scorecard'. While on the surface this seems a sensible and structured approach, there was no upfront opportunity for people to build any awareness of current issues, or to talk and think more widely about what needed to change to support this directive. Predictably, the projects ran aground in the 'action' stage due to confusion about goals and dwindling motivation within the project teams.

## **Kotter, dual operating system: machine, political, organism**

Kotter is one of the most influential writers and teachers in the change leadership field, based on i) his original *Harvard Business Review* article focusing on why transformation efforts fail, and how to lead change effectively (1995) and ii) his best-selling book *Leading Change* (1996). His later *Harvard Business Review* article Accelerate! (2012) revisits and updates his original thinking on how to lead and manage organizational change. His later thinking was a response to the huge challenges of constant renewal and innovation that most organizations beyond the 'start-up stage' now face.

Kotter points out that today's companies have to constantly seek competitive advantage, while delivering on the day-to-day and this requires a *dual operating system*. This idea combines two interconnected elements: a management-driven hierarchy, working in partnership with a strategy network. The strategy network is the 'new' element: flexible and adaptable, peopled by both full-time and part-time volunteers (10 per cent of staff is plenty) and focusing on vision, agility, inspired action and celebration rather than budgets, reviews and project management. The hierarchy is therefore less burdened by the strategic change agenda items such as articulation of strategy, gathering and processing information, tiger teams (a team of specialists in a particular field brought together to work on specific tasks), etc.

Kotter recommends 'eight accelerators' which are fundamental processes that enable the strategy network to function well (see box). He also stresses that this 'volunteer army' is not a separate group of consultants or new hires or the 'chosen few'. Members are equal in status to each other when working together in the network, which grows and morphs over time rather than via a big bang.

It seems the advantages of Kotter's approach are:

- Genuine, trusted capacity is found for tackling strategic change by defining a clear framework, and asking for volunteers to come forward to take part in the strategy network.
- The dual operating system provides a potentially helpful, liberating separation between the more mechanistic elements of day to day organizational performance management and the creative, forward-looking, radical approaches that can be needed to keep competitive.

The disadvantages or difficulties could be:

- If the single big opportunity is unpopular, unclear or threatening to some, buy-in is likely to be difficult or patchy and volunteers may have to be persuaded.
- In an atmosphere of unrest or habitual dysfunction, the dual operating system could create politics among leaders where there is a battle for control of day-to-day resources (eg, budgets, key people, etc) and/or strategic direction.

## KOTTER – THE EIGHT ACCELERATORS

Processes to support the functioning of the strategy network:

- 1 Create a sense of urgency around a single big opportunity. *This keeps awareness levels high and acts as an antidote to complacency. Execs need to help draft and continually reinforce.*
- 2 Build and maintain a guiding coalition. *Volunteers who represent a wide spread of departments and skills, trusted by leadership, some outstanding managers and leaders, equal status with no internal hierarchy.*
- 3 Formulate a strategic vision and develop change initiatives designed to capitalize on the strategic opportunity. *This depends on careful and creative work by the guiding coalition (GC), and a strong, mutually respectful partnership between the GC and the exec committee.*
- 4 Communicate the vision and the strategy to create buy-in and to attract a growing volunteer army. *With 10 per cent of the organization involved in the GC, motivation can be fired up in new ways with a lively, 'high-stakes' vision and strategy.*
- 5 Accelerate movement towards the vision and the opportunity by ensuring that the network removes barriers. *The network can mobilize efforts to investigate cross-organizational issues that are impeding progress and design/test solutions. These issues can be flagged-up by the traditional hierarchy.*
- 6 Celebrate visible, significant short-term wins. *It's important for the network to advertise successes as it helps with their own motivation, and supports wider buy-in to the dual system.*
- 7 Never let up. Keep learning from experience. Don't declare victory too soon. *Urgency is vital, and volunteers need to keep creating new strategic initiatives in response to the shifting context and goals. Taking the 'foot off the gas' in the strategy network results in the hierarchy reasserting its authority.*
- 8 Institutionalize strategic changes in the culture. *No strategic initiative is complete until it has been absorbed into the day-to-day culture and process of the organization. This is part of the role of the GC.*

**SOURCE** Adapted from Kotter (2012)

**STOP AND THINK!**

**Q 3.4** Reflect on an organizational change in which you were involved. How much planning was done at the start? How much adaptation or flexibility to unexpected outcomes or obstacles took place along the way? What contribution did this make to the success or otherwise of the change? Was the change celebrated and institutionalized in any way?

***Beckhard and Harris, change formula: organism***

Beckhard and Harris (1987) developed their change formula from some original work by Gleicher (1969). The change formula is a concise way of capturing the process of change and identifying the factors that need to be strongly in place for change to happen. Beckhard and Harris say:

Factors A, B, and D must outweigh the perceived costs [X] for the change to occur. If any person or group whose commitment is needed is not sufficiently dissatisfied with the present state of affairs [A], eager to achieve the proposed end state [B] and convinced of the feasibility of the change [D], then the cost [X] of changing is too high, and that person will resist the change.

... resistance is normal and to be expected in any change effort. Resistance to change takes many forms; change managers need to analyze the type of resistance in order to work with it, reduce it, and secure the need for commitment from the resistant party.

The formula is sometimes written  $(A \times B \times D) > X$ . This adds something useful to the original formula. The multiplication implies that if any one factor is zero or near zero, the product will also be zero or near zero and the resistance to change will not be overcome. This means that if the vision is not clear, or dissatisfaction with the current state is not felt, or the plan is obscure, the likelihood of change is severely reduced. These factors (A, B, D) do not compensate for each other if one is low. All factors need to have weight.

**Figure 3.3** Beckhard's formula

$$C = [ABD] > X$$

C = Change

A = Level of dissatisfaction with the status quo

B = Desirability of the proposed change or end state

D = Practicality of the change (minimal risk and disruption)

X = 'Cost' of changing



This model comes from the organism metaphor of organizations, although it has been adopted by those working with a planned change approach to target management effort. Beckhard and Harris however emphasized the need to design interventions that allow these three factors to surface in the organization.

A useful extension to this formula has been offered by Mike Green (2007a), where he has reframed the existing three factors in more managerial language, and added two new ones: ‘capacity to change’ and ‘capability to change’.

Green asserts that without sufficient organizational capacity or ‘bandwidth’ there will be stress and frustration. Often tension arises between delivering the day-to-day and the work required to understand, design, agree and implement changes. Key questions are ‘is there energy for this change?’, ‘are resources available?’ and ‘what might we need to stop doing to make space for this?’

Green also states that without organizational capability there will be anxiety and errors. Forward planning needs to consider investment in good-quality skills training or on-the-job coaching, and this planned support needs to be communicated to those affected to reduce anxiety.

Thus the updated formula reads:

$$C = [\text{pressure for change}] \times [\text{a clear shared vision}] \times [\text{capacity to change}] \times [\text{capability to change}] \times [\text{actionable first steps}] > [\text{Resistance to change}]$$

This formula is useful when working with an executive team or change team to consider the best way of approaching either large or small change processes, either at the start or as part of a review of progress. It allows them to reflect on the current situation, and how much work needs to be done to create the level of awareness, urgency, clarity and confidence required to enable changes to happen. The puzzle of course is where to start, who to involve, how much upfront planning to do and how much to control and drive things versus liberating energy for change.

This change formula is deceptively simple but extremely useful. It can be brought into play at any point in a change process to reflect on how things are going. When the formula is shared with all parties involved in the change, it helps to illuminate what various parties need to do to make progress. This can highlight several of the following problem areas:

- there is insufficient pressure or ‘felt need’ for change;
- the vision or ‘end state’ is not sufficiently clear, and/or is not shared;
- the capacity available for spending time and effort on change work is not sufficient;
- people do not have the right skills to implement the changes required.

We have noticed that depending on the metaphor in use, distinct differences in approach result from using this formula as a starting point. For instance, one public

sector organization successfully used this formula to inform a highly consultative approach to organizational change. The vision was built and shared at a large-scale event involving hundreds of people. Dissatisfaction was captured using an employee survey that was fed back to everyone in the organization and discussed at team meetings. Teams were asked to work locally on using the employee feedback and commonly created vision to define their own first steps.

In contrast, a FTSE 100 company based in the UK used the formula as a basis for boosting its change management capability via a highly rated change management programme. Gaps in skills were defined and training workshops were run for the key managers in every significant project team around the company. Three areas of improvement were targeted:

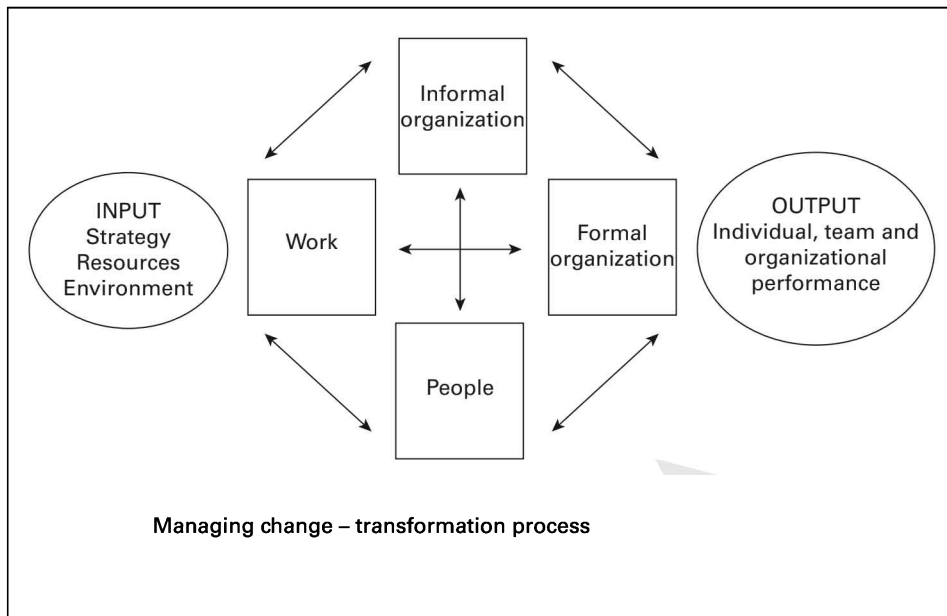
- 1 Vision:** project managers were encouraged to build and communicate clearer, more compelling project goals.
- 2 Dissatisfaction:** this was translated into two elements – clear rationale and a felt sense of urgency. Project managers were encouraged to improve their ability to communicate a clear rationale for making changes. They were also advised to set clear deadlines and stick to them, and to visibly resource important initiatives, to increase the ‘felt need’ for change.
- 3 Practical first steps:** project managers were advised to define their plans for change early in the process and to communicate these in a variety of ways, to improve the level of buy-in from implementers and stakeholders.

### ***Nadler and Tushman, congruence model: political, organism***

Nadler and Tushman’s congruence model takes a different approach to looking at the factors influencing the success of the change process (Nadler and Tushman, 1997). This model aims to help us understand the dynamics of what happens in an organization when we try to change it.

This model is based on the belief that organizations can be viewed as sets of interacting sub-systems that scan and sense changes in the external environment. This model sits firmly in the open systems school of thought, which uses the organism metaphor to understand organizational behaviour. However, the political backdrop is not ignored; it appears as one of the sub-systems (informal organization – see below).

This model views the organization as a system that draws inputs from both internal and external sources (strategy, resources and environment) and transforms them into outputs (activities, behaviour and performance of the system at three levels: individual, group and total). The heart of the model is the opportunity it offers to analyse the transformation process in a way that does not give prescriptive answers, but instead stimulates thoughts on what needs to happen in a specific organizational context. David Nadler writes: ‘it’s important to view the congruence model as a tool

**Figure 3.4** Nadler and Tushman's congruence model

**SOURCE** Nadler and Tushman (1997). Copyright © Oxford University Press.  
Used by permission of Oxford University Press, Inc.

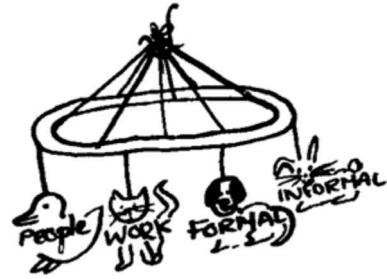
for organizing your thinking... rather than as a rigid template to dissect, classify and compartmentalize what you observe. It's a way of making sense out of a constantly changing kaleidoscope of information and impressions.'

The model draws on the sociotechnical view of organizations that looks at managerial, strategic, technical and social aspects of organizations, emphasizing the assumption that everything relies on everything else. This means that the different elements of the total system have to be aligned to achieve high performance as a whole system; so the higher the congruence the higher the performance.

In this model of the transformation process, the organization is composed of four components, or sub-systems, which are all dependent on each other. These are:

- 1 The work.** This is the actual day-to-day activities carried out by individuals. Process design, pressures on the individual and available rewards must all be considered under this element.
- 2 The people.** This is about the skills and characteristics of the people who work in an organization. What are their expectations, what are their backgrounds?
- 3 The formal organization.** This refers to the structure, systems and policies in place. How are things formally organized?
- 4 The informal organization.** This consists of all the unplanned, unwritten activities that emerge over time such as power, influence, values and norms.

This model proposes that effective management of change means attending to all four components, not just one or two components. Imagine tugging only one part of a child's mobile. The whole mobile wobbles and oscillates for a bit, but eventually all the different components settle down to where they were originally. So it is with organizations. They easily revert to the original mode of operation unless you attend to all four components.



For example, if you change one component, such as the type of work done in an organization, you need to attend to the other three components too. The following questions pinpoint the other three components that may need to be aligned:

- How does the work now align with individual skills? (The people.)
- How does a change in the task line up with the way work is organized right now? (The formal organization.)
- What informal activities and areas of influence could be affected by this change in the task? (The informal organization.)

If alignment work is not done, organizational 'homeostasis' (see earlier in this chapter) will result in a return to the old equilibrium and change will fizzle out. The fizzling out results from forces that arise in the system as a direct result of lack of congruence. When a lack of congruence occurs, energy builds in the system in the form of resistance, control and power:

- Resistance comes from a fear of the unknown or a need for things to remain stable. A change imposed from the outside can be unsettling for individuals. It decreases their sense of independence. Resistance can be reduced through participation in future plans, and by increasing the anxiety about doing nothing (increasing the 'felt need' for change).
- Control issues result from normal structures and processes being in flux. The change process may therefore need to be managed in a different way by, for instance, employing a transition manager.
- Power problems arise when there is a threat that power might be taken away from any currently powerful group or individual. This effect can be reduced through building a powerful coalition to take the change forward (see Kotter, above).

The Nadler and Tushman framework offers a memorable checklist for anyone involved in the change process. We have also noticed that this model is particularly good for pointing out in retrospect why changes did not work, which although psychologically satisfying is not always a productive exercise. It is important to note that this model is problem-focused rather than solution-focused, and lacks any reference to the powerful effects of a guiding vision, or to the need for setting and achieving goals.

## ***Bridges, managing the transition: machine, organism, flux and transformation***

The work of Bridges has a timeless wisdom and his books still have great currency over 25 years since his best-known work, *Managing Transitions*, was originally published in 1991. His simple yet profound transition model, now available in a revised and refreshed edition (Bridges and Bridges, 2017) continues to shed a particularly bright light on the question of why so many transformation efforts get stuck or fail.

Bridges' main assertion back in 1991 was that change and transition are very different animals. When circumstances change, it does not necessarily mean that the people involved are immediately psychologically and emotionally in line with this. There is a time-lag while the new situation sinks in and old mindsets and behaviours are either let go of or adapted in some way. Of course this may be easier or more difficult depending on a range of personal and organizational factors.

Bridges (with Bridges) makes a clear distinction between planned change and transition. He labels transition as the more complex of the two, and focuses on enhancing our understanding of what goes on during transition and of how we can manage this process more effectively. In this way, he manages to separate the mechanistic functional changes from the natural human process of becoming emotionally aware of change and adapting to the new way of things.

Bridges says:

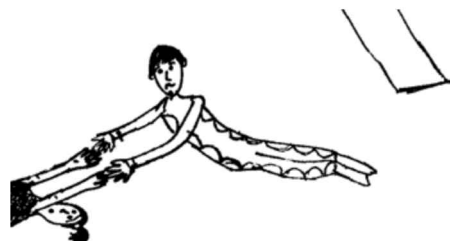
Transition is about letting go of the past and taking up new behaviours or ways of thinking. Planned change is about physically moving office, or installing new equipment, or re-structuring. Transition lags behind planned change because it is more complex and harder to achieve. Change is situational and can be planned, whereas transition is psychological and less easy to manage.

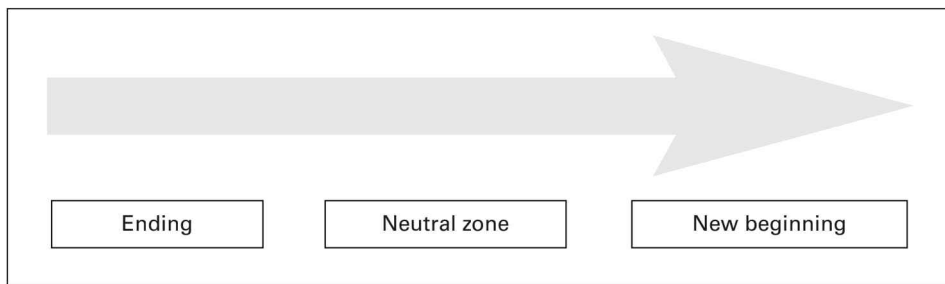
Bridges' ideas on transition lead to a deeper understanding of what is going on when an organizational change takes place. While focusing on the importance of understanding what is going on emotionally at each stage in the change process, Bridges also provides a list of useful activities to be attended to during each phase (see Chapter 4 on leading change).

Transition consists of three phases: ending, neutral zone and new beginning; see Figure 3.5.

### **Ending**

Before you can begin something new, you have to end what used to be. You need to identify who is losing what, expect a reaction and acknowledge the losses openly. Repeat information about what is changing – it will take time to sink in. Mark the endings.



**Figure 3.5** Bridges: endings and beginnings

## Neutral zone

In the neutral zone, people feel disoriented. Motivation falls and anxiety rises. Consensus may break down as attitudes become polarized. It can also be quite a creative time as people feel liberated from a sense of control and predictability. The manager's job is to ensure that people recognize the neutral zone and treat it as part of the process. Temporary structures may be needed – possibly task forces and smaller teams. The manager needs to find a way of taking the pulse of the organization on a regular basis and making the most of this zone's possibilities for renewal and innovation.

Bridges suggested that we could learn from Moses and his time in the wilderness to really gain an understanding of how to manage people during the neutral zone.

## MOSES AND THE NEUTRAL ZONE

- **Magnify the plagues.** Increase the felt need for change.
- **Mark the ending.** Make sure people are not hanging on to too much of the past.
- **Deal with the murmuring.** Don't ignore people when they complain; it might be significant.
- **Give people access to the decision makers.** Two-way communication with the top is vital.
- **Capitalize on the creative opportunity provided by the wilderness.** The neutral zone provides a difference that allows for creative thinking and acting.
- **Resist the urge to rush ahead.** You can slow things down a little.
- **Understand the neutral zone leadership is special.** This is not a normal time. Normal rules do not apply.

**SOURCE** Bridges and Mitchell (2002)

## New beginning

Beginnings should be nurtured carefully. They cannot be planned and predicted, but they can be encouraged, supported and reinforced. Bridges suggests that people need four key elements to help them make a new beginning:

- 1 the *purpose* behind the change;
- 2 a *picture* of how this new organization will look and feel;
- 3 a step by step *plan* to get there;
- 4 a *part to play* in the outcome.

The beginning is reached when people feel they can make the emotional commitment to doing something in a new way. Bridges makes the point that the neutral zone is longer and the endings are more protracted for those further down the management hierarchy. This can lead to impatience from managers who have emotionally stepped into a new beginning, while their people appear to lag behind, seemingly stuck in an ending (see box).

### IMPATIENT FOR ENDINGS?

As part of the management team, I knew about the merger very early, so by the time we announced it to the rest of the company, we were ready to fly with the task ahead.

What was surprising, and annoying, was the slow speed with which everyone else caught up. My direct reports were asking detailed questions about their job specifications and exactly how it was all going to work when we had fully merged. Of course I couldn't answer any of these questions. I was really irritated by this, as it felt like they were blind to the positives.

The CEO had to have a long, intensive heart-to-heart with the whole team explaining what was going on and how much we knew about the future state of the organization before we could really get moving.

This phased model is particularly useful when organizations are faced with inevitable changes such as closure of a site, redundancy, acquisition or merger. The endings and new beginnings are real tangible events in these situations, and the neutral zone important, though uncomfortable. It is more difficult to use the model for anticipatory change or home-grown change where the endings and beginning are more fluid and therefore harder to discern.

Change agents and line leaders can use this model to encourage everyone involved to get a sense of where they are in the process of transition. The image of the trapeze artist is often useful to share as it creates the feeling of leaping into the unknown, and trusting in a future that cannot be grasped fully. This can be a scary process.

The other important message from Bridges is that those close to the changes (managers and team leaders) may experience difficulty when they have reached a new beginning and their people are still working on an ending. This is one of the great frustrations of this type of change process, and we counsel managers in this situation to:

- recognize what is happening;
- carry on communicating next steps while acknowledging the team's feelings;
- be prepared to answer questions about the future again and again and again;
- say you don't know, if you don't know;
- expect the neutral zone to last a while and give it a positive name such as 'setting our sights' or 'moving in' or 'getting to know you'.

### ***Carnall, change management model: political, organism***

Colin Carnall (2014) presents a useful model that brings together a number of perspectives on change. He says that the effective management of change depends on the level of management skill in the following areas:

- managing transitions effectively;
- dealing with organizational cultures;
- managing organizational politics.

A manager who is skilled in *managing transitions* is able to help people to learn as they change and create an atmosphere of openness and risk taking.

A manager who *deals with organizational cultures* examines the current organizational culture and starts to develop what Carnall calls 'a more adaptable culture'. This means, for example, developing better information flow, more openness and greater local autonomy.

A manager who is able to *manage organizational politics* can understand and recognize different factions and different agendas as they shift and change. He or she develops skills in utilizing and recognizing various political tactics such as building coalitions, using outside experts and marshalling the agenda.

Carnall (see Figure 3.6) makes the point that 'only by synthesizing the management of transition, dealing with organizational cultures and handling organizational politics constructively, can we create the environment in which creativity, risk taking and the rebuilding of self-esteem and performance can be achieved'.

Carnall's model obviously focuses on the role of the manager during a change process, rather than illuminating the process of change. It provides a useful checklist for management attention, and has strong parallels with Bridges' ideas of endings, transitions and beginnings.



**Figure 3.6** Carnall: managing major changes

**SOURCE** Carnall and By (2014). Printed with permission of Pearson Education Ltd.

### STOP AND THINK!

**Q 3.5** Compare the Nadler and Tushman congruence model with Bridges' ideas on managing transitions. How are these ideas the same? How are they different?

## Senge et al: systemic model: political, organism, flux and transformation



If you are particularly interested in sustainable change, then the ideas and concepts in Senge *et al* (2014) will be of interest. *The Dance of Change* seeks to help 'those who care deeply about building new types of organizations' to understand the challenges ahead.

Senge *et al* observe that many change initiatives fail to achieve hoped-for results. They reflect on why this might be so, commenting, 'To understand why sustaining significant change is so elusive, we need to think less like managers and more like biologists.' Senge *et al* talk about the myriad of 'balancing processes' or forces of homeostasis that act to preserve the status quo in any organization.

## HOMEOSTASIS IN ACTION

*We wanted to move to a matrix structure for managing projects. There was significant investment of time and effort in this initiative as we anticipated pay-off in terms of utilization of staff and ability to meet project deadlines. This approach would allow staff to be freed up when they were not fully utilized, so that they could work on a variety of projects.*

*Consultants worked with us to design the new structure. Job specs were rewritten. People understood their new roles and dual reporting lines via business unit manager and project manager. For a couple of months, it seemed to be working. But after four months, we discovered that the project managers were just carrying on working in the old way, as if they still 'owned' the technical staff. They would even lie about utilization, just to stop other project managers from getting hold of their people.*

*I don't think we have moved on very much at all.*

Business Unit Manager, Research Projects Department

Senge *et al* say:

Most serious change initiatives eventually come up against issues embedded in our prevailing system of management. These include managers' commitment to change as long as it doesn't affect them; 'undiscussable' topics that feel risky to talk about; and the ingrained habit of attacking symptoms and ignoring deeper systemic causes of problems.

Their guidelines are:

- start small;
- grow steadily;
- don't plan the whole thing;
- expect challenges – it will not go smoothly!

Senge *et al* use the principles of environmental systems to illustrate how organizations operate and to enhance our understanding of what forces are at play. Senge says in his book, *The Fifth Discipline* (2006):

Business and other human endeavours are also systems. They too are bound by invisible fabrics of interrelated actions, which often take years to fully play out their effects on each other. Since we are part of that lacework ourselves, it's doubly hard to see the whole patterns of change. Instead we tend to focus on snapshots of isolated parts of the systems, and wonder why our deepest problems never seem to get solved.

The approach taken by Senge *et al* is noticeably different from much of the other work on change, which focuses on the early stages such as creating a vision, planning, finding energy to move forward and deciding on first steps. They look at the longer-term issues of sustaining and renewing organizational change. They examine the challenges of first initiating, second sustaining and third redesigning and rethinking change. The book does not give formulaic solutions, or ‘how to’ approaches, but rather gives ideas and suggestions for dealing with the balancing forces of equilibrium in organizational systems (resistance).

What are the balancing forces that those involved in change need to look out for? Senge *et al* say that the key challenges of initiating change are the balancing forces that arise when any group of people starts to do things differently:

- ‘We don’t have time for this stuff!’ People working on change initiatives will need extra time outside of the day-to-day to devote to change efforts, otherwise there will be push back.
- ‘We have no help!’ There will be new skills and mindsets to develop. People will need coaching and support to develop new capabilities.
- ‘This stuff isn’t relevant!’ Unless people are convinced of the need for effort to be invested, it will not happen.
- ‘They’re not walking the talk!’ People look for reinforcement of the new values or new behaviours from management. If this is not in place, there will be resistance to progress.

They go on to say that the challenges of sustaining change come to the fore when the pilot group (those who start the change) becomes successful and the change begins to touch the rest of the organization:

- ‘This stuff is \_\_\_\_!’ This challenge concerns the discomfort felt by individuals when they feel exposed or fearful about changes. This may be expressed in a number of different ways such as, ‘This stuff is taking our eye off the ball’ or, ‘This stuff is more trouble than it’s worth.’
- ‘This stuff isn’t working!’ People outside the pilot group, and some of those within it, may be impatient for positive results. Traditional ways of measuring success do not always apply, and may end up giving a skewed view of progress.
- ‘We have the right way!’/‘They don’t understand us!’ The pilot group members become evangelists for the change, setting up a reaction from the ‘outsiders’.

The challenges of redesigning and rethinking change appear when the change achieves some visible measure of success and starts to impact on ingrained organizational habits:

- ‘Who’s in charge of this stuff?’ This challenge is about the conflicts that can arise between successful pilot groups, who start to want to do more, and those who see themselves as the governing body of the organization.
- ‘We keep reinventing the wheel!’ The challenge of spreading knowledge of new ideas and processes around the organization is a tough one. People who are distant from the changes may not receive good quality information about what is going on.
- ‘Where are we going and what are we here for?’ Senge says: ‘engaging people around deep questions of purpose and strategy is fraught with challenges because it opens the door to a traditionally closed inner sanctum of top management’.

Senge’s ideas can perhaps be usefully distilled into these five simple messages:

- consider running a pilot for any large-scale organizational change;
- keep your change process goals realistic, especially when it comes to timescales and securing resources;
- understand your role in staying close to change efforts beyond the kick-off;
- recognize and reward activities that are already going the right way;
- be as open as you can about the purpose and mission of your enterprise.

There are no standard ‘one size fits all’ answers in the book, but plenty of thought-provoking ideas and suggestions, and a thoroughly inspirational reframing of traditional ways of looking at change. In a nutshell the advice is: start small.

### **STOP AND THINK!**

**Q 3.6** Reflect on an organizational change in which you were involved that failed to achieve hoped-for results. What were the balancing forces that arose, and how were these responded to and by whom?

## ***Laloux and Robertson, self-governing structures: organism, flux and transformation***

Self-governing structures, sometimes referred to as ‘holacracy’, ‘self-managed teams’ or ‘Evolutionary-Teal cultures’ have grown out of a combination of agile software development, the lean movement, human development work and a more general wish to move away from toxic or dysfunctional, hierarchical organizational systems. These organizational forms and tools, already embedded in many organizations, have been studied in depth by Laloux (2014) and explored through practice and research by Robertson (2016).

They are often misunderstood as flat or ‘structure-free’. Instead they use a different type of structure that functions like a network without a single control centre, similar to the brain. This way of working is much more adapted to the complexity of modern organizations than traditional hierarchies.

## Self-management structures and processes

Laloux has studied a wide range of organizations that model what he calls an ‘Evolutionary-Teal’ culture. An Evolutionary-Teal organization represents the latest breakthrough in human consciousness and a step change in our ability to collaborate and organize. This is based on a large body of research that points to a series of successive stages of human development of individuals and cultures, in which breakthrough activity opens the door to a new, more complex stage that’s better adapted to the current context (see Laloux (2014) and Cameron and Green (2017)).

At the Evolutionary-Teal stage, the organization is seen and experienced as a living entity, with a clear sense of its own evolving purpose. Its information systems are open, there is collective decision making and respect for the balance between freedom and accountability. A key breakthrough is the discovery that operating effectively even at a large scale can be done with a system based on peer relationships without the need for either hierarchy or consensus.

The self-managed organizational structure is a collection of interconnected, interdependent self-managed teams with the following core practices:

- Central staff functions are performed by the teams themselves or by voluntary task forces, so traditional HR, IT and marketing roles don’t exist any more, with only a few purely advisory posts remaining.
- Projects are run in a radically simplified manner. Instead of spawning a whole industry of report production and review meetings for an overseeing management population, projects happen informally and organically, with people working on a number of projects in parallel. Teams form and disband organically and plans are minimal. Priorities tend to happen naturally without one person making an overall decision, and a simple reminder system ensures that logged issues are picked up.
- A key process for decision making is sometimes called the ‘advice process’. Any person can raise an issue and make any decision, but before doing so must seek advice from all affected parties and people with expertise on the matter. Not all advice needs to be integrated, but it must be taken into serious consideration. The bigger the decision, the more people are likely to be included, including the CEO and board on occasions. However, it’s the original issue raiser who makes the decision, so the CEO’s perspective will be considered but will not dominate. Even crises and potential layoffs have been handled this way.
- There are no authorization limits for spending money and no procurement departments. Anyone can spend any amount provided the advice process above is

respected. This type of trust is based on Theory Y assumptions that employees are ambitious, self-motivated, responsible and bright rather than assuming that they are avoidant, lazy, irresponsible and stupid (see McGregor, Chapter 1).

- Information on everything, including finances, salaries and performance levels, is available to everyone, not just the ‘most important’ people, usually via the company intranet. This means, for instance, that teams can see who is performing well in certain areas and seek advice. When there is a significant announcement or the results of the employee or customer surveys arrive, the information is discussed and debated openly in ‘all-hands’ meetings, which can go in any direction, unlike choreographed conferences in traditional hierarchies.
- Roles are fluid and dynamic, and job titles don’t exist. When a role emerges within a team, the appointment process is organic, with the right person usually becoming apparent, who the team members then entrust with the role. If anyone sees something outside their role that needs attention, it’s their duty to go and speak to the person whose role it is most closely related to.
- Compensation is handled very differently from traditional hierarchies. Salaries are set by the individual based on their own research/reflection, and calibrated by team peers to create a base pay. There are no bonuses, but equal profit sharing. Thus there tend to be narrower salary differences.

## Holacracy – an organizational operating model

Holacracy, as defined by Robertson, is described as a new way of structuring and running your organization that replaces the conventional management hierarchy. This is a type of self-managing system with some very particular structures, processes and practices that have grown out of experiences in the tech industry.

As with other self-governing systems, power doesn’t flow top-down, instead it is distributed throughout the organization, liberating teams to self-organize in the way they see fit, while staying true to the organization’s purpose. Key features are a new and evolving organizational structure, innovative meeting practices designed for rapid execution, and a shift in mindset towards greater autonomy and taking action.

Implementing a holacracy is said to be complex, and only possible to really learn by doing it. However, the website [www.holacracy.org](http://www.holacracy.org), produced by the consultancy, training and research partnership that Brian Robertson co-founded, offers a list of important elements:

- Purpose is the focus at every level, and is explicitly agreed and aligned: organization, team and individual.
- Every individual is a responsive ‘sensor’ for the organization and has the means for processing their challenges and opportunities into organizational change. So changes do not just happen because senior management say so.

- Holacracy replaces the management hierarchy with a ‘lightweight’ yet explicit set of rules that makes transparent the decision-making authority at every level of the organization.
- Instead of static job descriptions, roles and responsibilities are dynamic and transparent, and evolve as the organization changes. Each team is self-organized and can change its own structure in line with the organizational purpose.

Roles are the most fundamental element of a holacracy, and each person may take on many different roles within different circles. These roles appear and get dissolved in a dynamic way. Circles are roles that can be broken down into smaller roles, and if someone takes on one of these roles they become a circle member. The work and shape/interrelationship of circles is designed and completed via governance meetings and tactical meetings in real-time (see box).

An important principle in meetings is that everyone’s voice is heard and no one dominates, with a strict process to follow for this. These meetings are said to cut out organizational politics, and be remarkably efficient. The aim is not for perfection, but to adapt things in ‘near real-time’ such that all objections are heard and good decisions are made effectively.

## HOLACRACY CIRCLES AT ZAPPOS

An article in the *New York Times* explains how Holacracy has been embraced by Tony Hsieh, the CEO of Zappos, and Evan Williams, who helped found Twitter and started Medium.com, the publishing platform.

The holacratic system is based on small cells of people called circles, each of which convenes a weekly meeting to discuss tactics, and then a monthly one for more strategic/governance issues. At governance meetings, everyone gets a chance to speak.

First, the meeting ‘triages any administrative and logistical issues’, which can mean yelling out any type of personal concern, such as ‘Joe needs to leave early’. Once these are sorted, anyone at the meeting can propose something called a ‘tension’ or an area of concern, and a skilled facilitator makes space for participants to ask clarifying questions, followed by – and separated from, reactions. Here, any type of reaction is welcome, ‘from intellectual critiques to emotional outbursts’.

After that comes a round of amend and clarify, followed by an objection round which can get quite heated. Then it’s integration followed by another round of objections, ‘to address any new objections to the Clarification of the Tension and the Reactions to it that have surfaced during the Integration.

The session ends with the closing round, in which every participant is invited to offer a closing reflection regarding how to improve the next meeting. ‘After this, there is, explicitly, “no discussion”’.

## How do you transition to a self-governing structure?

Laloux claims that some organizations have made the transition from traditional hierarchy to Evolutionary-Teal (see definition above), although the majority of those he studied used Teal principles from the start.

If the CEO or board members don't understand, and aren't excited about the potential of Teal practices then it will be a struggle and probably isn't worth starting. It's important that the CEO 'holds the space' for the new structures and practices, and doesn't mistakenly initiate or allow traditional practices such as control mechanisms or centralized functions to reinstate themselves.

Laloux's book contains a wealth of advice and examples to support anyone wishing to make this move. This is a summary of the key points:

- i** There are three basic 'modes' or speeds of introduction referred to as creative chaos, bottom-up design or pre-existing template:
  - o Creative chaos means taking out a key process or function (for example) and relying on self-organizing processes to sort out how best to deal with this.
  - o Bottom-up design means involving everyone in choosing the right self-governing structure and process for the organization.
  - o Pre-existing template, such as 'holacracy', involves using tried and tested ways of working and nominating a 'switch day' when the new structures and processes will start. There is no need for this to be perfect as this can be worked out as things progress. Help can be sought from those who have used this system before. Note: Another place to start is to just begin by implementing self-managing teams, which inevitably involves some chaos.
- ii** Middle/senior managers and functional managers tend to be the people who are most unsettled by such transition, whatever the speed, while frontline people are more likely to welcome it.
- iii** People at all levels have to build their 'psychological ownership' for this system to work and this can be a slow process depending on what they are used to. This means being invested in the organization's work, purpose and reputation, which requires an inspiring company purpose, increased involvement and investment in their own local plans/priorities and more transparency of company information.
- iv** There are various self-governing structures to choose from, and their relative merits need to be thought through in terms of 'fit'. These include parallel teams, webs of individual contracting and nested teams.
- v** Although self-governing structures such as self-managed teams and the elements of holacracy seem new and even radical, they have in fact been in operation in various ways for thousands of years. Indeed Laloux argues that self-organizing



systems are the life force of the world, and have been so for billions of years, bringing forth creatures and ecosystems that are magnificently complex. The key is that these systems have just enough order, yet not so much as to slow down adaptation and learning.

## Responding to the critics

There are several ways in which these systems have been criticized or perhaps misunderstood, which Laloux answered in a short paper published in 2014, 'Misperceptions of self-management', now no longer available online, but summarized below:

**i. The hierarchy is taken out and everything is run by consensus** Self-management works via a set of interlocking structures and processes. People struggle to envisage an organization that isn't structured for control and stability. Self-management is complex, participatory, interconnected and continually evolving. Power is distributed, and decisions are made at the point of origin. Laloux says that the tasks of management such as setting objectives, planning, directing, controlling and evaluating have not gone away:

They are simply no longer concentrated in dedicated management roles. Because they are spread widely, not narrowly, it can be argued that there is more management and leadership happening at any time in self-managing organizations despite, or rather precisely because of, the absence of fulltime managers.

**ii. Everyone is equal** One way of solving power inequality would be to give everyone the same power. Self-governing organizations attempt to transcend this issue by ensuring that everyone is powerful, and that this supports everyone else to be a more powerful version of themselves. Laloux quotes Gary Hamel's observations about how power and authority work in a well-known, self-managed organization called 'Morning Star'. He explains how Morning Star is a collection of naturally dynamic hierarchies. So rather than having one formal hierarchy, there are many informal ones. This means that depending on the issue, some colleagues will have more of a voice than others depending on their level of expertise, and their willingness to get involved.

These are hierarchies of influence, not position, and they're built from the bottom up. At Morning Star one accumulates authority by demonstrating expertise, helping peers, and adding value. Stop doing those things, and your influence wanes – as will your pay.

**iii. It's about empowerment** In self-governing organizations the empowerment paradox that exists in traditional hierarchies (ie, you are empowered because I make it so) is solved by embedding empowerment in the very fabric of the organization. This can feel like a 'bittersweet' ride at first as people face up to the need to take full responsibility, rather than sink into blame or resentment when things get stuck.

Former managers feel the pain too of losing their positional power, and the authority they used to wield.

**iv. It's experimental** Laloux cites one organization that has been using self-organizing principles since the 1950s, and another since the 1970s, not to mention the list of organizations he has personally researched. He argues that some of us are so conditioned into control structures that it's very hard for us to adapt, even though the world around us is already doing so, particularly virtual and volunteer-driven organizations, who practise self-management, sometimes on 'staggering scales':

In 2012, Wikipedia had 100,000 active contributors. It is estimated that around the same number – 100,000 people – have contributed to Linux.

Laloux points out that although these numbers are large, they are dwarfed by other volunteer organizations. 'Alcoholics Anonymous currently has 1.8 million members participating in over 100,000 groups worldwide – each of them operating entirely on self-managing principles, structures, and practices.'

Laloux concludes that because so many of us have grown up with traditional hierarchical organizations, we find it very hard to get our heads around self-management. He believes that Millennials, on the other hand, who have grown up with the web understand self-management instinctively.

## Summary and conclusions

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- It is useful to understand our own assumptions about managing change, in order to challenge them and examine the possibilities offered by different assumptions. It is useful to compare our own assumptions with the assumptions of others with whom we work. This increased understanding can often reduce frustration.
- Morgan's work on organizational metaphors provides a useful way of looking at the range of assumptions that exist about how organizations work.
- The four most commonly used organizational metaphors are:
  - the machine metaphor;
  - the political metaphor;
  - the organism metaphor;
  - the flux and transformation metaphor.
- The machine metaphor is deeply ingrained in our ideas about how organizations run, so it tends to inform many of the well-known approaches to organizational change, particularly project management and planning-oriented approaches.

- Models of organizations as open, interconnected, interdependent sub-systems sit within the organism metaphor. Popular in the human resource world, this metaphor underpins much of the thinking that drove the creation of the HR function in organizations. The organism metaphor views change as a process of groups of people adapting in a psychologically supported way to changes in the environment. The focus is on designing interventions to help the organization adapt to external changes, and increased awareness of the need for change and participation in the process of change are central themes.
- The political map of organizational life is recognized by many of the key writers on organizational change as highly significant.
- The metaphor of flux and transformation appears to model the true complexity of how change really happens. If we use this lens to view organizational life it does not lead to neat formulae, or concise how-to approaches. This leads to a greater need for connectivity and interdependence between teams and individuals.
- There are many approaches to managing and understanding change to choose from, each with something unique to offer depending on the context. No single model offers a complete answer, and no metaphor or assumption about change is 100 per cent accurate. Change managers have to learn how to attune their approach to the context, and keep close to what’s unfolding. See Table 3.3 for a summary of our conclusions for each framework.

**Table 3.3** Our conclusions about each model of change

| Model                              | Conclusions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lewin, three-step model            | Lewin’s ideas are valuable if a participative, collaborative approach has been committed to. His force-field analysis and current state/end state discussions are however extremely useful tools in any context where the driving and resisting forces for change are non-trivial.<br>However, the model easily gets confused with the mechanistic approach, and the three steps become ‘plan, implement, review’, which is likely to produce less sustainable results outside of a highly stable context. |
| Bullock and Batten, planned change | The planned change approach is good for tackling isolated, less complex issues. It is not good when used to over-simplify organizational changes, as it ignores resistance and overlooks interdependencies between business units or sub-systems.                                                                                                                                                                                                                                                          |

(continued)

**Table 3.3** (Continued)

| Model                                                   | Conclusions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Kotter's dual operating system, with eight accelerators | Kotter offers a parallel, yet connected structure to help tackle strategic change. Volunteers come forward with the help of eight 'accelerator' processes to guide their work. This can liberate the energy for change work, while ensuring a focus on the day to day. The hard part is ensuring alignment and high-quality communications between the structures such that there is mutual support and challenge without power play and politics dominating what happens. The latter can be dispiriting for staff and generally not good for business.                                                                                                                    |
| Beckhard and Harris, change formula                     | The change formula is simple but highly effective. It can be used at any point in the change process to analyse what is going on. It is useful for sharing with the whole team to illuminate barriers to change.                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Nadler and Tushman, congruence model                    | The congruence model provides a memorable checklist for the change process. It acts as a diagnostic tool for spotting how teams or organizations can get misaligned through the process of change, and providing pointers for what needs to be done to address this.                                                                                                                                                                                                                                                                                                                                                                                                       |
| Bridges, managing the transition                        | Bridges' model of endings, neutral zone and beginnings is good for tackling inevitable changes such as redundancy, merger or acquisition. It is less good for understanding change grown from within, where endings and beginnings are less distinct.                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Carnall, managing major changes                         | Carnall's model combines a number of key elements of organizational change together in a neat process. Useful checklist.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Senge, systemic model                                   | Senge challenges the notion of top-down, large-scale organizational change. He provides a hefty dose of realism for those facing organizational change: start small, grow steadily, don't plan the whole thing. However, this advice is challenging to follow in today's climate of fast pace, quick results and maximum effectiveness.                                                                                                                                                                                                                                                                                                                                    |
| Laloux and Robertson, self-governing structures         | Laloux and Robertson's self-governing structures have been developed through practice and research as a way of dealing with the complexity of today's organizations, and the need for rapid adaptation and learning. They represent an evolution in organizational development that transcends and includes typical performance management approaches, while providing more meaningful and purposeful jobs for people and more effective organizations. Many of today's older management population are so steeped in traditional hierarchical functioning that these structures can seem very radical to them, even though the ideas and practices are certainly not new. |

- To be an effective manager or consultant we need to be able flexibly to select appropriate models and approaches for particular situations. See the illustrations of different approaches in Part Two.

### STOP AND THINK!

**Q 3.7** Which of the frameworks for organizational change might be most helpful for considering the following changes (select one or two only). Explain why you chose as you did, and what next steps are indicated as you think things through from the CEO's perspective.

- Combining two well-respected universities to form one excellent seat of learning.
- Improving the performance of a modern manufacturing business on multiple sites that is underperforming in certain areas.
- Rapid growth of a new organization, to be staffed by 75 per cent Generation Y, that provides sustainability advice to schools around the UK and Europe.
- Dealing with new legislation that severely impacts how the financial services business you work in, run via traditional and highly political hierarchies, carries out some of its core processes.

**Q 3.8** Think of an organization you know well, and imagine the CEO asking you, as her COO, to help her change the organization from a traditional hierarchy to a self-governing structure because she's fed up with the way people don't take responsibility. How would you respond? Where would you start? What five questions would you ask her right at the start to clarify the challenge?

**Q 3.9** You've noticed that the community you live in is quite fragmented. People don't know their neighbours, and there's a variety of resources such as cars, bicycles, gardening tools, babysitting, teaching, elderly care, etc, that could easily be shared if only people got to know and trust each other. You think this makes lots of sense given the challenges of sustainability, and you sense it might be enjoyable and therapeutic for people too. Make some notes on how you might approach this change challenge using a) a mechanistic framework, and b) an organism/flux framework. What's your gut feeling about the relative benefits and disbenefits of each approach?

# 04

## Leading change

### Introduction

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In this chapter we look at the different ways that a leader can support change. The objectives of the chapter are to:

- enable leaders of change to identify and understand the different forms that leadership can take;
- explore the range of skills and qualities that leaders need to be effective when change is required;
- identify how leaders of change can adapt their style and focus to the different phases, stages and ‘flow’ of the change process;
- outline ways in which leaders can sustain themselves while leading change: physically, mentally, psychologically and spiritually.

The chapter is divided into five sections:

- 1 dimensions of leadership;
- 2 leadership qualities and skills;
- 3 leading change processes: phases, stages and flow;
- 4 sustaining yourself as a leader through change; and
- 5 summary and conclusions.

### Dimensions of leadership

---

The leadership literature has grown and developed considerably over the last 25 years in parallel with the complexity of organizational life. So given this plethora of perspectives and terminology it makes sense to tackle the subject of leading change by first looking at many of the different dimensions, or ways of seeing leadership that exist.

## Management, leadership and vision



*The first basic ingredient of leadership is a guiding vision. The leader has a clear idea of what he wants to do – professionally and personally – and the strength to persist in the face of setbacks, even failures. Unless you know where you are going, and why, you cannot possibly get there.*

WARREN BENNIS (2009)

Bennis (2009) developed a useful comparison of the differences between management and leadership (see Table 4.1), which unpacks some of the different qualities of both in a way that starkly illuminates their relationship to stability versus change.

This comparison exercise separates management from leadership in a very clear way, yet it’s important to note that Bennis deliberately distinguished leadership from management as part of his ‘call to action’. His book was written at the dawn of the 21st century when many organizations were stuck under an inflexible weight of top-down management, and still training managers to operate in a command and control fashion. True leadership was a bit ‘thin on the ground’.

Some decades later, we might define management more respectfully and sympathetically, and give it an important place within a leader’s role. Effective leadership is not seen as ‘better’ than effective management but a natural complement to it;

**Table 4.1** Managers and leaders

| A manager                        | A leader                     |
|----------------------------------|------------------------------|
| Administers                      | Innovates                    |
| Is a copy                        | Is an original               |
| Maintains                        | Develops                     |
| Focuses on systems and structure | Focuses on people            |
| Relies on control                | Inspires trust               |
| Has a short-range view           | Has a long-range perspective |
| Asks how and when                | Asks why                     |
| Has his eye on the bottom line   | Has his eye on the horizon   |
| Imitates                         | Originates                   |
| Accepts the status quo           | Challenges the status quo    |
| Classic good soldier             | His own person               |
| Does things right                | Does the right thing         |

**SOURCE** Bennis (2009)

these approaches are now seen as having a different focus and requiring different skills, ie, management involves rigour, clarity, plans, a measure of control, results orientation, etc. Many people in management/leadership roles now find they are required to both lead and manage, using a subtle mix of the best parts of both of these definitions.

## ***Transactional and transformational leadership***

In a similar vein to Bennis's call for more visionary, forward-looking forms of leadership, and more 'mastery of the context', Burns (1978) and Bass (1985) both offered definitions of this difference between management and leadership. The influential framework Burns and Bass both worked towards, contrasts transactional with transformational leadership, and is oriented towards defining behaviours that engender high levels of morale and motivation, enable growth and lead to effective performance. These two central concepts are set out below:

Transactional leadership:

- exchanges rewards for effort and achievement (contingent rewards);
- searches for and corrects deviations from rules and standards (management by exception (active));
- intervenes only if standards are not met (management by exception (passive));
- abdicates responsibilities and avoids making decisions (laissez faire).

Transformational leadership:

- provides a role model for ethical behaviour, instils pride, gains respect and trust (idealized influence);
- articulates an appealing vision in an engaging way, challenges with high standards, communicates optimism (inspirational motivation);
- challenges assumptions, invites creativity, encourages people to think independently (intellectual stimulation);
- attends to each follower in a different way, is empathetic, gives advice, acts as a mentor (individualized consideration).

Burns, a political historian, worked with the above themes and asserted that the two approaches are mutually exclusive. He also suggested that leadership was distributed rather than in the hands of a few. Transactional leadership, he claimed, lacks enduring purpose and focuses on 'give and take' with no intention to change or develop people or culture. Transforming leadership on the other hand is what happens when leaders and followers help each other to advance to a higher level of morale and motivation.



This work was further defined and explored by Bass, an industrial psychologist, who developed a questionnaire (Multifactor Leadership Questionnaire, or MLQ) to assess the impact of transformational leadership on people's motivation and performance. Bass and Avolio (1995) claimed to have shown via their studies that although all leaders use a combination of transactional and transformational leadership, the most successful leaders are more transformational than transactional.

Transformational leadership still has significant popular appeal at time of writing, and leaders with this approach tend to focus on the use of vision or story to embody purpose (for example, Martin Luther King's much-loved oration 'I Have a Dream', which can be found on YouTube). Yet there are still some difficulties with this 'transformational leadership' formulation:

- The overlapping and imprecise definitions of the various competences, and the way that leaders are cast as the key influencing factor in a 'heroic' way are seen by some as weaknesses of this theory (Yukl, 1999; Meindl and Ehrlich, 1987). In today's flatter, more interconnected and collaborative organizations, leadership tends to be more evenly distributed, and vision is ever evolving. The notion of one highly influential leader doesn't really 'fit' many current contexts.
- The lack of ethics or morality embedded in the definition of transformational leadership (Tourish, 2013), can be seen to license leaders to use visions of frightening future scenarios and model a pseudo-morality in a negative and/or coercive way. See more about the 'dark side' of leadership below.

### ***The dark side of leadership – vision and narcissism***

Higgs (2009) points to the dangers of narcissism, and the 'dark side' of leadership, particularly in the context of leading change, where the behaviours of leaders can seriously undermine the change process. An example of the latter is when leaders use apparently effective behaviours but in a manner that serves their own goals rather than the wider purpose of the change.

He identifies four themes in the literature on the 'dark side' of leadership, each of which has a negative effect on the team climate, and therefore on performance over the longer term:

- i Abuse of power – to serve personal aims, to enhance perception of own image/reputation, to cover up own inadequacies.

- ii Inflicting damage on others – bullying, coercion, negative impact on perception of subordinates' self-efficacy, inconsistent treatment of subordinates, damage to psychological well-being of subordinates.
- iii Over-exercise of control to satisfy personal needs – obsession with detail, perfectionism, limiting subordinate freedom to act.
- iv Rule-breaking to serve own purposes – leaders engage in corrupt, unethical and illegal behaviours.

These behaviours can arise from leaders having an excess of the following personality characteristics: ambition, drive, yearning to be seen, need to make a mark and impulse to take control/initiate.

They can also arise from leaders having an excess of narcissistic traits. Narcissism is a term that is used widely and in different ways, and can be seen as a personality construct rather than a disorder, with the following elements:

- 'I demand the respect due to me'.
- 'I like to be the centre of attention'.
- 'I am better than others'.
- 'I am preoccupied with how extraordinary I am'.

Some argue that narcissistic leaders can have positive effects (Maccoby, 2000; 2004), as well as negative effects such as toxic cultures, abuse of power and unethical behaviour. Maccoby argues that these types of leaders are able to carry a strong vision and have the courage to lead organizations in new directions (although they often lack the staying power and resilience for the longer haul). They are sometimes accepted by followers in the short term because of the big benefits they can have, yet they are likely to leave a trail of destroyed organizational value in terms of systems and relationships in their wake.

## ***Emotionally intelligent leadership***

Goleman's research into the necessity for emotional intelligence in leaders is convincing (see Goleman, 1998). First, his investigation into 181 different management competence models drawn from 121 organizations worldwide indicated that 67 per cent of the abilities deemed essential for management competence were emotional competencies. Further research carried out by Hay/McBer, as referred to in Goleman (2000), looked at data from 40 different corporations to determine the difference in terms of competencies between star performers and average performers. Again emotional competencies were found to be twice as important as skill-based or intellectual competencies.

Goleman defined a comprehensive set of emotional competencies for leaders (see box below), and grouped these competencies into four categories:

- 1 self-awareness;
- 2 self-management;
- 3 social awareness; and
- 4 social skills.

One way of looking at these four categories of competence is that the first three are not directly visible as part of a leader's behaviour, so are part of the leader's 'inner world'. Only the social skills category contains directly observable skills. Self-awareness, says Goleman, is at the heart of emotional intelligence and his research shows that if self-awareness is not present in a leader, the chances of that person being competent in the other three categories is much reduced.

Those involved in leading change need to develop these 'inner' leadership skills. The emotional ups and downs that people experience during change can be quite dramatic, particularly if involvement and collaboration is low.

## **THE NEED FOR SELF-MANAGEMENT STRATEGIES**

The senior managers that we work with are often intellectually strong, with a high level of drive for achievement. When this combination of characteristics is present in an individual, the individual can experience a lot of frustration. Other people seem too slow, or too relaxed, or are simply not equipped to 'get it'.

This was epitomized by a very dynamic and successful IT Director I worked with. When I went through her emotional intelligence feedback with her, her self-management scores were low, especially in the area of self-control. I asked her how often she felt frustrated in her work. She paused for a moment and then with a sudden realization she said, 'All the time!' Up until that point, she had not consciously realized that this was the truth of her experience, and possibly an issue in her working relationships. This had just become a way of life. The feedback confirmed that others were often experiencing her as pacey and exciting to work for, yet edgy, bad tempered, moody and occasionally bullying. So then she began to ask about strategies for managing this.

Esther Cameron, 2003

## EMOTIONAL COMPETENCIES FOR LEADERS

### Self-awareness

*Knowing one's internal states, preferences, resources, and intuitions:*

- Emotional awareness: recognizing one's emotions and their effects.
- Accurate self-assessment: knowing one's strengths and limits.
- Self-confidence: a strong sense of one's self-worth and capabilities.

### Self-management

*Managing one's internal states, impulses, and resources:*

- Self-control: keeping disruptive emotions and impulses in check.
- Trustworthiness: maintaining standards of honesty and integrity.
- Conscientiousness: taking responsibility for personal performance.
- Adaptability: flexibility in handling change.
- Achievement orientation: striving to improve or meeting a standard of excellence.
- Initiative: readiness.

### Social awareness

*Awareness of others' feelings, needs, and concerns:*

- Empathy: sensing others' feelings and perspectives, and taking an active interest in their concerns.
- Organizational awareness: reading a group's emotional currents and power relationships.
- Service orientation: anticipating, recognizing and meeting customers' needs.

### Social skills

*Adeptness at inducing desirable responses in others:*

- Developing others: sensing others' development needs and bolstering their abilities.
- Leadership: inspiring and guiding individuals and groups.
- Influence: wielding effective tactics for persuasion.
- Communication: listening openly and sending convincing messages.
- Change catalyst: initiating or managing change.

- Conflict management: negotiating and resolving disagreements.
- Building bonds: nurturing instrumental relationships.
- Teamwork and collaboration: working with others towards shared goals.
- Creating group synergy in pursuing collective goals.

**SOURCE** Goleman (1998), reproduced with permission of Bloomsbury Publishing, London

Goleman's next quest was to discover the links between emotional intelligence and business results. He developed a set of six distinct leadership styles through studying



the performance of over 3,800 executives worldwide. These six leadership styles, arising from various different components of emotional intelligence, appeared to be used interchangeably by the best leaders. He encourages leaders to view the styles as six golf clubs, with each one being used in a different situation. Goleman also found that each style taken individually has a unique effect on organizational climate over time, some positive and some negative. This in turn has a major influence on business results.

Goleman's article (2000) makes the link between leadership style and the effects on factors such as team climate and team performance. He also identifies the situations in which each style is effective, and identifies the underlying emotional intelligence competences:

- **Coercive style.** Only to be used sparingly if a crisis arises. This is a useful style to employ if urgent changes are required now, but must be combined with other styles for positive results long term. Negative effects such as stress and mistrust result if this style is overused (drive to achieve, initiative, self-control).
- **Authoritative style.** Useful when a turnaround is required and the leader is credible and enthusiastic. This is sometimes referred to as the 'visionary' leadership style. Goleman indicates that this style will only work if the leader is well respected by his/her people, and is genuinely enthusiastic about the change required. He acknowledges the strongly positive effect of this approach, given the right prevailing conditions (self-confidence, empathy, change catalyst).
- **Affiliative style.** This style helps to repair broken relationships and establish trust. It can be useful when the going gets tough in a change process and people are struggling. However, it must be used with other styles to be effective in setting direction and creating progress (empathy, building relationships, communication).
- **Democratic.** This is an effective style to use when the team knows more about the situation than the leader does. They will be able to come up with ideas and create

plans with the leader operating as facilitator. However, it is not useful for inexperienced team members as they are likely to go around in circles and fail to deliver (collaboration, team leadership, communication).

- **Pace-setting.** This style can be used effectively with a highly motivated, competent team, but does not lead to positive results long term if used in isolation. Overuse of this style alone results in exhausted staff who begin to feel directionless and unrewarded. The leader needs to switch out of this style to move into a change process rather than simply drive for more of the same (conscientiousness, drive to achieve, initiative).
- **Coaching.** This is an appropriate style to use if individuals need to acquire new skills or knowledge as part of changes being made (developing others, empathy, self-awareness).

See Table 4.2 on page 151 for a summary of the six different styles.

## THE COERCIVE-AFFILIATIVE MANAGER

I realized last year at the age of 54 that I had been using just two of Goleman's leadership styles all my working life, and this was something of a revelation. I have been using the coercive style together with the affiliative style. It never occurred to me to do it any other way. I would tell the staff how things would be, give them a 'dressing-down' if necessary, and make up afterwards by talking about the football or asking about the family.

But they were always reluctant to make suggestions or take any risks, and no one ever seemed to bring – or maybe learn – anything new on my watch. I was completely in charge of an efficient but fairly stagnant site if I'm honest.

It wasn't easy incorporating other styles, but once I started to crack the coaching style, things started to change. The staff saw me as more accessible, they trusted me more, and began to pick up responsibility and even suggest things to do with changes. I use less energy to carry out my role now and feel more relaxed, and can think more clearly about how best to lead as things have become much more interesting!

General manager of a manufacturing plant, Netherlands

## THE PACE-SETTING MANAGER

At first glance I thought I was using all six styles here and there – about right, you know? Then when I began to talk to my team about it, I realized that I was using the pace-setting style 75 per cent of the time. Even my attempts at being friendly (or

affiliative, maybe) turned out to be pace-setting approaches. People described how a casual chat with me would end up feeling like an interrogation. Teaching staff and department heads actively avoided me if they could. Or they spent ages preparing for an encounter with me.

Of course, all my star performers loved this style. They found it thrilling and stimulating. The others were less interesting to me as I had no time for coaching at all and preferred lots of ideas and feedback. My style became a self-fulfilling prophecy. The confident people did well, and those who were less sure or less 'pacey' didn't get the airtime from me that they needed, so they either survived or floundered. A couple of good people left – I only understood this later.

I'm not saying that this has completely changed. But now I do recognize when I need to coach and when I need to pace-set. My actions are more aligned to my intentions, rather than being simply a question of habit.

Head teacher, UK

## ***Strategic leadership***

We have discussed the difference between management and leadership at a fundamental level, and what types of leadership appear to support change and development over the longer term. But what sort of leadership is required to define organizational outcomes, shape strategy and build the sort of organization that can deliver those outcomes? In the current backdrop of complexity and uncertainty, with a high rate of technology and social media advancements, leaders need to listen to the forces at play, understand how technology is changing things and the impact social media is having, as well as becoming adept at facilitating the human side of change.

Strategic leadership can be defined as the ability to 'anticipate, envision, maintain flexibility, think strategically, and work with others to initiate changes that will create a viable future for the organization' (Ireland and Hitt, 1999). This type of leadership has evolved through the contribution of four different roots:

- Classical thinking, focused on a planned, top-down approach.
- Processual thinking, focused on collective learning supported by top-down and bottom-up approaches.
- Evolutionary thinking, focused on resource efficiency.
- Systemic thinking, focused on sociological sensitivity.

Mintzberg's 5Ps of Strategy (1987) are well known and this useful framework provides five definitions of strategy for leaders to consider – plan, ploy, pattern, position

Our summary of Goleman’s six leadership styles

|                         | Coercive                                     | Authoritative                                                                 | Affiliative                                                          | Democratic                                              | Pace-setting                                                              | Coaching                                                          |
|-------------------------|----------------------------------------------|-------------------------------------------------------------------------------|----------------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------------------------------|-------------------------------------------------------------------|
| Definition              | Telling people what to do when.              | Persuading and attracting people with an engaging vision.                     | Building relationships with people through use of positive feedback. | Asking the team what they think, and listening to this. | Raising the bar and asking for a bit more. Increasing the pace.           | Encouraging and supporting people to develop new skills.          |
| Use this style          | When there is a crisis.                      | When step change is required. When manager is both credible and enthusiastic. | When relationships are broken.                                       | When the team members have something to contribute.     | When team members are highly motivated and highly competent.              | When team members have a skill gap.                               |
| Drawbacks of this style | Encourages dependence. People stop thinking. | Has a negative effect if manager is not credible.                             | Not productive if it is the only style used.                         | May lead nowhere if team is inexperienced.              | Exhausting if used too much. Not appropriate when team members need help. | If manager is not a coach, this style can demotivate individuals. |



and perspective. These are defined below, and some of their interrelationships are described:

- i A plan is an upfront, stated intention with a timeline.
- ii A plan can also be a ploy, which is a ‘move’ made to outwit your opponent.
- iii A pattern is a series of coherent-seeming actions that begins to look like a plan over time, but it may not have been planned!
- iv A position is the way the organization describes its interface with the environment, be it competitors or customers; its choice of niche. This can also be part of a plan, or a ploy or may emerge through a pattern.
- v A perspective is the organization’s character or personality. It’s the way the organization interacts and responds, or the shared ‘world view’. Plans, ploys, patterns and positions can over time lead to perspective. If the perspective feels immutable, it seems that plans, ploys and patterns sit within perspective unless the perspective is itself changing.

Each of the 5Ps draws upon different qualities in the leader, from being a more rational, longer-term thinker through to being a more political, responsive, externally focused player; from seeking to understand what made the organization successful, to challenging the assumptions that inform the decision-making process.

Cameron and Green (2017)

## THE EGG McMUFFIN – A STRATEGIC CHANGE?

Mintzberg takes up the case of the Egg McMuffin – the American breakfast in a bun. He poses the question: was this new product a strategic change for McDonald’s, the fast food chain? Some argued that it was, as it brought McDonald’s into a new breakfast market, thus extending the use of existing facilities. Others thought this nonsense, and that nothing had changed save a few ingredients.



Mintzberg argues that both sides are right and wrong – depending on how you define strategy. He points out that the ‘position’ changed, but the ‘perspective’ stayed the same, adding that the position could easily be changed because it was so compatible with the existing perspective. ‘Egg McMuffin is pure McDonald’s, not only in product and package, but also in production and propagation. But imagine a change of position at McDonald’s that would require a change

of perspective – say, to introduce candlelight dining with personal service (your McDuckling à l’Orange cooked to order) to try to capture the late evening market’.

**SOURCE** Adapted from Mintzberg (1987)

What skills are therefore required for thinking and acting strategically, in a way that serves the organization and helps it to thrive in a competitive world? Schoemaker, Krupp and Howland (2013) researched this topic, and their claim is that the six skills listed below need to be enacted in a holistic and integrative fashion, which requires quite some leadership maturity:

*Anticipate* – by scanning the environment and making sense of trends. Many leadership teams are poor at this as the day to day is often more compelling and absorbing. It's important to be alert to ambiguous or indistinct threats and opportunities on the edges of the business domain you're in. This could mean:

- talking regularly to customers, suppliers and partners to understand their challenges;
- using scenario planning to imagine futures and prepare for the unexpected;
- looking at a fast-growing rival and examining strategic decisions it has made that puzzle you.

*Challenge* – by questioning accepted wisdoms and the status quo. This means taking time to look at underlying assumptions and encourage divergent points of view. Patience and a reflective capability are required here, as well as an openness to messiness and even opposing views. Many executives get set in their ways, retreating to the safety of familiar advisers. Some tips for opening to 'challenge' are:

- questioning long-standing strategic assumptions, opening this to a wide group of people;
- including known 'naysayers' in a decision-making process and listening to their objections;
- using the 'five whys' to get to the root cause of a problem, rather than focusing on symptoms.

*Interpret* – by challenging assumptions and challenging interpretations of the data. The starting point is to synthesize all the data available, which might result in a complex, contradictory picture. The key then is to see the patterns that lie beyond the ambiguity and expose their implications. This can be done by:

- disciplining yourself to interpret ambiguous data in, eg, three different ways;
- actively looking for missing information and evidence that disconfirms your hypothesis;
- stepping away for a while – go for a walk, play table tennis, listen to music.

*Decide* – by making operational and strategic issues through being more open to more options than is usual. It's not always necessary to make a quick 'go or no-go' call; the option of experimenting step by step with options is also possible. This can mean recognizing that decisions don't have to be 100 per cent yes or no, but could involve partial solutions or pilots. This could mean:

- reframing binary decisions by asking the team 'what other options do we have?'
- tailoring your decision criteria to long-term versus short-term projects;
- letting others know where you are in the decision-making process, eg, are some core things decided while other elements are still open for more radical or unexpected suggestions?

*Align* – by involving multiple stakeholders in your agenda and vice versa maybe through iterative, two-way dialogue. It's often important to find common ground among diverse stakeholders, and this usually needs to be done proactively. Possible tactics are:

- reaching out directly to resisters to understand their objections and difficulties;
- mapping out stakeholder perspectives and looking for hidden agendas and coalitions;
- communicating early and often to ensure people sense they've been both asked for their perspective and kept informed of progress.

*Learn* – by reflecting on your experiences of strategizing, implementing, making mistakes, etc. Leaders need to role model a culture of openly reflecting on and inquiring into mistakes and failures, rather than consciously or unconsciously punishing the 'guilty'. Otherwise mistakes just get hidden and covered up, which is likely to be damaging for progress and performance. Ways to get better at this include:

- conducting good-quality 'after action reviews' when major milestones are reached or when a project terminates, and publishing the learnings widely;
- reward people who try something laudable, yet fail in terms of outcomes;
- identify initiatives that are not producing as expected and examine the root causes of this.

## ***Collaborative leadership***

Traditionally, and over the past 100 years or so, leadership has been understood as something that originates at the top of an organization, and is delegated in 'layers' to individual leaders with a particular span of control, subject to top-down, nested

standards and sanctions. Leaders have been required to mediate all this, using a wide range of competences and qualities, engaging people in a vision and holding people accountable. However, leaders in today's organizations also need to operate in more connected, collective ways, not just as individual leaders.

Modes of leadership are changing in response to traditional top-down structures dissolving or becoming flatter, due to a variety of factors:

- the rise in outsourcing agreements and supply chain technology;
- the need for large organizations to partner with innovative SMEs in order to survive competitively;
- the advent of more and rapid communication across boundaries;
- the rising 'collaborative maturity' of those coming into the workplace post 2008 (Cameron and Green, 2017);
- the increased complexity of doing business and making outcomes happen, including the need to connect multiple, contradictory agendas.

## Connective leadership

Jean Lipman-Blumen (2002) was alert to these types of shifts when she wrote about 'connective leadership', encouraging leaders to see that promoting an inspiring vision was no longer the answer to motivation, development and performance. She advocated a search for meaning and the making of connections, rather than simply building one vision. She noted a growing sense that traditional forms of leadership are becoming untenable in an increasingly global environment. New ways of thinking and working are now needed to confront and deal constructively with both interdependence (overlapping visions, common problems) and diversity (distinctive character of individuals, groups and organizations).

Lipman-Blumen described connective leaders (see box overleaf) as those who perceive connections among diverse people, ideas and institutions even when the parties themselves do not. In the 'new connective era', she says that leaders will need to reach out and collaborate even with old adversaries. Nelson Mandela was a good example of this, although in recent times political leadership across the world has become more polarized, making collaboration seem difficult and even risky.

This 'connective' approach is a clear move away from the suggestion that leaders need to develop and communicate a top-down, clear vision in an inspiring way. Jean Lipman-Blumen encourages leaders to help others to make good connections, and to develop a sense of common purpose across boundaries, thus building commitment across a wide domain.



## SIX IMPORTANT STRENGTHS FOR CONNECTIVE LEADERS

- Ethical political savvy. A combination of political know-how with strong ethics. Adroit and transparent use of others and themselves to achieve goals.
- Authenticity and accountability. Authenticity is achieved by dedicating yourself to the purpose of the group. Accountability is achieved by being willing to have every choice scrutinized.
- A politics of commonalities. Searching for commonalities and common ground, and building communities.
- Thinking long term, acting short term. Coaching and encouraging successors, and building for a long-term future despite the current demands of the day to day.
- Leadership through expectation. Scrupulously avoiding micromanaging. Setting high expectations and trusting people.
- A quest for meaning. Calling supporters to change the world for the better.

**SOURCE** Lipman-Blumen (2002)

## Shared leadership

A formalized version of collaborative leadership that happens inside organizations is known as ‘shared leadership’. This means problem solving and decision making that happens between two or three individuals, or across a whole team or community of leaders that has collective responsibility. If there are more than three people involved, then it’s likely that the group will need a facilitator, who can be a member of the group or not.

Shared leadership happens in different forms. For example, accountability can be visibly shared for the delivery of a project, programme or specific outcome; or the leadership of a team can be rotated depending on the needs of the situations and/or the expertise of each team member. Pearce and Conger (2003) suggest that some of the indicators of a requirement for shared leadership are when high levels of interdependence and creativity are called for, and the situation and/or task is complex.

As teams develop and evolve, leadership and accountability become increasingly shared, and achievements can feel more like they ‘belong to the team’ than to an individual. This shared approach is stimulated by social interaction, active mutual influencing, encouraging and recognizing each other, and good communication and language skills such that people really understand each other (Marks *et al*, 2001).

Making a shift from traditional, individual or heroic leadership to shared leadership requires a number of important and difficult shifts to be made: leaders need to move, sometimes rapidly, between leading and following, within the same social context; people have to change their paradigm from the pleasures of individual reward and visibility to the more connected delights of collaborative work leading to joint goals.

## Self-managed collaboration

Many writers view collaborative leadership as something that happens outside of formal boundaries and is self-managed. Within this paradigm, it is defined as the type of leadership that happens across internal or external organizational boundaries; it demands active cooperation and is not subject to the normal control processes of any one authority. This happens when leaders themselves share power and responsibility and work more closely together, by choice, to deliver outcomes.

This type of collaborative leadership is challenging – ‘a hard answer to hard problems’ (Bryson *et al*, 2016). It can involve high levels of frustration, requires skill with facilitating discussion, demands that you know how to trust people who may work very differently from you, and needs leaders taking part to safeguard and support the process they are in (Chrislip, 2002).

Three contrasting examples of this less formal version of collaborative leadership are:

- two departmental leaders in an executive team working together to deliver an organizational outcome that is not wholly ‘owned’ by either party;
- 20–30 strategic business partners working across a number of different organizations to achieve a collective aim;
- two very different organizations such as Coca-Cola and the World Wildlife Fund forming a collaborative partnership around a desire to protect clean water (Leishman, 2017).

## Creating the conditions for collaboration

When collaborative leadership is needed within an organization or collective of some sort (team, group, network, community, etc), this requires more than a shift in the capabilities of individual managers. Leadership is a social process, which enables individuals to work together as a cohesive group to produce collective results. This requires those involved to somehow work together to create the conditions for collaboration to succeed (McCauley, 2014). There is no ‘set’ way for this social process to happen as these outcomes can be reached with or without a nominated leader, or through a few or all individuals bringing different forms of leadership. The outcomes of this social process are defined below, and are referred to as DAC (direction, alignment and commitment).

- *Direction*: agreement on what the collective is trying to achieve together.
- *Alignment*: effective coordination and integration of the different aspects of the work so that it fits together in service of the agreed direction.
- *Commitment*: people who are making the success of the collective (not just their individual success) a personal priority.

A useful example now follows, concerning a New York restaurant business.

The owner of a New York restaurant, Jay, was disillusioned by the fact that the restaurant's waiting staff and kitchen employees did not share his sense of passion for the business. Instead, they were bickering over money. The waiting staff were constantly manoeuvring for better tables, and the kitchen staff didn't believe they were getting their fair share. After thinking about it for some time, Jay traced the problem to working for tips, which he decided hurt teamwork and lowered morale. A no-tipping policy would encourage his employees to concentrate on their work and stop expending so much energy on angling for tips. He met with the staff, who agreed to the no-tipping policy. Tips were replaced by an 18 per cent service charge split three-to-one between the waiting staff and kitchen workers.

The result has been what Jay hoped for. Even though the waiting staff are earning slightly less than before, they report being happier in their work and less anxious about what a customer will tip and how much others are making. One waiter said that her work had 'more meaning' than it ever had before. Kitchen workers are making more and feel more connected to the business.

The following table presents two ways of interpreting these events.

| <b>The leader-influence interpretation</b>                                                                                 | <b>The DAC 'social process' interpretation</b>                                                                                                              |
|----------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Jay decides that a new tipping policy would support his vision of improved morale and a collective sense of pride in work. | Jay comes to believe that adopting a no-tipping policy and sharing out tips will lead to increased DAC.                                                     |
| Jay needs to influence his staff by inspiring them with his vision and using his personal authority.                       | Jay must test his belief about the impact of a no-tipping policy with the rest of the staff, as DAC implies shared commitment.                              |
| Jay meets with his staff and persuades them to buy in to his vision, and agree to his new policy.                          | Jay meets with the staff and as a result, the staff all share a belief that the no-tipping policy will have positive effects, and they agree a way forward. |
| Teamwork and morale are improved as a result of his actions.                                                               | The team's shared belief in the policy and associated practices are validated. Teamwork and morale improve as a result of their collective leadership.      |
| Leadership is framed as the process of the leaders persuading and getting buy-in from followers to achieve a result.       | Leadership is framed as the shared beliefs and practices that produce DAC.                                                                                  |

Note that the DAC interpretation of events includes the actions of the leader, yet also shows the bigger picture beyond. Leadership using this frame is not just about how a leader influences the team, it is about how people who work together produce direction, alignment and commitment.

**SOURCE** Adapted from Centre for Creative Leadership (2008)

## Mindful leadership

There is a great deal of interest at the time of writing in the UK, mainland Europe and the US in the practices associated with mindfulness, and their impact on factors such as resilience, happiness, health, stress levels, relationships and focus. Leading change is a stressful activity that requires high levels of emotional competencies, and mindfulness is said to support the development of these.

This has been supported by clinical research into the effects of various mindfulness interventions, which have made a difference in the categories above, although these studies are generally carried out only in contained, clinical situations, over short periods. The positive effects of these practices are thought to deepen and improve over time, as long as they are sustained.

### What is mindfulness?

Mindfulness, as a 'tool' for development, aims to support people to increase their awareness of the here and now – including awareness of body sensations, emotional reactions, mental images, mental talk and perceptual experiences. This requires an attitude of curiosity, openness, detachment and non-reactivity. Research indicates that mindfulness is challenging at first, as much of our daily experience involves unintentionally letting our minds wander, running on autopilot or suppressing unwanted experiences (Cresswell, 2017). Tellingly, one study indicated that people preferred a small electric shock to be administered at regular intervals than to be left alone with their own thoughts.

These mindfulness practices and interventions can seem mysterious to those who haven't yet experienced them. Just taking one minute now to sit quietly with your eyes closed, paying attention to your sensations, emotions and thoughts without reacting to them or getting involved with them, is a simple example. More generally, mindfulness interventions and techniques include a variety of meditation practices, 'body scans', mindful stretching, yoga exercises, guided concentration exercises – all of which are about developing a capacity to ground one's attention in present moment experiences.

## MINDFULNESS WILL CHANGE YOU!

Sitting in a lotus position on the floor of his monastery at Plum Village near Bordeaux, France, Thay\* tells the *Guardian*: 'If you know how to practise mindfulness you can generate peace and joy right here, right now. And you'll appreciate that and it will change you. In the beginning, you believe that if you cannot become number one, you cannot be happy, but if you practise mindfulness you will readily release that kind of idea. We need not fear that mindfulness might become only a means and not an end because in mindfulness the means and the end are the same thing. There is no way to happiness; happiness is the way.'

\* Thay is Vietnamese Buddhist monk and peace activist Thich Nhat Hanh's familiar name

**SOURCE** Confino (2014)



## How does mindfulness impact change leadership?

Mindful leadership represents something more than a leader practising mindfulness at home in a way that impacts work. This involves a belief that practising mindfulness while leading improves the quality of leadership and the likelihood of delivering valued outcomes. So this requires more than attending a mindfulness course and cultivating a meditation practice; this means integrating mindful practices into the very fabric of your leadership.

Well-known American-based companies such as Facebook, Google and Allied Mills have already introduced mindfulness practices to their workplaces, and many other organizations are following suit. This has led to increased interest in the potential of mindfulness training as part of leadership development, with a proliferation of training organizations now enthusiastically providing this type of intervention.

Although there is plenty of research documenting the links between mindfulness and leadership behaviours, as yet there is little data evidencing the positive effects in a real-life situation. Questions that are now being asked are:

- Does mindfulness training actually develop leadership?
- If so, how does it do so? What are the mechanisms that make it effective?
- How do we design interventions that actually work?
- What specifically about the mindfulness process contributes to effective leadership?

In pursuing these questions, Reitz and Chaskalson (2016) designed a Mindful Leader programme, which featured face-to-face and online teaching over two months, ongoing mindfulness practices (meditation and other exercises) and a buddy system. They collected data about how this programme was helping the 57 business leaders who attended to deal with real work issues. Their study suggests improvement in three key leadership capacities, all associated with leading change: resilience, capacity for collaboration and the ability to lead in complex conditions. However, improvements depended on practice, and those who practised for 10 minutes a day did better.

The study above also revealed three fundamental ‘meta-capacities’ that leaders developed through their participation in the programme:

- *Metacognition* – the ability to choose to simply observe what you are thinking, feeling and sensing. This offers a unique method for avoiding ‘autopilot’.
- *Allowing* – the ability to let what is the case be the case. This means meeting your experience with openness and kindness to yourself and others. This is not weakness or a collapse, but a facing up to what is in the moment.
- *Curiosity* – the ability to continue to take a lively interest in what is showing up in your inner or outer world. Without curiosity, there is no reason to stay with awareness of the present moment as it unfolds.

These meta-capacities appear to support other developments such as reduced reactivity to events, which in turn supports other skills such as empathy, self-regulation, focus, responsiveness and opening to other perspectives. This then leads to improvements in resilience, collaboration and leading through complexity as mentioned above.

The Institute for Mindful Leadership has been delivering this type of training for leaders for over 10 years, and claims that the mindful leadership training it offers cultivates four elements of leadership excellence: focus, clarity, creativity and compassion (Institute for Mindful Leadership, 2018). Their mindfulness leadership training ‘explores how meditation, reflection and other contemplative practices influence the development of the fundamental qualities of leading and living with excellence’.

Broken down, this type of training helps leaders to learn how to:

- engage innate capacities of the mind to strengthen their expertise;
- allow space for creative solutions by becoming more comfortable amidst uncertainty and adversity;
- practise daily applications of mindful leadership training to cultivate mental and physical resilience;
- meet and/or initiate change skilfully by gaining access to intuition and connecting fully with others;
- recognize unproductive patterns, both within themselves and in workplace interactions, and learn how to respond more effectively.

Former vice president of General Mills, and founder of the Institute for Mindful Leadership Janice Marturano (2014) says ‘A mindful leader embodies leadership presence by cultivating focus, clarity, creativity and compassion in the service of others’. She adds that leadership *presence* is not only critical for us as individuals, but also has a ripple effect on those around us: the community we live in and potentially the world. Presence, she says, requires full and complete, non-judgemental attention in the present moment. (Read more about *presence* in the section on ‘Skills for leading change through uncertainty’ in Chapter 12 of this book.)

It’s salutary for leaders to remember that mindfulness has been part of Buddhist practices and wisdoms for over 2,500 years, yet it’s only in the last couple of decades that these practices have been used to help develop organizational leaders (Sinclair, 2015). It’s perhaps tempting for those who haven’t yet experienced the practices to misunderstand them as thought-centred, yet mindfulness is a practice that is said to be not ‘cluttered by thought’. Sinclair asserts ‘In mindfulness we are not problem-solving or evaluating, not trying to change things or people, but rather in a state of open expansive awareness, able to notice and appreciate more of what’s there’. In terms of leading change, this type of attitude can result in less change ‘noise’ being

created in organizations, and more effective change happening in the right way, at the right time.

### Purpose and values of mindfulness – beyond resilience and focus

It can be tempting for senior leaders new to mindfulness to delight in the impact and possibilities of these practices, and then use the resulting increase in leadership capacity to legitimize excessive demands on themselves and others. Those attuned to these wisdoms would say that this is just another manifestation of the ego activity, which leads to more striving and stress for everyone involved. ‘Rather than lashing ourselves to the mast of life, driving ourselves harder, mindfulness can open the door to being in the world and in our lives differently, without being hounded by the relentless drive to change ourselves’, says Sinclair. As mentioned above, this doesn’t mean that change ceases to happen, more that the important and valued changes receive attention, rather than all the other, more reactive thoughts, ideas and actions.

There is also an underlying, ethical context to be considered say Purser and Milillo (2014) who see dangers in ‘decontextualizing mindfulness’, and reducing it to an individual-centred, self-help technique that supports ‘the reproduction of corporate and institutional power, employee pacification and the maintenance of toxic organizational cultures’. A key question is, what are organizations seeking to do with mindfulness, and does that aim actually exclude the core tenets of mindfulness teachings?

At its core, Buddhism seeks to help people to come to grips with the suffering and the causes of suffering in the world. This includes discerning wholesome action from unwholesome action and committing to moving away from greed, hatred and delusion. Purser and Milillo suggest that if an organization seeks to make money, improve productivity or increase market share, without any attention to the pain or difficulty this creates for employees and their families, business partners, suppliers and customers, wider communities and the planet, then mindfulness practices are clearly being used to support ‘unwholesome’ activities or suffering.

The answer to this question of ethics from at least one source is to not worry. The father of mindfulness in the west, 87-year-old Thich Nhat Hanh says ‘as long as business leaders practise *true* mindfulness, it does not matter if the original intention is triggered by wanting to be more effective at work or to make bigger profits. That is because the practice will fundamentally change their perspective on life as it naturally opens hearts to greater compassion and develops the desire to end the suffering of others’ (Confino, 2014). See also the box opposite, which outlines the potential impact of mindfulness coaching training on the values of leaders.

At the other end of the spectrum, many executives fear that open association with Buddhism will be subject to ridicule, as this introduces a completely different way of being in the world that some see as at best eccentric and at worst anti-business. For

example, Thich Nhat Hanh's visit in 2013 to the World Bank for a day of meditation practice at the invitation of its CEO Jim Yong Kim triggered some startled reactions. An article in *The Economist* said:

The World Bank may need a quiet period of reflection, but this was ridiculous... Mr Hanh says he believes in the 'power of aimlessness' and thinks civilisation is threatened by 'voracious' economic growth. Mr Kim (one hopes) is not. He is trying to give the bank a sharper focus... to end extreme poverty by 2030, and foster income growth amongst the poorest 40% in every country, not just poor ones.

The finance sector is said to have more difficulty embracing Buddhist beliefs and practices than the IT sector. Google in particular has apparently been opening itself to true mindfulness, by inviting Thich Nhat Hanh to help them become more compassionate in the way they innovate (Confino, 2013).

### **TRAINING IN MINDFUL COACHING CAN LEAD TO SHIFTS IN VALUES**

Project RESPONSE was initiated to develop knowledge and understanding about the degree of alignment between companies and their stakeholders regarding what corporate social responsibility (CSR) entails. This project has been supported and funded by the European Commission's Directorate General (DG).

Elements of the RESPONSE project indicate that there is a need to reframe and reset the approach taken to developing the required managerial skills and sensitivities. This is especially true where it comes to understanding the impact of decisions and actions on the social context in which the companies operate.

The more pedagogical ways of approaching this, as currently used in business schools, corporate universities and executive training centres, might be enough to raise awareness of the complexity of the issues at stake, but tend to fall short of developing a 'deep consciousness of the social role and responsibilities that managers carry in their daily activities'.

The emergence of proactive, effective socially responsible behaviour such that it becomes part of the fabric of the organization depends on how seriously the evolution of 'personal values, emotional traits and decision-making processes' is taken during internal and external managerial interventions.

The RESPONSE learning experiments indicate that a coaching approach based on the practice of 'deep introspection and meditation techniques', without even mentioning CSR concepts or case studies, can succeed in 'shifting psychological traits and personal values towards increasing levels of social consciousness', thus increasing the likelihood of socially responsible behaviour emerging naturally and spreading throughout the organization.

**SOURCE** Adapted from Zollo *et al* (2008)

### STOP AND THINK!

- Q 4.1** Think of five leaders you admire and say why you selected each one, using Goleman's six leadership styles to discern the similarities and differences between their leadership. What does this list of five leaders say about the styles and approaches *you* value in a leader?
- Q 4.2** Consider a significant project you are involved in at work. What is the aim of this project, and what sort of leadership is required from, eg, the project manager, team leaders, sponsor and local line leaders to make this happen? How much transactional and how much transformational leadership is currently in the mix (use the definitions to get granular!), and what alterations to this would you advise if asked?
- Q 4.3** Pick a not-for-profit organization or a charity that you are aware of who appear to be operating in a strategic way and spend some time researching their current activities and publicity. Use Mintzberg's 5Ps to describe their approach. What are they trying to achieve, and how are they going about it?
- Q 4.4** Reflect on a team or group you have been part of in the past, and how direction, alignment and commitment (DAC; McCauley, 2014) was reached during your time together. How did you/others contribute to this, how much collaboration was involved versus leadership intervention/use of authority? How could this have worked differently, and what are the potential risks and benefits of this alternative approach?

## Leadership qualities and skills

In this section, as a way of looking at leadership 'in the round', we introduce readers to an integrative leadership framework that sets out five essential archetypes of leadership known as the Five Leadership Qualities or FLQ (Cameron & Green, 2017). This framework has been distilled and honed through looking at natural clusters of competences and qualities that appear in the wide canon of leadership literature over the past 100 years. It has also been tested out and verified in live organizational settings in the UK, mainland Europe and South Africa.

### ***Introduction to the five leadership qualities (FLQ) framework***

The FLQ framework (shown in Figure 4.2) is a flexible, integrated framework that represents a complete map of all the essential qualities required by organizational leaders, when it comes to leading successfully through big or small change. It was first

drafted in 2007 (Cameron & Green, 2008) and represents a simple yet profound synthesis of much of the leadership literature, validated in live situations as well as cross-checked against multiple sets of in-house leadership competences.

Each of the five qualities can be considered as both a high-level ‘archetype’ and as a cluster of interconnected, coherent leadership skills and approaches. The way the literature maps onto the archetypes appears in the box below.

## **MAPPING THE LEADERSHIP LITERATURE ONTO THE FIVE ‘ARCHETYPES’**

### **Archetype 1: The Architect**

Focusing on design, the Architect crafts seemingly disparate ideas and information into a well-thought-out, structured way forward and continually scans the environment for patterns and feedback.

This archetype combines the following theoretical and research elements:

- How cognitive ability supports leaders to see patterns and possibilities (Kirkpatrick and Locke, 1991).
- The importance of stepping back and reflecting on your leadership (Hersey and Blanchard, 1969).
- The use of aspects of personal power (Yukl, 2013).
- The need to stimulate followers intellectually (Bass, 1985).
- The importance of ideas generation (Bel, 2010).
- How various strategic skills need to be mastered (Schoemaker, Krupp and Howland, 2013).
- How gaining a clear picture and being able to frame this for others is a key leadership skill (Heifetz and Laurie, 1997; Higgs and Rowland, 2005).
- The need for leaders to reflect, take space, and contact their inner guidance and depths (Swart, Chisholm and Brown, 2015; Schuster, 2014).

### **Archetype 2: The Motivator**

Focusing on buy-in, the Motivator taps into their own and other people’s passions, articulates a compelling picture or vision of the future, and motivates and inspires people to engage in the way ahead.

This archetype combines the following theoretical and research elements:

- The link between extraversion, self-confidence and leadership success (Goldberg and Saucier, 1998; Northouse, 2007).

- The importance of expectation-setting (Vroom and Jago, 1988).
- Use of supporting and coaching skills to increase commitment (Hersey and Blanchard, 1969).
- How leaders influence via push and pull, and aspects of transformational leadership (Dent and Brent, 2009; Bass, 1985).
- The importance of inspiring a shared vision, modelling the way and encouraging the heart (Kouzes and Posner, 2003).
- The role for leaders in managing emotions, recognizing and understanding other people's emotions (Goleman, 1998).
- Imaginative storytelling (Mead, 2014).

### **Archetype 3: The Connector**

Focusing on connectivity, the Connector reinforces what's important, establishes a few simple rules, connects people and agendas, brings care to process and establishes safety in a measured way.

This archetype combines the following theoretical and research elements:

- The link between sociability, integrity and leadership success (Northouse, 2007; Yukl, 2013).
- The importance of focusing on relationship 'in the middle ground' (Fiedler, 1967; Bennett *et al*, 2003).
- Use of 'supporting and coaching' skills to increase confidence (Hersey and Blanchard, 1969).
- How leaders influence through the use of 'pull', including questioning and listening (Dent and Brent, 2009).
- The importance of 'individualized consideration' through mentoring, advice giving and empathy (Bass, 1985).
- How interactive leadership supports innovation through, eg, empowerment (Bossink, 2007; Kouzes and Posner, 2003).
- Successful outcomes in a complex system result from high-quality interactions and collaboration (Lichtenstein *et al*, 2006; Chrislip and Larson, 1994).
- Significance of servant leadership, personal humility, care about others, trust (Laub, 1999; Collins, 2001; Brown and Trevino, 2006; Brown, Swart and Meyler, 2009).
- How good leaders manage their emotions and their relationships (Goleman, 1998).

#### Archetype 4: The Implementer

Focusing on delivery/projects, the Implementer drives and reviews the plan, holds people to account, and leads by delegating and follow-up with tenacity and rigour.

This archetype combines the following theoretical and research elements:

- The link between drive, conscientiousness and leadership success (Kirkpatrick and Locke, 1991; Saucier and Goldberg, 1998).
- The need to focus on task- and expectation-setting (Fiedler, 1967).
- Use of 'directing and delegating' skills, depending on the follower's maturity level (Hersey and Blanchard, 1969).
- Effectiveness of transactional leadership skills such as 'active management by exception' and use of rewards, in certain contexts (Bass, 1985).
- The role of planning as a possible strategic approach (Mintzberg, 1987).
- The importance of goal setting, measuring, monitoring results and corrective action for successful innovative leadership (Bel, 2010; Bossink, 2007).
- The need to 'maintain disciplined attention' as part of adaptive leadership (Heifetz and Laurie, 1997).
- Making others accountable as key part of change leadership (Higgs and Rowland, 2005).
- Significance of 'professional will' in level 5 leaders (Collins, 2001).
- The need to be able to encourage autonomy, to let go of tasks (Pearce and Conger, 2003; Pinnow, 2011).
- Leaders need to have discipline regarding hydration, nutrition, sleep, breathing and exercise to build resilience and enable high performance (Cian, 2000; Connolly *et al*, 2014).

#### Archetype 5: The Catalyser

Focusing on discomfort, the Catalyser asks difficult or probing questions, spots poor performance, dysfunction or resistance, and brings any necessary edge, which in turn creates the tension for change to happen.

This archetype combines the following theoretical and research elements:

- The links between integrity (or truth-telling) and successful leadership (Kirkpatrick and Locke, 1991; Yukl, 2013).
- The importance for leaders to bring 'presence and impact', eg, shifting the direction of conversation (Hawkins and Smith, 2013).
- The need to be aware of the dangers of conflict avoidance and 'the undiscussable' (Argyris, 1990).



- Links between ‘intellectual stimulation’ and ‘active management by exception’ with leadership success in certain contexts (Bass, 1985).
- Challenging the status quo, questioning assumptions and being ‘devil’s advocate’ are all important abilities for strategic leaders (Schoemaker, Krupp and Howland, 2013).
- The need for change leaders to identify the adaptive challenges (Heifetz and Laurie, 1997).
- How leaders need to be courageous and have robust discussions (Snowden and Boone, 2007).
- ‘Ethical leadership’ may mean being willing to be unpopular (Seidman, 2010).
- Systemic leadership involves seeking feedback, allowing tensions and conflicts to emerge (Pinnow, 2011).
- Leadership maturity means staying open to difficult realities of one’s own life; allowing crises (eg, Paris, 2016).

**SOURCE** Cameron and Green (2017)

On using the framework for leadership to assess their own or others’ capabilities, Cameron & Green (2017) say ‘Most leaders find that they relate more naturally to some Qualities than others, with some showing up more strongly than others in their leadership. But even where a Quality is strong in someone, it can show up in narrow or inelegant ways. In other words, many if not most leaders have some sort of “blind-spot” in relation to several of the Qualities, which can be born out of either strength and over-confidence, or lack of awareness and skill’.

Every leader is different and needs to find his or her own, authentic style – ideally reflecting all of the five qualities in their own distinctive way, in order to serve his or her particular context.

## Research and development of the framework

Cameron and Green carried out various levels of research and validation in relation to the five qualities framework over a period of nearly 10 years. Some early conclusions in 2007, based on the responses of 87 experienced leaders/consultants in the UK from mixed sectors are given below. Although a limited sample, the results make interesting reading for those leading change:

- i Eighty per cent of successful leaders of change known to participants used all of the five qualities.
- ii No strong correlations were identified between the different qualities, although the Edgy Catalyser and Tenacious Implementer qualities appear to be slightly but not significantly correlated.

- iii The quality that most participants would least like to be exclusively led by is the Tenacious Implementer at 43 per cent, with the Edgy Catalyser a close second.
- iv It appears that the Tenacious Implementer and Visionary Motivator qualities are ‘opposites’ in some way, in that those who find one easy to access, tend to find the other difficult to access.
- v When asked about the most prevalent leadership quality in their organizations, the top two scores were: 30 per cent Tenacious Implementer and 20 per cent Edgy Catalyser. The least prevalent were the Thoughtful Architect (34 per cent) and the Visionary Motivator (21 per cent).

Another key finding, relevant to those leading change, is that there appear to be a number of differing contexts in which the leadership qualities are required in differing proportions (see Figure 4.1), for example:

- When working with partners and stakeholders, organizations need more Measured Connector.
- When growing a new enterprise, organizations need more Visionary Motivator.
- With an unhappy workforce, organizations need more Measured Connector and Visionary Motivator.
- Addressing new legislation, tighter compliance or critical projects, organizations need more Tenacious Implementer and less Visionary Motivator.
- Engaging with more complex organizational change or a five-year strategy, organizations need more Thoughtful Architect and Visionary Motivator.

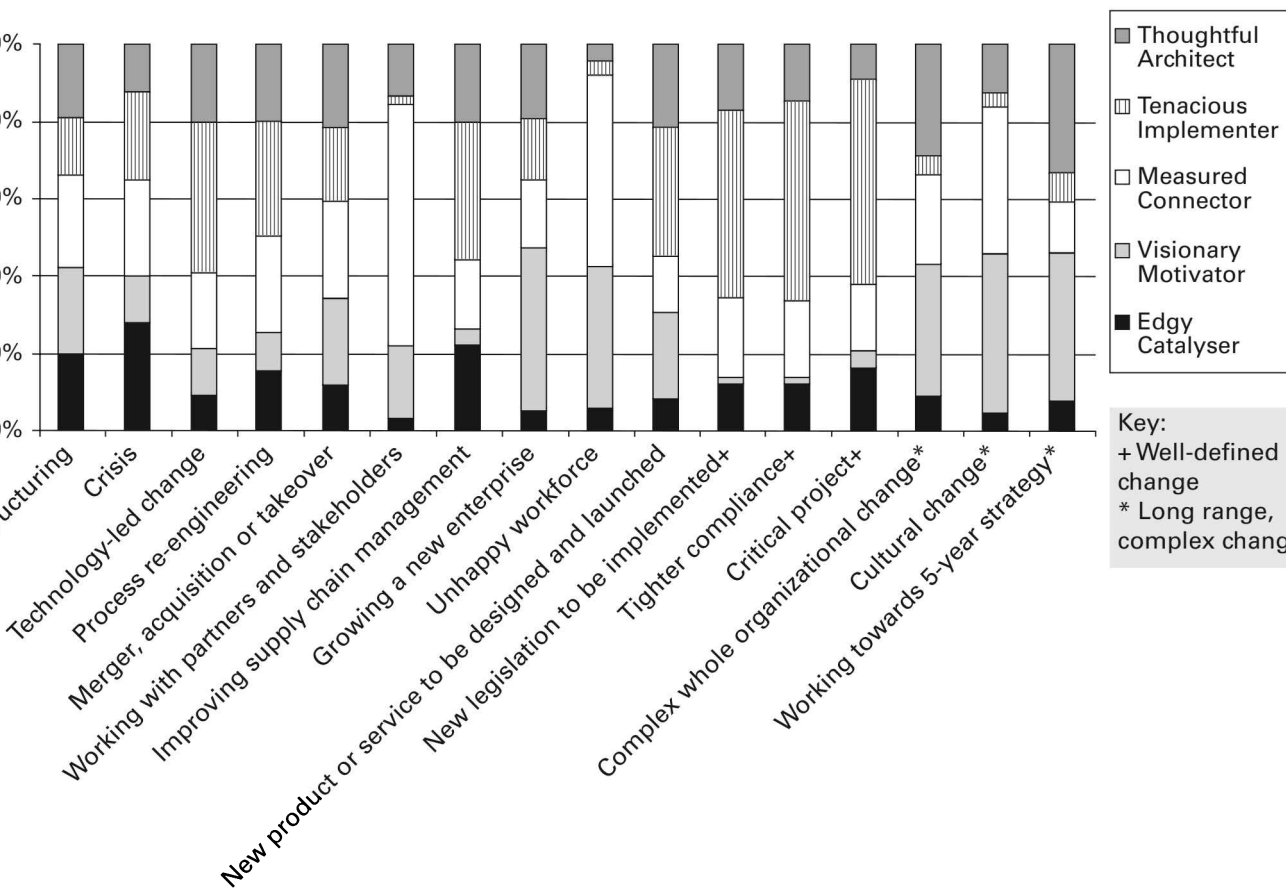
Since 2007, the FLQ framework has been used in a range of international settings to test the framework’s face validity, and to observe how it can be used to support learning. In one case, a six-month leadership development programme was designed in a multicultural, engineering-oriented setting, featuring the five qualities leadership framework. At the end of the programme, as part of the evaluation process, data was collected from 36 middle leaders via a confidential online survey: 89 per cent said they had found the framework ‘very supportive’ or ‘extremely supportive’ during a period of significant change.

## ***The five qualities – descriptions and uses***

### **Thoughtful Architect**

Leaders who demonstrate the Thoughtful Architect quality scan the internal and external environments to identify the key drivers for change. They also assess the organization’s current readiness for change and design appropriately attuned strategies for

**Figure 4.1** What proportion of each leadership quality is required in each context



**Figure 4.2** Summary of the five leadership qualities



**SOURCE** Cameron and Green (2008)

addressing these drivers. The strategies are interdependent, flexible and coherent – and there is due regard for the context and the wider system as it evolves.

## **CASE STUDY** Thoughtful Architect quality in action

Head Teacher Jane Hill was appointed as the new head of a state primary school in the UK, suffering from falling morale and a controlling culture. The previous head and chair of governors had got used to giving direction and others had got used to following. Jane was very clear about how she saw things changing, but her challenge was to get others to take responsibility for helping her get there. She had a well-thought-through plan for how to do this, and she was well aware of the different and sometimes competing interests among the stakeholders.

Her appointment coincided with tremendous change in the education sector with various government initiatives, some of which presented opportunities, some requiring more defensive strategies. She was very conscious of budgetary constraints and a potential shortfall in the short term, though with careful management the finances looked more stable medium to longer term, given the influx of new children down the line.

Initially she constructed a mental roadmap of the process of organizational change. She populated a stakeholder map, ensuring that the wider educational system was included, and identified and assessed the various drivers for change. Her next step was to build a leadership team, and to help shift each senior staff member's mindset from simply managing the school, to thinking about contributing to the vision and culture of this living community.

The initial, future-visioning process was purposefully led by the head. She began by explicitly seeking the ideas of senior staff, and over time others became involved. Central control was gradually relinquished. Staff began to have a greater say, as did the parents who, through a revitalized Parents' Forum, were also included. The pupils themselves were encouraged to set up a School's Council and become 'associate governors'.

This had all been part of her grand design, but she worked slowly and thoughtfully at enabling others to make it come alive.

The key focus of the Thoughtful Architect quality is 'design'.

|                         |                                                                                                                                                                                                                                                                                                                                                                          |
|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>At best:</b>         | <ul style="list-style-type: none"> <li>• Observant</li> <li>• Discerning</li> <li>• Strategic</li> </ul>                                                                                                                                                                                                                                                                 |
| <b>At worst:</b>        | <ul style="list-style-type: none"> <li>• Distant/preoccupied</li> <li>• Obsessive</li> <li>• Impersonal/academic</li> </ul>                                                                                                                                                                                                                                              |
| <b>Core skills:</b>     | <ul style="list-style-type: none"> <li>• Strategic thinking and planning</li> <li>• Diagnosing situations and generating options</li> <li>• Stakeholder analysis</li> <li>• Framing (contexts, processes, issues, etc)</li> <li>• Organization design (including working intelligently via authority)</li> <li>• Creativity/reframing situations and problems</li> </ul> |
| <b>Advanced skills:</b> | <ul style="list-style-type: none"> <li>• Systemic thinking</li> <li>• Scenario planning</li> </ul>                                                                                                                                                                                                                                                                       |

## Visionary Motivator

Leaders who demonstrate the Visionary Motivator quality use words and images to describe ways forward, or pictures of the future that inspire and motivate others to engage. Through their ability to relate to others, and to embody their own values and intent, they are able to bring people on board with ideas or proposed changes, who then help shape and deliver the next stage.

**CASE STUDY** Visionary Motivator quality in action

Jay is the HR Manager for a financial services company based in Canada.

‘When I was promoted to HR Manager I was fairly new to leadership at that level, and still learning when it came to inspiring my team or hatching any “big ideas” about the future. I was more interested in planning and implementation; getting things done.

The business context changed dramatically after six months, with the advent of two major acquisitions and the expectation that the new people would be fully integrated into a new, whole-company strategic direction. I had to find a way to recast the HR team’s role and agenda in line with this fresh direction for the business, and a new landscape. This was not easy as some of my team had been working in set ways for over 15 years, but the executive team was hungry to hear from us, given the reputation the department had for doing things a bit too much “by the book”.

Behind the scenes, I talked to as many people as possible in my network about how best to lead this type of change. My first step was to talk one-to-one to my leadership team – including some new members from the acquisition organizations, about their aspirations for their working lives, and to get them thinking about their hopes and dreams beyond work. Quite quickly, I also began to open up a bounded conversation at our regular team meetings about the challenges ahead, and where I thought we needed to be heading as a team, describing how we would be perceived, what sort of things we’d be focusing on, what kinds of values we’d be role modelling and how we’d be engaging the rest of the organization, and inviting their responses.

This eventually led to an HR Department workshop where my leadership team presented our emerging ‘HR Story’ and invited everyone in the department to contribute and share their own imaginative stories. We also invited some of our closest business partners and started to open the conversation up further.

I learned to my surprise that there was quite a bit of untapped potential lurking in the team, and very little resistance to growth and development. Over the following weeks, each team worked on their plans, and it seems the whole process has opened up new levels of ambition and insight...’

The key focus of the Visionary Motivator quality is 'buy-in'.

**At best**

- Expressive
- Imaginative
- Authentic

**At worst**

- Impulsive
- Verbose
- Superior

**Core skills**

- Visioning through words and images
- Inspiring others
- Engaging presentations
- Motivational skills
- Experimentation
- Reframing

**Advanced skills**

- Imagining or opening to the future
- Use of symbols and meaning-making

## Measured Connector

Leaders who demonstrate the Measured Connector quality build well-connected, settled working environments in which people come together to share perspectives, collaborate and learn, and are thus empowered to bring their best to the work ahead. They focus on the people dimension of work and ensure that there is a sufficiently safe, enjoyable atmosphere to work in. This provides a container for creativity and innovation, as well as a place to process any anxieties associated with impending change.

## CASE STUDY    Measured Connector quality in action

Vincent is the owner of a small but growing IT business that is part of a 'hub' of similar businesses working on a range of projects in Germany.

'I have always seen myself as a "people person": able to talk with others and get to know people easily. People tend to find me very approachable and enjoy my company. My business took off sort of by accident two years ago when I was made redundant and managed to pick up a contract from a friend to do quite a big piece of work, and then a few others came on board to help me out. Lots of this was done by word of mouth, with quick e-mail agreements to back things up.

Then more and more clients started asking me to do work for them, because people trusted my skills, and trusted and liked me, but I began to realize that I needed to start to take a bit more care with how I spent my time and who I talked to about what. The

Measured Connector quality was as easy as breathing for me, in one way – I mean it seems entirely obvious to me that you would look people in the eye and get interested in their perspective – but I hadn't ever properly developed this as a *leader*.

I realized I was a bit casual and wasn't really thinking things through or following things up, which was resulting in quite a bit of frustration in the team, which I sensed, but I just wanted it to go away and for them to be a bit more independent! I would promise team meetings and then I'd have to cancel at short notice to go to meet a prospective client to discuss other work instead. They just weren't getting any guidance at all.

So I started to pay more attention to the way I organized my time, ensuring that team meetings and one-to-ones were booked in months in advance. I also began taking more care with the way I e-mailed people – reading their e-mails to me more carefully and answering all the questions that I was being asked. I also paid more attention to the way I brought people together to discuss issues, or plans. Then, although I felt enormous awkwardness around this at first, I started to meet with my team one to one on a regular basis. This was to see how I could help them, and to check in on progress in a more structured way. So I gave myself more guidelines and frameworks for how to do all these things as a leader, rather than relying on my natural, kind of unstructured friendliness and openness.

This all resulted in my team being much more settled and productive – and our working relationships have become smoother, more enjoyable and actually more creative. Without this realization about the importance of this connecting quality, I'm not sure whether my business would have lasted as long as it has! My team are certainly pleased and I feel I'm getting more out of them too.'

The key focus of the measured Connector quality is 'connectivity'.

**At best**

- Non-anxious
- Communicative
- Inquiring

**At worst**

- Lacks urgency
- Needy for contact
- Indecisive

**Core skills**

- Running effective meetings
- One to one dialogue skills
- Effective cascades/briefings
- Performance coaching
- Teambuilding
- Self-management

**Advanced skills**

- Bringing presence
- Facilitating complex dialogue



## Tenacious Implementer

Leaders who demonstrate the Tenacious Implementer quality focus on pursuing the plan through to completion by driving the delivery of specific outcomes to the standard expected and to schedule. They bring clarity, determination, rigorous follow-up and a commitment to hold others to account and be accountable themselves. Combined with other qualities, the tenacity that comes with this quality ensures that things get done, even when there are numerous painful negotiations or tedious iterations to get through: very valuable in a change scenario.

### **CASE STUDY** Tenacious Implementer quality in action

Yasmin was a talented manager in a property management company in India; she knew how to get project work done through people. With a flair for understanding systems and a knack for seeing how processes could be designed more efficiently, she had worked tirelessly for nine months with a team of eight people to build and rollout a new software system that allowed more sophisticated tracking of assets. This was much applauded and appreciated by everyone!

Her management skills were noted by the board, and pretty soon she was promoted from Team Leader with a team of eight, to Head of Asset Management with a department of 35, which was a big jump in authority and span of control for her. In her new job she needed to lead a team of six team leaders to implement a complex change programme that was already under way.

As someone who was used to demonstrating the Tenacious Implementer quality every day through delegating and tracking, it required some adjustment for her to find good ways of supporting her team leaders to be successful in this new scenario. At first she found this almost impossible, as her preference was to dive into the details and give people specific advice about how to solve all the particular problems and what to do next, even if they didn't really seem to need it. She could sense that her team leaders were not happy about this and one even asked her outright whether she had doubts about his capability.

Yasmin sought the help of an internal mentor, and received some helpful suggestions about how she could still bring her Tenacious Implementer sensibilities in a more mature way that supported good progress rather than cut across the authority and competence of her team leaders. This included:

- i. At leadership meetings – clarifying programme objectives, priorities and progress, inviting each team leader to report back and raise any issues requiring the team's

attention, being sure to draw a boundary when issues that required one-to-one attention came up.

- ii. In one-to-ones – asking progress questions at a different level, ie, regarding achievement against plan and progress towards outcomes, rather than getting into detailed day-to-day activities. Also inviting the team leader to name any obstacles to progress that they were seeing inside or outside their own team, how they were planning to tackle them, and how they thought Yasmin might be able to assist from her position of authority.
- iii. Alone – making a deliberate space every week to reflect on her own leadership objectives, what went well, what didn't go so well and what now needs attention.

The key focus of the Tenacious Implementer quality is 'delivery/projects'.

|                        |                                                                                                                                                                                                                                                          |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>At best</b>         | <ul style="list-style-type: none"> <li>• Focused</li> <li>• Organized</li> <li>• Committed</li> </ul>                                                                                                                                                    |
| <b>At worst</b>        | <ul style="list-style-type: none"> <li>• Blinkered</li> <li>• Controlling</li> <li>• Punishing</li> </ul>                                                                                                                                                |
| <b>Core skills</b>     | <ul style="list-style-type: none"> <li>• Project management</li> <li>• Planning &amp; reviewing</li> <li>• Contracting and delegating</li> <li>• Holding people to account</li> <li>• Performance discussions</li> <li>• Disciplined delivery</li> </ul> |
| <b>Advanced skills</b> | <ul style="list-style-type: none"> <li>• Governance</li> <li>• Timely, well-communicated decision making</li> </ul>                                                                                                                                      |

## Edgy Catalyser

Leaders who demonstrate the Edgy Catalyser quality ask the difficult, penetrating questions about the organization and performance, spot dysfunction and resistance, and create sufficient discomfort and unease when things aren't improving or are clearly failing. This ensures that there is a pause for reflection, and then some corrective or alternative movement. The quality in action focuses on creating constructive tension between what is and what could or should be, and sees the process of facing uncomfortable truths as a platform for healthy change.

**CASE STUDY** Edgy Catalyser quality in action

Jenny was a newly promoted team leader in a public sector organization in Scotland dealing with disadvantaged elderly adults. She was one of three internal candidates for the job. A key reason for appointing her was that the interview panel was impressed with some of her ideas for making positive changes to the section.

She had been forced to take a step back from her day-to-day business to prepare for the interview. What had been somewhat startling for her was how she was able to list all her gripes and groans about the way the section was being run and then recognize that it was now down to her to make some progress on them. She began to see that previously she and her co-workers had moaned a lot but hadn't really done anything. Indeed in some ways it suited the team to let these things remain – it meant they always had something or someone to blame.

Jenny scheduled in an extra 'special' team meeting for a section and team working review. She let people know that there were things, which they had endlessly discussed, that needed to change, and now she had been given the authority to recommend and implement ideas.

She kicked off the meeting stating what she thought the organization required of them, and her in particular. She continued by starting to write up on a flip chart some of the things she knew were wrong with the way they worked. She then prompted her co-workers to brainstorm even more.

Using some of the facilitation and coaching techniques she'd learned in her profession, she started to get people to look at some of the root causes of these issues. When some people starting pointing to factors outside of the room (other departments, other people, processes, etc) she didn't let it go, as she would have done previously, but pushed back and suggested that at least 70 per cent of the issues lay with them and those were the ones she, and they, were going to address.

There were periods of intense discomfort, some defensiveness, some irritation. It seemed that there was an iterative process at play – issues identified, issues blamed on others, Jenny questioning and pushing back and having tough conversations, issues owned, ideas for resolution, the beginnings of a plan.

Although Jenny felt exhausted, and somewhat relieved, at the end of that day, she left the building with a sense that she and they were really going to make a difference to the organization and more importantly to their clients. She experienced clarity of direction, a palpable joint commitment to following through, and increased motivation within the team to take responsibility for doing so.

The key focus of the Edgy Catalyser quality is ‘discomfort’.

|                        |                                                                                                                                                                                                                                                                                                                                                  |
|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>At best</b>         | <ul style="list-style-type: none"> <li>• Probing</li> <li>• Courageous</li> <li>• Steady</li> </ul>                                                                                                                                                                                                                                              |
| <b>At worst</b>        | <ul style="list-style-type: none"> <li>• Harsh</li> <li>• Interrogating</li> <li>• Troublemaking</li> </ul>                                                                                                                                                                                                                                      |
| <b>Core skills</b>     | <ul style="list-style-type: none"> <li>• Ability to step back and spot what’s causing ‘stuckness’</li> <li>• Tough conversations</li> <li>• Questioning skills/probing</li> <li>• Courage to withstand discomfort</li> <li>• In service of organizational or team outcomes</li> <li>• Confronting organizational/cultural dysfunction</li> </ul> |
| <b>Advanced skills</b> | <ul style="list-style-type: none"> <li>• Negative capability – resisting the urge to act</li> <li>• Creative boundary negotiation</li> </ul>                                                                                                                                                                                                     |

### STOP AND THINK!

**Q 4.5** Select a political or business leader who is in the spotlight at the moment: research the leader and the situation to understand a bit more about them and it. Describe the leadership approach the person is currently using in this situation. Refer to the FLQ framework, and pick out the qualities you see the leader bringing, commenting on how skilful/mature this appears to be or not. Use a pie chart to plot what you see of the five different qualities. You may have to guess. Then use Figure 4.1 to work out whether that combination of styles is appropriate for the change situation they are in, and what advice you might give them if asked.

## Leading change processes: stages, phases and flow

In this section we look specifically at the leadership of change processes, using various perspectives on the process and what’s required to lead this. Please note that there is more specific information about leading particular change processes in Chapter 9 on digital transformation and in Chapter 11 on complex change.

## The ‘eight accelerators’ of change, mapped onto the FLQ



In Chapter 3, we set out the parameters of Kotter’s dual operating system framework, which recommends that significant change initiatives are tackled using a management-driven hierarchy to manage the day to day, working in partnership with a strategy network. The strategy network focuses on vision, agility, inspired action and celebration rather than budgets, reviews and project management.

He recommends eight ‘accelerators’ to enable this strategy network to function. We take this framework a bit further by applying them to leaders across the whole organization, not only those in a ‘strategy network’. This helps to pinpoint the type(s) of leadership we believe he is recommending. See Figure 4.3 for a map of these processes, mapped

onto the key, relevant elements of the FLQ (Cameron and Green, 2017).

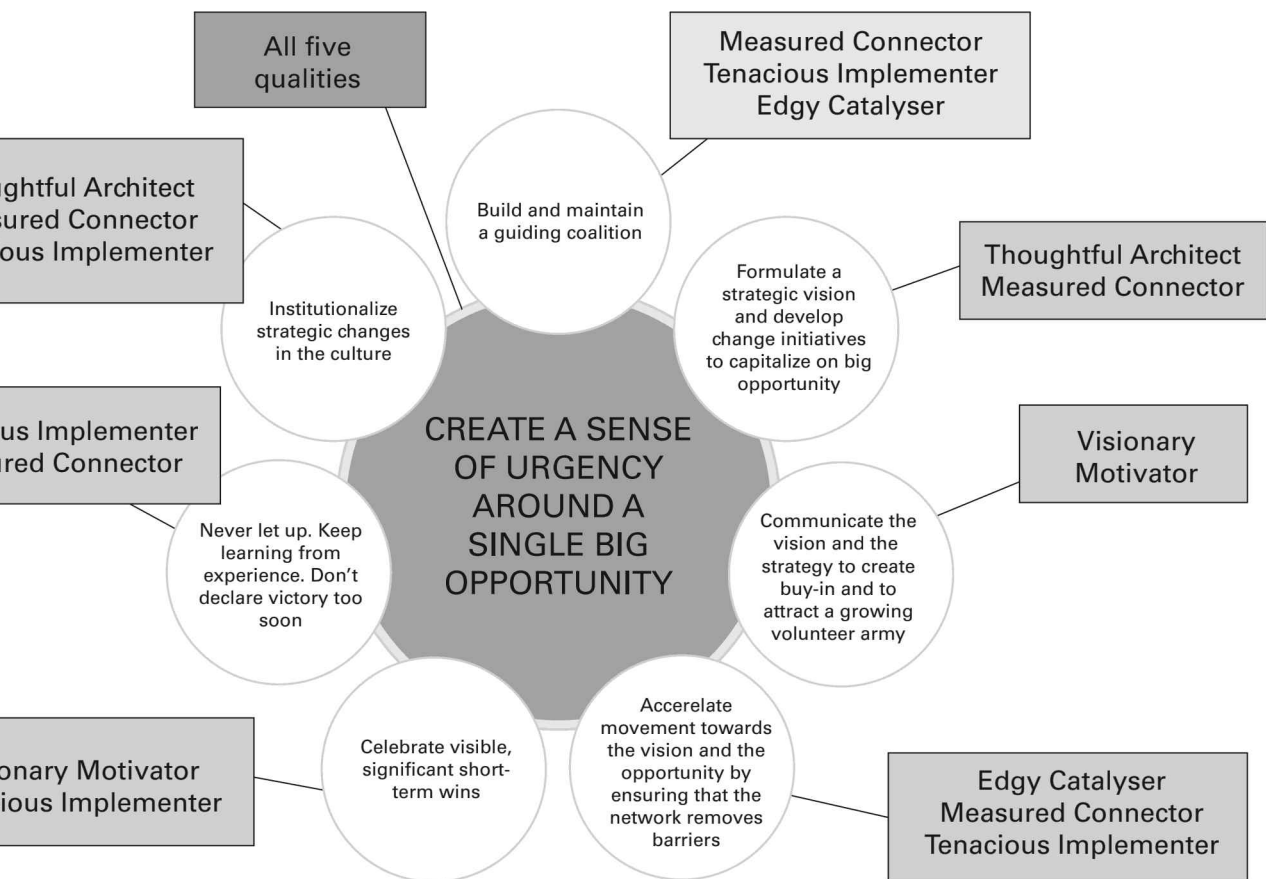
Each of the accelerators is non-trivial, and mapping these onto leadership approaches illuminates another level of complexity. For example, some of the accelerators involve more continuous effort over time than others, and may in themselves contain sub-activities and sub-accelerators.

- 1 Create a sense of urgency around a single big opportunity.** *This keeps awareness levels high and acts as an antidote to complacency. Executives need to help draft and continually reinforce.*

All five leadership qualities are likely to be required to kick off this type of focused change activity. These five qualities do not necessarily all need to come from the CEO, or from an outside facilitator. Ideally they will come from within the team, as part of an executive team leadership process. The amount of help required from outside facilitators depends on the maturity and skill of the CEO and the executive team members, and the degree of functioning teamwork that already exists. Framing the ‘single big opportunity’ will require Thoughtful Architect qualities. The Visionary Motivator quality will also be required to enable the executive team to align around a sense of urgency. This needs to be expressed in a way that creates buy-in, rather than a sense of being threatened or punished.

Often executive teams rush this process, so the Measured Connector and Tenacious Implementer qualities are required to support good-quality dialogue, and personal attention to drafting/testing the types of communications they want to align on. Edgy Catalyser is also required to draw attention to any lapses, or waning of interest and commitment that creep in.

3 What type of leadership is required? Kotter's eight accelerators (Kotter, 2012) mapped onto the FLQ (Cameron and Green



- 2 Build and maintain a guiding coalition.** *Volunteers who represent a wide spread of departments and skills, trusted by leadership, some outstanding managers and leaders, equal status with no internal hierarchy.*

This process is concerned with gathering volunteers and building a sense of ‘direction, alignment and commitment’ (McCauley, 2014) among those working together in the strategy network. This requires leadership and followership throughout the network, which is supported by the use of the Measured Connector quality.

The Tenacious Implementer quality is required to ensure that meetings are planned in, well-structured and effective, with good quality follow-up. The Edgy Catalyser may also be required to point out where the fundamental rules of being part of the strategy network are not being respected, or where the work of the network is failing or stuck.

- 3 Formulate a strategic vision and develop change initiatives designed to capitalize on the strategic opportunity.** *This depends on careful and creative work by the guiding coalition (GC), and a strong, mutually respectful partnership between the GC and the executive committee.*

Developing a strong, mutually respectful partnership will take all sorts of leadership qualities from influencers within both parties, with a core focus on the Measured Connector, which is about connectivity. As part of this healthy partnership, a strategic vision together with clearly defined change initiatives need to be designed using the Thoughtful Architect. The Tenacious Implementer may also be required to map out outcomes and timescales, and assign accountability.

- 4 Communicate the vision and the strategy to create buy-in and to attract a growing volunteer army.** *With 10 per cent of the organization involved in the GC, motivation can be fired-up in new ways with a lively, ‘high-stakes’ vision and strategy.*

The Visionary Motivator quality is required for this process. Kotter mentions the dangers of too much ‘hoopla’ up front meeting employee cynicism at yet another change activity. He recommends a vivid, high-stakes vision and strategy, which will only work if those communicating it really believe it, and it is grounded in reality. Once 10 per cent are attracted into volunteering, these people can bring yet more Visionary Motivator qualities.

- 5 Accelerate movement towards the vision and the opportunity by ensuring that the network removes barriers.** *The network can mobilize efforts to investigate cross-organizational issues that are impeding progress and design/test solutions. These issues can be flagged-up by the traditional hierarchy.*

When there are barriers to progress on any particular initiative, or to do with day-to-day effectiveness, the Edgy Catalyser quality is required to have the courage to point to this. The Measured Connector quality is then required to enable those affected and the strategy network volunteers to gain a coherent picture of what’s

not working and some possible ways forward. The strategy network then needs to bring Tenacious Implementer qualities to the investigation task, and to the testing and embedding of solutions.

- 6 Celebrate visible, significant short-term wins.** *It's important for the network to advertise successes as it helps with their own motivation, and supports wider buy-in to the dual system.*

It takes the Visionary Motivator quality to spot a 'buy-in' opportunity, and to create an engaging, credible way of describing what was done, the benefits and how it relates to the vision. It also takes the Tenacious Implementer quality to remember and take responsibility for doing this, and to find the energy to make the visible celebration happen.

- 7 Never let up. Keep learning from experience.** *Don't declare victory too soon. Urgency is vital, and volunteers need to keep creating new strategic initiatives in response to the shifting context and goals. 'Taking the foot off the gas' in the strategy network results in the hierarchy reasserting its authority.*

The success of change activity depends on good-quality, everyday connections and rigorous attention to making outcomes happen. This means everyone practising the Measured Connector and Tenacious Implementer qualities every day. It's a mistake to think that 'keeping your foot on the gas' is about continuously pumping positive messages and persuasive slogans to teams. What Kotter is referring to here, is a steady commitment to working on strategic initiatives in a certain way, and a commitment to learning from what gets stuck or fails, even when it's tiresome or lonely. He believes this is fuelled by the degree of urgency being communicated, although another fuelling option, maybe slower burn, is 'clarity of purpose'.

- 8 Institutionalize strategic changes in the culture.** *No strategic initiative is complete until it has been absorbed into the day-to-day culture and process of the organization. This is part of the role of the GC.*

Embedding change requires high-quality partnership between the strategy network and the existing hierarchy, as both parties have to take joint responsibility for ensuring that the embedding is completed. This requires Measured Connector quality to attend to the partnership and Thoughtful Architect quality to design good ways of amending processes or procedures to 'fix' the change. As always, the Tenacious Implementer quality is needed to ensure rigorous completion.

## ***The value of perseverance***

Rosabeth Moss Kanter (2002) highlights the need to keep going in the change process, even when it gets tough. She says that too often executives announce a plan, launch a task force and then simply hope that people find the answers.



Kanter says the difficulties will come after the change is begun. She says that leaders need to employ the following strategies to ensure that a change process is sustained beyond the first flourish:

- 1 Tune into the environment.** Create a network of listening posts to listen and learn from customers.
- 2 Challenge the prevailing organizational wisdom.** Promote kaleidoscopic thinking. Send people far afield, rotate jobs and create interdisciplinary project teams to get people to question their assumptions.
- 3 Communicate a compelling aspiration.** This is not just about communicating a picture of what could be; it is an appeal to better ourselves and become something more. The aspiration needs to be compelling as there are so many sources of resistance to overcome.
- 4 Build coalitions.** Kanter says that the coalition-building step, though obvious, is one of the most neglected steps in the change process. She says that change leaders need the involvement of people who have the resources, the knowledge and the political clout to make things happen.
- 5 Transfer ownership to a working team.** Once a coalition is formed, others should be brought on board to focus on implementation. Leaders need to stay involved to guarantee time and resources for implementers. The implementation team can then build its own identity and concentrate on the task.
- 6 Learn to persevere.** Kanter says that everything can look like a failure when you are in the middle of it all. If you stick with the process through the difficult times (see box below), good things may emerge. The beginning is exciting and the end satisfying. It is the hard work in the middle that necessitates the leader's perseverance.
- 7 Make everyone a hero.** Leaders need to remember to reward and recognize achievements. This skill is often underused in organizations, and it is often free! This part of the cycle is important to motivate people to give them the energy to tackle the next change process.

## **STICKY MOMENTS IN THE MIDDLE OF CHANGE AND HOW TO GET UNSTUCK**

- *Forecasts fall short:* Change leaders must be prepared to accept serious departures from plans, especially when they are doing something new and different.
- *Roads curve:* Expect the unexpected. Do not panic when the path of change takes a twist or a turn.

- *Momentum slows*: When the going gets tough it is important to review what has been achieved and what remains – and to revisit the mission.
- *Critics emerge*: Critics will emerge in the middle of change when they begin to realize the impact of proposed changes. Change leaders should respond to this, remove obstacles and move forward.

SOURCE Kanter (2002)

## ***Leading people through transition***

Bridges presents very clear ideas about what leaders need to do to make change work. Already mentioned in Chapter 3, he says that what often stops people from making new beginnings in a change process is that they have not yet let go of the past. He sees the leader as the person who helps to manage that transition. We see this as a particularly useful frame of thinking when an inevitable change such as a merger, acquisition, reorganization or site closure is under way.

In Chapter 3 we referred to his three phases of transition: ending, neutral zone and new beginning.

### **Leadership for the ending**

Here is Bridges' advice for how to manage the ending phase (or how to get them to let go):

- Study the change carefully and identify who is likely to lose what.
- Acknowledge these losses openly – it is not stirring up trouble.
- Sweeping losses under the carpet stirs up trouble.
- Allow people to grieve and publicly express your own sense of loss.
- Compensate people for their losses. This does not necessarily mean financial handouts!
- Compensate losses of status with a new type of status. Compensate loss of core competence with training in new areas.
- Give people accurate information again and again.
- Define what is over and what is not.
- Find ways to 'mark the ending' (see box overleaf).
- Honour rather than denigrate the past.

## MARKING THE END

When a large publicly owned utility company in the UK split up into a myriad of small privatized units, there was a great sense of loss. Old teams and old friendships were breaking up. It was the end of an era. The organization held a wake, at which everyone moaned and complained. They also expressed sadness that certain ways of being, and a whole structure and culture for which they had some affection, was being lost. They generally got things off their chest, and there was much talk late into the night. The transition moved more smoothly after that event as people began to accept the reality and inevitability of the ending.

## Leadership for the neutral zone

The neutral zone is an uncomfortable place to be. This is the time when, for instance, the reorganization has been announced but the new organization is not in place, or understood, or working. Anxiety levels go up and motivation goes down, and discord among the team can rise. This phase needs to be managed well, or it can lead to chaos. A selection of Bridges' tips for this phase are listed below (he itemizes 21 in his book):



- Explain the neutral zone as an uncomfortable time that, with careful attention, can be turned to everyone's advantage.
- Choose a new and more affirmative metaphor with which to describe it.
- Reinforce the metaphor with training programmes, policy changes and financial rewards for people to help keep doing their jobs during the neutral zone.
- Create temporary policies, procedures, roles and reporting relationships to get you through the neutral zone.
- Set short-range goals and checkpoints.
- Set up a transition monitoring team to keep realistic feedback flowing upward during the time in the neutral zone.
- Encourage experimentation and risk taking. Be careful not to punish failures.
- Encourage people to brainstorm many answers to the old problems – the ones that people say you just have to live with. Do this for your own problems too.

## Leadership for the new beginning

Here are some of Bridges' suggestions for this phase:

- Distinguish in your own mind the difference between the start, which can happen on a planned schedule, and the beginning, which will not.
- Communicate the purpose of the change.
- Create an effective picture of the change and communicate it effectively.
- Create a plan for bringing people through the three phases of transition, and distinguish it from the change management plan.
- Help people to discover the part they will play in the new system.
- Build some occasions for quick success.
- Celebrate the new beginning and the conclusion of the time of transition.

To help with this process, readers might also like to look at Noer's model in the chapter on managing organizational restructuring (Chapter 6).

## ***Attending to the adaptive challenges***

Rather than focusing squarely on envisaging, devising, implementing and embedding change, Heifetz and Laurie (1997) point to the need for organizations to attend to the 'adaptive challenges'. They say that the toughest task for leaders in effecting change is mobilizing people throughout the organization to do 'adaptive work'.

Adaptive work is required when our deeply held beliefs are challenged, when the values that made us successful become less relevant, and when legitimate yet competing perspectives emerge. We see adaptive challenges every day at every level of the workplace – when companies restructure or reengineer, develop or implement strategy, or merge businesses. We see adaptive challenges when marketing has difficulty working with operations, when cross-functional teams don't work well, or when senior executives complain, 'We don't seem to be able to execute effectively'. Adaptive problems are often systemic problems with no ready answers.

Often leaders are more absorbed in the technical challenges of change, when the adaptive ones are more difficult and complex, requiring shifts in values, beliefs and approaches to work that people identify with and feel a loyalty to. Technical challenges are described as easy to rectify, can be solved by an expert, require changes in one or two places in an organization and solutions can be implemented quickly. Adaptive challenges, on the other hand, are difficult to identify (but hard to deny!), need to be solved by the people with the problem, require changes in numerous places across boundaries and involve experimentation, innovation and dedication over time.

Advice to leaders facing adaptive challenges is to stick to the following six principles:

### i Get on the balcony

Leaders need to find a way of seeing what's going on in the 'field of play' and spotting the patterns, rather than getting swept up in it. It's their job to see a context for change or create one, and that's impossible to do without having access to a 'balcony view' of the action. This includes understanding the day-to-day reaction of people, as well as being able to honour the history of the organization or department, while seeing what needs to change for the future. Heifetz and Laurie say this is a prerequisite for all the other principles.

### ii Identify the adaptive challenge

If an organization has a particular challenge or threat to deal with, it's important for the organizational leaders to understand the nature of that challenge; does it represent a technical challenge or an adaptive challenge? What will truly shift the performance of the organization to the required level? The leaders have to find out whether expert advice and technical adjustments will suffice, or do people throughout the organization have to learn very different ways of working together? Sometimes the answer is both, but the second type is more complex to deal with.

In the British Airways example in the box below, the key questions asked by leaders to identify the adaptive challenge more accurately were:

- Whose values, beliefs and attitude would have to change?
- What shifts in resources, power and priorities were necessary?
- What sacrifices would have to be made by whom?
- What lay underneath existing cross-functional conflicts?
- What dysfunctions within their own executive team were exacerbating the problems being felt in the organization?

#### **BRITISH AIRWAYS' ESSENTIAL ADAPTIVE CHALLENGE**

Heifetz and Laurie use the well-known example of British Airways. Colin Marshall, the CEO at the time, was watching the revolutionary changes in the airline sector during the 1980s, and recognized the need to transform the ailing airline, given the nickname of Bloody Awful by its own customers, into an 'exemplar of customer service'. Marshall knew that this ambitious goal would require, at its root, 'changes in values, practices, and relationships throughout the company'. He saw how people were very loyal to their functional 'silos', and had learned to value pleasing their

bosses, and knew that this culture would not produce 'the world's favourite airline'. Values had to change throughout British Airways towards a dedication to service, and an atmosphere of trust, mutual respect and teamwork across boundaries. This meant learning how to collaborate and to develop a 'collective sense of responsibility for the direction and performance of the airline'. The adaptive challenge that Marshall identified: creating trust throughout the organization. Heifetz and Laurie point to Marshall as one of the first executives that they know of to make 'creating trust' a priority.

**SOURCE** Adapted from Heifetz and Laurie (1997)

### iii Regulate distress

A leader of adaptive change needs to understand that there is an optimum level of tension for change to happen. Too much causes distress, and too little means people start to relax back into the present situation again. This type of leader needs to create a holding environment, such as a regular meeting where people know that they can raise issues and talk. They also need to use their authority in a particular way:

Rather than defining problems and providing solutions, *framing key issues and questions about the adaptive challenge.*

Rather than shielding the organization from threats, *letting the organization feel external pressures within a range it can understand.*

Rather than clarifying roles and responsibilities, *challenging current roles and resisting pressure to define new roles quickly.*

Rather than restoring order, *exposing conflict or letting it emerge.*

Rather than maintaining norms, *challenging unproductive norms.*

And lastly, as part of regulating distress, they need to bring 'presence and poise'. This means developing a capacity to remain steady during uncertainty, frustration and pain (See 'Emotionally intelligent leadership' earlier in this chapter).

### iv Maintain disciplined action

Because change work is challenging, leaders need to learn how to spot the tactics people use to avoid facing these challenges head-on. Heifetz and Laurie talk about the prevalence of 'work avoidance' and 'distraction' strategies that people have – bundling issues together, blaming others, not making the time, sticking to a 'story', etc. The leader needs to help unbundle issues, and support people to stay with the difficulties through making time, asking for help and collaborating with others.

## v Give the work back to people

This is about supporting people to take responsibility for things. It's still quite common for leaders to think of their staff as parts to be controlled, rather than people who can learn how to take initiative and solve problems themselves. They need to be supported to take responsibility and risks, and even to receive support when they make mistakes.

## vi Protect voices of leadership from below

Original or difficult-seeming voices in organizations often get squashed in the name of 'alignment', but this can be very unhealthy. Communicating effectively in a way that feels beyond one's authority can feel awkward, and sometimes people have to work up some passion or even anger to do so. Of course that makes it difficult for others to hear them as they can blurt things out in the wrong way. So leaders have to try harder to see why this is happening, and tease out and consider any messages hidden in what these people are saying, no matter how trying.

## ***Flow and 'business agility' in a digital setting***

In their book *Flow: A New Approach to Digital Transformation* Goulding and Shaughnessy (2017) tackle the issue of how to create a business culture that can serve the digital age. This is an age where scale, scope and speed are enabled by technology. The puzzle is how to create a new type of engagement from staff that enables the adaptability and creative capacity that is required in digitally enabled enterprise settings. For organizations like this to be effective, they need to be innovating their products, services and processes in harmony, and do it multiple times per day. This is the new 'change leadership' challenge.

A startling example of the creative capacity required is travel site SkyScanner which aims to update its many services thousands of times a day. That's a measure of the velocity and scale required in this environment, and it is likely to become the norm, say some. Others such as Etsy, Aviva and Paddy Power are doing similar things to SkyScanner, so this scale of challenge is by no means unique.

A healthy organizational culture is now the 'Holy Grail' for such organizations. Goulding and Shaughnessy claim that poor leadership is endemic in many companies, and this seriously damages the prospect of rapid innovation. Employees don't bring their passion, drive and ingenuity because their ideas tend to get rejected, sometimes publicly. Bosses are seen by employees to not be listening to 'on the ground' insights and end up making wrong-headed decisions. This is 'dressed-up by bosses as a failure of motivation and commitment on the part of employees, when it is really a failure of management to lead change'.

The answer for people called ‘flow masters’ – leaders who follow the principles set out by Goulding and Shaughnessy, is that rather than staying with the unproductive tensions that exist in a traditional hierarchy, leaders need to focus on facilitating good social interaction, so that values can be co-created. Communicating well is paramount in the digital environment as the work often asks that people do more with less, which carries the potential for even more ‘unspoken conflict’ than usual.

The authors go on to say that a traditional leadership assumption is that people don’t like change – whereas they actually want to be tested a little each day, continuously improve their abilities, and go home with the feeling that they did something novel. In *Flow*, this means taking on new tasks and responsibilities, and *true empowerment*, where there is delegated responsibility, process ownership and leaders visibly changing their practices. They call the opposite of this *negative empowerment*, where results can be rubbished even though failure is said to be OK.

### The right culture for innovation?

A good example of the type of culture that supports continuous innovation is a start-up company. However, a truly complex question is how to embrace this within a large corporate setting, something that Citrix have started to do with their accelerator programme. They experimented with inviting start-ups into the physical building to work alongside ‘staffers’ rather than keeping the start-up activity separate as a ‘lab’.

The required culture may be problematic for existing leadership in larger organizations as it demands elements such as:

- Harnessing the collective intelligence of the organization – through social interaction.
- Breaking work down into smaller chunks to identify where real value lies and to reduce risk.
- Comfort with uncertainty and challenge; more time spent on emotions and fairness and less on plans and reports.
- Reducing task completion time to a day or two.
- Visualizing all work so that social interaction has a context and venue – the use of ‘WALLS’ is central to this, ie, large-scale maps on the walls that get people out of cubicles or mind-numbing meetings.
- Process model co-creation; everyone relevant has a say, and changes emerge from social interaction.

See Figure 4.4 for the ‘flow manifesto’.



**Figure 4.4** The 12-point flow manifesto

Search giant Google recently discovered that there are few productivity boosters as powerfully effective as strong social skills. There's nothing about alignment or order in that idea. In fact, the strongest metaphors we can reach for lie in the language of equality.

In a large study of team effectiveness Google's researchers found that:

... what distinguished the 'good' teams from the dysfunctional groups was how teammates treated one another. The right norms, in other words, could raise a group's collective intelligence, whereas the wrong norms could hobble a team...

One reason for the power of egalitarian values is that societal values have changed over the past decade. Norms such as alignment and a certain style of decisiveness

that inform command and control are neither effective nor desired. Google, in its study, found that what works best is a very specific type of respect for social interaction. As long as everyone got a chance to talk, with more or less equal timeshare, the team did well. When conversation was dominated by one person or a small group, 'collective intelligence declined'.

**SOURCE** Goulding and Shaughnessy (2017)

## ***Matching leadership approach to metaphor in use***

One simple *rule of thumb* that can be helpful is to assess the change 'metaphor' in use in a particular organizational context, and employ a leadership approach that matches this. Referring back to the change metaphors set out in Table 3.1, it's possible to see how each metaphor gives rise to an approach and a set of assumptions about leading change. See Table 4.3 for a summary of these, together with possible advantages and pitfalls.

- The machine metaphor necessitates a highly planned and controlled approach, with leaders being required to drive progress and avoid any deviations or rework if possible.
- The political metaphor demands that leaders gain power and influence so that they can make the changes they want happen with the support of others, while maintaining their own power base and reputation.
- The organism metaphor is about participation, learning, growth and support for adapting to external requirements. This means leaders being skilled in interpersonal communications and interested in personal growth.
- Within the flux metaphor, leaders are part of the context. They do not design or manage change, yet contribute by prioritizing co-creative dialogue, making information transparent, giving people decision-making responsibility and creating fluid structures with little red tape.

### **STOP AND THINK!**

**Q 4.6** Consider a change process that you are part of or know well and rate the use of each of Kotter's eight accelerators by those leading the change. Make a note of the evidence that supports your view, and/or do some research if you don't have enough evidence. Create three PowerPoint slides to clarify what you've uncovered following your reflections and find a way of sharing this productively.

- Q 4.7** Use Bridges' advice about *endings*, *neutral zone* and *beginnings* to coach a willing colleague or friend who is currently going through an unavoidable or intentional transition process, eg, promotion, redundancy, changing jobs or moving house. Afterwards, make some notes about what happened, and ask your coachee for feedback on the process, and the extent to which he/she felt a) supported and b) challenged.
- Q 4.8** You are the manager of a team of six people that gives debt and housing advice to those who need it in your local region. You are all based in an office in the centre of the region's largest town and operate as a charity, funded by local government. You have been asked by the CEO to also run a new, satellite office in a small, temporary cabin in another town without increasing staff numbers, but finding ways to be more efficient than you currently are. Imagine how this might work out, using 'adaptive leadership' to support you, maybe drawing out a simple phased process and making notes about how you would handle each phase and its various iterations.
- Q 4.9** Imagine that because you have been studying change management, you have been asked to bring more of a 'flow' culture into a team you are part of, or currently lead. What would be the pros and cons of this, what difficulties do you think you and your colleagues might have with this, and how might it benefit customers?

## Sustaining yourself as a leader through change

This section is about how those leading change can sustain and develop themselves as leaders and as human beings. Leading change is demanding – physically, mentally, psychologically, spiritually – whether it is part of a wider strategic initiative, project based or a day-to-day practice of rapid innovation. It requires a high level of focus and discipline together with good-quality leadership skills, and the capacity – or maturity, to be able to contain your own and others' emotions. All of this in turn needs to be supported by self-knowledge and self-care.

### Self-knowledge

Warren Bennis (2009) emphasizes the need to know yourself in order to become a good leader. He says that leaders must have self-knowledge if they want to be freed up sufficiently to think in new ways. Bennis claims that you make your life your own by understanding it, and becoming your own designer rather than being designed by your own experience. He itemizes four lessons of self-knowledge. These are:

Leadership of change mapped to organizational metaphor in use

|                | Nature of change                                                                                                                             | Leader's role(s)                                                                                             | Type of leadership required                                                                                                                                                                                                             | Advantages                                                                                                                                      | Typical difficulties                                                                                     |
|----------------|----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|
| Transformation | Change is driven towards a planned end-state with minimum deviation from plan.                                                               | Chief Designer<br>Change/Risk Manager<br>Implementation Manager                                              | Goal setting<br>Planning<br>Monitoring and reporting<br>Project management                                                                                                                                                              | Costs and timescales can be contained and predictable within a relatively stable context                                                        | Effort spent on problems to solve and blame.                                                             |
|                | Change needs a powerful coalition to support it. Winners and losers are significant to success.                                              | Persuasive<br>Communicator<br>Negotiator<br>Stakeholder Manager                                              | Vision building and storytelling<br>Influencing skills<br>Systems design – and patience to read/write policies/rules, etc                                                                                                               | Works well if everyone is 'on board' with the changes, and no one feels like a loser.                                                           | Disenfranchised seek to slow down or disrupt change. Needs are more than met. Leadership more to ransom. |
|                | Change is adaptive and leads to growth. Awareness of the need for change is significant.                                                     | Interpersonal communicator<br>Counsellor/advisor<br>Facilitator of learning and growth                       | Coaching and supporting<br>Facilitating groups<br>Designing change processes                                                                                                                                                            | Builds buy-in, delivers outcomes (if slowly), and encourages those participating to connect/bond in new ways that serve the whole organization. | Change process become, or be seen by others as self-serving rather than being for the benefit of others. |
|                | Change cannot be managed. It is co-created or 'emergent' through social interaction, within a context of evolving shared purpose and values. | Facilitative leadership<br>Leading through uncertainty with rigorous yet 'light-touch' sensing into progress | Role modelling and enabling high-quality social interaction<br>Supporting people through uncertainty towards decision making<br>Visual leadership through the use of large-scale charts<br>Setting up and supporting self-managed teams | Supports innovation, allows rapid decision making, encourages good quality social interaction, and gives the work back to people.               | People resist. Low level of responsibility taking and vision begin with, unless built.                   |

- One: be your own teacher.  
Leaders assume responsibility for their own learning, and treat it as a route to self-knowledge and self-expression. No one can teach them the lessons they need to learn. Stumbling blocks can be denial and blame.
- Two: accept responsibility and blame no one.  
Do not expect other people to take charge or do things for you.
- Three: you can learn anything you want to learn.  
Leadership involves a kind of fearlessness, an optimism and a confidence.
- Four: true understanding comes from reflecting on your experience.  
Leaders make reflection part of their daily life. An honest look at the past prepares you for the future.

Bennis (2009) also notes the potential benefits of leaders recalling their childhoods honestly, reflecting on them, understanding them and thereby overcoming the influence that childhood has on them. He quotes Erikson, the famed psychoanalyst, who says that there are eight stages of life, each with an accompanying crisis (see Table 4.4). Erikson claims that the way in which we resolve the eight crises determines who we will be. He also notes that we may get stuck at a particular stage if we do not manage to solve the crisis satisfactorily. For instance, many of us never overcome the inner struggle between initiative and guilt, and so we lack purpose.

**Table 4.4** Development stages and their challenges

| Stage           | Crisis                         | Resolution              | Conditions for optimal development |
|-----------------|--------------------------------|-------------------------|------------------------------------|
| Infancy         | Trust vs mistrust              | Hope or withdrawal      | Mirroring<br>Acceptance            |
| Early childhood | Autonomy vs shame and doubt    | Will or compulsion      | Security (routines and rituals)    |
| Play age        | Initiative vs guilt            | Purpose or inhibition   | Clear boundaries<br>Vision setting |
| School age      | Industry vs inferiority        | Competence or inertia   | Spectators<br>Discipline           |
| Adolescence     | Identity vs identity confusion | Fidelity or repudiation | Sampling<br>Modelling              |
| Young adulthood | Intimacy vs isolation          | Love or exclusivity     | Maturity<br>Identity               |
| Adulthood       | Generativity vs stagnation     | Care or reactivity      | Balance<br>Mastery                 |
| Maturity        | Integrity vs despair           | Wisdom or disdain       | Support<br>Forgiveness             |

**SOURCE** Adapted from Erik Erikson, in Bennis (2009)

As a leader you may need to overcome some of the habits you developed at an early age, which is likely to be challenging but ultimately rewarding. Usually this process is accomplished via coaching, counselling or psychotherapy, depending on how deep you want or need to go.

## ***Leadership maturity***

A relatively recent concept in the development of leaders is ‘leadership maturity’, represented by a map of stages that leaders move through as they become more able to deal with complexity, become more collaborative and work more fluidly with interdependencies (Petrie, 2014). It’s helpful to consider these maps as you would stages of child development; they are phases that people move through at different paces with the appropriate levels of experience, freedom and support. Unlike childhood developmental stages, adult maturity tends to develop at a slower, less predictable pace. It seems to require more active, ongoing, open inquiry with significant others, which enables leaders to truly learn from experience.

Work published by Rooke and Torbert (2005) illuminates how leaders appear to move through what they call ‘action logics’, or ways of perceiving and dealing with the world. Co-developed with psychologist Susanne Cook-Greuter (2013), this framework was established through research and consulting work, and sets out seven leadership types differentiated by the way each type interprets and reacts to events. Here we offer a summary of the characteristics and strengths of each type.

Opportunist:

- Manipulative, self-oriented, focused on winning.
- Good in an emergency; grasps opportunities.

Diplomat:

- Focuses on doing what’s expected within acceptable norms.
- Good teamworker.

Expert:

- Focuses on problem solving, improvement and efficiency.
- Good as an individual contributor.

Achiever:

- Delivers outcomes through teams, to serve the whole system.
- Effective, goal-driven manager.

**Individualist/Redefining:**

- Weaves together different, competing agendas and communicates well with different groups.
- Good at consulting roles and new ventures.

**Strategist/Transforming:**

- Focuses on short *and* long term, open to deeper inquiry, attentive, present.
- Effective transformational leader.

**Alchemist/Alchemical:**

- Integrates personal, material and deeper societal transformation.
- Able to lead large system transformations.

Although leaders can transform from one stage to the next, progress is not necessarily predictable or linear but bumpy and discontinuous with significant time required at each stage (see Torbert (2004) for a wonderfully complex map of this).

The experience of being ‘upended’ or thrown back to a previous phase can happen any time while moving from Diplomat to Achiever. Beyond Achiever, Individualist is not seen as a destination, but more of a journey that circles back and deepens understanding of the previous stages before reaching the Strategist stage.

The journey from Strategist to Alchemist is of a different order. The leader moves beyond using traditional frames for understanding the world towards developing a deeper ‘reframing spirit’ or habit, including ‘listening to the chaos below what can normally be perceived’. If the latter feels difficult to understand, that’s fine and quite normal! The further you are from a particular level of maturity, the more difficult it is to grasp the body-mindset involved. Note that research performed in 2004 indicates that only 7 per cent of managers in the US have touched into the Individualist stage or further. Later research indicates that CEOs with the Strategist ‘action logic’ and later, are the only ones who are reliably successful in leading organizational transformation.

## ***Developing resilience***

The insights provided from neuroscience and positive psychology can be useful when it comes to understanding resilience at a basic level, and how it is sustained through stressful periods at work. Clearly sleep, nutrition and exercise all have a positive impact.

Lack of sleep can temporarily lower your IQ and deny your brain the opportunity to flush out potentially neurotoxic waste products. Deeper REM sleep, only experienced after 4–6 hours of sleep, helps perform essential information-sorting activities and embeds learning (Connolly, Ruderman and Leslie, 2014).

In addition to sleep, healthy nutrition, hydration, exercise and oxygenating your brain via deep breathing are prerequisites for sustained high performance at work. For instance, significant cardiovascular exercise helps produce the neurotransmitter serotonin, which can be similar to the effects of an antidepressant and may boost productivity. Hydration is also important, and research shows that if it drops, it can impact memory and concentration (Cian *et al*, 2000). The avoidance of caffeine and alcohol, and the introduction of various vitamins, teas and oils is also supported by multiple pieces of research.

Resilience, defined as the ability to pick yourself up after a setback, or to keep going despite multiple difficulties, is a human quality sought by many organizations. Can people build their resilience, and if so, how?

Martin Seligman, known as the father of positive psychology, refers to the importance of emotional, social, family, spiritual and physical fitness to overall resilience. He believes that individuals can learn to manage emotions in a more positive way, and to be more optimistic about their lives (Duckworth, Steen and Seligman, 2005) such that this positively impacts their resilience.

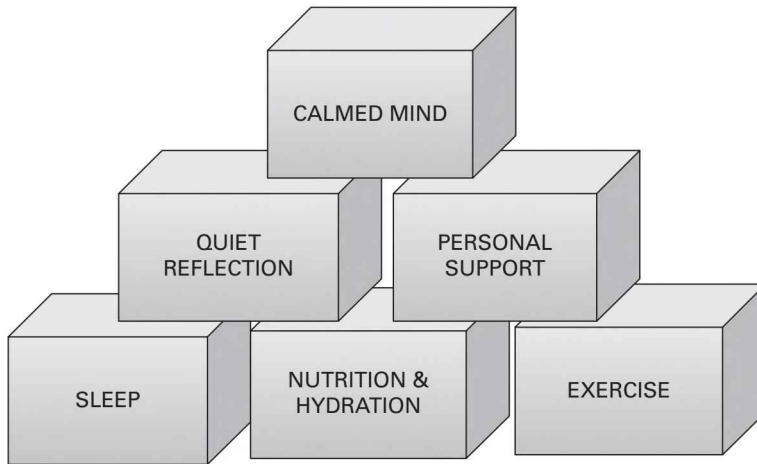
The question of how to build and strengthen resilience as a leader is already partly answered above, ie, sleep, nutrition and exercise. In addition, recent studies indicate that the factors below can have a powerful impact over the longer term:

- Regular journalling, which helps release or rebalance the negative effects of ‘survival’ emotions (such as fear, anger, anger, disgust, shame and sadness, which tend to trigger avoidance patterns and complex behaviours) by taking a more objective look at one’s own performance.
- Coaching that’s informed by psychology and neuroscience can help to build more positive responses to difficulties, and help develop new patterns of thinking and acting.
- Action inquiry with significant others, as mentioned above, supports increasing maturity and capacity, including an ability to disidentify with the survival emotions mentioned above.
- Meditation and mindfulness, over time, can train the mind to focus and be calm, thus reducing the reactivity of the limbic system to negative triggers (Tang, Holzel and Posner, 2015).

## ***Inner lives of leaders***

The inner lives of leaders is a subject that is often left out of leadership programmes or MBA studies. Self-awareness is one thing, but finding the space to discover and keep in good contact with our own depths is more difficult, and may be uncomfortable for some at first. It requires spending spend time alone, maybe in nature, processing one’s



**Figure 4.5** Building blocks of resilience

**SOURCE** Cameron and Green, 2017

thoughts and digesting one's experiences. This can pave the way to capacities such as imaginative and/or strategic thinking, creative problem solving, or collaborative working, without having to actively *work* on specific issues or problems.

The kind of inner space and imaginative capacity that can support effective leaders of change can be opened up in a variety of ways depending on what you love: books or films, music, art, meditating, journalling, walking, mindfulness, martial arts, yoga... Increasingly, leaders are warming to the possibilities of this territory via some of the above practices, maybe supported by executive coaching from those experienced in adult development and depth psychology (Schuster, 2014).

Given the amount of stress that many leaders are under and the difficulty of dealing with this, a crisis may occur at some point in a leader's life. This may be a crisis of confidence or meaning, or a more suppressed inner crisis that's hard to fathom. Symptoms vary and may include difficulty concentrating and sleeping. Depth psychologists might say that a crisis happens when a leader is not able to face up to the reality of their life and their own limits, and is somehow avoiding the extremely difficult process of fully 'growing up'.

If a crisis of this type is suppressed or ignored, and not given space to be attended to (eg, through talking about it to a good friend, doctor, therapist or coach) destructive events may start to occur: an extra-marital affair, bouts of aggression, various forms of self-medication, impetuous or risky behaviour, health problems, depression and even thoughts of suicide.

Some will deny the existence of such patterns and phenomena, arguing that life is unpredictable and these crises don't necessarily mean anything (Atkins, 2016). The writing of Thomas Moore, James Hillman and Ginette Paris could make good starting points if you're interested in finding out more about your own inner life at a deeper level.

### STOP AND THINK!

**Q 4.10** How resilient are you to upsets, difficulties, stress or failure? (Note: this is not about giving yourself a hard time, it's supposed to be a *compassionate* self-reflection!) Write at least one side of A4, by hand, reflecting on your life and work over the past 3–5 years, and how it's been for you. List all the possible support available to you (see Figure 4.5 above), and make some notes on what you already experience of each type, and where things could be better for you. List three simple, realistic aims for yourself over the next month to help you build ongoing resilience for current or future change leadership roles.

## Summary and conclusions

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- Clarifying the difference between management and leadership (Bennis) is helpful in establishing the gap between what's required from leaders in times of stability versus times of transformation and change.
- Definitions of transactional and transformational leadership (Burns and Bass) represent an attempt to define and measure the difference between leadership that's focused on merely 'give and take' between leader and follower, and leadership that encourages aspiration, growth, change and high performance in teams. Questions still linger about the lack of ethics included in Bass's MLQ tool.
- The 'dark side of leadership' explored by Higgs and characterized by narcissism and other forms of self-serving leadership, can be dangerous for organizations that yearn for success. Narcissistic leaders can come across as successful and impressive because of their high levels of motivation and self-belief, but tend to leave a trail of value destruction in terms of morale and trust.
- Emotional intelligence competencies (EI) are essential for leaders of change to master. At least 67 per cent of the competencies required by leaders are emotional competencies according to Goleman, with self-awareness right at the heart. The

other three categories are self-management, social awareness and social skills, with social skills being the only category of skill that is directly visible in a leader's behaviour; the rest belong to the leader's inner world.

- The six leadership styles Goleman presents, all supported by different constellations of EI competencies, have different impacts on team performance and team climate. This indicates that leaders need to be choiceful about the style they use, rather than a knee-jerk reaction, or through habit or a need for comfort.
- Strategic leadership is a highly significant element of change leadership, as this is how the purpose, direction and sequence of business activities arises, from the highly planned to the more emergent and experimental. The frameworks provided by Mintzberg, and Schoemaker, Krupp and Howland are useful for those needing to learn what sorts of skills and attitudes are required.
- Collaborative leadership is required more in today's flatter organizational structures, and is needed to deal with multiple and complex agendas in a more fragmented, interdependent world. Connective leaders (Lipman-Blumen) reach out across boundaries; those practising shared leadership share power and accountability (Pearce and Conger); self-managed collaborative leadership happens outside of formal boundaries (Chrislip); collaborative leadership is a social process through which there is increased direction, alignment and commitment (DAC, McCauley).
- Mindful leadership occurs when leaders learn how to integrate mindfulness into the fabric of their leadership, and can support those leading significant change. Meta-capacities such as meta-cognition, allowing and curiosity have been developed through 'mindful leadership development', which supports the growth of empathy, self-regulation, focus, responsiveness and opening to other perspectives (Reitz and Chaskalson, 2016). Those who worry about the ethics of decontextualized, non-spiritual mindfulness might be reassured by the claim that true mindfulness 'naturally opens hearts to greater compassion and develops the desire to end the suffering of others' (Thich Nhat Hanh (Confino, 2014)).
- The five leadership qualities (FLQ) framework integrates leadership frameworks and understandings from the past 100 years into five simple, yet profound archetypes (Cameron and Green, 2017). All five qualities are required for successful change leadership, and can be used in different combinations and proportions to lead different flavours of change:
  - The Thoughtful Architect quality focuses on design.
  - The Visionary Motivator quality focuses on buy-in.
  - The Measured Connector quality focuses on connectivity.
  - The Tenacious Implementer quality focuses on delivery/projects.
  - The Edgy Catalyser quality focuses on discomfort.

- Leading change processes through their various phases demands perseverance throughout, even when things get sticky. Don't expect everything to go smoothly, and use a combination of qualities and skills to deal with the unexpected (Kanter). When change is inevitable leaders need to help people let go emotionally, support them through the uncertainty of the 'neutral zone' and help them to begin the new phase when the time is right with the help of a sense of purpose, a picture of the future state and a part to play in this (Bridges).
- When deeply held values need to shift as part of organizational change, it's the adaptive challenges that matter most (Heifetz and Laurie), and leaders need to understand their role in this, ie, get on the balcony, identify the adaptive challenges, regulate distress, maintain disciplined action, give the work back to people and protect voices of leadership from below.
- *Flow masters* (Goulding and Shaughnessy) are a new type of leader adapted to contexts where scope and speed are enabled by technology. Leaders in these settings, where high-quality human interactions are the norm, focus on enabling good-quality social interaction around high-quality physical wall charts. A business culture that serves the digital age needs to be like a start-up, and able to continuously innovate at an astonishing rate (eg, SkyScanner, Etsy, Aviva). To enable this, hierarchy is replaced by giving everyone the responsibility and opportunity to exercise their leadership skills and decision-making capacities. Tasks are chunked down to identify value and reduce risk, and task completion is no longer than one or two days. Leaders need to be able to help people to manage the day-to-day uncertainty as well as get used to a 'good enough' rather than 'perfect' culture.
- Leaders can sustain themselves through change in various ways, given the level of challenge and stress that may be involved. Self-knowledge frees you up to think in new ways and be the designer of your own life (Bennis). Developing your leadership maturity through action inquiry with significant others expands your capacities, and raises the chance of you being able to successfully lead transformative change (Torbert, 2004; Rooke and Torbert, 2005). Looking after your physical health, combined with regular journalling, coaching, and meditating or mindfulness can help too. Sometimes the psyche throws up a crisis, particularly when a leader is feeling inadequate in the face of the challenges in his or her work and life. It's essential to find someone to talk to who you can trust if this happens.

# 05

## The change agent

### Introduction

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The objective of this chapter is to look at the role of the change agent in supporting the management of change. It looks at the change agent, rather than the leader, in terms of the nature of the role – whether it is internal or external to the organization, the focus, the competencies needed, and some of the deeper psychological aspects. It will look at what goes on inside the change agent – thoughts, decision making, feelings – and also the outwardly observable effective behaviours.

The purpose of the chapter will be to understand:

- models of change agency;
- the consulting process and the role of the change agent within it;
- change agent tools and frameworks;
- the competencies of the change agent;
- deeper aspects of being a change agent.

### Models of change agency

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Caldwell (2003), in researching the role of the change agent, recognized the shift over the last few decades away from a planned approach to change, which often required or was exemplified by a top-down approach. He saw different approaches that organizations were beginning to adopt to meet unprecedented levels of change – for example, the growth in the use of management consultants specializing in change management; the realization that more emergent approaches to change might be necessary; and the conflation of the concept of leadership with change management. Caldwell developed a fourfold classification covering leadership, management, consultancy and team models (see Table 5.1), which were all supported by extensive reference to research in the field.

Each of these models will bring their own challenges and perhaps different emphases on the core skills needed.

**STOP AND THINK!**

- Q 5.1** Reviewing Caldwell's framework, can you identify different change scenarios that you have experienced or observed that use all or some of the leadership, management, consultancy and team models?
- Q 5.2** In what ways was the use of the model(s) effective and ineffective?

**Table 5.1** Models of change agency

|                           |                                                                                                                                                                                                                                                                                   |
|---------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Leadership models</b>  | Change agents are identified as leaders or senior executives at the very top of the organization who envision, initiate or sponsor strategic change of a far-reaching or transformational nature.                                                                                 |
| <b>Management models</b>  | Change agents are conceived as middle level managers and functional specialists who adapt, carry forward or build support for strategic change within business units or key functions.                                                                                            |
| <b>Consultancy models</b> | Change agents are conceived as external or internal consultants who operate at a strategic, operational, task, or process level within an organization, providing advice, expertise, project management, change programme coordination, or process skills in facilitating change. |
| <b>Team models</b>        | Change agents are conceived as teams that may operate at a strategic, operational, task, or process level within an organization and may include managers, functional specialists and employees at all levels, as well as internal and external consultants.                      |

**SOURCE** Caldwell (2003)

Table 5.2 shows the key strengths of each of these models and some of the areas of potential concern.

In the previous chapter we looked at a number of leadership models and to some extent the management model. The management model is an interesting one because those with line management responsibility, often the middle manager, have a special role to play in the vast majority of change initiatives. Balogun (2003) suggests that:

Managers at middle levels in organizations may be able to make a strategic contribution... middle managers fulfil a complex 'change intermediary' position during implementation... [they] engage in a range of activities to aid their interpretation of the change intent. This interpretation activity then informs the personal changes they attempt to undertake, how they help others through change, how they keep the business going during the transition and what changes they implement in their departments.

The consultancy model is probably the one that allows more latitude for an emergent approach rather than a purely programmatic approach to change. Partly this is

**Table 5.2** Key strengths of Caldwell's four models and potential concerns

|                           | Key strengths                                                                                                                                                                                                                                                                                                                                      | Things to watch out for                                                                                                                                                                                                                                                                                                                                                                          |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Leadership models</b>  | <p>Clear sponsorship and clear direction.</p> <p>Power and authority to 'make change happen'.</p> <p>Stakeholders can see the commitment of senior management to the change.</p>                                                                                                                                                                   | <p>Potential for the change to be too top-down and have too directive an approach.</p> <p>If leaders are unresponsive there is the potential for 'voices from below' not to be heard and those with different views to be seen as resisters.</p>                                                                                                                                                 |
| <b>Management models</b>  | <p>The ability to translate strategic vision to more local actions.</p> <p>Much nearer the 'coal face' so greater knowledge of what works and what doesn't.</p> <p>Ability for more immediate feedback.</p>                                                                                                                                        | <p>Capacity and capability issues for middle managers given their necessary attention on business as usual as well as the changes. They may be ill-equipped with the necessary skills and resources.</p> <p>Senior managers can abdicate responsibility.</p>                                                                                                                                     |
| <b>Consultancy models</b> | <p>Ability to coach and advise and work in partnership with the organization.</p> <p>Change management expertise and experience in a multitude of settings.</p> <p>Can use their objectivity to the full as they have (ideally) no personal (career or job-related) investment in the solutions.</p> <p>Can take more of a whole systems view.</p> | <p>Can be detached with no demonstrable commitment to the area undergoing change. Staff might feel 'done to'.</p> <p>May have no power or authority to progress the changes or no explicit or implicit 'licence to operate'.</p> <p>Driving for delivery (in order to invoice!)</p> <p>Diminishing others with their expertise.</p> <p>May be limited skills transfer into the organization.</p> |
| <b>Team models</b>        | <p>Have the 'requisite variety' of people on the team.</p> <p>Both change management expertise and business knowledge.</p> <p>Have a greater network into the organizational system.</p>                                                                                                                                                           | <p>Can replicate the organizational dysfunction by becoming fragmented and dysfunctional themselves.</p> <p>Can become insular and isolated from the rest of the organization.</p> <p>They can feel superior and believe they know best.</p>                                                                                                                                                     |

due to the psychological and contractual distance that the consultants may have, and partly due to the fact that they are not so embedded in the organization to be part of both the change and the organization after the change. Positioned where they are, the effective consultant can support leaders to provide a containing environment for reflection and emergence to occur, even within the midst of the pressure to deliver.

The research from Prosci (2003, 2007) and Green (2007a) supports the view that the team model – properly configured – is a critical part of change management success. Prosci sees the need for an ‘exceptional change management team taking the form of an experienced credible team who maintained good internal working relations and also networked into the organization’ together with dedicated resources. Green highlights the importance of the change team being convened from representative parts of the organization including those with change management expertise together with knowledge of the business areas and the business processes, with attention also given to the effective functioning of the change team itself.

One could argue that a fifth model, perhaps a meta-model, might be called for, where there is a more holistic approach, maybe a ‘responsibility-taking model’ where all four Caldwell models are in evidence and aligned, and key players work together across the whole system.

## The consulting process

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Whichever of Caldwell’s models you use, there needs to be strong contracting between the change agent and the leadership line, which is best supported by a clear consulting process. It makes sense to identify the stages of the classical consulting process to establish such a framework, and this section will look at each of these stages, together with the typical features and imperatives of each stage.

Before we look at the process itself it is worth understanding the types of roles a change agent can play within it. Block (2000) sees that there can be three types of role that the change agent can play in the consulting process:

- 1 The Expert** – someone who is brought in because other people in the organization need someone who knows what to do and how to do it. The organization doesn’t have the capability without the expert, so this is a directive role.
- 2 The Extra Pair of Hands** – someone who is brought in to help out because the organization doesn’t have the capacity. This is a more compliant role and the subject of direction.
- 3 The Collaborative Role** – someone who has expertise and experience in the change field. They can collaborate with people within the system to make sense jointly of the situation and what needs to be addressed. They can work alongside people to facilitate the process of change and support leaders to step up to what’s required of them.



There is further consideration of these roles in Chapter 12.

Of course it is important in the initial stages of any change process to establish which type of role is being asked for and indeed ensure that there is agreement at the beginning and throughout the process that the role's integrity is maintained. It is also important to establish that the change agent has the capacity and the capability to fulfil the chosen role.

Block helpfully suggests that the primary tasks of the consultant are to:

- establish a collaborative relationship;
- solve problems so that they stay solved; and
- ensure attention is given to both the technical/business problem and the relationships.

Different commentators delineate the stages of the consulting process in different ways (see Table 5.3) but generically they can be described as an entry stage, followed by contracting, diagnosing, implementing and evaluating (Lacey, 1995).

**Table 5.3** Stages of the consulting process

| <b>Kubr<br/>(1986)</b> | <b>Lacey<br/>(1995)</b> | <b>Huffington<br/><i>et al</i><br/>(1997)</b> | <b>Block<br/>(2000)</b>                   | <b>Cummings<br/>and Worley<br/>(2009)</b>                | <b>Cheung-<br/>Judge and<br/>Holbeche<br/>(2011)</b> |
|------------------------|-------------------------|-----------------------------------------------|-------------------------------------------|----------------------------------------------------------|------------------------------------------------------|
| Entry                  | Entry                   | Scouting                                      | Entry and<br>contracting                  | Entry and<br>contracting                                 | Entry/initial<br>contact                             |
| Diagnosis              | Contracting             | Entry                                         | Discovery<br>and dialogue                 | Diagnosing<br>organizations                              | Data<br>collection                                   |
| Action<br>Planning     | Diagnosing              | Contracting                                   | Feedback<br>and the<br>decision to<br>act | Diagnosing<br>groups                                     | Data analysis                                        |
| Implement-<br>ation    | Implement-<br>ing       | Data<br>gathering                             | Engagement<br>and<br>implement-<br>ation  | Collecting and<br>analysing<br>diagnostic<br>information | Feedback                                             |
| Termination            | Evaluating              | Diagnosis                                     | Extension,<br>recycle, or<br>termination  | Feeding back<br>diagnostic<br>information                | Action<br>planning                                   |
|                        |                         | Planning                                      |                                           | Designing<br>interventions                               | Action taking                                        |
|                        |                         | Intervention                                  |                                           | Leading and<br>managing change                           | Evaluation                                           |

(continued)

**Table 5.3** (Continued)

| <b>Kubr<br/>(1986)</b> | <b>Lacey<br/>(1995)</b> | <b>Huffington<br/><i>et al</i><br/>(1997)</b> | <b>Block<br/>(2000)</b> | <b>Cummings<br/>and Worley<br/>(2009)</b>                                                   | <b>Cheung-<br/>Judge and<br/>Holbeche<br/>(2011)</b> |
|------------------------|-------------------------|-----------------------------------------------|-------------------------|---------------------------------------------------------------------------------------------|------------------------------------------------------|
|                        |                         | Evaluation                                    |                         | Evaluating and<br>institutionalizing<br>organizational<br>development<br>(OD) interventions | Termination                                          |
|                        |                         | Withdrawal                                    |                         |                                                                                             |                                                      |

### ***Skills at each stage***

The consulting process suggests that different sets of knowledge, cognitive skills and behaviours are needed at different stages in the consulting process. Table 5.4 summarizes

**Table 5.4** The consulting process and the range of knowledge, skills and behaviours

| <b>Consulting<br/>phase</b> | <b>Indicative knowledge, skills and behaviours</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Entry</b>                | <p><b>Interpersonal</b></p> <p>Communication skills – particularly spirit of inquiry and deep and active listening</p> <p>Impact and influence</p> <p>Build trust and commitment</p> <p>Interpersonal and relationship skills</p> <p>Ability to appraise the match between the client and the consultant and decision whether to 'enter the system'</p> <p>Ability to establish an initial relationship with the client and build the basis for involvement</p> <p><b>Analytic</b></p> <p>Strategic and analytic skills</p> <p>Political sensitivity to the system and stakeholder groupings</p> <p>Change readiness assessment</p> <p>Application of relevant frameworks and models</p> <p><b>Personal</b></p> <p>In touch with own feelings re the client, organization and project</p> <p>Pragmatism (art of the possible)</p> <p>Coping with mixed motivation on the part of the client and dealing with their concerns about exposure and the loss of control</p> <p><b>Project management</b></p> <p>Project planning</p> |

(continued)

**Table 5.4** (Continued)

| <b>Consulting phase</b> | <b>Indicative knowledge, skills and behaviours</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Contracting</b>      | <p><b>Interpersonal</b></p> <p>Relationship building</p> <p>Ability to use every intervention as part of the discovery process</p> <p>Clarifying expectations</p> <p><b>Analytic</b></p> <p>Understanding of the whole system and network of stakeholders</p> <p>Development of an effective proposal – goals, recommended actions (preliminary), responsibilities and accountabilities, strategies for achieving end state, fees, terms and conditions</p> <p>Establishment of monitoring methods and evaluation criteria</p> <p><b>Personal</b></p> <p>Understand the levels of motivation and engagement for the project and within the change agents</p>                                                                                                                                                                                                                                                                               |
| <b>Contracting</b>      | <p><b>Project management</b></p> <p>Ability to co-generate achievable objectives and metrics</p> <p>Clarity of scope – what is and isn't in the project</p> <p>Clear governance framework</p> <p>Project management methodology and skills</p> <p>Resource management</p> <p>Developing a mutually agreed contract, clarifying expectations and the way of working</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Diagnosis</b>        | <p><b>Interpersonal</b></p> <p>Understanding of the operating environment, different organizational elements, and strategic imperatives</p> <p>Plan the data collection jointly with the client</p> <p>Ability to coach, facilitate and tutor others in the diagnostic methods</p> <p>Ability to feed back to client, and develop a joint understanding</p> <p>Ability to feed back relevant, understandable, descriptive, significant and verifiable information in a timely, even if perhaps tentative, way</p> <p>Facilitation of different stakeholders in understanding of data, option generation, and securing of agreement for action</p> <p>Action planning by self, and team and client</p> <p>Facilitating group meetings</p> <p>Gathering 'sensing data' through interview and conversations – information gleaned from observational and intuitive awareness</p> <p>Involve the client in interpreting the data collected</p> |

(continued)

**Table 5.4** (Continued)

| <b>Consulting phase</b> | <b>Indicative knowledge, skills and behaviours</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Diagnosis</b>        | <b>Analytic</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|                         | Stakeholder mapping<br>Mapping of political domain<br>Understanding different and appropriate diagnostic models at an organizational, group, team and individual level<br>Diagnostic skills and an ability to interpret data<br>Ability to measure the organization's efficiencies and effectiveness<br>Critical analysis of feedback data<br>Generation of viable options for action<br>An understanding of the multi-faceted nature of the organization and the degree of complexity of the system<br>Understanding the various elements of the Change Kaleidoscope<br>An assessment of the organization's readiness for change<br>Identification of specific interventions together with who will be doing what and how it may be evaluated<br>Distinguish between the presenting problem and the underlying problem<br>Elicit and describe both the technical/business problem and how the problem is being managed |
| <b>Diagnosis</b>        | <b>Personal</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|                         | Presentation techniques<br>Dealing with political climate<br>Resisting the urge for complete data<br>Seeing all contact with the client as an intervention<br>Identifying and working with different forms of resistance<br>Presenting personal and organizational data<br>Not taking client reactions personally<br>Ask questions about the client's own role in causing or maintaining the situation<br>Ask questions about what others in the organization are doing to cause or maintain the presenting or target problem<br>Recognize the similarity between how the client manages you and how they manage their own organization                                                                                                                                                                                                                                                                                 |
|                         | <b>Project management</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|                         | Ability to make sense of the data and translate into manageable action and project plans                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |

(continued)

**Table 5.4** (Continued)

| <b>Consulting phase</b> | <b>Indicative knowledge, skills and behaviours</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Intervening</b>      | <p><b>Interpersonal</b></p> <p>Continued collaborative working in terms of sense making, action planning and interventions</p> <p>Ensure shared responsibility between client and consultant, while ensuring that organizational leaders are leading</p> <p>Continued transfer of knowledge from consultant to client and attention to internal capability building</p> <p>Focus more on engagement over mandate and persuasion</p> <p>Design more participation than presentation</p> <p><b>Analytic</b></p> <p>Thought and methodological leadership in the range of interventions</p> <p>Alignment between theoretical insight and designed methods</p> <p>Ability to design interventions informed by the various elements of the Change Kaleidoscope</p> <p>Ability to choose interventions on organizational, group, team and individual levels that fit</p> <p>Development of creative and innovative ideas and interventions</p> <p><b>Personal</b></p> <p>Alert to feedback and consequences of interventions and other changes in the system</p> <p>Using self as instrument for understanding</p> <p>Providing containment and creation of a facilitating environment or supporting leaders in doing so</p> <p>Have an open mind and a stance of curiosity especially when 'resistance' is experienced</p> <p>Encourage difficult public exchanges</p> <p>Put real choice on the table</p> <p>Change the conversation to change the culture</p> <p><b>Project management</b></p> <p>Sensible sequencing of interventions</p> <p>Learning and development interventions delivered by skilled trainers and management developers</p> |

*(continued)*

**Table 5.4** (Continued)

| Consulting phase  | Indicative knowledge, skills and behaviours                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Evaluating</b> | <p><b>Interpersonal</b></p> <p>Ability to show how evaluation is a key aspect in the whole change process</p> <p><b>Analytic</b></p> <p>Ability to co-design, implement and monitor evaluation methods and metrics</p> <p>Financial acumen to evaluate costs and benefits of interventions</p> <p>Assessing the success of the interventions across a range of appropriate measures and agreement on the need for further action or exit</p> <p><b>Personal</b></p> <p>Be open to the idea that all feedback is valid data</p> <p><b>Project management</b></p> <p>Ensuring different stakeholder groups have clarity about the objectives and whether they have been achieved</p> <p>Recognizing that evaluation begins at contracting stage and developing shared understanding of what can be achieved together with a realistic set of evaluation methods and, if no further action is required, managing the termination of the work while leaving the system with an enhanced capacity to manage change by itself in the future</p> |

Adapted from Block (2000), Cheung-Judge and Holbeche (2011), Cummings and Worley (2009) and Huffington *et al* (1997)

the work of a number of researchers who suggest what is required of the change agent at each stage.

### ***Differences between internal and external change agents***

Some organizations rely on outside help while others believe that they have the change agency capacity in-house. Although the core competencies of internal and external change agents are similar it is worth considering some of the differences between the two, partly so one can consider what may be best for any particular change situation, and partly so that the change agent can understand some of the nuances. Lacey (1995), in Table 5.5, identifies some of these different factors.

We can see that throughout the course of the assignment both internal and external consultants will have challenges, but often of a different nature. Huffington *et al*

**Table 5.5** Differences between internal and external consultants

| <b>Consulting process</b> | <b>Internal change agent</b>                                                                                                                                                                                                                                                               | <b>External change agent</b>                                                                                                                                                                                          |
|---------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Entry</b>              | Ready access to clients<br>Ready relationships<br>Knows company jargon<br>Understands root causes<br>Time efficient<br>Congenial phase<br>Obligated to work with everyone<br>Steady pay                                                                                                    | Source (find) clients<br>Build relationships<br>Learn company jargon, 'Presenting problem' challenge<br>Time consuming<br>Stressful phase<br>Select client/project according to own criteria<br>Unpredictable outcome |
| <b>Contracting</b>        | Informal agreements<br>Must complete projects assigned<br>No out-of-pocket expenses<br>Information can be open or confidential<br>Risk of client retaliation and loss of job at stake<br>Acts as third party (on behalf of client), or pair of hands                                       | Formal documents<br>Can terminate project at will<br>Guard against out-of-pocket expenses<br>Information confidential<br>Loss of contract at stake<br>Maintain third-party role                                       |
| <b>Diagnosing</b>         | Has relationship with many organization members<br>Prestige determined by job rank and client stature<br>Sustain reputation as trustworthy over time<br>Data openly shared can reduce political intrigue                                                                                   | Meet most organization members for the first time<br>Prestige from being external<br>Build trust quickly<br>Confidential data can increase political sensitivities                                                    |
| <b>Intervening</b>        | Insist on valid information, and internal commitment; free and informed choice – people can choose to participate or not – is a luxury<br>Run interference for client across organizational lines to align support ('allowed' to engage with other parties of the organization if need be) | Insist on valid information, free and informed choice, and internal commitment<br>Confine activities within boundaries of client organization                                                                         |
| <b>Evaluating</b>         | Rely on repeat business, pay rise, and promotion as key measures of success<br>Can see change become institutionalized<br>Little recognition for job well done                                                                                                                             | Rely on repeat business and customer referral as key measures of project success<br>Seldom see long-term results                                                                                                      |

SOURCE Lacey (1995)

(1997) building on the work of Basset and Brunning (1994) suggest some criteria for when internal and external consultants may be indicated for a particular project:

- *Internal*: when there is a need to work longer term with the outcomes of the change; when there is an internal driver to use or rely upon internal capacity or capability; when internal knowledge of the system now and into the future is required; when engagement with the wider groupings will be improved with internal change agents; and when there is a belief that ownership should clearly be internal.
- *External*: when there is the need for a major organization-wide change especially when there is high-level senior management involvement or sponsorship; when the changes are of a complex nature with limited capacity or capability within; when there is a need for an external, more objective, perspective; and when the situation requires an intervention by people with no conflicts of interest, loyalty or prejudice.

### STOP AND THINK!

**Q 5.3** Review Table 5.4, 'The consulting process and the range of knowledge, skills and behaviours' and identify some areas of strength and some areas you need to develop. For the latter draw up a number of possible next steps you could take to improve.

**Q 5.4** Review Table 5.5, 'Differences between internal and external consultants' and list the pros and cons of using each type for a particular change intervention you have in mind. What are the implications for the organization and the key questions for the change agent?

## Change agent tools and frameworks

By definition a change agent is seeking or supporting some sort of organizational change in, for example the strategy, the structure, the systems and processes, the people, their capabilities, the management style, and the shared values all within the context of the organizational culture. The change agent crafts interventions that either align with the current culture – the way things are done around here – or are deliberately counter-cultural, introducing and role-modelling new ways of behaving. Often the change agent has to facilitate people and the organization going into the unknown, with the known knowns being a clear boundary to the scope of the project, but with the final destination as yet unclear, to be fleshed out or discovered.



Whether the focus is at an individual, team or organizational (or large group) level, the change agent supports leaders to make people aware of the specific or general direction of change; is able to support the organization and implementation of the changes; is able to support leaders to mobilize necessary stakeholder groups and accompany them through the transition; and finally ensure that leaders focus on some integration of the process (Green, 2007a).

In the first four chapters we looked at change from the perspective of the individual, the team and the organization as well as different ways of leading change. We can summarize what the agent of change needs to be focusing on by building on the key elements of each of those chapters.

### ***Facilitating individual change***

As we saw in Chapter 1, a key aspect for individuals is the necessity to undo some current ways of seeing and behaving and learn new ways. Indeed Schein points out that a key task is to balance the anxiety people feel about surviving this change with the paralysing effect of the anxiety felt about being able to learn new ways of doing things. The critical task therefore is to help people through the learning cycle. To do this, both the change agent and the individual need to be aware of their levels of competence and indeed incompetence.

At a global level, and taking into account Virginia Satir's dictum that change happens 'one person at a time', one needs to ensure that individuals are clear about what practical steps need to be taken to ensure they are ready and able to step into the changes. At an emotional level they may need to be assisted in understanding the choices available to them and helped through the change curve. For this to happen the change agent can draw upon his or her knowledge of what motivates people and then ensure that an appropriate suite of psychological interventions are available to use. These can be informed by the behavioural, cognitive, psychodynamic or humanistic principles and indicative interventions discussed in Chapter 1.

Increasingly the authors believe that tough conversations and high-quality dialogue are key factors in helping the facilitation of change at every level within the system. These two factors need to be supported by a range of organizational development interventions, relying more on inter-relatedness and discovering meaning, such as balancing advocacy with inquiry and catalytic questions.

Based on the work of Scoular (2011), Table 5.6 looks at some of the different questions that the change agent may use – be it the leader, the line manager or the (internal/external) consultant – at the stages Prochaska *et al* (2006) postulate people go through when approaching and reacting to change – precontemplation, contemplation, preparation, action and maintenance.

In the more emergent types of change there may well need to be a good understanding of the consequences of the action, and rather than just 'maintenance' there

**Table 5.6** Questions for stages of change

| Stage                   | Questions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Precontemplation</b> | <p>Not intending to act. Questions can only raise awareness.</p> <ul style="list-style-type: none"> <li>• How could things be better?</li> <li>• What are the implications of not changing?</li> </ul>                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Contemplation</b>    | <p>Intending to act, but ambivalent. Questions should still raise awareness, and acknowledge the ambivalence (don't confront the resistance). Can also gently test their concerns – using 'R' (Reality) of GROW.<sup>1</sup></p> <ul style="list-style-type: none"> <li>• So on the one hand, this could be helpful, but on the other you're concerned it might not work?</li> <li>• I'm hearing a choice here, between... and... is that right?</li> <li>• You said the new strategy is a 'total disaster', would it be helpful to explore that – or not at this point?</li> </ul> |
| <b>Preparation</b>      | <p>Intending to act soon. Questions are still raising awareness, and transitioning towards action.</p> <ul style="list-style-type: none"> <li>• So how could you explore this further?</li> <li>• What might you broadly want to achieve?</li> <li>• Any thoughts on how you might go about it?</li> </ul>                                                                                                                                                                                                                                                                          |
| <b>Action</b>           | <p><i>Acting:</i><br/>Questions are helping to plan action and monitoring results. 'O' and 'W' of GROW.<sup>2</sup></p> <p><i>If relapse:</i><br/>Emphasize this is normal, and as in GROW, go back to whatever was missed and rebuild the process.</p> <p><i>Maintenance</i> may need to continue for life. If Exit happens, celebrate!</p> <ul style="list-style-type: none"> <li>• What specifically could you do? Etc</li> <li>• How did that work out? So how will you adjust the plan?</li> </ul>                                                                             |

**Notes 1 and 2:** The GROW Model of Coaching stresses the importance of having a clear Goal, an understanding of current Reality, the generation of Options, and an exploration of the Will or Way forward.

**SOURCE** Adapted from Prochaska *et al* (2006) and Scoular, A (2011)

may well need to be a considered response, which in itself would most likely follow the cycle again from precontemplation onwards.

To help people move through these stages, in a similar way to helping people move through the stages of the change curve, an understanding of people's learning

styles, their motivation levels and their personality type are all important. Schein's ideas (see Chapter 1) for overcoming resistance will also help. Likewise, having enough strategies drawn from the four psychologies in Table 1.6 (representative interventions to facilitate the change process) is crucial. *How* the change agent does this – for example drawing on Rogers' positive regard, facilitating environment, etc – will be explored later in this chapter.

## ***Facilitating team change***

In addition to the complexity of dealing with one or more individuals, the change agent also needs to deal with groups of individuals experiencing change, usually within their previously defined teams. This presents both challenges and opportunities. Reviewing Chapter 2 you will recognize that it is important to understand the current state and status of the teams involved in change and the future state and status desired by those engaged in the change, from both a task and psychological perspective:

- Identifying the nature of the team and what might need to change in its structure, format and the role it will perform.
- Understanding how much of a team and teamworking are now needed (the more complex the decisions and uncertain the context, the more teamworking is needed).
- Understanding what the requirements are in terms of changes to the team's five elements (Glaser and Glaser, 1992):
  - team mission, planning and goal setting;
  - team roles;
  - team operating processes;
  - team interpersonal relationships; and
  - inter-team relations.
- And through this process ensuring that the team and its members address the issues of new team formation and realignment – (re)forming, storming, norming and performing.

Times of change and uncertainty can put considerable stress on individuals and teams, and often individuals' survival instincts can take precedence over the team's cohesion. It is at these times that the unconscious processes and phenomena alluded to can be observed.

Responses can include team fragmentation, with individuals going off in different directions with their own personal agendas, and also 'Group Think' where the embattled team creates an island fortress oblivious and impervious to outside influences. Bion's (1961) basic assumptions may also be much in evidence.

It is of paramount importance to have the ability to observe unconscious processes, to have an understanding of these team dynamics, to be able to facilitate team movement through these states and to be able to create a ‘holding environment’ for team functioning. The change agent needs to be aware of these phenomena and be able to help the organizational leadership in dealing with them.

Understanding individual and team MBTI types and Belbin team roles can also be extremely useful during these times. Additionally, MBTI-trained facilitators can assist individuals and teams who are ‘in the grip’ – manifesting atypical parts of their personalities during times of change and stress.

Table 2.3 ‘Effective and ineffective teams’ and Table 2.7 ‘Teams going through change’, highlighted key aspects for the change agent to be noticing and addressing. Chapter 6 also explores how to enable teams’ functioning during organizational change with a four-stage team alignment model and a comprehensive table (6.4): ‘Addressing team change during restructuring’, which is valid in any change involving teams.

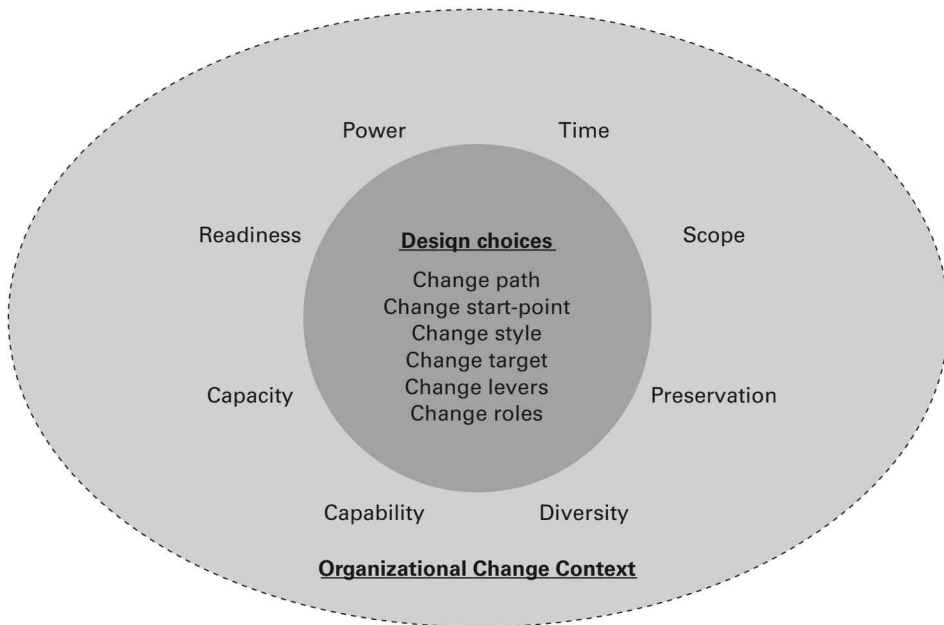
## ***Facilitating organizational change***

In the Introduction to Part Two you will see two diagrams which graphically represent the strategic change process. One is a rather linear, more planned approach to change. The second is represented as more fluid and perhaps more emergent. Whichever framework you employ, the role of the change agent in facilitating organizational change does require an understanding of both, and the skills necessary to be able to negotiate oneself and others through the challenges presenting themselves each step of the way.

Using Balogun and Hope Hailey’s ‘Change Kaleidoscope’ (2004) (see Figure 5.1) you can begin to see the different aspects of change that the change agent needs to be able to diagnose and assess to decide what type of interventions might be feasible. This framework would most likely sit more comfortably in the planned approach to change. However the more emergent the situation the more complexity there is, and this framework can help reduce, to some degree, the feelings of chaos which might abound.

### **Contextual choices**

- **Time:** How quickly is change needed? Is the organization in crisis or is it concerned with longer-term strategic development?
- **Scope:** What degree of change is needed? Realignment or transformation? Does the change affect the whole organization or only part of it?
- **Preservation:** What organizational assets, characteristics and practices need to be maintained and protected during change?

**Figure 5.1** Change Kaleidoscope

- **Diversity:** Are the different staff/professional groups and divisions within the organization relatively homogeneous or more diverse in terms of values, norms and attitudes?
- **Capability:** What is the level of organizational, managerial and personal capability to implement change?
- **Capacity:** How much resource can the organization invest in the proposed change in terms of cash, people and time?
- **Readiness for change:** How ready for change are the employees within the organization? Are they both aware of the need to change and motivated to deliver the changes?
- **Power:** Where is power invested within the organization? How much latitude for discretion does the unit need to change and the change leader possess?

### Design choices

- **Change path:** the type of change to be undertaken in terms of the nature of the change and the desired end result.
- **Change start-point:** where the change is initiated and developed, which could be summarized simplistically as top-down or bottom-up, but there are other choices.

- **Change style:** the management style of the implementation, such as highly collaborative or more directive.
- **Change target:** the target of the change interventions, in terms of people's attitudes and values, behaviours or outputs.
- **Change levers:** the range of levers and interventions to be deployed across four subsystems – technical, political, cultural and interpersonal.
- **Change roles:** who is to take responsibility for leading and implementing the changes.

Reading the chapter on organizational change you would have realized the many different approaches and choices that the change agent engages with and the levels of complexity of the situation. Notwithstanding that, there are some key practices to engage in. Understanding the culture of the organization underpins much of what one then has to work with or work against.

If the changes are totally within the 'boundary' of the current cultural practices, how one manages change will no doubt be aligned to the values and the behaviours of the prevailing culture. If, however, the reason or rationale for change is to shift the culture in some way, or the culture needs to be shifted to enable other changes to occur, then the interventions and the role-modelling of the change agent will need to be aligned with either the current culture or the preferred one. Table 5.7 highlights these possible choices.

**Table 5.7** Choices of intervention based on the nature of the cultural change

| Organization change required                                                                                     | Possible choices | Change agent stance                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Change within current culture norms<br>(local restructure, geographic expansion, etc)                            | }                | Role-modelling based on current ways of doing things including management style, degree of consultation, decision-making processes, etc          |
| Change outside current culture norms<br>(diversification requiring new way of working, partnership working, etc) |                  | Role-modelling based on new ways of doing things including management style, degree of consultation, decision-making processes, etc              |
| Culture change itself<br>(eg new ways of doing things to meet external or internal drivers for change)           |                  | Role-modelling based on effective change management practices including management style, degree of consultation, decision-making processes, etc |

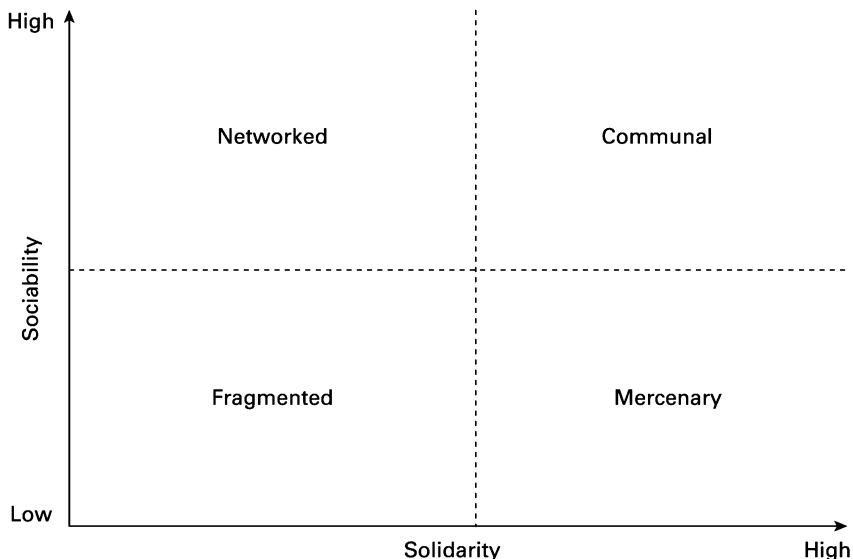
The four metaphors that we have used to illustrate different cultures and ways of doing things will assist in determining the stance that you take and what you may need to do differently to move towards a different culture. Likewise, both Goffee and Jones (1998) and Cameron and Quinn (2011) offer models of organizational culture (both across two axes resulting in four possible cultures, or parts thereof) (see Figures 5.2 and 5.3). The authors of both these models provide sets of interventions which help the shift from one culture to another.

For example with Goffee and Jones, if the change agent were involved in a change that included moving the organization from a more Fragmented culture to a more Communal one, it would make sense for the change agent's style and the interventions to be highly participative, with reward structures being targeted to encourage teamworking and partnership.

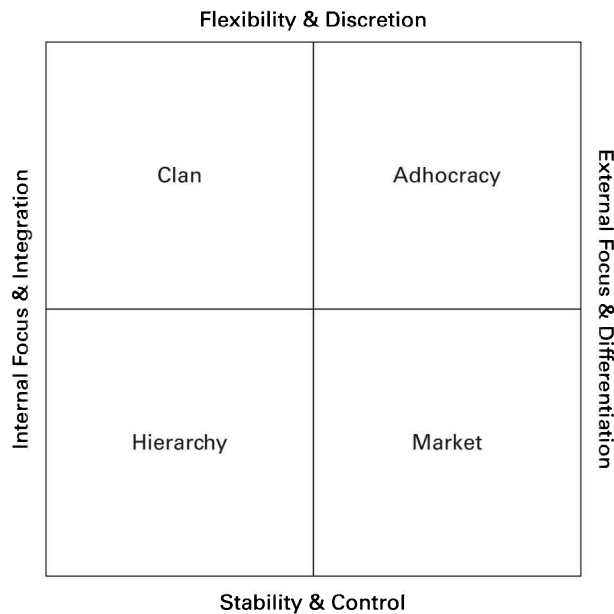
With Cameron and Quinn's cultural framework, if the change agent were involved in a change that included moving the organizational from a more Hierarchical culture to an Adhocracy, it would make sense for them to be role-modelling creative and innovative ways of doing things, checking what the customers wanted, and allowing considerable autonomy in the shaping of the change process and the final outcome.

Exploring the notion of culture, and the assumptions that lie beneath the surface, helps trigger reflections of your assumptions, as change agent, about culture and about the nature of change itself, which can subconsciously skew your approach.

**Figure 5.2** Organizational cultures (1)



**SOURCE** Goffee and Jones (1998)

**Figure 5.3** Organizational cultures (2)

**SOURCE** Cameron and Quinn (2011)

An important aspect of the change agent's role is to be able to be both sufficiently close to the change to understand how it is going and what now needs to be done, and sufficiently detached – up on the balcony – to be able to see the system at work. Change agents need to move between those two positions, to engage in both active reflection and reflective activity and to make meaningful decisions about the change.

### STOP AND THINK!

- Q 5.5** As you work through the various phases of the consulting process, where do your strengths lie and what knowledge, skills and understanding do you need to develop?
- Q 5.6** Think of a current or future change you are involved in: what are the individual, team and organizational challenges that you face?
- Q 5.7** What cultural sensitivities do you need to be aware of and how might you plan your interventions to be aligned with the current or future culture?



## Competencies of the change agent

In the previous section we saw the myriad of different things that change agents need to be aware of and skilled at if they want to be effective at an individual, team and organizational level across a range of different organizational cultures and throughout the life cycle of the consulting process. In Part Two we look at specific change situations, which may also require specific knowledge, skills and understanding.

*Making Sense of Change Management* was written to develop readers' knowledge in areas such as individual psychology, group dynamics and organization behaviour. In addition it aims to introduce, describe and discuss many if not all of the key influences and influencers in the field of change along with the most widely regarded theories and models of change together with emerging ideas.

It is appropriate to look at the range of competencies that might be required of the skilled change agent, and to ascertain which are essential and which are nice to have. Cummings and Worley (2009) have produced a definitive list of the knowledge and skill requirements of the organization development practitioner (see Table 5.8), which correspond well with those of the change agent.

**Table 5.8** Knowledge and skill requirements of the organization development practitioner

| Existing system – Knowledge   | How systems change over time – Knowledge            | How systems change over time – Skills  |
|-------------------------------|-----------------------------------------------------|----------------------------------------|
| <i>Organization behaviour</i> | <i>Organization design</i>                          | <i>Managing the consulting process</i> |
| A. Organization culture       | Decision-making process associated with formulating | A. Entry                               |
| B. Work design                | and aligning HR systems; information systems;       | B. Contracting                         |
| C. Interpersonal relations    | reward systems; work design; political systems;     | C. Diagnosing                          |
| D. Power and politics         | culture; etc.                                       | D. Designing interventions             |
| E. Leadership                 | A. The concept of fit and alignment                 | E. Implementation                      |
| F. Goal setting               | B. Diagnostic and design model for sub-systems      | F. Managing emergent issues            |
| G. Conflict                   | C. Key thought leaders in organization design       | G. Evaluation                          |
| H. Ethics                     |                                                     |                                        |

(continued)

**Table 5.8** (Continued)

| <b>Existing system – Knowledge</b>                                                                                                                                                                                                                                                                              | <b>How systems change over time – Knowledge</b>                                                                                                                                                                                                         | <b>How systems change over time – Skills</b>                                                                                                                                                                                                                                                                                                                                                 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <i>Individual psychology</i><br>A. Learning theory<br>B. Motivation theory<br>C. Perception theory                                                                                                                                                                                                              | <i>Organization research</i><br>Field research; interviewing; content analysis; change evaluation processes; quantitative and qualitative methods.                                                                                                      | <i>Analysis/diagnosis</i><br>Inquiry into the system's effectiveness at an individual, group and organization-wide level. Ability to understand and inquire into one's self.                                                                                                                                                                                                                 |
| <i>Group dynamics</i><br>A. Roles<br>B. Communication processes<br>C. Decision-making process<br>D. Stages of group development<br>E. Leadership                                                                                                                                                                | <i>System dynamics</i><br>Understanding of how systems evolve and develop over time; how systems respond to planned and unplanned interventions.                                                                                                        | <i>Designing/choosing appropriate and relevant interventions</i><br>Understanding how to select, modify, or design effective interventions that will move the organization from its current state to its desired future state.                                                                                                                                                               |
| <i>Management and organization theory</i><br>A. Planning, organizing, leading, and controlling<br>B. Problem solving and decision making<br>C. Systems theory<br>D. Contingency theory<br>E. Organization structure<br>F. Characteristics of environment and technology<br>G. Models of organization and system | <i>History of organization development</i><br>A. Human relations movement<br>B. National Training Lab<br>C. Survey research<br>D. Quality of life<br>E. Tavistock Institute<br>F. Key thought leaders<br>G. Humanistic values<br>H. Statement of ethics | <i>Facilitation and process consultation</i><br>Ability to assist an individual or a group towards a goal. Ability to inquire into individual and group processes so that the client system (organization) maintains ownership of the issue, increases the capacity for reflection on the consequences of its behaviours and actions, and develops a sense of increased control and ability. |
| <i>Research methods/statistics</i><br>A. Measures of central tendency<br>B. Measures of dispersion<br>C. Basic sampling theory<br>D. Basic experimental design<br>E. Sample inferential statistics                                                                                                              | <i>Theories and models of change</i><br>A. Basic action research model<br>B. Change topologies<br>C. Lewin's model<br>D. Transition models, etc                                                                                                         | <i>Developing client capability</i><br>The ability to conduct a change process so that the client is better able to plan and implement a successful change process in the future, using technologies of planned change in a values-based and ethical manner.                                                                                                                                 |

(continued)

**Table 5.8** (Continued)

| Existing system – Knowledge                                                                                                                                                                                                                                                          | How systems change over time – Knowledge | How systems change over time – Skills                                                                                                                                                                                                        |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <i>Comparative cultural perspectives</i><br>A. Dimensions of national culture<br>B. Dimensions of industry culture<br>C. Systems implications                                                                                                                                        |                                          | <i>Evaluating organization change</i><br>The ability to design and implement a process to evaluate the impact and effects of change intervention, including control of alternative explanations and interpretations of performance outcomes. |
| <i>Functional knowledge of business</i><br>A. Interpersonal communication (listening, feedback, and articulation)<br>B. Collaboration/working together<br>C. Problem solving<br>D. Using new technology<br>E. Conceptualizing<br>F. Project management<br>G. Present/education/coach |                                          |                                                                                                                                                                                                                                              |

**SOURCE** From Cummings/Worley (2009) *Organization Development and Change*, International Edition, 9e.© 2009 South-Western, a part of Cengage Learning, Inc. Reproduced by permission. [www.cengage.com/permissions](http://www.cengage.com/permissions).

The change agent will, in addition, need to have a good understanding of how business works, together with knowledge (or a knowledgeable partner) in the field of Human Resources. The final aspect referred to by Cummings and Worley is the skills set acquired through management development and interpersonal training together with a serious attempt at ongoing personal learning and development.

Having looked at generic competencies applied across all change situations we can now approach this from a different perspective. Léon de Caluwé and Hans Vermaak (2004) have categorized approaches to change in a somewhat similar way to the four organizational metaphors we have used throughout this book. They use the notion of five paradigms or lenses, each tagged with a colour, through which change can be approached:

- *Blue – change through design* is the programmatic or planned approach to change, which can be mapped on to the Machine metaphor.
- *Yellow – change through addressing interests* is mainly focused on aligning stakeholders to the overarching aims. This can be mapped on to the Political Systems metaphor.
- *White – change through emergence* corresponds to the Flux and Transformation metaphor.
- *Green – change through learning* fits very well with the Organism metaphor.
- *Red – change through people* focuses on ensuring that an HR expert manages the practical side of people management, together with the realization of the need to manage people through the emotional aspects of psychological transition. This paradigm can principally be overlaid onto the Machine and Organism metaphors.

One of the reasons why the five paradigms approach is so useful is that de Caluwé and Vermaak suggest what role the change agent should be playing together with the necessary knowledge, skills and attitudes (see Table 5.9).

**Table 5.9** Paradigms and the necessary knowledge, skills and attitudes

| Paradigm and role                      | Knowledge            | Skills                        | Attitude         |
|----------------------------------------|----------------------|-------------------------------|------------------|
| <b>Blue – Design</b>                   | Project management   | Project management            | Results-oriented |
| Expert                                 | Relevant subject     | Planning and control          | Decisiveness     |
| Specialist                             | knowledge            | Analytic thinking             | Independence     |
| Competence                             | SWOT analysis        | Research methods              | Intelligence     |
| The right solution                     | Processes, systems   | Presentation                  | Accuracy         |
| The best solution                      | and projects         | techniques                    | Dedication       |
| Full responsibility for implementation |                      |                               |                  |
| Plan, Do, Review                       |                      |                               |                  |
| <b>Yellow – Addressing Interests</b>   | Strategy             | Network identification        | Independence     |
| Power broker                           | Top structure        | Understanding and using power | Stability        |
| Mediator                               | Stakeholder analysis | Conflict resolution           | Self-control     |
| Negotiator                             |                      | Influencing                   | Self-confidence  |
| Looks for solutions with a chance      |                      | Strategic interventions       | Perseverance     |
| Art of the possible                    |                      |                               | Flexibility      |
|                                        |                      |                               | Diplomacy        |

(continued)

**Table 5.9** (Continued)

| <b>Paradigm and role</b>                  | <b>Knowledge</b>       | <b>Skills</b>                                  | <b>Attitude</b> |
|-------------------------------------------|------------------------|------------------------------------------------|-----------------|
| <b>White – Emergence Spotter</b>          | Chaos theory           | Pattern recognition                            | Independence    |
| Catalyst                                  | Systems theory         | Challenging the status quo                     | Authenticity    |
| Sets out general direction and principles | Complexity             | Dealing with conflicts                         | Self-assured    |
| Energizes                                 | Psychology             | Creating dialogue                              | Honesty         |
| Holds up a mirror                         |                        | Dealing with uncertainty                       | Flexibility     |
|                                           |                        |                                                | Self-confidence |
|                                           |                        |                                                | Spiritual       |
|                                           |                        |                                                | Empathy         |
| <b>Green – Learning</b>                   | Learning theories      | Designing and facilitating learning situations | Trustworthiness |
| Facilitator                               | Educational theories   | Creating an open and safe environment          | Creativity      |
| Coach                                     | OD thinking            | Coaching, listening, feedback                  | Openness        |
| Mentor                                    |                        | Role model                                     | Flexibility     |
| Communicator                              |                        |                                                | Self-confidence |
|                                           |                        |                                                | Inspirational   |
| <b>Red – People</b>                       | Management science     | HRM policies and procedures                    | Carefulness     |
| Manager of Human Resource                 | HRM                    | Communication planning                         | Flexibility     |
| HR procedure expert                       | Motivation theories    | Teamworking                                    | Trustworthiness |
| Involvement and engagement                | People and performance | Discussion facilitation                        | Decisiveness    |
| Motivator                                 |                        | Motivating                                     | Loyalty         |
|                                           |                        |                                                | Steadfastness   |

**SOURCE** Adapted from de Caluwé, L and Vermaak, H (2003) *Learning to Change: A guide for organization change agents*, Sage, CA

The implications of this are that the change agent will need to craft his or her objectives and interventions in a way that is congruent with the prevailing culture to ensure some traction, even if at a later date interventions from different paradigms are warranted. For example, managing change within the blue paradigm will call for a clear set of objectives that have been established at the outset, a set of rational interventions conducted by a competent specialist and in a very planned and orderly manner. The box below described implications across the five paradigms and four change metaphors.

## IMPLICATIONS AND DIFFERENT ROLES OF LEADERS AND CHANGE AGENTS

*Entering into a change process when operating within one of the four change metaphors or five paradigms has implications for how you construct your change process and what sort of role you need to play.*

*Using the machine metaphor or the 'change through design' paradigm will entail a rigorous project management approach with a leadership style that is one of architect and grand designer. The terrain is about efficiency and effectiveness of project planning processes and their well-oiled implementation. It's about an unambiguous mapping out of the plan to get from A to B and the careful planning, managing, monitoring and controlling of this process.*

*The political metaphor and 'change through addressing interests' will require a greater focus on managing stakeholders, the informal organization and ensuring that key players are brought on board and potential winners are motivated enough and potential losers' needs are managed. The terrain for the change agent within this paradigm is all about power and the harnessing of it. The change agents themselves have to have perceived power as well as requiring powerful sponsors.*

*The organism metaphor requires the change agent to be monitoring the environment and taking the pulse of the organization. A key focus will be to create an enabling environment where people can learn to become responsive to the environment and the changes that are necessary. And it is also necessary to be aware of the process in order for responses and reactions and adaptations to be factored in as the change proceeds.*

*The flux and transformation metaphor and the 'change through emergence' paradigm recognize that change cannot be explicitly managed, but rather needs to emerge. The tensions, the conflicts, the hot spots within the organization and those on the boundary are where the change agent is focused. Once again the role is one of enabling emergence rather than directing and controlling it. The concepts of setting parameters, acting as a container and reminding people of core values are critical to this process.*

*The 'change through learning' paradigm draws on the key ideas from the Organizational Development movement originating in the 1960s and the writers and researchers of the Learning Organization. Coaching, training and group and team facilitation are all ways of providing opportunities for learning to take place.*

*The 'change through people' paradigm is situated between the learning paradigm and the interest paradigm. It recognizes the need to include, involve and engage with all stakeholders, but principally managers and staff in order to create solutions*

*which address the important issues. Given that change happens through people, winning the hearts and minds of the people is clearly a key factor in this. Affiliative and democratic management styles, human resource management and a collaborative culture are strong indicators of change agents operating within this paradigm.*

Green (2007a)

### STOP AND THINK!

**Q 5.8** Review Table 5.8, 'Knowledge and skill requirements of the organization development practitioner', highlight the knowledge and the skills that you consider to be essential and produce a mini personal development plan for those aspects you consider you need to develop.

## Deeper aspects of being a change agent

In this section we look at some of the difficulties that a change agent may encounter in his or her work at a deeper level. Although you may have been enlisted to assist the organization, that doesn't mean that the organization or its constituent parts will want to change or welcome your interventions. The organization and its protagonists can 'act out' in terms of dysfunctional behaviour. This has been well documented by authors such as Argyris (1990), Egan (1994) and Kets de Vries (2001). We will look at organizational defence mechanisms and then how you can better equip yourself to address these issues and work well within the organizational system and create an environment that is conducive to growth and development.

### Overcoming organizational defences

Chris Argyris in his book *Overcoming Organizational Defenses: Facilitating organizational learning* (1990) highlights a challenge that most change agents will encounter during their organizational work – organizational defensive routines and how to overcome them. He defines organizational defensive routines as:

Actions or policies that prevent individuals or segments of the organization from experiencing embarrassment or threat. Simultaneously they prevent people from identifying and getting rid of the causes of the potential embarrassment or threat. Organizational defensive routines are antilearning, overprotective, and self-sealing.

Both he and Peter Block (2000) provide familiar examples in action:

‘I don’t mean to interrupt you but...’ or, ‘I don’t want to upset you... but’, which translates as: ‘I don’t want you to feel bad about my interrupting you or upsetting you but actually that is exactly what I intend to do.’

‘Thank you for your feedback...’ translates as: ‘I really didn’t like it’; ‘That’s a very interesting idea...’ when actually I’m clear that I won’t be using it.

And finally: ‘That’s a great proposal... let me go away and think about it’ – meaning there is no way we will accept it.

These could perhaps be categorized as everyday examples but once embedded in the culture the malaise of organizational defensive routines has far greater import. Many actions – particularly of the senior management – will not be questioned, and especially in times of change people lower down an organization can see the truth or parts of the truth of a situation but are afraid to point out, for example, the emperor’s new clothes or the fault lines in the strategy.

Argyris suggests that ‘organizational defensive routines make it highly unlikely that individuals, groups, inter-groups and organizations will detect and correct the errors that are embarrassing and threatening’ because the fundamental rules are to:

- 1 bypass the errors and act as if they were not being done;
- 2 make the bypass undiscussable; and
- 3 make its undiscussability undiscussable.

To challenge the undiscussable feels like a very high-risk strategy, even at the best of times, but when uncertainty prevails during times of change, the risks can be even higher. And these phenomena are more likely precisely during times of change... and the change agent is in the ‘privileged’ position of being able to spot and point out these phenomena. In order to do so the change agent will need to have a high degree of self- and social awareness and be skilled at creating the right environment within which to intervene.

## ***Self as instrument***

If we were to adopt the mechanistic view of managing change, the change agent would be the rational expert with specialist knowledge who would plan the change process and the process itself would run according to plan, if properly executed. The feedback mechanisms would be through project reviews, and cost, quality and time measurements. The change agent would be taking an objective stance in this and any intervention would be based on rational analysis of evidence-based information – operating within the rational, change through design paradigm.

In our experience however, the world doesn’t work like this. From science we know that the ‘observer effect’ will have the potential of making the act of observing a determinant of the outcome. Likewise in information systems, if a process is



electronically monitored the process itself will potentially be influenced by the monitoring. And importantly we know from the ‘Hawthorne effect’ (Mayo, 1949) that people will change their behaviour simply when they are put under the spotlight by being observed by external researchers or consultants.

One of Freud’s definitions of psychoanalysis was the procedure for the investigation of mental processes that are almost inaccessible in any other way – that is the unconscious phenomena in human interaction. As such it is one way of being able to understand the more irrational aspects of human behaviour. Table 5.10 lists a number of psychoanalytic terms which describe phenomena that not only manifest themselves on the analyst’s couch but are very much alive in the world of individual, team and organizational change.

For example, people might transfer their very positive parental feelings onto the consultant and imagine that the consultant will have the power, authority and magic to take away all the pain and fix things. Or they might see you as the autocratic despotic father figure who is to be feared and shied away from. They can also transfer any negative feelings that they have for the management onto the consultancy team.

In the same way that the client system might be impacted by the change agent entering the system, the question can be asked whether the change agents themselves can be impacted by being in the client system and, if so, how might this look? We need to enter the realm of depth psychology and psychoanalysis to aid our understanding. Freud and Jung, both in their own ways, suggested that communication between therapist and patient operated not only on the rational, conscious level, but also on the unconscious level. Patients would, for example, project their own, cut-off feelings onto the therapist and also transfer feelings associated with other (significant) figures in their lives onto the therapist. The therapist in turn would have feelings about the client. These Jung labelled as ‘counter-transference’. Initially this was seen as unresolved issues within the therapist’s own psyche, but has later become relevant in terms of feelings that the therapist is ‘holding’ for the patient – that is, feelings that don’t belong to the therapist at all but tell him or her something about the inner world of the patient.

**Table 5.10** Psychoanalytic terms useful in the change agent’s practice

| Psychoanalytic term         |                                                                                                                                                                                      |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Transference</b>         | The process by which emotions and desires originally associated with one person, such as a parent or sibling, are unconsciously shifted to another person, especially to the analyst |
| <b>Projection</b>           | The attribution of one’s own attitudes, feelings, or suppositions to others                                                                                                          |
| <b>Counter-transference</b> | The psychoanalyst’s displacement of emotion onto the patient or more generally the psychoanalyst’s emotional involvement in the therapeutic interaction                              |

Jung was adamant that therapists needed a rigorous analysis themselves to ensure that they could see clearly what their issues were and what were legitimately the patient's and therefore 'grist for the mill' of the therapeutic work. Hanna Segal (quoted in Bell, 1997) did issue a health warning though by saying: 'Counter-transference can be the best of servants but is the most awful of masters.' She meant that change agents need to be able to own what is theirs, in terms of what is being experienced, rather than merely seeing it as part of the client system. Seeing it as part of the client system and seeking to understand what that means are crucial, but one should always be looking inward too, ensuring that intense feelings are not part of one's own psychopathology. Because change can produce intense emotional reactions and some people may not want to admit or live with those feelings, they can unconsciously project these onto the consultant who, to them may then appear as, for example, bored, irritated or angry.

The important thing to note here is that when people do this, they do so unconsciously and then react to you as if you were exhibiting those attributes and feelings. As the consultant you therefore need to be aware of other people's reactions and behaviours, especially when they appear to be at odds with your reality.

*The consultant might find himself, for example, uncomfortably aligned with a group that is being scapegoated, that is perceived as troublesome or difficult. Given the job of helping its members to 'improve', he may come to feel that his choice is to fight back on their behalf against the unfair projections, or he may join in and come to believe the projections and blame the members of the group for their shortcomings.*

Czander and Eisold (2003)

This is where being in touch with your own feelings is so important, and feelings of counter-transference can help. When you have strong positive or negative feelings – and indeed when you are feeling nothing at all – it is wise to ask yourself whether these could be someone else's in the client system and what that might mean for them, for you and for the project.

Developing observational skills of self and others is extremely important if you want to use yourself as an instrument of change. Cheung-Judge (2001) suggests that:

In practice, owning the self means devoting time and energy to learning about who we are, and how issues of family history, gender, race and sexuality affect self-perception. It means also identifying and exploring the values by which we live our lives, as well as developing our intellectual, emotional, physical and spiritual capacities.

She is clearly proposing that to be effective in this kind of work one has to work 'on oneself' as well as developing the technical and inter-personal skills necessary to interact with confidence and competence.

This is further endorsed when one looks at what Nevis (1987) calls the five basic roles played by the (Gestalt) consultant:

- 1 to be totally attentive to the client system through detailed observations of both the specific and the patterns;
- 2 to be aware of one's own experience of feelings, sensations and thoughts and to appropriately share these constructively and thereby establish one's presence;
- 3 to focus on where the energy or lack of it is in the client system and the emergence of or lack of issues for which there is energy and to be able to catalyse the energy to enable action to happen;
- 4 to facilitate clear and meaningful contact between parts of the client system, including the change agent;
- 5 to help the group achieve heightened awareness of its process in completing the tasks in front of it.

Cheung-Judge recommends that you have to:

- develop lifelong learning habits (in both the technical and interpersonal aspects of the role);
- work through issues of power (which clearly manifest when dealing with multiple stakeholders in times of change and uncertainty);
- build emotional and intuitive self-awareness (through understanding one's strengths, weaknesses, blind spots and areas of anxiety, and developing emotional intelligence); and
- have a serious commitment to self-care (in the form of looking after yourself, body, mind and spirit, nurturing your support networks and developing practices of reflection and self-renewal).

Nevis suggests that the change agent be focused on the interpersonal aspects of intervening in the client system highlighting the fact that it is:

*interaction with the client* as a means through which movement toward improved organizational functioning will occur. Specifically, the practitioner models a way of approaching problems and, through interest in the attractiveness of this way of being, hopes to mobilize the energy of the client.

Tolbert and Hanafin (2006) see the need for the change agent to develop a sense of presence, which they believe to be one of the key enablers for genuine interaction to occur. They define presence as representing 'the translation of personal appearance, manner, values, knowledge, reputation, and other characteristics into interest and impact... Presence is use of self with intent.' They highlight the principles of presence (see Table 5.11).

**Table 5.11** Principles of presence**Be honourable**

- Align personal assumptions, values, beliefs, behaviour
- Stand for something; take a position
- Dare to be different (or similar)
- State the obvious
- Speak the unspeakable

**Be an effective agent of change**

- Be an awareness expert
- Facilitate enhanced interaction among members of the client system and with self
- Teach basic behavioural skills
- Model a methodology for solving problems and for dealing with life in general
- Cultivate conditions for the client to experiment with new behaviour
- Help the client complete work and achieve closure on unfinished business

**Be curious**

- Stay in a space of perpetual wonderment
- Show genuine interest in the client
- Be interested in self
- Explore the nature of relationships between self and client and among individuals in the client system

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**SOURCE** Tolbert and Hanafin (2006) Use of Self in OD Consulting, Chapter 4 in *The NTL Handbook of Organization Development and Change*, Jones, B and Brazzel, M (eds) © 2006. Reproduced with permission of John Wiley & Sons Inc.

We will return to the notion of ‘presence’ in Chapter 12 when we look at leaders’ ability to deal with uncertainty.

## ***Creating the holding environment***

*If only we can wait, the patient arrives at understanding creatively and with immense joy... The principle is that it is the patient and only the patient who has the answers.*

Winnicott (1965)

Individual and group psychoanalytic practitioners and psychologists such as Bion (1961), Winnicott (1965) and Bowlby (1980, 1988) stressed the importance of the change agent’s ability to create a psychological safe place – a holding environment, a facilitating environment – which is a container for change to be explored and developed, in which individuals and groups can be more at ease with their uncertainty

and anxiety about the changes they are experiencing. The principles of presence described above will engender the creation of a holding environment. We will return to the idea of ‘containment’ from a leadership perspective in Chapter 12.

Creation of such an environment has physical and tangible as well as psychological aspects; one example of both is the idea of boundaries – boundaries such as clarity about project scope, meetings times, and a clearly defined set of operating procedures and ground rules in which people can be together, share feedback together and learn together. This then transcends into an environment where anxieties and concerns can be explored without the fear of their getting out of control or being talked about outside destructively.



Much of what Carl Rogers wrote about (see Chapter 1) is in fact concerned with creating such an environment for learning, development and change. His three conditions to bring about growth and development are genuineness and congruence; unconditional positive regard; and empathetic understanding.

Heifetz and Linsky (2002), recognizing that change will inevitably move people away from their comfort zones and cause disquiet and unease, stress the importance of developing a holding environment ‘to contain and adjust the heat that is being generated by addressing difficult issues or wide value differences’. They define a holding environment as:

a space formed by a network of relationships within which people can tackle tough, sometimes divisive questions without flying apart. Creating a holding environment enables you to direct creative energy toward working out the conflicts and containing passions that could easily boil over.

This can be created in one-to-one, team and larger group situations by attention to a number of facets, particularly the need to create a tangible as well as psychological safe space. This requires stability, continuity and reliability – things which of course are often lacking in times of change. However, the change agent can engender these through the careful use of structures, boundaries, routines, communications and attentive listening. The change agent can be a constant, reliable and stable presence within the organization and specifically in meetings, conversations and role-modelling. Heifetz and Linsky give some practical examples of ways that a holding environment can be created or strengthened:

Shared language.

Shared orienting values and purposes.

History of working together.

Lateral bonds of affection, trust and camaraderie.

Vertical bonds of trust in authority figures and the authority structure.

At the micro level for a working group, a meeting room with comfortable chairs, a round table, and rules of confidentiality and brainstorming that encourage people to speak their minds.

Kahn (2001) writes at length about the holding environment. He draws the parallel with the nature of adult relationships of friendship by quoting Klein (1987):

They produce speculations, explanations, and suggestions of their own for us to consider, and much else. In times of crisis they are especially important, sustaining us while we encounter and explore new things, encouraging us to carry on, holding us when we temporarily lose our footing in the stress of reorganizing our concepts. They take care of us and step in when, in the course of the temporary disorganization that new developments may bring, we are about to do something permanently detrimental to our interests.

According to Kahn, holding environments are created with the juxtaposition of opportunity, desire and competence – three elements that the change agent needs to ensure. He lists the facilitating conditions for a holding environment:

- *Optimum range of anxiety* – there is no need when people are not unduly worried about the changes being proposed; and if individuals have too much stress and anxiety, which are creating dysfunction, then additional professional support may be required.
- *Trusting movements towards others* – clearly if the organization has a culture that has created trust, a holding environment is that much easier to create. Creating trust in the organization is a prerequisite for this type of work, and can be seen to be an important initial stage.
- *Available, competent holding* – this requires the physical and psychological availability of trusted colleagues or advisers who have sufficient competence and a balance of objectivity and empathy.
- *Competent receiving* – so that those who need support do not become overly dependent and have the maturity to receive support while maintaining their self-reliance and resilience.
- *Resilient boundaries* – time and space are required for the holding environment and these need to be created out of what may be a pressured work situation with people juggling ‘business as usual’ and the changes.
- *Positive experiences and outcomes* – the more that these environments are seen to work and be a force for positive outcomes, the more trust will be placed in the process, which in turn will strengthen the process.

Kahn cites three crucial dimensions of holding behaviours and suggests 12 behaviours that will help; see Table 5.12.

**Table 5.12** Kahn's dimensions of holding behaviours

| Dimension                         | Task                                                                                                                                                                      | Behaviours                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Receiver experiences                                                                                                                    |
|-----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Containment</b>                | Create safe, reliable environment enabling the other's expression of strong emotions and impulses                                                                         | <p><i>Accessibility</i> – remain in the vicinity of the other person, allowing time and space for uninterrupted contact and connection</p> <p><i>Attention</i> – actively attend to the other's experiences, ideas, and expressions; show comprehension with eye contact, verbal and non-verbal gestures</p> <p><i>Inquiry</i> – probe for the other's experiences, thoughts and feelings</p> <p><i>Compassion</i> – show emotional presence by displaying warmth, affection, and kindness</p> <p><i>Acceptance</i> – accept the other's thoughts and feelings without judgement; bear painful affect without withdrawal; resist own impulses to react in evaluative, non-accepting ways</p> | Receiver feels cared for, symbolically held, witnessed, joined, not alone, accompanied                                                  |
| <b>Empathetic acknowledgement</b> | Create empathetic context that affirms the other's sense of self as knowable, worthwhile, and understandable, laying the groundwork for the resumption of ego functioning | <p><i>Curiosity</i> – acknowledge the other's individuality by inquiring about and accepting the other's unique experiences of situations</p> <p><i>Empathy</i> – become imaginatively engrossed in and identify with the other's experiences</p> <p><i>Validation</i> – communicate positive regard, respect, and appreciation to the other; reflect back and confirm the other's positive qualities</p>                                                                                                                                                                                                                                                                                    | Receiver feels valued and acknowledged through attention and curiosity; feels self-accepting through the other's acceptance and empathy |

(continued)

**Table 5.12** (Continued)

| Dimension                   | Task                                                                                                                                                                                                                                            | Behaviours                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Receiver experiences                                                                                                                                                                                                                                                         |
|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Enabling perspective</b> | Create context in which the other can recover sense of primary work task and reengage ego functioning on behalf of that task; involves separating the other from their emotional experiences and creating space for rational thought and action | <p><i>Sense-making</i> – help other make sense of experiences and situations through focus on individual and contextual factors</p> <p><i>Self-reflection</i> – use own experiences about other and of situation as useful data</p> <p><i>Task focusing</i> – help the other focus on controllable elements of situation and the primary task rather than on unproductive, anxiety-arousing elements</p> <p><i>Negotiated interpretation</i> – help the other develop actionable interpretations of situations and experiences based on critical thinking about tasks</p> | Receiver feels less bound up emotionally, less anxiety, and more accepting of self in relation to situation; has clearer understanding of personal and contextual factors; is reoriented toward task; and has more capacity for self-regulated, competent thought and action |

**SOURCE** Kahn, W A (2001) Holding Environments at Work, *Journal of Applied Behavioural Science*, September, 37(3)

Klonsky (2010) in her doctoral research on how leaders enable the undiscussables to be discussed, found a clear link between creating a holding environment within the organization and the ability of the organization to surface undiscussables and to address the issues that they pertain to. The leaders displayed ‘relational authenticity’ through a demonstration of such qualities as awareness of others, active listening, acting with care, building community, empathy, growing employees’ capacity, inspiring trust and acting respectfully.

## ***Supervision and shadow consultancy***

Hawkins and Smith (2006) define supervision as:

The process by which a coach/mentor/consultant with the help of a supervisor, who is not working directly with the client, can attend to understanding better both the client system and themselves as part of the client–coach/mentor/consultant system and transform their work.

Some of the key aspects of supervision that Hawkins and Smith identify include:

- space for reflection on the work in progress;
- to review interactions and interventions and help develop them further;



- to be offered advice and/or expertise to better equip the supervisee;
- to monitor progress and receive both process and content feedback;
- to have a critical friend who can support and challenge;
- to not be scapegoated and isolated;
- to reflect upon one's own psychological reactions to the intensity of the project and individuals within it;
- to make sense of the project and the client system and develop additional approaches; and
- to plan further interventions and maintain one's professionalism.

(Adapted from Hawkins and Smith, 2006)

This type of supervision is a real support for individual practitioners and their reactions to intervening in the client system. In addition there is a whole discipline that has emerged called 'shadow consultancy', which addresses the same arena but has advantages when there is a consultancy team engaged on a project and the 'shadow consultant' can act as an additional resource outside of the client and (to some extent) the consultant system. We use 'shadow' here in the context of shadowing. Hawkins and Smith define it as:

The process by which a consultant (or team of consultants) with the help of an experienced shadow consultant, who is not working directly with the client, attends to understanding better the client system and themselves as part of the client/consultant system. Systemic shadow consultancy focuses on the interconnections between what the consultant(s) need to shift in themselves; their relationship with the client system; and in the client system – in order to be more successful.

Apart from ensuring ongoing professional development at both a task and process level, supervision and shadow consultancy can also surface 'parallel processes' – the re-enactment within the consultant-supervisor relationship of phenomena that are being played out within the client system. As such this space is fertile ground for exploring first-hand the client system and its conscious and unconscious processes.



Encountering the organizational shadow and defence systems, using oneself as an instrument and creating and nurturing a holding environment can be intense experiences and psychologically draining. On assignments where there are substantial

elements of the shadow being present, where undiscussables are not being discussed, where there is a highly political culture, or where the task within the system is complex, supervision and shadow consultancy can mean the difference between a successful project and failure, between maintaining one's sanity or burning out.

*Within organizations the shadow manifests in many ways – it's the hidden, the unspoken, the undiscussable, the power plays, all the things that sap the energy from an organization and divert it from achieving its objectives and addressing the issues that are holding it back.*

Green (2007a)

Looking after yourself as the change agent so you can effectively engage with the client's issues and challenges has been a key theme of this chapter. It is wise, if not essential, to ensure that you have access to your own adviser, coach or supervisor in addition to developing your technical expertise and competency and working on yourself to ensure development of interpersonal skills and all-round emotional intelligence. When engaging in difficult, complex assignments there are (inevitably) degrees of organizational dysfunction. Lone consultants and indeed whole teams of consultants can get mired in the very dysfunction they were brought in ostensibly to address.

## **TIME FOR SUPERVISION?**

What are some of the indications for when a change agent might need supervision?

- When you have strange dreams – for example of King Kong climbing the tower block of the organization's HQ where you are working...
- When you feel 'out of sorts' or 'not yourself' for no apparent reason...
- When you have intense feelings (or lack of feelings) while engaged on an assignment...
- When whatever you say to the client they just don't get it...
- When you start having conflict in the consultancy team...
- When you feel totally inadequate and have lost the confidence to continue...
- When everyone is being very compliant...
- When lots of people are gossiping to you about other people in the organization...
- When the CEO gets very angry with some feedback you give him or her...

**STOP AND THINK!**

**Q 5.9** Which aspects of this section ‘Deeper aspects of being a change agent’ do you find intriguing and what might you do to develop your expertise in those particular areas?

***Flawless consulting***

Finally, being a change agent can be a challenging role requiring not only high degrees of knowledge, skills and understanding but also high degrees of emotional intelligence and resilience. Peter Block, in his book *Flawless Consulting* (2000) defines the act of consulting as an act of love – ‘the wish to be genuinely helpful to another... To use what we know, or feel, or have endured in a way that lightens the weight on another’ and he continues by suggesting that attention always needs to be paid to two processes: being as authentic as you can be at all times with the client; and attending directly, in words and actions, to the business of each stage of the consulting process.

Among a plethora of practical advice for the consultant and the consulting process there are a number of particularly important points that are useful for this chapter. In keeping with the section on ‘Self as instrument’ on page 231, Block also highlights that you should be using your experience in the project within the organization as an important part of the data-gathering process:

The client manages you, the consultant, the same way the client manages other resources and people. If you want to understand the client’s management style, you simply have to observe how you are treated. Are you feeling controlled, listened to, supported, treated with respect or disdain? Are the decisions with the client collaborative or one-way? Is the client open to options or forever on one track? Your observations and experience about the client are valid data. Paying close attention to how you are managed by the client early in the project gives you more guidance on what to explore in determining how the technical business problem is being managed.

In addition he has wise words to keep you sane by adopting a number of stances:

- Choose learning over teaching – rather than step into the expert role of dispensing wisdom, endeavour to work collaboratively with members of the organizational system to facilitate their learning about how things work and their roles in the process.

- See learning as a social adventure – which requires the elements of doubt and risk and inquiry to be present, a mutual journey of discovery which is enabled by valuing ‘struggle over prescription, questions over answers, tensions over comfort, and capacities over needs and deficiencies’.
- Know the struggle is the solution – allow for the insight that perhaps there is not necessarily one or indeed any clear answer. Consulting around change will often involve looking at the tensions between choosing one thing over the other (more or less control, more or less centralization, for example). The solution emerges from grappling with the issues.
- See the question as more important than the answer – as Heifetz and Linsky (2002) observe, leaders don’t know all the answers, but they ask the right questions.
- Mine the moments of tension for insight – in the change process, when there is tension, conflict or resistance you should investigate more thoroughly the situation. The energy or lack of energy will tell you a lot about the organization and the changes.
- Focus on strengths rather than deficiencies – in the spirit of appreciative inquiry there is growing evidence that the more you focus on what is going right rather than what is wrong, and your strengths rather than your weaknesses, the more you’ll be able to leverage far more of the innate capabilities within the organization.
- Take responsibility for one another’s learning – which is another way of saying one needs to breed collaboration rather than competition in the system and proactively facilitate connection-making and organization-wide learning.
- Let each moment be an example of the destination – paraphrasing Mahatma Gandhi, Block is saying that if you are in the process of creating culture change, that moment-to-moment activity and being should reflect the culture that you wish to create. It is not just something that happens in the future, but in every action that you take.
- Include ourselves as learners – given the particular ‘take’ of this chapter, it is clear that one cannot enter into a change situation knowing all that needs to be done to ‘fix’ the situation. The change process itself is a learning process, and the change agent will be among those who might need to learn the most as actions are carried out and consequences are made, and the change agent reviews and reflects and learns to intervene in a different way.
- Be authentic – in the way we manage ourselves and in our connection to our clients.

## STOP AND THINK!

**Q 5.10** Jaap Boonstra, in *Dynamics of Organizational Change and Learning* (2004) asks a series of penetrating questions of change agents that help raise self-awareness, challenge assumptions, and identify potential areas for further growth and development.

Read through the list of questions below and see which ones you feel able to answer clearly and which ones you find difficult. Take time out to review and reflect and then note down your answers and, if necessary, draw up a plan to more fully address the issues that arise:

- Why am I working in the field of organizational change and learning?
- Towards what purpose am I working in change and learning?
- What are my assumptions about organizations, change, and learning?
- What kind of paradoxes and dilemmas do I experience when working in change management and how do I deal with them?
- How do I define success (and failure) in organizational change?
- What is my own theoretical framework and what are the implications for me and others I am working with?
- How do I relate to different theoretical frameworks?
- What are the principles that guide my choices and actions?
- How do I interact with senior management?
- What is the nature of my relationship with others in the field of change and learning?
- What roles do I prefer for change managers and consultants?
- How do I view power and resistance in change management?
- What power do I have, how do I use it, and what are the ethical values that guide my choices?
- What do interaction and communication mean for me in change and learning?
- How do I view the notion of participation in change and learning?
- How do I choose specific interventions and why some more often than others?
- What knowledge and added value to my profession do I have to offer?
- How can I contribute to sharing insights and knowledge with participants, practitioners, and scholars?

Adapted from Boonstra (2004)

These questions will repay further reflection during your next change project.

## Summary and conclusions

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Caldwell (2003) suggests there are four models of change agency:

- 1 leadership;
- 2 management;
- 3 consultancy; and
- 4 team.

The classical consulting process comprises various stages:

- 1 entry;
- 2 contracting;
- 3 diagnosis;
- 4 implementation; and
- 5 evaluation.

In the consulting process you may be asked to perform one of three roles:

- The Expert.
- The Extra Pair of Hands.
- The Collaborative Role.

You can perform these either as an internal or external agent, but be aware of the differences.

Block (2000) suggests that the two processes you need to always pay attention to are: being as authentic as you can be at all times with the client; and attending directly, in words and actions, to the business of each stage of the consulting process.

At each stage of the consulting process you need to ensure you have the necessary Interpersonal, Analytic, Personal and Project Management skills.

In order to intervene in a client system at an individual, team and organizational level you need to evaluate the culture and tailor your interventions to be either aligned or counter-culture. Frameworks to use may include:

- Change Kaleidoscope (Balogun and Hope Hailey, 2004)
- Goffee and Jones' *Character of the Corporation* (1998)
- Cameron and Quinn's *Competing Values Framework* (2011)
- The four organizational metaphors (Morgan, 2006)
- The change five paradigms (de Caluwé and Vermaak, 2004)

Areas of competency and skill for the change agent should include:

- organization behaviour;
- individual psychology;
- group dynamics;
- management and organization theory;
- research methods/statistics;
- comparative cultural perspectives;
- functional knowledge of business;
- organization design;
- organization research;
- system dynamics;
- history of organization development;
- theories and models of change;
- managing the consulting process;
- analysis/diagnosis;
- designing/choosing appropriate and relevant interventions;
- facilitation and process consultation;
- developing client capability;
- evaluating organization change.

For the deeper aspects of being a change agent you need to understand the importance of:

- overcoming organizational defences;
- using the self as an instrument;
- creating the holding environment;
- supervision and shadow consultancy.

# Part Two

## The applications

*Strategy is the pattern or plan that integrates an organization's major goals, policies and action sequences into a cohesive whole.*

JAMES QUINN (1980)

**I**n Part One we looked at change and the management of change from three different perspectives: the individual, the team and the organization. We also examined the roles, styles and skills needed to become a successful leader of change and a further chapter looked at the role of the change agent.

In Part Two we now look more closely at four different organizational change processes or applications, offering tips, frameworks and examples which illustrate how best to support change and apply tools and techniques in each of these different contexts:

- structural change;
- mergers and acquisitions;
- cultural change;
- digital transformation;
- becoming a sustainable business.

We look at what differentiates these changes, identify which approach to managing organizational change is the most relevant, look at the implications for change managers and leaders and give tips and resources for managers in these situations.

In this introduction we briefly review the strategic change process, identifying the elements that make a strategic change process successful.



## Strategic change process

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When we look at Figure II.1, or probably more realistically Figure II.2, we can see that typically the whole process begins with an internal or external trigger for change. In a way we compartmentalize the universe in order to make sense of it. This whole book is an attempt to make order out of the chaos we sometimes feel around change. It is very rare that anyone could say for sure that this change began on that particular day or at that particular meeting. But in our ideal universe these triggers for change make us take a long hard look at the market or industry we are in, examine our customer and stakeholder relationships, and scrutinize our organizational capability. And as a result we review where we want to be, how we want to get there and what we need to do to get there. We develop our new vision, mission and values.

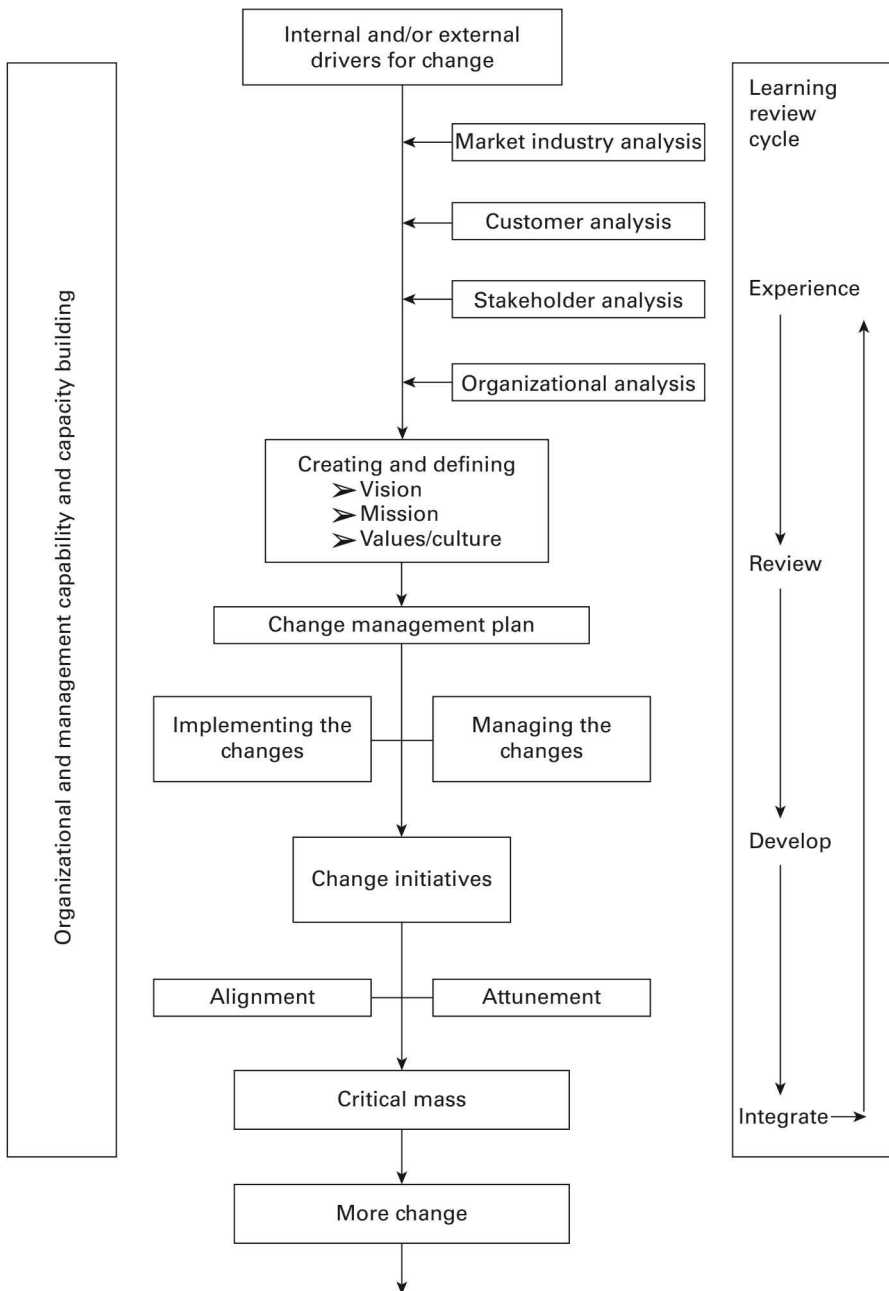
Now all sorts of changes may need to happen as a result of this exercise, but typically we will need to adjust one or all of the following:

- the organizational structure;
- the commercial approach;
- the organizational culture;
- the relevant processes.

## Overview of structure

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We tackle all five types of change identified above. In Chapter 6 we tackle structural changes head on. This is because we observe how many strategic changes result in structural changes, and we wanted to write something helpful about how to make this approach work well. Chapter 7 tackles mergers and acquisitions, and deals with change situations when competitors or suppliers (and indeed customers) are brought into the organization. Although it is not specifically addressed, many of the issues raised are pertinent to partnering as well. Chapter 8 focuses on cultural change, and specifically deals with: why culture is important; the key role of values; how to facilitate culture change; and emerging cultural trends. Chapter 9 looks at digital transformation, what's driving this, how to structure and lead this type of change, and what the risks are. Finally, Chapter 10 is focused on what's involved in building a sustainable business, how to direct and measure progress, and what type of leadership is required.

**Figure II.1** The strategic change process (1)



- 3 Critical mass** is vital. The aim of a change management plan is to develop momentum and build sustainability. This occurs when a sufficiently critical mass of people are aligned and in tune with senior management.
- 4 Building organizational capacity, capability and readiness.** Change management capacity and capability within organizations vary dramatically. Even organizations that seem to go through constant change do not necessarily have this as a key competency within their people. Our contention is that the more the senior management recognizes the need to develop this capability within itself and a significant proportion of its managers, the sooner change can become a way of life and not something to be feared, shunned and avoided.
- 5 Encouraging individual, team and organizational learning.** Change managers should be well supported with training and coaching if they are to be successful. Some succeed without this, but they are the exception. Usually the demands of implementing change, together with a need to keep the day-to-day requirements of the job going, mean that everything gets done in a rush, without pausing to review, develop or integrate. The habit is then set: managers hop from experience to experience without learning very much. Learning it clearly doesn't stop at an individual level. Mentoring, reviewing and feedback mechanisms help the change process and also build ongoing change capability.
- 6 Mindset.** The whole of the change process will operate within a certain mindset or prevailing culture. It is important to understand that all our observations, calculations and decisions will be influenced by the lens through which we look.

As you go through the following chapters, it may help to refer back to Figures II.1 and II.2 as you think through how each type of change can be achieved successfully as part of an organization-wide strategic change.

# 06

## Restructuring



*We trained hard. But it seemed that every time we were beginning to form into teams, we would be reorganized. I was to learn later in life that we tend to meet any new situation by reorganizing. And what a wonderful method it can be for creating the illusion of progress while producing confusion, inefficiency, and demoralization.*

GAIUS PETRONIUS ARBITER, *THE SATYRICON*,  
1ST CENTURY AD

These words, spoken two millennia ago, might be very familiar to some of you. They certainly are to us, and we believe they are as insightful now as they were then. However, even though these words have been much quoted, organizations do not necessarily take any notice of them!

Although some managers are now getting this process right, most people's experience of restructuring is negative. People often roll their eyes and say, 'Not again', 'It failed', 'Why didn't they manage it better?', and 'Why can't they leave us to just get on with the job?'

Restructuring as a theme for change might seem a little strange because restructuring as a key strategic objective is not particularly meaningful; surely we should be looking at the reasons behind the change. There are a number of important points here:

- It seems that restructuring becomes the solution to a variety of organizational issues, and in that sense we need to look at the restructuring process itself as it impacts on so many people's lives.
- Given that managers and staff are restructured so often, it is important to understand the dynamics of restructuring, what typically goes wrong and what a good process looks like.
- In our view restructuring should be the last option considered by management rather than the first. It is often a method for not addressing the organizational issues that it seeks to resolve.
- Many of the tools are useful in other change situations.

This chapter looks at:

- the reasons for restructuring;
- the restructuring processes:
  - strategic review and reasons for change;
  - critical success factors, design options and risk assessment;
  - learnings from previous projects and best practice;
  - project planning and project implementation;
  - monitoring and review;
- restructuring from an individual change perspective – the special case of redundancy;
- enabling teams to address organizational change.

In the UK the Chartered Institute of Personnel and Development (CIPD) is running an ongoing research project, 'Organising for Success in the 21st century' ([www.cipd.co.uk](http://www.cipd.co.uk)) looking at current and future themes of restructuring in organizations today. It stresses the importance to companies of this process:

[When] DuPont announced its reorganization in February 2002, its stock price rose 12 per cent, putting a valuation on the new organization design of \$7 billion (£4.5 billion). Less fortunate was the reception of Procter and Gamble's... launched in 1999 by the company's new chief executive, Durk Jager, this reorganization had a \$1.9 billion (£1.2 billion) budget over six years. Within 18 months, the perceived difficulties... had cost Jager his job.

On a macro level, the survey found that during the 1990s the top 50 UK companies moved from having on average one major reorganization every five years to having one every three years. On a micro level, individual managers had personally experienced seven reorganizations within their organizations. Not all of the seven were major organization-wide change, some were more local. Nonetheless managers encountered various challenges as a result: managing the changes within themselves, managing the changes within their staff, ensuring that both large-scale and minor changes were aligned to the wider organizational strategies, and last but by no means least, delivering on business as usual and ensuring staff were motivated to deliver on business as usual.

## Reasons for restructuring

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We are concerned in this chapter with the dynamics of change and restructuring, less so with why the organization or part thereof is being restructured. Restructuring can occur for numerous reasons:

- downsizing or rightsizing (market conditions or competitiveness);
- rationalization or cost-cutting (market conditions or competitiveness);
- efficiency or effectiveness (drive towards internal improvement);
- decentralization or centralization (drive towards internal improvement);
- flattening of the hierarchy (drive towards internal improvement);
- change in strategy (strategy implementation);
- merger or acquisition (strategy implementation);
- new product or service (strategy implementation);
- cultural change (strategy implementation);
- internal market re-alignment (strategy implementation);
- change of senior manager (leadership decision);
- internal or external crisis (unforeseen/unplanned change).

We believe that restructuring should only take place as a result of a change in strategy. It should have a clear rationale and should be done in conjunction with other parallel changes such as process change and culture change. Of course this is not always the case. Sometimes other events kick off restructuring processes, such as a new boss arriving, a process or product failure, an argument, a dissatisfied client or an underperforming person or department. In these cases it is sometimes difficult for employees to curb their cynicism when changes in structure seem to be a knee-jerk reaction that lacks direction, appears cosmetic and fails to lead to any real improvement.

We look at specific cases of restructuring such as mergers and acquisitions, cultural change and rebranding, and IT-based change in the other application chapters.

## The restructuring process

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Whereas some of the other change scenarios we discuss in this book are more problematic (for instance, culture change and merger/acquisition), on the surface a restructuring of the organization should be a relatively straightforward affair. If we recollect the organizational change metaphors, the restructure could be quite neatly placed into the machine metaphor.

The key beliefs of the machine metaphor are:

- Each employee should have only one line manager.
- Labour should be divided into specific roles.
- Each individual should be managed by objectives.

- Teams represent no more than the summation of individual efforts.
- Management should control and there should be employee discipline.

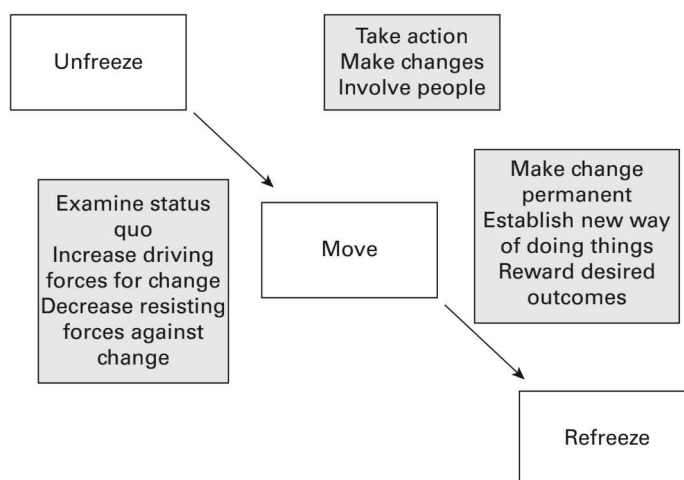
This leads to the following assumptions about organizational change:

- The organization can be changed to an agreed end state by those in positions of authority.
- There will be resistance, and this needs to be managed.

Change can be executed well if it is well planned and well controlled.

Within this metaphor we could perhaps draw on Kurt Lewin's three-step process of organizational change (see Figure 6.1). The first step involves unfreezing the current state of affairs. This means defining the current state, surfacing the driving and resisting forces and picturing a desired end state. The second step is about moving to a new state through participation and involvement. The third step focuses on refreezing and stabilizing the new state of affairs by setting policy, rewarding success and establishing new standards. Clearly an organizational restructuring process could follow this model. There is a current state that needs unfreezing and a perceived end state that is required. The main focus therefore is the need to ensure that movement between the former to the latter state is as smooth and quick as necessary.

**Figure 6.1** Lewin's three-step model



**SOURCE** Lewin (1951)



However, our experience when facilitating organizational change is that a restructuring process will not be successful if it is focused solely on generating organizational structure charts and project plans. It is disappointing to note that the CIPD research (CIPD, 2003) suggests that organizations typically devote much more time during restructuring to areas other than human resources. The finance and systems functions accounted for double the time and attention that HR issues received. Anyone managing or experiencing restructuring knows that there are many other factors to consider. The politics of the situation and the psychological needs of managers and staff play a key role. It is also important to ensure that the restructuring process is positioned as a framework to enable the organization to do something it has not done before, rather than simply as a tool for changing the structure around.

It is therefore useful to remind ourselves of Nadler and Tushman's congruence model, which derives from the political and organism metaphors. One of the key aspects of the congruence model is that if you change something in one part of the organizational system, the whole system and other component parts are affected. If you do not factor this into your change equation you may well face unintended consequences. For example, restructuring in one part of the organization means that people in other areas may well have to develop a whole new set of relationships. Very often little is done to communicate the changes, let alone actively work to foster new working relationships.

The authors have witnessed numerous restructures in a variety of public and private sector organizations, and have concluded that perhaps the best way to approach the restructuring process is as a mixture of the machine and organism metaphors. Beckhard and Harris' change formula (1983) is useful here:

$$C = [ABD] > X$$

C = Change

A = Level of dissatisfaction with the status quo

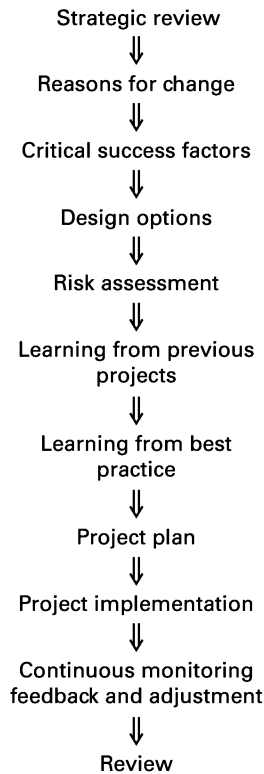
B = Desirability of the proposed change or end state

D = Practicality of the change (minimal risk and disruption)

X = 'Cost' of changing.

According to this formula, there are three important factors in any restructuring. First, the reasons, timing and rationale for the restructure must be made very clear. Second, the end goal or vision must be communicated in an appealing way. Third, the whole exercise must appear doable by being well planned and well implemented. For the majority of individuals the overwhelming experience is one of upheaval. The cost of changing is high. It is therefore imperative that the benefits are accentuated and then planned for in the most authentic and genuine way possible.

**Figure 6.2** A generic approach to restructuring



In Figure 6.2 we outline our generic approach to restructuring, which can be tailored to individual circumstances. We highlight areas of potential problems and also suggest ways of making it a more effective process.

### ***Strategic review and reasons for change***

Any attempt to restructure needs to have a clear communicable rationale. This will typically come from a review of strategy that highlights the need to address a specific issue relating to the internal or external business environment. In the CIPD research cited above, restructuring was often undertaken to improve customer responsiveness, gain market share or improve organizational efficiency. Key drivers in the private sector were ‘typically performance declines, mergers and acquisitions and a change of chief executive. In the public sector, key drivers are the need for new collaborations and legislative and regulatory change, though chief executive changes are again important.’

## ***Critical success factors***

Planning a structure requires the generation of critical success factors, design options and a risk assessment. The purpose of a restructure is to align the organization to better achieve its strategy. Critical success factors are important to define, because if they are met they will ensure success for the new structure and by implication the strategy. Although identification of these key factors is an important prerequisite to any restructuring, this task is not necessarily clear-cut. The factors themselves will depend on the organizational strategy, its culture, its market, its infrastructure and its internal processes.

In the box we give an example from a local government authority that needed to reorientate itself to have a much greater customer and citizen focus. One of the explicit strategies was to restructure the organization in a way that would dissolve the traditional departmental boundaries and their associated destructive tensions and unhelpful silo mentality.

### **CRITICAL SUCCESS FACTORS FOR A LOCAL AUTHORITY**

#### **Public service users (and relevant stakeholders), not providers, are the focus**

Will this structure result in clear, measurable deliverables to the customers and citizens?

To what extent have we consulted with our customers?

#### **New working relationships are accommodated such as community leadership, neighbourhood working and political management arrangements**

Does the structure reflect and support key changes in the political arrangements and thinking?

#### **A realistic interaction is demonstrated between policy planning in all its forms, business development and financial planning at every level**

Does the structure enable clear links between the different types of plans and the relevant timescales?

#### **Better prioritization of objectives and decision making on workloads and resourcing can take place**

Does the structure enable clarity around the authority's strategic objectives?

Are there linkages across the organization?

Is there clarity as to who is accountable for what?

Are there supporting processes that manage potentially conflicting priorities?

**Individuals are clear about their responsibilities and accountabilities and can act in an empowered way**

Does the structure enable better application of the performance management system?

Are individual and team development needs identified and resourced to meet business outcomes?

**A performance and feedback culture is developed across the organization, internally and externally**

Does the structure help strengthen the performance and feedback culture?

## Design options

Once it has been decided what factors it is important for the restructure to meet, it is important to demonstrate that these are better achieved through this structure rather than any other one.

Design options are the different ways in which the particular organization can be structured. It is not within the scope of this book to discuss in depth the different types of organizational structure – readers are encouraged to read an overview in *Organization Theory*, edited by D S Pugh (1990). However, we are interested not only in the general impact of restructuring but also in any specifics relating to a move from one type of structure to another. Miles and Snow (1984) detailed the evolution of organizational structure and its relationship to business strategy:



- an entrepreneurial structure when there is a single product or service, or local/regional markets;
- a functional structure when there is a limited, standardized product or service line, or regional/national markets;
- a divisional structure when there is a diversified, changing product or service line, or national/international markets;
- a matrix structure when there are standard and innovative products or services, or stable and changing markets;
- a dynamic network when there is the need for product or service design or global changing markets.

The majority of organizations are structured according to an entrepreneurial, functional, divisional or matrix structure. All have their advantages and their limitations, as outlined in Table 6.1.

Advantages and limitations of different types of organization structure

|            | Entrepreneurial                                                                          | Functional                                                                                              | Divisional by product, geography or both                                                                                                                                                                                                                                                                                      | Matrix                                                                                                                                                                                                                       |
|------------|------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|            | Organized around one central figure. Totally centralized; no division of responsibility. | Organized around tasks to be carried out. Centralized.                                                  | Divisions likely to be profit centres and may be seen as strategic business units for planning and control purposes.<br><br>Divisions/business units headed by general managers who have responsibility for their own resources.<br><br>Decentralized.                                                                        | Double definition of profit centres.<br><br>Permanent and full control of operating units – though one generally more powerful than the other.<br><br>Authority and accountability defined in terms of particular decisions. |
| Advantages | Simple companies in early stages of their development.                                   | Small companies, few plants, limited product or service diversity.<br><br>Relatively stable situations. | Growing in size and complexity.<br><br>Appropriate divisional/business splits exist.<br><br>Organizations growing through mergers and acquisition.<br><br>Turbulent environments.<br><br>When producing a number of different products or services.<br><br>Geographic splits with cultural distinctions in company's markets. | Large multi-product multinational companies with significant interrelationships and interdependencies.<br><br>Small sophisticated companies.                                                                                 |

|                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                           |
|------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>es</b> Enables the founder, who has a logical or intuitive grasp of the business, to control its early growth and development.</p> | <p>Controlled by strategic leaders/chief executive.<br/>Relatively low overheads.<br/>Efficient.<br/>Clearly delineated external relationships.<br/>Specialist managers develop expertise.<br/>Relatively simple lines of control.<br/>Can promote competitive advantage through the functions.</p>                                                                                                                                                                                                     | <p>Spreads profit responsibility.<br/>Enables evaluation of contributions of various activities.<br/>Motivates managers and facilitates development of both specialists and generalists.<br/>Enables adaptive change.<br/>CEO concentrates on corporate strategy.<br/>Growth through acquisition easier.<br/>Can be entrepreneurial.<br/>Divestment can be managed more easily.</p>                                                                                    | <p>Decisions can be made locally, decentralizing a large corporation might otherwise be bureaucratic.<br/>Optimum use of resources – and hence informed decision making reconciling conflicting interests of the organization.<br/>Enables control of growth and increasing complexity.<br/>Opportunities for management development.</p> |
| <p><b>ns</b> Founder may have insufficient knowledge in certain areas.<br/><br/>Only appropriate up to a certain size.</p>               | <p>Succession problems – specialists not generalists are created.<br/>Unlikely to be entrepreneurial or adaptive.<br/>Profit responsibility exclusively with CEO.<br/>Becomes stretched by growth and product diversification.<br/>Functional managers may concentrate on short-term routine activities at the expense of longer-term strategic developments.<br/>Problems of ensuring coordination between functions – rivalry may develop.<br/>Functional experts may seek to build mini-empires.</p> | <p>Conflict between divisions for resources.<br/>Possible confusion over locus of responsibility (local or head office).<br/>Duplication of efforts and resources.<br/>Divisions may think short-term and concentrate on profits.<br/>Divisions may be of different sizes and some may grow very large.<br/>Evaluation of relative performances may be difficult.<br/>Coordination of interdependent divisions and establishing transfer pricing may be difficult.</p> | <p>Difficult to implement.<br/>Dual responsibility may cause confusion.<br/>Accounting and control difficulties.<br/>Potential conflict between the two wings, with the latter generally more powerful.<br/>High overhead costs.<br/>Decision making slow.</p>                                                                            |

## ***Risk assessment***

As you can detect from the limitations described for each of the organizational structures, there are risks attached to the restructuring process. Those identified here are obviously generic risks; however, each organization will need to identify the specific risks associated with moving from one structure to another. The management therefore needs to understand fully the nature of these risks. As a concrete example we have included in the box excerpts from a risk assessment generated for a medium-sized company that had decided to move from a function-oriented organization to a divisionalized structure incorporating five product-based business units together with a centralized 'shared services' and financial control unit.

### **RISKS OF NEW STRUCTURE**

#### **Structure and interdependencies**

Business unit structures will require some level of consistency (shape, size, roles and responsibilities, reporting lines, etc) among themselves to ensure that they can be adequately serviced from the centre.

Being very clear about the boundaries of the businesses we are in. That is, boundaries of the markets and boundaries between the business units.

There needs to be clarity of role and responsibility between the central services, shared services and business units.

#### **Shared services/central service effectiveness**

Shared services and, to a slightly lesser degree, central services need to be closely aligned culturally and process-wise with the business units that they interact with, to encourage efficient and effective management across the boundary.

How support services are devolved, shared and centralized requires careful planning to ensure cost-effective, efficient and productive functions.

#### **Corporate identity**

The corporate identity will be dissipated and may not be replaced.

In some areas staff's 'affinity' will be significantly diminished – how can this be managed?

#### **Synergies**

Synergies may be harder to exploit (eg deploying e-commerce solutions across business units).

**Cost**

Costs are likely to increase if we move to devolved support functions – what are the specific proposals that will increase income?

Cost inefficiency is a risk – the structure will inevitably lead to some duplication of costs across the business units. The structure is not ideal from a cost point of view.

**Root cause**

We may not address some true causes of problems that we have by thinking that we are dealing with them by restructuring.

The task for the management team was to generate an honest list, assess the degree of risk (probability × impact) and agree actions to minimize the risks. In addition, and as an example of good practice, a risk assessment was also completed for the process of managing the change as well as the changes themselves, as listed in the box.

**RISKS INHERENT IN MANAGING CHANGE****Management of change**

The organization will spend another six months to a year with the ‘eye off the ball’.

There is a lack of change/implementation expertise and skills.

The executive management team tends to get ‘bored with the detail’ quickly and therefore may lose interest and impetus and let both the transition and the transformation peter out.

**Communications**

Staff may see this as ‘yet another restructure’ not tackling the real problems, and therefore become demotivated.

**People**

We need to ensure the best people possible for each job. We need to ensure that we keep the people we want to keep.



### **Management of synergies**

Loss of knowledge – we need to capture and transfer knowledge of, for example, strategy formulation and implementation.

We need to ensure best practice in one part of the company is transferred across the company.

### **Roles, responsibilities and interdependencies**

Risk of business units declaring 'UDI' and not fully engaging with central services and company-wide issues.

We need to ensure those in the centre are motivated and their performance measured. We need to establish levers other than the policeman role and the threat of regulators, etc.

## ***Learning from previous projects and best practice***

Clearly you do not have to reinvent the wheel when it comes to restructuring. Given the propensity for restructuring that most organizations have, you and your colleagues will have a reservoir of knowledge as to what has worked before. You will also know quite a lot about what has not worked! Now is the time to check back to see what the learnings are from previous change projects. If your organization has not formally retained this knowledge, a requisite variety of managers and staff can quite easily generate such a list. We include an example list (see box). The headings are the central themes that emerged during the session. These were the most relevant issues for the organization under review. Yours might well be different.

In terms of best practice there are many resources: this book for example, a wide range of literature, professional bodies and consultancy firms. It is important to get the right balance between what has worked elsewhere and what will work in your organization. And there is no guaranteed formula for that.

## **LEARNINGS FROM PREVIOUS CHANGE PROJECTS**

### **Change management/project management**

#### ***Preparation***

Utilize previous learning from projects.

Check for false assumptions.

Always, always do a potential problem analysis.

Look for design faults at an early stage and throughout.

Significant top-level commitment.

### ***Communication***

Induction for all in the change.

Ensure earliest possible involvement of stakeholders.

Take the board with you.

Ensure cohesion across organization.

Harness energy and enthusiasm across organization.

### ***Objectives***

Lack of focus produces failures.

Link the hard and soft interventions and measures.

Have clear objectives.

Differentiate between the what and the how.

Specific behaviour objectives help.

### ***Implementation***

It helps to have people who have been through similar projects before.

Network of people and resources.

Dedicated project management.

Multidisciplinary approach.

Build the change management team.

### ***Monitoring***

Build in a process of automatic review.

Always evaluate, financially and otherwise.

To ensure sustainability, have follow-through.

### ***Leadership and strategy***

Vision, mission and values need to be overt, obvious, communicated and followed.

Ensure alignment to strategy.

**People**

Don't let line managers duck the issues – build responsibilities and accountabilities into the process.

Requires involvement of people – as part of buy-in, and they can actually help!

Requires communication with people.

Be honest with people.

All the new teams need to be motivated and built.

Get the right people in the right jobs.

**Profitability**

Always cost the initiative.

Be clear where the value is added.

Separate infrastructure investment from return on investment.

Check for false assumptions.

***Project planning and project implementation*****Leadership**

The restructuring process can create considerable turbulence within an organization, its managers and its staff. In the box is a copy of a note to a chief executive shortly after a restructuring process had begun. It clearly identifies the state of confusion that people throughout the organization were experiencing.

**MEMO TO CEO DESCRIBING THE EFFECT OF CHANGE ON STAFF**

People were still very much in the throes of the changes – many clearly still affected on an emotional level by the restructuring process and all highlighting areas that need clarifying going forward.

People thought that there was a tremendous energy surrounding the changes – seeing lots of activity and lots of change being managed at a rapid pace. The downside to this was the sense that it was too fast and out of control, certainly outside of their control.

The majority of people felt positive at the ideas introduced at a high level by the strategy. Some saw it as new and exciting, others as providing one clear direction and having a certain theoretical clarity. However, the overwhelming feeling was a sense that while the Vision was fine, there was a real lack of clarity around how it would be translated into a living workable strategy. They needed something not only motivating to aim for but also something quite specific.

Coupled with people's sense of the pace of change, many reported that not only was the direction somewhat hazy, but they saw different managers going off in different directions.

There was a certain resignation to the fact that the organization was going round and round – a 'here we go again' attitude – a sense that they had been here before and wondering whether this time would be any different.

They recognized that the direction might be clearer from the top; perhaps they were not in the right place to be seeing the bigger picture. Some people complained of having too little information, while others complained of having too much information. Although one could say that staff going through change may never be satisfied – or that management will always get it wrong (damned if you do, damned if you don't) – the key question is 'How do we deliver the right message, at the right time, to the right people, through the right medium?'

Coupled with this theme of communication was the perceived need to provide answers to the many questions people have when they are experiencing (psychologically) the chaos of change. Often people were left with no one to ask, or asking questions of managers who either didn't know or were themselves preoccupied with their own reactions to changes they were going through.

In summary, and from an emotional perspective, the effect of combining the various themes described above is quite a heady one. People have reported feelings of being lost and confused, anxious and worried, degrees of uncertainty and puzzlement, an inability to piece the jigsaw together and, to some, the tremendous strain of having to wait while the changes were revealed. Points to note here include the feeling of having no control over their destiny and also watching as others (often their managers) were suffering the traumatic effects of the changes which they themselves might have to suffer at some stage.

This is often at the very time that 'business as usual' efforts need to be redoubled. The tasks of those leading the restructure are to ensure that business as usual continues; that people are readied for operating within the new structure; and that the transition from the old structure to the new is smooth and timely.

Attention to both the task and people sides of the process is imperative. Depending on people's predisposition, normally one will take precedence over the other. There

is a need to ensure that plans are in place for all the necessary processes that are part of the change:

- communication plans: what, to whom, when and how;
- selection/recruitment plans: clear guidelines for both those undergoing selection, their managers and interested onlookers. These should include criteria for selection, information about the process, timescales and rationale behind the process;
- contingency plans: necessary if key people are unavailable at critical times or if timescales look like slipping.

## Future direction and strategy

For many people the strategy and future direction behind a restructure are hazy. This is very often a case of too much vision and not enough pragmatism, but sometimes a case of too much pragmatism and not enough vision! A balance is needed.

In any restructure it is imperative to describe a positive future as well as to explain fully the rationale behind it, how it links to the strategy, how it will work in practice, how it differs from what went before, how it is better than what went before and what the benefits will be from it.

## Communication

Communication in any change is absolutely essential. However, communications are often variable. There is sometimes too much communication, but more often too little too late. An added problem is communication by e-mail. This is such a useful mechanism when managers need large numbers of people to receive the same information at the same time, but it is so impersonal and so heartless when delivering messages of an emotional and potentially threatening nature.

A more tailored or personalized approach is better. The greater the access to people who know the answers to the important questions, the better. It is useful to compile and communicate FAQs (frequently asked questions) but do not expect this to be the end of the story. Just because you think you have told someone something it does not mean to say he or she has heard it, assimilated it or believed it. People do strange things under stress, like not listening. And they need to see the whites of your eyes when you respond!

Key questions in people's minds will be:

- What is the purpose of the restructure?
- How will it operate in practice?
- Who will be affected and how?
- What are the steps along the way, including milestones and timescales?
- How will new posts be filled and people selected?

- What happens to the others?
- Where do you go to get help and how do you get involved?
- What is the new structure and what are the new roles?
- What new behaviours will be required?
- Will training and development be provided?

Communication needs to be well planned, and these plans need to be clear about how to get the right information to the right people at the right time through the right medium (for the recipient). This includes well-presented briefing notes for managers if they are to be the channel for further communication. It is also worth checking for understanding before these messengers are required to communicate the message.

Change in any form can trigger a number of emotional responses. If the messages can be personalized the recipient is more likely to receive them in a positive frame of mind. Personalized messages such as face-to-face and one-to-one communications are especially relevant when an individual may be adversely affected by the change.

Different communities of interest have different needs when it comes to communications. Some people will need to be involved, some consulted and some told. It is important that the right people get the appropriate level of communication. It is important for them and it is important for those around them. If your manager is seen to be ignored, what does it say about the value of your work section?

Thought needs to be given to the recipients of the communication. Those responsible for communicating need to ask:

- What are their needs for information?
- What is their preferred form of communication?
- When is the best time for them to be communicated with?

For example, people in a contact centre may not have the time to read endlessly long e-mails informing them of changes in other parts of the business. However, they would probably like to be told face-to-face of events that will involve changes to their management structure, or the introduction of a new way of working.

To prevent the rumour mill growing it is important that communication is timely, and reaches each of the chosen communities at the agreed time. Start-stop-start again communications do not help either. A continuing flow of communication will engender more confidence in the change process.

## Implementation process

The complexity of the restructuring task is often underestimated. Timescales are often not met. Staff directly affected by the change and potentially facing redundancy are subjected to undue stress because the whole process takes too long to complete.



Managing people's expectations is key. If you announce a plan, it needs to be adhered to, or changes to the plan clearly communicated.

### Supporting mechanisms

To make the restructuring as smooth as possible and ensure that the new structure gets up and running quickly, a number of support mechanisms need to be in place.

**Visible managerial support** A key response of people going through the process is that their management was often ineffectual at managing change during this period. This is not necessarily the manager's fault. Many experience having to go through a selection process themselves, many

do not seem to get adequately briefed as to the nature of the changes, and some either lose their jobs or get appointed to new positions and so do not or cannot provide the necessary support through change.

Management styles across an organization can also be variable. Often there is a reduced rather than increased management visibility at these times.

People can see a restructure as just that – a change in structure, rather than an internal realignment that would help them and the business focus on, for example, their customers and with a different way of doing things. It is the role of the manager to translate the purpose of the restructure into an understandable and viable way of doing things differently.

**Continued communication of the purpose** There needs to be an ongoing planned and 'personalized' communication programme to ensure the right people get the right information at the right time in the right format for them. People need to be told and involved in how the organization will be operating differently in the future. In these two-way communications staff and managers' perspectives need to be listened to and, where valid, they need to be addressed.

**Clear selection process** During any selection process certain things need to be in place: first, a selection process plan that is agreed, is sensible, has an inner integrity, is consistent, equitable and scheduled; and second, clear guidelines for those undergoing selection, their managers and interested onlookers. These should include criteria for selection, information about the process, timescales, and the rationale behind the process.

**Senior management attention** In most instances where senior management are involved, their presence is generally appreciated, even if the restructure is perceived as a negative change. The more people see the commitment of senior management the better; by attending meetings, visiting departments, branches or contact centres to explain the rationale, and facing the staff.

### Constructive consultation

Different organizations will have different ways of involving staff in changes. We believe that if middle managers and staff have a say in the planning of change, some of the inconsistencies and incongruities emerging from the change are picked up and addressed at a much earlier stage. If there is more input and involvement at an earlier stage from those managers who have a responsibility to manage the changes, this too has an impact on the success of the change.

### *Monitoring and review*

Monitoring and review is not something just to be done at the end of the process and written up for the next time. If you have adopted the machine approach to restructuring, perhaps you may think that once the plan is in place, all it needs is a robotic implementation. Of course organizations are not entirely mechanistic, and individuals and groups going through change can react in all sorts of ways. The restructuring plan needs to be monitored constantly to see how both the task and people aspects of the plan are progressing. Feedback loops need to be built into the plan so that senior managers and those responsible for implementation have their fingers on the pulse of the organization.

In our discussion of individual change (see Chapter 1) we remarked that a certain amount of resistance to proposed changes is to be expected. Just because people resist change does not mean to say that you are doing it wrong! It is a natural, healthy human reaction for individuals and groups to express both positive and negative emotions about change. Managers can help this process along by encouraging straight talk.

Also, just because people resist change it does not mean to say that they have got it wrong! They might well see gaps and overlaps, or things that just are not going to work. Listening to the people who will have to make the new structure work is not only a nice thing to do, it is useful and constitutes effective use of management time.

The process of monitoring and review should begin at the planning stage and be an important part of the whole process, right through to the point where you evaluate the effectiveness of the new structure in the months and years after implementation.



## Restructuring from an individual change perspective: the special case of redundancy



This section looks at redundancy and how it affects those made redundant and those who survive. David Noer spent many years working with individuals in organizations and supporting them through change. He has captured much of this experience in his book, *Healing the Wounds: Overcoming the trauma of layoffs and revitalizing downsized organizations* (1993). Although, as the title suggests, the book is primarily focused on redundancy, there is much of benefit to anyone who wants to tackle organizational change and change management. The recent recession has resulted in a new spate of redundancies, initially in the private sector but increasingly within the public sector.

Noer's research is useful for illuminating the short-, medium- and long-term impact of change. He also suggests how a manager can intervene on a number of levels to help smooth and perhaps quicken the change process.

Table 6.2 looks at the individual and organizational short- to long-term impact that redundancy can have. Many of these feelings are not necessarily disclosed: some

**Table 6.2** The individual and organizational short- to long-term impact of redundancy

|                             | Individual impact                                                                                                                                                            | Organizational impact                                                                                                                                                                                                                    |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Short to medium term</b> | Psychological contract broken<br>Job insecurity<br>Unfairness<br>Distrust and sense of betrayal<br>Depression, stress, fatigue<br>Wanting it to be over<br>Guilt<br>Optimism | Reduced risk taking<br>Reduced motivation<br>Lack of management credibility<br>Increased short-termism<br>Dissatisfaction with planning and communication<br>Anger over the process<br>Sense of permanent change<br>Continued commitment |
| <b>Medium to long term</b>  | Insecurity<br>Sadness<br>Anxiety<br>Fear<br>Numbness<br>Resignation<br>Depression, stress, fatigue                                                                           | Extra workload<br>Decreased motivation<br>Loyalty to job but not to company<br>Increased self-reliance<br>Sense of unfairness regarding top management pay and severance                                                                 |

**SOURCE** Summarized from Noer (1993). Reprinted by permission of Jossey-Bass

**Table 6.3** Disclosed and undisclosed feelings about redundancy

| Feelings         | Disclosed                                                                                                        | Undisclosed                                                                               |
|------------------|------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| <b>Held in</b>   | Fear, insecurity and uncertainty. Easier to identify and found in every redundancy situation.                    | Sadness, depression and guilt. Often not acknowledged and hidden behind group bravado.    |
| <b>Acted out</b> | Unfairness, betrayal and distrust. Often acted out through blaming others and constant requests for information. | Frustration, resentment and anger. Often not openly expressed but leak out in other ways. |

**SOURCE** Summarized from Noer (1993). Reprinted by permission of Jossey-Bass

are acted upon, others just experienced internally but with a clear effect on morale and motivation. Table 6.3 suggests a breakdown of what feelings are disclosed and undisclosed. You might notice that many of the feelings found among those going through this process are precisely the same ones that Kübler-Ross described in her work on the change curve (1969).

### ***Dealing with redundancy: Noer's model***

Noer sees interventions at four different levels when dealing with redundancy in an organizational context. Most managers only progress to level one, whereas Noer suggests that managers need to work with their people at all four levels (see Figure 6.3).

#### **Level one: getting the implementation process right**

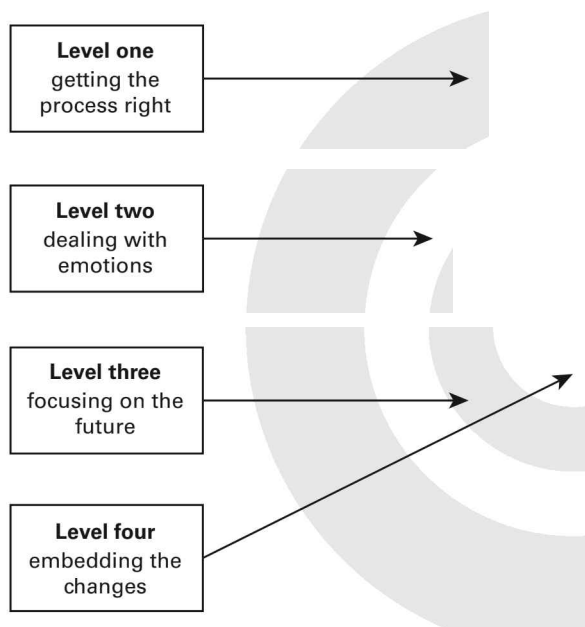
Level one interventions are all about getting the process of change right. In any change process there needs to be a good level of efficient and effective management. This includes a communication strategy and a process that is in line with organizational values.

Noer suggests that once the decision is made to effect redundancies, it needs to be done cleanly and with compassion. This requires open communication – ‘over-communicating is better than under-communicating’ – emotional honesty and authenticity.

Although this is just level one, it is hard to get it absolutely right!

#### **Level two: dealing with emotions**

Once you have attended to getting the task process right, the next level is getting the emotional process right. This involves dealing with the disclosed and undisclosed feelings mentioned above. Let us be frank: a lot of people are not very good at this. For many, allowing the release of emotions and negative thoughts about the situation feels like they are opening a hornet's nest. Managers need some support and a considerable amount of self-awareness if they are to handle this well.

**Figure 6.3** Noer's four-level redundancy intervention model

**SOURCE** Noer (1993)

There are many ways that managers can facilitate this process, with either one-to-one meetings or team meetings.

This level is about 'allowing time for expressions of feelings about the situation plus implications for the future and next steps for moving on'.

### Level three: focusing on the future

The change curve indicates that a period of inner focus is followed by a period of outward focus. Noer's research suggests that once levels one and two have been dealt with, the organization now needs to focus on those surviving the redundancy. This is aimed at 'recapturing' their sense of self-control, empowerment and self-esteem. Those who have been made redundant need to go through a process of regaining their self-worth and focusing on their strengths; those remaining need to do the same.

There should be plenty of organizational imperatives for this to happen! But once again, let it be a considered approach rather than haphazard. The organization would not have gone through the changes that it has without a clear need to do so. It remains to those left to address that need – be it cost-efficiency, productivity, culture change or merger. The more that individuals and teams can be involved in

shaping the organization's future, the greater will be the engagement and commitment, and the greater the chances of success.

### Level four: embedding the changes

Level four interventions occur at a whole-system level. One option – the *laissez-faire* or reactive one – is to pretend that nothing much has changed. In terms of Satir's model, as described by Weinberg (1997), the organization can fail to really address or redress the situation. It could:

- try to reject foreign elements;
- try to accommodate foreign elements in its old model;
- try to transform the old model to receive foreign elements, but fail.

Any of these options creates a scenario in which the changes are not sustainable. Noer suggests embedding any changes made into the new way of working. This includes:

- creating structural systems and processes that treat and/or prevent survivor syndrome symptoms;
- redefining the psychological contract – being clear about what the new deal now is between employer and employee;
- enacting and embodying the new culture and its values if that is one of the stated objectives;
- ensuring all HR practices and management style are aligned with the espoused culture.

Key lessons that Noer teaches us are:

- to address change on both the task and people level;
- to pay attention, not only to what individuals and groups are going through now, but also the tasks necessary to move the organization along; to use these tasks to engage people as they come out of the more negative aspects of the change curve;
- to take the opportunity of the turbulence of the situation to embed in the organization those structures, systems and processes that will be necessary to sustain the changes in the longer term.

## Enabling teams to address organizational change

---

Teams are often strongly impacted by restructuring processes. Their composition changes, or they have a new leader, or maybe they have a new purpose. There needs

to be a process for quickly establishing individual and team roles, responsibilities and priorities.

Issues that teams and groups have to contend with during periods of organizational change brought about by restructuring include:

- loss of individual roles and jobs;
- new individual roles and jobs;
- loss of team members;
- new team members;
- new team purpose and objectives;
- new line manager;
- new organizational or departmental strategy.



Any of these can cause individual members of a team, or the team as a whole, to experience a range of emotions and new ways of thinking about their organization, their colleagues and their own career.

Teams need to develop so that their contribution to the organizational changes can be as good as possible as quickly as possible.

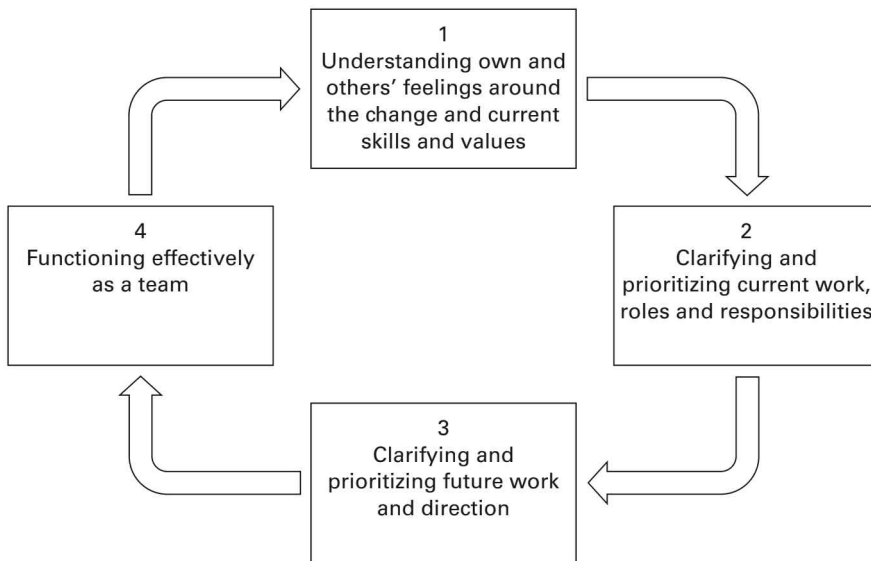
From our consultancy experience we find one particular framework useful for newly restructured teams. This framework (see Figure 6.4) encompasses a number of the issues we have highlighted. We encourage teams to work through the four-part framework in order to establish

quickly the sense of team cohesion necessary for tasks to be accomplished in a meaningful and collaborative way. This is best done in a workshop format.

We have found that if a team spends time to focus both on the people and task side of this process, it will be able to deal with the transition less turbulently than one that has not.

## **Four-stage team alignment**

- 1 *Understanding one another's skills, feelings and values.* It is useful for the team to acknowledge its own journey to where it is today. This means talking about the individuals, the team and other influential parts of the organization, and the processes of change that have been gone through to arrive at the current situation.

**Figure 6.4** The four-stage team alignment model

How much of this it is necessary to acknowledge will depend upon the scale of change and the story so far.

- 2** *Clarifying and prioritizing current work.* The team needs to clarify the current level of demand, and must work together to satisfy current customer needs.
- 3** *Clarifying and prioritizing future work and direction.* If teams are facing a large change agenda, they can easily become overwhelmed unless activities are phased and planned. Do-ability must be convincing. Teams need to take stock of their current agenda, ensure it is understood, and agree priorities, responsibilities and timing.
- 4** *Functioning effectively as a team.* The impact of stages 1 to 3 can be extremely demanding on a team. The team needs to develop clarity about its roles, dynamics, practicalities of meetings, phasing of its development activities, communication and follow-through. Most teams will have deficiencies and development needs in one or more areas. Teams need to assess where they need to improve and focus on those areas as a priority.

The specific outcome of this process for individuals and teams is greater clarity about the practical changes that need to happen and how necessary transformations can be managed.

You will have seen from the chapters on individual and team change that all individuals and teams undergoing change will progress through various stages. The

four-stage team alignment model above attempts to address some of the key points from those chapters. Table 6.4 brings all the key team factors together as a useful reference.

## Conclusion

Restructuring is an ever-present phenomenon in today’s organizations, and the process itself can be deeply unrewarding for those who initiate and those who experience it. We have drawn together ideas in Table 6.4, from both a task and a people perspective, which will increase the chances of achieving a smoother journey. However, it must be emphasized that turbulence is one thing you will not avoid. How you manage it will be the test of how well you can lead change.

**Table 6.4** Addressing team change during restructuring

|              | Forming                                                                    |                                                                                                                        | Storming                                                                           |                                                                                                                                            |
|--------------|----------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
|              | Task<br>(orientation)                                                      | People<br>(dependency)                                                                                                 | Task<br>(organization)                                                             | People<br>(conflict)                                                                                                                       |
| Team purpose | Establish purpose of change and team objectives in relation to change.     | Ensure understanding and commitment from team around change purpose on an intellectual and emotional level.            | Ensure clarity around purpose of change and team objectives in relation to change. | Check out individual purpose engagement to enrolment, enlistment, compliance, resistance. Discuss differences.                             |
| Team roles   | Establish roles and responsibilities of whole team and individual members. | Ensure individuals understand their roles and those of others. Establish whether there are any overlaps or grey areas. | Ensure clarity of roles and responsibilities of whole team and individual members. | Establish degree of comfort with individual roles and establish levels of support and challenge required. Highlight areas of team tension. |

(continued)

**Table 6.4** (Continued)

|                             | <b>Forming</b>                                                                      |                                                                                                            | <b>Storming</b>                                                                                        |                                                                                               |
|-----------------------------|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
|                             | <b>Task<br/>(orientation)</b>                                                       | <b>People<br/>(dependency)</b>                                                                             | <b>Task<br/>(organization)</b>                                                                         | <b>People<br/>(conflict)</b>                                                                  |
| <b>Team processes</b>       | Highlight the need for team processes.                                              | Establish ground rules for team working.                                                                   | Establish processes for decision making, problem solving, conflict resolution if not already in place. | Check out levels of trust and agreement. Surface areas of team tension.                       |
| <b>Team relations</b>       | Highlight the need for team processes.                                              | Establish ground rules for team working.                                                                   | Ensure team is agreed on purpose, objectives, roles and processes.                                     | Build safe environment for team to openly express thoughts and feelings.                      |
| <b>Inter-team relations</b> | Establish dependencies on and with other organizational groupings.                  | Highlight the need to establish protocols with key organizational groupings.                               | Establish process for communicating with other organizational groupings.                               | Engage with other groupings on how they will work together.                                   |
| <b>MBTI™*</b>               | Ensure balance between high-level vision and more tangible and specific objectives. | Balance between acknowledging the business case for the change and individuals' feelings about the change. | Ensure balance between tying agreements down and keeping options open.                                 | Ensure that different types are understood and potential pitfalls and communication barriers. |
| <b>Key Belbin roles</b>     | Co-ordinator, shaper, plant, implementer.                                           | Co-ordinator, team worker.                                                                                 | Co-ordinator, resource investigator.                                                                   | Co-ordinator, team worker, monitor-evaluator.                                                 |
| <b>Organizational focus</b> | Ensure alignment of team goals to organizational change objectives.                 | Ensure team members engage on an intellectual and emotional level with organizational goals.               | Ensure team structure, roles and responsibilities fit with proposed changes and organizational ethos.  | Ensure commitment to organizational goals and operating in line with values.                  |

(continued)



**Table 6.4** (Continued)

|                             | Norming                                                              |                                                                                                 | Performing                                                                                            |                                                                                                     |
|-----------------------------|----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
|                             | Task<br>(orientation)                                                | People<br>(dependency)                                                                          | Task<br>(organization)                                                                                | People<br>(conflict)                                                                                |
| <b>Team purpose</b>         | Review progress on team purpose and objectives; adjust as necessary. | Review progress; recognize achievement.                                                         | Review progress on team purpose and objectives; adjust as necessary.                                  | Review team performance against purpose; recommit as necessary.                                     |
| <b>Team roles</b>           | Review roles and responsibilities; adjust as necessary.              | Review progress; recognize achievements and development areas.                                  | Review roles and responsibilities; adjust as necessary. Develop strategies for improving performance. | Review individual role performance and structure; recognize achievement and provide development.    |
| <b>Team processes</b>       | Review team processes; adjust as necessary.                          | Review team processes; adjust as necessary.                                                     | Review team processes; adjust as necessary. Develop strategies for improving performance.             | Review level of team efficiency; adjust as necessary. Develop strategies for improving performance. |
| <b>Team relations</b>       | Review team relations; attend to if necessary.                       | Review progress; recognize achievement.                                                         | Review team relations; attend to if necessary. Develop strategies for improving performance.          | Reflect upon level of team effectiveness. Develop strategies for improving performance.             |
| <b>Inter-team relations</b> | Review level of inter-team working; plan negotiations if necessary.  | Review level of inter-team working; engage others in negotiating better relations if necessary. | Implement actions from review if necessary. Develop strategies for improving performance.             | Continue to foster good working relations with other organizational groupings.                      |

(continued)

**Table 6.4** (Continued)

|                             | Norming                                                                                                                                 |                                                                              | Performing                                                                   |                                                                                       |
|-----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
|                             | Task<br>(orientation)                                                                                                                   | People<br>(dependency)                                                       | Task<br>(organization)                                                       | People<br>(conflict)                                                                  |
| <b>MBTI™ *</b>              | Review predominate team type; take appropriate managerial action, if necessary.                                                         | Review team strengths and weaknesses and develop blind spots.                | Balance time between reviewing past performance and planning future changes. | Balance time between individual and team needs, past performance and future planning. |
| <b>Key Belbin roles</b>     | Monitor-evaluator, shaper, implementer, completer-finisher.                                                                             | Co-ordinator, monitor-evaluator, team worker.                                | Shaper (plant), monitor-evaluator, completer-finisher.                       | Co-ordinator, monitor-evaluator, team worker.                                         |
| <b>Organizational focus</b> | As team begins to experience less turbulence, review alignment with organizational goals and check team performance against milestones. | Ensure team model values and espoused behaviours within and outside of team. | Ensure team in all of its five elements is performing at an effective level. | Ensure team is operating effectively across organizational boundaries.                |

\* MBTI™ = Myers-Briggs Type Indicator™

# 07

## Mergers and acquisitions

This chapter addresses the specific change scenario of tackling a merger or an acquisition. We pose the following questions:

- Why do organizations get involved in mergers and acquisitions (M&As)? Are there different aims and therefore different tactics involved in making this type of activity work?



- M&A activity has been very high over the last 15 years, and on a global scale. We must have learnt something from all this activity. What are the conclusions?
- Can the theory of change in individuals, groups and organizations be used to increase the success rate of M&As, and if so, how can it be applied?

The chapter has the following four sections:

- 1 the purpose of M&A activity;
- 2 lessons from research into successful and unsuccessful M&As;
- 3 applying the change theory: guidelines for leaders;
- 4 conclusions.

### The purpose of merger and acquisition activity

---

We begin with a short history of M&As. It is useful to track the changes in direction that M&A activity has gone through over the last 100 years to achieve a sense of perspective on the different strategies employed. Gaughan (2010) refers to six waves of M&A activity since 1897 (see box).

## THE SIX WAVES OF MERGER AND ACQUISITION ACTIVITY

First wave (1897–1904): *horizontal* combinations and *consolidations* of several industries, US dominated.

Second wave (1916–29): mainly *horizontal* deals, but also many *vertical* deals, US dominated.

Third wave (1965–69): the *conglomerate* era involving acquisition of companies in different industries.

Fourth wave (1981–89): the era of the *corporate raider*, financed by junk bonds.

Fifth wave (1992–2001): larger *mega mergers*, more activity in Europe and Asia. More *strategic* mergers designed to complement company strategy. Emerging market acquirers built through acquisitions and consolidations of smaller companies, eg Mittal and Tata Group.

Sixth wave (2005–08): shareholder activism. Private equity. Leveraged buy-outs. Subprime crisis in 2007 leading to recession in 2008.

**SOURCE** Adapted from Gaughan (2010)

It is important to classify types of M&A to gain an understanding of the different motivations behind the activity. Gaughan (2010) points out that there are three types of merger or acquisition deal: a horizontal deal involves merging with or acquiring a competitor, a vertical deal involves merging with or acquiring a company with whom the firm has a supplier or customer relationship, and a conglomerate deal involves merging with or acquiring a company that is not a competitor, a buyer or a seller.

So why do organizations embark on a merger or acquisition? The main reasons are listed below.

### Growth

Most commercial M&As are about growth. Merging or acquiring another company provides a quick way of growing, which avoids the pain and uncertainty of internally generated growth. However, it brings with it the risks and challenges of realizing the intended benefits of this activity. The attractions of immediate revenue growth must be weighed up against the downsides of asking management to run an even larger company.

Growth normally involves acquiring new customers (for example, Vodafone and Airtouch), but can be about getting access to facilities, brands, trademarks, technology or even employees.



## Synergy

Synergy is a familiar word in the M&A world. If two organizations are thought to have synergy, this refers to the potential ability of the two to be more successful when merged than they were apart (the whole is greater than the sum of the parts). This usually translates into:

- growth in revenues through a newly created or strengthened product or service (hard to achieve);
- cost reductions in core operating processes through economies of scale (easier to achieve);
- financial synergies such as lowering the cost of capital (cost of borrowing, flotation costs);
- more competent, clearer governance (as in the merger of two hospitals).

However, there may be other gains. Some acquisitions can be motivated by the belief that the acquiring company has better management skills and can therefore manage the acquired company's assets and employees more profitably and more successfully in the long term.

M&As can also be about strengthening quite specific areas, such as boosting research capability or strengthening the distribution network.

## Diversification

Diversification is about growing business outside the company's traditional industry. This type of merger or acquisition was very popular during the third wave in the 1960s (see box). Although General Electric (GE) has flourished by following a strategy that embraced both diversification and divestiture, many companies following this course have been far less successful.

Diversification may result from a company's need to develop a portfolio through nervousness about the earning potential of its current markets, or through a desire to enter a more profitable line of business. The latter is a tough target, and economic theory suggests that a diversification strategy to gain entry into more profitable areas of business will not be successful in the long run (see Gaughan, 2010, for more explanation of this).

A classic recent example of this going wrong is Marconi, which tried to diversify by buying US telecoms businesses. Unfortunately, this was just before the whole telecoms market crashed, and Marconi suffered badly from this strategy.

## ***Integration to achieve economic gains or better services***

Another increasingly common motive for M&A activity is to achieve horizontal integration. A company may decide to merge with or acquire a competitor to gain market share and increase its marketing strength.

Public sector organizations may merge purely to achieve cost savings (often a guiltily held motivation) or to enhance partnership working in the service of customers.

Vertical integration is also an attraction. A company may decide to merge with or acquire a customer or a supplier to achieve at least one of the following:

- a dependable source of supply;
- the ability to demand specialized supply;
- lower costs of supply;
- improved competitive position.

## ***Defensive measures***

Some mergers are defensive and are a response to other mergers that threaten the commercial position of a company.

## ***Pressure to do a deal, any deal***

There is often tremendous pressure on the CEO to reinvest cash and grow reported earnings (Selden and Colvin, 2003). He or she may be being advised to make the deal quickly before a competitor does, so much so that the CEO's definition of success becomes completion of the deal rather than the longer-term programme of achieving intended benefits. This is dangerous because those merging or acquiring when in this frame of mind can easily overestimate potential revenue increases or costs savings. In short, they can get carried away.

Feldmann and Spratt (1999) warn of the seductive nature of M&A activity:

Executives everywhere, but most particularly those in the world's largest corporations and institutions, have a knack for falling prey to their own hype and promotion...

Implementation is simply a detail and shareholder value is just around the corner. This is quite simply delusional thinking.

**Table 7.1** Comparison of reasons for embarking on a merger or acquisition

| <b>Reason for M&amp;A activity</b> | <b>Advantages</b>                                                                                                                                                                                                                                                                                                                        | <b>Disadvantages</b>                                                                                                                                                                                                                               | <b>Organizational implications</b>                                                                                                                                                                    |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Growth                             | <p>Immediate revenue growth pleases shareholders.</p> <p>Reduction in competition (if other party is competitor).</p> <p>Good way of overcoming barriers to entry to specific areas of business.</p>                                                                                                                                     | <p>More work for the top team.</p> <p>Hard to sustain the benefits once initial savings have been made.</p> <p>Cultural problems often hard to overcome, thus potential not realized.</p>                                                          | <p>Top team required to make a step change in performance.</p> <p>New arrivals in top team. Probably some administrative efficiencies.</p> <p>Integration in some areas if beneficial to results.</p> |
| Synergy                            | <p>May offer significant easy cost-reduction benefits.</p> <p>Attractive concept for employees (unless they have 'heard it all before').</p>                                                                                                                                                                                             | <p>More subtle forms of synergy such as product or service gains may be difficult to realize without significant effort.</p> <p>Cultural issues may cause problems that are hard to overcome.</p>                                                  | <p>Top teams need to work closely together on key areas of synergy.</p> <p>Other areas left intact.</p>                                                                                               |
| Diversification                    | <p>May offer the possibility for entering new, inaccessible markets.</p> <p>Allows company to expand its portfolio if uncertain about current business levels.</p>                                                                                                                                                                       | <p>Economic theory suggests that potential gains of entering more profitable profit streams may not be realized.</p> <p>May be hard for top team to agree strategy due to little understanding of each other's business areas.</p>                 | <p>Loosely coupled management teams, joint reporting, some administrative efficiencies, separate identities and logos.</p>                                                                            |
| Integration                        | <p>Buyer or supplier power automatically reduced if other party is buyer or supplier. More control of customer demands or supply chain respectively.</p> <p>Better partnership desired for public sector organizations.</p> <p>Reduction in competition (if other party is competitor). Increase in market share/marketing strength.</p> | <p>More work for the top team.</p> <p>In the case of horizontal integration (other party is a competitor), cultural problems often hard to overcome, thus potential not realized.</p> <p>Complex 'dual' structures often result to spare egos.</p> | <p>Integrated top team, merged administrative systems, tightly coupled core processes, single corporate identity, better partnership working, pooled resources, better services.</p>                  |

*(continued)*

**Table 7.1** (Continued)

| <b>Reason for M&amp;A activity</b> | <b>Advantages</b>                                                                               | <b>Disadvantages</b>                                                            | <b>Organizational implications</b>                        |
|------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|-----------------------------------------------------------|
| Defensive measure                  | Enhance the company's commercial position in the face of weighty competition.                   | May be very unexpected for staff and low performance can result from confusion. | If managed well, it leads to greater commercial strength. |
| Deal doing                         | Seductive and thrilling. Publicity about the deal augments the CEO's and the company's profile. | The excitement of the deal may cloud the CEO's judgement.                       | Anyone's guess!                                           |

## Lessons from research into successful and unsuccessful mergers and acquisitions

The following quote from Selden and Colvin (2003) gives us a starting point:

70 to 80 per cent of acquisitions fail, meaning they create no wealth for the share owners of the acquiring company. Most often, in fact, they destroy wealth... Deal volume during the historic M&A wave of 1995 to 2000 totalled more than \$12 trillion. By an extremely conservative estimate, these deals annihilated at least \$1 trillion of share-owner wealth.

Selden and Colvin put the problems down to companies failing to look beyond the lure of profits. They urge CEOs to examine the balance sheet, and say that M&As should be seen as a way to create shareholder value through customers, and should start with an analysis of customer profitability.

However, this quote from Alex Mandl, CEO of Teligent from 1996–2001, in a *Harvard Business Review* interview (Carey, 2000) provides a different view:

I would take issue with the idea that most mergers end up being failures. I know there are studies in the 1970s and '80s that will tell you that. But when I look at many companies today – particularly new economy companies like Cisco and WorldCom – I have a hard time dismissing the strategic power of M&A. In the last three years, growth through acquisition has been a critical part of the success of many companies operating in the new economy.

Carey's interview occurred before the collapse of Enron and WorldCom, so he did not know what we know now. The recent demise of both Enron and WorldCom due to major scandals over illegal accounting practices has considerably dampened enthusiasm for M&A activity worldwide. These events have raised big questions



about companies that finance continuous acquisitions as a core business strategy. The use of what *BusinessWeek* describes as ‘new era’ accounting is making investors nervous, and causing companies to be very careful with their investments and their financial reporting.

Public sector mergers, such as the Inland Revenue merging with Customs and Excise in the UK, have been plagued with problems, and in full public view. However, the Ofcom merger, which brought together five regulators into one organization, was seen as a great success.

The National Audit Office blames the public sector merger difficulties on the leadership vacuum between those who decide on the merger and those who are to implement it. Also, the amount of time taken by the legislative process and consultation requirements leads to much greater uncertainty for staff and stakeholders than in the private sector.

The discussion about the overall success rate of M&A activity still continues. But what lessons can be learnt from previous experience of undertaking these types of organizational change?

## **CASE STUDY OF SUCCESS: ISPAT**

Ispat is an international steel-making company which successfully pursues long-term acquisition strategies. It is one of the world’s largest steel companies and its growth has come almost entirely through a decade-long series of acquisitions.

Ispat’s acquisitions are strictly focused. It never goes outside its core business. It has a well-honed due diligence process which it uses to learn about the people who are running the target company and convince them that joining Ispat will give them an opportunity to grow.

The company works with the potential acquisition’s management to develop a five-year business plan that will not only provide an acceptable return on investment, but chime with Ispat’s overall strategy.

Ispat relies on a team of 12 to 14 professionals to manage its acquisitions. Based in London, the team’s members have solid operational backgrounds and have worked together since 1991.

We have taken several different sources, all of which propose a set of rules for M&As, and distilled these into five learning points:

- 1** communicate constantly;
- 2** get the structure right;
- 3** tackle the cultural issues;

- 4 keep customers on board;
- 5 use a clear overall process.

## ***Communicate constantly***

In the excitement of the deal, company bosses often forget that the merger or acquisition is more than a financial deal or a strategic opportunity. It is a human transaction between people too. Top managers need to do more than simply state the facts and figures; they need to employ all sorts of methods of communication to enhance relationships, establish trust, get people to think and innovate together and build commitment to a joint future. They also need to use all the avenues available to them such as:

- company presentations;
- formal question and answer sessions;
- newsletters;
- team briefings;
- notice boards;
- newsletters;
- e-mail communication;
- confidential helplines;
- websites with questions and answer sessions;
- conference calls.

## **COMMUNICATE CONSTANTLY**

*The top team had been working on the acquisition plans for over four months. Once the announcement was eventually made to all employees I just wanted to get on with things. I had so much enthusiasm for the deal. There was just endless business potential.*

*The difficulties came when I realized that not everyone shared my enthusiasm. My direct reports and their direct reports constantly asked me detailed questions about job roles and terms and conditions. It was beginning to really frustrate me that they couldn't see the big picture.*

*I found I had to talk about our visions for the future and our schedule for sorting out the structure at least five times a day, if not more. People needed to hear and see me say it, and needed me to keep on saying it. I learnt to keep my cool when repeating myself for the fifth time that day.*

MD of acquiring company

Devine (1999) of Roffey Park Management Institute says that managers with M&A experience tend to agree that it is impossible to over-communicate during a merger. They advocate the use of specific opportunities for staff to discuss company communications. They also advise managers to encourage their people to read e-mails and attend communication meetings, watching out for those who might be inclined to stick their heads in the sand. Managers need to be prepared as regards formal communications:

- Develop your answers to tricky questions before you meet up with the team.
- Expect some negative reactions and decide how to handle these.
- Be prepared to be open about the extent of your own knowledge.

Carey (2000) says it is necessary to have constant communication to counteract rumours. He advises: 'When a company is acquired, people become extremely sensitive to every announcement. Managers need to constantly communicate to avoid the seizure that may come from over-reaction to badly delivered news.'

In company communications, it is very important to be clear on timescales, particularly when it comes to defining the new structure. People want to know how this merger or acquisition will affect them, and when. Carey says: 'Everyone will be focused on the question "what happens to me?" They will not hear presentations about vision or strategic plans. They need the basic question regarding their own fate to be answered. If this cannot be done, then the management team should at least publish a plan for when it will be done.'

## **PRODUCTIVITY LEVELS DURING TIMES OF CHANGE**

*A very interesting statistic I once read says that people are normally productive for about 5–7 hours in an eight-hour business day. But any time a change of control takes place, their productivity falls to less than an hour.*

Dennis Kozlowski, CEO Tyco International, quoted in Carey (2000)

In the public sector this challenge is even greater because of extended timescales. The National Audit Office recommends that regular communications need to be clear about what has been decided and what has yet to be decided.

## Get the structure right

### THE IMPORTANCE OF DECISIONS ABOUT STRUCTURE

*At the time we thought it best to keep everyone happy and productive. Both the merged companies had good production managers, so we decided to ask them to work alongside each other, to share skills and learn a bit about the other person's way of working.*

*We thought this was the best idea to keep production high, and to promote harmony and learning. However, in the end it turned out to be highly unproductive. It was a huge strain for the two individuals involved in both cases. They thought they were being set up to compete, despite protestations that this was not so. Both began to show signs of stress.*

*This structural decision (or rather indecision) also slowed the integration process down as people wanted to stay loyal to their original manager. They studiously avoided reporting at all to the new manager from the other company. Joint projects ended in stalemate and integration of working standards was almost impossible to achieve.*

HR director, involved in designing structure for merger

Structure is always a thorny issue for merging or acquiring companies. How do you create a structure that keeps the best of what is already there, while providing opportunities for the team to achieve the stretching targets that you aspire to?

Carey makes the point that it is essential to match the new company structure to the logic of the acquisition. If, for example, the intention was to fully integrate two sales teams to provide cost savings in administration and improve sales capability, then the structure should reflect this. It is tempting for senior managers to avoid conflict by appointing joint managers. Although this may work for the managers, it does not usually work for the teams. Integration becomes hard work as individuals prefer to keep reporting lines as they were.

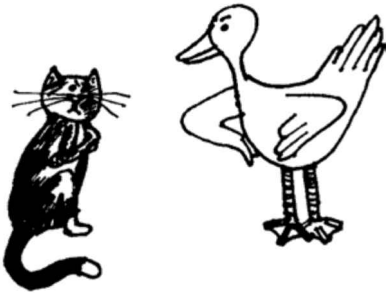
Structure work should start early. Carey advises managers to begin working on the new structure before the deal is closed. Some companies use an integration team to work on this sort of planning. These people are in the ideal position to ask the CEO, 'What was the intended gain of this acquisition?' and, 'How will this structure support our goals?'

It is important that promotion possibilities provided by merger or acquisition activity are seen as golden opportunities for communicating the goals and values of the new company. Feldmann and Spratt (1999) warn against 'putting turtles on fence posts'. They emphasize the importance of providing good role models, and encourage

senior managers to promote only those who provide good examples of how they want things to be. They say 'do not compromise on selection by indulging in a quota system (two of theirs and two of ours)'. And do not be tempted to fudge roles so that both people think they have got the best deal. This will only result in arguments and friction further down the line.

In public sector mergers a decision-making vacuum should be avoided by making it clear who is responsible for each phase, even if officers are not finally in position.

## ***Tackle the cultural issues***



Cultural incompatibility has often been cited as a problem area when implementing a merger or acquisition. Merging a US and a European company can be complicated because management styles are very different. For instance, US companies are known to be more aggressive with cost cutting, while European companies may take a longer view. Reward strategy and degree of centralization are also areas of difference.

Jan Leschly, then-CEO of SmithKline Beecham, says in 'Lessons for master acquirers' (in Carey, 2000), 'The British and American philosophies are so far apart on those subjects they're almost impossible to reconcile.'

David Komansky, CEO of Merrill Lynch until 2003, made over 18 acquisitions between 1996 and 2001. In the same *HBR* article (Carey, 2000), he says:

It's totally futile to impose a US-centric culture on a global organization. We think of our business as a broad road within the bounds of our strategy and our principles of doing business. We don't expect them to march down the white line, and, frankly, we don't care too much if they are on the left-hand side of the road or the right-hand side of the road. You need to adapt to local ways of doing things.

The amount of cultural integration required depends on the reason for the merger or acquisition. If core processes are to be combined for economies of scale, then integration is important and needs to be given management time and attention. However, if the company acquires a portfolio of diverse businesses it is possible that culture integration will only be necessary at the senior management level.

The best way to integrate cultures is to get people working together on solving business problems and achieving results that could not have been achieved before the merger or acquisition. In 'Making the deal real' (Ashkenas *et al*, 1998), the authors have distilled their acquisition experiences at GE into four steps intended to bridge cultural gaps:

- 1 Welcome and meet early with the new acquisition management team. Create a 100-day plan with their help.
- 2 Communicate and keep the process going. Pay attention to audience, timing, mode and message. This does not just mean bulletins, but videos, memos, town meetings and visits from management.
- 3 Address cultural issues head-on by running a focused, facilitated 'cultural workout' workshop with the new acquisition management team. This is grounded on analysis of cultural issues and focused on costs, brands, customers and technology.
- 4 Cascade the integration process through, giving others access to a cultural workout.

Roffey Park research (Devine, 1999) confirms the need to tackle cultural issues. This research shows that culture clashes are the main source of merger failure and can cost as much as 25–30 per cent in lost performance. They identify some of the signs of a culture clash:

- people talk in terms of 'them and us';
- people glorify the past, talking of the 'good old days';
- newcomers are vilified;
- there is obvious conflict – arguments, refusal to share information, forming coalitions;
- one party in the merger is portrayed as 'stronger' and the other as 'weaker'.

Therefore an examination of existing cultures is normally useful if there is even a small possibility that cultural issues will get in the way of the merger or acquisition being successful. This is a good exercise to carry out in workshop format with the teams themselves at all levels. The best time to look at cultural issues is when teams are forming right at the start of the integration. It breaks the ice for people and allows them to find out a bit about each other's history and company culture.

## **TACKLING THE CULTURAL ISSUES**

The managers from company A described their culture as:

- fairly formal;
- courteous and caring;
- high standards;
- lots of team work;
- clear roles.

Company B added:

- precise;
- good reputation.

The managers from company B described their culture as:

- highly informal;
- a bit disorganized;
- relationships are important;
- customer focused;
- fast and fun.

Company A added:

- flexible roles;
- lack of hierarchy.

**New culture – what did they need:**

- role clarity;
- adaptability;
- high standards;
- customer focus;
- responsiveness;
- enjoyment;
- team work.

**What might be the difficult areas:**

- Balancing clarity of roles with adaptability – culture clash?
- Achieving high standards without getting too formal.
- Being responsive while keeping to high standards.
- Working as one team, rather than two teams.

**Action plan:**

- 1 Define flexible roles for all management team. Must be half page long.
- 2 Highlight areas where standards need to be reviewed.
- 3 Audit customer responsiveness and set targets.
- 4 Tackle each of the above by creating small task force with members from both companies.

Output from a management team meeting focusing  
on building a new culture

**Figure 7.1** Trompenaars and Hampden-Turner's cultural dimensions

| Cultural dimensions             |                                                               |  |  |  |  |  |  |  |                                                |
|---------------------------------|---------------------------------------------------------------|--|--|--|--|--|--|--|------------------------------------------------|
| Rule versus relationships       | Universalist<br>Focus on rules                                |  |  |  |  |  |  |  | Particularist<br>Focus on relationships        |
| The group versus the individual | Individualism<br>More use of 'I'                              |  |  |  |  |  |  |  | Communitarianism<br>More use of 'We'           |
| The range of feelings expressed | Neutral<br>Do not reveal thoughts and feelings                |  |  |  |  |  |  |  | Affective<br>Reveal thoughts and feelings      |
| The range of involvement        | Specific<br>Direct                                            |  |  |  |  |  |  |  | Diffuse<br>Indirect                            |
| How status is accorded          | Achievement oriented<br>Use titles only when relevant to task |  |  |  |  |  |  |  | Ascription oriented<br>Extensive use of titles |

**SOURCE** Trompenaars and Hampden-Turner (1997)

Cultural differences can be looked at using a simple cultural model such as the one offered in *Riding the Waves of Culture: Understanding cultural diversity in business* by Fons Trompenaars and Charles Hampden-Turner (1997); see Figure 7.1 for our representation of the various scales. People from each merger partner mark themselves on these scales and openly compare scores. In the workshop it is useful to ask the team to predict what kind of difficulties they might have as they start to work together, and to make an action plan to address these. We have run several such workshops, and in these we strongly encourage people to try to work together to define the new culture. This can be challenging work, especially if the acquisition or merger is perceived as hostile, but necessary work if any sort of integration is desired.

Roffey Park's advice is:

- Identify the key tactics used by team members to adhere to their own cultures.
- Identify cultural 'hot-spots', highly obvious differences in working practices that generate tension and conflict.
- Using a cultural model, get team members to explore the traits of their cultures; ask them what was good or bad about their former cultures.
- Get your people to identify cultural values or meanings that are important to them and that they wish to preserve.
- Challenge team members to identify a cluster of values that everyone can commit to and use as a foundation for working together.



## Keep customers on board

*Customers feel the effects first... They don't care about your internal problems, and they most certainly aren't going to pay you to fix them.*

(FELDMANN AND SPRATT, 1999)

'It's very easy to be so focused on the deal that customers are forgotten. Early plans for who will control customer relationships after the merger or acquisition are essential,' says Carey (2000). Devine (1999) adds weight to this by commenting:

Mergers are often highly charged and unpredictable experiences. It is all too easy to take your eye off the ball and to forget the very reason for your existence. Ensure that your team concentrates on work deliverables so that everyone remembers that there is a world outside and that it is still as competitive and pressurized as ever. Help everyone to realize that your competitors will be on the lookout for opportunities to exploit any weaknesses arising from the merger. You might find that in the face of an external threat, cultural differences shrink in importance.

Some of our experiences as consultants contradict the idea that increased focus on the customer can help a team to forget cultural differences. The opposite effect can happen, where teams and individuals from the two original merging companies use customer focus to further accentuate cultural difficulties:

- sales people fight over customers and territory;
- managers blame each other rather than help each other when accounts are lost;
- people from company A apologize to customers for the 'shortcomings' of people from company B rather than back them up.

This lesson accentuates the need to tackle cultural issues early, as well as to define clear ground rules for working with customers as one team.

## HOW TO KEEP CUSTOMERS ON BOARD

*One of our first actions was to embark on a series of customer visits that involved a senior sales person from both the merging companies. This allowed us to learn how to work together, and fast! It reassured customers and allowed us to deliver a clear message:*

- *we were now one company;*
- *there would be a single point of contact going forward;*
- *the merger was amicable and well managed.*

Sales manager from merged retail company

## AVOIDING THE SEVEN DEADLY SINS

Feldmann and Spratt (1999) identify seven deadly sins in implementing a merger or acquisition. Their book goes on to describe in detail how to ensure that you avoid these problems:

- **Sin 1: Obsessive list-making.** Don't make lists of everything that needs to be done – it is exhausting and demoralizing. Instead, use the 80:20 rule. Focus on the 20 per cent of tasks that add the most value.
- **Sin 2: Content-free communications.** Don't send out communications that contain only hype and promotion. Employees, customers, suppliers and shareholders all have real questions, so answer them.
- **Sin 3: Creating a planning circus.** Use targeted task forces, rather than a hierarchy of slow-paced committees.
- **Sin 4: Barnyard behaviour.** Unless roles and relationships are clarified, feathers will fly in an attempt to establish the pecking order. Simply labelling the hierarchy will not sort this one out.
- **Sin 5: Preaching vision and values.** If you want cultural change, you have to work at it. It will not happen through proclamation.
- **Sin 6: Putting turtles on fence posts.** Ensure that the role models you select for promotion provide good examples of how you want things to be. Do not compromise on selection by indulging in a quota system (two of theirs and two of ours).
- **Sin 7: Rewarding the wrong behaviours.** Sort out compensation and link it to the right behaviours.

### *Use a clear overall process*

The pitfalls associated with planning and successfully executing a merger or acquisition imply that it is important to have an overarching process to work to. GE's Pathfinder Model is summarized in Table 7.2. It acts as a useful checklist for those involved in acquisition work (more in Ashkenas *et al*, 1998). This model, derived through internal discussion and review, forms the basis for GE's acquisitions programme.

USE A CLEAR PHASED PROCESS

*It's easy to get sucked into mindless list generation. There is an extraordinary amount of stuff to be done when you merge with another company. The trouble is that list making is very tiring, and the lists have to be numbered and monitored, which takes time and effort. We found that it was much simpler to develop a phased process than to list everything that needed to be done. We then created a timeline with obvious milestones such as 'structure chart delivered', or 'terms and conditions harmonized'. This helps people to keep on track without creating a circus of action planning and reporting.*

Organization development manager talking about the merger of two management consultancies

**Table 7.2** Adapted version of GE's Pathfinder Model

|                     |                                                                                                                                                                                                                                                                                                                          |
|---------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Preacquisition      | <ul style="list-style-type: none"><li>• Assess cultural strengths and potential barriers to integration.</li><li>• Appoint integration manager.</li><li>• Rate key managers of core units.</li><li>• Develop strategy for communicating intentions and progress.</li></ul>                                               |
| Foundation building | <ul style="list-style-type: none"><li>• Induct new executives into acquiring company's core processes.</li><li>• Jointly work on short- and long-term business plans with new executives.</li><li>• Visibly involve senior people.</li><li>• Allocate the right resources and appoint the right people.</li></ul>        |
| Rapid integration   | <ul style="list-style-type: none"><li>• Speed up integration by running cultural workshops and doing intensive joint process mapping.</li><li>• Conduct process audits.</li><li>• Pay attention to and learn from feedback as you go along.</li><li>• Exchange managers for short-term learning opportunities.</li></ul> |
| Assimilation        | <ul style="list-style-type: none"><li>• Keep on learning and developing shared tools, language, processes.</li><li>• Continue longer-term management exchanges.</li><li>• Make use of training and development facilities to keep the learning going.</li><li>• Audit the integration process.</li></ul>                 |

**SOURCE** Ashkenas *et al* (1998).

The National Audit Office recommends specialist programme management help to ensure continued business as usual, and to tackle HR, finance and particularly pensions issues.

## Applying the change theory: guidelines for leaders

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Which elements of the theories discussed in earlier chapters can be used to inform those leading M&A activity? We make links with ideas about individual, team and organizational change to help leaders channel their activities throughout this turbulent process. In addition, we refer to the previously mentioned research into successful mergers and acquisitions by Roffey Park Institute (Devine, 1999), which offers some useful guidelines for organizational leaders.

### *Managing the individuals*

M&As bring uncertainty, and uncertainty in turn brings anxiety. The question on every person's mind is, 'What happens to me in this?' Once this question is answered satisfactorily, each individual can then begin to address the important challenges ahead. Until that time, there will be anxiety. Some people will be more anxious than others, depending on their personal style, personal history and proximity to the proposed changes. And if people do not like the look of the future, there will be a reaction.

The job of the leader in a merger or acquisition situation is, first, to ensure that the team know things will not be the same any more. Second, he or she needs to ensure people understand what will change, what will stay the same, and when all this will happen. Third, the leader needs to provide the right environment for people to try out new ways of doing things.

Schein (see Chapter 1) claims that healthy individual change happens when there is a good balance between anxiety about the future and anxiety about trying out new ways of working. The first anxiety must be greater than the second, but the first must not be too high, otherwise there will be paralysis or chaos.

In a merger or acquisition situation there is very little safety. People are anxious about their futures as well as uncertain about what new behaviours are required. This means the leader has to create psychological safety by:

- painting pictures of the future (visioning);
- acting as a strong role model of desired behaviours;
- being consistent about systems and structures.

But not by:

- avoiding the truth;
- saying that nothing will change;
- hiding from the team;
- putting off the delivery of bad news.

Chapter 1 addressed individual change by first introducing four schools of thought:

- behavioural;
- cognitive;
- psychodynamic;
- humanistic.

The behavioural model is useful as a reminder that reward strategies form an important part of the M&A process and must be addressed reasonably early. The cognitive model is based on the premise that our thinking affects our behaviour. This means that goal setting and role-modelling too are important.

However, the psychodynamic approach provides the most useful model to explain the process of individual change during the various stages of a merger or acquisition. In Table 7.3 we use the Kübler-Ross model from Chapter 1 to illustrate individual

**Table 7.3** Stages of merger or acquisition process and how to manage reactions of staff

| Stage                              | Employee experience                                                                                                                                                                           | Management action                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Merger or acquisition is announced | Shock.<br>Disbelief.<br>Relief that rumours are confirmed.                                                                                                                                    | Give full and early communication of reasons behind, and aims of this merger or acquisition.                                                                                                                                                                                                                                                                                                                                                                                                       |
| Specific plans are announced       | Denial – it's not really happening.<br>Mixture of excitement and anxiety.<br>Anger and blame – 'This is all about greed', 'If we'd won the ABC contract we wouldn't be in this position now.' | Discuss implications of the merger or acquisition with individuals and team.<br>Give people a timescale for clarification of the new structure and when they will know what their role will be in the new company.<br>Acknowledge people's needs and concerns even though you cannot solve them all.<br>Be patient with people's concerns.<br>Be clear about the future. Find out and get back to them about the details you do not know yet.<br>Do not take their emotional outbursts personally. |

(continued)

**Table 7.3** (Continued)

| Stage                                                                                       | Employee experience                                                                             | Management action                                                                                                                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Changes start to happen – new bosses, new customers, new colleagues, redundancies, building | Depression – finally letting go of two companies, and accepting the new company.<br>Acceptance. | Acknowledge the ending of an era.<br>Hold a wake for the old company and keep one or two bits of memorabilia (photos, T-shirts).<br>Delegate new responsibilities to your team.<br>Encourage experimentation, especially with new relationships.<br>Give positive feedback when people take risks.<br>Create new joint goals.<br>Discuss and agree new ground rules for the new team.<br>Coach in new skills and behaviours. |
| New organization begins to take shape                                                       | Trying new things out.<br>Finding new meaning.<br>Optimism.<br>New energy.                      | Encourage risk taking.<br>Foster communication at all levels between the two parties.<br>Create development opportunities, especially where people can learn from new colleagues.<br>Discuss new values and ways of working.<br>Reflect on experience, reviewing how much things have changed since the start.<br>Celebrate successes as one group.                                                                          |

experiences of change and effective management interventions during this process of change.

## ***Managing the team***

Endings and beginnings are important features of M&As, and these are most usefully addressed at the team level. The ideas of Bridges (Chapter 3) provide a useful template for management activity during ending, the neutral zone and the new beginnings that occur during a merger or acquisition.

### **Managing endings**

The endings are about saying goodbye to the old way of things. This might be specific ways of working, a familiar building, team mates, a high level of autonomy or

some well-loved traditions. In the current era of belt-tightening and cost-cutting, there might be quite a lot of losses for people, similar to the effects of a restructuring exercise. (See Chapter 1 for more tips on handling redundancies.) Here is some advice for how managers can manage the ending phase (or how to get them to let go):

- Acknowledge that the old company is ending, or the old ways of doing things are ending.
- Give people time to grieve for the loss of familiar people if redundancies are made. Publish news of their progress in newsletters.
- Do something to mark the ending: for example have a team drink together specifically to acknowledge the last day of trading as the old company.
- Be respectful about the past. It is tempting to denigrate the old management team or the old ways of working to make the new company look more attractive. This will not work. It will just create resentment.

### Managing the transition from old to new

This phase of a merger or acquisition, often known as integration, can be chaotic if it is not well managed. The ‘barnyard behaviour’ mentioned above, combined with high anxiety about the future, can lead to good people leaving and stress levels reaching all-time highs. Conflicts that are not nipped in the bud at this stage can lead to huge and permanent rifts between the two companies involved.

Tuckman’s model of team development is useful to explain what goes on in a new, merged management team, or a newly merged sales team. We have added some suggestions on how to manage these phases; see Table 7.4.

Timing for this stage is also important. The integration stage should neither be squeezed into an impossible two-week period, nor be treated as an open-ended process that continues unaided for years. The need to squeeze this phase into a two-week period comes from management denial of the very existence of integration issues. Conversely, the need to let things take their course over time comes from a belief that time will solve all the issues and they cannot be hurried. Therefore they are allowed to drag on and possibly get worse, and more entrenched.

Bridges offers advice about managing the integration phase that we have adapted to be directly useful for M&As:

- explain that the integration phase will be hard work and will need (and get) attention;
- set short-range goals and checkpoints;
- encourage experimentation and risk taking;
- encourage people to brainstorm with members of the new company to find answers to both old and new problems.

**Table 7.4** How to manage the development of a merged team

| Stage      | Team activity                | Advice for leaders                                                                                                 |
|------------|------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Forming    | Confusion                    | Be very clear about roles and responsibilities in the new company.                                                 |
|            | Uncertainty                  |                                                                                                                    |
|            | Assessing situation          | Talk about where people have come from in terms of the structure, process and culture in their previous situation. |
|            | Testing ground rules         |                                                                                                                    |
|            | Feeling out others           | Compare notes.                                                                                                     |
|            | Defining goals               | Define key customers for the team and begin to agree new ground rules for how the team will work together.         |
|            | Getting acquainted           |                                                                                                                    |
| Storming   | Establishing rules           |                                                                                                                    |
|            | Disagreement over priorities | Make time for team to discuss important issues.                                                                    |
|            | Struggle for leadership      | Be patient.                                                                                                        |
|            | Tension                      | Be clear on direction and purpose of the team.                                                                     |
|            | Hostility                    | Nip conflict between cultures and people in the bud by talking to those involved.                                  |
| Norming    | Clique formation             |                                                                                                                    |
|            | Consensus                    | Develop decision-making process.                                                                                   |
|            | Leadership accepted          | Maintain flexibility by reviewing goals and process.                                                               |
|            | Trust established            |                                                                                                                    |
|            | Standards set                |                                                                                                                    |
|            | New stable roles             |                                                                                                                    |
| Performing | Co-operation                 |                                                                                                                    |
|            | Successful performance       | Delegate more.                                                                                                     |
|            | Flexible task roles          | Stretch people.                                                                                                    |
|            | Openness                     | Encourage innovation.                                                                                              |
|            | Helpfulness                  |                                                                                                                    |

## Managing beginnings

It is important to recognize when the timing is right to celebrate a new beginning. Managers need to be careful not to declare victory too soon. Here are some ideas for this phase:

- Be really clear about the purpose of the merger or acquisition, and keep coming back to this as your bedrock.
- Paint a vision of the future for you and your team, describing an attractive future for those listening. (ROCE or ROI just doesn't do it for most people!)
- Act as a role model by integrating well at your own level, and being seen to be doing so.
- Do something specific to celebrate a new beginning.



## Managing yourself

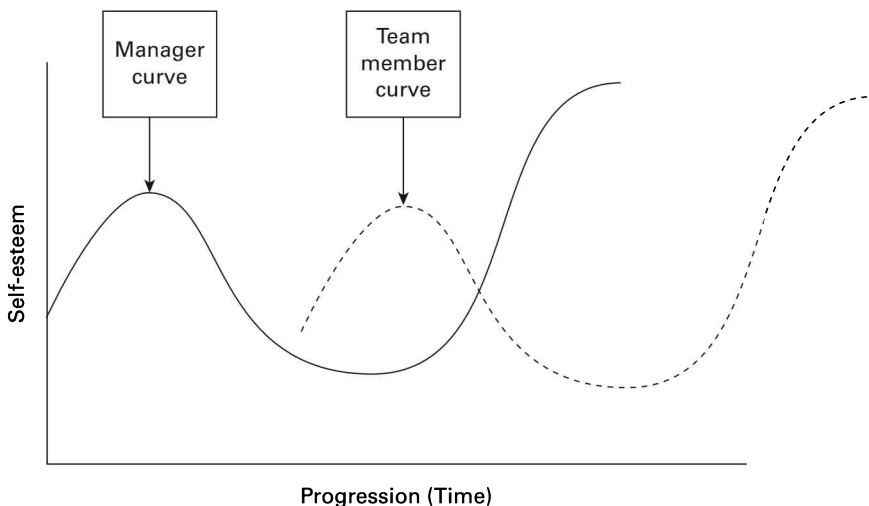
There are many challenges ahead for managers as they enter a merger or acquisition. Managers may be uncertain about their own position, while attempting to reassure others about theirs. They may even be considering their options outside the organization while encouraging others to wait and see how things turn out.

Other difficulties include the overwhelming needs of team members for clarity, reassurance and management time. Managers find themselves repeating information again and again, and become frustrated with their team's inability to 'move on'. A glance at the Kübler-Ross curves pictured in Figure 7.2 will reveal that this problem comes from managers and their teams being out of 'sync' in terms of their emotional reactions. While the manager is accepting the situation and trying out new ideas, the team is going through shock, denial, anger and blame. This is quite a stark mismatch!

Devine (1999) offers a checklist for line managers:

- **Get involved.** Try to get in on the action and away from business as usual. Show you are capable of dealing with change.
- **Get informed.** Find out who is going up or down, especially among your sponsors or mentors. Have a 'replacement' boss you can turn to if your current one leaves.
- **Get to know people.** Network hard, get to know the people in the other company. Do not think of them as 'the enemy'.
- **Deal with your feelings.** Openly recognize feelings of anxiety and frustration. Form a support network and discuss these feelings with colleagues.

**Figure 7.2** Change curve comparisons



- **Actively manage your career.** Think carefully before moving function/role at the time of a merger. You are remembered for your current job, whatever your past experience. Do not necessarily accept the first role that is offered to you. Decide what you would like to do, prepare your CV and work towards it – everything is up for grabs!
- **Identify success criteria.** Often performance criteria have changed or become unclear. Re-benchmark yourself by talking to people involved in the merger. Get informal feedback from subordinates, peers and bosses.
- **Be positive.** Be philosophical and objective about what is under your control. Do not beat yourself up – you can't win 'em all.

### ***Handling difficult appointment and exit decisions***

M&As often involve a restructuring process, which in turn involves managers in making difficult appointment and exit decisions. These decisions need to be fair, transparent, justified, swift and carried out with attention to people's dignity.

In one company that we know of, top management decided to reveal the newly merged company's structure chart in a formal town hall meeting of all staff. Those who did not appear on the chart had to make their own conclusions. You can imagine the resentment and lack of trust that this foolish and undignified process generated.

Devine advises:

- New appointments need to be seen to be fair. Try to ensure that selection criteria are objective, transparent and widely understood.
- Stick to company policy and processes. Do not take short-cuts as they are likely to backfire on you.
- Do not dither. This will cause resentment.
- Treat employees at every level with dignity.

### ***Managing the organization***

It is important to select and agree a change process that matches the challenges posed by the specific merger and acquisition. If the most important challenge is to achieve cost-cutting goals, then project management techniques can be applied and the changes made swiftly. This may mean the use of a task force to make recommendations, and the agreement of a linear process for delivering the cost-cutting goals. However, if the most important challenges are integration issues or cultural issues, then the ideas of both Bridges and Senge are relevant. Attention must be paid to managing endings, transitions and beginnings for specific teams involved in significant processes. Other teams may remain untouched.

We have used the Kotter ‘accelerators’, introduced in Chapter 3, to illustrate what might help move from initial news of the deal to full integration. This model is useful because it combines a range of different assumptions about change, so tackles the widest range of possible challenges:

- 1 Establish a sense of urgency.** This is a tough balancing act for management. They must start to raise the issues that have led to the merger or acquisition without revealing the deal itself. For instance, if the company is currently operating in a dwindling market, then managers should highlight the need to do something about this, without necessarily revealing any intentions to buy or to merge. People will be suspicious and resentful of a deal that does not make any sense. ‘Why are we diversifying now? I thought the plan was to buy the competition!’
- 2 Form a powerful guiding coalition.** Managers of both companies need to begin working together as soon as they can. They need to spend time together and build a bit of trust. When the deal is announced, managers will then be able to work together at speed.
- 3 Create a new vision.** A top-level vision for the new company must be built by the new top management team. This vision will be used to guide the integration effort and to develop clear strategies for achieving this. The integration effort needs to be targeted on specific areas rather than be a blanket process, and clear timescales for implementation must be given.

The new structure needs to be put quickly into place, a level at a time, ensuring that customers are well managed throughout. The new sales and customer service structure is therefore a priority. New values and ways of working should also be discussed and identified.

- 4 Communicate the vision.** Kotter emphasizes the need to communicate at least 10 times the amount you expect to have to communicate. In addition, all the research about M&As indicates that it is impossible to over-communicate. Managers need to be creative with their communication strategies, and remember to work hard at getting the two companies to build relationships at all levels.

The vision and accompanying strategies and new behaviours will need to be communicated in a variety of different ways: formal communications, role-modelling, recruitment and promotion decisions. The guiding coalition should be the first to role-model new behaviours.

- 5 Empower others to act on the vision.** The management team now needs to focus on removing obstacles to change such as structures that are not working, or cultural issues, or non-integrated systems. At this stage people are encouraged to experiment with new relationships and new ways of doing things.
- 6 Plan for and create short-term wins.** Managers should look for and advertise short-term visible improvements such as joint innovation projects, or the day-to-

day achievements of joint teams. Anything that demonstrates progress towards the initial aims of the merger or acquisition is newsworthy. It is important to reward people publicly for merger-related improvements.

- 7 Consolidate improvements and produce still more change.** Top managers should make a point of promoting and rewarding those able to advocate and work towards the new vision. At this point it is important to energize the process of change with new joint projects, new resources and change agents.
- 8 Institutionalize new approaches.** It is vital to ensure that people see the links between the merger or acquisition and success. If they have had to work hard to make this initiative happen, they need to see that it has all been worthwhile.

## THE IMPORTANCE OF TRUST WHEN GOING THROUGH A MERGER

*When we were acquired by ITSS we were full of trepidation. Our previous owners had stripped us of costs and then looked around for a buyer. We felt a bit used. So we were in no mood to start building trust.*

*ITSS kept calling this deal a merger, but we were hugely cynical about that. They had bought us after all. This was a case of vertical integration where a supplier buys its customer to gain access to primary clients and grow the business. We thought they would start to take our jobs and move the company to their own headquarters, around four hours down the motorway!*

*The whole thing came to a head one morning when some consultants were running an integration workshop for the new management team. ITSS were getting frustrated with our hostility. We were getting angry about their constant questioning about finances and account management and project costs. Someone from our company was brave enough to share his emotions.*

*The MD of ITSS, who is actually a pretty decent guy, sat down amidst us all and spoke quite calmly for about 10 minutes. He said, 'Look guys, I will do anything to make this company a success. Anything. But I need to know what I'm running here. I can't take that responsibility without knowing all the facts. I really want us to make this thing a success. But I need your help.'*

*After that we trusted him a bit more. Then things got better and better. That was four years ago. Things have improved every year since then. He kept his word, and that was really important to everyone.*

Project leader, acquired company

## Summary

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There are five main reasons for undertaking a merger or acquisition:

- 1 growth;
- 2 synergy;
- 3 diversification;
- 4 integration; and
- 5 deal doing.

Recent research indicates that five golden rules should be followed during mergers and acquisitions:

- 1 communicate constantly;
- 2 get the structure right;
- 3 tackle the cultural issues;
- 4 keep customers on board;
- 5 use a clear overall process.

Individuals can be managed through the process using the Kübler-Ross curve as a basis for understanding how people are likely to react to the changes. Teams can be managed through endings, transitions and new beginnings using the advice of Bridges. Tuckman's forming, storming, norming and performing process also lends understanding to the sequences of activities that leaders of new joint teams need to take their teams through.

Managers need to manage themselves well through an integration process. Roffey Park's advice is:

- get involved;
- get informed;
- get to know people;
- deal with your feelings;
- actively manage your career;
- identify success criteria;
- be positive.

Difficult appointment and exit decisions also need to be well managed using these principles:

- be fair;
- stick to the procedures;
- do not dither;
- remember people's dignity.

Kotter's thinking can be used to plan an M&A process as it combines several different assumptions about the change process, so providing adequate flexibility for the range of different purposes of merger or acquisition activity.

# 08

## Culture and change

### Introduction

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An organization's culture can either catalyse or get in the way of change efforts. Indeed, people will often suggest that the culture of the organization itself needs to change, or be changed to allow the substantive changes to be successful.

However this is much trickier than merely having a plan to change the culture and then implementing that plan because culture is the invisible, unconscious all-pervading element within which everything else happens. From how the buildings are laid out to what we wear; from how meetings are run to how decisions are made; from how resources are allocated to what gets recognized and rewarded; from what projects turn out to be successful to which ones get derailed – culture is, classically, 'the way things are done around here'.

From an individual's perspective it is hard, if not impossible, to operate effectively counter to the prevailing culture. From the organization's perspective the prevailing culture shapes everything from the strategy to the way the business, and everyone in it, operates to achieve that strategy.

Kaplan and Norton (2004) state:

Culture is perhaps the most complex and difficult dimension to understand and describe because it encompasses a wider range of behavioural territory than the others...

Executives generally believe that changes in strategy require basic changes in the way business is conducted at all levels of the organization, which means, of course, that people will need to develop new attitudes and behaviours – in other words, change their culture.

Many writers and researchers have itemized the importance of culture:

- Bain & Co's 2007 global survey of business leaders identified corporate culture to be as important as corporate strategy for business success. They also found that corporate culture had a significant impact on process improvements and decision making.
- Both Kotter and Heskett (1992) and Heck and Marcoulides (1993) found a significant correlation between organizational culture and performance.

- Hai (1986) saw culture as creating norms for acceptable behaviour and affecting innovation, decision making, communication, organizing, measuring success, rewarding achievement, worker motivation and goals.
- Hampden-Turner (1990) suggested culture reinforces ideas and feelings that are consistent with the corporation's beliefs.
- It influences the relationships with internal and external stakeholders (Hai, 1986).
- It has a powerful effect on individuals and performance (Kotter and Heskett, 1992).

These views support Barney's (1986) thesis that:

A firm's culture can be a source of sustainable competitive advantage if that culture is valuable, rare, and imperfectly imitable. The sustained superior performance of firms like IBM, Hewlett-Packard, Procter and Gamble, and McDonald's may be, at least partly, a reflection of their organizational cultures.

Organizations exhibiting these attributes need to sustain them, whereas those who do not have these attributes can, of course, aim to build them. However (and here is the rub):

Such efforts are typically imitable, and thus, at best, only the source of temporary superior performance. These firms must look elsewhere if they are to find ways to generate expected sustained superior financial performance.

This chapter is structured around answering the following questions:

- Perspectives on culture – What is culture, why is it so important to understand when managing change, and what are the different ways we can view and approach culture?
- Values, the key to understanding culture – what are values and what is the link between values, culture and the change process?
- Facilitating culture change – if we could change culture, how would we go about it?
- Shifting sands of culture – how do current business and societal trends impact the way we see culture?
- Summary of key principles of culture change – what are the key change management principles when dealing with culture?

## Perspectives on culture

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The purpose of this section is to explore what we mean by culture, look at some approaches to understanding culture, and establish why it is important when managing change.



## What do we mean by culture?

Schein (1990) suggests that culture is:

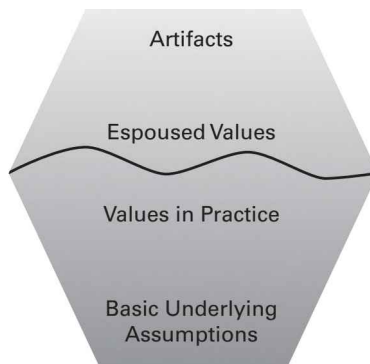
the pattern of basic assumptions that a given group has invented, discovered or developed in learning to cope with its problems of external adaptation and internal integration, and that have worked well enough to be considered valid and, therefore, to be taught to new members as the correct way to perceive, think, and feel in relation to those problems.

Although the popular notion that culture is ‘the way we do things around here’, we can see that the way things are done and the behaviours that happen are actually manifestations of something much deeper. Boonstra (2013) reinforces this by saying that one way of understanding culture is seeing it as the identity of the organization which is ‘enduring, stable and difficult to influence’. He goes on to say that changing behaviours will not in itself change the culture. And wanting to change behaviours is quite difficult because when you do try you are ‘tampering with the underlying convictions and the values and norms that give people something to hold on to’.

Boonstra, building on Schein, describes the basic assumptions as those that are below the levels of consciousness and are ‘taken for granted’. They contain what we believe about the nature of reality, time and space, the nature of human nature, activity and relationships.

Manifesting with a greater level of awareness, but still below the surface, are the values that the organization and its people hold (values in practice). These are not necessarily the espoused values of the organization, but the values that are enacted by certain behaviours day in, day out. The outer layers of cultural artefacts are visible, though not necessarily understandable. They are the physical spaces, the technology, the behaviours, the outer manifestations of ‘the way we do things around here’.

**Figure 8.1** How values manifest



Schabracq (2007) postulates that Schein's outer layer could, with minimal adaptation, be conceived of as 'everyday reality' which is 'open to inspection, though usually nobody inspects them... the members of the organization do not pay much conscious attention to them... the norms are just experienced as self-evident parts of reality'.

Everyday reality is, of course, where work gets done, and where organizational functioning can be seen to be either moving the organization towards its chosen strategy or somehow getting in the way. And this is naturally self-reinforcing – the members within the organization pick up clues and cues as to how to behave from each other. They don't necessarily see these things as controlling mechanisms, but as Schabracq says:

They are just automatically being acted upon... people continuously re-enact, reconstruct, recognize, represent and recite the forms and meanings of culture and abstain from other possibilities. People even recreate themselves.

Noting how processes happen, and how effective they are, will help us later on to understand what needs to be addressed, what levers need to be pulled within the organization to enable change to occur.

As Schabracq notes, because we are immersed in the culture it is often very hard to step outside of it to intervene within it! If, as change agents, we remind ourselves of the picture of what the strategic process might really look like, we will unknowingly or subconsciously be filtering our perceptions of the world and decision-making processes through a specific cultural lens (see Figure 8.2).

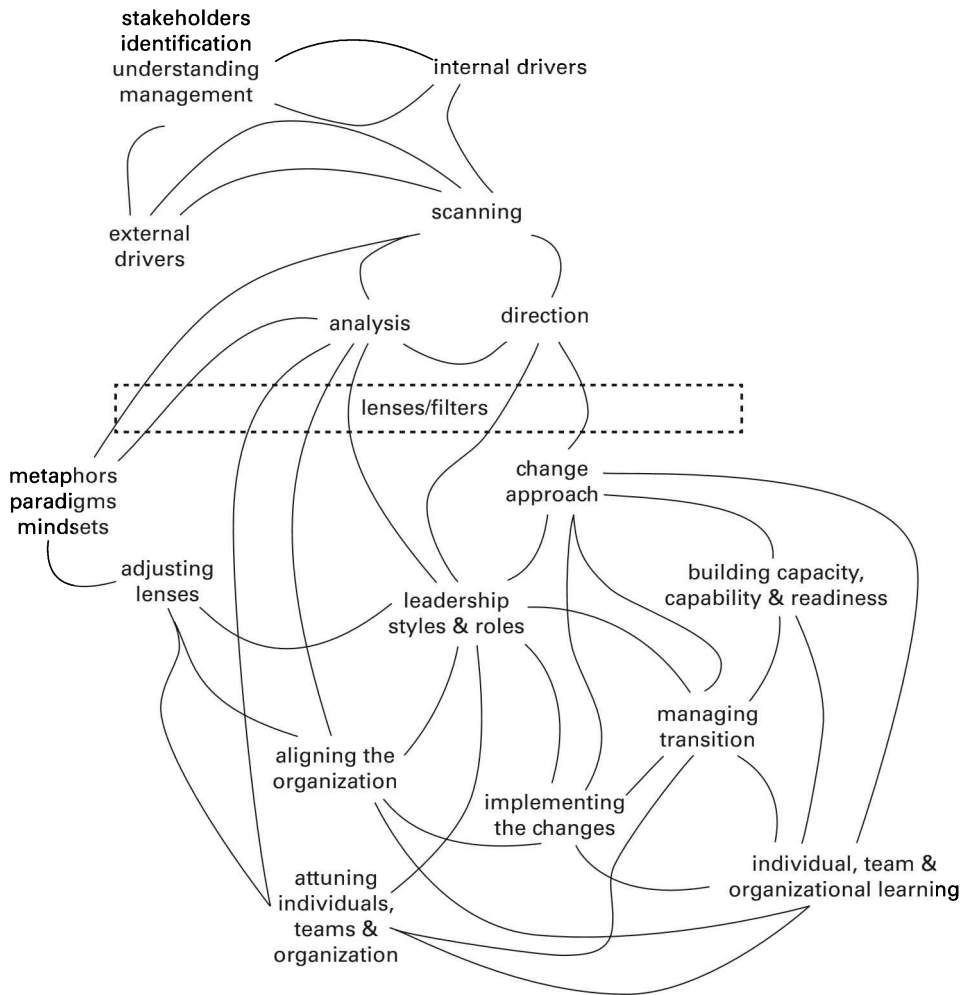
The discussions around the four organizational metaphors in the organizational change chapter and the five change paradigms in the change agent chapter will have alerted you to the need to become more conscious of both the way the organization is operating and also what your default position or perspective is. Making these things conscious enables the change agent not only to understand the organization on a deeper level but also to assist in the enabling of any culture shifts required.

## How do we get a specific culture in the first place?

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Schein (1999) suggests that there are six different ways in which culture evolves. Some of these can be influenced by leaders and some cannot:

- 1** a general evolution in which the organization naturally adapts to its environment;
- 2** a specific evolution of teams or sub-groups within the organization to their different environments;

**Figure 8.2** Strategic change process

- 3 a guided evolution resulting from cultural 'insights' on the part of leaders;
- 4 a guided evolution through encouraging teams to learn from each other, and empowering selected hybrids from sub-cultures that are better adapted to current realities;
- 5 a planned and managed culture change through creation of parallel systems of steering committees and project-oriented task forces;
- 6 a partial or total cultural destruction through new leadership that eliminates the carriers of the former culture (turnarounds, bankruptcies, etc).

## ***Culture and managing change***

Schein underscores the fact that organizations will not successfully change culture if they begin with that specific idea in mind. The starting point should always be the business issues that the organization faces. Indeed further research from Boonstra (2013), looking in depth over a two-year period at 19 organizations that had achieved successful strategic change, confirms this. 'Cultural change is not a goal in itself but is for the strategy of the business... not a single leader in the companies talks about cultural change explicitly'.

Returning to Schein's definition for a moment, you can see exactly why culture is linked to the strategic process. Organizations survive by more or less effectively addressing the challenge of adapting to the external environment by ensuring their internal way of doing things is fit for that purpose, in the same way any organism survives by evolving itself to adapt to its external environment. Schein suggests that you should not begin with the idea that the existing culture is somehow totally 'bad'. He urges leaders to always begin with the premise that an organization's culture is a source of strength. Some of the cultural habits may seem dysfunctional but it is more viable to build on the existing cultural strengths than to focus solely on changing those elements that may be considered weaknesses.

This poses an interesting paradox. Do you begin by establishing what the core cultural strengths are or do you begin with what the strategy needs to be, given the changing operating environment? This is an iterative process. The challenge of external adaptation and internal integration is resolved by looking both at the external and the internal environments in order to recognize core cultural strengths and doing a thorough external analysis.

Culture typically comes into the conversations around change in three ways:

- 1** senior managers decree that what is needed is a culture change, in order to achieve the shift in strategy that is now needed;
- 2** it is recognized that the existing culture within the organization is either helping or, more often, hindering the change efforts; and
- 3** when designing change management interventions, how aligned to the existing culture do those interventions need to be?

Senior managers should scan the environment, looking at the political, economic, societal, technological, legal and environmental pressures developing in the short, medium and longer term. They should also be identifying industry and market trends, examining the customer-supplier chain and looking for opportunities and threats.

They then can cast their eyes over the organization and see if it is 'fit for purpose'. In particular they should look at the core competencies of the organization and see how the strategy and culture are working towards delivering their purpose. Is the organization exploiting its strengths and improving, or mitigating its weaknesses?

Most incremental change can be accomplished by adjusting one or two elements in the system. A new IT system is introduced which reduces the cycle time of certain processes; a new geographic area in the same region is opened up; a restructure is implemented to reduce headcount. All these things, although potentially destabilizing to employees, are nonetheless doable without any major culture shift.

More fundamental strategic change may well require different types of attitudes and behaviour, accentuating a different set of values and shifting 'the way things are done around here'. For example, the organization needing to become more responsive to customers to deliver a world-class customer experience; the merger with or acquisition of another company; a need for greater partnership or multi-agency working.

Even if culture change isn't one of the desired outcomes, the culture of the organization can slow down the rate of change. For example, an organization that values openness and transparency may undertake more staff consultation than an external project team might like.

Understanding the culture should help change agents craft their interventions to ensure cultural alignment. An organization operating within a machine metaphor would more readily understand project plans, Gantt charts etc, whereas an organization operating within the political metaphor would expect widespread consultation and brokering with key players.

Kurt Lewin is reputed to have said that if you really want to understand an organization you should try and change it. The same is true of organizational culture. But how do we go about understanding it? The immensity of the challenge is evidenced by the fact that culture is mainly operating at a sub-conscious level and so can be difficult to pinpoint. And in the same way as researchers into what makes great leadership ultimately come up with a long list of qualities and characteristics, it is quite easy to come up with a long list of cultural dimensions. However, on a practical level having a set of cultural dimensions does afford us the opportunity of being able to assess and investigate them, one must be wary of merely creating the long list of qualities.

Stanford's book on organizational culture (2010) devotes a whole chapter to answering the question 'Can culture be measured?' and concludes no, not by 'off-the-shelf' surveys alone, but through a combination of quantitative and qualitative research approaches. She lists over 15 different assessment tools, and recommends that when used they should be tailored by someone who knows the organization, and the assessment should be specifically focused on that organization within the context of its business challenges.

Schein is adamant that this sort of assessment cannot measure culture. In the same way that an identity card is not an individual, nor a country its credit rating, an organization is not just the results of a cultural audit. Cameron and Quinn (2011) suggest that 'one reason so many dimensions have been proposed is that organizational

culture is extremely broad and inclusive in its scope. It comprises a complex, inter-related, comprehensive, and ambiguous set of factors’.

## ***Cultural frameworks***

Schein imagined culture as different levels or layers, going ever deeper into the core of an organization’s identity – its visible structures, its strategies and values, and its underlying basic assumptions.

Deal and Kennedy (1999) also saw organizations in a multi-layered way. History lies at the core, leading to the development of values and beliefs which, in turn, create the rituals and ceremonies that add to the organization’s infrastructure. These produce social cohesion and produce the heroes and stories that reinforce the culture. All these things contribute to and shape the way people behave, talk and think about the organization.

Other management researchers have tried to identify different ways to map and make sense of the manifestations of culture.

So, for example, both Harrison (1972) and Handy (1993) saw that you could categorize organizations by the way they centralized control or allowed more distributed authority on the one hand, and how formal or informal they were on the other. This led to a matrix with a profile of four cultures (see Table 8.1).

Apart from the obvious insight people within organizations have when identifying where they and their organization are, a deeper mapping of the characteristics of any one of the four cultural types will yield valuable information as to whether the organization is indeed ‘fit for purpose’ to address external environmental challenges. It will also reveal the sorts of interventions, when it comes to change, that are most likely to be effective.



**Table 8.1** Harrison and Handy’s cultural dimensions

|                |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------------|------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Centralization | High | <b>Task Culture</b><br>Characterized by getting things done. Power and authority emanate from the ability to achieve the tasks in hand. What is rewarded is not necessarily position but task accomplishment, with systems and structures designed to enable that to happen.<br>Indicative Organization: Adaptable, more service-oriented organizations, collaborative, problem-solving. Project management organizations and meritocracies often have a task culture. | <b>Role Culture</b><br>Tries to fit the workings of the organization into clearly defined structures and roles. Accountabilities aligned to the role; each person in their role knows where they fit into the system.<br>Indicative Organization: Bureaucracies; large businesses in relatively stable environments; traditional public sector bodies.                                                                                                                                                     |
|                |      | <b>Person Culture</b><br>Has the needs of the people central to its ethos. This might be at the expense of the overarching aims of the organization.<br>Indicative Organization: Professional services, where individuals have knowledge and authority. Academic or professional associations or partnerships might display elements of the person culture, with more consensual decision making and explicit displays of power shunned.                               | <b>Power Culture</b><br>Decisions are based around the sources of power within the organization and are often centrally controlled. From entrepreneurial companies to organizations with strong charismatic leaders the operating paradigm is based around ensuring you have the necessary people ‘on side’ and have the power and authority to make decisions relatively quickly with few bureaucratic hindrances.<br>Indicative Organization: Entrepreneurial businesses with a central powerful figure. |
|                | Low  | Low                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | High                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|                |      | Formalization                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |

Likewise, as we saw in Chapter 5, Goffee and Jones (1998) teased out the differences in culture through looking at the degrees of Sociability and Solidarity within an organization. Sociability is the degree to which people are friendly with each other and work towards a social cohesion within the organization. Solidarity is in their words ‘a measure of a community’s ability to pursue shared objectives quickly and effectively, regardless of personal ties.’

Another popular framework is Cameron and Quinn’s (2011) Competing Values Framework (also see Chapter 5). This framework arose from research into what makes organizations effective – and remember successful, longer-lived organizations have evolved their cultures in order to be effective in their strategic goals. Two major dimensions were derived from the analysis of effectiveness:

- 1 flexibility, discretion and dynamism as opposed to stability, order and control; and
- 2 internal orientation, integration and unity as opposed to external orientation, differentiation and rivalry.

This produces four quadrants:

- Clan – Flexible, Discretion, Internal Focus and Integration.
- Hierarchy – Stability and Control, Internal Focus and Integration.
- Adhocracy – Flexible, Discretion, External Focus and Differentiation.
- Market – Stability and Control, External Focus and Differentiation.

Cameron and Quinn saw these dimensions as creating tensions. How the organization holds these tensions makes manifest its unique culture. The desire for control on the one hand is always in tension with the desire for autonomy on the other. The resolution of this tension occurs for each organization in a different way and in a

**Table 8.2** Cameron and Quinn’s Competing Values Framework

|                              |                                                                                              |                                                                |
|------------------------------|----------------------------------------------------------------------------------------------|----------------------------------------------------------------|
| Flexibility & Discretion     |                                                                                              | External Focus & Differentiation                               |
| Internal Focus & Integration | <div><div>Clan</div><div>eg Pixar<br/>Japanese companies</div></div>                         | <div><div>Adhocracy</div><div>eg Google<br/>Amazon</div></div> |
|                              | <div><div>Hierarchy</div><div>eg Ford,<br/>McDonald’s<br/>Government departments</div></div> | <div><div>Market</div><div>eg Philips<br/>Xerox</div></div>    |
| Stability & Control          |                                                                                              |                                                                |

**SOURCE** Cameron & Quinn (2011)



different place on the competing values map. Each organization will therefore have a profile which, generally, spans across the dimensions and has elements of each quadrant within it.

As with all such frameworks, a number of questions arise:

- Is this cultural profile similar across all parts of the organization?
- If not, where are the major differences? Is there good reason for these differences, and if not, do we need to do anything?
- Is this profile the 'right' profile for the organization going forward?
- If not, how can we enact or stimulate change across the competing values framework?

For each of the quadrants Cameron and Quinn identify strategies, actions and leadership styles to shift an organization along the dimensions in its desired direction. So, for example, a government department identifying the need to be more externally focused and end-user responsive might set up an easily accessible call centre or 'neighbourhood shop' for advice giving. Likewise, a rapidly expanding start-up might need to build more of an infrastructure of systems and processes within its internal operations. Both Google and Amazon have had the challenges of being successful through having a culture of being flexible and externally focused but then needing to build an infrastructure and control systems.

In our experience, organizations can find cultural assessments or profiles extremely useful for a number of reasons:

- As with all frameworks they provide a way into understanding the world and making sense of some of the behaviours within the organization and how misalignments might occur.
- Whether warmly received or not, an organization's commitment to looking at culture can signal that there is a serious conversation about strategy and change happening.
- An important part of the strategy process is seeing whether the organization is fit for purpose, and any cultural diagnostic can help increase organizational self-awareness and suggest areas for evolution.
- It can generate discussions around how things are currently being done and what could be improved.

However, there are weaknesses. Remember Schein who says culture cannot be measured.

- The dimensions of the particular instrument may not be appropriate, relevant or comprehensive to this particular organization, in this particular situation and setting.

- They might not create any real depth of understanding and remain at a relatively surface level.
- They may dissect a phenomenon into discrete categories which actually, by definition, is a holistic concept.
- The instrument itself may not be very robust, in terms of published data on its validity (Sackmann 1991, Saffold 1988, Rousseau 1990).

## Values – the key to understanding culture

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In the same way Freud (1899) saw that ‘dreams are the royal road to the unconscious’, values offer a way to really understand culture and change. They form the bridge between an organization’s core identity and outward manifestations of behaviour.

### **Organizational values**

Hofstede *et al* (1990) state that:

The core of culture is formed by values, in the sense of broad, nonspecific feelings of good and evil, beautiful and ugly, normal and abnormal, rational and irrational – feelings that are often unconscious and rarely discussible, that can’t be observed as such but are manifested in alternatives of behaviour.

We can define values as ‘evaluative standards relating to work or the work environment’ (Dose, 1997). Both Deal and Kennedy (1999) and Collins and Porras (1994) see organization values as a set of shared values.

The business dictionary ([www.businessdictionary.com](http://www.businessdictionary.com)) defines values as:

Important and lasting beliefs or ideals shared by the members of a culture about what is good or bad and desirable or undesirable. Values have major influence on a person’s behaviour and attitude and serve as broad guidelines in all situations.

And Posner and Schmidt (1994) state that values are:

A silent power for understanding interpersonal and organizational life. Because they are at the core of people’s personality, values influence the choices they make, people they trust, the appeals they respond to, and the way they invest their time and energy. In turbulent times values give a sense of direction amid conflicting views and demands.

According to Schein, these values originated with the founders and leaders of the organization. And the values espoused were the ones which were enacted and led to the way of structuring the organization (in its broadest sense), which led to the behaviours that led to its continued success, which leads to those values being reinforced.

It is important to note that when organizations change their strategies and require a different way of doing things they may restate, refine, and reshape the set of values. These new values, as stated, suggested or directed by the leaders, are those that the organization should adopt. It is at this point that many staff and middle managers tend to express cynicism with senior managers. They recognize that an organization cannot simply change its values at will. If it could then, as we saw earlier with the work of Barney, there would be no competitive advantage, because other organizations would simply mimic them. However, if senior managers have gone through a rigorous strategic evaluation process, and have identified necessary shifts in their basic assumptions about the enterprise, the new espoused values can be seen as aspirational and indeed 'work in progress'.

The senior managers of a financial services company were refreshing their values to deliver a world-class customer experience. A key value was Integrity – doing what you say you will do.

The team did a self-assessment and came out with a 'score' of 7.8 out of 10. The chief operating officer was pleased with the result. As his coach, I said 'When it comes to Integrity, you either have it or you don't... 100 per cent or not at all'.

After the team had worked up their new strategy (with everyone expressing total team commitment) they delivered it at a management conference. One of the team was heard to say he disagreed with it; he was asked to resign the next day.

Bourne and Jenkins (2013) have identified four useful organizational value types:

- Espoused – the values as stated by senior managers and appearing on the organization's website, posters on the wall and other written documentation.
- Attributed – how people might describe the organization's values, what they see as important to the organization.
- Shared – those values that members, perhaps in smaller units than the whole organization, see as the ones they have in common with each other.
- Aspirational – those values which, in an ideal world, staff and managers would like the organization to be embodying and to which they would like their behaviours to accord.

*Espoused values carry considerable weight in organizations, but to consider them as a valid representation of the entirety of organizational values is problematic.*

*Attributed values therefore represent the history of the organization, but do not typically hold aspirations or intentions for the future.*

*The concept is also limited by the extent to which there can be any meaningful sense of shared values, particularly in larger organizations.*

*Representing the organization's values as an aggregation of the personal values of individual members is, however, clearly distinct from the espoused and attributed values forms.*

*In practical applications, Cameron and Quinn (2011) approach organizational culture change by assessing the gap between current, attributed values and future, aspirational values.*

*To summarize, organizations as social entities carry intentions for their future survival. Aspirational values are representations of these intentions held and so form a significant component of organizational values, but differ from espoused values by their location at the level of organizational members.*

Bourne and Jenkins (2013)

It is only when the new strategy and the new way of doing things are seen to be successful that the espoused values are integrated into the basic assumptions of the organization.

Thornbury (2000), in her important values-driven work with KPMG in revitalizing their company culture, sees the core values as being at the centre of understanding culture. Espoused values are those that 'an organization claims to hold, or temporarily promotes to suit a business need... [but] will not have any influence on the organization's culture if they are espoused but not practised'.

On the other hand, core values for an organization are the 'timeless guiding principles for behaviour, decisions and actions'.

It is these core values that business researchers such as Deal and Kennedy, Peters and Waterman, and Collins and Porras have seen as giving a business competitive advantage. There is good evidence of a relationship between an organization having strong, identifiable values and corporate success. The difference between good and visionary or great companies is that the latter have core values that are not compromised by the vagaries of the marketplace, but remain fixed and enduring (Stride 2011).



So having a clear vision, strategy and a set of core values leads to business success, and that is then reinforced in the evolution of the culture.

### ***Do your values have to match the organization's?***

Hofstede (1990) maintains that most values research is focused on the values of senior managers, not staff, who don't necessarily share the values of managers but enact their perception of the espoused working practices. Pruzan's (2001) research found that managers' espoused values may not even match the managers' own core individual values, let alone employees'. However, we do know that the values of leaders and senior management have a greater influence on organizational outcomes than those of other groups.

We also know that if there is an individual/organizational value fit there is likely to be greater employee commitment, in both times of stability and of change, which leads to less staff attrition and greater job satisfaction.

Schneider (1987) pointed out that people are attracted to organizations that enable them to achieve particular goals and outcomes. His attraction-selection-attrition (ASA) model states that members are attracted to, selected by, and removed from an organization on the basis of 'fit' with its orientation and characteristics. It is not the whole set of the individual's values that is relevant, but what we might call the values found in the work place. For example, there are no absolute differences in values between private or public sector workers, but there are significant differences in the values that workers bring to the fore in the workplace – advancement and prestige in the former, contribution to society in the latter (Lyons *et al* 2006).

In essence, we can see how an organization's culture forms through the ongoing business success of the enterprise, coupled with the 'winning formula' of the enacted behaviours and values of the senior leaders; initially through espoused values, but more sustainably through the core values and basic assumptions of the organization. People are attracted to and selected by the organization based on an individual and organizational values fit. Likewise they can be deselected by themselves or the organization if there is not a sufficient fit. The values fit can operate either at a deep level or with explicit or implicit agreement to the core or espoused values. Though in practice people may not share them but are merely following working practices – the surface manifestation of the values.

### ***Values in times of change***

The challenges when dealing with culture and values in times of change are:

- How do you articulate an authentic set of values which will underpin the organization's strategy?

- How do you embed those espoused values into the fabric of the organization?
- How do you manage the transition of individuals from bringing one set of values to work to a different set?

## Facilitating culture change

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This section looks at ways that cultural change can be approached using a number of frameworks and illustrations.

Two relatively accessible ways into seeing the components of cultural change are McKinsey's 7S model (which we looked at briefly in Chapter 3) and Johnson and Scholes' (1999) Cultural Web.

### *McKinsey's 7S*

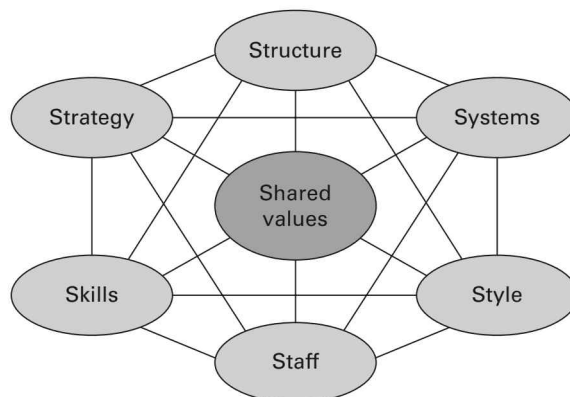
Organizational culture will be determined by the shape of each of the seven Ss and their interactions. It is a useful way of assessing the infrastructure of the organization as it is now, and what it needs to become in the future to maintain or attain a competitive advantage or sustained effective performance.

The 7S categories are:

- Staff – important categories of people within the organization; the mix, diversity, retention, development and maximizing of their potential.
- Skills – distinctive capabilities, knowledge and experience of key people.
- Systems – processes, IT systems, HR systems, knowledge management systems.
- Style – management style and culture.

**Figure 8.3** McKinsey 7S framework

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- Shared Values – guiding principles that make the organization what it is.
- Strategy – organizational goals and plan, use of resources.
- Structure – the organization chart, and how roles, responsibilities and accountabilities are distributed in furtherance of the strategy.

Strategy, Structure and Systems are the more tangible categories and therefore sometimes the ones that people concentrate on when managing change. If there are problems, managers often want to change the strategy, or upgrade the system or restructure. It is important to remember that these factors are all interconnected – if you change one aspect then that affects all the others. And they in turn interact with the external environment. Moving from the current to the intended culture is not just about changing the ‘easier’ factors but actually also about the whole system.

The framework can be used in a number of ways to help organize change:

- flesh out the desired state and begin to design a programme of intervention that would achieve it; or
- analyse the gap between the current reality and desired future state and design a process to bridge the gap.

Depending on the nature of the change you may choose one option or another. We show a real example from a social housing organization in Table 8.3.

**Table 8.3** Social housing 7S case study

| 7Ss       | Before                                                                                                                                          | After                                                                                                                                                                                                                                                                                                                                                                             | Change Process                                                                                                        |
|-----------|-------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| Strategy  | To improve homes to modern standards while keeping rents stable through high quality standards of maintenance work and internal cost efficiency | To be a leading provider of high-quality affordable homes and services and to help create thriving and successful communities through achieving excellent customer- and community-focused services; delivering more new homes and maintaining robust businesses.<br>This mission to be achieved by focus on growth through acquisition, internal development and diversification. | A major strategic shift resulting from a thorough review using PESTLE and SWOT and intensive stakeholder discussions. |
| Structure | Classical functional structure                                                                                                                  | Group of businesses with maximum autonomy with some shared central functions and corporate governance.                                                                                                                                                                                                                                                                            | Discussions around what the most enabling structure would be to allow a more entrepreneurial culture.                 |

(continued)

**Table 8.3** (Continued)

| <b>7Ss</b>                  | <b>Before</b>                                                                                | <b>After</b>                                                                                                                                                            | <b>Change Process</b>                                                                                                                                                                               |
|-----------------------------|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Systems (IT, HR, Financial) | Uniform systems, policies and procedures                                                     | Enhanced systems for an expanding group of companies tailored to each company's needs, but compatible with group decision making and strategy.                          | Systems refreshed and renewed to be fit for purpose, both in terms of service delivery and also ensuring people were motivated to behave in a different way.                                        |
| Management Style            | Autocratic, centralist style<br>Managerial                                                   | Authoritative, pace setting with distributed coaching leadership at a local level.                                                                                      | The leadership behaviours needed to be aligned with a new way of doing things and compatible with values. Accent on modelling new behaviours.                                                       |
| Staff                       | Right staff in the right part of the hierarchy                                               | Recruitment of staff to fit with new entrepreneurial ethos.                                                                                                             | Communications with current staff to ensure they understood the new competencies and values were translated into behavioural indicators. New staff attracted by the new ethos. Some old staff left. |
| Skills                      | Right skills to do business as usual                                                         | Equip staff to operate in a more competitive environment that is constantly changing. Greater cross-group working and sharing best practice.                            | A staff and management development programme instigated to support and challenge all employees.                                                                                                     |
| Shared Values               | Central ethos of providing a good quality service to customers with a looked-after workforce | Customer-responsive, honest, open and true to their word and fair to all. Within this there is a strong emphasis on involving and responding to the needs of customers. | Discussions throughout the organization and with stakeholders to develop a set of shared values with behavioural indicators. Original values were built on rather than dismissed.                   |

**SOURCE** Adapted from Green (2007a)



For example, in looking at the shift in management style from an autocratic, centralist managerial style to a more authoritative, pace-setting style with distributed coaching leadership at a local level, clearly you cannot wave a magic wand and all the managers start behaving in the new way. A structured management development programme – with options ranging from formal courses through to tailored on-site programmes to action learning sets and one-to-one coaching – would be realistic and appropriate. And of course the programme can be aligned, in time, with the structural changes that would allow and require more empowerment and distributed leadership. It can also be aligned with some of the systems changes that would allow a greater degree of autonomy in the new business units. In our experience, this is done by: agreeing a change agenda; setting up a myriad of small but powerful interventions (where leaders can lead or facilitate action); skilling people where required; then encouraging regular reviews of progress, and tough conversations about what's not shifting.

The systems themselves might be designed from a blank sheet of paper, with business analysts looking at key processes necessary for a group of independent operating companies with shared central services.

A dual approach might be taken to ensure that staff skills fit the desired state. A training needs analysis could be undertaken, looking at the desired competencies and identifying skills gaps in the existing staff. Training interventions could then be designed to raise the capabilities of those staff. In parallel, the HR department may wish to use a new set of behavioural competencies in their recruitment programmes.

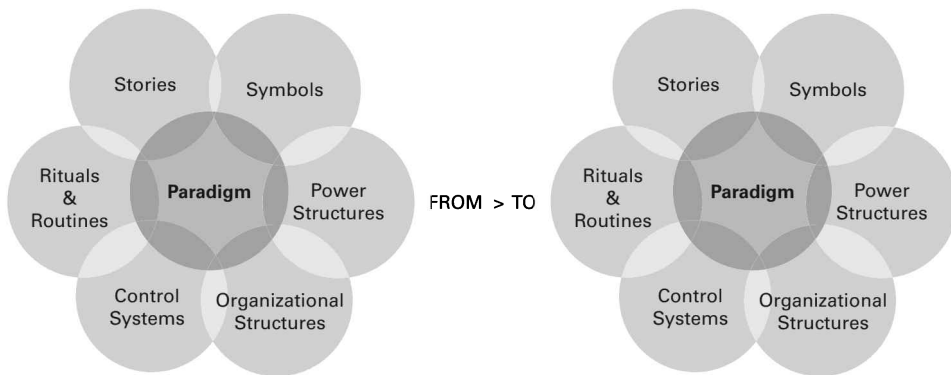
So we can see how the 7Ss can be used: first to diagnose the current internal state of the organization; second to articulate the desired future state; and third to start the process of working programmes of change.

## **Cultural web**

Johnson and Scholes (1999) have designed what they call a cultural web, the elements of which make up the prevailing culture of an organization and which, if adjusted, can enable cultural change to occur in support of the organizational change initiatives.

At the centre of this web is what they call the *Paradigm*, an underlying set of assumptions embodying what the organization is all about – where it is going, how it is going to get there, and the core values to which it adheres.

The organization's *Control Systems* monitor and evaluate its operating performance. Some organizations will have tight control systems (for example, banks or publicly accountable operations); others will be looser (for example, start-ups or more entrepreneurial firms).

**Figure 8.4** Cultural web

*Organizational Structures* will represent the hierarchical structure, lines of accountability and responsibility and communication and production flows.

*Power Structures* map out where power and authority lie in terms of decision making and mandate holding; whether power is centrally held or locally dispersed; whether leadership is located at the top of the organization, or whether it is distributed. And on what the power is based – whether it is position, role, expert power or personal charismatic power.

*Symbols* are artefacts or architecture that encapsulate what the organization values. These might include designs such as the corporate logo and uniform, and also include building design, office space and car parking space.

*Rituals and Routines* cover how the organization has come to organize and structure some of the things that it does – for example, the norm for organizational meetings, how reports are written and presented, how people are enfolded into the company, and how they leave.

*Stories and Myths* are what get chosen to be communicated formally and informally around the organization when describing significant events and personalities in its history, in its current situation or as part of its future strategy.

As the name implies, a web is very interconnected; one element will impact on others and be influenced in turn by them.

Table 8.4 illustrates an old cultural web compared to the preferred new one for a financial services organization.

### **Thornbury's approach at KPMG**

As part of her work with KPMG in revitalizing their company culture, Jan Thornbury utilized a framework which placed the accent on uncovering values. She recognized that artefacts can generally be changed; although that in itself will not bring about

**Table 8.4** Cultural web case study – financial services

| <b>Element of the cultural web</b> | <b>Old Culture</b>                                                                                             | <b>New Culture</b>                                                                                              | <b>Change Process</b>                                                                                                                    |
|------------------------------------|----------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Paradigm                           | Trustworthy<br>Reliable<br>'Steady as she goes'<br>Marketing led                                               | Entrepreneurial<br>Individual responsibility<br>Joint accountability<br>Sales driven                            | A new senior management team led a far-reaching strategic review to shift from a traditional centralist company to being 'fleet of foot' |
| Control Systems                    | Annual review<br>Planning committee<br>Financial reporting<br>Strong and tight compliance culture              | Business unit profit centres<br>Core 'tight' controls and discretionary<br>'loose' controls<br>Coaching culture | Decisions made to free up individual units to be autonomous without losing overall financial control                                     |
| Organizational Structures          | Functional<br>Technical departments<br>Pyramid                                                                 | Separate business units<br>Shared services<br>Flatter organization                                              | Shift from being internally focused with controlling ethos to external focus with flexibility                                            |
| Power Structures                   | Managing director<br>Credit board<br>Director of finance<br>Chief auditor                                      | Chief operating officer<br>Business unit MDs                                                                    | With new control systems and organizational structure, local unit heads given responsibility and accountability                          |
| Symbols                            | Tower block as HQ<br>Chauffeurs for executives<br>Staff restaurant                                             | New open plan building<br>Atrium with break-out areas<br>Riverside café                                         | Together with the symbolism the new offices enabled greater face-to-face discussion across levels and 'silos'                            |
| Rituals and Routines               | Board meetings<br>Annual reports<br>Summer party at the sports club                                            | Quarterly reviews<br>Business units<br>'doing their own thing'                                                  | Units quickly devised their own ways of running their business and creating their own identities                                         |
| Stories and Myths                  | Historical anecdotes<br>'Who you know' not 'what you do'<br>Gossip about the executive board<br>Diary watching | Sales successes<br>'What you achieve' not 'how long you've been there'<br>'Sales success' stories               | An element of rivalry sprang up between the units though the group had sufficient cohesion to keep this at a healthy level               |

**SOURCE** Adapted from Green (2007a)

any lasting change, nonetheless it does need to be done as part of the change. In one of the examples above, a fostering of cross-organizational co-operation and teamwork was enabled through the shift from a tower block to a much more open, lower building with a large open space where people could see each other and meet informally.

Using the 7S, it is possible to ask and answer questions such as ‘what structures and systems do we need to move towards to enable the other shifts we are wanting?’

Behaviours are harder to shift than artefacts. They involve changing people, and as we have seen in Chapter 1, people will be going through a psychological process as well as some learning and survival anxieties at this time. Thornbury stresses the importance of having ‘absolute commitment’ from the leadership. In addition she recognizes that behaviour change ‘requires focused initiatives and a high degree of sensitivity, patience and persistence’.

One of the key areas where people in organization become disaffected by change, and in particular cultural change (remembering that we needn’t be calling it that), is around values. We often hear tales of employees and middle managers reacting cynically when a new set of values has been announced by top management because it feels as if the management believes the organization and its people can simply adopt a different set of values overnight.

This is why any espoused values articulated by senior management must be communicated and understood and their behavioural implications explained. Crucially, espoused values need to be role-modelled by those who have generated them. And the working practices associated with them need to be described so that individuals and teams have a clear understanding of how they are meant to behave.

For example, one of the authors assisted their client in identifying the values and developing the related behaviours necessary to deliver strategic success and organizational performance (Table 8.5).

The transition from espoused values to ensuring they are values in practice and therefore become core values is acknowledged to be a very slow process. Thornbury makes the point that identifying what is currently good about the current set is as just as important as recognizing that some may need to shift.

Thornbury recommends that the change agent:

- 1** Aligns artefacts with the values of the desired culture by making organizational changes eg to processes, systems, rewards and recognition, power structures, communications etc.
- 2** Ensures that the behaviours that support the desired values become the norm, by running behaviour change initiatives and personal development activities.
- 3** Makes clear that the espoused values represent an aspiration, as core values take time to become embedded.

**Table 8.5** Values and behaviours case study**Value: integrity**

## Behaviours:

- Expressing views and opinions in an open, honest and constructive way.
- Consistently delivering on their promises and commitments.
- Taking accountability for decisions and actions.

**Value: unity**

## Behaviours:

- Contributing enthusiastically to team goals, sharing and aligning own objectives with team(s).
- Supporting and encouraging players on their own team and other teams.
- Building personal success on team success and contributing to other teams' success.

**Value: diversity**

## Behaviours:

- Treating diverse views, cultures and communities with respect.
- Learning from the variety of different cultures, countries, functions and teams within the organization.
- Acknowledging different approaches and seeking win-win solutions.

**Value: performance with passion**

## Behaviours:

- Setting and exceeding stretching targets, individually and in teams.
- Demonstrating high levels of pace, energy and commitment in achieving goals.
- Finding new opportunities to improve their game and being courageous by trying them.

**Value: celebration**

## Behaviours:

- Sharing success, recognizing and rewarding achievement of other players.
- Encouraging the celebration of success and building a 'success leads to more success' culture.
- Having a can-do mentality and encouraging others to do the same.

**Value: learning**

## Behaviours:

- Being proactive in professional and personal development.
- Sharing learning and supporting the development of other players.
- Going outside the 'comfort zone', challenging the status quo, and learning from mistakes.

There were certain tenets that Thornbury adopted that contributed to the success of the revitalization:

- get people involved from across the organization;
- use existing 'delivery mechanisms' to piggy-back on, rather than create separate work streams, projects or events;
- value especially the contributions of people close to the core business and the customers;
- capture the imagination of staff and managers with innovative ideas and mechanisms throughout the whole process;
- make the process facilitative rather than directive.

KPMG identified and focused on five key elements in the culture change process:

- Leadership alignment: ensuring a critical mass of the leadership community stepped up, acted as role models and actively and demonstrably sponsored the changes.
- Personal and team development: focusing on providing individuals, teams and their managers with the necessary training and personal development to understand what behavioural changes were necessary, to undertake self-assessment and equip them with the necessary tools to change.
- Communication: ensuring that there was rich, two-way communications throughout the programme to inculcate the new ways of doing things.
- Managing the culture change process: ensuring local change agents were able to confidently use the necessary research, design and delivery of events, facilitation and evaluation skills.
- Content of the culture change: giving the change agents the necessary knowledge and understanding of the strategy, rationale for the values, etc.

## ***How leaders can stimulate and reinforce culture change***

Organizational culture is the key to organizational excellence... and the function of leadership is the creation and management of culture...

Edgar Schein

Leaders clearly have a crucial role to play in supporting cultural change. According to Higgs (2006) up to 60 per cent of business performance can be attributable to culture, and up to 80 per cent of culture can be attributed to leadership behaviour. The conclusion is that leadership behaviours are clearly correlated to business performance. However, according to a UK MORI poll (2014) only one-third of staff see their manager as a role model.

So, given that an organization's original culture is developed out of the enacted values of its leaders; that the espoused and core values of senior managers are key determinants in an organization's success; and that we have seen that leaders play a pivotal role in creating and sustaining cultural change; we can follow Schein's advice and focus on what it is that leaders should be doing to embed and transmit culture.

This happens day to day when the organization is operating in 'business as usual' mode, as well as when the organization is undergoing change. Leadership behaviours will reinforce the current culture, suggesting to staff that what is now emerging is important in what and how things are done, as well as demonstrate alignment with the preferred culture when implementing change. The box on the next page shows Schein's list of what a leader can do or focus on in order to shift the culture.

#### Primary embedding mechanisms

- What leaders pay attention to, measure, and control on a regular basis
- How leaders react to critical incidents and organizational crises
- How leaders allocate resources
- Deliberate role-modelling, teaching, and coaching by leaders
- How leaders allocate rewards and status
- How leaders recruit, select, promote and excommunicate

#### Secondary articulation and reinforcement mechanisms

- Organizational design and structure
- Organizational systems and procedures
- Rites and rituals of the organization
- Design of physical spaces, facades, buildings
- Stories about important events and people
- Formal statements of organizational philosophy, creeds and charters

Schein, E (2004)

As Schein notes, the six primary mechanisms 'are the major tools that leaders have available to them to teach their organizations how to perceive, think, feel, and behave based on their own conscious and unconscious convictions', whereas the secondary mechanisms tend to be cultural reinforcement tools, especially in newer organizations. They work to the extent that the primary mechanisms are in place and being done.

Aitken's research supports this view, and links it to the idea that leaders' communications and behaviours that support more non-hierarchical and more flexible cross-organizational patterns of co-operation, beginning with deliberate leadership role-modelling, will engender a culture more supportive of change. Aitken (2007) suggests the development of what he calls a 'leadership culture'. He defines it as:

... that amalgam of primary purpose, critical behaviours and essential personal values; uncovered, identified and agreed by the leaders as authentic and functional for their organization's culture (whole or part), which the leaders (formal and emergent) role-model through their everyday communications and actions.

The new head of organization development arrives in the car park on the first day in his new role and pulls up and throws away the sign that says 'Space reserved for senior management'.

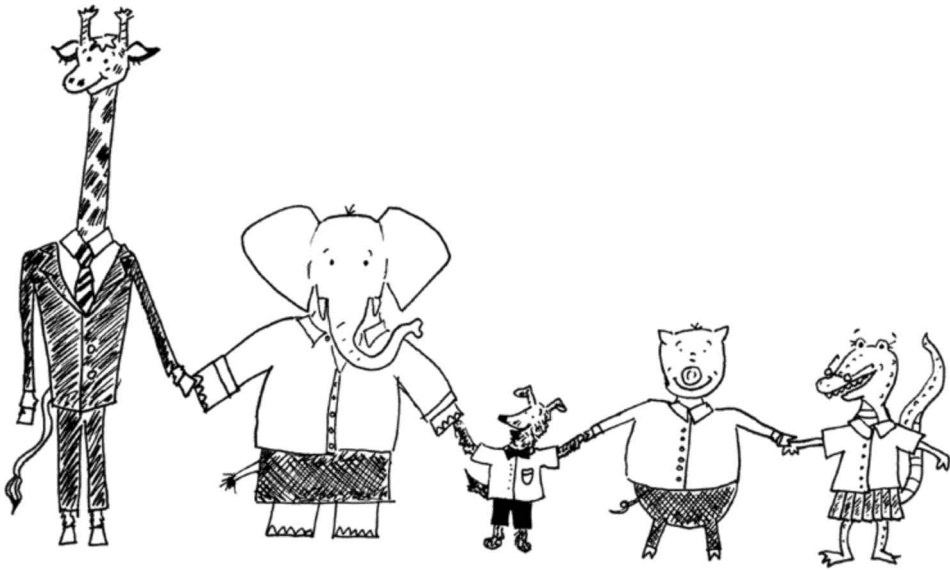
## ***Emerging embedding processes***

Since the turn of the millennium there has been increasing interest in other, less traditional ways of influencing people and their behaviour. From the fields of behavioural science and behavioural economics, a number of authors (Gladwell (2000), Herrero (2008), Kahneman (2011) and Thaler and Sunstein (2009)) have suggested different mechanisms for shaping cultures.

Gladwell (2000), building on the Pareto principle that 80 per cent of the impact can be achieved by 20 per cent of the people, identified three key characteristics of people who were able to move a situation towards its final objective by reaching the 'tipping point' (which he defined as the moment of critical mass). Firstly, they needed to be excellent 'connectors' who had a flair for engaging and connecting with people and developing a network of connectivity, conversations and communication. They are able to achieve this 'ability to span many different worlds [through] some combination of curiosity, self-confidence, sociability, and energy'. Secondly, as part of this connectivity and communication is their passion for being 'mavens' or information specialists, discovering information and disseminating it. This includes the desire to solve their own problems and help others in solving theirs – 'mavens are really information brokers, sharing and trading what they know'. The final characteristic is the 'salesperson' who is able to have influence and impact due to their presence.

Gladwell suggests that 'ideas and products and messages and behaviors spread like viruses' and that change agents should make effective use of this phenomenon. Likewise, Herrero (2008) sees that real change occurs in organizations through the concept of what he calls Viral Change™ which has a number of key principles





including the central idea that what is required is behaviour change which will in turn lead to cultural change. These are not top-down or bottom-up centrally-controlled sets of behaviours. He suggests that it entails:

- the uncovering and articulation of a small set of non-negotiable behaviours to sustain the change goals;
- the identification of and reaching out to a small number of well-connected and influencing employees;
- the ongoing coaching and support to that community of champions; and
- the capturing of changes and tracking of progress via stories and other means.

[www.thechalfontproject.com](http://www.thechalfontproject.com)

Storytelling is a crucial element of this. As we have seen earlier in the chapter, the cultural web identifies that the stories that are told and retold help shape the culture. The stories that used to be told can be reduced while the stories that help frame and explain the new strategy can be accentuated.

Building on this, Snowden (2005) emphasizes that ‘storytelling is a uniting and defining component of all communities. The quality of storytelling and its conformity or otherwise with desired corporate values is one measure of the overall health of an organization. Stories exist in all organizations; managed and purposeful storytelling provides a powerful mechanism for the disclosure of intellectual or knowledge assets in companies. It can also provide a non-intrusive, organic means of producing sustainable cultural change, conveying brands and values, and transferring complex tacit knowledge.

Thaler and Sunstein (2009) have popularized the concept of subtly changing the way that people behave through the use of a nudge, which ‘is any aspect of the choice architecture that alters people’s behaviour in a predictable way without forbidding any options or significantly changing their economic incentives. To count as a mere nudge, the intervention must be easy and cheap to avoid. Nudges are not mandates. Putting fruit at eye level counts as a nudge. Banning junk food does not.’ Currently a number of national governments have taken to this idea, with, for example, the UK Government setting up a Behavioural Insights Team (see box below) which ‘brings together ideas from a range of inter-related academic disciplines (behavioural economics, psychology, and social anthropology). These fields seek to understand how individuals take decisions in practice and how they are likely to respond to options. Their insights enable us to design policies or interventions that can encourage, support and enable people to make better choices for themselves and society.’ This clearly has implications for how organizations can more subtly influence the way people move to a different way of behaving and the way they do things around here, most notably in developing effective health and safety cultures.

- Automatically enrolling individuals on to pension schemes has increased saving rates for those employed by large firms in the UK from 61 per cent to 83 per cent.
- Informing people who failed to pay their tax that most other people had already paid increased payment rates by over 5 percentage points.
- Encouraging jobseekers to actively commit to undertaking job search activities increased their chance of finding a new job.
- Prompting people to join the Organ Donor Register using reciprocity messages (‘if you needed an organ, would you take one?’) adds 100,000 people to the register in one year.

<http://www.behaviouralinsights.co.uk/>

A key factor in all of these processes of inculcating culture change is communication, and of course, we have been witnessing a revolution in the way we are all communicating through social media. Never before has there been the ability to communicate across hierarchical levels, across organizational boundaries, using formal and informal, open and covert mechanisms. Euan Semple (2012) at the BBC was one of the first to introduce what have since become known as social media tools into a large, successful organization. He charts the emerging paradigm shift as both senior managers and employees across organizations see the liberating power of social media tools. Here are a few snippets from his groundbreaking book:

- Power is shifting from institutions and corporations to networks and individuals.
- Our new opportunities for connectedness will change how we see the world.
- Chaos needn't be the only alternative to our current way of controlling society.
- Networks intertwine with our more formal structures and help us to navigate the people in our organizations.
- Building networks that are large and diverse gives us more power – especially at work.
- Use the web to help people connect across geographical, political... and organizational barriers.
- If we can cross barriers and share problems we have a chance to work on them together.
- Communication has to not only pass on information but also to make people care about what is being conveyed.
- People learn best from each other and access to the real experiences of real people is one of the most effective ways to learn.
- Conversations aren't trivial. Culture is reinforced by shared conversations and understanding.
- Managers will be less able to rely on formal authority and will achieve influence through the quality of their relationships.
- Knowing all the answers is an increasingly impossible expectation.

Sample (2012)

All of these emerging ideas around culture change sit most comfortably with the organism and flux and transformation metaphors and require a way of framing the nature of change and seeing culture as a system. We will look more closely at some of these concepts in the Complex Change chapter (Chapter 11).

## Shifting sands of culture

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The conventional wisdom is that culture is formed by the 'founding fathers' of an organization and that culture is underpinned by the values of those leaders with the behaviours derived from those values. In addition, traditionally, organizations have been seen to have one homogenous culture.

However, we are increasingly faced with a number of interesting questions that muddy the waters:

- How is organizational culture sustained when the organization has a presence in locations around the world?
- How do multi-cultural teams impact the organizational culture?

- With increasing gender equality at senior level, what impact is there on leaders' style and values?
- What is the effect of virtual teamwork on culture?
- How does remote working impact the sustaining of culture?
- In what ways do different generational values interact with organizational culture?
- How does an organization sustain its culture when outsourcing, entering shared service agreements, working in partnership or in a multi-agency setting?
- What is the impact of reducing job tenure and increasing mobility on an organization's culture?
- In what ways will the levelling effect of and capacity for communication across social media influence the way we address culture change?

In order to answer these questions it is worth returning to the discussions we had concerning values within an organization. Hofstede *et al* (1990) proposed that employees didn't necessarily share the values but 'a perception of working practices'. When contrasting national and organizational cultures he determined that 'cultural differences between nations are particularly found at the deepest level, the level of values. In comparison, cultural differences among organizations are principally identified at the level of practices. Practices are more tangible than values.'

Previously Meyerson and Martin (1987) had highlighted three particular ways we could see organizational culture:

- an Integration approach which suggested that there could indeed be one culture, shaped by the leadership which acted as a cohesive force;
- a Differentiation view which allowed for a number of sub-cultures within the organization which could at times be aligned and at other times in contradistinction; and
- an Ambiguity view where there are differences that cannot be reconciled so 'individuals share some viewpoints, disagree about some and are ignorant and indifferent to others'.

At times in this book we have suggested it is problematic whether change can be managed. We think it is even more so when it comes to culture. Can culture actually be managed, and indeed is there one distinct culture anyway? Our sense is that it is possible to nurture culture, and grow a unifying set of behaviours, but the process for doing this is complex!

## Summary of key principles of cultural change

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This is a summary of the key principles which we hope will help you to address the issues of culture change in your own organization.

## ***Always link to the strategy***

Use an iterative process to establish core cultural strengths while also focusing on the business strategy, organizational vision, mission and objectives to determine what organization capability or core competencies need to be developed. A clear vision and articulation of the values is often required to catalyse action, especially if it translates well into specific tasks.

The greater the clarity of focus the greater the chance one has of aligning people, processes, systems and structures to this end. It is no use if there are many initiatives that are not joined up, although that doesn't mean there has to be just one top-down plan. Many fires can be lit as long as there is an underlying coherence.

## ***Build on core cultural strengths***

Wherever possible, start from recognizing the existing culture is what it is and build on its strengths. Of course, there has to be a detailed analysis of all of the external factors, competitive position, stakeholder expectations and customer needs; but the decision on a new strategy is a result of the interplay between the detailed external and internal analysis, taking into account the existing values, attitudes and behaviours. Any changed strategy is chosen in relation to the strengths of the culture rather than the culture changed in relation to the strategy.

## ***Shift mindsets, continually reinforce, sustain***

The introduction of a 'foreign element' (see pp 34–36) into the organizational system is a good way of making change happen, be it external or internal. It needs to unlock and unblock energy to kick-start the process and also requires plans and processes in place to keep momentum going. Sometimes this may require an uncompromising attitude.

This continued momentum is critical, and needs to be sustained over a considerable period of time – so leadership resilience is also a key factor.

Senior management must be seen to be sponsoring, but with a growing number of people involved and energized. Viral change principles and Nudge philosophy can help.

## ***Attend to stakeholder issues***

Different stakeholders will have different experiences. Internal stakeholders need to create the behaviours which are likely to translate the espoused values into the core values, and this will be manifested by the experiences that external stakeholders have.

So for an organization to be successful in its strategy it needs to focus on enabling internal stakeholders to adopt the new way of working and be clear as to how this translates into the external stakeholders' experiences.

### ***Remember that the how is as important as the what – role-modelling is key***

Culture is about the way you do things around the organization. So if your organization has a set of core values you need to be managing the cultural change in line with these values.

Managers need to act as role models. They will need to model the new values but also support individuals and teams through a period of upheaval. This can be done through using some of the strategies outlined in the other chapters of this book.

### ***Build on the old, and step into the new***

If you want to shift the organization from one way of doing things to a new way of doing things then you will need to start to step into the new culture. Seek to retain and build on the current cultural strengths and begin to model aspects of the new culture – if you want a coaching culture then start coaching; if you want people to be empowered then start empowering! Look at how the structure, systems, skills and management style need to change to support the new culture.

With the changing landscape, ensure that the stories being told reflect the new or future realities.

### ***Generate enabling mechanisms***

It is important to generate enabling mechanisms such as reward systems and planning and performance management systems that support the objectives and preferred behaviours of the new culture. Processes and standards must support the desired behaviours. An organization cannot strive for a quality service, for instance, if the culture does not support people doing quality things.

Using one or more of the cultural tools mentioned in this chapter (for example, the competing values framework, the cultural web, the 7Ss) can help guide you into the initiatives you need to be implementing.

### ***Create a community of focused and flexible leaders***

Organizations do not change by themselves – all of the Five Leadership Qualities (FLQ) will be called for during a period of cultural change (see Chapter 4). However,

it would be a mistake to believe that any one individual could carry this off by themselves.

Commitment to culture change cannot be developed by e-mail, or by memo alone. It has to be done face to face and in real time. Cultural change is achieved through action rather than words, so people need to see their managers doing it as well as talking about it.

### ***Insist on collective ownership of the changes***

One common trap is to make the HR department the owners of cultural change, while the CEO and the senior management team own the changes in business strategy. This type of functional decomposition of a change initiative is doomed to failure.

The greater the depth and breadth of people involved in diagnosing the current state, developing a vision of where the organization needs to be heading, and generating solutions to bridge the gap, then the more chance the organization has of gaining sufficient momentum for change.

### ***When working across boundaries apply due diligence and make the implicit explicit***

Whether the boundaries are departmental, functional, organizational, national, or generational, change agents will encounter cultural differences. These are grist to the mill for understanding and it is important to see how the difference plays out in thinking, feeling, behaving and communication within the relationship. By noticing, naming and attending to these phenomena we can consciously work more effectively across these boundaries.

### ***When dealing with culture stand outside and use double and triple loop learning***

Because we tend to be immersed within the culture when working with it, we need to develop mechanisms for being able to step outside of it in order to re-enter and make sense of it to intervene within it. Heifetz's injunction to get onto the balcony to see what is occurring within the system is good advice. Likewise, Argyris and Schon (1974) discuss ways we can learn at different levels:

- Single Loop Learning – where you respond in set ways according to the conscious or sub-conscious rules that have been culturally determined.
- Double Loop Learning – this occurs when you take a step back and reflect upon whether the way you are responding is the most sensible way to respond. This involves looking at the process as well as the situation.

- Triple Loop Learning – this involves ‘learning how to learn’. So you begin to not only reflect upon whether to change the process but you are also reflecting upon how you are thinking about reaching that decision.

Double and Triple Loop Learning practices help you step outside of the culture and look at the basic assumptions operating within it.



# 09

# Digital transformation

This chapter sets out to explain what is meant by digital transformation, what is driving this apparent ‘imperative’ for many organizations and how best to go about it. In particular we look at devising a strategy, framing the journey, re-thinking organizational governance, and establishing the right culture, leadership and change management approach. We also explore the bigger questions that lie within digital transformation, such as ethical issues and the impact on individuals and society.

## The digital challenge

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Digital transformation is now an imperative for any organization that wishes to stay competitive. The use of mobile devices and proliferation of the internet has continued to grow over the past 20 years, dramatically changing customer and employee expectations and behaviours in all sectors. Disruptive technologies such as artificial intelligence (AI), machine learning (ML), blockchain, augmented reality and virtual reality (AR and VR), and the internet of things (IoT) are rapidly changing the way people lead their lives.

Every year, for the same money, computer power doubles, and prediction horizons for strategists regarding what this rate of technological change could mean for the future are now no longer than three years (Hammersley, 2018). Fundamentally, the rate at which technology, society and culture is changing, for good or bad, cannot be ignored by any organization.

### IMPORTANT ACRONYMS

AI artificial intelligence

ML machine learning

AR artificial reality

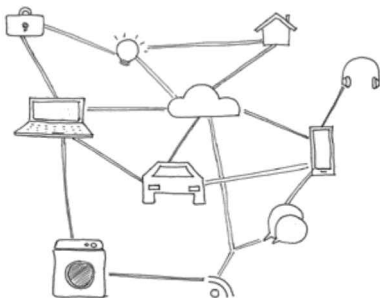
VR virtual reality

IoT internet of things

In basic terms, these new technologies, used via internet-based applications, with real-time data analytics and the introduction of disruptive innovations, lead to business success if developed in a way that meets customer demands and expectations. Collin (2015) suggests that the first-level benefits are clearly ‘increasing revenue via new online sales opportunities, improving operational efficiency via increased level of automation, and reducing fixed assets via new cloud-based business models’. He adds that ‘The most significant implication is the rise of data-driven, networked business models that can bring step-wise improvements in customer value across existing industry boundaries’.

It’s essential for any organizational leader to be aware of the most important current developments in digital transformation. This list of trends gives a useful summary of what’s ‘hot’ at time of writing (Newman, 2018):

- Introduction of 5G mobile, bringing faster, innovative services.
- Improved chatbots using natural language processing via AI. (This is giving rise to concerns about job losses, see later under ‘Bigger questions’.)
- Companies migrating to multicloud; a mixture of public, private and data centre options.
- Blockchain developments have much potential, but still need work before they can be readily understood and used more widely.
- ‘Data’ will continue to be central, and companies will strive to make best use of the huge amounts of data they are now collecting. This will be done using ML and AI, and the goal is to be able to make high-quality decisions about products and services, strategy, employees and more (read about the ethics of this below under ‘Bigger questions’).
- Following the EU’s focus on the General Data Protection Regulation (GDPR), customers are now getting more savvy and informed about which companies care about the data security of their customers. This is likely to put pressure on companies to be more reputation-aware in this regard.



- Increased use of AR in products and training.
- Advances around the cluster of four technologies: IoT, edge computing, AI and ML. This means, in the vision of the ‘smart home’ for example, data processing being performed in real time, on devices near or in the place where data is collected, rather than in the cloud.

- Companies being more discerning about the IT services they use, drawing on these and dropping them as required.
- More CEOs taking the reins on digital transformation, rather than delegating to marketing, IT or HR.

No sector is safe from the pressure to grow digital capability (Fitzgerald *et al*, 2013), with media and entertainment, retail and high tech at the forefront, and manufacturing lagging behind. The IT function now has a dual role, providing corporate tasks as well as product and service innovations and improvements. Many commentators emphasize the need for all organizations to engage in the challenge of digital transformation before they are overtaken by competitors.

However, the bigger picture indicates that progress has only just begun (Bughin *et al*, 2017) with global industries less than 40 per cent digitized on average. As this movement progresses, the prediction is that revenue and profit growth will dampen for the bottom quartile of companies while the top quartile will capture disproportionate gains. Those that initiate and execute digital disruptions effectively will have the most to gain. Followers will not be far behind.

Bughin *et al* go on to say of the most successful companies surveyed in terms of revenue growth, EBIT (earnings before interest and taxes) growth and return on digital investment: ‘We found that more than twice as many leading companies closely tie their digital and corporate strategies than don’t. What’s more, winners tend to respond to digitalization by changing their corporate strategies significantly. This makes intuitive sense: many digital disruptions require fundamental changes to business models. Further, 49 per cent of leading companies are investing in digital more than their counterparts do, compared with only 5 per cent of the laggards, 90 per cent of which invest less than their counterparts. It’s unclear which way the causation runs, of course, but it does appear that heavy digital investment is a differentiator’.

So, in summary this means key success factors are likely to be:

- aligning digital strategy with corporate strategy;
- conducting a significant review of corporate strategy;
- investing in digital as generously and strategically as possible.

Bughin *et al* also indicate that primary strategic digital focus of all the companies surveyed has tended to be on the following, with marketing and distribution channels as expected, and supply chains surprisingly low:

- Marketing and distribution channels (49%).
- Products and services (21%).
- Business processes (14%).

- New entrants acting in ecosystems\* (13%).
- Supply chains (2%).

\*Ecosystems are networks of organizations or people using collaborative and/or application-sharing platforms. Platforms can be internal or external to an organization, and are designed to enable networking, collaboration and the creation of value within a set of rules.

### THE USER-LED NATURE OF DIGITAL TRANSFORMATION

Geoff York (2017), a service manager from the NHS in the UK says that digital transformation should not be the trendy new term for a technology update or for old ideas such as business process re-engineering (BPR) or total quality management (TQM).

He says it's really a combination of all these things, tailored to your particular organization's culture. The absolutely essential piece, which is new to some, insists York, 'is that whatever shape digital transformation takes in your organization it is led by end-user experience; it doesn't matter if that end-user is a patient, a doctor, a blood donor, a farmer, a finance director, a delivery man, a butcher, a baker or a candlestick maker – enhance their experience'.

The challenges being faced by leaders can be separated into *external and strategic*, and *internal and organizational*. The following were identified through recent, extensive research into private- and public-sector organizations engaged in long-term digital transformation processes (Andersson *et al*, 2018).

### External and strategic issues

- 1 Managing the important roles and market positions of technical platforms: particularly relevant when platforms are being used as intermediaries in service innovation.
- 2 Managing big data: creating new value-based services from digitalization. Challenges include whether to outsource this, how much to collaborate externally and the ethics of this.
- 3 Coping with user-centric systems: meeting the power of consumer networks with marketing at the centre. This includes best ways of interacting in novel ways with

digitalized customers, and doing back-office analysis of customers' new digital journeys and behaviours.

- 4 Go-to-market and scalability: going from digital pilots to the shaping of a new market. In the tricky transition from pilot test to being able to serve larger markets many questions arise, eg which parts of any new business model can be stabilized, and which need to be kept more flexible and adaptable.
- 5 Managing digitalization and service transformation: shifting from product to service-based business models, eg Philips launching its concept of 'lighting as a service'. This requires new organizational principles, structures and customer interaction processes.
- 6 Shaping new cooperative business models: digitalization opens up the need for cross-industry and cross-business interdependencies, eg among many actors via the idea of 'smart cities'. New bilateral collaborations are also required, eg Volvo and Ericsson regarding the Connected Vehicle Cloud. New platforms and processes are required.
- 7 Managing new digital entrepreneurs and their rapid processes of intermediating, although this can go both ways: large and small companies create strategic partnerships together, which serve both parties. Sometimes new entrants quickly become the party having most contact with the customer. In other situations, eg telecom and IT players, 're-intermediate' by allowing smaller players within small marketing budgets to enter the market.
- 8 Creating new business across industry boundaries and industry logics, because digital technologies can cause markets to converge in new ways: previously unrelated sectors unexpectedly become dependent on each other, eg in the 'smart home' scenario, bringing together home appliance manufacturers, gaming systems, telecoms, etc.
- 9 Reorganization of digitalizing customers: managing organizational buyer alliances. In the digital world, purchasing power gravitates towards executives outside of regular IT or purchasing functions, making the purchasing process more complex for technology providers. Larger-scale projects such as 'smart cities' require the creation of functioning constellations of buyers if they are to move from pilot stages to large-scale implementation.
- 10 Managing the political and institutional challenges of digitalization: companies want to create value from data and citizens wish to protect their privacy and security; these interests need to be balanced by policy makers. This is a big strategic challenge for many companies: how to respond to and maybe influence new policy-making.

## ***Internal and organizational issues***

- 1** Leadership challenges: the digital strategy needs to be driven by the CEO and the executive team, not just by IT or the CDO (chief digital officer). Also, new collaborative tools tend to kick-start a move away from hierarchical approaches to leadership.
- 2** New skills, resources and internal capabilities: this includes increasing competition for skills such as technological experience, the tactical and strategic application of this, and the use and development of platforms.
- 3** Customer orientation and customer-oriented working practices: customers are likely to be participating more and becoming more closely connected to the digitalizing organization. This requires new skills, structures and processes.
- 4** Internal organizational structure and responsibilities: two challenges exist. The first is how to manage the transition from old systems to new. The second is how to support the development of flatter structures that tend to form via the use of platforms for collaboration.
- 5** Internal processes for continuous experimentation and user orientation: the digitalizing organization needs to consider reducing its planning cycles and focusing on shorter horizons to allow more experimentation. Increased user orientation means more focus on their digitalization processes too.
- 6** Internal cultural challenges: most of these challenges have been touched on already in 1–5 above. CEOs and leaders need to be ready to face these.
- 7** Change management challenges: the change process of digital transformation is challenging and often organizations are not prepared for this, particularly the type of change process required. One of three change management approaches tends to be used, with different pros and cons: i) directly transforming existing processes; ii) creating a new ‘digital unit’ independent of the existing organization, which acts as a start-up; or iii) build a parallel business that acts as a digital incubator (more on these approaches later in the chapter).

Many of the above internal themes are echoed in the Altimeter survey (Solis and Littleton, 2017), which identifies the top six digital challenges for business as:

- Low digital literacy or expertise among employees and leadership (31.4%).
  - Digital transformation is viewed as a cost centre (30.9%).
  - Company culture (30.5%).
- and also...
- Lack of budget (30.5%).

- Lack of staff resources (30.1%).
- Legal, risk management and/or compliance concerns (24.6%).

(Percentages indicate the proportion of respondents giving that answer.)

### ***Focus on public sector***

It seems that public bodies are struggling with digital transformation in a similar way to commercial organizations. In a recent survey of 1,200 government officials in 70 countries around the world (Eggers and Bellman, 2015), 75 per cent were experiencing the disruptive effects of digital technologies, and all of these respondents said the impact was significant.

The two main drivers of digital transformation for public sector are cost and budget concerns, and citizen demands. Only 14 per cent of respondents overall cited government directives as a driver, although these results differ widely across countries.

Digital maturity in the public sector is characterized by those working in this sector as:

- having an agreed strategy that focuses on fundamental transformation of processes;
- the leaders in the organization are digitally sophisticated;
- there is adequate investment in getting the right workforce skills;
- user focus is central to the transformation work, including gathering feedback;
- the culture is not risk averse, fosters innovation and is collaborative.

#### **TRANSPORT FOR LONDON (TfL) MOBILE PROGRAMME FOSTERS COLLABORATION WITHIN TEAMS**

Alastair Montgomery, a TfL system solution manager, tells the story of a typically busy afternoon in central London. An issue was found on the railway network, but in an extremely tricky place: it was inside a tunnel, and there was no possibility of reversing the trains. Normally, this would mean an engineer visiting the location in person and fixing the problem, which in turn would mean closing the line for the whole day, causing a myriad of rescheduling complexities.

However, TfL's new mobile programme brought a completely new way of working with this issue. Line operators, who now have access to mobile devices via Wi-Fi points across the whole the rail network, examined the situation and determined that the issue was manageable. They took photos with an iPad and sent them, with mark-ups, to the engineering unit. The engineers reviewed the photos and decided

to implement a temporary fix to the network, which meant the trains could carry on operating, at a slightly slower pace.

This story indicates how even the simplest of digital technologies can enable completely different forms of collaboration within teams. More widely, this programme is opening up possibility for cultural change in the organization by focusing on how, not whether, technology can help improve team and individual performance. Alistair Montgomery added 'It shows the power of the technology when you allow mobile to be used in a way that makes sense in the work environment'.

**SOURCE** Adapted from Eggers and Bellman (2015)

## ***Serious questions***

In all sectors, the role of digital technology is shifting from just being a driver of marginal efficiency, to being a key enabler of fundamental innovation and disruption in multiple sectors. The resulting impact of this rapid digitalization on the economy, business and wider society raises serious questions (Andersson *et al*, 2018). The apparent rush to innovate and disrupt without necessarily stopping to consider the wider consequences, while singularly driving for profit and shareholder gain, is a concern for many people. See more below under the section on 'Bigger questions' regarding ethics.

### **EXTERNAL PLATFORMS AND ECOSYSTEMS**

The external platform represents a new business model that uses technology to connect people, organizations and resources in an interactive ecosystem, in which astonishing amounts of value can be created and exchanged. Airbnb, Uber, Alibaba and Facebook are just four examples from a list of disruptive platforms that also includes Amazon, YouTube, eBay, Wikipedia, iPhone, Upwork, Twitter, KAYAK, Instagram, Pinterest and dozens more. Each is unique and focused on a distinctive industry and market. And each has harnessed the power of the platform to transform a swathe of the global economy. Many more comparable transformations are on the horizon.

The external platform's overarching purpose: to consummate matches among users and facilitate the exchange of goods, services, or social currency, thereby enabling value creation for all participants.

**SOURCE** Adapted from Parker *et al* (2016)



## Importance of digital transformation strategy

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The imperative to get involved in a wide-scale digital transformation is heightening every day in most sectors. Embarking on a digital journey is a significant endeavour for any organization, and is likely to impact products and services, business processes, sales channels and supply chains. In fact entire business models are often overturned through this work. Organizations need to ask themselves some big strategic questions about how to make best use of digitalization to become more effective in what they do, and more successful in meeting their longer-term ambitions.

### **Conceptual framework**

A useful, broad conceptual framework for formulating a digital transformation strategy is proposed by Hess *et al* (2016). The digital transformation framework (DTF) identifies four key dimensions of every digital transformation initiative:

- The use of technologies: the way new technologies will be explored and exploited.
- Changes in value creation: the way digital transformation will impact the organization's value creation.
- Structural changes: the types of changes to structures, processes and skill sets necessary to deal with and exploit new technologies.
- Financial aspects: the organization's level of need to save a struggling business, as well as its ability or preparedness to finance digital transformation.

Hess *et al* make distinctions between a 'digitally enriched IT strategy', a 'digital business strategy' and a 'digital transformation strategy'. A digitally enriched IT strategy evolves from a functional strategy and tends to treat technology in isolation, focusing on efficient implementation of applications. It doesn't map out all the interconnected threads with core parts of the business. A 'digital business strategy' attempts to integrate these elements more comprehensively, yet focuses mostly on a vision for the future, without mapping out the transformational steps, particularly in relation to clients, suppliers and competitors. Hess *et al* recommend a stand-alone digital transformation strategy that brings together all the complex threads and enables the organization to find what they call its digital 'sweet spots'.

## CASE STUDY    Successful digital transformation

### Business: Ravensburger, AG

Founded in 1883, a mid-sized games publisher based in Germany. Family-owned business with 1,600 employees and a turnover of €359 million in 2013. Well established in Europe, with markets in the US.

**Digital transformation summary:** started 2009, moving from 100 per cent analogue to digitally enhanced products (books, puzzles and games). Original scope was products and processes.

**Digital transformation process:** IT has two roles: it remains a support function for the business, and is also regarded as the driver of innovations for the business. Experts in digital gaming and digital books spot emerging technologies early in their lifecycle, and via conversations with business heads about opportunities and risks, help ensure the company stays ahead.

**Digital transformation success:** digitally enriched products successfully stabilized the core business. Following its customers' habits, the company has now introduced electronic sales channels for its products. They have also entered the e-book and online gaming markets in addition, developing complementary digital products to enrich existing analogue products. Its business processes are now supported by BRP and CRM, and they have implemented a modern content management system.

**SOURCE** Adapted from Hess *et al* (2016)

## 'Digital Masters' and their characteristics

Recent research into large companies around the world grappling with digital transformation has identified those making the most progress and labelled them 'Digital Masters' (Westerman *et al*, 2014). Digital Masters, the authors claim, tend to steer the transformation using 'strong, top-down leadership'. This does not mean planning out the transformation in detail from the start, but neither does it mean communicating the vision and waiting for change to happen.

Instead 'leaders created a clear and broad vision of the future, started some critical initiatives, and then engaged their employees to build out the vision over time. The leaders stayed involved throughout the transformation to make the case for change, to drive the change forward, and to redirect activities and behaviours that went

against the vision. And they continually looked for ways to extend the vision and move the company to the next level of digital advantage’.

A high level of Digital Mastery is described by Westerman *et al* as:

- Strong overarching digital vision.
- Excellent governance across silos.
- Many digital initiatives generating business value in measurable ways.
- Strong digital culture.

They suggest that those with a low level of Digital Mastery can begin by trying some experiments to test the ‘digital waters’, either with customers or internal operations. This leads on to crafting a digital vision, and starting to build the capabilities to make this happen, be they leadership or digital.

## ***Creating a digital vision***

A digital vision demands focus on the business, not the technology. Technology can help remove blockages, or expand possibilities, but is not an end in itself. The vision is about improving the customer experience, making operations more effective and transforming your business model.

A useful checklist for crafting a digital vision from Westerman *et al* is summarized below:

- Familiarize yourself with new digital practices that can be a threat to your organization or your sector.
- Identify any areas in your company or your customers’ where technology is limiting progress or causing blockages and consider how you might resolve these issues digitally.
- Consider which of your strategic assets will remain valuable in the digital era.
- Craft a compelling and transformative vision.
- Ensure that the vision specifies both intent and outcome.
- Make your vision specific enough for employees to follow, but with enough flexibility to build on it.
- Constantly be looking to extend your vision using the capabilities you have created.

See Kotter’s ‘Accelerate’ framework in Chapter 3, and the Visionary Motivator quality in Chapter 4 for more ideas and thoughts on visionary approaches to leadership.

## DIGITAL TRANSFORMATION AT BURBERRY

- 1 In 2006, Angela Ahrendts took the helm at Burberry, the British luxury fashion house, when the company was failing.
- 2 The company was growing at a rate of 1 or 2 per cent when the sector was growing at around 12 to 13 per cent per annum. Innovation was slow, and products and services were behind competitors.
- 3 The management team began to draft a five-year strategy, looking at assets and strategic direction. They decided to aim for Millennial customers, focusing on emerging economies (rather than 'the ladies who lunch') – a critical decision.
- 4 The best way to communicate with Millennial customers is digital – hence the digital vision became a reality.
- 5 The focus was on creating and sticking to a pure, global, brand vision. This meant using digital marketing to target customers, so a young, dynamic digital marketing team was hired. The marketing budget shifted from traditional media to digital media.
- 6 Before this work, time was spent implementing a backbone enterprise platform to consolidate its systems and make its global operations transparent. Big investments were also made in customer services, training people for in-store work, but also via website/chats.
- 7 With this sound basis, the company began to excel in digital marketing in ways that were innovative at the time: revamping burberry.com in 11 languages, developing Tweetwalk: live-stream fashion shows with Twitter, etc.
- 8 At the same time, Burberry was opening 20 to 30 stores a year and retail theatre was being used to broadcast, eg, fashion show content to stores, bringing the brand to life and encouraging on-the-spot shopping for items not in store via resident iPads.
- 9 Next the company layered on analytics – collecting insights from all physical and digital interactions. Customers were invited to share their shopping histories, enabling Burberry to personalize the shopping experience.
- 10 In 2013–2014 Burberry was included in the Fast Company's list of the top 10 most innovative retail companies globally for the second consecutive year.

**SOURCE** Adapted from Westerman *et al*

## ***Formulating a digital transformation strategy – key questions to ask***

Through studying a variety of digital transformation case studies, Hess *et al* derived a guide to developing a digital transformation strategy, in the form of a list of 11 strategic questions. These are organized into the four dimensions already mentioned above:

### **Use of technologies**

- How significant is your firm's IT to achieving its strategic goals – 'enabler' or 'supporter'?
- How ambitious is your firm's approach to using new digital technologies – innovator, early adopter or follower?

### **Change in value creation**

- How 'digital' is your interface to the customer? Analogue products sold via digital channels, classic product extended to digital channels, digital enrichment of the classic product, new content-based offerings, new offerings without direct relation to content (analogue/digital)?
- How will you create revenue from future business operations? Revenue from user re content, revenues from add-ons only, advertising, revenue from products complementary to core business?
- What will your future business scope be? Content creation, content aggregation, management of content platform, other business models?

### **Structural changes**

- Who is in charge of the digital transformation endeavour? Group CEO, CEO of business unit, group CDO (chief digital officer), group CIO (chief information officer)?
- Do you plan to integrate new operations into existing structures or create separate entities?
- What types of operational changes do you expect? Products and services, business processes, skills?
- Do you need to acquire new competencies? If so, how do you plan to acquire them? Develop current staff, partner with another firm with the right skills, gain skills through takeovers, bring in extra know-how?

## Financial aspects

- How strong is the financial pressure on your current core business – low, medium or high?
- How will you finance the digital transformation endeavour – through internal funds, or external financing?

This simple set of 11 questions provides a powerful starting point for a management team, for example, to take some time to work through together. This is likely to stimulate all sorts of discussions and follow-on questions, and help guide the team towards agreeing an outline digital transformation strategy, with some significant elements already clarified. This can then form an engagement tool for the rest of the organization to further shape.

## Framing the digital journey

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It's helpful when clarifying the digital transformation strategy to be able to map out a digital journey to get a sense of where your own organization sits on that roadmap.

Solis and Littleton (2017) have spent several years interviewing champions of digital transformation, and have identified six stages of digital maturity that they have observed companies going through. They see this set of stages as providing a strong foundation for change (see Figure 9.1 for this map), and point out that a common sticking point on the journey is that 'most companies are experimenting with digital transformation initiatives based on outdated assumptions about their customers'.

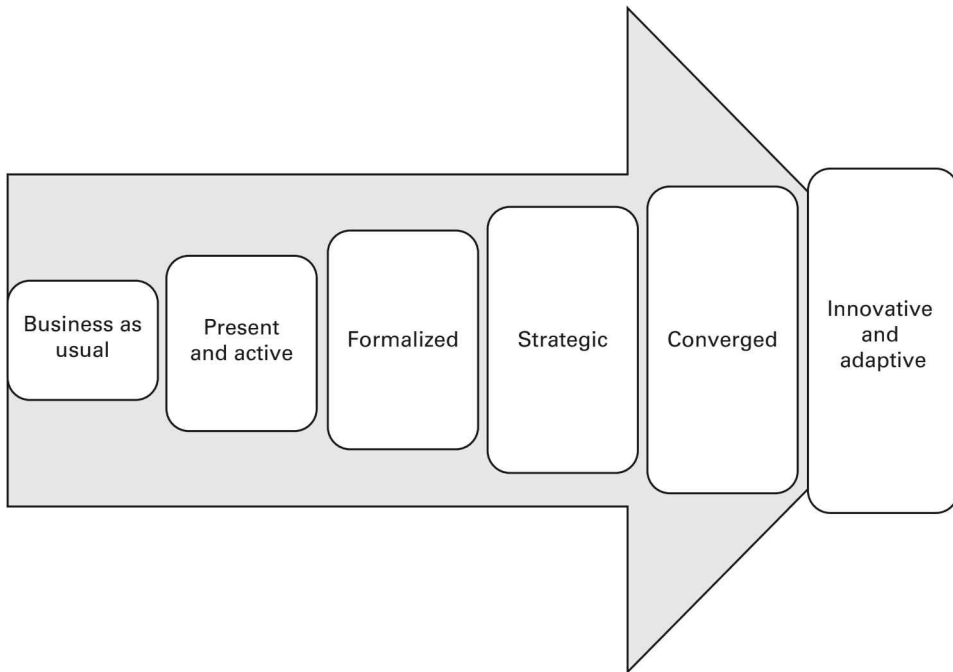
In the first stage, *Business as usual*, the company is using familiar ways of looking at customers, processes, metrics, business models and technology.

By the second stage, *Present and active*, there are pockets of experimentation focused on improvements that drive digital literacy and creativity.

At the third, *Formalized*, stage there are more 'planful' and ambitious initiatives happening. This leads to change agents requesting executive support for new resources and technology.

The fourth *Strategic* stage is when the power of collaboration is recognized through different groups sharing research, outcomes and insights. This gives rise to strategic roadmaps that identify where ownership for digital transformation lies, what effort is required and where investment will come from.

The fifth *Converged* stage features a digital transformation team that guides strategy and operations towards customer and business goals. The new roles, processes, expertise and models that support transformation become clearer and thus the new infrastructure starts to take shape.

**Figure 9.1** Digital maturity blueprint

**SOURCE** Adapted from Solis and Littleton (2017)

At the sixth and ultimate *Innovative and adaptive* stage, digital transformation becomes a way of business. A new ecosystem/platform may be established to identify and act upon technology and market trends, in small pilots and then at scale.

In reality however, digital transformation is not a linear process. Companies may start with a few specific initiatives, then begin to build digital skills in a variety of areas, then go back and do some more research into customer expectations, then revise their thinking and bring in another area of focus, etc. So it can be useful to have an overarching map of your ambitions, which pinpoints where you are now, helps you make investment decisions and supports the tracking of progress towards longer-term core goals.

Schwer *et al* (2018) researched 15 different maturity models, and concluded that those that covered the most *layers* of corporate architecture were likely to be the most useful in providing a comprehensive map of digital maturity. The layers of architecture were named as on the business side: strategy, business and application layers and on the technology side: technology, physical, and implementation and migration layers.

The 'Digital Maturity Model' (Deloitte, 2018), covers four of Schwer *et al*'s layers; the maximum coverage they found. This model was developed through a partnership between Deloitte and the TM forum, bringing together industry and subject matter experts. It describes five core business dimensions and enables an organization to

assess itself across these dimensions to build a whole-system view of digital maturity across the business. These five dimensions are described by Schwer as:

### i Customer

**Maturity:** the customer experience is such that they regard the company as their preferred digital partner.

**Indicators:** customer engagement, customer experience, customer insights and behaviour, and customer trust and perception.

### ii Strategy

**Maturity:** the digital strategy is an essential part of the corporate strategy. Deals with the transformation and operational business of the company to leverage competitive advantages through digital initiatives.

**Indicators:** brand management, ecosystem management, finance and investment, market and customer, portfolio, ideation and innovation, stakeholder management and strategic management.

### iii Technology

**Maturity:** the use, storage, processing and exchange of data plays an enormous role in the success of a digital strategy. It also helps meet customer needs and reduce costs.

**Indicators:** applications, connected things, data and analytics, delivery governance, network, security and technology architecture.

### iv Operations

**Maturity:** business efficiency and effectiveness has increased through the use of digital technologies in the execution and development of business processes.

**Indicators:** agile change management, automated resource management, integrated service management, real-time insights and analytics, smart and adaptive process management, standards and governance automation.

### v Culture, organization and people

**Maturity:** definition and development of an organizational culture with associated governance and talent processes, which supports digital transformation in the company and aims to achieve growth and innovation goals.

**Indicators:** culture, leadership and governance, organizational design and talent management, and workforce enablement.



See a description of the Thoughtful Architect quality in Chapter 4 for help with using ‘framing’ approaches to leadership.

## Transitioning the IT department

IT departments all over the world are in flux. Depending on the organization’s digital strategy and level of digital maturity, the IT department will either be just starting out on its digital journey, or well on the way to being a more complex, business-integrated function. Various new executive level roles may have been created over the past 10 years such as chief information officer (CIO) and/or more recently, chief digital officer (CDO) depending on the focus required.



The CIO once had the dismal nickname of ‘career is over’, yet the fortunes of this role are changing rapidly as many CIOs have morphed from looking after IT functions, to becoming the key driver of external strategy. There are of course upsides and downsides to this for the incumbent.

Dan Tynan (2018), who writes for [cio.com](http://cio.com) says that the old rules IT used to swear by are no longer relevant.

He asserts that the increasing pace of change means that ‘enterprises no longer have the luxury to take months (or years) to roll out big, expensive IT projects; continuous delivery and constant iteration are the new laws of the land’. Tynan adds that organizations are no longer in the position to choose between innovation or security because they need to have both. He points out that this puts more pressure on CIOs to deliver new initiatives in a ‘safe and compliant way’.

It seems that according to Tynan, leaders within IT now have more power and responsibility that they have ever had due to increasing dependence of most organizations on data driving decisions. Their new, expanded role is to help business users to pick the best of breed from a burgeoning catalogue of tools and services, while supporting the organization through its complex, technology transformation.

**SOURCE** Adapted from Tynan (2018)

IT departments and CIOs all over the world are having to make a shift from old ways of working to becoming active players in the new world of digital transformation. An illustrative set of old-to-new world indicators, selected from Tynan (2018), is included here to show the types of challenge involved.

**Old IT**

Keep the lights on

IT makes the rules and tries to enforce them

Don't release until it's ready

Protect the perimeter

The CIO's place is in the data centre

**New IT**

Keep the data flowing

Users make the rules and IT tries to keep them out of trouble

Iterate until you get it right

Trust no one – check everyone

The CIO's place is in the boardroom

**CASE STUDY** Kathy McElligott, CIO of McKesson

McKesson is a 185-year-old, large American company that distributes medical supplies and pharmaceuticals. In 2015 CEO John Hammergren appointed CIO Kathy McElligott with a clear remit to enable faster decision making. The aim of developing this new organizational capacity was not just about productivity, but also enabling pharmaceuticals customers to get their drugs to market faster. The company had been going through significant change over the years, with technology now having spread out from the confines of the IT department, permeating throughout the business. A new IT operating model was required.

McElligott is said to be 'leveraging data analytics to gain operational and customer insights, as well as robotic process automation machine learning and other tools to drive efficiency, productivity and customer value'. She is developing some of these technologies within the company, and acquiring tools when and where it makes sense. 'We can't get to where we need to by ourselves', she said, when speaking on the *Forbes* CIO Summit panel.

A key question for McElligott is how to bring the employee population along with the speed of the tech change that the company's new operating model is bringing. A large element of this challenge includes training up veteran employees and new talent to use technologies. McElligott invited help from consultants to run workshops on data analytics, data science and cybersecurity.

McElligott has also started a 'free-agent programme' enabling employees to acquire new skills. For example, this means network engineers rotating to the cybersecurity team to get more experience and skills.

**SOURCE** Adapted from Boulton (2018)

Clearly, information technology began as a function providing services to the business. It now needs to shift gear to become a driver and enabler of business transformation in a way that it has never been before. This involves moving from operating in only the ‘technical realm’, to embracing the ‘socio-technical realm’ and beyond that, the ‘eco-systemic’ realm too, according to Korhonen (2015).

In Korhonen’s *technical realm*, IT’s work is focused on operational efficiency and reliability. It follows the direction of the business and is aimed at cost reduction in service of business aims. Typical activities: developing solutions to requirements, standardization of technology and shared infrastructure, ensuring an optimized core of digitized data and processes.

In the *socio-technical realm* the aim is to create value for the future, such as enterprise flexibility and the capability to change, linking strategy to execution. This means translating the business strategy into the design of the organization. The focus of IT is on enterprise architecture and modular architecture.

In the *eco-systemic realm* the perspective shifts from the familiar, stable, closed and controllable system to the more fluid, open and transformational ‘system of systems’ of networked, collaborating entities. The focus of IT is on enabling strategic capability, so business follows IT.

## Governance issues

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The question of who governs the digital transformation process and how is an important one, given there are so many potentially moving parts. What sort of governing framework best ensures that business performance, compliance issues, finances, risks and ethics are all well managed, with the right balance between control and flexibility? New IT challenges that come from increased use of mobile apps, collaborative networks and social media also need to be managed as part of this, ie, elements such as security, legal regulatory compliance and legacy system integration. Digital transformation is a long-term process, thus too many temporary-seeming structures may not be appropriate.

As alluded to under ‘The digital challenge’ above, there is a strong, common belief among organizations who have progressed down this route that top management needs to be responsible for agreeing the digital strategy and vision for the organization, with the CEO taking charge of this very clearly. Conversely, as digitalization progresses, and digital collaboration tools become more central to peoples’ working lives, it is likely that a new type of leadership will be required. This will need to be less top-down, and more open, flatter and more collaborative (Andersson *et al*, 2018).

According to McKinsey (2018) who looked at what differentiates ‘top digital implementers’ from the rest, the governance and management practices likely to improve the odds of success are:

- Planning from day one for long-term sustainability of changes.
- Clear, organization-wide ownership of and commitment to change at all levels of organization.
- Clear accountability for specific actions during implementation.
- Continuous improvements during implementation, and rapid action to devise alternative plans if needed.
- Effective programme management and use of standard change processes (see discussion of these approaches in Chapter 13).
- Ability to focus organization on prioritized set of changes.
- Sufficient resources and capability to execute changes.

It's also helpful to note the different structural approaches to digital transformation being taken. Tannou and Westerman (2012) point out that the most common structural mechanisms used by companies to augment their existing governance are: shared digital units, firm-level committees and new digital roles.

A *shared digital unit* is an entity that creates digital services for the rest of the organization. They reduce the cost of digitalization by reducing the number of redundant initiatives, people and technologies in local units. One way they do this is to produce a 'digital catalogue'. They can also invest in corporate-wide capabilities, out of reach for individual units to develop, who can then work out how best to leverage what's there. Some shared digital units also experiment, and release prototypes to stimulate innovation in local units. This can also help develop needed skills.

*Firm-level committees* govern digital transformation across the organization using steering committees and innovations committees. *Steering committees* consider firm-level digital initiatives and agree priorities, funding levels (sometimes with an unclear business case), standards and policies, and where work will be done. *Innovation committees* focus on emerging technology and are populated by people from multiple disciplines – this is a policy and oversight role. They spot technology-enabled business opportunities, as well as help the company adjust to changing customer and employee behaviours.

*New digital roles* such as chief digital officer (CDO) are increasingly common, although areas of responsibility vary from one organization to another. These roles are still evolving. In one company the CDO could be responsible for a large cluster of applications and networks across a range of platforms; in another they may have a specific strategic goal to focus on, which crosses departments and functions. Other companies appoint CDOs at business unit level who coordinate with a firm-level CDO.

Recently there has been a rise in organizations where the CIO (chief information officer) is at the digital transformation helm (Solis and Littleton, 2017). It's interesting to note that this represents a shift towards more companies seeing themselves as 'technology companies'. In 2015, when customer experience and digital marketing

was starting to dramatically increase in importance, the chief marketing officer (CMO) was more likely to be in charge.

## **CASE STUDY** Volvo Car Corporation

### **Governing specific digital capabilities**

#### ***Context***

- Cars sold via 2,300 local dealers in 100 countries.
- HQ manufactures cars and conducts market research re customer types, but little knowledge about individual customers.
- New digital business model = 'connected cars', offering more services directly to customers while ensuring dealer relationship is enhanced.

#### ***Governance***

On top of existing corporate governance, Volvo established the following governance to support 'connected cars':

##### **i Digital czar**

A senior executive was hired to provide leadership across manufacturing, after-sales services and marketing.

##### **ii Firm-level committees**

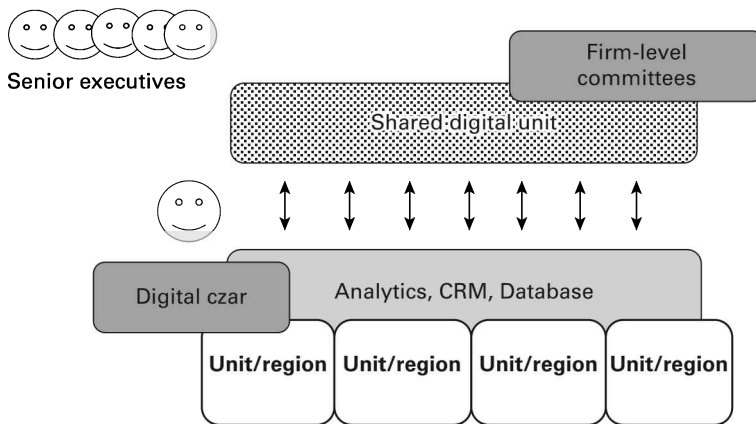
- The 'Connectivity Hub', comprising a mixture of senior and middle managers from across the company meets every week to address tactical decisions.
- The 'Connectivity Committee' composed of senior executives from the different functions meets quarterly to address strategic issues.
- Other committees exist to enable alignment between connectivity teams and technology teams.

##### **iii Shared unit**

Volvo has established a shared technology unit whose scope extends beyond the 'connected cars' initiative.

#### ***Benefits***

'We now have much better data: who our customers are, which cars do they own, how long have they owned their cars, how often they go to service, how much they spend on their car. Instead of maybe targeting towards the cars in different car segments or model segments, we'll use the data to segment the customers into different customer segments. Then we'll actively go from mass marketing to one-to-one marketing' explained Timo Paulson, Senior Manager Ownership Services and Brand Protection for VCC global.

**Figure 9.2** Volvo's governance structure for 'connected cars'

**SOURCE** Adapted from Tannou and Westerman (2012)

## Establishing the right culture and change leadership approach

The key cultural and leadership issues mentioned so far in this chapter are summarized below in terms of demands on leaders and on the wider culture. This section explores these challenges further, offering some suggestions and possible solutions.

### ***Top six leadership shifts required when leading digital transformation***

- Actively lead digital transformation; communicating and enacting a clear yet flexible mission, vision and framework for the journey.
- Work across 'silos' to enable continuous, complex decision making at the right level as things evolve.
- Steer (rather than control) the organization towards becoming a more open, connected and empowered organization.
- Stay open to working in new ways that may feel a bit 'out of control'; work with colleagues to clarify what, if any, boundaries need to be set (particularly when it comes to platforms).

- Embrace the opportunity of working in partnership with people from very different/unfamiliar sectors.
- Learn about, discuss, conclude and take action on ethics in a transparent way.

### ***Top six cultural shifts required when taking part in digital transformation***

- Experiment with: focused innovation, collaboration, risk-taking, experimenting – enabled by new platforms.
- Embrace and adapt to shorter planning horizons and review cycles.
- Attach more value to contact with the customer, and try to understand their current and aspired to processes/level of digitalization.
- Bring more attention to how current business models and processes work (yours and theirs, ie, customers, stakeholders, partners, etc).
- Become much more tech-savvy; remembering that you're now part of a 'technology company'.
- Develop a service focus; this may involve a significant change in you and your team's principles and priorities.

See Chapter 8 on culture and change for more tips and ideas on how to go about changing the culture in an organization.

Many companies struggle with digital transformation as it goes against the grain of established ways of working. It also presents a threat to management practices that have been established over decades, says McConnell (2015). She notices that horizontal and bottom-up flow increase with the use of collaborative communication tools, at the expense of top-down forms of leadership, which can be experienced by managers as a loss of power and control. However some organizations seem to embrace digitalization, despite the potential threats.

McConnell's research into the obstacles that get in the way for those that struggle reveals five thought-provoking categories:

- **Slow or stalled decision-making** caused by internal politics, competing priorities or attempting to reach consensus.
- **Inability to prove business value** of digital through traditional ROI calculations, resulting in lack of senior management sponsorship.
- **Too much focus on technology** rather than willingness to address deep change and rethink how people work.
- **Lack of understanding operational issues** at the decision-making level and difficulties when going from theory to practice.

- **Fear of losing control** by management or central functions, and fears that employees will waste time on social platforms.

She goes on to recommend a set of ‘cultural characteristics’ to enable digital transformation, each of which could help rebalance an organization towards more success and less struggle:

- a strong, shared sense of purpose;
- freedom to experiment;
- distributed (non-centralized) decision-making;
- openness to the influence of the external world.

## ***The importance of purpose***

If you’ve got a really important problem to solve you can have a network of people working for you. If the problem to solve is increasing shareholder value it won’t work, because nobody really cares about your shareholder value.

Ben Hammersley, in Ericsson (2015)



Digital transformation can create all sorts of new possibilities for rapid, self-organizing networks both within and beyond organizational boundaries (Ericsson, 2015). This requires an innovative spirit to be unleashed, which is at least partly driven by a customer- and employee-oriented purpose, not by functional priorities or ROI.

For instance, digital innovators such as Tesla, Netflix and Samsung carefully craft their purpose or philosophy in a way that can inspire. These statements are not just dry, corporate mission statements. They focus on customer experiences, as well as doing something for the common good:

Tesla: ‘to accelerate the world’s transition to sustainable energy.’

Tesla (nd)

Netflix: ‘We promise our customers stellar service, our suppliers a valuable partner, our investors the prospects of sustained profitable growth, and our employees the allure of huge impact.’

Netflix (nd)



Samsung: 'Samsung follows a simple business philosophy: to devote its talent and technology to creating superior products and services that contribute to a better global society. To achieve this, Samsung sets a high value on its people and technologies.'

Samsung (nd)

## ***Developing a new culture***

For digital transformation to succeed, a culture of self-learning and high-speed experimentation needs to be encouraged, where innovation can flourish. Agile approaches, improvisation and self-managed teams are all ways of allowing more innovation, and making things happen more quickly.

In Chapter 13 we will introduce ideas about improvising and agile approaches within projects and programmes. These approaches also have relevance for companies wanting to make the transition from traditional ways of working to flatter structures, quicker and more empowered decision-making, rapid communication and shorter planning/delivery cycles.

We also introduced information and pointers in Chapter 3 regarding self-managed teams: how they work and what the benefits are. This way of organizing could usefully form part of an organization's approach to digital transformation, as per the 'skunkworks' unit described below.

There are multiple ways of using these approaches beyond the software world as companies such as Spotify have already proved (Ericsson, 2015). One way is to find a place on the edges of the organization to introduce a self-managed team to work on a specific area of innovation. As they would have more autonomy and fewer controls than the rest of the organization, this could be a way for new cultural norms to start to grow.

## ***Change management***

We mentioned earlier that the digital transformation change process is challenging, and that organizations are not always prepared for this. Recent research into how organizations are approaching these challenges indicates that they tend to use one of three broad approaches with varying results (Ericsson, 2015):

- i **The direct approach:** the organization is transformed as it stands right now through initiatives in marketing, production, supply chains and operations. This approach is usually precipitated by a sudden change in customer expectations, for example the move from buying CDs to downloading music.

This approach has many pitfalls, as these initiatives tend to be focused on predetermined outcomes, and tend not to lead to innovative, new business models. Coordination across initiatives and involvement of the whole organization can be difficult without high-quality collaborative leadership from a selection of C-suite executives who are bought-into digital transformation.

- ii **The skunkworks approach:** a new ‘digital unit’ is created, independent of the existing organization, which acts as a start-up. This unit, ideally a multidisciplinary team of ‘makers’ (not managers), is empowered to discover and build new digital models through prototyping, testing and gathering feedback. This self-managed team is free from corporate legacy, standardized business processes and any sort of intervention. If it works well, this team can have a positive impact on the culture of innovation. Managed carelessly, it can result in a clash of cultures.
- iii **The sandbox approach:** a parallel business is built that acts as a digital incubator delivering new business models and insights. This entity attempts to reposition the existing organization as a digitally oriented start-up company, and often requires a lot of new skills and expertise, including capabilities not often found in larger corporates such as how to start a business.

## Bigger questions: ethics and society

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Many bigger questions are raised by the speed and direction of current advances in digitalization and technology. What impact on society will this rapidly increasing ‘mediation’ of our lives through computers have, given that 3 billion out of the 7 billion people in the world’s lives are now computer-mediated? Can we trust the corporations who are disrupting our lives with digitalized innovations to value our safety, take an ethical perspective when it comes to the pursuit of revenue and market control versus the responsibility of creating rather than destroying jobs, and to guard against an erosion of our civil liberties?

Much of what technology offers is liberating and leads to greater awareness and opportunity for learning. However there is a darker side: where data is gathered on a massive scale without the permission of those to whom it belongs, where business accountability regarding AI and ML processes are being left unchallenged while the law catches up, and where technological advances do not open up new employment opportunities and instead close them down at scale.

Digital photography put Kodak out of business... very revolutionary. But hundreds of thousands of people lost their jobs... A whole city went bankrupt.

Many disruptive things are socially disastrous, and now we’ve spent 20 years doing this, we have to start to think about disruption not as an unalloyed good. It’s entertaining, in a grim way. It’s exciting, in a grim way... But I wouldn’t be gleeful about disruption any more because an awful lot of it encourages huge amounts of inequality, huge amounts of personal suffering...

For many people will, at some point in the next 10 years, sit down with a beer one evening and wish for a really quiet life.

**SOURCE** Hammersley (2015)

As companies continue to race towards increasing digitalization, many aspects of our lives are changing at pace, often in good ways that bring opportunities, economic value and increased meaning to our lives. However unethical practices may also be created as regulation and indeed business ethics struggle to keep up with progress. In recent years Airbnb in Spain came under scrutiny for being responsible for forcing locals out of the city of Palma, and Facebook has been questioned on their worryingly 'loose' use of personal data. Apple was also picked up for deliberately confusing and misdirecting people, leading them to buy things they don't actually want via a process known as 'dark patterns' (Bateman, 2018).

In the World Economic Forum Board Briefing on Responsible Digital Transformation (WEF, 2019), O'Halloran and Griffin predict that by 2022, 60 per cent of the global GDP will be digitized. They contrast this with the sobering statistic that only 45 per cent of people today trust that technology will improve their lives. This state of affairs means that all sectors are needing to face deep questions about what the implications of this transformation are likely to be.

Previous studies and research projects undertaken by industry communities at the WEF have illustrated the impressive and myriad benefits that could be gained from this type of transformation. These include 'creating significant new economic value, meaningful and rewarding employment, and new products, services and markets that contribute towards sustainability and societal value'. At the same time, it seems that public understanding is growing about the potential risks, in terms of privacy, security and job losses.

The authors say that digitalization is rewriting the social contract, and we need to be alert to this as it is 'changing the relationship between individuals and the state and individuals and business'.

**SOURCE** Adapted from O'Halloran, D and, Griffin, W, Foreword to WEF, 2019

## ***Responsible digital transformation***

Responsible digital transformation is the core focus of the WEF Board Briefing (WEF, 2019), which encourages businesses to take their role as stewards of our data and our personal safety extremely seriously. It also points to the need for every company that becomes a 'tech company' to truly examine its own role in and impact on society.

Five core areas are identified in the WEF Briefing for consideration and action. These are summarized below:

- i **Cyber resilience:** preventing unauthorized access to electronic data is a fundamental for any organization, and this imperative will only become more important given that the rate and severity of attacks appears to be increasing. A proactive role reporting directly to the CEO is recommended.

- ii **Data privacy:** the EU's GDPR regulation, introduced in May 2018, is seen as a watershed, naming citizens' rights and introducing fines, although regulatory rules are not consistent across the globe. A culture that believes that customer data needs to be 'entrusted and borrowed', rather than 'extracted and taken' is strongly encouraged. The authors name the tensions for corporations who hold and continue to gather large quantities of personal data that could be extremely valuable to other organizations, knowing that the ethics of selling this data is highly questionable.
- iii **The internet of things:** the internet of things is 'the network of physical devices, vehicles, home appliances and other items with embedded electronics, software, sensors, actuators and connectivity that enables these things to connect, collect and exchange data' (WEF, 2019). This will change the way we work, live and play, buy, sell and interact. This will force a huge rethink by businesses regarding product, service and processes. It also potentially exposes the customer to increased risk of personal data being collected without their consent and to devices being hijacked given multiple connection points.
- iv **Blockchain – distributed ledger technology:** blockchain has the potential to provide new, more secure business models without the need for a trusted middleperson such as large, centralized banks. This may have two advantages as regards individuals and wider society: lower exposure to security breaches, and its distributed nature causing a reversal of the current trend towards 'closed protocols and data concentration and accumulation in the hands of a few technology companies' (WEF, 2019).
- v **Artificial intelligence and machine learning (including robotics):** AI software, incorporating ML, enables machines to learn from experiences and make decisions in a similar way to humans. The advent of 'big data' is enabling machines, devices, programs, systems and services to perform 'deep learning' in real time, thus making extremely complex decisions beyond human capability. The risks of misuse, or of biased or incomplete learning are potentially high. A suggestion is for AI designs to be formally signed off by the CEO and CIO of any organization.

With regard to impact on society, many are extremely worried about the impact of the wide-scale use of AI on jobs. Are businesses worried, or do they bury their heads in the sand and see this as someone else's problem? Citizens and politicians will need to continue to be vigilant, and keep monitoring this. A code of ethics may need to be introduced to rebalance the contract between business and society – weighing up specific business gains with the benefits to society. In a global world, cultural differences will need to be managed as ethical approaches differ.

See also Taylor *et al* (2018) for a thorough discussion of the implications of AI for society, and a set of recommendations.

## ***The growth of ‘surveillance capitalism’***

A groundbreaking paper by Harvard Professor Shoshona Zuboff (2015) identified the phenomenon she has named ‘surveillance capitalism’. She calls this a new ‘logic of accumulation’ for capitalism, following the decades-long focus on accumulation of finance. Its aims are to collect enormous quantities of personal data to help predict and modify human behaviour as a means to produce revenue and gain market control.

She focuses particularly on the practice of Google Inc, who she claims put innovation ahead of everything and resist asking permission. This is evidenced by their practices of collecting vast tracts of personal data without asking permission, and selling these to other organizations for profit. These practices began in Google around 2001, migrated to Facebook and beyond, and have become a huge, invisible marketplace whose customers are advertisers and other businesses, not the people who originally unwittingly gave up their data.

The risk of this is not just about personal data being used without people’s knowledge, but of enormous quantities of data, gathered across huge populations, enabling behaviour prediction and control for the benefit of a few ‘players’. Consider the possibilities offered by the advent of ‘smart cities’ for nudging particular behaviours that benefit corporations or even authoritarian governments.

Some lucrative commercial possibilities can easily be imagined: ‘...Google, for example, may sell access to an insurance company, and this company purchases the right to intervene in an information loop in your car or your kitchen in order to increase its revenues or reduce its costs. It may shut off your car, because you are driving too fast. It may lock your fridge when you put yourself at risk of heart disease or diabetes by eating too much ice cream. You might then face the prospect of either higher premiums or loss of coverage’. These approaches, according to Zuboff, represent the ‘end of contracts’ and have a huge impact on the way society works and our civil liberties.

Zuboff urges all scholars and citizens to stay engaged and aware of the evolution of these practices. There is great value in a steady flow of legal actions to establish new precedents and new laws. Organizational leaders are ideally placed to bring a keen, ethical eye to the possible abuses of trust between corporations and the public, and to do their best to influence where digital transformation takes us. If you value the civil liberties and freedoms that many readers are lucky enough to experience currently, this is surely important work.

## Conclusions

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- Digital transformation represents a huge strategic challenge for all organizations, and the pace is only going to increase. The CEO and exec team need to be taking accountability and driving this personally, and the digital strategy needs to be aligned very closely with corporate strategy. Customer expectations have primacy, internal culture change is essential, and transition management approaches need to get more flexible and inventive.
- All leaders, whatever their roles, should get familiar with the key digital trends, particularly the ones facing their own sector. These include AI, ML, AR and VR, blockchain, IoT, 5G, multicloud – plus the wider issues: ethics of big data and AI, use of platforms/ecosystems, rapid scalability from pilots, getting smart at collaborating more widely, beyond normal boundaries.
- Organizations can benefit from a digital transformation strategy that integrates multiple business threads, and focuses on a clear, broad vision for the future. This doesn't mean mapping out all the steps, yet getting started on critical initiatives early is vital. The vision is 'built out' over time through engagement of employees, and ways to extend the vision for digital advantage are continuously sought (Westerman *et al*, 2014). Four useful dimensions of strategy are: a) how new technologies will be explored and exploited; b) what changes in value creation are intended; c) what structural changes this requires; and d) what investment is available, and what financial results are required by when (Hess *et al*, 2016).
- A digital roadmap or digital maturity model can help an organization frame its longer-term digital journey, given that digital transformation is not a linear process. Plotting out progress on a number of dimensions can therefore be useful. Deloitte and TM's Maturity Model, thought to be quite comprehensive, names five dimensions: customer; strategy; technology; operations; culture, organization and people (Deloitte, 2018).
- The role and place of the IT department is changing and the old rules no longer apply. The CIO role, once responsible for a low-status, high-pressure service function, has now become a driver of corporate strategy with more power and responsibility than ever before. CIO responsibilities now include: guiding digital transformation to drive revenue and cut costs, delivering customer-centric innovation *and* impeccable security, continuing scrutinizing for 'best of breed' solutions, getting ahead of trends, keeping big data flowing...
- Digital governance needs to be as well as, and integrated with, existing corporate governance. The usual management disciplines still apply: good planning, investment in resources and skills, disciplined priority-setting, high-quality project management. Likely new structures are: *shared digital units* to create digital

services for the rest of the organization; *firm-level committees* that a) agree priorities or b) scan for emergent technologies; and *new digital roles* such as a CDO to oversee progress on particular priorities (Tannou and Westerman, 2012).

- Less top-down leadership, flatter structures, decentralized decision making, and shorter planning/delivery cycles are all likely consequences of a heavily digitalized work environment. These shifts in leadership control open the gates to more collaboration and innovation across new boundaries, although resistance can be felt (and acted out) by traditional managers as those familiar forms of control become less available.
- Change management approaches such as *skunkworks* and *sandbox* are likely to be more helpful in developing new business models than initiatives that assume current structures and approaches (Ericsson, 2015).
- There is a darker side to digital transformation and continuous disruption: data is being gathered on a massive scale without the permission of those to whom it belongs (Zuboff, 2015); business accountability regarding AI and ML processes can be left unchallenged while the law catches up (WEF, 2019); technological advances do not always open up new employment opportunities and instead close them down at scale (Hammersley, 2015). These ethical challenges need to be tackled via legislation, corporate governance, heightened levels of awareness regarding security – and through the good attention of business leaders, scholars and citizens who can and must take leadership on these issues.

# 10

# Becoming a sustainable business

## Introduction

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The aim of this chapter is to introduce the latest thinking around how organizations can become less of the problem and more part of the solution to the global challenges of:

- the consequences of continuous economic growth;
- resource depletion;
- climate change; and
- mass extinction of species;

all leading to social division and conflict.

This chapter addresses these issues by looking at how to manage change towards becoming a sustainable business. It will:

- Highlight the important long-term challenges to organizations and introduce the concept of sustainable development.
- Describe the evolution towards becoming a sustainable organization.
- Offer frameworks that will help leaders and team members think about sustainability.
- Suggest steps to becoming a sustainable organization.
- Identify what leadership and change agency is required to manage these changes.

In addition there is an invitation to you, the reader, to challenge yourself, your workplace colleagues, your business or your community to become sustainable by using the ideas and tools not just in this chapter but in all the theory and application chapters in this book – an action research project if you will.

The Intergovernmental Panel on Climate Change (IPCC) is the United Nations body for assessing the science related to climate change. Their latest report (IPCC, 2018) gives the world just 12 years to ‘make massive and unprecedented changes to global energy infrastructure to limit global warming to moderate levels’ – a change



that makes the millennium bug pale into insignificance. The report suggests 'Climate-related risks to health, livelihoods, food security, water supply, human security, and economic growth are projected to increase with global warming of 1.5°C and increase further with 2°C'. We are currently on course to reach 1.5°C between 2030 and 2052. The report continues 'Pathways limiting global warming to 1.5°C with no or limited overshoot would require rapid and far-reaching transitions in energy, land, urban and infrastructure, including transport and buildings, and industrial systems. These systems transitions are unprecedented in terms of scale'.

Greenhouse gases (for example, carbon dioxide, methane) are primarily responsible for global warming and they are the result of human activities such as the burning of fossil fuels (coal, oil, gas), cement production and deforestation. Indeed one can say that activities that contribute to our economic well-being are directly contributing to the destruction of the planet and ultimately the 'ill-being' of all flora and fauna, including humankind.

The change or the breakdown in climate is the single largest threat to the world – and that of course impacts detrimentally on organizations, employees, consumers and communities. In order to avert catastrophe all areas of society have to change behaviours and mindsets. Businesses, public- and third-sector organizations have to be at the forefront of this and take a significant share of the responsibility for changing how we are as a society and how we do business.

Existing business paradigms tend to focus on 'maximizing shareholder value' usually in the very short term and so do not respect the social and environmental benefits of the 'triple bottom line' (Elkington, 1994) as well as they do those of economics.

The Anthropocene Working Group was convened in Oslo in April 2016 to collate evidence that the world is now entering a new era. This era, known as the Anthropocene epoch, recognizes that humans are having a significant impact on planet Earth's ecosystems. One of the most crucial messages we take from this is of humankind's massive capability – with its technology, its industry, and its economic and political systems – to impact everything and everyone on the planet.

The outcomes of this new era can be tremendously positive or dramatically negative. On a macro scale, we know that alongside increases in nations' gross domestic product we also have increasing inequality. According to the 2015 Credit Suisse Global Wealth Report (Credit Suisse, 2015), global inequality is growing, with half the world's wealth now in the hands of just 1 per cent of the population. Alongside the benefits of a globalized free market we have seemingly insurmountable issues around the mass migration of people. Currently we are also consuming the equivalent of 1.6 Planet Earths to give us the resources that our economies and people demand (WWF, 2016) – clearly unsustainable.

**SOURCE** Cameron and Green (2017)

Sustainability can be defined as the ‘development that meets the needs of the present generations without compromising the ability of the future generations to meet their own needs’ (Brundtland Commission, 1987). Sustainability can also be defined as:

- a** an overarching conceptual framework that describes a desirable, healthy, and dynamic balance between human and natural systems;
- b** a system of policies, beliefs, and best practices that will protect the diversity and richness of the planet’s ecosystems, foster economic vitality and opportunity, and create a high quality of life for people; and
- c** a vision describing a future that anyone would want to inhabit.

**SOURCE** Amos and Uniamikogbo (2016)

## Climate breakdown – the need for increased sustainable development and corporate social responsibility

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*The agenda of sustainability and corporate responsibility is not only central to business strategy but will increasingly become a critical driver of business growth... I believe that how well and how quickly businesses respond to this agenda will determine which companies succeed and which will fail in the next few decades.*

PATRICK CESCAU, CEO, UNILEVER 2005–9

Climate deterioration since 2005 is extremely alarming, and organizations are now being required to recognize that they need to incorporate thinking around sustainability into their corporate plans and to take the ramifications of climate change seriously; to more fully understand the impact on their businesses and ensure they are managing their reputations by being proactive.

A paper from the Institute for Public Policy Research (Laybourn-Langton *et al*, 2019) warns that ‘A new, highly complex and destabilized “domain of risk” is emerging – which includes the risk of the collapse of key social and economic systems, at local and potentially even global levels... this new risk domain affects virtually all areas of policy and politics, and it is doubtful that societies around the world are adequately prepared to manage this risk.’

Degradation of the natural environment and the deterioration of fertile land together with increasing instability of the climate will have game-changing negative impacts on health, wealth, inequality and migration, which of course leads to heightened political tensions and potential conflicts.



Awareness levels of the challenges vary in the UK and elsewhere despite the facts. If you go anywhere in the world today and start to talk to local people – especially if they are in any way connected with being outdoors – you will hear stories of significant changes in the seasons, the weather and the adverse impact that these are having on their lives and their economy. Climate change – or more strictly true – climate breakdown is happening. In a recent UK survey (BSA 2018) 93 per cent of people now believe climate change is happening, with 36 per cent believing humans are to blame, and 53 per cent believ-

ing it is human and natural causes in equal proportion. This awareness can be the building block for change.

Although in recent years there has been an increase in people's awareness of the situation and there has been some progress at international governmental level, for example the 2015 Paris Agreement and the follow up Katowice Climate Package in 2018, most leading commentators are predicting a catastrophe from which we will not recover unless concerted action is taken now. The causes are relatively straightforward – population growth and an increasing consumerist attitude within an expanding 'middle class' leads to a massive increase in consumption. The resulting demand for food, water and energy tend to lead to:

- increasing urbanization;
- more agricultural production and habitat alteration;
- loss of biodiversity and ecosystems;
- more resource extraction and manufacturing;
- more fossil fuel consumption;
- more waste and pollution into the air, water and land; and...
- ... global warming and climate change.

At the core of the problem is still the ongoing belief of many shareholders, leaders and ordinary people – despite the tipping point in awareness mentioned above – that human beings can continue to consume ever-increasing quantities of the earth's resources with scant regard to the adverse impacts that ensue. The purpose of this chapter is not to offer a critique of capitalism – and the notion of maximizing shareholder value above all else – but to highlight the external forces for change that are now beginning to form part of many organizations' strategic thinking and what can be done to address them.

Strategy is ‘a systems or holistic view... strategic thinking is built on the foundation of a systems perspective... a mental model of the complete end-to-end system of value creation... and an understanding of the interdependencies it contains... not as a sum of its specific tasks, but as a contribution to a larger system that produces outcomes of value.’

**SOURCE** Liedtka (1998)

Senator Robert Kennedy speaking over 50 years ago at Kansas University in March 1968 said about gross national domestic product that in the calculation we add in items such as the construction of prisons, machinery for devastating redwood forests and all the money that goes into armaments manufacture including napalm and nuclear warheads. However we discount items – beauty of particular views or social cohesion – because they cannot be measured. He went on to say that:

the gross national product measures neither our wit nor our courage, neither our wisdom nor our learning, neither our compassion nor our devotion to our country, it measures everything in short, except that which makes life worthwhile.

### **ALTERNATIVE MEASURES OF WELL-BEING**

OECD Better Life Index

<http://www.oecdbetterlifeindex.org>

Global Sustainable Competitiveness Index

<http://solability.com/the-global-sustainable-competitiveness-index>

UK Life Satisfaction Index

<https://www.ons.gov.uk/peoplepopulationandcommunity/wellbeing>

Happy Planet Index

<http://happyplanetindex.org/>

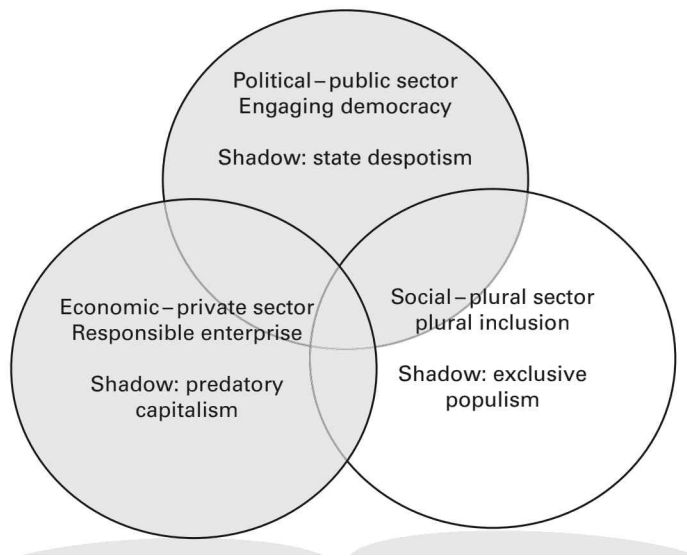
Genuine Progress Indicator

[https://en.wikipedia.org/wiki/Genuine\\_progress\\_indicator](https://en.wikipedia.org/wiki/Genuine_progress_indicator)

Genuine Wealth Assessment

<http://www.anielski.com/wp-content/uploads/2014/06/WhatisGenuineWealth.pdf>

There are two critical frameworks that act as an underpinning for developing a leader's thinking on sustainability. The first is Mintzberg's framework (2015), which calls for a rebalancing of society where the political and the social elements of society

**Figure 10.1** Mintzberg's Rebalancing Society framework (2015)

are re-established in some sort of equilibrium with the free market economic model of the private sector. As an antidote to predatory capitalism, state despotism and exclusive populism there is a conscious movement towards responsible enterprise, engaging democracy and plural inclusion.

Clearly this calls for greater cooperation and collaboration among a myriad of stakeholders across all three sectors. Research shows that governments, at all levels, and the private sector are lagging behind in their approach to sustainability (GlobeScan, 2017). So one of the roles the private sector in general, and individual organizations in particular, is to start to take more of a lead in these challenges. As we shall see later, this could have the added benefit of increased financial performance.

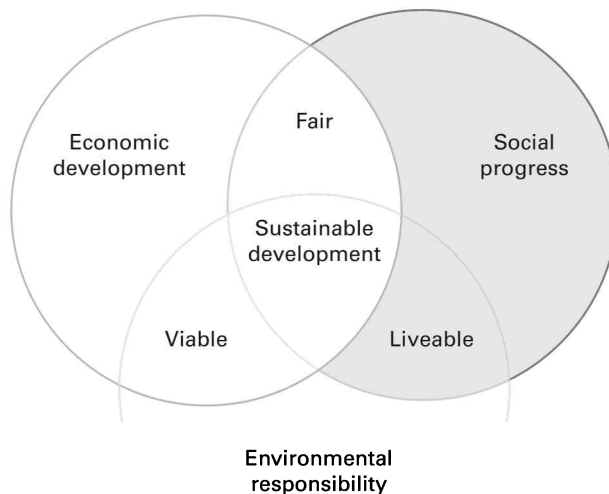
In the IPCC's latest report (2018) they also acknowledge that:

... strengthening the capacities for climate action of national and sub-national authorities, civil society, the private sector, indigenous peoples and local communities can support the implementation of ambitious actions implied by limiting global warming to 1.5°C. International cooperation can provide an enabling environment for this to be achieved in all countries and for all people, in the context of sustainable development. International cooperation is a critical enabler for developing countries and vulnerable regions.

The second framework is the triple bottom line sometimes referred to as sustainable development. John Elkington (1994), coined the phrase triple bottom line (TBL) as a new term to advance the sustainability agenda. He explained that ‘sustainable development involves the simultaneous pursuit of economic prosperity, environmental quality, and social equity... companies aiming for sustainability need to perform not against a single, financial bottom line but against the triple bottom line.’ Elkington’s definition intended to go beyond previous constructions of ‘sustainable development’ (SD) and ‘corporate social responsibility’ (CSR) to encompass an approach that emphasizes economic prosperity, social development and environmental quality as an integrated method of doing business. TBL shifts the focus from shorter-term, mainly financial, goals towards longer-term social, environmental and economic objectives. These three dimensions – people, planet and profit – encompass an organization’s impact on its employees and society (people); the environment through the impact on local, national, and international resources (planet); and of course the company’s financial performance (profit) (Amos and Uniamikogbo 2016).

There has also been a shift in how the end user or consumer is perceived. Both public and private organizations originally saw the consumer as a dependent being, the subject, obeying and receiving what the organization deemed right for them – be it, for example, the doctor–patient relationship or Henry Ford’s edict that the customer

**Figure 10.2** Three circles of sustainable development



**SOURCE** Dréo (2006)

could have any colour for their car as long as it was black. We then entered the age of marketing when the person became the consumer and was ostensibly seen to have independence and an independent choice, demanding what they wanted. Giving the consumer choice, or the illusion of choice (Dimond, 2015), did have benefits and it put the responsibility more on organizations to provide what the consumers wanted. And if businesses did that then they would be successful. One of the downsides was the move towards the idea that happiness can be equated with having and buying things.

However the challenge of sustainable development doesn't stop with the company – there is also a real responsibility on the part of the consumer of goods and services. There is a 'New Citizenship' movement (New Citizenship Project, 2018), which suggests that the consumer needs to think of themselves as a citizen in an interdependent relationship with the world – companies, public sector, communities and the environment. In this new world citizens are full participants and need to engage to co-create the future direction. In this world the role of leaders is to facilitate the interactions.

## Developing a sustainable strategy

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From a business perspective the development of a sustainable strategy can be approached in a variety of ways. Blowfield (2013) suggests that there are three interpretations:

- how an organization might make itself sustainable;
- how an organization incorporates sustainability into its strategy; and
- recognizing that sustainability should pervade the organization and be a key determinant of its strategy.

This chapter focuses more on the third interpretation, as it is both transformative and also helpfully places the organization within the wider ecosystem. Blowfield identifies nine principles or dimensions of sustainability, which organizations already developing sustainability strategies have tended to address:

- Ethics:
  - The company establishes, promotes, monitors, and maintains ethical standards and practices in dealings with all of the company stakeholders.
- Governance:
  - The company manages all its resources conscientiously and effectively, recognizing the fiduciary duty of corporate boards and managers to focus on the interests of all company stakeholders.

- Transparency:
  - The company provides timely disclosure of information about its products, services and activities.
- Business relationships:
  - The company engages in fair trading practices with suppliers, distributors and partners.
- Financial return:
  - The company compensates providers of capital with a competitive return on investment and the protection of company assets.
- Community involvement/Economic development:
  - The company fosters a mutually beneficial relationship between the corporation and community in which it is sensitive to the culture, context and the needs of the community.
- Values of products and services:
  - The company respects the needs, desires and rights of its customers and strives to provide the highest levels of product and service values.
- Employment practices:
  - The company engages in human resource management practices that promote personal and professional employee development, diversity and empowerment.
- Protection of the environment
  - The company strives to protect and restore the environment and promote sustainable development with products, processes, services and other activities.

**SOURCE** Blowfield (2013) building on the work of Eccles *et al* (2012) and Epstein (2008)

In essence, the organization needs to have a deeply ethical values base aiming to deliver a product or service of real value while ensuring the environmental impact is minimal. It does this with proper attention to developing healthy relationships with all of its stakeholders throughout and beyond the value chain. Organizations will often start their journey towards sustainability within the context of their particular industry or sector and on what is important to them as defined by their values. The nine principles may not be enacted comprehensively by all companies but the box below gives examples of companies using their core purpose and values to good effect.



## PRINCIPLES INTO ACTION

Deloitte (professional services) demonstrates its 'commitment to driving societal change and promoting environmental sustainability' through partnering public- and third-sector organizations in developing innovative solutions to societal issues. It encourages and enables employees to volunteer, which boosts job satisfaction and transfer of learning.

IBM (information technology, USA) has a strategy of 'applied technology, continuous transformation, and sustainable change' and supports education initiatives, disaster relief, enabling diversity, promoting economic development and global health. One of its more recent innovative ideas – the World Community Grid – connected the computing power of idle PCs, laptops and mobile devices across the world, amounting to over 150,000 years of computer processing time to support projects such as cancer treatment research.

Zappos (online shoe and clothing retailer) has a core set of values, which include 'Embrace and Drive Change' and 'Be Humble', which is translated via their charitable foundation into donations of clothing, books and school supplies to those in need. Toms does similar through its core value of sustainable giving by donating one pair of shoes for every pair purchased. They have since expanded to encourage social enterprises.

Apple's global social and environmental strategy is encapsulated in its imperative – 'ask less of the planet'. Strategies derived from this purpose have resulted in it being heralded as 'the greenest technology company in the world' by Greenpeace. One example is that 99 per cent of its packaging is produced from recycled paper products. Another is that they have provided citizens in the US with accurate and timely information on democratic elections.

Virgin Atlantic (global airline, UK) focuses its sustainability strategy in three dimensions – the environment, sustainable design, and procurement and community support. Between 2007 and 2018 they have reduced their aircraft carbon emissions by 23.7 per cent, developed research partnerships to produce low-carbon fuels and promoted a centre for entrepreneurship in the Caribbean, which on average helps each fledgling entrepreneur create four new jobs.

Dell (computer technology, USA), has implemented the '2020 Legacy of Good Plan' as their commitment to 'drive human progress' through environmental sustainability, addressing community challenges, global supply chain responsibility, hiring diversity and, ultimately, a dedication to putting back more than they take out. For example, their Net Positive Project goal is, by 2020, to contribute 10 times the good that it takes to create and use their technology.

Salesforce (global cloud-based CRM software) is committed to improving the state of the world. Their 1-1-1 philanthropic model, which they use and encourage partners and customers to do also, releases 1 per cent of their equity for grants in communities where employees live and work; 1 per cent to third-sector organizations; and 1 per cent of employee time to paid volunteering.

LEGO (Danish toy manufacturer) reached its 100 per cent renewable energy target in 2017, three years ahead of schedule and the whole LEGO group is now operated entirely on renewable energy. Bali Padda, CEO stated that 'We see children as our role models and as we take action in reducing our environmental impact as a company, we will also continue to work to inspire children around the world by engaging them in environmental and social issues... we work to leave a positive impact on the planet... and together with our partners, we intend to continue investing in renewable energy to help create a better future for the builders of tomorrow'.

SOURCE Vilas (2017)

It is useful to understand how some businesses have matured from a stance of ignorance of the issues through a position of 'doing no harm' and, for some, to becoming leaders in the field of sustainability. Dunphy *et al* (2014) see that there has been an evolution, through six phases (see box), in organizational thought and action towards maturity regarding sustainability. When planetary environmental concerns were first raised over 50 years ago, in some quarters there was outright *opposition* as some rejected or denied the impact, or actively briefed against it. There was also a lack of responsiveness due to *ignorance*. However increasing awareness led to three types of reaction:

- compliance as organizations recognized the *risk* associated with 'doing harm';
- efficiency as organizations realized there could be *cost* savings if they responded (eco-efficiency); and
- strategic proactivity as organizations planned for *competitive advantage* (eco-effectiveness).

The final phase is one of the 'sustaining corporation', which is about *transformation* and 'reinterprets the nature of the corporation to an integral self-renewing element of the whole society in its ecological context' (Dunphy *et al*, 2014).

### ORGANIZATIONAL STANCES ON SUSTAINABILITY IN SIX PHASES

- 1 Opposition through rejection.
- 2 Ignorance through non-responsiveness.
- 3 Risk through compliance.
- 4 Cost through efficiency.
- 5 Competitive advantage proactivity.
- 6 Transformation into the sustaining corporation.



SOURCE Dunphy *et al* (2014)

A crucial question to ask is how can an organization move towards becoming a sustainable company from a state of opposition? Clearly in the first three phases regulatory interventions can force progress to be made. Also, by increasing awareness of the environmental impacts organizational decision makers can be induced into factoring these elements into their decision making. This awareness raising can come from individual senior executive personal epiphanies, or more likely from influential stakeholder groups – environmental pressure groups; employees; and increasingly small and large investors.

Dunphy *et al* (2014) see the dominant current reality as organizations moving from external regulatory compliance, through sustainability efficiencies that lead to overall cost savings, to a position of competitive advantage, which ‘seeks stakeholder engagement to innovate safe environmentally friendly products and processes’ and ‘advocates good citizenship to maximize profits and increase employee attraction and retention’.

GlobeScan (2018) have documented three eras of ‘sustainability leadership’ during their two decades of surveying:

**1997–2006** – ‘Do no harm’ with the likes of petrochemical firms such as BP, Shell, Dow and DuPont taking the lead by reducing pollution and waste.

**2007–2016** – ‘Mainstreaming’ with companies such as Interface, Unilever, Marks & Spencer and General Electric (GE) all developing aspirational and ambitious objectives to transform their products and services in tandem with their value and supply chains.

**2017+** – ‘Extended Leadership’.

GlobeScan see an emerging era of what they call ‘Extended Leadership’, which aims at ‘systems change, with changes in public policy, consumer behaviour and business creating social pressure for positive change’.

Extended Leadership equates to Dunphy *et al*'s final phase of 'transformation into the sustaining corporation', where the organization sees its role as a 'self-renewing element of the whole of society in its ecological context'.

## ***The business case for adopting sustainable business strategies***

Increasingly the business case for adopting sustainable business strategies is compelling. Ameer and Othman (2012) in their study of sustainability practices and corporate financial performance:

assessed 100 sustainable global companies and found significant higher mean sales growth, return on assets, profit before taxation, and cash flows from operations in some activity sectors of the companies compared to the control companies over a four year period.

Their findings also show that 'the higher financial performance of sustainable companies has increased and been sustained' over the control group. They concluded that 'there is bi-directional relationship between corporate social responsibilities practices and corporate financial performance.'

Starting from where the organization is, the internal imperative is to become more 'eco efficient' and the external imperative is to engage fully with all stakeholders in raising awareness and undertaking such things as lifecycle analyses of products and services (for example, assessing carbon footprints). The aim is to be able to develop innovative sustainable products and services and externally step into an advocacy and leadership role.

A consultancy research report by Mahler *et al* (2009) – 'Green Winners' – the performance of sustainability-focused companies during the financial crisis beginning in 2008, found that in 16 of the 18 industry sectors covered, the 99 companies committed to demonstrable sustainability practices outperformed their competitors. This recognized that a focus on long-term company health created value for both shareholders and society. These companies also demonstrated strong corporate governance along with 'sound risk management practices'. This didn't happen overnight though – the companies also had a history of investing in green innovations.

McKinsey's study (2017) found that companies can improve their financial performance by 'reconfiguring product life cycles and reusing natural capital' by reducing their dependence on natural resources. They showed that such an approach (see box) could boost Europe's resource productivity by 3 per cent within 15 years, leading to savings of €600 billion per annum together with €1.8 trillion of ancillary economic benefits.

Of the 28 industries McKinsey studied, each had the potential of adopting at least three of six potential circular-economy activities, improving performance and reducing costs accordingly:

**Regenerate** – shifting to renewable energy and materials.

**Share** – promoting the sharing of products or otherwise prolonging product life spans through maintenance and design.

**Optimize** – improving product efficiency and removing waste from supply chains.

**Loop** – keeping components and materials in ‘closed loops’ through remanufacturing and recycling.

**Virtualize** – delivering goods and services virtually.

**Exchange** – replacing old materials with advanced renewable ones or applying new technologies such as 3D printing.

Most industries already have profitable opportunities in each area.

**SOURCE** McKinsey Quarterly (June 2017) Mapping the benefits of a circular economy

## Frameworks to enable shifts in thinking about sustainability



One of the critical shifts organizational leaders and change agents need to make in their thinking when managing change towards a sustainable future is that we are all part of a wider system. The root causes of the environmental crisis, as we have seen, stem from a lack of attention to the interdependency of things and a critical element in moving towards sustainable business is to acknowledge and work with this fact.

### *Multi-level thinking*

On a strategic level we can use the sustainable development framework or the triple bottom line to help focus the organization. The United Nations, first with its Millennium Goals, and currently with its Sustainable Development Goals (UNDP, 2015) has provided a set of interrelated goals which, in many parts of the world, are used as the backdrop for economic and societal change from a national level down to a local level.

The GlobeScan survey of 2018 reinforces Mintzberg's Rebalancing Society framework by highlighting that non-governmental organizations (NGOs), social entrepreneurs and academic organizations are seen as having contributed the most to advancing the sustainable development agenda while the performance of governments and the private sector continues to lag behind and is predominantly perceived to be quite poor.

## ***Systems thinking, wicked issues and sustainability***

Systems thinking is a significant key to thinking differently because of two specific elements:

- sustainability is a complex, multifaceted concept with multiple interdependencies, as evidenced by the Sustainable Development Goals; and
- the threat to the planet is what Grint (2005) calls a wicked issue, and wicked issues require a systems perspective if they are to be tackled successfully.

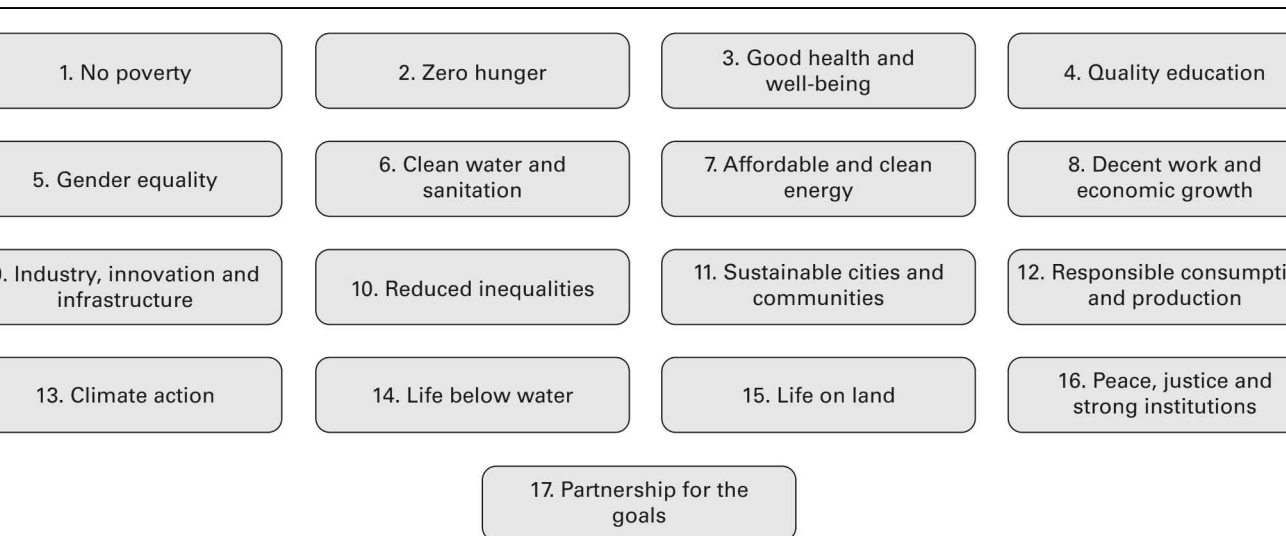
Stibbe (2009) states that:

although sustainability relates to the whole of the biosphere, at its core it is concerned with sustainable human lifestyles. To achieve such lifestyles, we all need to make decisions about a whole complex of interacting requirements, for food, housing, livelihood, health, transport etc where one's decisions about one aspect can have unexpected, and perhaps undesired, effects on others and our wider biophysical environment. To be effective we need to consider our whole lifestyle system, not just separate activities.

Therefore shifting away from an insular siloed view of organizations, and simply ignoring adverse impacts on the world of what the organization does, requires:

- A move towards seeing the interrelationships between environmental, social and economic problems as suggested by the overlapping sustainable development dimensions.
- A recognition of the complexity of environmental and socioeconomic problems.
- Understanding that one individual, group or organization cannot solve these issues on their own.
- Realizing the root cause of these environmental and socioeconomic issues aren't necessarily where you first imagine them to be.
- A shift from looking for 'quick fixes' for the surface symptoms towards intervening and working with the whole system.
- Shared understanding, a common language and a way to map the complexity of the issues.

**Figure 10.3** United Nations Sustainable Development Goals



Martin *et al* (2008) identify that ‘the journey to sustainability is a “wicked” problem involving complexity, uncertainty, multiple stakeholders and perspectives, competing values, lack of end points and ambiguous terminology’. Wicked issues as defined by Rittel and Webber (1973) and developed by Grint (2005) tend to be complex, messy, intractable challenges and typically are more strategic and longer term. They tend to have the following characteristics:

- No linear causes – the actual causes are complex, ambiguous, interconnected.
- The presenting issue can be a symptom of another problem.
- The possible causes may have no specific explanation.
- They are essentially unique with no known solutions, possible solutions tend to be partial and may have unforeseen consequences.
- Because there are consequences to every solution there is no possibility of learning by a linear ‘trial and error’.
- They do not have a well-described set of potential solutions.

Wicked issues can be further described by where we as citizens, leaders or bystanders have:

- only partial knowledge and understanding;
- no definitive formulation of the issue;
- not encountered it before;
- to take a strategic and longer-term view though with no clear end... while actually needing to do something now;
- answers that perhaps are ‘better’ or ‘worse’ rather than ‘right’ or ‘wrong’;
- no current or final test of their resolution.

## WORKING WITH WICKED ISSUES

### Somerset Levels flooding

The Somerset Levels is a wetland area of south west England, rich in biodiversity, which has been cultivated since prehistoric times. There has been active flood management, reducing threats due to the flood risk from both coastal and land-based water, for 1,000 years.

However there is now an increased risk of more floods due to rising sea levels, the increasing cost of coastal flood defences and changes in how the agricultural



land is managed. In the 2014 floods a major incident was declared with 6,900 hectares under water for a month, and some villages abandoned and also cut off for a month.

There was an immediate call for a dramatic increase in dredging of the neighbouring rivers. However a solution was not that simple. The Government's Environment Agency had been attempting to balance the following tensions:

- Interventionist hard engineering-led solutions versus working with natural flood management.
- The needs of the rural communities (who were subject to flooding) versus the needs of the larger urban populations (who were consequently protected from flooding).
- Human welfare versus environmental integrity.
- The need for a 'here and now' response versus sustainable solutions.
- The decreasing value society places on agriculture and farming and their supplying us with food versus the increasing perception that their methods are 'environmentally damaging and [farmers] are over-subsidized'.

In addition there was a need to look at not only modern agricultural methods but issues such as deforestation and building on flood plains. There were numerous stakeholder groups – citizens, farmers, town dwellers, village dwellers, multiple national and local governmental agencies – some of whom felt they didn't have a voice.

Emery and Hannah (2014) conclude:

The real issue, though, is not that sustainability thinking is oppositional to dealing with emergency events. It is that in the move from hard to soft flood management solutions the longer term and spatially remote implications were perhaps elevated above those of the contemporary and local. Yes, sustainability requires us to extend our horizons, but this should not come at the expense of the needs and interests of local communities.

**SOURCE** Emery and Hannah (2014)

## ***Understanding the seven sustainability blunders and mastering their antidotes***

Doppelt (2009) identifies seven sustainability 'blunders' and their antidotes. By blunders he means that organizations and managers within those organizations fail to

grasp the fundamental paradigm shift that sustainable development requires... fail to fundamentally alter the ways in which their organizations produce goods and services.

They believe that sustainability simply involves better controls, marginal improvements, or other ‘efficiencies’ within their existing, linear business model. These managers cling to the fallacy that traditional, hierarchical organizations can manage closed-loop, cradle-to-cradle systems.

He highlights these blunders and suggests ways that we can begin to think differently:

- Patriarchal thinking that leads to a false sense of security and which requires a paradigm mindset change towards envisioning a sustainable future.
- A siloed approach to environmental and social issues, which requires an integrated systems approach to aligning the organization and its wider context through teamworking.
- No clear vision of sustainability, which requires a reboot and for processes to be developed for a shared sustainability vision.
- Confusion over cause and effect, which requires a fundamental re-evaluation of how we make sense of the world.
- Lack of information is countered by increased flow, incessant communication, but also a deeper understanding of what the data is saying about reality.
- Insufficient mechanisms for learning can be addressed by stepping into learning organizational terrain and enabling effective feedback loops to function.
- Failure to institutionalize sustainability is countered by having sustainability as a clear strategic goal and then aligning structures, systems, policies, processes, etc with that goal.

Building on Doppelt and based on their own research – interviews with 100 leaders and a survey of over 1,000 CEOs – Accenture identified seven key steps that organizations need to take for a transformation in the way sustainability issues are handled:

- 1** Acknowledge the scale of the risks and unmet challenges, and begin to frame potential solutions as opportunities for growth with clear strategies for achievement.
- 2** Recognize the need for a shift beyond mere incremental mitigation, and develop and differentiate new products and services to grow in the regions where there is pressing need.
- 3** Create metrics for this mitigation and also quantify impacts, positive and negative, of more sustainable models for the organization and the communities of which they form a part.
- 4** Invest in innovative technology, renewables, closed loop models, intelligent infrastructure and machine-to-machine technology.
- 5** Partner and collaborate with industry peers and across sectors.

- 6 Engage in multi-stakeholder two-way dialogue to extend the organizational role and remit.
- 7 Demonstrate advocacy to create public and political support for a sustainable global economy.

SOURCE UN Global Compact–Accenture CEO Study on Sustainability 2013

## ***Solving business issues with nature's help***

*We must draw our standards from the natural world. We must honour with the humility of the wise the bounds of that natural world and the mystery which lies beyond them, admitting that there is something in the order of being which evidently exceeds all our competence.*

VACLAV HAVEL, FORMER PRESIDENT OF THE CZECH REPUBLIC

Given the mindset that economics and organizations have adopted has led to the potential breakdown in the world's ecosystem, it is fitting that perhaps we can learn how to manage change towards a more sustainable world better by learning from nature. In this section we will draw on two approaches.

### **Biomimicry**

Biomimicry is the 'imitation of the models, systems, and elements of nature for the purpose of solving complex human problems' (Vincent *et al*, 2006). What is fascinating about this concept is that humans confronted with the global challenge of the destruction of the natural world (by humans) can begin to remedy that by observing the natural processes at play in the world. This is not a new phenomenon – Leonardo Da Vinci observed the flight of birds in order to make his famous designs for how humans could fly.

However the benefits of biomimicry are profound. Benyus (1997), listed nine principles of nature, which formed the basis of this approach. Nature:

- runs on sunlight;
- uses only the energy it needs;
- fits form to function;
- recycles everything;
- rewards cooperation;
- banks on diversity;
- demands local expertise;

- curbs excesses from within;
- taps the power of limits.

Each of these principles can then be used to help solve sustainability management conundrums.

## HOW BIOMIMICRY CAN HELP SOLVE SUSTAINABILITY CHALLENGES

**Human need:** To develop car anti-collision system.

**Nature's example:** Locusts avoid running collisions in their swarms through highly evolved eyes allowing them to see in several directions simultaneously.

**Biomimetic solution:** Car designers mimicked locusts' vision when developing sensors that detect movement around a car and warn drivers of impending crashes.

See other examples at [howstuffworks.com](http://howstuffworks.com)

**SOURCE** Lamb (2008)

## Borrowing from the principles of permaculture

Permaculture, a gardening practice that aims to work with nature, not against it, has developed many ideas that can be translated from their original focus to enable us to address issues of change and sustainability in other areas of life, notably the organizational world. Geyer (2016), for example, identifies a hierarchy of resource use in gardening but it can quite easily be adapted to how organizations could work sustainably. The idea is to identify and use resources in a manner higher up the hierarchy (moving from 5 to 1):

- 1** Resources that increase by use, such as when you coppice trees and cut grass. Organizationally some types of information which, when used, circulated, discussed and built on will produce more – for example, creative brainstorming, sense-making of historical data, feedback loops from employees during change.
- 2** Resources that temporarily disappear or degrade if they are not used, such as annual harvests and water run-offs. Once they're gone, they're gone. Indeed not using them can cause problems. Organizationally once again, some types of information – if we don't use and respond to customer feedback about current products or service quality then we won't be able to improve our service or refine our products.

- 3 Resources that are unaffected by use such as the weather, a nice view.  
Organizationally information such as communication on the company intranet or archives of learnings from previous projects, made freely available does not lose its value, indeed it increases in worth when used.
- 4 Resources that are reduced in the long term by use, such as rainforests and fossil fuels.  
Organizationally, Geyer (humorously) suggests that jokes, as a resource, lose their worth over time. But when you don't invest in the company infrastructure or employee training – perhaps because of economic conditions – then the overall organizational capability is diminished.
- 5 Resources that pollute or destroy other resources if used – residual poisons such as pesticides, radioactive material, or areas of concrete, for example.  
Organizationally, Geyer highlights gossip, which is a perceptive comment. The existence of toxic cultures and gossip can be correlated.

**SOURCE** Geyer (2016)

## Becoming a sustainable organization

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For successful transformation to take place there needs to be a leadership commitment to reframe the corporate identity. Eccles *et al* (2012) compared sustainable companies with more traditional ones and found that leaders from the former tended to have a longer-term view with a clearer sense of direction. They were able to manage the potential risks attached to a transition towards sustainability goals and worked with both transformational goals and smaller short- to medium-term incremental steps. These more visionary leaders were able to grasp the importance of the challenge and make the business case for sustainability, begin to inject a set of clear sustainability principles into day-to-day operating budgets and into longer-term capital projects.

### **CASE STUDY** Interface

Interface, a US global carpet manufacturer, is considered to be a leader in restructuring its business model around environmental sustainability, implementing a model around seven key principles as outlined in Figure 10.4 (see page 398). It is the world's largest designer and maker of carpet tiles. Its former CEO Ray Anderson led its transformation over many years. The company motto is that 'Design is a mindset and sustainability is the journey of a lifetime'. Its vision 'To be the first company that, by its deeds, shows the entire industrial world what sustainability is in all its dimensions: People, process, product, place and profits – by 2020 (see Figure 10.4) – and in doing so we will become restorative through the power of influence.'

After decades of hard work, Interface is poised to reach their Mission Zero® goals by 2020.

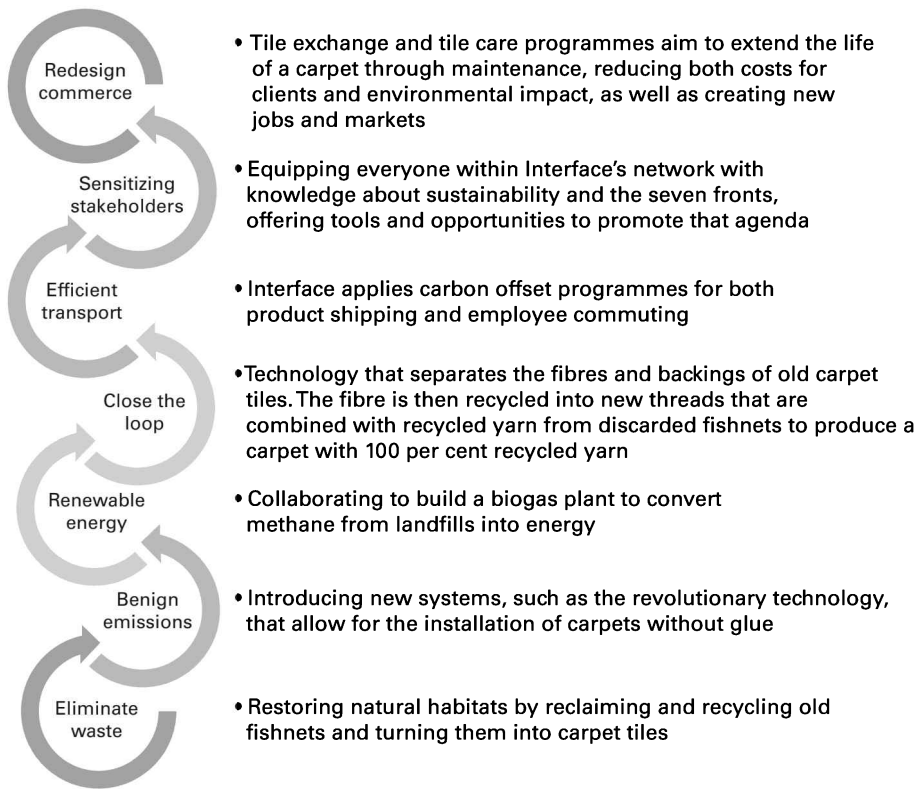
Climate Take Back™ is their new mission and they are committed to reversing global warming by changing how we all think. They suggest that ‘many solutions exist and others are rapidly coming online’.

They are focusing on four key areas:

- 1** Live Zero – do business in ways that gives back whatever is taken from the Earth.
- 2** Love Carbon – stop seeing carbon as the enemy, and start using it as a resource. For example, Interface are investing in technological, ecological and social solutions to bring about the reversal of global warming.
- 3** Let Nature Cool – support our biosphere’s ability to regulate the climate. For example, Interface is exploring new practices that allow their factories to run like ecosystems – Factory As A Forest aims to find a way to go beyond doing less harm and actively do more good.
- 4** Lead Industrial Re-revolution – transform industry into a force for climate progress. For example, sourcing discarded fishing nets for tiles and thus allowing the villagers who collect them enjoy a cleaner environment and a new measure of economic independence.

They’ve also identified businesses and organizations across the world that are taking action for climate change on these fronts and are partnering and sharing learning with them.

In line with Collins and Porras (1994) Interface developed an outrageously ambitious mission. They saw their products as part of a whole lifecycle– ‘cradle to grave’ and ‘cradle to cradle’ – looking at the environmental impact from raw materials through the production process and the consumer’s use of the product, and ultimately it being recycled. They continually think outside of their current strategy, and use the company’s existing core competencies in sustainability thinking to expand into adjacent markets, disrupt existing markets and help create new ones. Interface also takes a lead in its industry – and beyond – to be an advocate for sustainability, and endeavour to change both the prevailing business model and the whole economic system. They actively seek to influence legislation to put a price on products and processes that are non-sustainable and change the rules of the game. There is also a real commitment to add value for customers by helping with product longevity and recycling, and informing them of sustainability issues.

**Figure 10.4** Mission Zero

**SOURCE** Volans Ventures Ltd (2014)

<http://www.thenaturalstep.org/project/interface/> and <https://www.interface.com/US/en-US/campaign/climate-take-back/Climate-Take-Back>

Alongside this attention to the renewal of the organization's core purpose, identity and operations, effective sustainability leaders focus on external engagement: interacting and collaborating, learning and sharing learning with the supply chain, other sectors and even competitors. They also place a premium on open and honest transparent reporting. Eccles *et al* (2012) stress that both internal and external focus can drive each other and happen at the same time.

Once this new identity has emerged or been developed there is then the need for what they describe as a codification of the new – embedding both employee engagement with the process, and mechanisms for execution into the lifeblood of the organization. The former requires a focus on people, winning them over through education and eliciting interest and communication. The latter involves developing metrics for the sustainability targets, linking to the performance management system

and ensuring alignment to global environmental systems, applying these mechanisms to the supply chain and role modelling a commitment to triple bottom line reporting.

What makes these leadership activities highly successful is a set of enabling behaviours and attitudes, which Eccles *et al* (2012) list as:

- Developing a capability in change through learnings from previous transformations.
- Continuous learning from ongoing feedback as progress is made and mistakes made, knowing that objectives around sustainability goals don't have a blueprint as such, given the steps into the unknown.
- Innovations in products, processes and business models emerge as a result of both review and reflection. This is part of the continuous learning and sharing across the organization and beyond organizational boundaries.
- The development of a high-trust culture, which supports innovation and change capability and underpins organizational learning. This emerges as a direct result of valuing employees and ensuring espoused values are indeed the values in practice.
- Delivering on the promise by honouring commitments to all parties and taking a balanced stakeholder approach.

Fagan (2010) brings together many of these ideas in his book *Managing4Good: Kaplan's guide to responsible and sustainable business*. These ideas correlate to the nine principles from Blowfield described earlier in the chapter. Fagan sees that an organization needs to address the following four dimensions: the workplace, the business, the community in which it resides and the wider environment. Although clearly interrelated there also needs to be clear strategies for each of these:

- **The workplace – employer of choice**
  - Diversity is not only recognized but valued and actively encouraged.
  - Terms and conditions are upper quartile.
  - There is talent management for all with high-quality skills training and also a focus on developing tomorrow's leaders.
  - There is active employee engagement with full participation.
  - Organizational change is well managed and the culture and environment one of inclusion.
  - Integrity and trust are key values in practice and this is underpinned by ethical business practice.
- **The business – the ethical business**
  - Both the reputation and the brand image of the business are good as a direct result of stakeholders' experiences.



- The business produces and provides ethical products and services.
- All stakeholders are listened to.
- Pricing is fair.
- Reporting is open and transparent.
- There is a focus on the sustainability aspects of the supply chain.
- The business is an advocate for sustainability and seeks to influence appropriate legislation.
- Environmentally aware across the supply chain.
- **The community – the socially responsible business**
  - Listen to external stakeholders and be responsive to public feelings.
  - See the value of and encourage and enable employee volunteering.
  - Proactive in sponsoring and donating to charitable causes.
  - Inclined to partner with local groups.
  - Being inviting and having an ‘open door’ policy with the community.
  - Demonstrating that the business is part of the community and working towards it being a sustainable community.
  - Seeking to generally improve the community and its cohesion and ensuring things like community projects and local schools are supported.
  - Providing employment opportunities for the local community.
- **Environment – the sustainable business**
  - Having recycling at 100%.
  - Energy use is monitored and made more effective.
  - Ensuring the operation has low-carbon emissions or is carbon neutral.
  - Triple bottom line focus – people, planet, profit.
  - Over-consumption eliminated.
  - Natural capital is valued.
  - Scarce resources are replenished.
  - ISO14001 compliant (international standard for an effective environmental management system).
  - Biodiversity is protected and ecosystems are unaffected.

### **Unilever Vision and Sustainable Living Plan**

(Unilever is a British-Dutch transnational consumer goods company.)

Our vision is to grow our business, while decoupling our environmental footprint from our growth and increasing our positive social impact, which aims to create change across our value chain – from our operations, to our sourcing and the way consumers use our products so that all our stakeholders benefit.

<https://www.unilever.com/>

### **Patagonia – Our Reason for Being**

(Patagonia is an American company marketing and designing outdoor clothing and equipment.)

We're in business to save our home planet. At Patagonia, we appreciate that all life on earth is under threat of extinction. We aim to use the resources we have – our business, our investments, our voice and our imaginations – to do something about it.

Core values:

- Build the best product
- Cause no unnecessary harm
- Use business to protect nature
- Not bound by convention

<https://www.patagonia.com>

### **Certified B Corporations**

Certified B Corporations are a new kind of business that balances purpose and profit... legally required to consider the impact of decisions on their workers, customers, suppliers, community and environment, using business – as a force for good – 2,778 companies across 150 industries in 60 countries with one unifying goal.

<https://bcorporation.net>

## **Leadership for sustainability**

Inevitably when looking at leadership for sustainability there will be many overlaps with other types of leadership. The purpose of this section therefore is to ask what the leadership challenge is for developing a truly sustainable organization and then highlight some of the key qualities of change leadership. A useful place to start is to

agree the qualities that might be needed to address the contexts that we have described earlier in the chapter and the level of complexity that sustainability brings with it. Wilson *et al* (2006) suggest:

- honesty and integrity;
- stakeholder dialogue and building partnerships;
- systems thinking;
- embracing diversity and risk management;
- balancing local and global perspectives;
- meaningful dialogue and language; and
- emotional awareness.

ISSP (2010) and Sustainability & GlobalScan (2010) add the following:

- getting top management buy-in;
- developing the sustainable business case;
- educating customers about company activities;
- getting funding for sustainability initiatives; and
- overcoming internal resistance to change.

Unilever is the top-ranking company among global experts for strong sustainability leadership according to the 2018 GlobeScan Sustainability Leaders Survey, while Interface has been the only company to rank high every year since it began. Unilever is the most dominant private-sector company in the survey's history with its margin of leadership expanding year on year. Part of the survey looks at leadership for sustainability and it identifies five critical dimensions:

- Purpose – clear vision and mission with strong executive leadership demonstrating sustainable development values, which are integrated into the strategic approach with a clear long-term commitment.
- Plan – ambitious targets focused on beneficial outcomes underpinned by clear sustainable-led policies with sustainable development goals inbuilt.
- Culture – a culture of research and development and innovation. Sustainability is part of the core business model, which then designs and develops sustainable products or services with full recognition of the full product lifecycle.
- Collaboration – partnering and knowledge transfer not just with partners but all sectors, including competitors.
- Advocacy – champions in the form of communication, 'walking the talk', transparent reporting and lobbying for sustainable solutions.

The survey concludes that ‘integrating sustainability values, making sustainability part of the core business model and committed executive leadership are the key characteristics recognized by expert respondents as defining corporate leadership’.

If we turn to the Cambridge Sustainability Leadership Model (Visser and Courtice, 2011) the key dimensions of leadership are:

- internally to understand what business you are in, evolving the corporate culture and governance together with knowledge of the leadership role that is required;
- externally making sense of and being able to influence the community, culture, political and economic environments and being appreciative of the ecosystem;
- having the necessary personal characteristics and self-knowledge to step into the leadership role;
- internally developing partnership working, developing sustainable products and services, and effecting transformation; while
- externally setting a strategic sustainable direction, making informed sustainable decisions, demonstrating accountability, empowering people and fostering learning and innovation.

Earlier in the chapter and elsewhere in the book we have also identified some important areas of focus and the need for different leadership qualities:

- 1** A deep understanding of ecosystems and environmental issues and the impact the organization and its multiple stakeholders – including its customers and end users – are having.
- 2** The organization is part of a much wider system suggesting the need for systemic leadership.
- 3** Sustainability can be conceived as a ‘wicked issue’ and therefore requires additional leadership qualities.
- 4** Leaders need to understand both the long-term external environment and the adaptive challenges (Heifetz in Chapter 4) that our current organizational state is in (ie, ‘is it fit for purpose?’).
- 5** There needs to be much more working beyond organizational boundaries suggesting collaborative leadership:
  - a.** cross-sector;
  - b.** multi-stakeholder;
  - c.** multi-agency;
  - d.** up and down value/supply chain; and
  - e.** competitor collaboration.

- 6 An advocate for change and transformation beyond organizational boundaries suggesting transformational leadership.
- 7 A strong moral compass/deep ethical values suggesting leadership responsibility, ethical and authentic leadership.

With these perspectives in mind we can see why Fagan (2010) quoting the Forum for the Future report (2008) suggests five key leadership actions that business leaders need to make:

- 1 Looking for opportunities that will have ongoing business, social and environmental benefits.
- 2 Creating alliances with all stakeholders (and beyond) to find the most sustainable outcomes and creating the change required to achieve them.
- 3 Supporting the ‘right kind of globalization’, which benefits all.
- 4 Engaging with institutional shareholders on sustainability, educating them on the longer-term sustainable vision.
- 5 Developing creative partnerships across all sectors to work together to find solutions to the environmental challenges.

Leading towards a sustainable world is entering the realm of complex adaptive systems. We look at these in some detail in Chapter 11. For now, we can say that such systems are self-organizing and have the capacity to produce coherence, continuity and transformation. Their characteristics include the following:

- There is no central control.
- There is an inherent underlying structure within the system.
- There is feedback in the system.
- There is non-linearity; things do not happen in a cause and effect manner.
- Emergence is an outcome of the system. This happens without planned intent.
- The system is non-reducible. This means that you cannot understand the system’s behaviour by looking at one part. It is necessary instead to look at a representative slice of all of the parts.

In *Essential Leadership* (Cameron and Green, 2017) we suggested that addressing change in complex situations requires both systemic leadership and collaborative leadership. Pinnow (2011) suggested that systemic leadership has eight key behaviours (see box).

**1 Self-knowledge**

Understanding yourself and your motivations, the limits to your competence and the impact you have on others.

Being authentic by having an inner moral compass that guides decisions and direction.

**2 Communication**

Enabling free flow of information across the system.

Connecting the right people to the right issues.

Seeking feedback.

**3 Being able to let go**

Delegating and distributing tasks and responsibilities within a framework of clear goals, responsibilities and priorities.

**4 Withstanding conflicts**

Allow conflict and tensions to emerge and to engage people in weighing alternatives and balancing change with stability.

**5 Dealing with change**

Change management should be embedded within the system and drawing on best practice (stakeholder engagement, good communications, etc).

**6 Conferring meaning**

Conferring meaning through providing context, point and purpose to decisions and necessary actions.

**7 Having power**

Exerting influence from a base of relational power and expertise.

**8 Providing guidance and making decisions**

Role modelling, example setting and taking difficult decisions even when uncertain of the outcomes.

**SOURCE** Pinnow (2011)

In addition, collaborative leadership as defined by Kanter (1994) is required in those situations ‘... that cannot be controlled by formal systems but require a dense web of interpersonal connections...’. Key defining characteristics of effective collaborations across organizational boundaries include the following:

- Individual organizational excellence.
- Strategic importance.
- Interdependence – the need for each other.

- Investment of time, effort, resources.
- Information sharing and data flow.
- Integration – shared operating processes.
- Institutionalization – formal status of the collaboration.
- Integrity – development of a trustworthy relationship.

### ***Leadership skills for wicked issues***

Having identified that we are working in the realm of wicked issues we need to identify a different set of leadership behaviours to tackle them. One cannot put a wicked issue into a management process, for example, neither can we adopt a ‘command and control’ approach.

Given the systems-wide nature of the issue we need to establish a common purpose and shared goals across organizational boundaries, working towards developing shared narratives. The fact that multiple stakeholders are involved requires trust building and a sharing of any risks. Truth and transparency are also key and these need courage and robust discussions.

As has been suggested previously, tackling challenges that have never been tackled before means that new mindsets and new skill sets need developing with new talent spotted and people at all levels within organizations, partnerships and the community encouraged, empowered and coached to act. Free flow of information, reflection and the fostering of learning across the whole system will allow new knowledge to be created, innovations to happen, and opportunities to act and focus resources spotted at earlier stages.

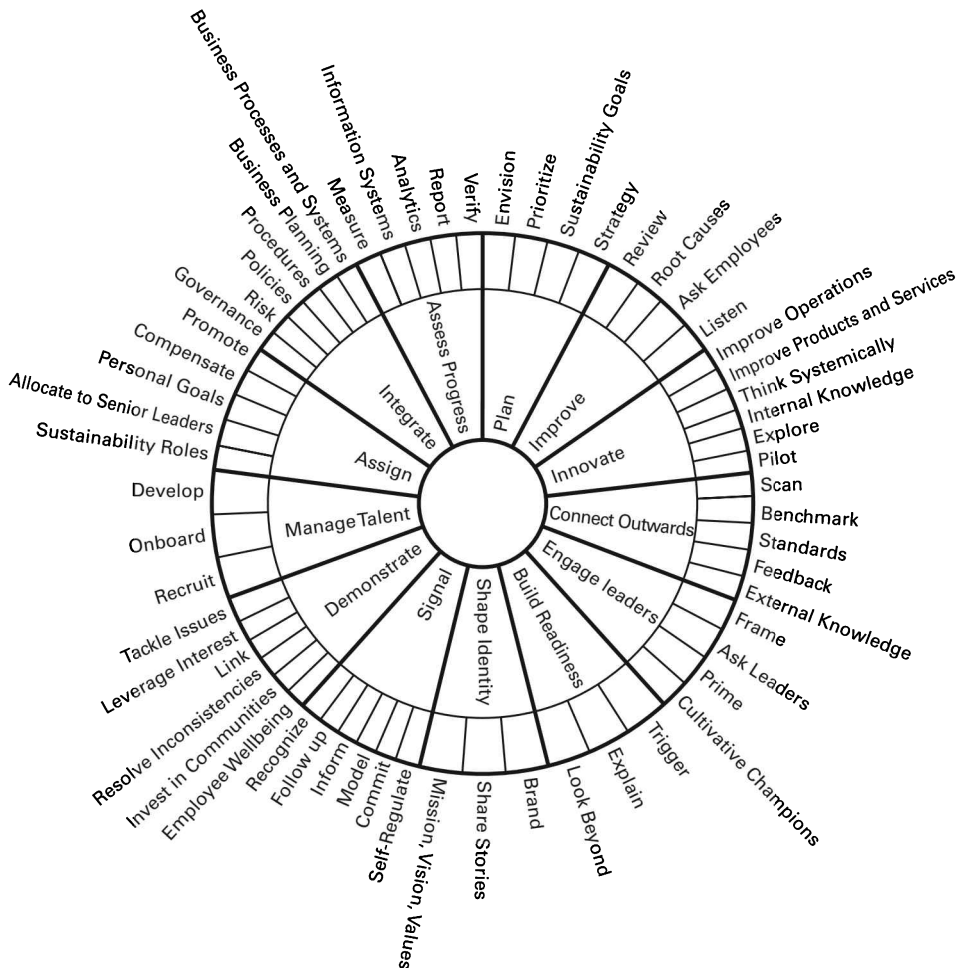
### ***The Embedding Framework – leading change towards sustainability***

The Embedding Framework was first developed in 2010 in a systematic review by Stephanie Bertels that synthesized the best available knowledge on how to embed sustainability in business from over 14,000 academic articles, books, and reports. She and her colleagues then worked with 16 organizations around the world to refine the framework into a diagnostic tool to assess a company’s sustainability maturity. The tool can be found at <https://www.embeddingproject.org/about>

The Framework (Figure 10.5) helps organizations embed sustainability into the fabric of the business rather than as a mere ‘add on’. It tracks the change leadership process throughout its journey with key phases of:

- |                   |                          |
|-------------------|--------------------------|
| 1 Plan            | 8 Signal                 |
| 2 Improve         | 9 Demonstrate            |
| 3 Innovate        | 10 Manage talent         |
| 4 Connect outward | 11 Assign responsibility |
| 5 Engage leaders  | 12 Integrate             |
| 6 Build readiness | 13 Assess progress       |
| 7 Shape identity  |                          |

**Figure 10.5** The Embedding Framework



**SOURCE** Bertels, S, and Schulschen, J (2015) *Introduction to Framework*. Embedding Project.  
DOI:10.6084/m9.figshare.3899106



## ***Using the five leadership qualities framework***

It's useful to look at the five leadership qualities as described in Chapter 4 to help change leaders to see where they may need to step up, or change emphasis when leading sustainable change. Figure 4.1 is illuminating in terms of which qualities need to be brought to bear in the different aspects of the change being tackled. We can further condense the essence of what qualities are needed by those wishing to develop sustainable organizations. Creating a sense of urgency around the climate emergency; having a long-term cohesive, coherent and integrated strategy; developing a motivating vision of a sustainable future that captivates and engages people; being able to work across organizational boundaries with multiple stakeholder groupings and building a guiding coalition; and translating visions and strategies into understandable and measurable activities are all critical. The FLQ framework helps leaders do this, and is closely aligned with leading towards a sustainable world in the following ways:

- The Edgy Catalyser quality is needed in highlighting awareness and to bring awareness and a calibrated degree of discomfort to ensure people know what the critical issues are. From our research this quality is also a critical factor in times of crisis. Many cities around the world are now declaring a climate emergency to attempt to focus people's attention on the climate challenge. This quality is also key in ensuring tighter compliance – for example during the diesel emissions scandal. This quality has a questioning and probing attitude and the ability to have the tough conversations needed in the service of the ultimate goal. They have the courage to withstand this discomfort and have the ability help others 'think and struggle in challenging situations'. Johan Rockström, professor at and former executive director of the Stockholm Resilience Centre has been asking the difficult questions and developed the Planetary Boundaries framework to focus our minds.
- Leaders who demonstrate the Thoughtful Architect quality bring critical skills in systems thinking and strategic planning, diagnosing situations, scenario planning and generating options with the ability to frame and reframe the challenges. They can also undertake or facilitate complex stakeholder analyses. Our research suggests this quality is most needed in working towards a longer-term strategy and when dealing with complex whole systems change. Erin Meezan is the Chief Sustainability Officer at Interface and is responsible for developing the roadmap that aims to reverse global climate change.
- Leaders who bring the Visionary Motivator quality work with both head and heart, developing a vision in words and images to engage and inspire others in moving towards a preferred or needed future. They are able to reframe problems into opportunities and evoke images of a better world. Our research sees this quality as important in providing a positive vision of the future, taking sometimes

disheartened people with you and also at the start of a new enterprise or difficult journey. Venezuelan José Joaquín Cabrera Malo successfully created the largest (200,000 hectares) man-made forest in the world.

- The Measured Connector quality brings a non-anxious communicative inquiring quality to the situation. In both one-to-one and group situations leaders who have access to this quality bring a grounded presence, and through trust building create a facilitative ‘holding environment’ within which complex dialogue can occur. They can connect people across organizational boundaries and weave together the disparate agendas of different interest groups. The research demonstrates that this is a critical quality when working with partners and stakeholders, and when a cultural change or shift in mindset is required. Christiana Figueres was a key connecting leader in securing the final Paris Climate Accord.
- The Tenacious Implementer is the quality that will ensure the project or programme gets delivered. Leaders who bring this quality maintain focused attention on implementation of any plan working towards targets. Though task focused they will contract with and hold people to account. They will ensure that processes are within an effective governance regime. From our research this quality is needed when there is technology-led change, supply chain management, new legislation to be implemented and tighter compliance regimes. Al Gore certainly has access to some of this quality in his persistence and perseverance in moving the sustainability agenda forward.

All leaders, whatever their temperament, will need to bring certain qualities to their stance, for example, bring a sense of presence. However there are certain behaviours, attitudes and mindsets that align with each of the five qualities. That’s not to preclude leaders accessing other qualities. Table 10.1 highlights specific behaviours discussed in this chapter and Figure 10.6 gives an example of how the five qualities can be aligned and work together.

**Table 10.1** The FLQ framework and sustainable change

| <b>Edgy Catalyser</b>       | <b>Thoughtful Architect</b>                                         | <b>Visionary Motivator</b>                                                          | <b>Measured Connector</b>                                                                            | <b>Tenacious Implementer</b>                                                                                        |
|-----------------------------|---------------------------------------------------------------------|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| Creating a sense of urgency | Understanding the drivers for change and working with wicked issues | Developing an inspiring vision of a sustainable business within a sustainable world | Drawing together disparate interest groups towards a common purpose and building a guiding coalition | Translating vision and strategy into plans with measurable outcomes and clear responsibilities and accountabilities |

(continued)

Table 10.1 (Continued)

| Edgy<br>Catalyser                                         | Thoughtful<br>Architect                        | Visionary<br>Motivator                                                   | Measured<br>Connector                                                    | Tenacious<br>Implementer                                |
|-----------------------------------------------------------|------------------------------------------------|--------------------------------------------------------------------------|--------------------------------------------------------------------------|---------------------------------------------------------|
| Being a catalyst<br>for change                            | Reframing<br>situations and<br>issues          | Communicating,<br>motivating and<br>inspiring                            | Establishing<br>clear purpose<br>Building teams                          | Developing the<br>case for a<br>sustainable<br>business |
| Challenging the<br>system                                 | Strategic<br>thinking/<br>scenario<br>planning | Visioning,<br>purpose, shared<br>narratives                              | Engaging and<br>working with<br>stakeholders                             | Establishing<br>metrics                                 |
| Having tough<br>conversations,<br>making tough<br>choices | Systems<br>thinking/<br>managing<br>complexity | Managing<br>resistance and<br>flipping<br>dilemmas into<br>opportunities | Ethical<br>principled<br>position (values)<br>Demonstrating<br>integrity | Project<br>management,<br>delivery and<br>review        |
| Spotting and<br>addressing<br>dysfunction                 | Facilitating<br>complex<br>dialogue            | Evolving a<br>culture for<br>sustainability<br>including<br>innovation   | Embracing<br>diversity                                                   | Ensuring effective<br>governance                        |
| Setting clear<br>boundaries                               | Balancing<br>global and<br>local               | Being a<br>sustainability<br>advocate                                    | Holding and<br>managing<br>conflict                                      | Monitoring and<br>evaluation                            |

Sequencing of the qualities is context specific but below we offer a generic example of a leader needing to raise awareness of the environmental situation, develop a strategy, craft a vision and get buy in, while connecting with stakeholders and translating the vision and strategy into action.

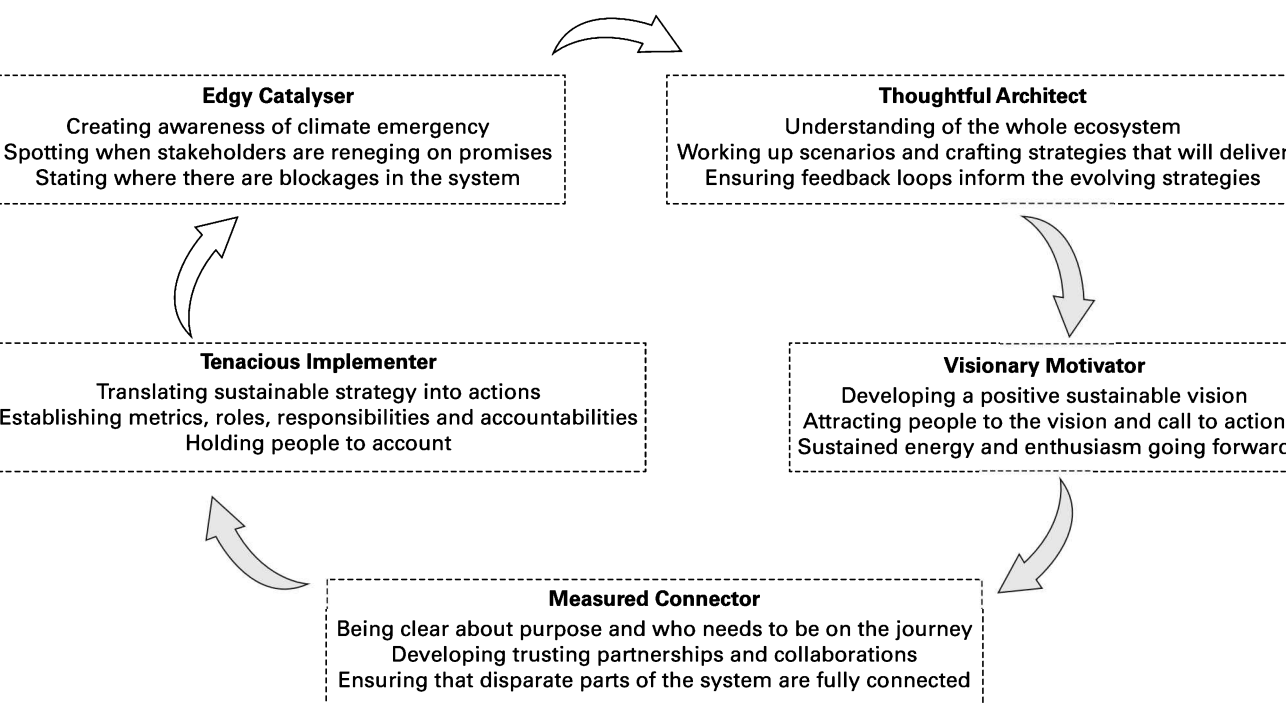
## Sustainability and the change agent

*Never doubt that a small group of thoughtful, committed citizens can change the world. Indeed, it's the only thing that ever has.*

MARGARET MEAD (LUTKEHAUS, 2008)

We have differentiated the notion of the change leader and the change agent by giving them separate chapters (4 and 5) and likewise here we can differentiate by stating that a leader of change may well be in a position of authority (within the business, or within the community, or heading up one of the stakeholder groupings).

**Figure 10.6** Five leadership qualities framework used to address climate emergency



The change agent can operate in a formal organizational position (eg, a local line manager or a change manager on a project) or elsewhere in the larger system. We define the change agent as someone who is actively and intentionally a force for change. A change agent who has passionate and good intent for the well-being of the planet can help shift a business in the direction of sustainability.

Many of the leadership qualities from the previous section in this chapter are also needed by the change agent, wherever they find themselves in the hierarchy or somewhere across the stakeholder groups. This section builds on both the discussion around leadership of sustainability and also the qualities of the change agent focused on in Chapter 5. The emphasis in this section is to underscore the momentousness of the challenge and, when you become aware of the gravity of the dire situation facing humanity and the planet, to ask what your contribution might be to help collaboratively ameliorate the situation.

In addition to the external elements of being a change agent we also have to face an inner struggle. Joanna Macy has been working for a sustainable world for most of her 90 years and is a respected voice in movements for peace, justice and ecology. Her latest work with Chris Johnstone is called *Active Hope: How to face the mess we're in without going crazy*. That is, given the potential for catastrophe how do we manage our feelings (fear, anger, uncertainty, etc) and create the psychological space to act in the world? She suggests that we need to understand that we are now all on a learning journey (trusting the spiral of learning), but individually we can still act from a place of optimism and gratitude for life and community and the world at large. At the same time, we have to recognize and be in touch with the pain of living in a world that is deteriorating and for which we are responsible.

Key to preparing ourselves is to shift our more insular focus – be it innate selfishness, succumbing to the concept of the nuclear family or *our* nation against *your* nation – we need to create a wider sense of self, extending our stakeholder map to include the wider community and the whole ecosystem. Operating within that system we need what Macy frames as a ‘different kind of power’, not power *over* but power *with* – on the one hand to work collaboratively with others but also to empower oneself and enable others to be empowered too. This leads to an ability to develop a richer sense of community with all of its diversity. Recognition that although we always live in the moment we need to have a much larger view of time, seeing the past with its long and rich heritage and valuing a future after we personally are gone but having left a world being created and evolving in a sustainable way.

Of course, to do this we will need to have developed an inspiring vision of what that world looks like and a belief that it is possible to achieve. We cannot do this alone so may need to build or join a support network outside of ourselves and have practices in place within us to maintain our energy and enthusiasm. Finally, Macy implores us to ‘be strengthened by uncertainty’ not panicked by it. To revel in the mystery and the adventure of it. Now that would be quite a thing for a change agent to do!

As we have seen there is clearly an ethical perspective to dealing with issues around sustainability and so, along with the usual change agent capabilities, we need to add the values-based perspective. This comes into focus when, perhaps inevitably, there occurs a misalignment between what the organization wants and what your values say. As Schein (2004) highlights, the difference between espoused values and values in practice come to the fore when an organization has the dilemma of being true to its core values and thinking that a different sort of behaviour might lead to a better profit.

Bertels *et al* (2016) identify some of the qualities needed for being an effective change agent for sustainability. First, they need to have developed credibility within the organization by demonstrating good knowledge of the business and have a track record in making good decisions. They need to have the knack of connecting their ideas into the company's strategy, and not the other way around. They need to seize the moment and be able to bring forward their ideas and plans when there is a window of opportunity or when they are pushing at an open door.

Given the size, complexity and systemic nature of sustainability the change agent needs to know how to break things down into manageable and digestible chunks, always showing commitment to the business and the business's goal of sustainability rather than showing a commitment to sustainability at the expense of the business. Sustainability should not be seen as a 'pet project'. However, because of the challenge that the world faces, you as the change agent need the emotional intelligence to be able to 'harness your passion, yet keep your emotions in check'. Likewise to have the courage to challenge the CEO respectfully and yet also be willing to be challenged yourself. Bertels *et al* have developed a personal inventory of these change agent skills and you can take a self-assessment at <https://www.embeddingproject.org>.

Reflecting upon the leadership and change agent behaviours required for delivering sustainability it is clear that changing the system from within, challenging the status quo and being an advocate for change suggests that the change agent perhaps needs to become a radical. When reviewing Satir's model in Chapter 1 it is interesting to note that the prevailing system will initially try to reject and then attempt to eject any 'transforming idea' or paradigm shift. It is one of the roles of the radical or change agent to enable this shift to happen. It is therefore both beneficial and fitting to end with an evolving model in taking a lead in the service of the emerging future developed by Mackewn at Schumacher College building on the work of Scharmer (Mackewn, 2017, unpublished document; Scharmer, 2009):

- Creating passionate intent.
- Making with biomimicry and rapid prototyping.
- Creating commons – making and sharing to create things in common for others for greater collective benefit.
- Flipping dilemmas into opportunities.

- Implementing with fierce resolve and humility.
- Swarming – engaging with a wider audience.
- Immersing ourselves in learning.
- Sustaining energy, learning and commitment.

## NOT YOUR USUAL STAKEHOLDERS

Organizations will often have a set of direct and indirect stakeholders – investors, management team, employees, customers, end users, suppliers, regulators, pressure groups, etc. Pressure groups have tended to be industry specific: environmental for oil and gas industries; commuter groups for the transport sector.

However with the recognition that sustainability issues impact literally everyone and everything, different stakeholder groups are emerging who cannot be managed in the usual way. Here are two examples of groups who are ensuring that their wants and needs are taken seriously and their demands responded to.

### Extinction Rebellion: the story behind the activist group

They've blocked bridges, glued themselves to the gates of Downing Street and closed roads, all in the name of stopping climate change.

Extinction Rebellion's aims include net zero carbon emissions by 2025 and a national Citizens' Assembly to oversee environment work.

[bbc.co.uk](https://bbc.com/news/uk-2018-12-20), 20 December 2018

### *Mission*

To spark and sustain a spirit of creative rebellion, which will enable much needed changes in our political, economic and social landscape.

To mobilize and train organizers to skilfully open up space, so that communities can develop the tools they need to address Britain's deeply rooted problems.

To transform our society into one that is compassionate, inclusive, sustainable, equitable and connected.

<https://rebellion.earth/>

### FridaysforFuture

FridaysforFuture is a people's movement following the call from Greta Thunberg to school strike. Greta is 16 years old and began a solo climate protest by striking from school in Sweden in August 2018. She has since been joined by tens of thousands of students in more than 100 countries demanding that the political elite urgently address the climate emergency.

[theguardian.com](https://www.theguardian.com/environment/2019/march/15/greta-thunberg), March 2019

## Summary

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Business as usual – the way humans have managed themselves and the consequent damage to the rest of the world – is unsustainable. Business as usual is a flawed model, is depleting resources and leading to climate change and mass extinction of species. This in turn creates social division and conflict. Organizations, especially private-sector businesses, have been part of the problem and now need to re-evaluate the impact they are having on the wider ecosystem.

On a macro scale, concepts such as the triple bottom line and sustainable development have emerged, with the UN's Sustainable Development Goals being a set of overarching objectives for nations, companies and communities. The triple bottom line and sustainable development are about businesses focusing on social and environmental goals as well as purely economic ones.

Blowfield (2013) identifies nine principles of sustainability that organizations need to address:

- Ethics.
- Governance.
- Transparency.
- Business relationships.
- Financial return.
- Community involvement/economic development.
- Values of products and services.
- Employment practices.
- Protection of the environment.

Over the last 60 years different sectors and individual companies have risen to the challenge and there is a clear path towards becoming a sustainable business. Dunphy *et al* (2014) identified six positions that organizations can take in relation to sustainability:

- Opposition through rejection.
- Ignorance through non-responsiveness.
- Risk through compliance.
- Cost through efficiency.
- Competitive advantage proactivity.
- Transformation into the sustaining corporation.

The business case for adopting sustainable strategies is clear – sustainable companies outperform others.



Climate change is a wicked issue, requiring a different sort of leadership to ensure not falling into Doppelt's seven sustainability blunders (2009).

Fagan (2010) sees that an organization needs to address with responsible, ethical and sustainable initiatives the four dimensions of the workplace, the business, the community in which it resides and the wider environment.

Systems thinking is required and a shift from being egocentric to ecocentric with a focus on seeing the impact of the whole product or service lifecycle and partnering and collaborating with multiple stakeholder groups including, but not limited to, working with suppliers, customers and end users across all three sectors, even with competitors.

Society's and business's disconnect with the natural environment has contributed to the problem whereas learning from nature, for example, via biomimicry and permaculture, can show innovative ways of working sustainably and profitably.

Leadership qualities needed to become a sustainable business include:

- Having a strong ethical base.
- Attention to employees, a sustainable business, the wider community and the environment.
- Demonstrating both systemic and collaborative leadership.
- Being able to name the problem and become a catalyst for change.
- To be able to think strategically and systemically.
- Collaboration and connectivity.
- To have a vision of a better world, to which you, your employees and your organization are contributing enthusiastically.
- To have the courage and the resolve to see it through.

The five leadership qualities framework (Cameron and Green, 2017) can guide leaders' attitudes and behaviours by accessing the five qualities of Edgy Catalyser, Thoughtful Architect, Visionary Motivator, Measured Connector and Tenacious Implementer.

Change agents for sustainability can operate anywhere within and without the organizational boundaries and require, according to Mackewn (2017) and Scharmer (2009), capabilities to:

- Create passionate intent.
- Make with biomimicry and rapid prototyping.
- Create commons – making and sharing to create things in common for others for greater collective benefit.

- Flip dilemmas into opportunities.
- Implement with fierce resolve and humility.
- Swarm – engaging with a wider audience.
- Immerse ourselves in continuous learning.
- Sustain energy, learning and commitment.

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# Part Three

## Emerging inquiries

You can tell whether a man is clever by his answers.

You can tell whether a man is wise by his questions.

NAGUIB MAHFOUZ (NOBEL PRIZE WINNER)

**A**lthough this book has the subtitle ‘A *complete* guide to the models, tools and techniques of organizational change’, that is, of course, not quite the case. Although we have attempted to include the majority of useful models, tools and techniques, there is still plenty more to ponder on and discover about how change happens and what enables people in organizations to give of their best when change is in the air.

Since the earlier editions were published we have been pursuing a number of our own inquiries into the nature of change, and we include three of these perspectives in Part Three. In Chapter 11 we explore complex change, identifying when change can be defined as ‘complex’ and uncovering theories, tools and leadership stances that can help in this situation. In Chapter 12, we explore the topic of leading change in uncertain times, which we hope will interest many readers who are grappling with the particular change challenges of ‘these times’. In this chapter, we look at the impact of uncertainty on our working lives, explore the difficulties associated with decision making in an uncertain world and offer some skills and tools to support leaders faced with deep uncertainty. Chapter 13 addresses the ever-changing world of project- and programme-led change.

Our hope is that these three chapters will stimulate your own further inquiry into these fascinating and important topics.

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# 11

## Complex change

### Introduction

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Since the first edition of this book, some interesting new ideas have really started to take hold in the world of organizational development. Ideas on understanding organizations using complexity science and the notion of emergence rather than managed change are now being grasped and worked with by leaders and consultants alike. It is as though we are appreciating anew the possibility that not everything can be planned and controlled, and that even having a strong vision only gets you so far. Sometimes change happens in non-linear and chaotic ways, neither bottom-up nor top-down, and whether you believe in fate, the stars, the fundamentals of biology, or in the sheer randomness of life, one man or woman may really feel quite small in the face of it.

In Chapter 3 on organizational change, we discussed the metaphor of flux and transformation and briefly explored the assumptions that underpin this view of organizations. The flux and transformation metaphor could equally well be referred to as the complexity metaphor. Here, we explore this metaphor a bit further.

This chapter looks at a range of different approaches to understanding and dealing with complex organizational change. The key headings are:

- When is change complex?
- Understanding complexity science.
- Tools that support complex change processes.
- The role of leaders in complex change.

### When is change complex?

---

It is easy to say when change is not complex. Installing a new phone system, or implementing a ready-made IT system, or organizing an office move are all the types of change activity that benefit from a well-planned, controlled approach. Any change that has a high 'technical' element to it lends itself to more linear methods.

Although these changes may be complicated, they do tend to happen more easily if the details can be organized efficiently.

Restructuring programmes, cultural change initiatives, outsourcing, mergers, acquisitions and strategic-led change, especially when a large number of people are involved, can all be seen as complex change. These are changes that involve so many individuals, layers of activity, areas of focus and so many factors that cannot be pre-thought out that there will be a need for people to struggle and argue and work their way through to an unpredictable outcome.

The advantages of understanding the concept of complexity are many. Managers in today's organizations are often trained to think in purely analytical, rational ways. We are taught to see things independently rather than inter-dependently. Current mainstream management thinking is generally based on a mixture of cognitive psychology – which focuses on motivational goals and behaviour – together with scientific methods designed to map out and organize tasks, such as process engineering or project management. These disciplines do not leave much space for the possibility of complexity; the possibility that a contained 'muddle' may well sort itself out given the right conditions.

When managers begin to appreciate how complex processes work, they can release themselves from too much over-managing and begin to think about the different needs they should be fulfilling as leaders who encourage healthy, creative change to emerge.

## Understanding how complexity science applies to organizational change

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Complexity science has been drawn from the scientific world and applied to organizations in an attempt to understand and explain the behaviour of large systems. There is no formal definition of what complexity science means in an organizational context, nor indeed how it is best applied to organizations.

In this discipline, large systems are often referred to as *complex adaptive systems*. Complex adaptive systems are made up of multiple interconnected elements, and have the capacity to change and learn from experience. Complexity science is a collection of theories that seek to explain how these systems work. This branch of science is eclectic and draws its ideas from many other areas of science, for example the fields of neurology and microbiology. Examples of such large complex systems are communities, the stock market, the human body's immune system and the brain.

One of the most intriguing features of complex adaptive systems for those who study them in the context of human social organization, is their capacity to produce coherence, continuity and transformation in the absence of any external blueprint or

nominated designer. The control of a complex adaptive system is highly dispersed and decentralized, and the whole system's behaviour appears to arise from competition and cooperation among the local agents in the system, coupled with sensitivity to amplifying or dampening feedback. Even if a major part of the system is out of action, the system continues to function. A good example of this in the field of biology is the human brain.

At the Santa Fe Institute in New Mexico, where scientists have studied the behaviour of computer-simulated complex networks for some time, the following six characteristics of a complex system were identified:

- 1 there is no central control;
- 2 there is an inherent underlying structure within the system;
- 3 there is feedback in the system;
- 4 there is nonlinearity – things do not happen in a cause and effect manner;
- 5 emergence is an outcome of the system – this happens without planned intent;
- 6 the system is non-reducible. This means that you cannot understand the system's behaviour by looking at one part. It is necessary to instead look at a representative slice of all of the parts.

Eric Dent of George Washington University (1999) proposed that our whole world view is beginning to shift from a rational to an emerging one. It is as if our 'technical' rational reactions to political or social situations are not working any more. For example, use of catalytic converters in cars represents our increased concern for the environment. However, the effects in parts of Africa where the platinum to produce these converters is mined are very negative. People are being moved out of their homelands, health and safety is not being carefully attended to, and workers are losing their lives through avoidable accidents due to the commercial drive for production. Our approach isn't holistic; it's partial. And we are worried about it. Dent says we have to shift our thinking if we are to be successful. He produced a helpful chart that illustrates the shifts required; the highlights are shown in Table 11.1. Dent (1999) sees the list on the right as an extension of the list on the left, rather than replacing it.

Capra (1982) explains why we now need to see the world in different ways:

Modern science has come to realize that all scientific theories are approximations to the true nature of reality, and that each theory is valid for a certain range of phenomena.

Beyond this range it no longer gives a satisfactory description of nature, and new theories have to be found to replace the old one, or rather to extend it by improving the approximation.

Systemic views of organizations, such as the concept of the learning organization promoted by Senge (2006) owe much to the influence of complexity science. The four



**Table 11.1** World view descriptors

| <b>Traditional world view</b>                                                   | <b>Emerging world view</b>                                |
|---------------------------------------------------------------------------------|-----------------------------------------------------------|
| Reductionism                                                                    | Holism                                                    |
| Linear causality                                                                | Mutual causality                                          |
| Objective reality                                                               | Perspectival reality                                      |
| Observer outside the observation                                                | Observer in the observation                               |
| 'Survival of the fittest'                                                       | Adaptive self-organization                                |
| Focus on discrete entities                                                      | Focus on relationships between entities                   |
| Linear relationships                                                            | Non-linear relationships                                  |
| – marginal increases                                                            | – critical mass thresholds                                |
| Either/or thinking                                                              | Polarity thinking                                         |
| Focus on directives                                                             | Focus on feedback                                         |
| Newtonian physics perspectives                                                  | Quantum physics perspectives                              |
| – influence occurs as direct result of force exerted from one person to another | – influence occurs through iterative, non-linear feedback |
| – the world is predictable                                                      | – the world is novel                                      |
| Focus on pace                                                                   | Focus on patterns                                         |
| Focus on results or outcomes                                                    | Focus on ongoing behaviour                                |

basic assumptions that Konigswieser and Hillebrand (2005) identify in their book about systemic consultancy provide a useful translation of the principles of complexity for use in organizational work:

- Organizations do not function like trivial machines. They do not simply work at the push of a button and can therefore neither be controlled directly nor completely understood.
- They constantly reproduce themselves through communication, are in a state of permanent change and continually create new order structures in the form of retained stories, recorded successes and agreed perceptions, patterns and expectations.
- This self-image gains intensity in the 'sense constructs' and views of the world projected as models from inside the system to the environment. Internal order structures, sense constructs and images of the world create security and stability within the organization, yet at the same time obstruct its ability to react to changes in a dynamic, rapidly changing environment.
- Organizations can learn from their environment not only in times of crisis and pressure, but also proactively by assuming an active and creative role in reshaping themselves and their respective environments.

There are some important principles and ideas embedded within complexity science that are useful for managers and consultants who are tackling organizational change issues:

- self-organization and emergence;
- rules of interaction;
- attractors;
- power relations;
- forms of communicating;
- polarities and the management of paradox;
- feedback.

Each of these is described and explained below, together with its significance for organizational change.

## ***Self-organization and emergence***

The principle of self-organization is central to complexity science. The belief behind this principle is that we live in a universe that seeks organization. Patterns and structures emerge that are not planned or pre-designed. Old structures disappear and new ones come into being. Change is happening all the time. Individuals within a system who aren't capable of change may eventually disappear.

In the biological sciences there are some good examples of self-organization working extremely efficiently. Bacteria, for example, operate as a global super-organism, able to swap genes and 'understand' and absorb each others' learning. No single bacterium has the knowledge of the whole, or understands how everything works. The bacteria, instead of being all-knowing, are superb at learning from each other, very quickly and efficiently. This is why bacteria that are resistant to antibiotics develop so quickly. In this type of system model the world knows how to create itself: as individuals we are simply partners in the process, not the ones responsible for it.

Patricia Shaw (2002) explains the parameters of self-organization by referring to an experiment performed by scientists at the Santa Fe Institute. The scientists modelled a large complex system using a lot of digital agents. Their experiments illustrated that low connectivity, low diversity and sluggish interaction between agents tended to result in stable, frozen or 'stuck' patterns of interaction. Conversely, high connectivity, high diversity and intensive interaction between agents results in disorder with no visible patterns arising. However, when the parameters were at certain critical values, the behaviour produced order and disorder at the same time. Langton (1992) has dubbed the phenomenon of complex networks interacting in such conditions as being 'at the edge of chaos', as the patterns produced were neither wholly



random nor wholly repetitive. We can transfer this idea to the domain of human interaction, but must wonder who controls the parameters, if anyone does.

In economics, the market economy is said to be a self-organizing process. Some economists say that central economic planning, ie what will be produced by whom and how profits will be distributed, disturbs the efficiency of self-organizing markets. Others say that the propensity of individuals to pursue self-interest can be so damaging that governments must intervene and control the economy via taxation. The latter is an argument for a more controlled approach.

In human social interaction, techniques such as open space, future search (see later in this chapter), production cells and self-managed teams all use the principle of self-organization.

## ***Rules of interaction***

Complex adaptive systems self-organize and evolve over time using simple local rules that result in global complex behaviour. However, the system works without the rules of a central authority governing behaviour. Local rules are changed as experience accumulates. In a human system, these might be limits on activity or altered social norms. In human social systems these rules are not necessarily explicit and people are not always aware of them. Local rules exist in peoples' heads.

Change occurs when either the local rules change, or the pattern of connectedness changes across the global system. Stacey (2001) argues that this happens in the absence of an external blueprint. If we transfer this thinking to large complex organizations, this means that the traditional role of directors and senior managers who together may aspire to directly influence local behaviour, is unlikely to have the desired effect, and may end up stifling creative and healthy change. It may be that the essential cultural paradigm of the organization needs to shift from within.

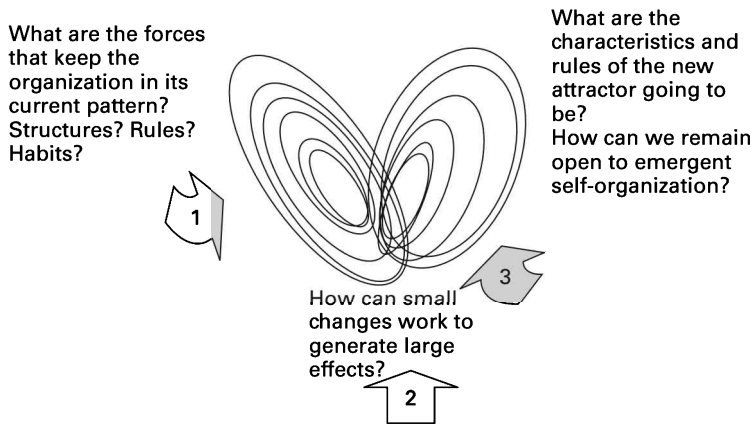
## ***Attractors***



Systems in chaos appear to fall under the influence of different 'attractors'. Lorenz (in Gleick, 1987), the mathematician and meteorologist, showed how complex systems can combine order and disorder, and flip from one patterned state to another as random, non-linear events

trigger a sudden move from being under the influence of one attractor to that of another. See Figure 11.1 to see how this might look in an organizational setting.

To understand this at a conceptual level, imagine sitting in a home office. At the desk in front of you there are papers, Post-its, pens, a laptop computer, photos of

**Figure 11.1** How attractors work in organizations

**SOURCE** Adapted from Morgan (2006)

your family and a list of the things you have to do today. Outside the window you can clearly see trees blowing in the wind, a squirrel reaching for nuts on the bird table, the sun shining great stripes of light through the bushes onto the grass. In this scenario, you are caught between two attractors. As one comes into focus, the other fades away. So it appears to be in complex systems; these attractors ultimately define the way the system's behaviour will unfold. In organizational life it is not possible to dictate what the attractors will be as they emerge naturally, but it is possible to try to understand the attractors that other people in organizations are influenced by (eg their professions, trade unions, a set of habits) and to try to create an attractor that offers true value for people.

## Power relations

Power is an inescapable influence in organizational life. Within complex systems, power differences can be described as novel and interesting, creating diversity and therefore giving rise to possible change. When thinking about organizations as complex responsive processes of relating, it is possible to see power and communications as very similar entities. Both have the effect of either constraining or enabling people in their relationships with each other.

Power in organizations generally arises through patterned talking, and that patterned talking leads us to define who is 'in' and who is 'out'. For instance, if measurement and control is 'in', those who are skilled in talking about this way of operating will be 'in', while those who are more interested in emergence and chaos will be 'out', and will have to find a way of representing their ideas and suggestions in the

dominant language, hard though that may be. If they do not do this, they will begin to feel excluded. This in turn may lead to competition and rivalry. Stacey (2001) comments:

The consequent feelings of inclusion and exclusion then have significant effects on the further evolution of joint cooperation, tending to disrupt it through competition and rivalry... Organizational change is a shift in patterns of inclusion and exclusion. It is in this process that organizational identity emerges, that is, the purposes and inspirations for carrying on being together are continually reproduced and potentially transformed, causing themselves.

## ***Forms of communicating***

In complex systems, communication occurs between near neighbours. It is short-range. The effects of an agent's actions are fed back and responded to through local interactions. These effects can be amplifying or dampening. In organizational life therefore, the more important interactions are the day-to-day things that happen in an individual's neck of the woods. Grand statements and visions may be made by senior people, but it's the local version of that which really influences behaviour. How does the local boss respond? What sense are we making of this locally?

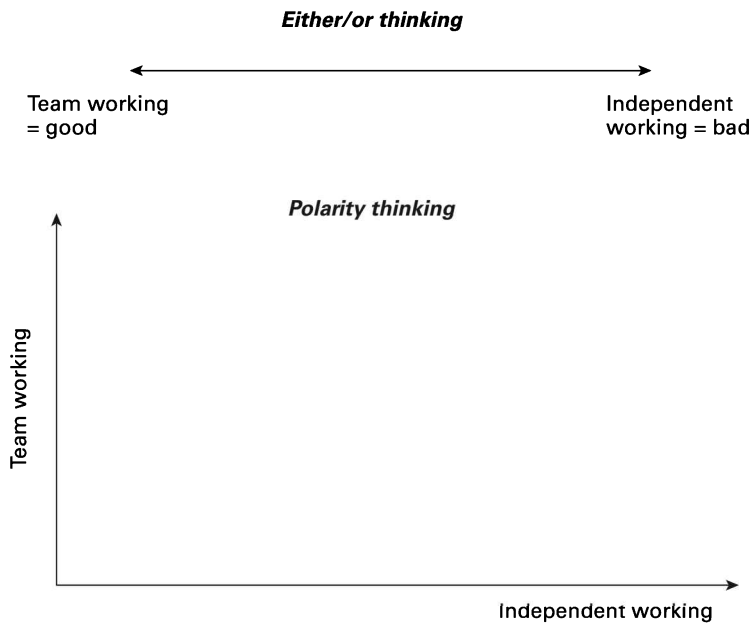
## ***Polarities and the management of paradox***



Systems that are moving from one dominant attractor to another experience struggles with paradox. As a system begins to fundamentally change, 'bifurcation' or 'choice points' present themselves, which can have a draining effect on the existing energy for change.

For instance, imagine that an organization is trying to create more headroom for middle managers to take part in decision making. The old way of operating involved being given a non-negotiable annual target, and putting a great deal of energy into making it work. The new way means more discussion and more engagement. However, old patterns of performance management and career progression rely on a reputation for 'toughness' and high personal achievement, so the polarity between 'toughness' and 'cooperation' starts to be an important one. This is where leaders who manage paradox well can be most useful. What elements of both toughness and cooperation are useful in the new order?

The necessity for either/or thinking is one of the great myths of Western culture. This occurs when two seeming opposites in any situation are seen as one 'good', one 'bad'. For instance, cooperation is 'good' and toughness 'bad'. This can easily lead to the assumption that 'I am right, and you are all wrong.' Either/or thinking demands that for something to be the 'right answer', there must be no contradictions. Combining options or blurring the boundaries is seen as illogical and muddled.

**Figure 11.2** Moving from 'either/or' thinking to embrace 'polarity' thinking

Once the seeming opposites are seen as a continuum, the polarization sets in. For instance, one director we work with sees 'teamworking' as the polar opposite of 'independent working'. This creates stagnation in his thinking. However, when the continuum is translated into a graph, the possibility that both of these may coexist, or that both contain both 'good' and 'bad' elements begins to be visible; see Figure 11.2.

Polarities are sets of opposites that cannot function well independently. The two sides of a polarity are interdependent, so one side cannot be 'right' or the 'solution' at the expense of the other. It seems that many of the current challenges within organizations are about managing polarities or paradoxes, rather than solving problems. So, for example, the argument about whether top-down or bottom-up change works best implies that one is right and the other is wrong. If these are seen as polarities that need to co-exist and both have their good points and bad points, it is possible to reframe the issues that might bring organizational stagnancy by creating positive new realities.

## Feedback

One of the characteristics of a complex system is that feedback exists within it. The non-linear nature of change within a complex system means that linear cause and effect analyses do not work. Mutual causality is about understanding how change

evolves through looping interactions, which can be modelled as positive and negative feedback loops. By doing this type of analysis it is possible to see where clusters of positive feedback loops create vicious circles, and where very small changes can lead to very significant outcomes. In organizations, delayed feedback or counter-responses may destabilize the system by eliciting exaggerated responses or behaviours.

Stacey (2001) refers to the interaction between agents in a complex system as 'gesture and response'. Within systems that are richly enough connected, and have enough difference within them, this self-organized interaction of gesture and response will produce both coherence and novelty.

### STOP AND THINK!

- Q 11.1** Think of an organization you know well. Taking Dent's theory of shifting from traditional to emerging world views (Table 11.1), discuss with a colleague how a shift in world view might change what happens in this organization.
- Q 11.2** How would a greater belief in self-organization change your actions as a manager, coach or OD practitioner?
- Q 11.3** Consider the paradoxes that exist in your own life as it shifts and changes, or those that exist in an organization you know that is going through a change process. How can these be managed well?

## Tools that support complex change

### Storytelling



Storytelling is a type of sense making that helps us to shape our understanding of the complex goings-on in the world. People tell stories to share wisdom with each other, entertain each other, influence each other and help each other make sense of the world. Stories can be created collectively in the moment, or carefully crafted by individuals before they are told. Their essential logic is temporal. They generally move from the past to the present, and tend to open up possibilities for the future. So, paradoxically, stories are distinct ways of making sense of the past and showing how the past leads to the future, which in turn affects the present. Hearing a story may change how we view our current options, and the way we make sense of what has already happened.

There's a difference between telling a story and giving an example. A story has a plot, and characters and emotional and sensory detail. In a story you can examine both sides of an argument; a manager can tell a story in which a proposed change is simultaneously awful and exciting. This is more engaging and more real than an announcement that says: 'The change is coming. Stop moaning and get on with it.' A story can also help someone to walk in your shoes, to see things from your point of view. It can help others to see things they are not currently seeing.

Leaders can use storytelling to work with their teams to make sense of their own past, present and future, or to convey to their teams how they are making sense of it all. It is a way of communicating without over-simplifying. Instead of being used to convince others of a particular course of action, a story can be used to awaken sleeping wisdom and lead to good conversations about what to do next.

Shaw (2002) says of the practice of collective storytelling:

The kind of storytelling I am alluding to is not that of completed tales but narrative-in-the-making. Rather than stating aims, objective, outcomes, roles as abstract generalities, people use a narrative mode. The starting point is often 'the story so far'. Someone recounts and at the same time accounts for or justifies the way they make sense of events and their own participation... As others associate and 'fill in' an increasingly complex patterned sense-making is co-created. This is an absorbing process because a person's identity in this situation is evolving at the same time. We are not 'just talking'. We are acting together to shape ourselves and our world.

## **Dialogue**

Dialogue is a central tool for those interested in dealing with complexity. Dialogue is different from other forms of communication such as debate or discussion, or ordinary conversation. William Isaacs, who founded the MIT Dialogue Project, has been influential in bringing these ideas and practices into organizational settings. This way of talking pays particular attention to the meaning that unfolds when people communicate collectively.

Isaacs (1999) sees dialogue as not merely about talking but about taking action, and at its very best it includes meaning making and the expression of feelings and leads towards powerful action. Dialogue is about thinking together rather than thinking alone, and demands that we both let go of our own positional views and begin to face and hear about other people's experiences and realities.

Isaacs talks about 'choice points' in a conversation. A key choice point in a conversation that involves some deliberation is whether to either defend your own view or position, or suspend it and therefore listen without resistance. Defending usually leads to either productive analytical dialectic or unproductive verbal brawling.



Suspending is more likely to lead to an exploration of the deeper questions, a new framing of key issues and the possibility of reaching collective, refreshing new insights.

## ***Whole system work***

Increasingly, organizations and public bodies are seeing the need to bring whole systems together to tackle complex and messy issues with multiple stakeholders. Patricia Shaw (2002) talks about these sorts of events:

Carefully designed and facilitator-led large group events are an increasingly popular example of 'intervention' into the ongoing processes of organizing. These are intensive interactive conferences intended to stimulate new forms of action to address ambitious change in complex situations. Participants are invited to identify issues and create self-managing small groups to generate proposals for future work. The result is a public plan of action.

## ***Open space technology***

Harrison Owen, the originator of open space technology, says that his ideas are probably as old as homo sapiens; it is just that modern-day wisdom has obscured our instincts and intuition about how gatherings of people can self-organize to find what is exciting and energizing, and then make things happen. Owen's (1997) ideas emerged when he began to notice that at a regular international symposium he used to attend, which used the traditional formal presentation of papers plus orchestrated panel discussions, the real excitement and energy used to burst out in the coffee breaks. He wondered if it were possible to make the symposium one big coffee break.

An open space session is typically a large gathering that is clearly focused on one topic, has no set agenda, no organizing committee and a small band of facilitators. The agenda is discovered by participants who wish to pursue topics posting these on a notice board, seeing who signs up and then running these various conversations simultaneously. People can move from one conversation to another, and a record of each discussion, with issues ranked and next steps identified for the critical issues, is given to every participant. It seems that open space represents Owen's belief that the one thing we spend our time doing so much of – organizing and seeking control – is not only unavailable but unnecessary.

When is it appropriate? It works well when there is a very pressing issue that needs to be sorted out yesterday, when there is a great deal of complexity, when there is conflict and when there is a lot of diversity in the people who need to get together to solve the issue.

There are four Principles and one Law of open space sessions. The four Principles are:

- 1 Whoever comes are the right people** – people demonstrate that they care by showing up.
- 2 Whatever happens is the only thing that could have** – this helps people to focus on the here and now, not what could have been or should have been.
- 3 Whenever it starts is the right time** – creativity is not dictated by the clock.
- 4 Whenever it's over, it's over** – don't waste time! When the conversation is finished, move on.

The one Law is called 'the law of two feet', which means when you are no longer listening or contributing, move on to somewhere more to your liking. This is not just about pleasing yourself, but about taking responsibility for your own learning rather than sulking or blaming others for not making things more stimulating. Owen says that the Principles and Law are not really what makes open space work; it's just that these statements free people up to do what they would do naturally, given a chance.



## ***Future search***

Future search is a way of conferencing that is underpinned by research by Weisbord and Janoff (1992) into the conditions under which diverse groups seemed to be able to cooperate. Previous work by North American and Australian social scientists was also highly influential. Future search involves many people getting together for a large planning meeting, and is based on principles that enable diverse groups to get together and cooperate, be very task-focused, and quickly translate their energies into action.

These principles are:

- get the 'whole system' in the room – inviting a cross-section of all parties who care about the issue;
- explore the 'whole elephant' before acting on a part – get everyone talking about the same big picture;
- put common ground and future focus at the centre, and treat conflicts as information rather than items to be 'sorted';
- encourage self-management and responsibility taking for action by participants.

The conditions for success are:

- encourage full attendance – discourage part-timers;
- meet under healthy conditions – with food and snacks, and adequate breaks;
- work across three days (sleep twice) – things need time to be absorbed;
- ask for voluntary public commitments to next steps before people leave.

## World Café



World Café is a conversational process that enables groups of people to talk together, explore and find their creativity about an issue that matters. This is not about problem solving or managed action. This simple but innovative method was developed by founders Juanita Brown and David Isaacs (Brown and Isaacs, 2001).

The World Café Community Foundation can be found at [www.theworldcafe.com](http://www.theworldcafe.com) and is an excellent source of information. The following box summarizes their approach to this technique.

The method starts by setting the context: what is the topic, who needs to be invited, how long do we need, and what is the best outcome we can hope for? A hospitable space needs to be chosen and prepared with refreshments and comfort, rather than cold impersonality. A café ambiance is then created, with small tables with tablecloths – perhaps the type that can be written on – candles, and flowers, with markers ready for writing.

Compelling questions are then posed to the groups. Sometimes only one question is used, and sometimes there are deeper levels of inquiry. Facilitators need to find questions that are relevant to the concerns of group members and that provoke interest and energy. Questions that reveal assumptions, enable people to reflect more deeply, seek what is useful and open up new possibilities are all effective. Questions that focus on definitions, or the truth or what went wrong seem less effective.

Turn-taking in the discussion is important to ensure everyone can contribute, as is the connection of diverse perspectives. People are encouraged to record their emerging discussion visually on the tablecloth using the pens, and then move to other tables to add to their emerging pictures. One person remains at the original table to summarize what has been discussed, and new arrivals begin by sharing the threads of their previous table discussion. New possibilities begin to open up, and the conversation deepens.

At the end of the conversations, tables are invited to distil the parts of the discussion that have been most meaningful for them and share it with the rest of the tables. In response, other tables may be invited to say what was surprising or new in what they have heard, and share only on that line of inquiry. All this is often captured on flipcharts by the facilitator.

The final stage involves a short reflective meditation by the group, and then answers to the following questions are invited:

- What is emerging here?
- If the whole group could speak, what would it say?
- Did we notice any patterns, and if so, what might they indicate?
- What deeper knowledge or understanding are we now holding?

Ideas used by permission from The World Café Community Foundation at [www.theworldcafe.com](http://www.theworldcafe.com)

## The role of leaders in complex change

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In Chapter 4 we talked about the leaders who operate using the assumptions of the flux and transformation metaphor as using facilitative leadership. This gives us a good starting point for thinking about the role of a leader in complex change. We also said that the three main tasks of this type of leader were to get the governing principles right, enable the right amount of connectivity and amplify important issues, but that this set of three tasks merely scratches the surface. What more can be said about these leaders who facilitate emergent change?

Harrison Owen (1997), pioneer of open space technology and passionate believer in self-organization, says that the job of leaders is about ‘liberating the human spirit to achieve its potential’. He points out that the illusion of control and organization is where many leaders waste a lot of time and energy.

It seems that leaders need to look beyond the confines of structure and organization if they are to truly facilitate emergence. Wheatley (1999) quotes a rather lovely verse that captures the struggle many experience when we try to grasp the realities of a complex world:

She who wants to have right without wrong,  
Order without disorder,  
Does not understand the principles  
Of heaven and earth.  
She does not know how things hang together.

Chang Tzu, 4th century BC

Wheatley urges leaders to lead through vision, values and ethics. This does not mean crafting a single vision that shines so brightly that it has its own power, but co-creating a vision that permeates the organization and harnesses the organization's own self-organizing power. However, the difficulty for many leaders is that vision and values seem 'a bit soft' when compared to traditional forms of authority, and they may feel powerless and somehow naked without the familiar controlling mechanisms.

Wheatley also emphasizes the importance of developing a new relationship with information so that it is embraced for all its vibrant, living qualities. She notices an unhelpful habit in leaders. Rather than looking for small differences in the information we receive, often leaders seek certainty and notice only the big trends and large gaps. They may value quick, surface decisions over wiser, deeper ones. She says that leaders need to see information as nourishment rather than power, and keep the flow well stocked.

Wheatley goes on to say that in this world of chaos and complexity we appear to need leaders rather than bosses; people who assist their employees in embodying organizational values and carry a strong sense of purpose. Policies and procedures curtail creativity and end up failing to control as effectively as a strong sense of purpose and some clear, hard rules.

Scharmer (2000) is a great believer in self-organization too, but he also sees a more spiritual dimension to organizational or community endeavours. As we sense and intuit together, something sacred happens, and out of the space between us something new emerges.

Scharmer refers to leadership as 'sensing and actualizing emerging futures'. He identifies two important methods of learning that are both important for sustained organizational success. The first is to reflect on the past in a way that loosens our traditional views of what's happened. The second is to begin to sense and embody the emergent future as it appears out of the mist between us, instead of re-enacting past patterns. He talks about the processes of both 'letting go' and 'letting come', which leaders need to understand as the root of generative learning. This process is not about being polite, or getting involved in conflictual debate or dialectic. It involves true generative and reflective dialogue.

Scharmer sees the leader's role as creating the conditions that allow others to 'shift the place from which their system operates'. There is a sacred quality to Scharmer's work that takes us far beyond the focus on ordinary conversation which sits at the root of complex responsive process theory.

Presence is another important quality that those writing about the complex view of change encourage in leaders. Facilitators of emergence need to embody presence if they are to be truly tuned into the complexities of organizational life. This means being less preoccupied by the world of objectives and performance indicators, and more open to the subtle complexities of the world as they unfold in front of them; more present in the 'here and now' moment.

Senge *et al* (2005) talk about presence as having an even deeper quality such as ‘grace’, or what the Buddhists call ‘cessation’. This definition of presence has a spiritual quality to it. They say that presence occurs when there is a quieting of the mind, and the normal boundaries between self and the world begin to melt away. For leaders this means being able to let go, surrender control and open themselves to the wider needs of the world. The authors of *Presence: Exploring profound change in people, organizations and society* provide a sentence on what this notion of presence means to each of them:

Jaworski: ‘A profound opening of the heart, carried into action.’

Scharmer: ‘Waking up together... by using the Self as a vehicle for bringing forth new worlds.’

Flowers: ‘It’s the point where the fire of creation burns and enters the world through us.’

Senge: ‘We have no idea of our capacity to create the world anew.’

### STOP AND THINK!

**Q 11.4** How could you use open space technology or World Café to good effect in your organization or local community?

**Q 11.5** Imagine yourself in a leadership role in your organization. Maybe you are in one already. What is your area’s core purpose? What is the whole organization’s core purpose? This needs to reflect some value that is being created in the world. What are the few simple principles that apply to work in your area? (Once you have these, it will form the foundation for your leadership.)

## Summary and conclusions

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New thinking on how complexity science can be applied to organizational problems is developing fast and becoming more widely known and understood.

Small, simple or highly convergent change initiatives such as technology roll-outs are less complex, and less emergent, and therefore less likely to benefit from being seen through a complexity lens.

‘Complex adaptive systems’ is the name given to large systems by complexity scientists. These systems are self-organizing, have no external blueprint, and yet they still have the capacity to produce coherence, continuity and transformation.

Dent (1999) suggests that our whole world view is beginning to shift from the rational to the emerging world view. This is in tune with much thinking about our ability to see the world as complex and emergent, rather than linear, rational and controllable.

The important elements of complexity science that relate to organizational work are: self-organization and emergence, rules of interaction, attractors, power relations, forms of communicating, polarities, and the management of paradox and the role of feedback.

Systems thinking and complexity science have very different roots, and lead to very different assumptions about how change works.

Storytelling, dialogue, whole systems work, open space technology, future search and World Café are all tools that support complex change.

Leaders have a different role in complex change from the traditional organizing or controlling roles of managers. The new role may be referred to as 'facilitator of emergent change'. This means leading through vision, values and ethics. It also means creating generative and reflective dialogue, and being present in the 'here and now'.

# 12

## Leading change in uncertain times

### Introduction

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*The whole globe is shook up, so what are you going to do when things are falling apart? You're either going to become more fundamentalist and try to hold things together, or you're going to forsake the old ambitions and goals and live life as an experiment, making it up as you go along.*

Pema Chodron (2001)

*The inferno of the living is not something that will be: if there is one, it is what is already here, the inferno where we live every day, that we form by being together. There are two ways to escape suffering it. The first is easy for many: accept the inferno and become such a part of it that you can no longer see it. The second is risky and demands constant vigilance and apprehension: seek and learn to recognize who and what, in the midst of the inferno, are not inferno, then make them endure, give them space.*

Marco Polo's words, in *La Citta Invisibili* by Italo Calvino

In Chapter 11 we outlined some of the ideas from complexity science that support leaders in conceptualizing and leading a way through the complex nature of many of today's leadership challenges. This chapter focuses more specifically on the challenges posed by increased uncertainty in our working lives, the effect this has on leaders and the led, how organizations are responding, and how leaders can best equip themselves to lead and manage change through uncertainty.



The chapter is organized under the following headings:

- the impact of uncertainty on our working lives;
- decision making in an uncertain world; and
- skills and tools to support leading change through uncertainty.

Political, economic and climate instability are all familiar elements of the global context that we're now working in. The conundrum is that although we know that very little is predictable and stable in today's world, many of the tools and techniques available for leading and managing have been devised to fit with an 'old' rational, mechanical world view. This assumes that difficult problems can be reduced and understood, rational answers found and long-term plans made; leaders are heroes with an extra dose of this masterful rationality.

Our working lives, personal lives and communities are also more fragmented and less predictable than they used to be. Many people's careers now encompass several different sub-careers, families are more widely spread geographically and communities have less cohesion around a local geographic focus.

Some organizations are responding to these challenges with totally new organizational forms that increase their capacity to adapt and innovate, and flex to new forms of business partnership and to people's shifting lifestyles, while others struggle to respond at all. Many are calling for a new world view in which we become more open to uncertainty and confusion, and more trusting of emergent processes. This means letting go of heroic plans that no longer seem valid, finding new ways of responding to the here and now and offering leadership that enables this.

As individuals, many of us have far less stability in our lives than our parents had, and we are having to find ways of developing new skills to manage ourselves and tell our stories in this uncertain and turbulent world so that we can lead fulfilling and ultimately satisfying lives.

This chapter describes key themes that support leaders to find answers to these dilemmas.

*The volume of education continues to increase, yet so do pollution, exhaustion of resources, and the dangers of ecological catastrophe. If still more education is to save us, it would have to be education of a different kind: an education that takes us into the depth of things.*

E F Schumacher (1973)

## The impact of uncertainty on our working lives

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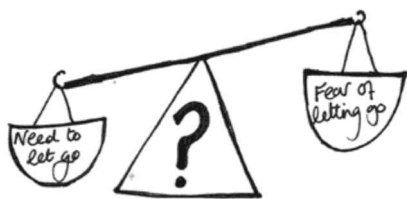
In his dense but highly readable short book, *Liquid Times*, Professor of Sociology Zygmunt Bauman (2007) suggests five sources of uncertainty in today's world that he says are leading us to be more fearful and 'self-focused' as individuals:

- 1** Social forms – the institutions, businesses and other organized entities that limit individual choice and guard behaviour – are not expected to keep their shape for long, and are unlikely to solidify before re-forming – so can no longer serve as fundamental frames of reference for human actions.
- 2** Power and politics are becoming separate. Newly emancipated global power bases are calling the shots while increasingly irrelevant local politics is left impotent in the face of people's real-life problems. Local politicians are now abandoning the functions they traditionally performed, leaving these to market forces.
- 3** Individuals feel increasingly vulnerable to the vagaries of the markets. The reduction of the welfare state's care for individuals in tough times encourages competitive attitudes and downgrades collaboration (unless it's a temporary strategy for individual success).
- 4** The collapse of long-term thinking, planning and acting is leading to a life experienced as a series of fragmented, possibly unrelated steps or 'projects', where dropping old habits can be more important for success than building on previous learnings.
- 5** The responsibility for making choices in this constantly changing environment is put on the shoulders of individuals, who must take risks beyond their capacity to comprehend and act without any authoritative advice.

Otto Scharmer (2007), slightly more optimistically, identifies the key shifts in our global systems as follows, and says that our challenge in facing up to these shifts is to find ways of co-creating the future:

- The rise of the global economy: downsizing, deregulation, corporate restructuring, emerging technologies.
- The rise of the network society: globalization of governance, loss of lifetime employment and social security, perpetual individualization.
- The rise of a new consciousness: the rise in number of NGOs, the rise of the creative class, a spiritual revival.

## Uncertainty, fear and loss of control



The difficulty with high levels of uncertainty and instability is that they tend to provoke increased levels of fear, anxiety and a sense of loss of control in everyone, no matter what their organizational role is. This is particularly difficult for leaders, or others accountable for

‘delivering change’, because at the same time, the presence of uncertainty and change increases the requirement for people to let go of old habits and the old ‘way of things’ and to work closely and creatively together to find new ways forward. These elements often feel extremely tricky for leaders to balance.

The business of letting go of the past is highly problematic and provokes fears in itself. Scharmer explains that if organizational leaders are to find effective ways of leading through uncertainty, they must understand the process of profound change and be able to overcome their own resistances to letting go both of old ways of doing things and of their ‘old selves’. A key resistance to letting go is what Scharmer calls the ‘voice of fear’, which shows up for leaders in many ways, such as fear of losing economic security, of being ostracized, of ridicule or even of death, and can result in all sorts of strategies for pretending that the uncertainty is not really there at all and there’s no need to let go of anything! See box.

### THINGS LEADERS DO TO PRETEND THAT UNCERTAINTY IS NOT REALLY THERE

- *Blame stakeholders/the CEO/others for not being decisive – and just keep your head down and carry on without challenging or requesting time to talk.*
- *Avoid your team and your key stakeholders and continue to pursue your isolated agenda instead of developing a joint agenda.*
- *Invent a series of over-simplified projects that look like they are delivering something, without having a proper conversation with colleagues about what they are supposed to achieve.*
- *Get as close to a senior stakeholder as possible and focus purely on delivering what he/she wants, rather than understanding the key issues.*
- *Pack meeting agendas full of updates and reviews of things that have already happened rather than creating spaces for discussion or questions about the big, concerning issues.*
- *Create artificial actions and/or rules and come down very hard on anyone who transgresses.*

Margaret Wheatley (2007) says that the fear leaders feel in times of uncertainty is rooted in a sense of loss of control. She explains how Western culture has at its heart a belief that mankind has within its grasp complete dominion over physical matter. This is a belief that still has great hypnotic power over us. As we start to see the limitations of this core belief through observing the difficulties that even the most experienced leaders have in leading through uncertainty, we begin to see the results of our own ignorance and to confront our true powerlessness. And as we do this, we tend to become fearful for ourselves and try to control more. This is a familiar pattern for leaders, which can lead to extremely stressful and potentially destructive forms of leadership such as bullying when the leader projects his or her own sense of inadequacy onto the team. See box.

*I realized after the meeting that my anxiety had got the better of me. I just 'went for' a member of my team in open forum, just because he hadn't completed an action. I really humiliated him out of all proportion. And afterwards, I could see this was really to do with my own anxiety about the chaos and uncertainty the team was working in, and my inability to manage things as brilliantly as usual.*

A senior project manager in the motor industry recognizes his anxieties

As touched on above, some leaders may decide to give up in the face of uncertainty, 'keep their heads down' and 'not make waves'. Robert Quinn (1996) encourages us to resist the lure of being a powerless victim or a passive observer in this uncertain world, as this type of detachment erodes our sense of meaning and leaves us looking at the world in superficial ways. He calls this a 'slow death of the self' and urges us instead to make deep changes in ourselves – which might for instance mean absorbing and role-modelling collaborative behaviours at a completely new level – and then bring that experience to the world. Quinn says that this is not a new dilemma, but one that leaders are now facing more often as the search for meaning and equilibrium is now more elusive than ever before.

Quinn also warns that most of us build our identity on our knowledge and competence, but that conversely, making a deep change – the type of change that many leaders are now seeking in their organizations – involves abandoning both and 'walking naked into the land of uncertainty', which means taking significant risks and stepping outside well-defined boundaries.

## ***Blame, shame and disconnection***



In times of great uncertainty, when leaders might be feeling somewhat confused and ‘at sea’, it’s not only fear and a sense of loss of control that leaders have to contend with. Feelings of inadequacy and shame can also arise in the face of organizational or cultural pressure to appear ‘strong’ and ‘in possession of all the answers’. These can be extremely painful, particularly in organizations where blame is habitually used as a way of dealing with mistakes, ie the guilty are sought out and named and swingeing decisions are made as a result.

Shame is an extremely uncomfortable and powerful feeling. Kaufman (1989) describes it as ‘an inner torment... a sickness of the soul. Shame is a wound felt from the inside, dividing us from both ourselves and from one another.’ Often experienced as a deficiency in comparison with others, through shame we feel a failure in our own eyes and those of others.

When experiencing this type of private shame, a leader’s instinct is often to disconnect from others, possibly by blaming them, and to keep any feelings of ‘stuckness’, confusion or not knowing hidden, even though these are typical sensations and to be expected in uncertain and complex contexts. In this frame of mind, it can be almost impossible for leaders to reach out for help, or to experiment with new, risky ways of behaving, as seeking help is experienced as yet another sign of weakness or inadequacy.

However, the negative impact of shame in organizational settings can be reduced, suggests Cavicchia (2010), if leaders adopt a less ‘reductionist’ or ‘blame-centred’ approach to problem solving and decision making – which inevitably pits individuals against each other – and instead develop a more multi-layered, systemically-wise approach to understanding how things happen in complex settings. This allows everyone to play their part well, and no one individual to be named as ‘to blame’.

## ***Creativity, energy and personal development***

It’s important to note that uncertainty brings upsides as well as downsides. Uncertainty in organizations, given the right leadership and context, can also give rise to great creativity, energy and personal development.

In Chapter 4, we referred to Bridges’ concept of the ‘neutral zone’ as a place in between an ending and a beginning in an organizational change process, where people may become disoriented. Bridges (1991) describes this as a different and potentially creative phase where experiments can happen, and people can become innovative and enthusiastic, given the right focus. Bridges advocates creating temporary systems and structures during this time, setting short-term goals, strengthening the

skills people need to get through and not promising high levels of productivity. Creativity can be boosted by stepping back and asking key questions about the way things are done. It can also be boosted by supporting the rebuilding of connections between people and acknowledging that business as usual often deadens creativity.

This view is somewhat echoed by Day (2007), whose field research studying people's reactions to uncertainty and change in an organizational setting revealed a range of responses, from feelings of disorientation, to increased political activity, to painful emotions such as hostility, anger and fear, and also increased levels of creativity and enthusiasm. In all the organizations studied there were individuals and groups who were energized and excited about the change ahead. Where people were actively engaged in particular change challenges, there was evidence of creativity and innovation, and individuals were 'experimenting with new ways of working and enthusiastically applying their ideas in their work'. These individuals also reported that the challenges they were addressing were stretching their capabilities and, while they experienced their contexts as 'difficult' or 'demanding', they were able to point to their own 'development and growth'.

So it seems that where leaders offer temporary structures, high levels of support, clear short-range goals and some easing of the pressure to deliver business as usual, creativity can flourish and good work gets done.

## ***New organizational forms and ways of doing business***

In Bauman's list of sources of instability he mentions that our organizations and institutions are in great flux. They are not expected to keep their shape for long and are unlikely to solidify before they begin to re-form. So what types of organizational forms are now emerging, how do they differ from traditional organizations and how do they actually work?

It is clear that there are new organizational forms emerging due to extreme competition, growing amounts of uncertainty in the global economy, unpredictable effects of global 'incidents', increasing importance of information, communication and technology, and the rise of social networking.

According to Child and McGrath (2001), these new forms share a set of features that contrast with the more traditional and familiar hierarchical, bureaucratic types of organizations. In Table 12.1, the differences are set out.

Two new types of organizational form that have attracted much interest from business people and academics over recent years are ambidextrous organizations and emergent organizations.

*Ambidextrous organizations*, as described by O'Reilly and Tushman (2004), separate their new 'exploratory' units from their traditional 'exploitative' ones, allowing different processes, structure and cultures, but maintaining tight links across these units at a senior level. This means that senior executives must develop the ability to

**Table 12.1** Common features of new organizational forms

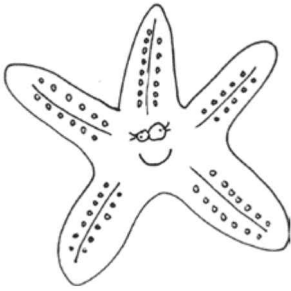
|                          | <b>Hierarchical</b>        | <b>New organizational forms</b> |
|--------------------------|----------------------------|---------------------------------|
| Goal setting             | Top-down                   | Decentralized                   |
| Power                    | Concentrated               | Distributed                     |
| Size of units            | Large                      | Small                           |
| Leadership function      | Control, monitoring        | Guidance, conflict management   |
| Vision                   | Dictated                   | Emergent                        |
| Structure                | Formal hierarchy           | Team and work-group structures  |
| Primary unit of analysis | Firm                       | Network                         |
| Boundaries               | Durable, clearly set       | Permeable, fuzzy                |
| Objective                | Reliability, replicability | Flexibility                     |
| Regulation               | Vertical                   | Horizontal                      |
| Assets                   | Linked to particular units | Independent of unit, shared     |
| Role definition          | Specialized, clear         | Fuzzy, general                  |
| Uncertainty              | Try to absorb              | Try to adapt                    |
| Rights and duties        | Permanent                  | Impermanent                     |
| Integrity                | Rule-based                 | Relationship-based              |
| Motivation               | Efficiency                 | Innovation                      |

**SOURCE** Child and McGrath, 2001

understand and be sensitive to two different ways of operating. They must embrace both the rigorous cost-cutter and the free-thinking entrepreneur, and be able to be objective enough about both to make trade-offs between the two. In their later paper, O'Reilly and Tushman (2007) say that senior managers must also articulate a clear strategic intent that justifies the ambidextrous form as necessary for long-term survival and effectiveness. This is echoed by Bryson *et al* (2008), who examine the possibilities of and barriers to ambidexterity in public organizations, and conclude that effective strategic leadership is one of the strongest prerequisites for effective management of organizational dexterity.

It's important to add that research carried out by O'Reilly and Tushman indicates that companies using ambidextrous structures are nine times more likely to create breakthrough products and processes than those using other organizational structures – while sustaining or even improving their existing businesses.

*Emergent organizations* develop in the same way that living systems do. They evolve naturally and are not consciously directed, are extraordinarily decentralized and exist as open or boundary-less structures that shape themselves as they go. All features of the emergent organization such as decision processes, social relationships, meaning and culture are products of constant social negotiation and consensus building.



The rapid evolution of social networks and the accompanying growth in size, speed and utility of the internet have opened up all sorts of possibilities for emergence. The development of user communities, information communities and social communities has created new possibilities for businesses and new types of business models via Google, eBay, LinkedIn, Facebook, etc.

Examples of emergent, decentralized organizations are Wikipedia (see box) and YouTube. Brafman and Beckstrom's book *The Starfish and the Spider* (2006) explores the implications of the rise of such organizations. They use the analogy of the starfish which, in contrast to the spider, has a decentralized neural system that permits regeneration. The authors also explore the concept of the 'sweet spot'; an optimal mix of centralized and decentralized attributes.

Jimmy Wales, co-founder and promoter of on-line encyclopaedia Wikipedia talks about his emergent organization's growth:

*The New York Times website is a huge, enormous corporate operation with... I have no idea how many, hundreds of employees. We have exactly one employee, and that employee is our lead software developer. And he's only been our employee since January 2005, all the other growth was before that. So the servers are managed by a rag-tag band of volunteers, all the editing is done by volunteers.*

*And the way that we're organized is not like any traditional organization you can imagine. People are always asking, 'Well, who's in charge of this?' or 'Who does that?' And the answer is: anybody who wants to pitch in. It's a very unusual and chaotic thing. We've got over 90 servers now in three locations. These are managed by volunteer system administrators who are online. I can go online any time of the day or night and see eight to 10 people waiting for me to ask a question or something, anything about the servers. You could never afford to do this in a company. You could never afford to have a standby crew of people 24 hours a day and do what we're doing at Wikipedia.*

[http://www.ted.com/talks/jimmy\\_wales\\_on\\_the\\_birth\\_of\\_wikipedia.html](http://www.ted.com/talks/jimmy_wales_on_the_birth_of_wikipedia.html)

Brafman and Beckstrom list the capabilities and behaviours required by those 'catalysts' skilled at creating decentralized organizations. Perhaps we could see this as a new, emerging form of leadership:

- Genuine interest in others.
- Numerous loose connections rather than a small number of close connections.



- Skill at social mapping.
- Desire to help everyone they meet.
- The ability to help people help themselves by listening and understanding, rather than giving advice ('Meet people where they are').
- Emotional intelligence.
- Trust in others and in the decentralized network.
- Inspiration (to others).
- Tolerance for ambiguity.
- A hands-off approach. Catalysts do not interfere with, or try to control the behaviour of the contributing members of the decentralized organization.
- Ability to let go. After building up a decentralized organization, catalysts move on rather than trying to take control.

### ***New careers and the need for 'managing oneself'***

It isn't just leaders who are experiencing the challenges of rising levels of uncertainty and instability in the world. Changes in the way organizations are being set up, the types of jobs available and the emergence of new career patterns mean that the onus is increasingly on individuals to manage their own career paths, rather than rely on employers to do so.

The new careers of the 21st century are very different from the 'corporate climb' that people dreamed of until quite recently. Careers today tend to be more turbulent and lacking in stability, involving changes in employer, increased numbers of horizontal rather than vertical moves, changes in location and even changes in core occupation, although there is evidence that traditional one-company career paths still do exist.

Reitmann and Schneer (2008) say that the expectation within US organizations is that the employee will manage his or her own career, choosing companies that provide the right opportunities. They also note that the organization's role in managing the employee's career has become unclear, but suggest that companies that develop a reputation for helping employees to determine their best possible career path – inside or outside the organization – should end up with the best employees. They also say that organizations may need to accept that good workers may go elsewhere to gain new skills, and would be wise to leave the door open for employees to return.

What does it mean to manage your own career? Managing oneself means knowing oneself well, says Peter Drucker (1999). This means cultivating a deep understanding of yourself – not only what your strengths and weaknesses are, but also how you learn, how you work with others, what your values are, and where you can make the greatest contribution. He urges people to resist trying to change

themselves, but rather to improve the way they perform and to avoid taking on work that they will not be able to do well. He also urges people to find organizations that match their values, or at least are compatible enough for them not to get frustrated and demotivated.

The short-term nature of many projects and jobs in the 21st century means that individuals need to be able to answer Drucker's question: 'Where and how can I achieve results that make a difference within the next year and a half?' They also need to understand their colleagues well, spotting their strengths, ways of working and values, and take responsibility for finding out what others are doing and how they are contributing.

There is criticism of some organizations for failing to support employees in adapting to these new self-managed career paths. Recent research on 'career resilience' by The Career Innovation Group ([www.careerinnovation.com](http://www.careerinnovation.com)) in association with Creative Metier ([www.creativemetier.com](http://www.creativemetier.com)) indicates that constant change has left many employees in a 'career vacuum'. It seems that most organizations have not linked their strategic goals with practical support to help people to adapt to new skill and work requirements. The research cites some examples of 'excellence' where organizations are supporting their workers to equip themselves to thrive amidst constant change. They highlight three things that an organization can do:

- 1 Communicate today's realistic 'career deals' and provide a new kind of roadmap for careers.
- 2 Help everyone (not just top talent) to be resilient in their careers. That means blending online tools with encouragement to build their support network.
- 3 Support managers to develop their people. Career conversations are a vital way to raise engagement, and doing this regularly can build a resilient, change-ready workforce.

### **STOP AND THINK!**

**Q 12.1** What effects do you notice that increased uncertainty and instability in the world are having on:

- your life and the way you lead it?
- an organization you know well and the way leaders are leading it?
- your local community and how people are contributing to it?

**Q 12.2** What might support those in the above situations, who appear to be fearful or anxious, to be able to focus on what needs to be done and contribute more effectively and responsibly?

## Decision making in an uncertain world



One of the most crucial and difficult tasks for leaders in uncertain times is decision making. When the goal posts are constantly shifting and changing, how is it possible to make good, confident decisions about what markets to target, what resources to commit, where to cut costs and what type of skills to develop to help you get there?

In this section we look at different ways of approaching the decision-making process according to the context. We explore both the lure of decisiveness and the difficulties of dithering, particularly in the political context, and investigate the impact of personality type on our ability to make good decisions. We also explain how leaders might benefit from acknowledging that regret is a healthy part of the decision-making process.

### **BUSINESS – A GAME OF SKILL, WITH A TWIST OF LUCK?**

*Is business like poker, a game of skill with a twist of luck... or is business a game of pure skill where, armed with the right information and the right 'laws' of management it is possible to manage your future success?*

*... to be able to make confident predictions about the future, the manager needs to be both managing in a world where causes have predictable effects, and where management theories have the status of scientific laws*

*... neither is the case.*

Blake, 2008

### **Decision making and poker games**

In his slim but informative book, *The Art of Decisions: How to manage in an uncertain world*, Chris Blake (2008) takes an extremely pragmatic view of how leaders need to learn to operate in an uncertain world. He notices our increasingly futile attempts as leaders to manage uncertainty, and says we can learn a lot from poker players who have to make quick, important and skilled judgements under conditions of uncertainty. Poker players refer to a 'bad beat', which is when you are odds-on to win but the cards turn against you. They dust themselves down, take stock, put it down to luck, and carry on.

Blake says that of course a recipe exists for making the perfect decision, but it's not practical when you are in the thick of intense business stress and pressure because it can take endless resource and a great deal of time to research something so thoroughly. Here's the recipe:

- know what you want – your goal;
- identify all the alternative courses of action;
- gather the information you need and then deduce all of the consequences of each course of action;
- select the course of action that best meets your goals.

Blake says that in business, just as in a poker game, time and resources are limited. You can't make the perfect decision and it can be counterproductive to try. At some point, you have to stop searching and start deciding – and this means using your intuition and judgement. He warns that leaders shouldn't be surprised if their goals change. They are never simple and the process of deciding will help you uncover goals that may not have been explicit. His top tip is to sample at least a third of the field before committing to the 'best you have seen'.

## **FOCUSED EXECUTIVE DECISION MAKING IN ACTION**

In one global financial services company, senior level investment/resource decisions are made on the basis of two slides only, presented by a senior executive at the monthly meeting, within a strict 20-minute slot for discussion. The presenter must produce evidence that he or she has had off-line conversations with key stakeholders and secured their buy-in. A decision is made by the CEO there and then.

### ***A framework for decision making***

Recent practical research into decision-making patterns indicates that wise executives tailor their decision-making approach to the type of situation being faced. Snowden and Boone (2007) advocate a decision-making framework that distinguishes between four different contexts. They suggest a different leadership response for each context and alert leaders to danger signals and potential inappropriate reactions:

- The first is the *simple context*, characterized by stability and clear cause and effect relationships. An example of this would be a mistake made in connection with a payment process, such as the customer paying the wrong amount. This requires straightforward management and monitoring. Leaders assess the facts of the situation, categorize them and then respond based on previous experience. Possible pitfall: mistaking a complex problem for a simple one.

- The second is the *complicated context*, which may contain multiple right answers, and tends to require expertise to analyse the facts and recommend the best response. An example of this is choosing an IT system for a specific purpose. Possible pitfall: getting stuck in the analysis phase.
- The third is the *complex context* in which there are no right answers, although instructive patterns may emerge through experimentation. Leaders are required to patiently allow the path forward to reveal itself through increased levels of interaction and communication and by using methods that generate ideas. An example of this is the problem of setting prices in volatile and changing market conditions. Possible pitfalls: desire for acceleration or falling back into command and control.
- The fourth is the *chaotic context* in which only turbulence exists and searching for the right answers would be pointless. Leaders are required to act quickly to restore enough order. An example of this is a flood in the office or a power cut. Possible pitfalls: leaders apply a command and control approach longer than needed, and can become legendary in their capacity to turn things around and are protected by some followers from the truth.

Snowden and Boone say that in a time of increased uncertainty leaders will be called upon to act against their instincts. Faced with a wide variety of decision-making scenarios they will need to be able to change leadership style flexibly – knowing when to share power and when to wield it alone, when to look at the wisdom of the group and when to take their own counsel, when to use expert advice and when to open things up for discussion.

In our experience, due to the anxiety connected with the feeling of not knowing the answer, leaders often find themselves mistaking a complex context for a complicated context, and trying to solve unknown issues with so-called expert advice. A typical example of this is the setting up of a programme office to drive forward, monitor and control a series of discrete ‘change projects’. At best, with the necessary discussion and high-quality interaction, this can catalyse healthy, productive activity. At worst this approach consumes much expert project management resources and leadership attention, but there’s a sense of ticking boxes and ‘going through the motions’ rather than making real, fundamental progress.

### ***The lure of decisiveness and the difficulties of dithering***

The quality of decisiveness, ie bold and timely decision making, is seen by many in the UK and the United States as an extremely attractive leadership quality, particularly in our political leaders, and particularly in times of uncertainty. Decisiveness is seen as

strong, and its polar opposite, dithering, is seen as weak. Sometimes it's as if we prefer to see our leaders deciding something – anything at all – rather than being seen to dither.

A recent example of this concerns President Barack Obama and the public's shifting view of his capacity to lead on military decisions. Many criticized his apparent dithering over the issue of whether to send more troops to Afghanistan in 2009 (see box), but when US special forces shot dead Osama Bin Laden in Abbottabad in 2011, his bold decisiveness was celebrated. Stephen Hess, one of the United States' most respected commentators on the White House, said that this would change the dynamics of US politics: 'It's going to be very hard for Republicans to use any more that label of weak and indecisive.'

### **PRESIDENT OBAMA – CAREFUL OR DITHERING?**

*Only 17 percent of Americans saw President Barack Obama as a strong and decisive military leader, according to a Reuters/Ipsos poll taken after the United States and its allies began bombing Libya in 2011.*

*Nearly half of those polled view Obama as a cautious and consultative commander-in-chief and more than a third see him as indecisive in military action.*

*Obama was widely criticized in 2009 for his months-long consultations with senior aides and military chiefs on whether to send more troops to Afghanistan. Critics called it dithering, but he said such a big decision required careful deliberation. He eventually dispatched 30,000 more troops.*

*But Obama is facing mounting discontent among opposition Republicans and from within his own Democratic Party over the fuzzy aims of the US-led mission in Libya and the lack of a clearly spelled-out exit strategy for US forces.*

Reuters report, March 2011, pre-Abbottabad

This societal bias towards decisiveness makes it extremely difficult for leaders in highly uncertain or complex environments to make good, timely decisions in the right way. Leaders need to be able to resist caving in to external pressure to decide something prematurely. They might need to first hear the views of other stakeholders, or to take a small action and wait and observe how things work out. It's also difficult, when the spotlight is on you, to know exactly when to stop considering and consulting and observing and to get on and decide. For some, the anticipated pain of the 'u-turn' or 'getting it wrong' justifies endless delays. Hence the lure of dithering!

The general call for decisive leadership may also place organizational leaders under pressure to decide things on behalf of their teams rather than to allow people to struggle in productive ways, and then perhaps make mistakes and learn or innovate. This is yet another complication for leaders facing uncertainty. They need to identify which elements of the work that they can and must be clear and decisive about, and in which parts it makes more sense for others to find their way. This can be seen as ‘drawing a line in the sand’ to indicate ‘here’s where I’m clear and there’s no discussion, and here’s where I need you to engage and work things out’. See the skill of ‘framing’ later in this chapter.

Similarly, in today’s flatter, more matrix-oriented organizations, decision making is complex and demands an ever-widening range of skills. Leaders need to find ways of working with peers and/or stakeholders, over whom they have no clear authority and possibly with whom they have no clear agreement, in a shifting and uncertain context. They also need to develop strong, clear partnerships based on joint goals, despite temptations to either work out a decisive individual strategy and set about ‘strongly influencing’ others to play along, or to stay out of partnership altogether for fear of the unmanageable complexity that might need to be confronted.

## ***Decision making and personality***

What makes a good decision maker? How is it possible, in times of uncertainty, to:

- Recognize the type of decision in front of you and respond appropriately?
- Walk the precarious tightrope between knee-jerk decisiveness and the paralysis of too much analysis and discussion?
- Come up with a sufficiently good decision?

Is personality type a key factor in being able to do this well? Do some personality types make better decision makers than others and, if so, what are they able to do that others might learn from? Research into this topic has used the Myers-Briggs Type Indicator™ (MBTI™) as a basis for looking at the impact of personality type on decision-making success (see Chapter 1 for more information on the MBTI™).

According to Jung, whose theory of personality underpins the Myers-Briggs Type Indicator™, every individual has a set of personality preferences in the way they take in information and come to conclusions. The theory says that every individual acquires data to make a decision using two methods – sensing and intuition, with a preference for one method over the other. A sensing (S) individual prefers hard data and ‘here and now’ specifics, while an intuitive individual (N) prefers to look at possibilities and patterns, and ‘what might be’. Similarly, every individual, after acquiring the data to make a decision, comes to a conclusion using two methods – thinking and feeling, with a preference for one method over the other. Thinking (T) stresses

logical and formal reasoning, while feeling (F) considers the decision in personal terms, and relates to the values of those affected.

Research undertaken by Paul Nutt (1993) indicates that leaders who have access to all four modes of understanding associated with decision making (S, N, T and F) are likely to be more successful decision makers over the longer term, and more immune to the distractions of uncertainty and ambiguity. Nutt's research indicates that organizational success may be influenced by the style of the organization's top executives. When making strategic choices in a context of high ambiguity and uncertainty, the top level decision maker who has a balanced perspective that stems from good quality access to S, N, T and F modes of understanding is more apt to seek change and transformation, thus enabling the organization to thrive. His research shows that this fully flexible decision-making style is rare, appearing in only 7.9 per cent of top executives in the study, and no middle managers. Over-use of the data-processing modes of sensing (S) and thinking (T) were linked to conservatism and lack of risk taking, and therefore lack of tolerance for ambiguity and uncertainty.

Patricia Hedges (1993) offers helpful tips for those trying to develop their 'shadow' modes of understanding, ie the modes of understanding that are not their first preference; see Table 12.2.

**Table 12.2** How to develop 'shadow' modes of understanding

| <b>Developing sensing for intuitives (S)</b>                                               | <b>Developing intuition for sensers (N)</b>                                                | <b>Developing thinking for feelers (T)</b>                                                                                | <b>Developing feeling for thinkers (F)</b>                                                        |
|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| Try to improve your eye for detail. You might compare what you notice with an 'S' friend.  | If you have a 'hunch' see if you can follow it up and take notice of it.                   | See if you can stand outside and watch a situation instead of feeling involved in it.                                     | Before disagreeing with people, be sure to consider their opinions and points of view.            |
| Accept that established methods for doing things generally work.                           | When studying something, try to see the thing as a whole.                                  | Even if it means disagreeing with someone, stick to your beliefs and convictions.                                         | Find ways of giving specific appreciation to others by praising them verbally.                    |
| Good ideas may come to nothing if you fail to take small and precise details into account. | Try doing a job in an unusual way. It may not work, but you are likely to learn something. | Try to be less personally concerned in the day-to-day circumstances that occur. Many of these may not really involve you. | Try to develop some close relationships and be willing to spend time and patience nurturing them. |

**SOURCE** Adapted from Hedges (1993)



## Learning to deal with regret



In this section we've been looking at approaches that support leaders to make good decisions in times of uncertainty. However, the whole mindset we use when making a decision is important too.

We've observed that leadership time is often devoted to coming up with the 'successful strategy', the 'brilliant decision', or the 'best practice approach', as if it were possible in every given context to come up with the 'right' solution. The assumption is that if the right solution is found, and the right level of commitment is applied, this will be followed by harmonious patterns, correct actions, brilliant outcomes and all other solutions will have been proved wrong. This assumption leads to 'righteousness', which Nevis (1998) says is one of the great barriers to organizational change, and labels it the 'enemy of regret'.

### **'RIGHTEOUSNESS' AT WORK IN A PUBLIC SECTOR DEPARTMENT**

*Once the decision was made to reorganize, senior leaders became weirdly evangelistic about the new matrix structure. Rather than being open to the problems it was throwing up and willing to co-create solutions, they just blamed the middle managers for not being able to make it work.*

*I had to go to the lengths of commissioning consultants to audit the effectiveness of the new structure and feed back the findings before they would really listen and begin to understand their part in making this work.*

HR director

Why is regret important in leadership? Every strategy or policy carries with it some benefit and some cost, so leaders make choices between imperfect solutions, thus rejecting some options that have benefits, and selecting an option that has some costs. Nevis suggests that if leaders are aware and accepting of this, they experience the joy and the sadness of making the decision, and any regrets are acknowledged and felt in that moment. This makes them better, more effective leaders in an uncertain, pluralistic environment. If not, this leads to righteous adherence to a particular choice, and increases the possibility that defensive projections such as blaming others and seeing alternatives or changes in approach as 'wrong' will take place.

When a leader takes action out of righteousness, the action stands out as being forceful and provocative in nature, which is qualitatively different from a grounded

and well-supported decision. Righteousness is more brittle; leaders with a righteous attitude about a particular decision are likely to be anxiously defensive about it.

Nevis refers to major business decisions as ‘big acts’, such as significant reductions in workforce, mergers and acquisitions, etc, which leaders often feel they have to carry out in a righteous manner, perhaps because they have such huge consequences and are often heavily contested by others. The question is whether, after a ‘big act’, any kind of learning can take place as these actions unfold, ie does any new awareness emerge that might lead to a reshaping of the original assumptions, or does righteousness prevent this from happening? See the box for an example of Horta-Osório’s initial righteousness, followed by a little trace of regret.

### **LLOYDS BANKING GROUP – ‘BIG ACTS’ IN ACTION... AND SMALL REGRETS**

*António Horta-Osório stamped his mark on Lloyds Banking Group on Thursday, cutting 15,000 jobs and pledging to revitalize the Halifax brand in an effort to help taxpayers make a profit on their £20bn investment in the bailed-out bank.*

*The Portuguese-born banker, who was lured from Spanish bank Santander, was at first unrepentant about the scale of the job cuts although later admitted: ‘I do regret that we have to do this. I would prefer to put this bank back on its feet without reducing staff.’*

*But, he insisted the cuts were essential. ‘We have to do this. This bank has lost money, it’s losing money this year on an after-tax basis.*

*‘We have to get this bank back on to its feet to support the UK economy and we have to pay taxpayers’ money back,’ he said.*

*The Guardian, June 2011*

In an uncertain and complex world, those with a tendency towards righteousness and ‘big acts’ would be wise to consider other options. They may give up ‘big acts’ altogether and instead, through greater awareness, select smaller actions from which yet further awareness may unfold. For instance, a difficult situation might build up over time, culminating in a big leadership act such as laying off large numbers of staff. However, with greater awareness, smaller actions might have been chosen during the build up, such as reducing people’s salaries, and greater learning may have emerged and a better result achieved in the long run. See the box for an example of this from KPMG.

## KPMG'S 'SMALL' BUT SIGNIFICANT 'ACT'

*Professional services firm KPMG is seeking to change the terms and conditions of staff employment contracts in case it needs to reduce the paid working week or send workers on sabbatical.*

*The groundbreaking HR initiative is designed to allow KPMG to request that employees who agree to the change can be required to work a four-day week or take between four and 12 weeks' sabbatical at 30 per cent of their pay.*

*Rachel Campbell, Head of People at KPMG, said that the scheme, called Flexible Futures, was introduced to ensure 'maximum flexibility to respond proactively and positively to any change in the market'.*

*The proposed change to the terms and conditions will last for 18 months, and the maximum salary loss in one year will be capped at 20 per cent. The firm will continue to provide full benefits throughout that period.*

*KPMG is the first of the 'big four' global accountancy firms to ask staff to cut back their hours, in the hope of staving off redundancies. The move follows 300 voluntary redundancies at rival firm Deloitte as a result of slower demand for services across the sector. A spokeswoman there said there were currently no plans for further redundancies or to put in place measures such as short-time working.*

*People Management, 29 January 2009*

Another possibility is for leaders to find ways of being more open to changes of approach following a 'big act'. This means keeping a close watch on progress following their decision, being prepared to listen to feedback, and staying open to the possibility of changing tack in some way.

### STOP AND THINK!

- Q 12.3** Think of a major decision that you had to make recently. Reflect on the way you made the decision and identify which of the four modes of understanding you used to make that decision (sensing, intuition, thinking and/or feeling). If you used one or two modes less, explain how you might improve your modes of understanding and therefore your decision-making.
- Q 12.4** Identify a 'big act' that a senior manager initiated in your organization recently (see Nevis's definition above). How might this have been approached as a series of smaller actions and what impact, positive or negative, might this have had on the organization in the long term?

# Skills and tools to support leading change through uncertainty

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## *A change leadership pathway*

In uncertain times, linear models of the change process don't serve leaders particularly well. They tend to imply a predictable sequence of events in which vision and strategy can be decided up front, leading to a plan that sets out key measures, which then dictates front-line activities. Models of the change process that acknowledge uncertainty and complexity and enable leaders to find their way through transition, dealing with whatever emerges as they go, are significantly harder to find.

One of the authors, as part of her recent consulting work in support of more emergent forms of change, has co-developed a useful pathway for guiding leaders through the change process. This is not intended to be a programmatic solution to modelling the stages of change, but rather a loose, organic guide – with potentially overlapping stages – that is used to support leaders who are facing considerable change (see [www.integralchange.co.uk](http://www.integralchange.co.uk)).

The key stages of this pathway (see Figure 12.1) are:

- *Deepening Commitment*: leaders work with their teams and stakeholders to develop a deep sense of purpose that will guide their collective intent through the process of change. This might involve top team away-days, sharing ambitions and concerns, identifying critical success factors and key obstacles and mapping out the journey ahead.
- *Aligning Strategy*: a compelling vision and high-level plan are agreed that are clear enough to elicit interest, but not so detailed that others can't engage with them and play their part. This might involve naming the 'top five' strategic priorities in an attractive, engaging way.
- *Focusing Action*: leaders focus on connecting key people and agendas, both internally and externally, communicating constantly and inspiring through words. This might involve an interactive launch event, or some lively, engaging cascades.
- *Growing Capability*: people in key roles are supported to step up through skill-building exercises and coaching. High-performing teams are developed. This might involve one-to-one development conversations, targeted skill-boosting sessions and tailor-made teambuilding interventions.
- *Clarifying Progress*: results are measured simply and elegantly, successes and difficulties are clarified, and new processes are implemented with increased vigour. This might involve rigorous review processes, careful tracking of progress, increased focus on accountability and leaders role-modelling accountability-taking.

**Figure 12.1** The change leadership pathway

### ***Skills for leading through uncertainty***

In today's climate of urgency, high stakes and uncertainty, the traditional leadership skills of analytical problem solving, crisp decision making, immaculate forward planning and the articulation of a clear direction are no longer as useful as they were, and can in fact get in the way of success.

New leadership skills and practices are required. In this section we set out the top five skills that we find ourselves, in our consultancy roles, supporting leaders to develop as they step up to the challenges of leading significant change.

#### **Presence and 'deep listening'**

The concept of 'presence', and the notion that it is a fundamental leadership skill, was introduced to the business world by Senge *et al* (2005) in the book of the same name. The authors see presence as a core capacity for leaders faced with uncertainty. They say it involves 'deep listening', which means being open beyond our preconceptions and historical ways of making sense. This allows leaders to operate from a deeper sense of purpose. It also means letting go of old identities and the need to control – two of the very things that are so difficult to let go of in times of change and uncertainty.

At a basic level, presence means being alert and aware to whatever is happening right here and now, with the fundamental belief that the whole is entirely present in any of its parts so it's always worth paying attention! A difficulty with this principle

for many leaders begins with the challenge of truly listening and this begins with noticing how you are listening now. As others talk, we tend to experience feelings and reactions, which come in a flood of images and perceptions triggered by our memories of and anxieties about whoever is talking and whatever they are talking about. Learning how to be ‘present’ involves being able to allow these inner voices and thoughts to arrive, not get too caught up in them, and to somehow quieten the mind, to allow for the possibility that something new or fresh might arrive. This is quite difficult for most of us, so a leader has reached quite an advanced state of maturity when he or she is able to do it well.

A first step is to practise listening in a non-anxious way. This means slowing down and being much more aware of your thinking and listening. It also means heading into the difficult areas – for you and for the speaker/s – using open questions and keeping an open heart. The challenge is to look for evidence that disconfirms your point of view rather than just confirms it, and to really try to understand and hear what others’ perceptions are, no matter how irritating or off the mark they seem to be. The principle here is that once you understand how others have formulated their perceptions and how they are reacting, you will have a richer sense of what’s going on with any change process, and it will ultimately make your next change leadership move much clearer.

### The importance of ‘framing’

When there is much uncertainty around and there are many significant changes to be made, the leadership skill of ‘framing’ becomes extremely important. This is a guiding rather than a controlling way of leading, so is well-adapted to times of uncertainty. When a leader is ‘framing,’ he or she defines a clear context or operating space for others to step into. This can mean painting a picture that illustrates the change destination and holding this frame clearly and consistently so that others can engage with it and ‘fill it in’. It can also mean setting out the broad phases of change and key milestones so that others can get a sense of how this process is going to feel.



It is important to note that recent research has demonstrated that the use of ‘framing’ is strongly correlated with success in most change contexts (Rowland and Higgs, 2008). However it’s an element of leading that is often absent from change management training programmes, and hasn’t made it into common parlance yet!

This skill also embraces the ability to communicate immediate goals, purpose and vision in an engaging way, let people know how things are unfolding and nurture a clear organizational or team identity and culture.

Framing skills are particularly helpful when there’s a great deal of uncertainty swirling around. When teams have a sense of what they’re there to do, and a sense

of who they are, this gives people a ‘place to stand’ and a way of anchoring decisions and next steps. Thus leaders who can help organizations to develop their sense of purpose and identity are very useful in uncertain times.

## **DISTRIBUTION MD FRAMES THE CHALLENGES AHEAD**

The MD of a distribution business found a way of framing the challenge ahead for his sales team that transformed their level of engagement.

He was concerned that some members of the team had become quite demotivated and had got into the habit of promising much but delivering little. Even though the market was tough, he knew that they were missing opportunities and sensed that they had the ability to do much better.

At the opening of the sales department’s two-day conference, the MD slowly and carefully told them the story of the last six months, setting out the figures and telling them about the conversations he was having with his boss, and being clear – but not alarmist – about the concerns this was raising at higher levels about the future of the organization. His presentation culminated in the phrase: ‘So you see my jam tomorrow story is wearing a bit thin now, and so is yours.’ He then expressed his support for the measures his sales director was putting in place to help improve performance and urged the team to bring their best to the two days.

This well-thought-through piece of framing helped the team to understand and take responsibility for their results and the impact this was having on the whole business, and to engage more fully in tackling the challenges ahead.

In times of flux and therefore increased anxiety, leaders need to increase their use of framing skills in their regular group and individual meetings with team members and stakeholders. This means introducing the purpose and context of meetings with much more care than usual, and ensuring that meeting agendas are particularly well-managed. This may mean something as simple as re-framing the session if an important topic overruns. When people are anxious, they need help from leaders in understanding what’s important for them to focus on and what’s not. Framing also means sticking to regular meetings and one-to-ones rather than cancelling them and collapsing into a chaotic, unpredictable meetings schedule, which simply leads to more anxiety.

There is also much off-line, informal framing work to be done by leaders in the midst of a change process. For instance, when people involved with a change are seeing an issue in an unhelpful way, leaders may need to re-frame the issue so that people are more able to approach it constructively. Similarly, when significant

obstacles to change do arise, the leader needs to take responsibility for framing these obstacles so that people can see and understand the issues and begin to test out and agree possible ways forward.

### Developing the capacity to ‘contain’

The constant requirement to deliver change in uncertain times is a highly stressful business for leaders. They must absorb pressure and anxiety from their boss, make imperfect decisions that can feel risky and ‘out of control’, listen to and respond to the anxieties and worries of those around them, and deal with their own emotional ups and downs. To lead well within this swirling cocktail of emotions, leaders need to become skilled at ‘containing’.



In the psychodynamic world, ‘containment’ means providing a holding environment where anxieties can be safely worked through and processed in a healthy way. For leaders, this means being confident and calm even in challenging situations, and having an ability to make difficult conversations ‘ok’. It also means practising high-quality dialogue skills such as advocacy and inquiry (Isaacs, 1999), particularly in a group or team setting. In times of uncertainty and change, it’s particularly valuable to give people the opportunity to air problems and express worries in a safe, well-bounded environment, rather than let them leak out in other ways. Some leaders feel tempted to suppress this kind of conversation, perhaps to give the impression that everything is ‘under control’.

Containing also means being clear with people about priorities, explaining exactly what you can and can’t do about an issue and being clear about when significant issues will be resolved. It also involves being disciplined in recognizing and managing your own emotions and, if necessary, channelling your frustrations into ‘tough conversations’ with the appropriate people rather than letting them spill over into grumbling, or cynicism, or other destructive activities.

### **THE MD OF A UTILITIES COMPANY PROVIDES CONTAINMENT TO THE TEAM**

A large utilities company was facing the possibility of a significant merger, but much had still to be explored and decided before the merger could go ahead. This was provoking all sorts of anxieties and concerns in the 80-strong extended leadership team about how to make key decisions, whether to recruit, what to tell staff, etc.

At the regular quarterly leadership conference the MD made a point of putting aside two hours for questions about the merger. He let the group know, ‘I will answer all your questions as honestly as I can. Some questions I won’t be able to answer, but



I'll tell you why not. For your part, you need to ensure that when I say something is confidential that it stays in this room. We have two hours together today, and I am more than happy to stay beyond that if there are still questions that need answering.'

In this way he provided a container or holding space for his extended team to have their worries heard and acknowledged and their questions answered. This session lowered the levels of anxiety in the room, built trust, and helped leaders to decide what their focus needed to be over the coming weeks.

A difficulty for leaders who are required to develop containing skills is that it is remarkably hard to do this when you are feeling anxious yourself! This is why it's absolutely crucial that leaders of change develop their own container to support themselves as they work through or let go of their own anxieties, which may be considerable. This means finding ways of acknowledging and perhaps skillfully sharing these anxieties and emotions rather than suppressing them.

All the successful senior change leaders we have worked with over the years have developed ways of regularly switching off from work and letting go of leadership activity. It seems that this is one of the most fundamental keys to being a successful leader of significant change. They have all found ways to create peaceful spaces for themselves that allow good-quality processing of anxieties, doubts and ideas. This might involve gardening, cycling, walking, running, yoga, meditation or, in one case, mucking out cows (see box). Whatever it is, it tends to be a regular, highly valued, well-guarded space.

## **FINDING THE CONTAINER WITHIN**

A marketing director with a high-pressure, highly stressful job in a global FMCG company found a unique way of regularly processing her own emotions. Every Friday evening, after a week of global travelling and high-powered meetings, she would come home to the farm that her husband owned and ran, and he would tell her to get her wellies on and give her an unpleasant, mucky job to do, like cleaning out the cow shed. She said she really relished this time, as somehow when she pulled her boots on and trudged out into the mud – often in the dark – all the pressures of the week would subside, complex issues would swirl and settle, and insights would begin to emerge in an almost effortless way.

## Negative capability

When decisions are complex and there is pressure for pace and delivery, leaders often find themselves driving progress and trying to demonstrate achievement, even if it may be more effective to create space for further thinking and struggling, and to wait patiently for a solution to emerge. It can be very difficult for leaders to decide whether to deliberately hold off from active intervention or to ‘get stuck in’ more actively.



‘Negative capability’ can be described as the ability to receptively support teams and individuals to continue to think and struggle in challenging situations, by holding or ‘containing’ a situation or context. ‘Positive capability’ is the more familiar face of leadership, which features decisive, active interventions based on knowing. In a paper on emergent change, Robertson (2005) describes negative capability as the negating of habitual patterns of pressured action. This ‘negating’ allows the creative process its own rhythm and prevents premature closure. He goes on to say that negative capability is a combination of the ability to resist the inappropriate pressure for solutions and the capacity to hold the creative tension. He warns it takes considerable skill for a leader to remain detached enough to know not only how but also when to act, especially when there is a great deal of focus on the bottom line. It’s important to note that it’s not just the boss, colleagues or stakeholders who pile on the pressure – leaders may also be putting a lot of pressure on themselves to perform.

## Practising self-care

Long, drawn-out change processes tend to cause stress in many leaders and may ultimately lead to burn-out. French (2001) refers to the tendency for change to cause anxiety and uncertainty, even if the ‘technical aspects’ such as the change process itself and the required roles and procedures are well managed. As a result of these high levels of anxiety, French notices that leaders have a tendency to ‘disperse’ energy into a range of avoidance tactics to deflect themselves from their concerns about the task, as opposed to staying with the issues and demonstrating the capacity to contain.



This perhaps explains why many leaders sometimes seem to go into ‘hyper-drive’, indulging in demonstrations of not very productive or thoughtful ‘positive capability’ (see above) and then eventually burning out. Containing, also mentioned above, is an excellent antidote to this. By becoming their own containers, leaders can find ways of looking after themselves well.

Senge *et al* (2005) cites the ancient idea that ‘with power comes wisdom’, and says that to become a leader in the 21st century one needs to be dedicated to developing a capacity for delayed gratification, seeing longer-term effects of actions and achieving quietness of mind. This really means getting involved in quiet, dedicated, personal work, possibly involving practices such as meditation or tai-chi, which many leaders are unfamiliar with and might see as rather alien. Others, however, are becoming more interested in this type of development and how it might support them to be more peaceful, compassionate and strong in their work and in their personal lives.

At a much more basic level, things such as getting enough sleep, taking regular exercise, eating healthily, avoiding too much alcohol, as well as finding time to connect with the unchanging aspects of your life that really matter to you such as family, music, community, etc are all important in enabling leaders to take care of themselves and support themselves through times of stress, change and uncertainty.

### **STOP AND THINK!**

**Q 12.5** Interview five senior leaders in your organization (or observe them from afar if that’s easier) and find out how they might mark themselves out of 10 on each of the above five skills for leading through uncertainty. What conclusions do you draw about the type of development needed to support these leaders as they tackle the challenges ahead of them?

**Q 12.6** And how would you rate yourself? What development might you need?

## **Summary and conclusions**

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The impact of uncertainty on our working lives:

- We are leading more fragmented lives and living in a world that has more instability and uncertainty than ever before. The current sources of uncertainty and shifts in our global systems being experienced are leading us to be more fearful about our future and possibly more ‘self-focused’.
- Even though high levels of uncertainty provoke fear, anxiety and a sense of loss, those in leadership positions must face their own fears and find ways to enable people in their organizations to co-create new ways forward, and to let go of old habits and identities.

- Less blame-centred approaches to problem solving and a more multi-layered way of understanding how things happen in organizations will support leaders in feeling less ashamed about ‘not knowing all the answers’ and being more able to either reach out for help or experiment with new, more connected ways of behaving.
- Uncertainty and change can also provoke active engagement, enthusiasm and highly creative responses from people. This appears to happen when there is a temporary structure accompanied by short-term goals.
- New organizational forms are emerging in this highly uncertain and extremely competitive context, including ‘ambidextrous’ and ‘emergent’ organizations. Ambidextrous organizations survive by separating their ‘exploratory’ units from their ‘exploitative’ ones, and need senior managers who can lead strategically and understand both sides. ‘Emergent’ organizations evolve naturally, are not consciously directed and are catalysed by those skilled at creating decentralized organizations.
- In the 21st century people are expected to manage their own careers by cultivating a deep understanding of themselves and by working on improving their own performance. There is criticism that some organizations are not supporting employees enough to adapt to this new era.

#### Decision making in an uncertain world:

- Decision making can be seen, like poker, as a game of skill with a twist of luck, rather than an exact science.
- Snowden and Boone (2007) offer a framework to help leaders to identify the decision-making context and select the right approach.
- In the United States and the UK, decisiveness is associated with leadership strength and dithering is seen as weak. Political leaders are more often criticized for dithering and ‘u-turns’ than they are for making clear decisions. A balance needs to be struck between sensing, analysing, discussing and ‘getting on and deciding’.
- Leaders also need to be clear about which decisions they need to make themselves and which it is important for their teams to struggle with. In a matrix organization, some decision making may be better done in partnership with stakeholders rather than in isolation.
- Research by Nutt (1993) indicates that successful top executives include all four Myers-Briggs modes of understanding in their decision-making style. This appears to help them to overcome the distractions of ambiguity and uncertainty.
- Leaders make choices between imperfect solutions and need to accept this. Righteous adherence to a particular choice leads to inflexibility, blaming and a lack of learning. Learning to experience the joy and sadness – and regret – of

decision making helps leaders to be more effective in an uncertain, pluralistic environment. This may also mean either giving up ‘big acts’ and choosing smaller actions that lead to greater learning and a more successful outcome, or being more open to a change of tack following a ‘big act’.

Skills and tools to support leading change through uncertainty:

- The change leadership pathway ([www.integralchange.co.uk](http://www.integralchange.co.uk)) is a loose, organic guide to support leaders facing complex change challenges. The key stages are:
  - deepening commitment;
  - aligning strategy;
  - focusing action;
  - growing capability;
  - clarifying progress.
- Five important skills for leading change through uncertainty are proposed:
  - *Presence and ‘deep listening’*: being alert to whatever is happening here and now, and truly listening.
  - *Framing*: defining a clear context or operating space for others to step into.
  - *Containing*: being confident and non-anxious even in challenging situations and providing a bounded space for others to air their anxieties, both one-to-one and in group settings; developing a container ‘within’ to process own anxieties.
  - *Negative capability*: being able to resist the urge to act, or drive self or others to come up with a quick solution, and instead to hold the creative tension.
  - *Practising self-care*: looking after oneself physically and mentally, being one’s own ‘container’ and developing deeper skills that enable a quietening of the mind.

# 13

## Project- and programme-led change

### Introduction

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Today's organizations are increasingly using projects and programmes as delivery mechanisms for making change happen. This chapter explores how well this is working, what difficulties or limits are being encountered, what new approaches or frameworks are emerging and what now needs to shift as organizations grapple with ever more complex change challenges.

In the current demanding economic context, organizations must continually adapt in response to fierce competition, an often rapidly shifting environment, and the need to do more with less. The use of projects and programmes has become a core part of this, to the extent that there are claims, supported by research, that those organizations which become skillful and effective in implementing project- and programme-led change are likely to be higher performing than those who struggle in this respect.

Projects are increasingly used as the preferred way of securing resources, building new products or services, making internal changes, and implementing new ways of working. They are also being used as part of larger programmes, designed to deliver wider strategic or transformational change, often including significant structure, process, behaviour and/or cultural change.

This chapter draws on a wide literature review combined with reflections on recent consulting and teaching experiences to answer the questions:

- What are projects and programmes supposed to achieve and how successful are they in doing this?
- How can a good balance between control and flexibility be achieved within project- and programme-led approaches?



- What new, flexible approaches are emerging (eg Agile and Scrum) and what are they delivering?
- How well is project and programme governance working and are project management offices (PMOs) adding value?
- What role are senior managers and business leaders playing, and how might this need to shift?
- What is the right place for change management and the change manager in the world of projects and programmes?
- How might project managers need to adapt, given the shifting context and the challenges ahead?
- What lies ahead for project managers and change managers given the rise of collaborative networks and the arrival of generation Z?

## PROJECT MANAGEMENT TAKEN TO EXTREMES?

*I'm all for using projects as a way of getting stuff done, but when our management team announced that the transformation programme would be managed through 83 different projects, my heart sank. Why can't we just have six or seven initiatives that everyone can get their heads around and contribute to? The rest of the work can flow from that...*

Senior manager, retail business

## Understanding projects and programmes

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### ***A brief history of project management***

To understand what project management is now, there is a huge amount of material to delve into regarding project management and its history. So while this definitely isn't the chapter to read if you want a full account of this, a little bit of history seems helpful in understanding its roots and subsequent development.

The concept of getting organized to complete big projects has existed for centuries, but only in the late 19th and early 20th centuries did people start devising and experimenting with scheduling tools. In the 1950s, the US Navy and Airforce started to talk about 'project management' and the term was then used to describe their approach to either big industrial projects, or technology projects. In the '60s and '70s professional bodies (eg PMI, the Project Management Institute) were established, and formal approaches to organize large-budget, schedule-driven initiatives became standard.

In the '80s, software tools were developed to make project management accessible on a desktop, and a project management 'body of knowledge' was published by PMI. In the '90s, PRINCE was formalized as a methodology. From 2000, Agile and Scrum approaches began to emerge, and PCs and notebooks started to run project management software. Then total cost management, an integrated programme management approach, was developed, in which portfolios of projects or programmes are in clear support of strategic or business objectives, designed to optimize assets.

The incorporation of organizational change as a key part of project management has become a topic of lively debate in the last 5–10 years or so, with the role of change manager becoming popular in a technology-led project environment only in the last few years. This role is now normally defined as someone who is responsible for transitioning individuals, teams and organizations to a future state, rather than someone who is responsible for monitoring change to the scope of a project.

Programme management is described by the UK's Association for Project Management (APM) as 'the coordinated management of projects and change management to achieve beneficial change'. Mike Hanford, Chief Methodologist for the IBM Summit, offers a more expansive definition in the box below.

## **THE DIFFERENCE BETWEEN A PROJECT AND A PROGRAMME**

*Projects are typically governed by a simple management structure. The project manager is responsible for day-to-day direction, a senior IT executive integrates technology with business interests, and a business sponsor is accountable for ensuring that the deliverables align with business strategy.*

*Programmes require a more complex governing structure because they involve fundamental business change and expenditures with significant bottom-line impact. In fact, in some instances their outcomes determine whether the enterprise will survive as a viable commercial/governmental entity.*

Mike Hanford, Chief Methodologist for the IBM Summit

## **What types of project are there?**

It's important to be clear about the variability between different types of project, because the word 'project' covers a wide range of intentions and activities. (Note: in this chapter, when we refer to 'projects', this can normally be taken as a shorthand for both projects and programmes.)

Müller and Turner (2007) propose a tailored set of project 'attributes' drawn from Crawford, Hobbs and Turner (2005) which we have further edited (see box).



We are using this list to set the scene for examining project success, and to suggest a way for enabling an ‘attunement’ between the type of project being tackled and the type of management and leadership required.

## PROJECT ATTRIBUTES

*Application area:* Business change, IT product production, structural change, process change, research, construction project, organizational change (myriad others...) etc

*Complexity level:* Low, medium or high – depending on number of people involved, number of stakeholders, level of strategic importance, number of geographies involved, number of dependencies within the project – particularly on critical path, stability of context, nature of external dependencies, accessibility/explicability of functionality

*Lifecycle stage:* Feasibility, design and plan, implement/build, embed, commission, review, audit

*Strategic importance:* Reason for project: mandatory, repositioning, renewal

Centrality to operations: mission critical or not

Reputational risks: low, medium, high

*Culture:* Requires culture change to implement successfully

Involves engaging unfamiliar organizational/national cultures

Requires different factions/cultures to work together

*Contract type:* Fixed price, cost plus

Adapted from Müller and Turner (2007)

## What defines project success?

Westerveld and Gaya-Walters (2001) examined this topic in the context of an external project manager and team, and Müller and Turner (2007) extended this work. Our distilled version shows the simple success criteria that we’ve seen most often over the past five years, from the perspective of a business commissioning the project, whether internal or external:

- 1 meeting business performance, budget and timing criteria;
- 2 meeting user requirements as mapped out;
- 3 meeting external customer expectations (which may differ from 2 and 3);
- 4 meeting board expectations (which may differ from 1, 2 and 3);

- 5 end-user satisfaction;
- 6 internal project team satisfaction;
- 7 external project team satisfaction.

Of course, defining a comprehensive set of success criteria is hard to do in a real-life situation in which goal posts move and delays come from unpredictable sources. It's also highly probable that a mindset shift within key stakeholder bodies is vital to project success although this doesn't appear on the list of success criteria: an added complication is that every loyalty group has a different perspective on success.

## CAUTION REGARDING SUCCESS STATISTICS!

*Projects differ in size, uniqueness and complexity, thus the criteria for measuring success vary from project to project (Müller and Turner, 2007) making it unlikely that a universal set of project success criteria will be agreed (Westerveld, 2003). Individuals and stakeholders often will interpret project success in different ways (Cleland and Ireland, 2007; Lim and Mohamed, 1999). Furthermore, viewpoints about performance also vary across industries (Chan and Chan, 2004). Müller and Jugdev's (2012) study which focuses on the evolution of the project success literature over the last decade neatly summarizes this issue by asserting that it is a multi-dimensional and networked construct. They assert that perceptions of success and the relative importance of success dimensions differ 'by individual personality, nationality, project type, and contract type'.*

Mir and Pinnington (2014)

Shenhar *et al* (2001) instead propose a four factor framework for reviewing success that includes both short- and long-term benefits and feels flexible and useful to us:

- 1 efficiency – meeting schedule and budget goals;
- 2 impact on customers – customer benefits and meeting customer needs;
- 3 business success – project benefits in commercial value and market share;
- 4 preparing for the future – creating new technological and operational infrastructure and market opportunities.

## The relative contribution of project management

Professional project management bodies have spent the last 40 years claiming that good-quality project management, together with the use of tools and technologies

results in successful projects. How true is this, what exactly is being measured, and what makes the difference?

Mir and Pinnington (2014) discovered via their recent research that 44.9 per cent of project successes in terms of overall performance can be explained by the contribution made by project management disciplines and effectiveness, which confirms various other studies named in their research. They investigated levels of performance by asking about the presence or absence of various enablers in the context of a recently completed project: leadership, planning, strategic linkage, stakeholder partnerships, staff training, lifecycle processes and KPIs. This implies that 55.1 per cent of project success variance depends on other factors – maybe such as the inherent risk, or the chosen contract type.

The management of KPIs was the most significant independent variable in the study. This indicates that the definition of a clear set of KPIs for any project, together with a method for tracking progress against them, is the most likely enabler to enhance the chances of success. Note that these KPIs are best defined in terms of multiple stakeholder success, and with both a short- and long-term perspective on benefits. Staff training, then quality of leadership, were the next most significant independent variables in the study.

## THE IMPORTANCE OF PROJECT KPIS

*It's very easy to get hooked into just getting on and delivering a product, particularly when there's a massive IT system to implement, but what matters is the value this system actually creates. Setting out and agreeing KPIs is a complex and painful exercise which people don't feel they have the time or energy for. I know from bitter experience! But it's very worthwhile – particularly when there are tricky decisions to made about where to invest time and money along the way.*

Operations director, food company

## Project success rates

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Despite Mir and Pinnington's positive findings for project management value, well-publicized statistics about extreme IT project overruns are often cited and tend to fill project sponsors with gloom and anxiety. This is particularly acute in the face of technology-led change provoked by 'digital transformation' ie IT transformation projects that affect all aspects of the organization's business. How accurately do these statistics offer a correct representation of how well project management is doing as a discipline?

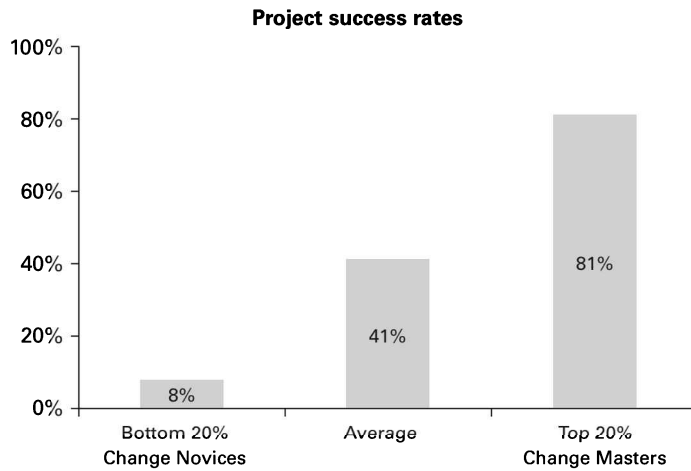
Jorgensen and Molokken (2006) investigated the veracity, and the extended use of the oft-quoted 1994 CHAOS Report issued by Standish Group, which claimed an average cost overrun of 189 per cent for ‘challenged’ software projects in the United States. The authors reviewed three other cost overrun surveys completed in the United States and Canada around the same period, including successful projects. These indicated an average cost overrun of around 33 per cent, so the authors are suspicious of the Standish Group figure, suggesting it is open to interpretation, and often used in ways that are not helpful.

However, when CHAOS Report figures – published every two years – are examined up to 2010 (see Table 13.1), it appears that while project complexity has been increasing and the time required to deliver has been reducing, the percentage of ‘successful projects’ (on time, on budget and with the required features and function) has been steadily rising from 16 per cent in 1994 to 37 per cent in 2010. Note however that 42 per cent are still failing to deliver on at least one of the criteria, and 21 per cent are cancelled before completion or never used.

The 2008 IBM report ‘Making Change Work’ looks at strategies for improving project outcomes. It revealed that some practitioners have begun to learn how to do this consistently. Their survey asked over 1500 project practitioners worldwide about their views on how to increase project success. The data shows that on average 41 per cent of projects were considered to be successful in meeting project objectives within planned time, budget and quality constraints. 59 per cent missed at least one of these criteria. However, there is a big difference in achievement between the group the survey refers to as ‘Change Masters’ – the top 20 per cent of the sample, who achieve 80 per cent project success, and the group known as ‘Change Novices’ – the bottom 20 per cent of the sample, who achieve project success in only 8 per cent of cases. See Figure 13.1.

**Table 13.1** CHAOS Report figures for IT projects, 1994–2010, Standish Group

| Year | Successful (%) | Challenged (%) | Failed (%) |
|------|----------------|----------------|------------|
| 1994 | 16             | 53             | 31         |
| 1996 | 27             | 33             | 40         |
| 1998 | 26             | 46             | 23         |
| 2000 | 28             | 49             | 23         |
| 2002 | 34             | 51             | 15         |
| 2004 | 29             | 53             | 18         |
| 2006 | 35             | 46             | 19         |
| 2009 | 32             | 44             | 24         |
| 2010 | 37             | 42             | 21         |

**Figure 13.1** 'Making Change Work'

**SOURCE** IBM (2008)

The report lists the differentiating factors, and suggests how to make improvements in these areas. These are paraphrased below:

**i Real insights, real actions**

Suggestion: Those who strive for full awareness of the challenges ahead and follow up with actions to address these are likely to be more successful in delivering to time, budget and quality constraints.

**ii Solid methods, solid benefits**

Suggestion: Use of a systematic approach to change that's focused on outcomes and aligned with a formal project management methodology also supports success.

**iii Better skills, better change**

Suggestion: Those who leverage resources to demonstrate top level sponsorship, assign dedicated change managers and empower employees to enact change – ie showing visible commitment, and putting skilled resources in place – do better.

**iv Right investment, right impact**

Suggestion: Allocating the right amount of resource to tackling change management issues by understanding what will offer the best returns in terms of greater project success helps too.

In a similar vein, PWC's third global survey on the current state of project management (2012) which canvasses views from senior executives and practitioners, states that:

- 97 per cent of respondents agreed that project management is critical to business performance.
- 32.1 per cent desire higher maturity in their PM performance.
- When PM disciplines were used, quality standards, delivery of scope and benefit realization were all achieved in around 90 per cent of cases, but project schedules and budgets were still being missed 30 per cent of the time.
- Poor estimation at the planning stage continues to be the largest contributor to project failure.
- The adoption of portfolio management (or programme management) is not increasing, but where it is used it increases the chances of project success in terms of schedule, quality, scope, budget, time and business benefits.
- Efficient and effective communication strategies increase the project's chance of success, with a 17 per cent greater chance of hitting budget.
- 34 per cent of respondents employ 'Agile PM' approaches, though not in very mature ways, and find that these approaches contribute to increased efficiency and delivery performance.

## Shortcomings of project management approaches

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Although our literature review indicates that project management approaches are working reasonably well to deliver business results when employed with sufficient skill and rigour, there are still serious shortcomings that we believe require attention in today's more challenging context. These are explored below.

### ***Moving away from 'old management ideas'***

'Rethinking Project Management' was a UK government-funded research network comprising academics and practitioners, meeting between March 2004 and January 2006. Its aim was 'to come up with a research agenda aimed at extending and enriching mainstream project management ideas in relation to the developing practice'.

This group met to address the prevailing sense that there had been significant growth in project work across all sectors, growing complexity in projects and programmes of increasing strategic importance to organizations, but still many projects were failing or giving poor results. There was also a sense that the bodies of knowledge being promoted by various professional institutions were based on 'old management ideas' and even 'stuck in a 1960s timewarp'.

**Table 13.2** 'Rethinking Project Management' report, from-to summary

| FROM                                 | TO                                                          |
|--------------------------------------|-------------------------------------------------------------|
| The lifecycle theory of projects     | Frameworks and models that illuminate complexity            |
| Mechanistic process models           | Frameworks for understanding social and political processes |
| Product creation                     | Value creation                                              |
| Narrow conceptualization of projects | Broader conceptualization of projects                       |
| Trained technicians                  | Reflective practitioners                                    |

**SOURCE** Winter and Smith (2006)

The final report by Winter and Smith (2006) and the subsequent dedicated issue of the *International Journal of Project Management* make very interesting and rich reading. One of the key 'outputs' was a provocative agenda for future research, set out as a 'From → To' map in Table 13.2.

Below is a summary of the suggestions for future research and exploration based on this agenda:

**i** *Devise new frameworks and models that illuminate complexity*

The lifecycle model implies a linear development track eg Initiate, Plan, Organize, Control, Handover. However, there are many cases of projects where there are: ill-defined goals; multiple stakeholders with very different perspectives and level of buy-in; a number of untested technical solutions to consider which require collaboration and negotiation as you progress – rather than a series of up-front plans.

**ii** *Identify new frameworks for understanding social and political processes*

Projects are often thought of as a mechanism for marshalling effort in a purely instrumental way ie to achieve stated goals, whereas there are often many complex agendas and interests connected to the success (or otherwise) of a project. If this can be better understood, then measures of success might be more accurate!

This might mean moving from projects as a linear sequence of tasks which constitute an apolitical production process, towards using concepts and images which focus on social interaction to understand how the work gets done.

**iii** *Move towards value creation*

The move from a narrower focus on concepts and methodologies for product creation, towards concepts and frameworks for value creation is seen as vital for the 21st century. Taking the example of the 2012 London Olympic Games, looking at this project with a focus on 'product creation' is very different from looking at it as a project with a 'value creation' focus.

**iv** Create a *broader conceptualization of projects*

Projects are now so much more than ‘IT projects’, the narrow conceptualization that often prevails. This is only a small part of the implementation of a new, more effective way of working. Examples offered of broader projects are: urban regeneration programmes, community development projects, social enterprise projects etc. Moving from single discipline projects with well-defined objectives to multi-purpose projects, open to renegotiation throughout, is seen as an important next step.

**v** *Envisage project managers as reflective practitioners*

A 21st-century project manager needs to do much more than follow detailed procedures and techniques, and do things ‘by the book’. He or she needs to create clarity out of ambiguity, be able to tolerate ambiguity, lead by influence in increasingly complex contexts – rather than simply relying on hierarchical control. This means that project managers need to be reflective practitioners who can learn and adapt as they go, rather than trained technicians who expect others to fall in line with their methods.

*If a project manager starts off by believing that he or she can run things exactly the way they were run in the last project, they’re doomed to failure. These days project managers need to be savvy about context and willing to build partnerships with the guys in the business. Project Management discipline and a focus on delivery is hugely important of course, don’t get me wrong, but an intelligent, flexible approach is absolutely vital.*

CEO, financial services company

## **Managing uncertainty**

The ‘Rethinking Project Management’ discussions described above draw attention to the difficulties that traditional project models and conceptualizations encounter when the degree of complexity and emergence that exists in many organizations is factored in.

Project tools and techniques are designed to contain ambiguities within a ‘certain enough’ plan, and to ensure as much as possible is done to meet the plan and deliver the key outcomes. Thus project managers often see their role as legitimizing the plan and playing down uncertainty. On the one hand, this helpfully reduces anxieties by illustrating how well things are being managed and controlled. On the other hand, it can be part of an extremely unhelpful process of denial of the real situation. To compound this, a project manager may contribute to a damaging climate of unreality and non-learning, if believing that his/her job is to ‘do things right’ according to a defined way forward, rather than reflecting, learning and adapting as things progress.



In the Atkinson, Crawford and Ward (2006) paper on fundamental uncertainties in projects and the scope of project management, the authors assert that there is a need to recognize that many project contexts are characterized by very high, difficult to quantify levels of uncertainty where management flexibility and tolerance of vagueness are necessary. Although project management can certainly be thought of as an approach to managing uncertainty via planning, milestones and change control there is definitely more to consider here.

The paper suggests three ways in which project managers can focus more explicitly on uncertainty management:

- i the definition of clear performance criteria and accompanying objectives at project inception;
- ii the management of tradeoffs between different performance criteria;
- iii ownership and management of specific sources of uncertainty.

Crawford and Pollack (2004) have identified a useful set of criteria to enable the grading of a project, or cluster of projects, according to a set of hard/soft criteria that represent the degree of uncertainty involved. Thus different approaches to project management can be selected according to the project type. These appear in Table 13.3.

**Table 13.3** Hard and soft projects – a framework for analysis

| HARD                                                                           |   |  |  |  |  |  |  |  |  |  |  |  |  | SOFT                                                                                |
|--------------------------------------------------------------------------------|---|--|--|--|--|--|--|--|--|--|--|--|--|-------------------------------------------------------------------------------------|
| Goals/objectives clearly defined                                               | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Goals/objectives highly ambiguously defined                                      |
| Physical artefact                                                              | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Abstract concept                                                                 |
| Only quantitative measures                                                     | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Only qualitative measures                                                        |
| Not subject to external influences                                             | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Highly subject to external influences                                            |
| Refinement of single solution                                                  | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Exploration of many alternative solutions                                        |
| Expert practitioner, no stakeholder participation                              | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Facilitative practitioner, high stakeholder involvement                          |
| Values technical performance and efficiency, manages by monitoring and control | 0 |  |  |  |  |  |  |  |  |  |  |  |  | 10 Values relationships, culture and meaning, manages by negotiation and discussion |

**SOURCE** Crawford and Pollack (2004)

For a project at the soft end of this spectrum, it is proposed that the following project management capabilities and skills are required:

- ‘sense-making’ activities;
- the ability to formulate qualitative success measures and sensitive performance management frameworks;
- the ability to build trust between different parties.

## ***Change challenges***

The change challenge for most projects is how to bridge the gap between the envisioned product, and a collection of busy stakeholders and users with a variety of starting points, perceptions and needs.

Traditionally this gap is bridged via change-oriented activities such as:

- readiness assessments to identify skills and awareness gaps;
- sponsorship from senior managers to support increased engagement;
- building awareness of the need for change through good quality communications;
- deepening skills and knowledge to support change through education and training;
- helping employees to transition through 1:1 coaching;
- using methods to sustain progress such as measures of success and rewards.

However, in more complex, softer settings the following are also likely to be required in our view:

- convening stakeholder groups to make sense of progress, build mutual trust and agree ways forward;
- discussing possible trade-offs between agreed performance criteria in the light of progress/new information;
- presenting and discussing project progress at management meetings and negotiating particular forms of line-leader support;
- agreeing timetables for various forms of stakeholder/user involvement/product ‘socializing’ eg via definition/testing/review/training activities.

Much work has been done to professionalize project change work. The role of ‘change manager’ and the disciplines of ‘change management’ have been identified and promoted by organizations such as Prosci, CMI, ACMP and APMG as well as others.

A wide range of change management training programmes is available across the globe. These 3–5 day programmes, in our experience, are often much appreciated by participants as they offer a good grounding in how people respond to change

together with helpful frameworks for making sense of this territory in an organizational setting.

For example, Prosci's ADKAR framework (see [www.prosci.com](http://www.prosci.com)) is used widely, and offers change managers a way of directing change efforts using an outcome-oriented approach such that stakeholders/users are empowered to change.

Prosci defines change management as:

... the application of a structured process and set of tools for leading the people side of change to achieve a desired outcome. Change management emphasizes the 'people side' of change and targets leadership within all levels of an organization including executives, senior leaders, middle managers and line supervisors. When change management is done well, people feel engaged in the change process and work collectively towards a common objective, realizing benefits and delivering results.

... and their three-phase model is summarized as follows:

- preparing for change;
- managing change;
- reinforcing change.

Another challenge that arises when 'soft' projects are being considered is that traditional approaches to change tend to assume that the desired outcomes of change are reasonably predictable, and can be broadly mapped out from the start. However our recent experience of digital and/or strategic transformation projects (which tend to require Agile approaches (see below) and continuous, rapid experimentation) is that a more flexible and organic approach to change is necessary where products are piloted, and new behaviours are 'grown' through complex forms of engagement. This type of change work is likely to require not only skilled 'change facilitators', but also organizational leaders who are highly visible in guiding the process as things evolve.

## Balancing flexibility with control



Drawing on the 'Rethinking Project Management' conclusions and the PWC survey data earlier in this chapter, we believe that managing the uncertainty of softer, more complex, projects requires a balanced approach that has at least some of the basic dis-

ciplines and controls of a project managed environment, and yet is flexible enough to deal with variable goals, unpredictable external influences and multiple inputs along the way.

It is helpful to link back to some theory at this point. In Chapter 3, we set out four different metaphors for the change process, and in Chapter 4 identified how each is associated with a different type of leadership. If you turn back, you'll see that two of these metaphors are particularly relevant when discussing flexibility and control. The machine metaphor, aligned with control, requires traditional project management approaches such as goal setting, monitoring and controlling. The flux and transformation metaphor, aligned with flexibility and emergence, requires a more facilitative form of leadership that sets out governing principles, enables connectivity and amplifies issues.

Thus getting the right balance between these two elements requires a deft and subtle mix of two quite different leadership approaches. This suggests that project managers must develop more sophisticated leadership skills, and the ability to work with new models and frameworks that include complexity and ambiguity, if required to manage complex, strategic change projects. This resonates with the recommendations for future research set out in the 'Rethinking Project Management' report.

Alternatively, project managers and business leaders may need to work more closely with change managers – or perhaps in-house HR or OD professionals – to ensure that more attention is given to activities such as agreeing the right performance framework and convening the right conversations at the right time as work progresses.

## **Dealing with risk**

When dealing with risk, project managers tend to rely on risk management plans and risk registers, but this is not the same as accepting and working with the uncertainties already threaded into a project.

*Quite often, the management of uncertainty through risk identification and assumptions becomes a box-ticking exercise which appears to be a case of applying mechanistic techniques to difficult-to-manage areas, without actually discussing them properly. The list gets looked at in rather a mechanical way on a monthly basis, but the issues are generally not properly addressed until they hit you between the eyes!*

Senior project manager, 'Big Four' management consultancy

Ward and Chapman (2003) say that this is because the term 'risk' encourages a threat perspective and tends to focus on negative 'events', whereas a focus on uncertainty allows potentially welcome effects to be considered as well as things that might go wrong. They add that uncertainty management is about 'identifying and managing the many sources of uncertainty that give rise to and shape our perception

of threats and opportunities. It implies exploring and understanding the origins of project uncertainty before seeking to manage it, with no preconceptions of what is desirable or undesirable.’

In our experience, there is a temptation for less experienced project managers to name risks as a way of silently passing the buck to business leaders regarding potential problem areas, without discussing what the risk or uncertainty actually is. This is where the relationship between the project manager and business leader(s) becomes critical, as these risks may represent an opportunity, or something that requires attention from both parties.

## ***Delivering on time!***

Does disciplined project management control actually support on-time delivery? Or is this approach somehow counter-productive, particularly in high-complexity contexts? Although some of the classic data regarding project overruns has perhaps been exaggerated, it is still the case that many organizations struggle to complete projects to schedule and budget.

So what goes wrong? Is this failure down to unpredictable events and changing circumstances, and the impossibility of estimating how long something is going to take, given the unknowns at the start of a project? Or can some of this be managed better?

In our experience, some of the problem is down to knee-jerk reactions and unproductive ‘pushing’, usually from senior management, and outside of project control. Eden *et al* (2000) note that efforts to accelerate project progress after a period of considerable disruption or delay, or in an attempt to finish ahead of schedule for some reason, can be counter-productive and actually cause more disruption and delay. They also point out that effort spent addressing delays and disruptions could often be better used to stop and understand what’s actually happening.

## **IT PROJECT DELIVERY PROBLEMS**

*The programme of change was based around the introduction of a big IT system and there were all sorts of demands and quibbles from different parts of the organization to be worked through, which was taking time and effort. Then senior management started to get nervous about deadlines and decided to force an early go-live date to help focus peoples’ minds. This triggered a panic as the project manager set about reducing the scope of the initial delivery and forcing all the unresolved issues into the next phase. The whole programme ended up taking much longer to complete than initially planned, and I’m sure the forced deadline at the start didn’t help.*

Team manager, utilities company

## ***The pros and cons of improvising***

Improvisational approaches were labelled back in the 1950s and '60s as 'bad project management' or an organizational dysfunction, but are now seen as vital, for responding to and dealing with high levels of uncertainty and pressure to deliver on time, particularly in a project context.

Improvisation can refer to anything that doesn't go according to the plan, ie when the plan doesn't quite match reality, and rather than re-plan you 'improvise' a way through. The capacity to do this in a controlled way and do it well can enhance an organization's effectiveness, and even their speed-to-market amidst turbulence and rapid technological innovation and development.

Another useful definition of improvisation is 'making meaningful decisions within a limited timescale without optimum information and resources'. Collapsing complex processes into a faster, more streamlined approach is another type of improvisation. Lehrer (2000) states that there are some 'high dynamism' environments where planning is rendered futile, and that the use of 'bricolage' (ie improvisations such as the fusing of planning and execution) is widespread in fast-moving commercial sectors.

### **THE PLACE OF IMPROVISATION**

*Project plans are useful – to a point. Every plan I've ever seen eventually has problems when it contacts reality. At that point, we re-plan or improvise. But improvisation is an art form...*

*Some organizational cultures want to believe that improvisation has no place. Even when improvisation is happening, they deny its existence by calling it a re-plan. For instance, if six people revise in five days a plan that took 30 people six months to develop, can we seriously call it a re-plan? Such a revision is closer to improvisation than it is to re-planning.*

*We usually do better at whatever we're doing if we're willing to admit we're doing it. If you're improvising, call it improvisation, and do whatever it takes to make it the best improvisation it can be.*

Rick Brenner, Chaco Canyon Consulting

No proven link has yet been made via research between the use of improvisation by individuals and the success and/or effectiveness of projects.

However, Leybourne (2006), who considers improvisation as 'moving away from an agreed plan in order to accelerate the implementation of actions', gathered observations from the UK financial services sector which indicated the following:

- Interest in improvisation is increasing and there is a growing appreciation of its use in the management of organizations, with overwhelming support for its use coming from his research population of project managers.
- There can be a cultural prejudice within some organizations which values things that are planned and then executed over things that are spontaneously created. Thus people may ‘attach’ to plans even if these are ineffective and unhelpful.
- A paradox exists for improvising project managers: improvisation tends to involve taking immediate action in order to achieve against a tight timescale. This means making a rapid decision without necessarily having all the right information to hand, which can go against traditional project management notions of planning and control.
- If organizations expect employees to plan out all possible responses to a situation, and employees use this as a way of justifying actions to senior management, this can be a barrier to improvisation!
- Risk-averse organizations are less likely to be attracted to improvisation – when you improvise, your actions are not ‘covered’ in any way, and there is no one else to blame.
- Giving members of project teams ownership of decisions and encouraging improvisational problem-solving techniques both aid the use of improvisation.
- Improvisational activity can result from an organization trying to achieve too much on too many fronts with the use of project-based approaches, and with too little resources, thus stemming from poor project planning and execution.

Leybourne recommends controlled use of improvisational techniques by employees who are given the space and time to experiment with innovative new work processes. Our own experience chimes with this. We find that in organizations where planning and implementation rigour is weak, although improvisational approaches may be widely used, there is not enough awareness of overall project objectives or agreed parameters to keep activity focused. Work progress can start to drift towards personal agendas rather than remain aligned with any stated project outcomes. We believe that improvisational approaches can work very well, as long as there is enough control, discipline and process hygiene to keep things broadly on track.

## ***Agile approaches***

Agile project management is a way of managing project design and implementation activities in a highly flexible and iterative manner such that you can achieve as much as you can of what you want in the fastest time possible.

Deliverables are submitted in stages, or ‘waves’, sometimes as little as 2–4 weeks apart. Particularly favoured in the world of software development where

speed-to-market can be critical, this approach can be most useful in small, change-driven projects, or as part of a wider programme of work where one especially complex element requires close customer/user involvement throughout in order to be successful. Formal documentation is kept at a minimum so that effort can be spent on development.

Some commentators say, and we tend to agree, that Agile is not a project management methodology at all, but a useful product development methodology for software development projects, business change initiatives and other situations where the deliverables are relatively unknown at the start.

Agile teams may also incorporate the Scrum framework, which encourages self-organization and daily face-to-face meetings of the whole team. This approach challenges assumptions of sequential and segmented approaches to development. Effort is focused on responding quickly to changes and new discoveries. There is acceptance that the problem being tackled cannot be fully understood or mapped out ahead of time, and that the customer may well change his or her mind about certain aspects as work progresses.

The 2011 CHAOS Manifesto, published by the Standish Group, reports that the percentage of IT and software projects using an Agile approach has risen from 2 per cent in 2002 to 9 per cent in 2011. It seems to have become a remedy for software application projects, bringing three times the success rate of traditional waterfall approaches (spec, plan, execute, test etc).

Pikkarainen *et al* (2008) spotted some downsides to the use of Agile in a software development context. Although the impact on internal software development team communications and day-to-day problem-solving tends to be good (as long as tacit knowledge is not over-relied on), Agile approaches do not provide the right communication mechanisms to ensure that this is done well throughout the project when there are multiple stakeholders groups and multiple development teams involved. They suggest that a plan-driven mechanism for stakeholder interaction is more effective.

Ken Schwaber's book *Agile Project Management with Scrum* (2004) advocates the use of Agile and Scrum for 'urgent and critical' projects, particularly because it dramatically shortens the feedback loop between customer and developer. He says that when you're dealing with a market economy that changes all the time with technology that won't stand still, it's important to be able to learn through short cycles of discovery.

Schwaber also warns that those steeped in traditional management practices have to unlearn them in order to master the Scrum approach. He says there are no Gantt charts, no detailed work plans, no schedules.

Hut (2009) helpfully cites a number of realistic difficulties with implementing an Agile way of working in your organization:



- Agile working requires differently skilled people from the ones already employed by your organization.
- The degree of individual ownership and freedom needed for Agile methods to work implies quite a big cultural change for many organizations.
- Agile teams are restricted in size and tend to meet for 15 minutes a day – which restricts the contexts in which the method can work ie larger, more complex teams cannot work like this.
- The face-to-face part of Agile may be impractical due to other commitments and geographic constraints etc – although perhaps virtual methods can be used.
- Not everything in a project can be stuffed into short meetings without records. There still needs to be some attention given to budget, scope, risk management, planning and reporting. Agile simply offers a form of team management, which isn't a methodology.
- If the project is owned by a team rather than an individual, the reward system should reflect that this, rather than be individually oriented, as many are.

## **Working with stakeholders**

Stakeholders are an increasingly important focus of project management activity, not just because of the pressures of reduced cycle-time and the need to get staff/users on board quickly, but also because project success is often measured in terms of multiple parameters; stakeholder input and opinion is critical to this. Stakeholder analysis is a familiar activity, traditionally done at the start of the project and resulting in an influencing plan that lasts for the duration of the project. However, the needs and interests of stakeholders in more complex settings tend to shift and change during the life of a project, and more attention may be needed to identify and manage these shifts.

Assudani and Kloppenborg (2010) say that most projects can benefit from periodic reassessments of stakeholders, and particularly those that are emergent and complex. Assessing their relative importance to project success helps the project manager to apportion the considerable time spent liaising with stakeholders. They recommend the following activities:

- i identify all stakeholders, determining which are most important;
- ii build relationships with the most important and manage their expectations as the project progresses;
- iii communicate effectively with all stakeholders.

They say that stakeholder analysis is of central importance in working out 'who counts', and suggest using Mitchell *et al*'s (1997) framework of power, legitimacy

and urgency. They recommend that more than a ‘front-end’ analysis is done, and offer the lens of ‘social network theory’ which views social relationship in terms of ‘actors’ or ‘nodes’, and the relationships or ‘ties’ between them. This enables you to identify the actors with the most social capital. This in turn provides a way of identifying salient stakeholders, and project team ‘influencers’ at any one time during the project by encouraging project managers and project stakeholders to explore:

- who will be affected by the project outcomes and process;
- who they will ask for inputs to the project;
- who will they talk to about project-related activities to ensure the success of the project.

## Improving the governance and organizational leadership of projects

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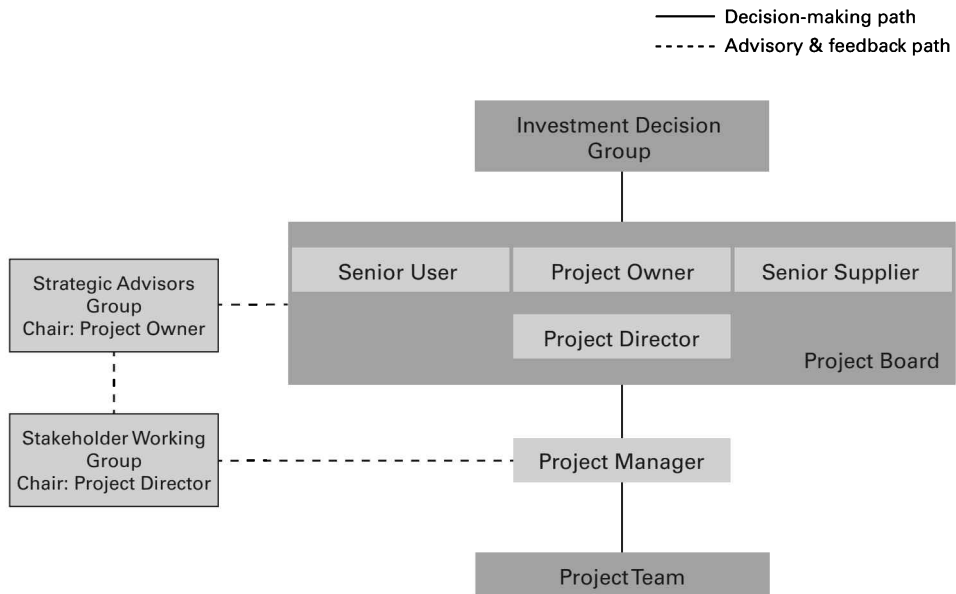
Project governance is a significant factor in any project or programme set-up, and its importance is emphasized in popular project management methodologies such as PRINCE2. Project management offices (PMOs) are still a commonly used method for augmenting the effectiveness of project governance, particularly in large organizations in both private and public sectors. These offices are typically responsible for anything from the provision of project management support functions to the direct management of a projects and programmes.

Are governance structures working in a way that supports project success and brings a good balance between control and emergence in complex, fast-moving contexts? Or are they, as some critics say, cumbersome to implement, and end up being rather inflexible, bureaucratic and out of touch with the realities of progress on the ground?

What shifts might then be made in the way projects are governed, led and managed to improve success rates, particularly where sustainable change is aspired to in a complex, uncertain context?

### ***Project governance***

In his book about governance (Garland, 2009) and his related article ‘Developing A Governance Framework’, Ross Garland states that although ‘decision-making failure’ appears to be one of the top 3–5 causes of project failure, project governance is still a haphazard affair with few established principles. This echoes our own experience of project governance as a topic that receives scant attention. Effort is more likely to be spent on the hunt for a good quality project manager, which many believe to be a more powerful determinant of a successful outcome.

**Figure 13.2** Project Governance Framework**SOURCE** Garland (2009)

Garland proposes a structure for high-risk projects (see Figure 13.2) and asserts four helpful project governance principles:

- identify a single point of project accountability, rather than leaving this to a committee;
- ensure project governance is service delivery-focused – placing the business at the heart of the project;
- ensure separation of stakeholder management and project decision-making activities, ensuring that decision-making forums are not clogged with stakeholders;
- ensure separation of project governance and organizational governance structures, thus reducing the number of project decision layers.

However, he warns that the implementation of such a framework is a business change exercise in itself, and that the key issues are likely to include:

- i separating project governance from organizational governance, which is difficult;
- ii selecting a project board with enough experience;
- iii ensuring that the ‘customer’ resources their part in project governance activities.

In our experience, organizations with mature structures and good quality leadership discipline find Garland’s principles relatively straightforward to follow and implement,

although there are clearly challenges in making some of this happen. However, where organizational structures are already poor, and leadership discipline and skills are weak or immature, there tend to be serious struggles with all three issues.

## ***The role of project management offices***

PWC's third global survey on the current state of project management (2012) reveals some interesting data on the use of PMOs:

- The majority of organizations never evaluate the effectiveness of the PMO.
- For those who do, it seems the longer PMOs are in place, the more effective they are in establishing standardized project management processes and controls – although this can take up to six years.
- Sixty-six per cent of surveyed organizations were using PMOs in 2012, a decline from 80 per cent in 2007. A hypothesis is offered that those who are not now using PMOs are using Agile methods instead and getting similar success rates.
- PMOs can be responsible for anything from project and programme administrative support support, to delivery management, right through to investment governance, so quite a range of activities are being discussed and evaluated here.

Professors Ward and Daniel (2012) explored the pros and cons of introducing a PMO structure, particularly within Information System (IS)-led change projects. Their research indicates that PMOs are increasingly being introduced in an attempt to improve overall control and coordination given the growing number and complexity of projects that organizations initiate to achieve strategic change.

Ward and Daniel found that the presence of a PMO actually 'reduces senior management satisfaction with IS project success, and has no overall effect on the success rates of those projects'. This appears to be due to senior management's increased knowledge of the inner workings of the project, particularly of what's not going to plan. The findings also suggest that it's 'more important for PMOs to be involved at the start and the review stage of projects, rather than in the ongoing monitoring ... where much of their current focus is'.

Unger, Gemunden and Aubry (2012) on the other hand, discerned positive effects of some aspects of PMO activity such as control and coordination, while emphasizing the need for clarity of function and reporting lines. Some PMOs end up either being ineffective, or being loathed by both the business and the project manager, as they perform something of an audit and 'policing' function for both.

So a mixed picture of PMOs' effectiveness is emerging. They seem to offer a high degree of visibility and security to senior leaders but don't always focus on the more 'value-adding' activities, such as supporting start-up or review stages. In our view, it's these activities that are likely to be particularly helpful in more uncertain and complex contexts.

## *The shifting role of project managers*

In the initial set-up of a critical project, much emphasis tends to be put on the selection of the project manager. Are the appropriate qualities being sought, given the nature of the challenges he/she is likely to encounter?

The 'Rethinking Project Management' report (see page 477) indicates a need for project managers to move beyond being trained technicians to becoming reflective practitioners. The reports refers to the work of Fish and Coles (1998), who offer a framework (originally drawn up for healthcare professionals) outlining the shifts that project managers might need to make as they learn how to work effectively in softer, more complex settings:

### *Technical Rationality*

Follows rules and prescriptions  
Sees knowledge as graspable,  
permanent  
Theory is applied to practice  
Emphasizes the known  
Technical expertise is all  
Emphasizes assessment and  
accreditation  
This is training

### *Professional Artistry*

Informed by principles and frameworks  
Sees knowledge as temporary,  
dynamic  
Theory emerges from practice  
Embraces uncertainty  
Professional judgement counts  
Emphasizes reflection and  
deliberation  
This is education

The set of competences in the right hand column above describes a project manager who has reached a level of maturity that is highly desirable for managing a complex project or programme, but in our view is still quite rare.

In contrast, an online search of a variety of bloggers, researchers and pundits reveals a more pragmatic list of characteristics for a 'future-proofed' project manager:

- is finance-savvy and can set and manage a project budget;
- able to combine the best of Agile with traditional PM tools and techniques;
- understands the importance of organizational change management to ensure a successful outcome; has change management skills, or can partner well with a change manager;
- understands and maybe even carries out a business analysis role;
- possesses specialist business knowledge as well as project management skill;
- keen and able to work closely with a 'heavyweight' project sponsor;
- demonstrates exemplary programme and project leadership skills which enable them to engage and align people, and get them working productively, even across geographies.

## ***The future place and role of change management***

Over the past 10 to 15 years change management has become established as a vital project-related activity, either undertaken by the project manager or by an appointed change manager. But there are still challenges in making this work, and there's a need for:

- Project managers who can work with complex lifecycle models; incorporate the use of Agile methods; understand and respond to the challenges of a more uncertain environment; meet requirements for increased pace; and develop better, more trusting relationships with stakeholders.
- Change managers who have more authority to act; rely less on structured, pre-planned approaches; develop their levels of maturity and capacity; and ensure that the right conversations are had at the right time as the work progresses.
- Business leaders who can act as authoritative sponsors in service of projects, such that line-leaders are sufficiently engaged as work progresses, and project managers are well supported to focus on the product creation work in hand. They also need to educate senior managers in how best to provide good-quality oversight.
- A simple but effective governance framework that is set up well and adhered to with rigour.

However, some critics argue that the profession of change management needs a thorough overhaul if it's to continue to be useful. They say the techniques and approaches being used currently tend to produce incremental rather than transformational change, and have been devised for a more predictable and hierarchical workplace than is now emerging.

Now the arrival of 'generation Z' in the workplace is having a big impact, together with increased automation/robotization and use of 'big data'. Generation Z is highly creative and collaborative, extremely comfortable with technology, expert at multi-tasking, globally aware, unconcerned about privacy, not particularly loyal to any group or organization and wishing to have freedom and autonomy. All this is likely to make the change management territory rather different. Some predict that the tools and techniques required will be more social media based, involve gathering and making sense of micro-narratives, and are likely to employ tipping point (Gladwell, 2000) and nudge (Thaler and Sunstein, 2009) thinking, rather than more linear approaches that follow the 'plan, manage, embed' route.

## **Conclusion**

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Projects and programmes are seen and experienced as critical delivery mechanisms for improving business performance. However, as projects grow in complexity, there

are questions about the effectiveness of aspects of this approach in delivering wide-scale, rapid, sustainable organizational change.

Over the last 10 to 15 years, change management has become an established adjunct to project management, such that increased attention is now given to the task of transitioning people from the current state to a desired future state. This combined approach can work well for relatively straightforward projects and programmes, but may need to be revitalized in readiness for future challenges in a rapidly changing world, particularly where there is a high degree of uncertainty and/or multiple stakeholders.

The 'Rethinking Project Management' report suggests items to consider for meeting this challenge. These are: new frameworks for complexity; better understanding of social and political processes; a move toward value creation; broader conceptualization of projects; and more reflective project managers. More recent research indicates that the use of highly flexible design and implementation processes such as Agile is already increasing, with promising results.

The balance between flexibility and control will be key to running successful projects in the future, with issues of governance and leadership at the core. Suggestion for areas for attention and improvement are:

- Organizations need to set up project governance structures that i) separate project governance from organizational governance, ii) are overseen by a sufficiently experienced board and iii) include 'customer' representation able and willing to play their part well.
- Project managers need to broaden and deepen their capabilities if they are to deliver well in increasingly uncertain project contexts.
- Change managers require more authority to act, a more mature approach, greater facilitative skill and more familiarity with emergent processes, if they are to continue to be effective.
- Business leaders need to be given a clear brief, provide authoritative project sponsorship, including guidance for line-leaders as work progresses, and have the authority, motivation and time to carry out this important role.
- Project managers, change managers and business leaders must be clear about each others' roles, and prepared to build good-quality working relationships with each other.

# Conclusion

**S**o what did we set out to do, and what did we achieve here? We wanted to write a book that allowed leaders of all persuasions to dip into the rich casket of theory on change, and to come out with their own jewels of learning. We most of all wanted to help to create the time and space for people to reflect on the changes facing them in the past, now and in the future by making the theory accessible, asking the right questions and providing practical glimpses of our experiences. We hope all of this will stimulate new thoughts and new connections and would urge you to get in touch if you'd like to exchange views.

And having come this far together we would like to leave you with a Sufi tale:

## Two sides of a river

Nasrudin sat on a river bank  
when someone shouted to him  
from the opposite side:  
'Hey! How do I get across?'  
'You are across!' Nasrudin shouted back.

## How to get in touch with the authors of this book

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### Comments

We are interested in hearing from you if you have enjoyed the book or if you have any suggestions or ideas that would improve it. Please send your thoughts to us via the contact details below. Since the first edition we have heard from many people around the world offering us their experiences and their ideas – as well as sending gratefully received appreciation for our endeavours. So thank you and please do stay in touch!



## ***Credits***

We have made strenuous efforts to get in touch with and acknowledge those responsible for the ideas and theories contained in this book. However, we realize that we may have unintentionally neglected to mention some people. If you are aware of any piece of work contained here that has not been properly credited, please do let us know so that we can make amends in future editions of this book.

## ***Coaching and consultancy***

If you would like any information about our coaching and consultancy work in connection with managing change and leadership development, we would be delighted to hear from you.

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